

Amāna Bank



It's *Your* Bank

Poised for New Horizons

**AMĀNA BANK PLC
ANNUAL REPORT 2023**



Poised for New Horizons

Achieving many historic milestones in the backdrop of a challenging financial landscape, Amāna Bank continues to shine as a beacon of stability and shared progress, committed to fostering resilience and growth for individuals, businesses, and communities alike.

Despite a challenging year, a fresh capital infusion strengthened our foundation for the future. With a strategic focus on our core business, digital footprint, regional growth, and sustainable banking initiatives, we remain committed to deliver optimal value to our shareholders.

Guided by our unwavering dedication to innovation, personalized services, and strategic partnerships, we continued to enable and enrich customers to achieve financial success through continuous improvements to our unique 'people friendly banking' approach!

We believe that true growth extends beyond financial success and we are deeply committed to giving back to the communities we serve, supporting local initiatives, and driving positive change, ensuring that our growth is intertwined with the well-being of the society we operate in.

With an outlook towards long-term value and sustainability, Amāna Bank is poised for new horizons, as we continue our journey of enabling growth and enriching lives.

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CHAIRMAN'S MESSAGE

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MANAGING DIRECTOR/CEO'S REVIEW

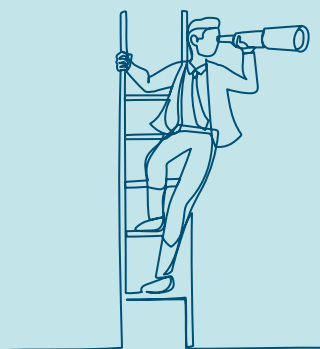
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Vision

To be an admired leader in providing equitable financial solutions, not limited to numerics, but also in earning the trust of our customers, employees, shareholders and country.



Mission

To adopt a unique and people friendly approach in banking with a passion for continuous improvement, enabling growth and enriching lives.



Scan the QR Code
View this report online
www.amanabank.lk

ABOUT THE REPORT

INTRODUCTION

Amāna Bank is proud to continue its integrated reporting journey by publishing its 2nd Integrated Annual Report for 2023. The current report aims to showcase how integrated thinking is used as the basis of stakeholder value creation. As such, the report focuses on providing both financial and non-financial information to demonstrate how Amāna Bank addresses the needs of all stakeholders.



Improvements Made in the Current Report

- ◆ Introduction to Amāna Bank's Sustainability Framework - page 59
- ◆ Greater clarity on Materiality determination and Strategy integration - pages 55 to 58
- ◆ Improvements to the Introductory narrative in the Corporate Governance Report - pages 108 to 117
- ◆ Strengthening Risk disclosures with the inclusion of the Risk Outlook for all risk categories - pages 206 to 231



The current report and all previous reports, including the Bank's first integrated report for 2022 are available for viewing on the corporate website - www.amanabank.lk

SCOPE AND BOUNDARY

The report covers the core business activities of Amāna Bank PLC for the period 1 January 2023 to 31 December 2023, encompassing retail banking, business banking and treasury operations.

There has been no change in the scope and boundary of this report, relative to the previous report.

Reporting Frameworks	
Financial Reporting	◆ Sri Lanka Accounting Standards issued by the Institute of Chartered Accountants of Sri Lanka
	◆ Companies Act No. 07 of 2007
	◆ Banking Act No. 30 of 1988 and its amendments
Governance, Risk and Compliance Reporting	◆ Requirements of the Securities and Exchange Commission of Sri Lanka
	◆ Code of Best Practice on Corporate Governance issued by CA Sri Lanka
	◆ New Corporate Governance rules issued by the CSE
Integrated Reporting	◆ Integrated Reporting <IR> Framework issued by the International Integrated Reporting Council
Sustainability Disclosures	◆ CSE Sustainability Reporting Guide
	◆ United Nations Sustainable Development Goals
	◆ Sustainable Banking Initiatives by the Sri Lanka Banks' Association

MATERIALITY

The principle of Materiality has been used as the basis of presenting the content of this Annual Report. Further details regarding Materiality determination is shown on pages 55 to 57 of this report, while the Strategy section on page 58 illustrates how Material topics are driving the Bank's strategy.

The Capitals



Financial Capital



Human Capital



Manufactured Capital



Social and Relationship Capital



Intellectual Capital



Natural Capital

Quick Reference Guide for Stakeholders



Shareholders / Investors



Regulators



Customers



Community



Employees

ASSURANCE

A combined assurance model is used to provide assurance regarding information obtained from the management and from other internal and external sources.

The authenticity of the content contained in this report has been reviewed first by the Bank's Management Committee and further validated by the relevant Board Sub Committees based on the due diligence to assess the Bank's financial, operating, compliance, risk and governance controls.

The Bank's external auditors; Messrs Ernst & Young have provided their opinion regarding the financial statements for the year ending 31 December 2023. This report is shown on pages 234 to 237.

FORWARD LOOKING STATEMENTS

Future plans are discussed across the report, where relevant. Such statements reflect Amāna Bank's position and views of the Board as at the time of writing. However, since the Bank operates in a dynamic environment where uncertainties or new developments could cause actual results or actions to differ from those stated in these forward-looking statements, readers are advised that such forward-looking statements should not be interpreted as a guarantee of results or the future course of action.

As such, there are no material restatements pertaining to information provided in earlier reports.

BOARD RESPONSIBILITY STATEMENT

The Amāna Bank Board is responsible for ensuring the integrity of this Integrated Annual Report. Having reviewed the report as relevant, the Board is of the opinion that the Integrated Annual Report for 2023 provides a balanced and fair account of the Bank's performance for the current financial year.

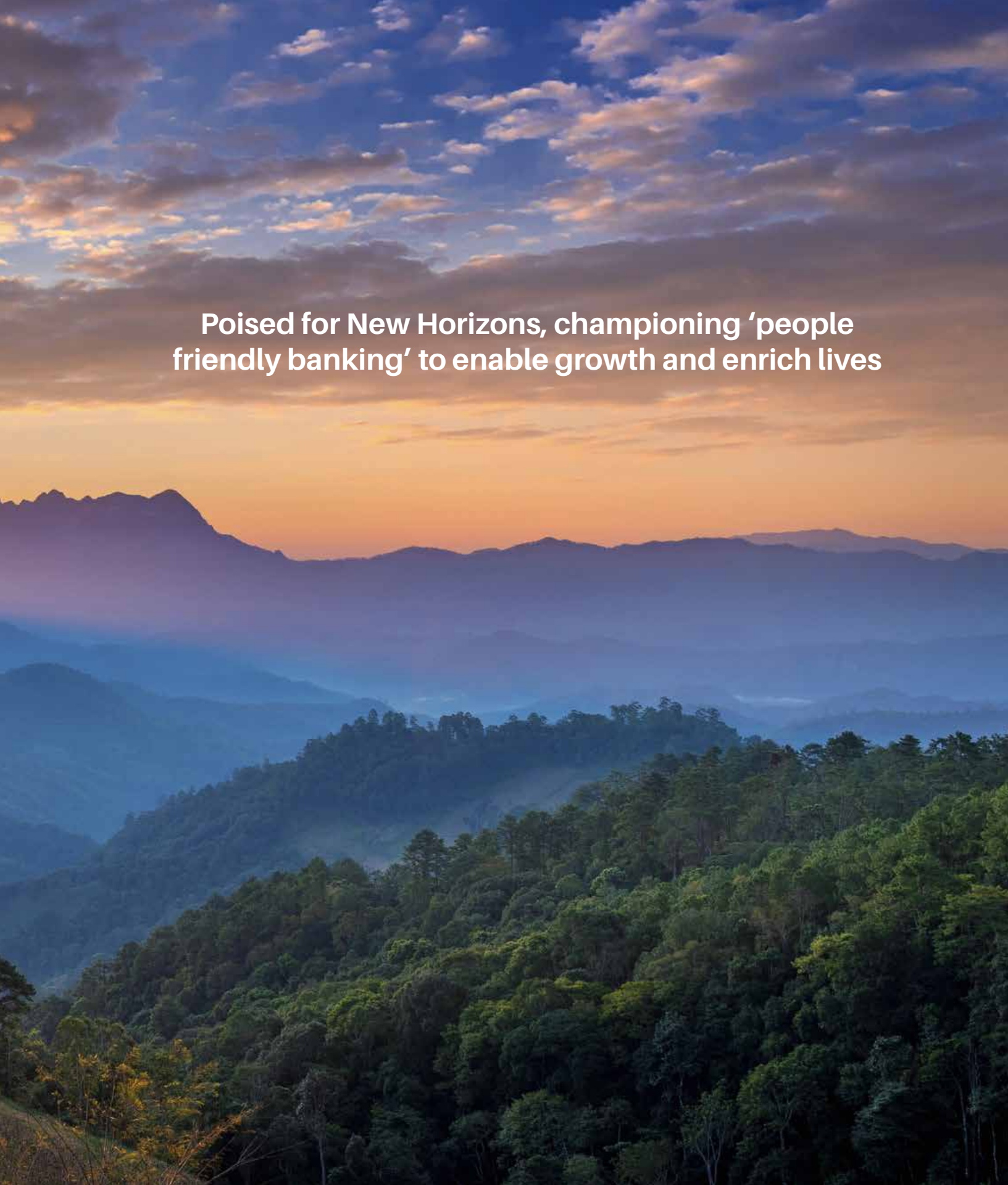
The Board remains satisfied that the Report for 2023 demonstrates the Bank's integrated performance in line with applicable frameworks.

FEEDBACK AND QUERIES

Amāna Bank is committed to continuously enhance the quality of its Annual Report and welcomes feedback and suggestions from stakeholders regarding improvements that could be incorporated into the Bank's next Annual Report. Any feedback and / or queries regarding the report should be directed to:

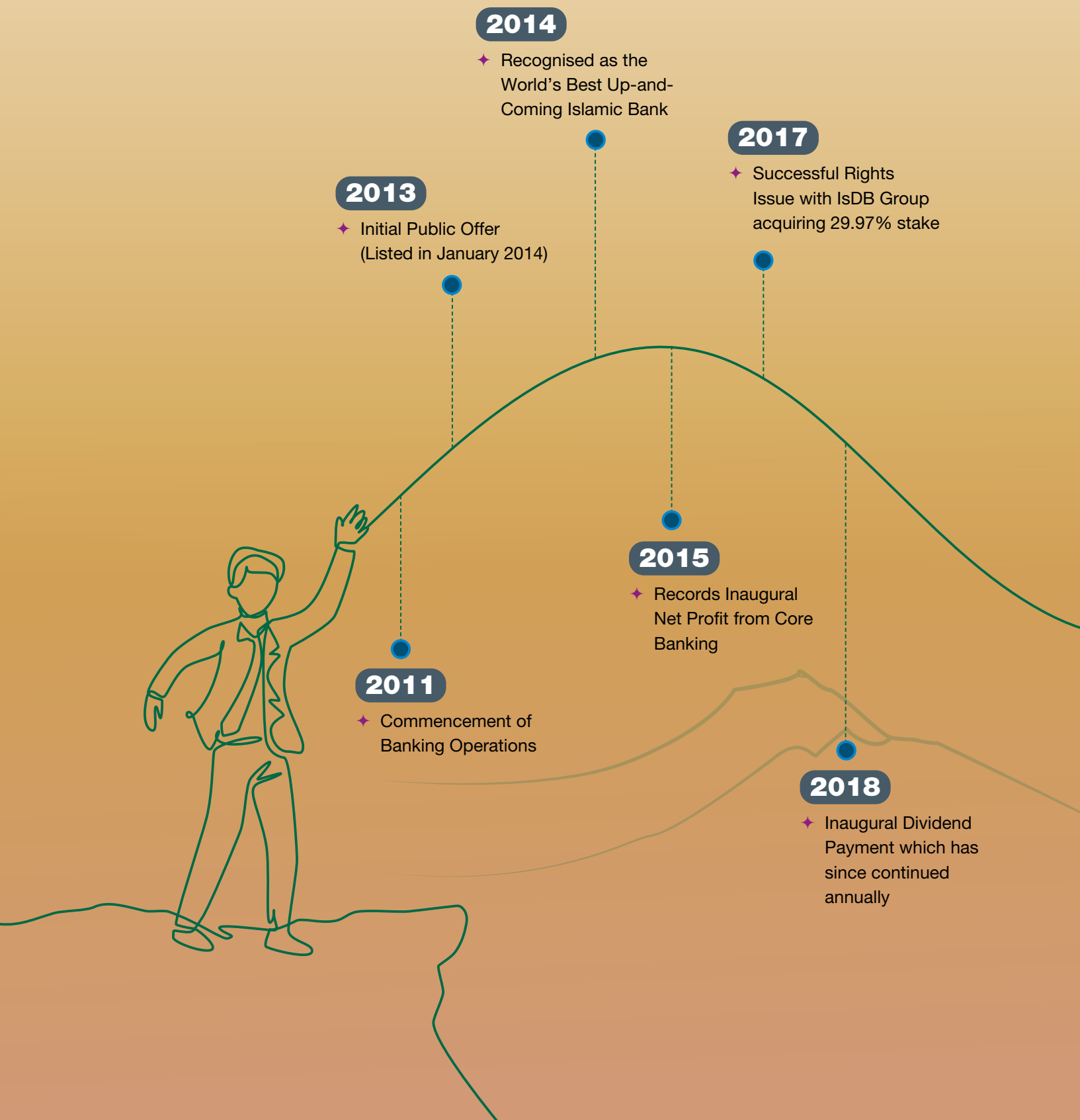
The Company Secretary
Company Secretarial Division
Amāna Bank PLC
6th Floor, No. 403, Galle Road,
Colombo 3,
Sri Lanka.
Tel: +94 11 7757400
(weekdays between 9 am to 5 pm)

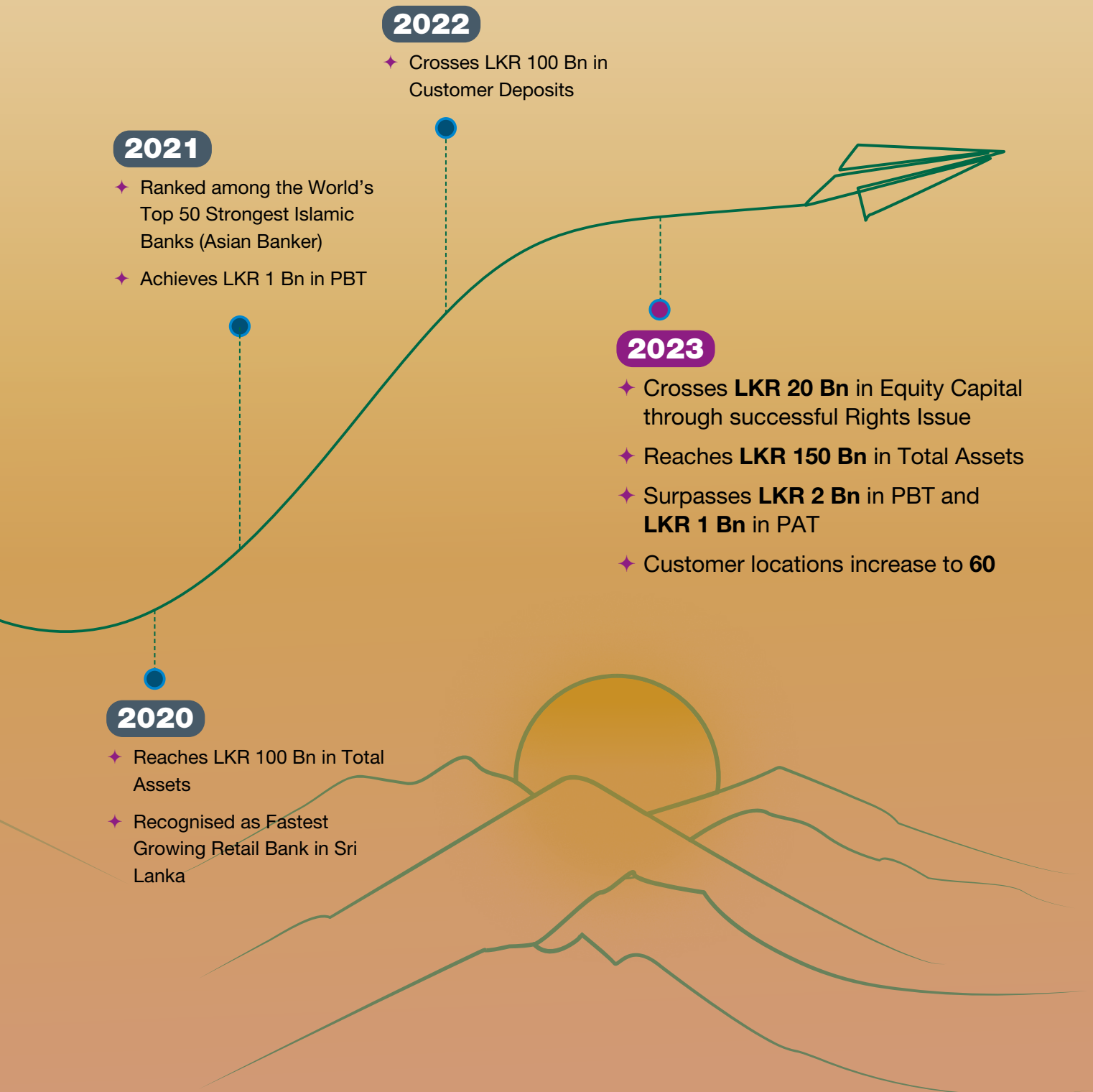




Poised for New Horizons, championing 'people friendly banking' to enable growth and enrich lives

OUR JOURNEY





BOARD OF DIRECTORS



ALI ASGHAR (ASGI) AKBARALLY

Chairman, Non-Executive, Non-Independent Director



MOHAMED AZMEER

Managing Director/CEO



TISHAN SUBASINGHE

Non-Executive, Senior Independent Director



DILSHAN HETTIARATCHI

Non-Executive, Non-Independent Director



AARON RUSSELL-DAVISON

Non-Executive, Independent Director



MOHAMMED ATAUR RAHMAN CHOWDHURY

Non-Executive, Non-Independent Director



SYED MUHAMMED ASIM RAZA

Non-Executive, Non-Independent Director



KHAIRUL MUZAMEL PERERA BIN ABDULLAH

Non-Executive, Independent Director



OMAR KASSIM

Non-Executive, Non-Independent Director



MOHAMED ADAMALY, PC

Non-Executive, Non-Independent Director



MOHAMMAD HASSAN

Non-Executive, Non-Independent Director



MISS PRIMROSE SHIREEN WATSON, FCG, DGP

Company Secretary

BOARD OF DIRECTORS



ALI ASGHAR (ASGI) AKBARALLY

Chairman

Non-Executive, Non-Independent Director

Date of Appointment

18 July 2020

Committee Membership

Member

- ✦ Board Human Resources and Remuneration Committee
- ✦ Board Credit Committee
- ✦ Board Nomination and Governance Committee

Qualifications, Expertise and Experience

Ali Asghar (Asgi) Akbarally is a Senior Executive Director of Akbar Brothers (Pvt) Ltd, one of Sri Lanka's largest diversified corporates, globally renowned for its tea exports. Asgi Akbarally holds directorship in multiple subsidiaries and affiliates of the Akbar Group covering sectors such as Manufacturing, Property Development, Hotels & Leisure, Power Generation, Packaging & Printing, Logistics and Environmental Services. He is the Managing Director of Renewgen (Pvt) Ltd and Deputy Chairman of Windforce PLC, Chairman of Hermitage Resorts (Pvt) Ltd, Uthurumaafaru Holding (Pvt) Ltd, Maldives, Lhaviyani Holdings (Pvt) Ltd and Cocoon Investments (Pvt) Ltd, Maldives. He is also a director of Alumex PLC.

Asgi Akbarally is currently the Honorary Consul of the Hashemite Kingdom of Jordan. He holds a BSc Degree in Industrial Engineering from the California State University and is a Fellow Member of the Institute of Certified Professional Managers. A classic car enthusiast, Asgi Akbarally has

authored a coffee table book on "Classic and Vintage Automobiles of Ceylon" and is the Patron of the Classic Car Club of Ceylon.

Other Current Directorships - 19 Companies

Unlisted Companies

Executive Capacity

- ✦ Akbar Brothers (Private) Limited
- ✦ Akbar Brothers Exports (Private) Limited
- ✦ Falcon Trading (Private) Limited
- ✦ Falcon Development (Private) Limited
- ✦ Chadstone Holdings (Private) Limited
- ✦ Quick Tea (Private) Limited
- ✦ Renewgen (Private) Limited
- ✦ Land & Building Limited
- ✦ Cocoon Investments (Pvt) Limited – Maldives

Non-Executive Capacity

- ✦ Lhaviyani Holdings (Pvt) Ltd
- ✦ Hermitage Resorts (Private) Limited
- ✦ Uthurumaafaru Holdings (Pvt) Limited – Maldives
- ✦ Flexi Print (Private) Limited
- ✦ Stella Plastic (India) (Pvt) Limited
- ✦ Kassarfaru One (Pvt) Limited, Maldives
- ✦ AB Lagoon (Pvt) Limited, Maldives
- ✦ Joy Resorts (Pvt) Limited, Maldives

Listed Companies

Executive Capacity

- ✦ Windforce PLC

Non-Executive capacity

- ✦ Alumex PLC



MOHAMED AZMEER

Managing Director/CEO

Date of Appointment:

27 April 2022

Committee Membership

Member

- ✦ Board Related Party Transaction Review Committee
- ✦ Board Credit Committee
- ✦ Board Integrated Risk Management Committee

Qualifications, Expertise and Experience

Mohamed Azmeer, Managing Director/CEO of Amāna Bank, is a seasoned banker with a career spanning over 30 years holding senior positions at leading financial institutions globally, including CitiBank, Al Rajhi Bank and Sharjah Islamic Bank.

Mohamed Azmeer took over the leadership of the Bank in June 2014. Prior to that, as the Bank's Chief Operating Officer, he was overseeing the business functions of the Bank's Consumer, SME, Corporate and Treasury divisions. Before joining Amāna Bank, Azmeer had gained significant exposure to conventional and Islamic banking through his illustrious career, both locally and internationally, which spans over 30 years. Having commenced a career in banking at Commercial Bank of Ceylon, Azmeer's leadership progression and banking intuitiveness was a result of his overseas experience, primarily at Citibank, UAE, where he had gained the unique experience of both business and risk aspects of banking, having overseen such operations at senior levels. During such tenure, he also carried out many short overseas assignments to countries

such as UK, India and Kenya, where he acquainted himself to the different dynamics and challenges specific to each business and region. At the culmination of his career at Citibank he held the position of Vice President – Risk, for UAE and Oman.

Azmeer's experience also includes 'start-ups' where he was a founder member of the erstwhile Dubai Bank which was established at the direction of the Dubai Government.

Azmeer's journey towards Islamic banking was a result of him wanting to have this nascent but people friendly concept accepted and embraced by a wider audience. In the field of Islamic banking, Azmeer's track record involved holding senior positions at Al-Rajhi Bank Saudi Arabia, the largest and leading Islamic Bank in the world and Sharjah Islamic Bank, a pioneering bank in UAE and the first Islamic bank in the world to fully convert its operations from being a conventional entity, in which he was an Executive Vice President.

Azmeer has served on the Boards of Sri Lanka Banks' Association (Guarantee) Ltd., LankaClear, the national payment and clearing association of Sri Lanka, and was the Chairman of the Financial Ombudsman Sri Lanka (Guarantee) Ltd. Azmeer holds a Master's Degree in Business Administration from the University of Leicester, UK. Utilising his sound knowledge and wide experience, Azmeer has played a key role in guiding Amāna Bank towards the success it has reached thus far.

Current Directorships

Unlisted Companies

Chairman/Non-Executive Capacity

- ✦ Better Space Holdings (Pvt) Ltd
- ✦ Better Space Properties (Pvt) Ltd



TISHAN SUBASINGHE

Non-Executive, Senior Independent Director

Date of Appointment

26 August 2020

Senior Independent Director with effect from 1 February 2024

Committee Membership

Chairman

- ✦ Board Audit Committee
- ✦ Board Human Resources and Remuneration Committee
- ✦ Board Related Party Transaction Review Committee

Member

- ✦ Board Nomination and Governance Committee
- ✦ Board Integrated Risk Management Committee

Qualifications, Expertise and Experience

Tishan Subasinghe, is a Fellow and Vice President of the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and an Attorney-at-Law. He is the Managing Director and Joint Managing Partner of Moore Consulting (Private) Limited and Moore Aiyar respectively. Before that he was the Head of Audit and Assurance at BDO Partners. He is also the Chairman of Sanasa General Insurance Company Limited and is also a Council Member of the University of Moratuwa. His profession also expands overseas where he had work experience with PricewaterhouseCoopers (PwC) in New York, Philadelphia, Chicago and Botswana spanning several years. These were supported by the international training that he has undergone in USA,

Hong Kong, Bangkok, Hyderabad, Mumbai, Malaysia, Indonesia and Rome. As a member of CA Sri Lanka, Tishan has served as the Chairman of the Annual Report Awards Committee, National Conference Committee and Examinations Committee. He also held the post of Vice President of the Young Chartered Accountants Forum (YCAF). Tishan is a Certified Information Systems Auditor (CISA-USA) and has an MBA in Finance by the University of Colombo with a Gold Medal and has earned an LLB (Hons.) degree from the Buckinghamshire New University. He is also a visiting lecturer at several Government Universities and had also conducted international training in Maldives and Bhutan.

Other Current Directorships – 3 Companies

Unlisted Companies

Non-Executive, Independent Capacity

- ✦ Sanasa General Insurance Company Ltd

Executive Capacity

- ✦ Moore Consulting (Private) Limited
- ✦ Moore Aiyar
- ✦ Moore LPO Services (Pvt.) Ltd.

Listed Companies

Non-Executive, Independent Capacity

- ✦ Kapruka Holdings PLC

BOARD OF DIRECTORS



DILSHAN HETTIARATCHI

Non-Executive, Non-Independent Director

Date of Appointment

31 May 2016

Senior Independent Director:

11 January 2023 to 1 February 2024

Committee Membership

Chairman

- ✦ Board Credit Committee
- ✦ Board Nomination and Governance Committee

Member

- ✦ Board Human Resources and Remuneration Committee
- ✦ Board Related Party Transaction Review Committee

Qualifications, Expertise and Experience

Dilshan Hettiaratchi is a Partner/ Managing Director of Faber Capital Limited which is an investment banking firm headquartered in Dubai. The firm specialises in Capital Markets, Renewable Energy and Advisory opportunities. He has over 25 years of banking and financial markets experience. Prior to joining Faber Capital, he was the Managing Director and Head of Debt Capital Markets-MENA and Pakistan for Standard Chartered Bank. In this role he advised many high profile issuers from the Middle East such as The Government of Dubai, The Government of Ras Al Khaimah and other Corporates and Financial Institutions from the ME region to tap the International Bond and Sukuk markets. Prior to joining SCB, he worked with Citi National Investment Bank, which was the investment banking arm of Citibank and NDB based in Colombo, as well as at Waldock Mackenzie Limited which

was the investment banking arm of John Keells Holdings. He is a Director of Asset Trust Management Limited, which is a SEC regulated Asset Management Company. He was also a Steering Committee member of the Gulf Bond and Sukuk Association (GBSA), and the Chair of the Government Bond issuance committee in 2011. He has been a speaker/panellist at a number of industry conferences in Debt Markets over the last few years.

He holds an MBA from the University of Colombo, is a CFA Charter Holder and is an ACMA (UK).

Other Current Directorships – 11 Companies

Unlisted Companies

Executive Capacity

- ✦ Premier Solar Lanka (Pvt) Ltd
- ✦ Preserving Land and Nature (Guarantee) Limited

Non-Executive Capacity

- ✦ Asset Trust Management (Private) Limited
- ✦ Faber Capital Lanka (Private) Limited
- ✦ Faber Capital DIFC
- ✦ Southern Gammiris Lanka (Pvt) Ltd
- ✦ Last Mile Delivery (Private) Limited
- ✦ Boda Boda (Private) Limited
- ✦ Wealth Lanka Management (Private) Limited
- ✦ Premier Solar Group Ltd.

Listed Companies

Non-Executive, Independent Capacity

- ✦ Windforce PLC



AARON RUSSELL-DAVISON

Non-Executive, Independent Director

Date of Appointment

4 January 2018

Date of Resignation

31 January 2024

Committee Membership

Chairman

- ✦ Board Integrated Risk Management Committee

Member

- ✦ Board Audit Committee
- ✦ Board Human Resources and Remuneration Committee
- ✦ Board Nomination and Governance Committee
- ✦ Board Related Party Transactions Review Committee

Qualifications, Expertise and Experience

Aaron Russell-Davison is a veteran banker with 26 years' experience across banking and financial institutions, including capital markets, bond and loan syndication, sales, trading, portfolio management and brokerage. Most recently, his tenure at Standard Chartered Bank, Singapore spanned over 6 years, at the most senior levels of Capital Markets, including as the Global Head of Debt Capital Markets. He also has served as Director, Capital Markets in prominent global institutions such as Credit Suisse, Hong Kong; Standard Bank of South Africa, Hong Kong; and Hypo-Vereins Bank, London. He has also held Board positions as an Independent Non-Executive Director of leading financial institutions, whilst serving in the capacity of Chairman-Group

Risk Committee and as a member in the Group Audit, Remuneration and Related Party Committees. He has worked across multiple geographies and cultures with a strong Asian aspect, and holds a Bachelor of Arts (Asian History and Politics) from the University of Western Australia.

Other Current Directorships – 16 Companies

Unlisted Companies

Executive Capacity

- ✦ Korcula Holdings (Private) Limited
- ✦ Ceylon Cinnamon Corporation (Private) Limited
- ✦ Silk Road Partners (Private) Limited
- ✦ Southern Investment Enterprises (Private) Limited
- ✦ Ashari (Private) Limited
- ✦ Rajan (Private) Limited
- ✦ Sherry Lanka (Pvt) Ltd
- ✦ Arran Holdings (Private) Limited
- ✦ Lidsay Lanka (Pvt) Ltd
- ✦ Oceans Edge (Private) Limited
- ✦ Qwant (Private) Limited
- ✦ Sparkle Sands (Private) Limited
- ✦ Madeleine (Private) Limited
- ✦ Shine On (Private) Limited

Listed Companies

Non-Executive, Independent Capacity

- ✦ Softlogic Holdings PLC
- ✦ Softlogic Capital PLC



MOHAMMED ATAUR RAHMAN CHOWDHURY

Non-Executive, Non-Independent Director

Date of Appointment

16 January 2018

Committee Membership

Member

- ✦ Board Integrated Risk Management Committee
- ✦ Board Audit Committee
- ✦ Board Human Resources and Remuneration Committee
- ✦ Board Nomination and Governance Committee

Qualifications, Expertise and Experience

Mr. Mohammed Ataur Rahman Chowdhury is a seasoned financial sector specialist, having spent more than 20 years across in the Financial Institutions domain covering multiple geographic regions across Middle East, North Africa, West Africa, Central Asia and Southeast Asia. His diversified experience was spent mostly in senior roles in direct financing, investment banking, commercial banking, FI equities, board representations and turning around financial institutions. Joined in 2007, at present, Mr. Chowdhury is Acting Director, Equity Department & Head of Banking Investments at Business Solution Complex at the Islamic Corporation for the Development of the Private Sector (ICD); the private sector arm of the Islamic Development Bank (IsDB) Group providing strategic direction, advice and financial solution to investees and partner institutions across banking, Ijarah (Leasing), mortgage financing, takaful, liquidity management and investment company operations to become profitable and

sustainable. Prior to that, Mr. Chowdhury, at various capacity under equity operations, led establishments and formulating strategies of more than 15 Islamic Financial Institutions with aggregate portfolio of nearly USD 260 million.

He is an experienced and veteran board member with proven track of transforming financial institutions from loss making into profitable. He has joined the Board of Taiba Finance in Uzbekistan in April 2022. He is a former Board member in Maldives Islamic Bank Limited for the period 2012-2022 and played vital roles in the foundation, growth, and public listing stage of the bank. Briefly, Mr. Chowdhury also worked as Adviser, Financial Institutions for The European Bank for Reconstruction and Development (EBRD) in London, UK on secondment from ICD.

Mr. Chowdhury's professional career, preceding his ICD tenor, included 7 years in Bangladesh's financial sector, holding the roles of: Corporate Relationship Manager in Commercial Bank of Ceylon Limited (Bangladesh operation), Investment Manager in IPDC (the first Development Financial Institution in the country) and Senior Investment Analyst in BRAC-EPL (a premier investment bank in the country).

A well-learned individual, Mr. Chowdhury holds an MBA in Finance from IE Business School, Spain, and another MBA in Finance & Accounting from North South University, Bangladesh. He has also earned a Diploma in Board Certification of Company Direction from the Institute of Directors, United Kingdom.

Other Current Directorships

None

BOARD OF DIRECTORS



SYED MUHAMMED ASIM RAZA

Non-Executive, Non-Independent Director

Date of Appointment

20 October 2018

Committee Membership

None

Qualifications, Expertise and Experience

Syed Muhammed Asim Raza has over thirty-six years of diverse experience in the banking and engineering industries at the senior management level. He is well versed in all aspects of public and private sector projects and equity financing including identification, preparation, due diligence, implementation, and post implementation activities. He has vast experience in remedial asset management which involves the recovery of classified portfolio through restructuring, liquidation, and litigation activities. Currently attached to the Islamic Development Bank Group (IsDB), Mr. Raza is involved in developing the enabling environment for the trusts and endowments sector in OIC member and non-member countries; providing technical assistance for capacity building, regulatory and institutional development. He is deeply involved in the development of new endowments as well as the establishment of commercial real estate projects on idle endowment land for transforming them into revenue generating asset. Currently, he is supervising the global projects portfolio of more than US\$ 300 million. Prior to joining IsDB, Mr. Raza worked in Pakistan and served on various senior positions at different financial institutions. He served as Vice President

at Muslim Commercial Bank and Atlas Investment Bank Limited. He worked for twelve years with the National Development Finance Corporation, which was mandated for the development of infrastructure projects in Pakistan. Mr. Raza holds a bachelor degree in Mechanical Engineering and a Master in Business Administration. He is a member of various Engineering Councils and Institutes and has represented IsDB as a speaker at various prestigious forums and conferences.

Other Current Directorships

None



KHAIRUL MUZAMEL PERERA BIN ABDULLAH

Non-Executive, Independent Director

Date of Appointment

8 June 2023

Committee Membership

Member

- ✦ Board Audit Committee
- ✦ Board Integrated Risk Management Committee
- ✦ Board Nomination and Governance Committee
- ✦ Board Human Resources and Remuneration Committee

Qualifications, Expertise and Experience

Khairul Muzamel Perera has over 35 years of banking related experience in Malaysia, including stints at a credit rating agency and a national asset management institution. He retired from Bank Islam Malaysia Berhad (BIMB) in October 2022, having served as the Group Chief Credit Officer (GCCO) overseeing the Credit Management Division at BIMB. His key function as the GCCO was to manage the asset quality of the bank which he undertook by overseeing the credit analysis function (pre-approval transactional credit), credit analytics (model development and maintenance – retail and non-retail) the central financing processing function which handled the end-to-end processing and approval of all retail financing and the Valuation unit which oversees all collateral valuations in the Bank. He Chaired the Financing Committees and the Underwriting & Investment Committee in the Bank. Arising from his involvement as the Banks

representative in the Joint Committee for Climate risk management spearheaded by Bank Negara, he initiated the development of an Environmental Social and Governance (ESG) Framework to introduce the assessment of Climate related risks in the credit risk process in line with Bank Negara's Climate Change Principles based taxonomy and set up an ESG unit in the Bank to oversee the introduction of ESG risks and its impact on the Banks financing portfolio. He is currently the Chairman (Independent) of the Investment Committee of BIMB Investment Management Berhad, a wholly owned Fund Management subsidiary of the Bank. A Chartered Company Secretary by profession, Khairul is an Associate Member of the Institute of Chartered Secretaries & Administrators, London and a Chartered member of the Chartered Institute of Islamic finance professionals, Malaysia.

Other Current Directorships

None



OMAR KASSIM

Non-Executive, Non-Independent Director

Date of Appointment

26 August 2020

Committee Membership

None

Qualifications, Expertise and Experience

Omar Kassim is a fintech focus technology entrepreneur, who specialises in conceiving, and scaling technology ventures. Omar is the Founder and CEO of London based, Nomod, a venture funded B2B payments software business, whose apps replace legacy card terminals allowing merchants to process in-person and online payments on their mobile devices with no additional hardware. Omar co-founded and was the CEO of Esanjo, a technology investment business based in Dubai, where he remains a member of the Board. Omar previously founded and exited JadoPado, a highly regarded e-commerce marketplace in MENA region. Omar holds a BsC in Electronics Engineering and Business Studies from the University of Warwick in the United Kingdom.

Current Directorships

Unlisted

- ✦ Esanjo Ventures Ltd, BVI
- ✦ Nomod Inc, Cayman Islands

BOARD OF DIRECTORS



MOHAMED ADAMALY, PC

Non-Executive, Non-Independent Director

Date of Appointment

27 August 2020

Committee Membership

Member

- ✦ Board Credit Committee

Qualifications, Expertise and Experience

Mohamed Adamaly, President's Counsel, is a leading legal professional in Sri Lanka having a wide Civil Law practice in the Original Courts and Appellate Courts, with a focus on Commercial Law, Labour Law, Insurance Law, and Banking & Credit related laws. Adamaly also specializes in Investment Advisory, Business Set-up/Restructuring Services and Corporate Acquisitions. Adamaly graduated from the Faculty of Law University of Colombo with Honours while also achieving First Class Honours from the Sri Lanka Law College before being admitted as an Attorney-at-law of the Supreme Court of Sri Lanka in 1994. He was recently appointed as President's Counsel. Adamaly has served as a visiting lecturer at the University of Colombo and at the Sri Lanka Law College. He also holds a Postgraduate Diploma in Marketing from the Chartered Institute of Marketing (CIM UK) and is a leading lecturer for CIM and formerly for CIMA, in Sri Lanka. In view of his combined legal, marketing and business expertise, Adamaly holds and has held directorships in several public and private companies including in the David Peiris Group, Bogala Graphite Lanka PLC, Assetline Leasing Company Limited and Sinwa Holdings Limited. Adamaly is also a leading thespian

and cinema personality in the country and has received the National TOYP Award for his contribution to Drama and Literature.

Other Current Directorships – 11 Companies

Unlisted Companies

Executive Capacity

- ✦ Synergy Plus (PTE) Limited
- ✦ Palm Stone (Pvt) Limited
- ✦ Soul Resorts (Pvt) Limited
- ✦ Monad (Pvt) Limited
- ✦ Monad Corporate Services (Pvt) Limited
- ✦ S A A Lanka (Pvt) Limited
- ✦ Adamantium Investments (Pvt) Limited

Non-Executive, Non-Independent Capacity

- ✦ Blue Sky Luxury Apartments (Pvt) Limited
- ✦ Assetline Lands (Pvt) Ltd

Independent Non-Executive Capacity

- ✦ David Pieris Holding (Pvt) Ltd
- ✦ Assetline Holdings (Pvt) Ltd



MOHAMMAD HASSAN

Non-Executive, Non-Independent Director

Date of Appointment

18 January 2023

Committee Membership

None

Qualifications, Expertise and Experience

Mohammad Hassan has over 10 years of extensive experience across the asset management industry in both equity and fixed income investing. He has a deep understanding and is well-versed in financial statement analysis particularly relating to valuation of equity and fixed income instruments as well as utilizing tools such as Bloomberg and S&P Capital IQ to build comparable companies and transaction models.

Hassan is currently attached to ICD, the private sector arm of the Islamic Development Bank (IsDB) Group as the Principal of the Banking Equities Department. As a part of his role, Hassan oversees the private equity portfolio of investee banks spread across 8 countries while also involved in reviewing financial models and business plans for potential new investee banks working closely with C-level management of each bank to optimize business strategy in the context of regulatory and macroeconomic developments. Prior to this Hassan was associated as a Co-Portfolio Manager for ICD's fixed income funds including the ICD Money Market Fund and ICD Corporate Premium Fund, 2 high-yield income funds currently having more than \$300 million under management. As part of

his Asset Management role in ICD, Hassan was also responsible to many notable fixed income investments and private placements.

Prior to joining the IsDB Group, Hassan's professional career included over 5 years in Pakistan's financial sector, including holding the roles of Manager – Business Internal Controls and Money Market Dealer in Burj Bank, Relationship Manager in Bank Al-Falah and Relationship Associate at Meezan Bank.

Hassan is a Chartered Financial Analyst and holds a Bachelor of Science Degree in Industrial Engineering and Management Science from North Western University, USA.

Current Directorships

None



MISS PRIMROSE SHIREEN WATSON, FCG, DGP

Company Secretary

Date of Appointment

Appointed on 4 June 2021 as Company Secretary

Qualifications, Expertise and Experience

Miss Shireen Watson is a Fellow Member of The Chartered Governance Institute UK formerly known as the Institute of Chartered Secretaries and Administrators – UK and holder of Digital Governance professional certificate. Her professional experience as a Chartered Secretary counts for over 30 years.

Prior to joining Amāna Bank, she held the position of Head of Secretarial of Hemas Corporate Services (Pvt) Ltd, secretaries for the Hemas Group of Companies. She also held the position of Company Secretary of a Finance Company and its subsidiaries and has gathered extensive knowledge and experience in handling both the registrars and secretarial functions of listed entities and private /public companies of two conglomerates over the years.

In addition, Miss Shireen has an exposure to people management by having an oversight on the Human Resource function of a Finance Company with over 30 Branches Island wide.

Miss Shireen was invited by the Institute of Chartered Corporate Secretaries in Sri Lanka to share her knowledge and experience in Company Secretarial Practice with the students of the Institute by lecturing for the Intermediate Level and Professional level.

INDEPENDENT SHARIA SUPERVISORY COUNCIL

ASH-SHEIKH DR. MUFTI MUHAMMAD IMRAN ASHRAF USMANI

Chairman, Sharia Supervisory Council

Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani, son of Justice (Retd.) Mufti Muhammad Taqi Usmani, graduated with specialisation in Islamic Fiqh (Islamic jurisprudence) from Jamia Darul-Uloom, Karachi, where he has been teaching Fiqh since 1990. He also holds an L.L.B and Ph.D. in Islamic Finance. He is a Vice President of Jamia Darul-Uloom, Karachi.

Presently Dr. Imran Usmani is the Group Head and Vice Chairman of Shariah Supervisory Board at Meezan Bank Ltd and is responsible for Research and Product Development of Islamic Banking products, advisory for Sharia-compliant banking and supervision of Sharia Audit & Compliance. He is also the President and CEO of Usmani & Co. Pvt. Ltd that provides a full suite of Islamic Finance consultancy, Shariah advisory and related ancillary services to local and international clients across all legal jurisdictions and financial & non-financial sectors.

Dr. Imran Usmani has been involved with the Government of Pakistan in various initiatives and is also a member of the Steering Committee and Implementation Committee for promotion of Islamic Banking since 2013. Dr. Imran Usmani has served as an advisor/member of Sharia Boards of several renowned institutions in various jurisdictions since 1997 including the State Bank of Pakistan, Takaful Pakistan Ltd., Pakistan Mercantile Association, ICFAL–Australia, The Zeal–Canada and USA, Astana International Financial Centre -Kazakhstan, HSBC– Amānah Finance, UBS-Switzerland, Guidance Financial Group USA, Lloyds TSB Bank -UK, Japan Bank for International Cooperation (JABIC), Credit Suisse Switzerland, Royal Bank of Scotland Global,

Old Mutual Albarakah Equity & Balanced Funds South Africa, AIG Takaful, ACR ReTakaful Malaysia, Premier Takaful Pakistan, Capitas Group USA, Bank of London and Middle East Kuwait, BMI Bank Bahrain, Al Khaliji Bank Qatar, Sarasin Bank Switzerland, AIFA-Amāna Islamic Finance Australia, DCD Group Dubai, Nafa Mutual Fund, Acumen Fund, Swip Sicave Fund, Old Mutual Al-Barakah fund and other mutual and property funds, Takaful companies and international Sukuk, etc.

He also served as an Executive Committee Member of AAOIFI (Dubai), Sharia Supervisory Board of International Islamic Financial Market (IIFM) Bahrain and Chairman of Academic Board at International Centre for Education in Islamic Finance (INCEIF)-Malaysia, Institute of Business Administration (IBA)-Centre for Excellence in Islamic Finance (CEIF), Karachi and Director at Centre for Islamic Economics (CIE), Hira Foundation School and Hira Institute of Emerging Sciences, Karachi.

Dr. Usmani is the author of numerous publications related to Islamic Finance and other Sharia related subjects. He has presented papers in numerous national and international seminars and has delivered lectures at academic institutions including Harvard, LSE, LUMS and IBA. He also has special interest in Entrepreneurship, Eco-system, Sustainable Development investments and works for different green projects.

ASH-SHEIKH MOHD. NAZRI CHIK

Vice Chairman, Sharia Supervisory Council

Ash-Sheikh Mohd. Nazri Chik is the Group Chief Social Finance Officer of Bank Islam Malaysia. He holds a Master's Degree in Sharia from University of Malaya, Certified Sharia Adviser and Auditor (CSAA-AAOIFI), Certified Sharia Advisor (CSA-ASAS), Certified Professional Sharia Auditor (CPSA-IBFIM), Chartered Qualification in Islamic Finance (CQIF-CIIF), Islamic Retail Credit Professional (IRCP-AIBIM) and Certificate in Internal Auditing for Financial Institutions (CIAFIN-AICB). He started his career as a tutor in University of Malaya until he joined Bank Islam in June 2004. He left the Bank to join Noor Investment Group, Dubai in September 2009 as its Sharia Audit Manager. During this time, he had been appointed as a member of Bank Islam's Sharia Supervisory Council. He re-joined the Bank to lead the Shariah Division in January 2011, a role he had continued until December 2019. He is a Corporate Member of Institute of Corporate Directors Malaysia and he has been appointed as an Independent Non-Executive Director of Terengganu Incorporated, the investment arm of Terengganu State Government, Malaysia. He is also a Registered Sharia Adviser with the Securities Commission Malaysia, Chairman of the Sharia Committee of TEKUN Nasional, the federal government owned micro finance company of Malaysia and a Sharia Advisor to several organisations including Malaysia Professional Accountancy Centre (MyPAC), Kelantan State Economic Development Corporation, Accountant General Malaysia's Islamic Accounting Standard Project etc. He is the Deputy President of Association of Sharia Advisors in Islamic Finance Malaysia (ASAS), Distinguished Trainer for Islamic Banking and Finance Institute of Malaysia (IBFIM), and an academic advisor to various Islamic Finance programmes offered by universities in Malaysia.

ASH-SHEIKH MUFTI M I M RIZWE

Member, Sharia Supervisory Council

He is the most prominent Mufti of Sri Lanka, the President and Ex-officio of various committees of the All Ceylon Jamiyyathul Ulama (ACJU) which is the supreme body of Islamic theologians in Sri Lanka.

He has extensive experience in the field of Islamic financial transactions and serves in the Sharia Supervisory Board of several Islamic financial institutions and banks.

Further, he is a prominent member of a group of educational and Shari'ah councils and institutions, and a famous preacher in most prominent mosques in Sri Lanka for more than 30 years. He had his early education in Sri Lanka and is a graduate of Jami'athul Uloomil Islamiyya, Karachi where he specialized in Islamic Jurisprudence. He gained MA in Arabic & Islamic Studies which is recognized by the Higher Education Commission of Pakistan.

In order to perform the educational duty while following the curriculum of the righteous predecessors in spreading the Knowledge of Qur'an and Sunnah, Mufti Rizwe occupied himself teaching Shari'ah education in some of the Arabic Colleges of Sri Lanka. Consequently, now he has significant experience in the field of education spanning more than thirty (30) years.

Mufti Mohamed Rizwe has been a frequent traveller and had conducted and attended several programmes in Asian, Middle Eastern, African, European and North American countries in the field of advocacy, Islamic awareness, guidance, participation in international conferences and promoting coexistence.

He has been chosen from among the most influential 500 personalities in the world since 2011 by the Islamic Strategy Study Centre based in Amman, Jordan. The focus of his work, efforts and continuous activities is one: Unity and peaceful coexistence.

He has been working in the field of Islamic finance since a quarter of a century, and his work aims to orient the society towards the right Islamic economy. He is the Chairman of the Shari'ah Supervisory Council of Amana Takaful PLC, member of the Shari'ah Supervisory Council of Bank of Ceylon and Peoples Leasing Finance. He is also a member of Shari'ah Boards of several other Islamic Financial Institutions in Sri Lanka.

As a member of the Shari'ah Committee of Maldives Islamic Bank (MIB) since 2011, he has provided Shari'ah guidance on Islamic Banking products and operations.

Honoured with the title of "Rosa Mira - The Rose of the World" (Peacemaker of The Planet) at an International Islamic conference which was held in Kazan, Russia in September 2023.

Mufti Rizwe participated at the UN Social Forum Conference, Geneva, and delivered a special address on the importance of religious tolerance, dialogue, and cooperation among different faiths and communities in November 2023.

Mufti Rizwe also delivered the Friday sermon at the Mosque within the United Nations premises in Geneva, on the importance of promoting unity, mutual respect, interfaith dialogue and cooperation and emphasised the universal values of Islam, including peace, justice and compassion in the month of November 2023.

He addressed the HRC/Forum on Minority Issues at the 16th UN Minority Forum on the Importance of honouring humanity, establishing peaceful coexistence and the significance of the Madeena Charter towards latter part of 2023.

ASH-SHEIKH MUFTI MUHAMMAD HASSAAN KALEEM

Member, Sharia Supervisory Council

Ash-Sheikh Mufti Muhammad Hassaan Kaleem has a distinguished presence in the realm of Islamic Finance, serving as a member of the Sharia Supervisory Council. With a rich background in Sharia teachings, he has garnered a reputation as a revered Sharia Scholar within the Islamic Finance Industry.

Mufti Hassaan holds pivotal roles on the Sharia Advisory Boards of numerous financial institutions, Islamic Investment Funds and Takaful Companies.

His extensive expertise is fortified by 24 years as a faculty member at Darul-Uloom Karachi, showcasing his deep commitment to Islamic education. Noteworthy positions include Vice Chairman Sharia Board of Dubai Islamic Bank Pakistan Limited, Sharia Board Member of the Islamic Development Bank (IsDB Jeddah) and Chairman Sharia Board of Pak Qatar Takaful. Mufti Hassaan also serves as a Sharia Consultant for Deloitte (Global Islamic Finance Team) and is a Sharia Council Member of Al Ameen UBL Funds.

In addition to his multifaceted roles, Mufti Hassaan contributes to the international landscape, serving as a Sharia Board Member of Hanover Re-Takaful in Bahrain and Takaful Emirate in the UAE. His influence extends to academic realms, being a

INDEPENDENT SHARIA SUPERVISORY COUNCIL

permanent faculty member at the Center for Islamic Economics in Karachi and a Trainer of Sharia Standards at the Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI) in Bahrain. His training roles further include the Institute of Business Administration (IBA-CEIF) and the National Institute of Banking and Finance (NIBAF). Mufti Hassaan's legacy is marked by his tenure as the former Sharia Advisor of Bank Al Baraka and Chairman Sharia Board of SECP.

As a seasoned trainer, he excels in simplifying intricate matters in Islamic Finance, a skill honed through delivering lectures worldwide at conferences and seminars, solidifying his global recognition in the field.

MR. OSMAN KASSIM

Member, Sharia Supervisory Council

Mr. Osman Kassim is a renowned and highly respected entrepreneur in Sri Lanka. He is regarded as the pioneer of Islamic finance in Sri Lanka for having introduced Islamic banking and insurance and counts over 40 years of senior management experience in these fields.

He was the Founder Chairman of Amāna Bank PLC, Sri Lanka's first and only licensed commercial bank to conduct all its operations under the principles of Islamic banking. He has travelled extensively and is fully conversant with Islamic banking practice and methodology in most countries, where Islamic banking is available.

Mr. Osman Kassim was formerly the Chairman of the Expolanka Group. He is also the Chairman of Vidullanka PLC, Al -Hasan Foundation and Rokfam (Pvt)

Ltd. He concurrently holds directorship in Amāna Takaful Life PLC and Amāna Takaful (Maldives) PLC. Mr. Osman Kassim is the Nominee Director appointed to the Board of the Maldives Islamic Bank PLC, representing Amāna Takaful (Maldives) PLC. Mr. Osman Kassim is also the Chairman Emeritus of Aberdeen Holdings (Pvt) Ltd.

Mr. Osman Kassim previously served as a member of the Board of Directors of the Maldives Islamic Bank PLC from 2017 until July 2020.

In recognition of his achievements as a global entrepreneur and visionary educationalist, Mr. Osman Kassim was conferred an Honorary Doctorate by Staffordshire University, United Kingdom.

The LMD Magazine, a leading business magazine in Sri Lanka also recognized Mr. Osman Kassim among the 'A-List of the Captains of Business' at the dawn of this decade, in recognition of his services for the nation's growth.

PROFILES OF STRATEGIC SHAREHOLDERS



➤ ISLAMIC DEVELOPMENT BANK

The Islamic Development Bank (IsDB) is a multilateral development bank, working to improve the lives of those it serves by promoting social and economic development in Muslim countries and communities' worldwide, delivering impact at scale. IsDB provides the infrastructure to enable people to lead better lives and achieve their full potential. It brings together 57 member countries across four continents-touching the lives of 1 in 5 of the

world's population. IsDB is a global leader in Islamic Finance, with an AAA rating, and total assets of more than USD 35 billion and subscribed capital of USD 70 billion. Headquartered in Jeddah, Saudi Arabia, IsDB has 10 Regional Hubs in Abuja, Nigeria; Almaty, Kazakhstan; Ankara, Türkiye; Cairo, Egypt; Dakar, Senegal; Dhaka, Bangladesh; Jakarta, Indonesia; Kampala, Uganda; Paramaribo, Suriname; and Rabat, Morocco with a Centre of Excellence in Kuala Lumpur, Malaysia.

IsDB fosters collaboration between its members nations in a uniquely non-political environment, as it focuses on the betterment of humanity. IsDB helps enable its member countries to grow their economies and societies, so they are ready to embrace the challenges and opportunities of our modern world. IsDB's 5 pillars of activity include (i) building

partnerships between governments, the private sector and civil society through Public Private Partnerships (ii) adding value to the economies and societies of developing countries through increased skills and knowledge sharing (iii) focusing on science, technology and innovation led solutions to the world's greatest development challenges, through boosted connectivity and funding, and a focus on the UN's Sustainable Development Goals (iv) promoting global development that is underpinned by Shariah compliant long term sustainable and ethical financing structures, as global leaders in Islamic Finance (v) fostering collaboration between our members nations in a uniquely non-political environment, as we come together to focus on the betterment of humanity. (<https://www.isdb.org>)



➤ THE ISLAMIC CORPORATION FOR THE DEVELOPMENT OF THE PRIVATE SECTOR

Limited Partner of IB Growth Fund (Labuan) LLP

The Islamic Corporation for the Development of the Private Sector (ICD) is a multilateral organization affiliated with the Islamic Development Bank (IsDB). Its authorized capital stands at USD 4 billion, of which USD 2 billion is open for

subscription. Its shareholders consist of the IsDB, 56 member countries and five public financial institutions. Established during the 24th annual meeting of the IsDB Board of Governors in Jeddah in Rajab 1420H (November 1999), ICD is headquartered in Jeddah.

Since its establishment in November 1999, the Islamic Corporation for the Development of the Private Sector (ICD) has consistently centered its efforts on fostering inclusive and dynamic growth through private sector development. ICD's mission complements the Islamic Development Bank's (IsDB) role by actively developing and promoting the private sector as a catalyst for enhancing economic growth and prosperity. With a vision to become a premier Islamic multilateral financial institution dedicated

to this purpose, ICD stands committed to driving sustainable and thriving economies.

As the private sector arm of the Islamic Development Bank (IsDB) Group, ICD aligns its objectives with the principles of Shari'ah, aiming to: i) identify growth-oriented opportunities and initiatives within the private sector, ii) offer an extensive array of productive financial products and services for private sector development, iii) mobilize supplementary resources for the private sector in member countries, and iv) promote the advancement of Islamic financial and capital markets.

PROFILES OF STRATEGIC SHAREHOLDERS



➔ **AKBAR BROTHERS (PVT) LIMITED**

The Akbar Group, a diversified conglomerate rooted in Sri Lankan trade tradition; is internationally renowned as one of Sri Lanka's foremost exporters of tea, spices and coconut products. Having achieved success as the largest exporter of Ceylon Teas for over two decades, Akbar Brothers sets international standards in providing reliable and honest service to its customers & marked 27

years as Sri Lanka's largest tea exporter, operating with expertise in the tea trade passed down to generations to uphold a legacy of a hundred years. The Group has been the recipient of many top national and international awards over the years including the prestigious Presidential Awards for Sri Lanka Exporter of the Year, Most Globally Outreached Sri Lankan Brand of the Year for outstanding exports to over 90 countries worldwide and Best Exporter in the Tea Industry for the 13th consecutive year.

Akbar Brothers has also successfully diversified into a range of sectors through strategic reinvention and expansion over its 53-year journey.

The Group has a strong presence in several industries, including Exports, Imports, Marketing, Power Generation (Hydro, Wind and Solar), Healthcare, Printing/Packaging, Property Development, Hospitality & Leisure, Strategic Investments, Agriculture, Warehousing, Transportation and Environmental Services.

MANAGEMENT COMMITTEE



MOHAMED AZMEER

Managing Director/CEO



IMTIAZ IQBAL

Chief Operating Officer



M. M. S. QUVYLIDH

Senior Vice President | Chief Risk Officer



AJMAL NALEER

Senior Vice President | Chief Compliance Officer



M. ALI WAHID

Senior Vice President | Chief Financial Officer



SIDDEEQUE AKBAR

Vice President - Retail Banking & Marketing



IRSHAD IQBAL

Vice President - Business Banking



FAZLY MARIKAR

Vice President - Strategy Management



NUMAIR CASSIM

Chief Internal Auditor

MANAGEMENT COMMITTEE



SULANI DAYARATNE
Head of Legal



MOHAMED KIYASUDEEN
Chief Information Officer



HARINDRA OBEYESEKERE
Head of Treasury & Financial Institutions



ASH-SHEIKH NAZHAN NAUROOZ
Head of Sharia Supervision

ASSISTANT VICE PRESIDENTS AND HEADS OF DEPARTMENTS



CHAMINDA DE SILVA

Assistant Vice President - SME Banking



ARSHAD JAMALDEEN

*Assistant Vice President - Deposits & Digital
Innovation*



RAMAKRISHNAN KIRUBAKARAN

*Assistant Vice President – Head of Credit
Risk*



RAJENDRA JAYASINGHE

Assistant Vice President - Corporate Banking



PRIMROSE SHIREEN WATSON, FCG

Company Secretary

SENIOR MANAGERS



AZAM AMEER

Head of Business - Kandy Branch



RIZAH ISMAIL

Head of Remedial Management



ARSHAD ADHNNAN

Head of SME



NIYAZ ABOOBUCKER

Head of Equity Trading



SANJEEVA FONSEKA

Head of Learning & Development



AZAD ZAHEED

Head of OrphanCare



ARKAM AZEEZ

Senior Manager – Internal Audit



RUZAIK JAMEEL

Head of Branch Operations



AZIM RALI

Head of Marketing & Corporate Communications



NIZATH MUSTAPHA

Head of Digital Development & Automation



UDARA KODIPPILI

*Head of Emerging Corporates –
Western Region*



SHEEREEN JAIN

Senior Manager – Talent Acquisition



NISHATH NAWAZ

Head of Business - Pettah Branch



ASLAM SHABDEEN

Senior Manager - Finance



JISTHI MOHAMED

Head of Trade and Large Corporates



A full-page background image featuring a sunset over a body of water. The sun is low on the horizon, creating a warm, golden glow across the sky and water. The sky is filled with soft, white and yellow clouds. In the foreground, a wooden boat is partially visible on the left, and a wooden post stands in the water on the right. The water reflects the warm colors of the sunset. The overall mood is peaceful and hopeful.

Poised for New Horizons, empowering a brighter tomorrow through sustainable banking solutions

CHAIRMAN'S MESSAGE

Dear Shareholders, on behalf of the Board of Directors of Amāna Bank PLC, it is my pleasure to present to you the Annual Report and Financial Statements of the Bank for the year ended 31 December 2023, a year marked by a number of historical milestones including achieving the best ever financial results in the history of Amāna Bank.

OPERATING CONTEXT

During 2023, Sri Lanka's macroeconomic challenges were showing signs of revival with improvement in economic fundamentals supported by broad based fiscal and monetary policy measures. Inflation returned to reasonable levels after declining steadily from a record high in September 2022 to 4.2% by December 2023. Similarly, the LKR, after registering a sharp decline against the USD in 2022, staged a strong comeback to record a 11% appreciation against the USD in 2023. The progressive decline in policy rates was another key development that signalled economic stability.

Nevertheless, economic activity remained sluggish for a good part of the year as lingering pressures from crisis-driven challenges and the global economic slowdown continued to affect many key sectors, including manufacturing, exports and services. It was therefore very encouraging to witness the economic upturn in the latter part of 2023 supported by improvements in the tourism sector and higher inward remittance flows to the Country.

KEY FINANCIAL HIGHLIGHTS

Yet again proving its resilience and ability to power through mounting challenges, Amāna Bank closed the financial year 2023 with outstanding financial results supported by notable improvements across all key metrics. The Bank posted its highest ever Profit Before Tax of LKR 2.3 billion for the

year ending 31 December 2023, denoting a robust 92% improvement from the LKR 1.2 billion reported in the previous financial year. Commendably, Profit After Tax surpassed the LKR 1 billion mark and grew by 76% from LKR 788 million in 2022 to LKR 1.4 billion in 2023, recording the highest in the Bank's history.

Amāna Bank's Balance Sheet further strengthened in 2023 owing to the combined impact of improved financial performance, strong asset growth and a planned capital infusion to increase the Bank's capital base in order to comply with the enhanced Minimum Capital Requirement (MCR) in line with regulatory directions for the local banking industry.

Total Assets of the Bank grew by 13% from LKR 142 billion as at 31 December 2022 to LKR 159 billion by end December 2023.

The planned capital infusion was facilitated through a successful Rights Issue in Q4 2023 which attracted both existing shareholders and new investors, enabling the Bank to achieve its objectives by raising over LKR 6 Billion in capital ahead of the 31 December 2023 deadline. Moreover, the fact that the Issue attracted a mix of local and foreign participation at a time when Sri Lanka's economy hovers in negative territory, I believe serves as an endorsement of the investor confidence in the Amāna Bank brand. This being one of the largest Rights Issue in the recent past, the Bank was honoured to ceremonially ring the bell to commence market trading at the Colombo Stock Exchange.

Backed by its improved capital position, Amāna Bank ended the year with a Common Equity Tier 1 Capital Ratio of 16.5% and a Total Capital Ratio of 19.3%, both comfortably above the minimum regulatory requirement of 7% and 12.5% respectively.

"The planned capital infusion was facilitated through a successful Rights Issue in Q4 2023 which attracted both existing shareholders and new investors, enabling the Bank to achieve its objectives by raising over LKR 6 Billion in capital ahead of the 31 December 2023 deadline."

EMPOWERING STAKEHOLDERS

Amāna Bank's people-friendly and development banking approach involves sharing our success with all stakeholders.

In keeping with this philosophy, the Bank declared its sixth successive annual dividend in 2023. Since commencing its dividend journey in 2018, the Bank has succeeded in delivering incremental value to shareholders despite unprecedented economic downturns. God-willing, it is the Bank's intention to continue this dividend trend.



CHAIRMAN'S MESSAGE

As an initiative to share our success with employees, who are key stakeholders and enablers of our growth journey, Amāna Bank launched its first-ever Employee Share Option Plan (ESOP). The ESOP is aimed at rewarding and recognising committed and passionate employees and is expected to enhance the culture of ownership and accountability which has been the secret ingredient of our success.

In our efforts towards making an impact to society, the Bank sponsored OrphanCare initiative has made strong progress with like-minded corporates joining hands to support this noble cause.

GOVERNANCE AND STEWARDSHIP

As Chairman of the Board, I am pleased to report that Amāna Bank's governance framework continues to be preserved with utmost importance, supporting effective execution of the Bank's strategies and business plans. In 2023, the Board worked purposefully to stay abreast of uncertainties in the wider macroeconomic climate, while regularly considering the impact of these external factors for the purpose of strategic realignment and course correction, in order to maximise shareholder value.

Moreover, the Board worked closely with its Sub committees to disseminate the new Corporate Governance Rules that were issued by the Colombo Stock Exchange in 2023. Responding proactively, the Board initiated appropriate action to ensure new requirements were implemented ahead of the stipulated timelines. I wish to place on record that the Board remains firmly committed to the timely adoption of all other requirements in line with statutory compliance timelines.

OUTLOOK AND PROSPECTS

Given all that Sri Lanka has been through over the past five years, I am optimistic that the Country is on course towards economic

recovery. The beginning of this journey has been encouraging with the IMF led economic reforms showcasing positive signs in relation to several economic indicators, and the expectation is that this trend will continue for the betterment of the Country.

Amāna Bank will approach the future from a position of strength. Our resilient balance sheet, augmented by strong financials and a fresh capital infusion places us on a stable launch pad, poised for new horizons, allowing us to invest in our core business to seize potential opportunities - be it through organic growth or other viable alternatives.

A key challenge on further accelerating our growth has been the absence of a non interest based investment instrument such as a 'Sukuk'. In this regard, we have made representations to the authorities of highest relevance to bring in the required legislative changes to enable the issuance of sovereign Sukuks in Sri Lanka. Such instruments will no doubt be an invaluable source of attracting hitherto untapped foreign investment funds into the country. While the progress of this endeavour remains ongoing, I remain hopeful of a positive outcome in due course.

Amāna Bank's future roadmap consists of many other ambitious plans which we expect would propel the Bank towards more vibrant horizons in the years to come.

APPRECIATIONS

I would like to express my deep and sincere gratitude to the Board of Directors of Amāna Bank for their dedicated engagement and oversight. A special word of appreciation to Mr. Aaron Russell-Davison, Non-Executive Independent Director, for his outstanding contribution as he resigned from the Board in January 2024. I also wish to thank the Sharia Supervisory Council for the support and insightful guidance extended to the Bank over the years. A special word of

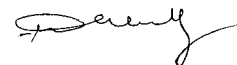
thanks to the Governor and officials of the Central Bank of Sri Lanka, for their support and guidance at all times. We also wish to place and record our sincere appreciation to officials of the Colombo Stock Exchange for their support during our Rights Issue.

My sincere gratitude to the Board of Trustees of OrphanCare for their dedicated service to this endeavour.

I wish to take this opportunity to thank Mr. Mohamed Azmeer - Amāna Bank's Managing Director/CEO, the Management Committee and the entire team for their tireless efforts that have enabled Amāna Bank to scale new heights with each successive year.

Likewise, I would like to thank our customers and business partners, who have supported us by embracing our unique banking proposition.

On that note, the Board joins me in expressing its profound gratitude to Amāna Bank's valued local and foreign shareholders including the new shareholders for their support towards raising over LKR 6 Billion through the Rights Issue. Your trust and confidence, especially in the context of challenging economic circumstances, have been a source of inspiration as the Bank is poised for new horizons in the future.



Asgi Akbarally
Chairman

17 February 2024
Colombo

සහාපතිතුමන්ගේ පරිච්ඡේදය

හිතවත් කොටස් හිමියනි, අමානා බැංකුවේ අධ්‍යක්ෂ මණ්ඩලය වෙනුවෙන්, 2023 දෙසැම්බර් 31 දිනයෙන් අවසන් වූ වර්ෂය සඳහා වන වාර්ෂික වාර්තාව සහ මූල්‍ය ප්‍රකාශනයන් මෙලෙස ඔබ වෙත ඉදිරිපත් කරන්නේ ඉමහත් සතුටිනි. ඓතිහාසික වශයෙන් සන්ධිස්ථාන රාශියක් සනිටුහන් කළ වර්ෂයක් වූ මෙම වර්ෂයේ අමානා බැංකුව විසින් තම ඉතිහාසය තුළ වාර්තා කළ විශිෂ්ටතම මූල්‍ය ප්‍රතිඵල වාර්තා කරන ලදී.

මෙහෙයුම් සන්දර්භය

2023 වර්ෂයේදී, ශ්‍රී ලංකාවේ ආර්ථික අභියෝග යහපත් අතට හැරෙන බව හැඟවෙන ලකුණු අපට දැකගත හැකි විය. කාලීනව ගැනුණු මූල්‍ය හා විනිමය ප්‍රතිපත්තිමය තීරණ සමගින් ආර්ථිකයේ යම් කිසි සමබරතාවයක් දක්නට ලැබිණි. 2022 වර්ෂයේ සැප්තැම්බර් මාසයේදී වාර්තාගත මට්ටමක පැවති උද්ධමනය ක්‍රමානුකූලව පහළ ගොස් පිළිගත හැකි මට්ටමකට පැමිණි අතර, 2023 දෙසැම්බර් මාසයේදී එය 4.2% ක් ලෙස වාර්තා විය. එමෙන්ම 2022 වර්ෂයේදී ඇමරිකානු එක්සත් ජනපද ඩොලරයට සාපේක්ෂව කිසුණු ලෙස අවප්‍රමාණය වූ ශ්‍රී ලංකා රුපියල නැවත ශක්තිමත් වෙමින්, 2023 වසරේදී ඇමරිකානු එක්සත් ජනපද ඩොලරයට සාපේක්ෂව 11% කින් අධිප්‍රමාණය විය. ප්‍රතිපත්තිමය පොලී අනුපාත ක්‍රමානුකූලව පහත හෙළනු ලැබීමද ආර්ථිකයේ ස්ථාවරත්වය හඟවන තවත් ප්‍රධාන සාධකයක් විය.

කෙසේ නමුත්, ශ්‍රී ලංකාවේ ආර්ථික අර්බුදයේ අභියෝග මගින් ඇතිකරන ලද බලපෑම් සහ ලෝක ආර්ථිකය මන්දගාමී වීම හේතුවෙන් නිෂ්පාදන, අපනයන සහ සේවා ඇතුළු ප්‍රධාන ක්ෂේත්‍ර රාශියකට බලපෑම් එල්ල වීම නිසා, වසරේ වැඩි කාලයක් පුරාවට ආර්ථික ක්‍රියාකාරකම් මන්දගාමීව පැවතිණි. නමුත්, සංචාරක ක්ෂේත්‍රයේ වර්ධනය හා රටට ලැබෙන අභ්‍යන්තර ප්‍රේෂණ ප්‍රමාණය ඉහළ යාම වැනි සාධක තුළින් 2023 වර්ෂයේ අවසාන භාගයේදී ආර්ථිකය වඩාත් යහපත් අතට හැරෙනු දැකගැනීමට ලැබීම අප බෙහෙවින් දිරිගන්වන සුදුසු ය.

ප්‍රධාන මූල්‍ය සාධක

අභියෝගවලට සාර්ථක ලෙස මුහුණ දෙමින් ශක්තිමත්ව ඉදිරියට යාමට ඇති හැකියාව නැවත වරක් සනාථ කරමින්, සියලු ප්‍රධාන මිනුම් දඩු ඔස්සේ විශිෂ්ට මූල්‍ය ප්‍රතිඵල වාර්තා කරමින් 2023

මූල්‍ය වර්ෂය අවසන් කිරීමට අමානා බැංකුවට හැකි විය. 2023 දෙසැම්බර් 31 දිනයෙන් අවසන් වූ මූල්‍ය වර්ෂය තුළ, එතෙක් වසරක් තුළ අමානා බැංකුව වාර්තා කරන ලද ඉහළම බදු-පෙර ලාභය වශයෙන් රු. බිලියන 2.3 ක බදු-පෙර ලාභයක් වාර්තා කිරීමට අප සමත් වූ අතර, එය පෙර වර්ෂයේ වාර්තා වූ රු. බිලියන 1.2 ක බදු-පෙර ලාභයට සාපේක්ෂව 92% ක වර්ධනයකි. බදු-පසු ලාභයද රු. බිලියනයේ සීමාව පසු කරමින්, 2022 වර්ෂයේදී වාර්තා වූ රු. මිලියන 788 කට සාපේක්ෂව 2023 වසරේදී රු. බිලියන 1.4ක් දක්වා 76% කින් වර්ධනය වූ අතර, එයද අමානා බැංකුවේ ඉතිහාසයේ ඉහළම බදු-පසු ලාභයයි.

මූල්‍ය ක්‍රියාකාරීත්වය වැඩිදියුණු වීම සහ වත්කම්වල සිදු වූ සාමාන්‍ය වර්ධනයට අමතරව, අවම ප්‍රාග්ධන අවශ්‍යතා මට්ටම (MCR) සපුරාගැනීම සඳහා සිදු කළ ප්‍රාග්ධන වර්ධන ක්‍රියාවලිය හේතුවෙන්, 2023 වර්ෂයේදී අමානා බැංකුවේ ශේෂපත්‍රය තවදුරටත් ශක්තිමත් විය. ඒ අනුව, 2022 දෙසැම්බර් 31 දින වනවිට රු. බිලියන 142 ක් වූ අමානා බැංකුවේ සමස්ත වත්කම් වටිනාකම 2023 දෙසැම්බර් මාසය වනවිට 13% කින් වර්ධනය වී රු. බිලියන 159 ක් ලෙස වාර්තා විය.

ඉහත සඳහන් ප්‍රාග්ධන අවශ්‍යතාව සපුරාගැනීම සඳහා 2023 වර්ෂයේ සිට වන කාර්තුචේදී හිමිකම් නිකුත්වත් සිදුකළ අතර, එය බැංකුවේ වත්මන් කොටස් හිමියන් මෙන්ම නව ආයෝජකයන්ගේ අවධානයට ලක් විය. මෙමගින් 2023 දෙසැම්බර් 31 දිනයට පෙර රු. බිලියන 6 කට අධික ප්‍රාග්ධනයක් රැස්කර ගනිමින් බැංකුවට තම ප්‍රාග්ධන අරමුණු සාක්ෂාත් කරගැනීමට හැකි විය. විශේෂයෙන්ම ශ්‍රී ලංකාවේ ආර්ථිකය තවදුරටත් සංඝාත්මක තත්ත්වයක පවතින පසුබිමක් තුළ මෙම හිමිකම් නිකුත්වීම දේශීය මෙන්ම විදේශීය ආයෝජකයන් වෙතින් විශාල උනන්දුවක් පළවීම, අමානා බැංකු සන්නාමය කෙරෙහි ආයෝජකයන් තුළ වූ විශ්වාසය තහවුරු කරන පැහැදිලි සාධකයක් බව මම විශ්වාස කරමි. මෙය මෑතකාලීනව සිදුකෙරුණු දැවැන්තම හිමිකම් නිකුත්වත් වූ අතර, එම සාර්ථකත්වය සනිටුහන් කරමින් කොළඹ කොටස් වෙළඳපොළේ ගනුදෙනු කටයුතු ආරම්භ කිරීම සඳහා වාරිත්‍රානුකූලව සිතුව නාදකිරීමේ ගෞරවයද අමානා බැංකුව වෙත හිමි විය.

මේ ආකාරයට ප්‍රාග්ධන පදනම තවදුරටත් ශක්තිමත් කරගනිමින් අවම නියාමන මට්ටම් වූ 7% සහ 12.5% පසුකරමින්, 16.5% ක පළමු පෙළ සාමාන්‍ය කොටස් ප්‍රාග්ධන අනුපාතයක් සහ 19.3% ක සමස්ත ප්‍රාග්ධන අනුපාතයක් සහිතව වර්ෂය අවසන් කිරීමට අමානා බැංකුවට හැකියාව ලැබිණි.

පාර්ශ්වකරුවන් සතු ප්‍රතිලාභ

අමානා බැංකුවේ මානුෂ හිතවාදී සහ සංවර්ධන බැංකුකරණ ප්‍රවේශයන් වලට අනුව අප අත්කරගත් සාර්ථකත්වය අපගේ සියලු පාර්ශ්වකරුවන් සමග බෙදාගැනීම අනිවාර්ය අංගයකි.

මෙම දර්ශනය අනුව, 2023 වසරේදී අඛණ්ඩව 6 වන වරටත් අමානා බැංකුව විසින් ලාභාංශ ගෙවීමක් ප්‍රකාශයට පත්කරන ලදී. 2018 වර්ෂයේදී ලාභාංශ ප්‍රකාශයට පත්කිරීම ආරම්භ කළ අමානා බැංකුව, අනපේක්ෂිත ආර්ථික අර්බුද හමුවේ පවා අඛණ්ඩව තම කොටස් හිමියන් වෙත වර්ධන වටිනාකම් ලබාදීමට සමත් වී ඇත. මෙම ලාභාංශ ගෙවීමේ ප්‍රවණතාව තවදුරටත් අඛණ්ඩව ඉදිරියට රැගෙන යාම අමානා බැංකුවේ අපේක්ෂාවයි.

වර්ධනය කරා අප යන ගමන් මග තුළ ප්‍රධාන පාර්ශ්වකරුවන් ලෙස නිරන්තරයෙන් අප දිරිගන්වන අපගේ සේවක සේවිකාවන් සමගද අපගේ සාර්ථකත්වය බෙදාහදා ගැනීමේ මූලධර්මය ලෙස ප්‍රථම වරට සේවක සේවිකාවන්ට බැංකුවේ කොටස් මිලදීගැනීමේ අවස්ථාව සලසා දීමේ සැලසුමක් (Employee Share Option Plan - ESOP) හඳුන්වා දෙන ලදී. මෙය බැංකුවේ සාර්ථකත්වය වෙනුවෙන් කැපවුණු සාමාජික සාමාජිකාවන් වෙත කළ ඇගයීමක් වන අතර, එය මෙතෙක් කල් අපගේ සාර්ථකත්වයට පිටුබලය සැපයූ ගුණාංගයන් වන හිමිකාරීත්ව හැඟීම සහ වගවීම තවදුරටත් ශක්තිමත් කරනු ඇතැයි අපි අපේක්ෂා කරන්නෙමු.

එමෙන්ම සමාජය වෙනුවෙන් අමානා බැංකුව ඉටුකරන මෙහෙවර යටතේ එහි අනුග්‍රහය ලබන OrphanCare වැඩසටහන මේ වනවිට කැපීපෙනෙන ප්‍රගතියක් අත්කරගෙන ඇති අතර, ඒ හා සමාන ආකල්ප සහිත සමාගම් කිහිපයක් මේ වනවිටත් මෙම උතුම් මෙහෙවරට සහයෝගය දැක්වීම සඳහා ඉදිරිපත් වීම අපගේ ඉමහත් සතුටට පාත්‍ර වන්නකි.

සභාපතිතුමන්ගේ පණිවිඩය

පාලනය සහ භාරකාරත්වය

බැංකුවේ උපායමාර්ගික හා ව්‍යාපාරික සැලසුම් ඵලදායී ලෙස ක්‍රියාවට නැංවීමට සහය වෙමින්, බැංකුවේ ආයතනික පාලන රාමුවට ඉහළ වැදගත්කමක් ලබාදෙමින් එය ආරක්ෂා කිරීමට ගත යුතු සියලු පියවර ගෙන ඇති බව, අධ්‍යක්ෂ මණ්ඩලයේ සභාපතිවරයා වශයෙන් මම ඔබට සතුටින් දන්වා සිටිමි. 2023 වසරේදී, ආර්ථික පරිසරය තුළ ඇති වූ අවිනිශ්චිතතාවන්ට සාර්ථක ලෙස මුහුණ දීම සඳහා අධ්‍යක්ෂ මණ්ඩලය අධීක්ෂානායෙන් යුතුව කටයුතු කළ අතර, කොටස් හිමියන්ට උපරිම වටිනාකම් නිළිණ කිරීම සඳහා ක්‍රමෝපායික හා දිශානතිමය වෙනස්කම් සිදුකිරීමේ අරමුණින් මෙම බාහිර සාධකවල බලපෑම් සම්පව විශ්ලේෂණය කරන ලදී.

තවද, 2023 වර්ෂයේදී කොළඹ කොටස් වෙළෙඳපොළ විසින් නිකුත් කරන ලද නව ආයතනික පාලන රීති ක්‍රියාවට නැංවීම සඳහා මණ්ඩලය එහි අනු කමිටු සමග සම්පව කටයුතු කළේ ය. මේ සඳහා සක්‍රීයව ප්‍රතිචාර දක්වමින්, නියමිත කාලසීමාව තුළ අදාළ අවශ්‍යතාවන් සපුරාලීමට හැකි වන ආකාරයට අධ්‍යක්ෂ මණ්ඩලය විසින් නිසි පියවර ගන්නා ලදී. ව්‍යවස්ථාපිත අනුකූලතා කාලසීමාවන්ට අදාළ අනෙකුත් සියලුම අවශ්‍යතාවන් නිසි පරිදි සපුරාලීම සඳහා අධ්‍යක්ෂ මණ්ඩලය දැඩි කැපවීමෙන් යුතුව කටයුතු කරමින් සිටින බවද මෙහිදී මම අවධාරණය කරමි.

ඉදිරි දැක්ම සහ අපේක්ෂාවන්

පසුගිය වසර 5 ක කාලය තුළ රටට මුහුණ දීමට සිදු වූ තත්ත්වයන් සියල්ල සලකා බලන විට, මේ වන විට ශ්‍රී ලංකාව යළි යහපත් ආර්ථික තත්ත්වයකට ළඟා වීමේ මාර්ගයට පිවිස ඇති බව මම සුභවාදී ලෙස විශ්වාස කරමි. මෙම ගමනෙහි ආරම්භය අප දිරිගන්වන සුලු මට්ටමක පවතින අතර, ජාත්‍යන්තර මූල්‍ය අරමුදලේ මූලිකත්වයෙන් ක්‍රියාත්මක වූ ප්‍රතිසංස්කරණ හේතුවෙන් ආර්ථික දර්ශක කිහිපයක සාධනීය ලක්ෂණ නිරීක්ෂණය වී තිබේ. රටේ යහපත වෙනුවෙන් මෙම ප්‍රවණතාවන් අඛණ්ඩව පවතිනු ඇතැයි අපි විශ්වාස කරන්නෙමු.

අප මෙතෙක් අත් කරගත් වර්ධනය සහ ශක්තිය පදනම් කරගනිමින් අනාගතය වෙත අභියෝගාත්මක ප්‍රවේශයක් ලබාගැනීමට අමාත්‍ය

බැංකුවේ බලාපොරොත්තුවයි. අවදානම් වලට ඔරොත්තු දීමේ හැකියාව සහිත අපගේ ශේෂපත්‍රය, ශක්තිමත් මූල්‍ය ප්‍රතිඵල සහ මෑතකදී ලැබුණු නව ප්‍රාග්ධන සැපයුම නිසා, අනාගත අරමුණු හඹා යාම සඳහා ශක්තිමත් අත්තිවාරමක් අප වෙත ලැබී ඇත. මේ හේතුවෙන් අපගේ ප්‍රධාන ව්‍යාපාර කටයුතුවලට අවශ්‍ය ආයෝජනයන්ට ඉඩ සලසමින්, ඓන්ද්‍රිය වර්ධනයක් හා වෙනත් උපායශීලී විකල්පයන් හරහා නව අවස්ථා ග්‍රහණය කරගනිමින් වේගවත් වර්ධනයක් හා දියුණුවක් අත් කර ගැනීමට අපට හැකි වනු ඇත.

අපගේ වර්ධනය තවදුරටත් වේගවත් කරගැනීම සම්බන්ධයෙන් පවතින ප්‍රධානතම බාධාවක් වන්නේ, “සුකුක්” (Sukuk) වැනි පොලිය පදනම් කර නොගත් ආයෝජන ක්‍රම මෙරට තුළ ක්‍රියාත්මක නොවීම ය. මෙයට පිළියමක් වශයෙන්, ශ්‍රී ලංකාව තුළ ස්වෛරී සුකුක් නිකුත් කිරීම සඳහා අවශ්‍ය වන ව්‍යවස්ථාමය වෙනස්කම් සිදුකිරීමට පියවර ගන්නා මෙන් අප ඉහළම තලයේ බලධාරීන්ගෙන් ඉල්ලා තිබේ. මෙවැනි ආයෝජන ක්‍රම තුළින් ග්‍රහණය කළ හැකි විදේශ ආයෝජන අරමුදල් මෙරටට ආකර්ෂණය කරගැනීම අපගේ අභිලාෂයයි. මේ සම්බන්ධයෙන් අප දරන ප්‍රයත්නයන් දැනට ක්‍රියාත්මක වෙමින් පවතින අතර, ඉදිරියේදී අපට මේ සම්බන්ධයෙන් යහපත් ප්‍රතිඵල ළඟා කරගැනීමට හැකිවනු ඇතැයි මම විශ්වාස කරමි.

අමාත්‍ය බැංකුවේ ඉදිරි වැඩපිළිවෙල අපගේ සාර්ථකත්වය තවදුරටත් වේගවත් කරන නව උපායමාර්ග රාශියකින් සමන්විත වේ.

ප්‍රණාමය

අපගේ සාර්ථකත්වය උදෙසා ඉමහත් කැපවීමෙන් යුතුව ලබාදුන් දායකත්වය හා මගපෙන්වීම වෙනුවෙන් අපගේ අධ්‍යක්ෂ මණ්ඩලයට මාගේ හදපිරි ස්තූතිය පළකර සිටිමි. මෙහිදී 2024 ජනවාරි මාසයේදී අධ්‍යක්ෂ මණ්ඩලයෙන් ඉවත් වීමට නියමිත ඒරන් රසල්-ඩේවිසන් මහතාට මාගේ විශේෂ ස්තූතිය හිමි වේ. එමෙන්ම දීර්ඝ කාලයක පටන් අමාත්‍ය බැංකුව වෙත ලබාදෙන සහයෝගය හා මගපෙන්වීම වෙනුවෙන්, ශරීයා අධීක්ෂණ කවුන්සිලයට මාගේ ස්තූතිය පිරිනමමි. තවද, සෑම විටම අප වෙත ලබාදෙන සහය හා මගපෙන්වීම වෙනුවෙන්, ශ්‍රී ලංකා මහ බැංකුවේ අධිපතිතුමන්ට සහ අනෙකුත් නිලධාරීන්ට අපගේ

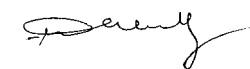
ස්තූතිය පුද කරමි. එමෙන්ම, හිමිකම් නිකුතුව සිදුකළ අවස්ථාවේදී අප වෙත ලබාදුන් සහයෝගය වෙනුවෙන්, කොළඹ කොටස් වෙළෙඳපොළේ නිලධාරීන්ට අපගේ කෘතඥතාව මෙසේ පිරිනමමු.

තවද, OrphanCare ව්‍යාපෘතිය සාර්ථක කරගැනීම සඳහා එහි භාරකාර මණ්ඩලය ලබාදෙන දායකත්වය වෙනුවෙන් මගේ ස්තූතිය ඔවුන් වෙත හිමි වේ.

එමෙන්ම, අමාත්‍ය බැංකුව නව තලයකට රැගෙන යාම සඳහා නොපසුබස්නා උත්සාහයෙන් යුතුව ඉටුකරන්නා වූ මෙහෙවර වෙනුවෙන්, අමාත්‍ය බැංකුවේ කළමනාකාර අධ්‍යක්ෂ/ප්‍රධාන විධායක නිලධාරී මොහොමඩ් අස්මීර් මහතා සහ කළමනාකරණ කමිටුවේ සාමාජිකයන් වෙත මගේ ස්තූතිය පළකිරීමට මෙය අවස්ථාවක් කරගැනීමට කැමැත්තෙමි.

විශේෂයෙන්ම, අපගේ සුවිශේෂී බැංකුකරණ ක්‍රමවේදය සමග අත්වැල් බැඳගනිමින් අප වෙත නොමඳ සහයෝගය ලබාදුන් අපගේ ගනුදෙනුකරුවන්ටත්, ව්‍යාපාරික හවුල්කරුවන්ටත් මගේ ස්තූතිය මෙසේ පුදකරමි.

අවසන් වශයෙන්, අපගේ හිමිකම් නිකුතුව හරහා රු. බිලියන 6 ක ප්‍රාග්ධනයක් රැස්කර ගැනීම සඳහා සහය ලබාදුන් අපගේ වටිනා දේශීය හා විදේශීය කොටස් හිමිකරුවන්ට, මාගේ අපගේ අධ්‍යක්ෂ මණ්ඩලයේත් නොමඳ ස්තූතිය මෙසේ පිරිනමන්නෙමු. විශේෂයෙන්ම අභියෝගකාරී ආර්ථික තත්ත්වයන් හමුවේ පවා ඔබ අප කෙරෙහි රැඳුණු නොමඳ විශ්වාසය, අනාගතයේදී නව අවකාශයන් ඔස්සේ සාර්ථකත්වය හඹා යාම සඳහා අප දිරිගන්වන සාධකයක් වනු නිසැක ය.



අස්ඟි අක්බරලි
සභාපති

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කොළඹ

தலைவரின் செய்தி

கனம் பங்குதாரர்களே, 2023 டிசம்பர் 31ஆம் திகதியுடன் நிறைவடைந்த நிதியாண்டுக்கான அமானா வங்கியின் நிதி அறிக்கை மற்றும் நிதிசார் கூற்றுகளை வங்கியின் பணிப்பாளர் சபை சார்பாக உங்களுக்கு சமர்ப்பிப்பதில் மகிழ்ச்சியடைகின்றேன். அமானா வங்கியின் வரலாற்றில் இதுவரை காலமும் பதிவாகியிருந்த மிகச் சிறந்த நிதிப் பெறுபேறுகள் அடங்கலாக பல முக்கியத்துவம் வாய்ந்த மைல்கல் சாதனைகளை வங்கி கடந்த ஆண்டில் பதிவு செய்திருந்தது.

தொழிற்பாட்டு சூழல்

2023 ஆம் ஆண்டில், பரந்தளவு நிதிசார் மற்றும் நாணயக் கொள்கை ஏற்பாடுகளின் பங்களிப்புடன் பொருளாதார அடிப்படைகளில் முன்னேற்றத்துடன், இலங்கையின் பெரும் பொருளாதார சவால்கள் மீட்சியை வெளிப்படுத்தியிருந்தன. நாட்டின் பணவீக்கம் சாதாரண நிலைக்கு திரும்பியிருந்ததுடன், 2022 செப்டெம்பர் மாதத்தில் பதிவாகியிருந்த சாதனை மிகுந்த பெறுமதியிலிருந்து, 2023 ஆம் ஆண்டின் டிசம்பர் மாதத்தில் 4.2% எனும் பெறுமதிக்கு வீழ்ச்சியடைந்திருந்தது. அதுபோன்று 2022 ஆம் ஆண்டில் அமெரிக்க டொலருக்கு நிகரான இலங்கை ரூபாயின் பெறுமதி பெருமளவு மதிப்பிறக்கத்தை பதிவு செய்திருந்த நிலையில், 2023 ஆம் ஆண்டில் 11% மதிப்புயர்வை பதிவு செய்திருந்தது. வங்கி வீதங்களில் தொடர்ச்சியான வீழ்ச்சி பொருளாதார உறுதித் தன்மையில் முக்கியத்துவம் வாய்ந்த சமிக்ஞையை காண்பித்திருந்தது.

எவ்வாறாயினும், ஆண்டின் பெருமளவு பகுதிக்கு பொருளாதார செயற்பாடு மந்தமானதாக அமைந்திருந்தது. நெருக்கடியினால் எழுந்த சவால்கள் மற்றும் சர்வதேச பொருளாதார மந்தகதி போன்றவற்றால் எழுந்த அழுத்தங்களால் பல பிரதான துறைகள் பாதிக்கப்பட்டிருந்தன. உற்பத்தி, ஏற்றுமதி மற்றும் சேவைகள் போன்றன அவ்வாறு அதிகம் பாதிக்கப்பட்ட சில துறைகளாகும். எனவே, 2023 ஆம் ஆண்டின் பிற்பகுதியில் பொருளாதார மீட்சியை அவதானிக்க முடிந்தமை உண்மையில் ஊக்கமளிப்பதாக அமைந்திருந்தது. இந்த மீட்சியில் கூற்றுவாத் துறையின் மேம்பாடு மற்றும் வெளிநாடுகளிலிருந்து பண அனுப்புகைகள்

அதிகரித்திருந்தமை போன்றன பங்களிப்பு வழங்கியிருந்தன.

பிரதான நிதிசார் சாராம்சங்கள்

பெருமளவான சவால்களுக்கு மத்தியிலும் தனது மீண்டெழுந்திறன் மற்றும் அவற்றை எதிர்கொள்ளும் திறன் ஆகியவற்றை மீண்டும் உறுதி செய்து அமானா வங்கி 2023 நிதியாண்டை சிறந்த நிதிப் பெறுபேறுகளுடன் நிறைவு செய்திருந்தது. இதில் சகல பிரிவுகளிலும் கவனிக்கத்தக்க முன்னேற்றங்கள் பதிவாகியிருந்தன. 2023 டிசம்பர் 31ஆம் திகதியுடன் நிறைவடைந்த நிதியாண்டில், வங்கி இதுவரையில் பதிவாகியிருந்த உயர் வரிக்கு முந்திய இலாபப் பெறுமதியான ரூ. 2.3 பில்லியனை பதிவு செய்திருந்தது. முன்னைய ஆண்டில் பதிவாகியிருந்த ரூ. 1.2 பில்லியன் உடன் ஒப்பிடுகையில் இது 92% அதிகரிப்பாகும். அதுபோன்று, வரிக்கு பிந்திய இலாபம் ஒரு பில்லியன் ரூபாவை கடந்திருந்ததுடன், 2022 ஆம் ஆண்டில் பதிவாகியிருந்த ரூ. 788 மில்லியன் உடன் ஒப்பிடுகையில் 2023 ஆம் ஆண்டில் ரூ. 1.4 பில்லியன் ஆக 76% உயர்ந்திருந்தது. வங்கியின் வரலாற்றில் பதிவாகியிருந்த அதியுயர் பெறுமதி இதுவாகும்.

அமானா வங்கியின் ஐந்தொகை 2023 ஆம் ஆண்டில் மேலும் வலுப்பெற்றிருந்தது. உள்ளூர் வங்கித் துறைக்கு விதிக்கப்பட்டிருந்த ஆகக்குறைந்த மூலதன தேவைப்பாடு (MCR) விதிமுறையின் பிரகாரம், வங்கியின் மூலதன இருப்புக்கு மேற்கொள்ளப்பட்ட திட்டமிடப்பட்ட மூலதன உள்ளீடு மற்றும் மேம்படுத்தப்பட்ட நிதிசார் வினைத்திறன், சொத்துகளின் உறுதியான வளர்ச்சி போன்றவற்றின் இணைந்த பங்களிப்பினால் இந்த வலுவான நிலை ஏற்பட்டிருந்தது.

வங்கியின் மொத்த சொத்துக்களின் பெறுமதி 2023 டிசம்பர் 31ஆம் திகதியன்று ரூ. 159 பில்லியன் ஆக காணப்பட்டது. இது 2022 டிசம்பர் 31ஆம் திகதி காணப்பட்ட ரூ. 142 பில்லியன் உடன் ஒப்பிடுகையில் 13% வளர்ச்சியாகும்.

2023 ஆம் ஆண்டின் நான்காம் காலாண்டில் வெற்றிகரமாக முன்னெடுக்கப்பட்ட உரிமைப் பங்கு வழங்கலினூடாக திட்டமிடப்பட்ட மூலதன உள்ளீட்டை வங்கி பூர்த்தி செய்திருந்தது. இந்தப் பங்கு வழங்கலில் ஏற்கனவே காணப்பட்ட பங்குதாரர்களுடன், புதிய முதலீட்டாளர்களும் இணைந்து கொண்டனர். அதனூடாக காலக்கெடு விதிக்கப்பட்டிருந்த 2023 டிசம்பர் 31ஆம் திகதிக்கு முன்னதாகவே, வங்கியின் மூலதனத்தை ரூ. 6 பில்லியனுக்கு அதிகமான தொகையினால் உயர்த்திக் கொள்ள முடிந்தது. மேலும், இலங்கையின் பொருளாதாரம் எதிர்மறையான சூழலில் காணப்பட்ட சூழ்நிலையில், இந்த பங்கு வழங்கலில் உள்நாட்டு மற்றும் சர்வதேச முதலீட்டாளர்களை கவர்ந்திருந்தமை குறிப்பிடத்தக்கது. அதனூடாக, அமானா வங்கி வர்த்தக நாமத்தில் முதலீட்டாளர்கள் கொண்டுள்ள நம்பிக்கைக்கான எடுத்துக்காட்டாக இது அமைந்துள்ளது என நான் நம்புகின்றேன். அண்மைக் காலங்களில் முன்னெடுக்கப்பட்டிருந்த மாபெரும் உரிமைப் பங்கு வழங்கல் செயற்பாடாக இது அமைந்திருந்ததுடன், கொடும்பு பங்குப் பரிவர்த்தனையில் சந்தை வியாபார செயற்பாடுகளை ஆரம்பிப்பதற்கு முன்னதாக சம்பிரதாயபூர்வமாக எழுப்பப்படும் மணி ஒலிப்பு மேற்கொள்ளப்பட்டு வங்கி கௌரவிக்கப்பட்டிருந்தது.

அமானா வங்கியின் மேம்படுத்தப்பட்ட மூலதன நிலையின் பின்னணியில், பொதுப் பங்கு நிலை 1 மூலதன விகிதமான 16.5% மற்றும் மொத்த மூலதன விகிதமான 19.3% ஐயும் பதிவு செய்திருந்தது. இவை ஆகக்குறைந்த ஒழுங்குபடுத்தல் தேவைப்படாத முறையே 7% மற்றும் 12.5% ஆகியவற்றை விட உயர்வாக அமைந்திருந்தமை குறிப்பிடத்தக்கது.

பங்களாளர்களுக்கு வலுவூட்டல்

அமானா வங்கியின் மக்களுக்கு நட்பான மற்றும் அபிவிருத்தி வங்கியியல் வழிமுறையானது, எமது வெற்றியை சகல பங்களாளர்களுடனும் பகிர்ந்து கொள்வதை உள்வாங்கியுள்ளது.

இந்த கொள்கையின் அடிப்படையில், 2023 ஆம் ஆண்டில் வங்கி தனது ஆறாவது தொடர்ச்சியான பங்கிலாபப் பிரகடனத்தை

தலைவரின் செய்தி

வங்கி வெளியிட்டிருந்தது. 2018 ஆம் ஆண்டில் தனது பங்கிலாபம் வழங்கும் பயணத்தை ஆரம்பித்திருந்தது முதல், பொருளாதார பின்னடைவுகளுக்கு மத்தியிலும் தனது பங்குதாரர்களுக்கு உயர் பெறுமதியை பெற்றுக் கொடுப்பதை வங்கி உறுதி செய்துள்ளது. இறைவனின் நாட்டத்திற்கமைய, இந்த பங்கிலாபப் பயணத்தை தொடர்ந்தும் முன்னெடுத்துச் செல்வது வங்கியின் எதிர்பார்ப்பாக அமைந்துள்ளது.

எமது வெற்றிகரமான செயற்பாட்டை எமது வளர்ச்சிப் பயணத்தில் முக்கிய பங்காற்றும் பிரதான பங்காளர்களான எமது ஊழியர்களுடன் பகிர்ந்து கொள்ளும் வகையில், அமானா வங்கியினால் முதன் முறையாக ஊழியர் பங்கு தெரிவுத் திட்டம் (ESOP) அறிமுகம் செய்யப்பட்டிருந்தது. எமது வெற்றிகரமான செயற்பாட்டின் இரகசியமான உள்ளம்சமாக அமைந்துள்ள உரிமையாண்மை மற்றும் பொறுப்புக்கூரல் கலாசாரத்தை மேம்படுத்துவதாகவும், அர்ப்பணிப்புடன் செயலாற்றும் ஊழியர்களை கௌரவிக்கும் வகையிலும் இந்த ESOP அமைந்திருக்கும்.

சமூகத்தில் தாக்கத்தை ஏற்படுத்தும் எமது முயற்சிகளில், வங்கியின் அனுசரணையில் முன்னெடுக்கப்படும் OrphanCare திட்டம் உறுதியான முன்னேற்றத்தை பதிவு செய்துள்ளதுடன், இந்தத் திட்டத்தை முன்னெடுத்துச் செல்வதற்காக ஒரே சிந்தனை நோக்கைக் கொண்ட மேலும் பல கூட்டாண்மை நிறுவனங்களும் கைகோர்த்திருந்தன.

ஆளுகை மற்றும் வழிநடத்தல்

பணிப்பாளர் சபையின் தவிசாளர் எனும் வகையில், அமானா வங்கியின் ஆளுகை கட்டமைப்பு என்பது தொடர்ந்தும் முக்கியத்துவம் வாய்ந்த வகையில் பேணப்படுவதுடன், வங்கியின் மூலோபாயங்கள் மற்றும் வியாபாரத் திட்டங்களினூடாக வெற்றிகரமாக நிறைவேற்றப்படுவதற்கு ஆதரவளிக்கப்படுகின்றது என்பதை அறிவிப்பதில் நான் மகிழ்ச்சியடைகின்றேன். 2023 ஆம் ஆண்டில், பரந்த பெரும்பொருளாதாரச் சூழலில் நிலவிய உறுதியற்ற நிலைமைகளிலும் பணிப்பாளர் சபை சிறந்த நோக்குடன்

செயலாற்றியிருந்ததுடன், பங்காளர் பெறுமதியை மேம்படுத்துவதற்காக இந்த புறக் காரணிகளின் தாக்கத்தை கவனத்தில் கொண்டு, மூலோபாய மீளமைவு மற்றும் வழிநடத்துகையை முன்னெடுத்திருந்தது.

மேலும், 2023 ஆம் ஆண்டில் கொழும்பு பங்குப் பரிவர்த்தனையினால் வெளியிடப்பட்ட, புதிய கூட்டாண்மை ஆளுகை விதிமுறைகளை பகிர்வதில் உப குழுக்களுடன் பணிப்பாளர் சபை இணைந்து செயலாற்றியிருந்தது. குறிக்கப்பட்ட கால எல்லைகளினுள் புதிய ஒழுங்கு விதிமுறைகள் நடைமுறைப்படுத்தப்படுவதை உறுதி செய்வதற்கு பணிப்பாளர் சபை முறையான நடவடிக்கைகளை மேற்கொண்டிருந்தது. ஒழுங்கு விதிமுறைகளின் பிரகாரம் இதர சகல தேவைப்பாடுகளையும் உரிய காலப் பகுதியில் நிறைவேற்றுவதற்கு பணிப்பாளர் சபை உறுதியாக தன்னை அர்ப்பணித்துள்ளது என்பதையும் நான் குறிப்பிடுகின்றேன்.

புறத்தோற்றம் மற்றும் வாய்ப்புகள்

கடந்த ஐந்து ஆண்டு காலப்பகுதியில் இலங்கை எதிர்கொண்டிருந்த சகல விடயங்களையும் பார்க்குமிடத்தில், பொருளாதார மீட்சியை நோக்கி நாடு பயணிக்கின்றது என்பதில் நான் உறுதியான நம்பிக்கை கொண்டுள்ளேன். இந்தப் பயணத்தின் ஆரம்பத்தில், சர்வதேச நாயை நிதியத்தின் பரிந்துரைகளின் அடிப்படையிலான பொருளாதார மறுசீரமைப்புகள் ஊக்கமளிப்பதாக அமைந்திருப்பதுடன், சில முக்கிய பொருளாதார குறிகாட்டிகளில் நேர்த்தியான சமிக்ஞைகளையும் வெளிப்படுத்தியுள்ளது. நாட்டின் நலனுக்காக இந்த நிலை தொடரும் என்பது எதிர்பார்ப்பாக அமைந்துள்ளது.

வல்லமையான நிலையிலிருந்து அமானா வங்கி எதிர்காலத்தை அணுகும். எமது மீட்சியுடனான ஐந்தொகை என்பது, உறுதியான நிதிப் பெறுபேறுகளை கொண்டிருப்பதுடன், மூலதன உள்ளீட்டின் காரணமாக உறுதியான நிலையில் நாம் காணப்படுகின்றோம். புதிய எல்லைகளை தேடி எம்மால் பயணிக்க இது ஊக்கமளிப்பதாக அமைந்திருக்கும். சேதன வளர்ச்சி அல்லது இதர சாத்தியமான மாற்று வளர்ச்சி வழங்கக்கூடிய வகையில் காணப்படும்

வாய்ப்புகளை கையகப்படுத்துவதற்காக எமது பிரதான வியாபாரத்தில் முதலீடு செய்வதற்கு ஏதுவாக இருக்கும்.

‘சகூக்’ போன்ற வட்டி அல்லாத முதலீட்டு மூலத்தின் இன்மை, எமது வளர்ச்சியை துரிதப்படுத்துவதில் காணப்படும் பிரதான சவாலாக அமைந்துள்ளது. இலங்கையில் இறையாண்மை சகூக்களை வழங்குவது தொடர்பில் அவசியமான சட்டபூர்வ மாற்றங்களை ஏற்படுத்துவதற்காக உயர்மட்ட அதிகாரத்தரப்புகளுடன் நாம் பிரதிநிதித்துவத்தை மேற்கொண்டுள்ளோம். அவ்வாறான மூலங்களினூடாக, நாட்டினுள் இதுவரையில் கிடைக்காத வெளிநாட்டு முதலீட்டு நிதியை கவர்வதற்கு ஏதுவாக இருக்கும் என்பதில் சந்தேகமில்லை. இந்த செயற்பாடு தொடர்ந்தும் முன்னெடுக்கப்படுவதுடன், விரைவில் நேர்த்தியான பெறுபேற்றை எய்தக்கூடியதாக இருக்கும் என நான் நம்புகின்றேன்.

அமானா வங்கியின் எதிர்கால செயற்பாடுகளில் பல தூரநோக்குடைய எதிர்பார்ப்புகள் நிறைந்த திட்டங்கள் அடங்கியுள்ளன. அவற்றினூடாக எதிர்காலத்தில் வங்கியை மேலும் உயர்ந்த நிலைக்கு கொண்டு செல்லக்கூடியதாக இருக்கும்.

நன்றி தெரிவிப்புகள்

அமானா வங்கியின் பணிப்பாளர் சபையின் அர்ப்பணிப்பான ஈடுபாடு மற்றும் மேற்பார்வைக்காக, சபைக்கு நான் எனது மனமார்த நன்றியை தெரிவிக்கின்றேன். குறிப்பாக, 2024 ஜனவரி மாதம் பணிப்பாளர் சபையிலிருந்து வெளியேறும் நிறைவேற்று அதிகாரமற்ற சுயாதீன பணிப்பாளரான திரு. ஆரன் ரஸல்-டேவிசன் அவர்களின் பங்களிப்புகளுக்காக விசேடமான நன்றி தெரிவிக்க விரும்புகின்றேன். தொடர்ச்சியாக வங்கியின் செயற்பாடுகளுக்கு ஆதரவளித்து வழிநடத்தி வரும் ஷரிஆ மேற்பார்வை சம்மேளனத்துக்கு நன்றி தெரிவிக்க விரும்புகின்றேன். எவ்வேளையிலும் தொடர்ந்து ஆதரவளித்து வழிநடத்தும் இலங்கை மத்திய வங்கியின் ஆளுநர் மற்றும் அதிகாரிகளுக்கு விசேடமாக நன்றி தெரிவிக்க விரும்புகின்றேன். உரிமை வழங்கல் காலப்பகுதியில்

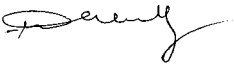
ஆதரவளித்திருந்தமைக்காக கொழும்பு பங்குப் பரிவர்த்தனையின் அதிகாரிகளுக்கும் விசேட நன்றியை தெரிவித்துக் கொள்கின்றேன்.

OrphanCare இன் காப்பாளர் சபைக்கும் அவர்களின் உர்ப்பணிப்பான சேவைக்காக நன்றி தெரிவிக்கின்றேன்.

அமானா வங்கியின் முகாமைத்துவ பணிப்பாளர்/ பிரதம நிறைவேற்று அதிகாரி மொஹமட் அஸ்மீர், முகாமைத்துவ குழு மற்றும் முழு அணியினருக்கும் அவர்களின் அயராது உழைப்பு மற்றும் பங்களிப்புக்காக இந்த சந்தர்ப்பத்தில் நான் நன்றி தெரிவிக்கின்றேன். அவர்களின் பங்களிப்பினூடாக அமானா வங்கியினால் மற்றுமொரு வளர்ச்சியுடனான வெற்றிகரமான வருடத்தை பூர்த்தி செய்ய முடிந்தது.

அதுபோன்று, பிரத்தியேகமான வங்கியியல் கொள்கையை பின்பற்றுவதில் ஆதரவளித்திருந்தமைக்காக, எமது வாடிக்கையாளர்கள் மற்றும் வியாபார பங்காளர்களுக்கும் நன்றி தெரிவிக்க விரும்புகின்றேன்.

உரிமை பங்கு வழங்கலினூடாக ரூ. 6 பில்லியனுக்கு அதிகமான தொகையை திரட்டிக் கொள்வதற்கு பங்களிப்பு வழங்கியிருந்த அமானா வங்கியின் பெறுமதி வாய்ந்த உள்நாட்டு மற்றும் வெளிநாட்டு பங்குதாரர்களுக்கு நானும், பணிப்பாளர் சபையைச் சேர்ந்தவர்களும் நன்றியை தெரிவித்துக் கொள்கின்றோம். சவால்கள் நிறைந்த பொருளாதார சூழலில், உங்கள் நம்பிக்கையானது வங்கிக்கு ஊக்கமளிப்பதாக அமைந்திருப்பதுடன், எதிர்காலத்தில் மேலும் புதிய வளர்ச்சியை நோக்கி பயணிப்பதற்கு வங்கிக்கு ஆதரவளிப்பதாக இருக்கும்.



அஸ்கி அக்பரலி

தலைவர்

17 பெப்ரவரி 2024

கொழும்பு

MANAGING DIRECTOR/CEO'S REVIEW

2023 was a historic year for Amāna Bank, characterized by exceptional performance and remarkable achievements while strengthening the Bank's foundation for growth with fresh capital infusion that underscored the Bank's resilience and stakeholder confidence amidst a challenging economic environment.

Following an economic contraction in the first half of the year, it was very comforting to see the tide taking a positive turn in the second half aided by the corrective measures taken by the government as well as the IMF structural reform programme. With corrections to market rates, greater stability in exchange rates and gradual reduction of inflationary pressures creating a more conducive environment for economic recovery, a visible uptick in credit demand was observed since Q3.

Amāna Bank was quick to capitalise on the improving macroeconomic conditions, which saw the Bank reaching key milestones in many aspects of its business during the year.

KEY FINANCIAL HIGHLIGHTS

During the challenging period in which the overall banking industry experienced negative credit growth, Amāna Bank transitioned to positive growth by tactically shifting its focus towards top-tier corporates selectively.

As a result, the Bank achieved noteworthy growth in its advances to close at LKR 89.7 billion, reflecting an 8% growth from year end 2022. This growth was achieved while continuing to have one of the lowest industry-wide Stage 3 Impaired financing ratio of 1.5% owing to the Bank's effective risk management framework and timely customer engagement.

Testifying the strong customer confidence and the growing demand for the Bank's value proposition, deposit mobilisation

activities gained strong traction, which saw the portfolio grow significantly by 18% to LKR 132.9 billion along with an industry high CASA ratio of 40%.

Supported by robust growth in core business, the Bank's financing income increased to LKR 17.2 billion in 2023, up by 42% from LKR 12.1 billion reported in the previous year. Fee-based income also registered substantial improvement of 24%, driven mainly by trade volumes generated from our valued business banking customers as well as increased digital transactions and other value added services. As a result, the Bank's total operating income rose to LKR 9.2 billion, reflecting a growth of 45%.

Our cost-to-income ratio improved from 47% in 2022 to 42% in 2023, a notable achievement supported by enhanced scale and effective cost management strategies amidst an inflationary environment.

Continuing its sustained trend in profitability, Amāna Bank's PBT and PAT crossed the LKR 2 Bn and LKR 1 Bn milestones respectively. While PBT grew by 92% to close at LKR 2.3 billion, PAT increased by 76% to end the year at LKR 1.4 billion, with over LKR 900 million being accounted for income tax.

Given the strong financial performance for 2023, Amāna Bank's ROE grew to 7.7% in the current financial year, from 5.6% recorded in 2022, despite the capital infusion of over LKR 6 Bn during the latter part of the year.

I am delighted to note that Amāna Bank's outstanding results have enabled the Bank to reaffirm its commitment to shareholders via incremental growth in both dividend yield and quantum paid, for the sixth consecutive year.

"The Bank achieved noteworthy growth in its advances to close at LKR 89.7 billion, reflecting an 8% growth from year end 2022. This growth was achieved while continuing to have one of the lowest industry-wide Stage 3 Impaired financing ratio of 1.5% owing to the Bank's effective risk management framework and timely customer engagement".



MANAGING DIRECTOR/CEO'S REVIEW

I am also pleased to note that Fitch Ratings, during their last review, affirmed our National Long Term Rating at BB+(lka) with a Stable Outlook.

CUSTOMER ENGAGEMENT

During the year we broadened our reach by creating more opportunities within the Corporate segment. Leveraging on our unique proposition, our ability to provide flexible, best-fit solutions together with our desire towards exemplary service, we established new relationships which proved to be successful in building our Corporate customer base. In a bid to further augment the Corporate banking experience, we relocated our Business Banking Division along with Trade Services to an upgraded facility at the Bank's Main Branch premises.

Alongside our penetration to the Corporate segment, we remained fully focused and committed towards the SME segment, which has been the nucleus of the country's economic growth. Known for our development focus, we continued to support our SME customers in various ways, often providing assistance and advisory services to help improve their liquidity position and strengthen their financial resilience and revival efforts in difficult times. Understanding their unique circumstances, the Bank stood by our customers to ensure their business continuity in regard to their financing arrangements.

On the retail side, we maintained a diligent approach to advances, considering the ongoing pressure on disposable incomes owing to the lingering effects from the economic crisis and the impact of new taxes. However, the Bank through its Gold Certificate Financing solution, continued to gain traction in its financial inclusion efforts.

GROWING OUR DIGITAL FOOTPRINT

In the current financial year, we made further progress in expanding Amāna Bank's digital footprint. A notable achievement was the expansion of our automated Self Banking Centre network (SBCs) around the country with 6 new SBCs established in areas with limited banking presence taking our total SBC network to 27 in addition to our 33 branches.

Amāna Bank's 'Your Bank' online platform experienced significant traction throughout the year, as a notable number of non-digital banking customers transitioned to online services, attracted by the conveniences and value-added offerings. The launch of WhatsApp banking, offering tri-lingual support, marks another important milestone in Amāna Bank's digital journey.

OUR PASSIONATE TEAM

Our committed and competent team remains the driving force behind our continued success, demonstrating unwavering enthusiasm, engagement, and dedication in achieving the objectives of the Bank. I am convinced that the team has firmly embraced our performance-driven culture, enabling us to consistently recognise and reward their exceptional contributions for our sustained performance. I am grateful to the Board and our esteemed shareholders for endorsing the Employee Share Option programme, introduced during the year to reward our loyal high-performers.

SUSTAINABILITY AND SOCIAL IMPACT

It is encouraging to see our sustainability initiatives gaining momentum guided by the Bank's Sustainability Framework which covers best practices across all aspects of our business. Towards its sustainability efforts, the Bank continues its partnership with United Nations Global Compact as

well as collaborated with the Green Building Council of Sri Lanka to assess the Bank's operational infrastructure to be in line with globally accepted sustainability practices.

As a responsible corporate inspired by its people-friendly banking model, Amāna Bank has always placed high importance on making a positive social impact. In this regard, the Bank sponsored OrphanCare initiative, seeks to make an impactful contribution towards addressing the needs of orphans to avoid a second abandonment. Guided by Article 2 of the United Nations Convention on the Rights of the Child, OrphanCare remains committed to operate without any form of discrimination. I am happy to note the growing number of like-minded corporates, joining hands as partners for this noble cause. Further, responding to a national need, Amāna Bank extended its support to the 1990 Suwa Seriya 'Adopt an Ambulance' programme by undertaking the operation cost of running an ambulance.

The 'My Future, My Dream' all-island tri-lingual essay competition organised by the Bank was another notable initiative which saw over 3,500 young writers across the country sharing their future dreams.

AWARDS AND ACCOLADES

It was another rewarding year for Amāna Bank in terms of awards and accolades, which continues to testify our success and market leadership position. Among the many accolades, one that we deeply honour is Amāna Bank being ranked amongst the Top 50 Strongest Islamic Bank's in the World by The Asian Banker, marking a notable rise to 37th position in 2023.

I am also happy to highlight the Bank's progressive ranking in the LMD Brand Finance Top 100 Most Valuable Brands

index, where Amāna Bank surged 14 positions to achieve a ranking of 67th, while being amongst the handful of entities to record a growth in brand value during the year.

LOOKING AHEAD

As we conclude the most successful year in the Bank's history, I believe the future holds much promise.

With the enhanced capital in place, Amāna Bank is strategically positioned on a robust launch pad for growth, poised for new horizons, through investments in our core business, digital footprint, regional expansion, and sustainable banking initiatives.

Against this backdrop, Amāna Bank will aim to leverage on its people-friendly and development banking approach, continuing our mission of enabling growth and enriching lives.

As guided by our Board of Directors, the Bank in its way forward, remains fully committed to always uphold the principles of good governance and promotes a culture of compliance with emphasis on countering bribery and corruption in line with best practices.

ACKNOWLEDGEMENTS

I wish to extend my sincere gratitude to the Board of Directors for their foresight and strategic leadership that has enabled Amāna Bank to remain firmly on the growth track. I would also like to take this opportunity to thank the Sharia Supervisory Council for their guidance and support. My thanks are due to the officials of the Central Bank of Sri Lanka for their advice and support.

Towards our successful Rights Issue, I would like to specially thank the Chairman and members of the Board for their leadership, engagement and guidance. I would also like to thank the management team for their tireless efforts, which enabled to close this issue meeting all the objectives. A sincere thank you goes out to the officials of the Central Bank and the Colombo Stock Exchange, especially during this challenging time to enable local and foreign participation.

A special word of thanks to the OrphanCare Trustees for their commitment, encouragement and guidance in ensuring the OrphanCare initiative duly serves its intended purpose.

It is with much pleasure that I would like to acknowledge the outstanding efforts of the Management Committee and the Amāna team to ensure the Bank succeeds against all odds. Thank you for your dedication and enthusiasm to Amāna Bank.

In conclusion, I wish to convey my appreciation to the shareholders, customers and other stakeholders for the trust and confidence placed in the Bank, as we, poised for new horizons, journey into the future.



Mohamed Azmeer
Managing Director/CEO

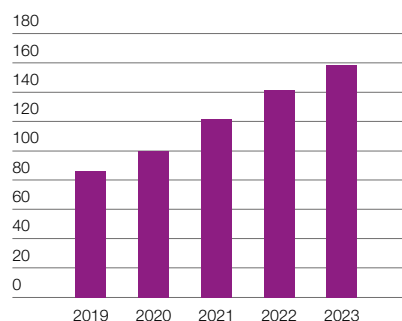
17 February 2024
Colombo

FINANCIAL HIGHLIGHTS

	2023	2022	Change %
Operating Results for the Year - LKR '000			
Financing Income	17,238,373	12,113,113	42
Financing Expenses	10,743,450	7,344,488	46
Total Operating Income	9,210,525	6,365,696	45
Total Operating Expenses	3,871,072	2,990,948	29
Operating Profit Before VAT on Financial Services & Social Security Levy	3,218,710	1,736,265	85
Profit Before Tax	2,312,191	1,207,275	92
Profit for the Year	1,386,776	788,177	76
Assets and Liabilities - LKR '000			
Total Assets	159,451,776	141,687,893	13
Advances	89,658,060	83,185,917	8
Deposits	132,937,607	112,546,017	18
Shareholders' Funds	21,696,584	14,361,355	51
Key Ratios - %			
Net Financing Margin	4.3	3.6	
Return on Assets	1.5	0.9	
Return on Equity	7.7	5.6	
Dividend Yield	5.2	3.4	
Dividend Pay Out Ratio	24.1	34.1	
Impaired Financing and Advances (Stage 3) Ratio	1.5	2.1	
Impairment (Stage 3) to Stage 3 Financing and Advances Ratio	56.5	37.9	
Investor Information - LKR			
Net Assets Value Per Share	3.94	5.16	
Market Value Per Share - as at 31 December	2.30	2.90	
Earnings Per Share - Basic	0.43	0.28	
Earnings Per Share - Diluted	0.42	0.28	
Dividend Per Share	0.12	0.10	
Regulatory Ratios - %			
Capital Adequacy Ratios			
- Common Equity Tier 1 Capital Ratio (Minimum Requirement - 7%)	16.5	13.0	
- Tier I Capital Ratio (Minimum Requirement - 8.5%)	16.5	13.0	
- Total Capital Ratio (Minimum Requirement - 12.5%)	19.3	15.8	
Leverage Ratio (Minimum Requirement - 3%)	11.6	7.4	
Statutory Liquid Asset Ratio - %			
- Consolidated (Minimum Requirement - 20%)	38.6	28.3	
Liquidity Coverage Ratio - %			
Rupee (Minimum Requirement: 2023 - 100% ; 2022 - 90%)	300.0	150.3	
All Currency (Minimum Requirement: 2023 - 100% ; 2022 - 90%)	234.9	126.5	
Net Stable Funding Ratio (Minimum Requirement: 2023 - 100% ; 2022 - 90%)	187.7	187.8	

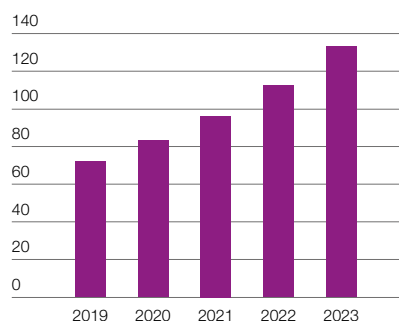
Total Assets

LKR Bn



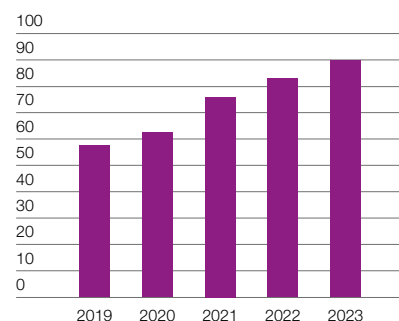
Deposits

LKR Bn



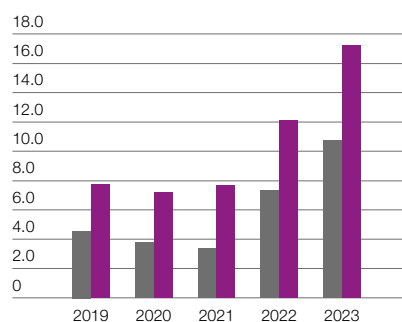
Advances

LKR Bn



Financing Income and Financing Expenses

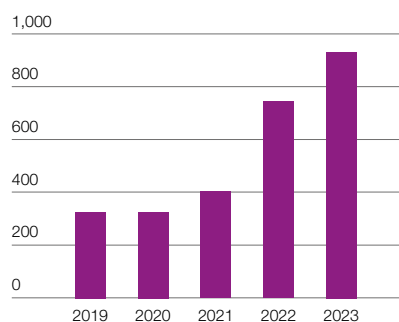
LKR Bn



■ Financing Expenses ■ Financing Income

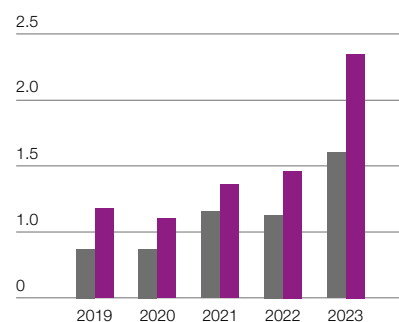
Net Fee and Commission Income

LKR Mn



Profit Before Tax and Profit After Tax

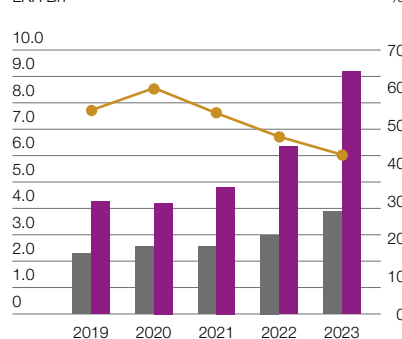
LKR Bn



■ Profit After Tax ■ Profit Before Tax

Operating Income & Operating Expenses

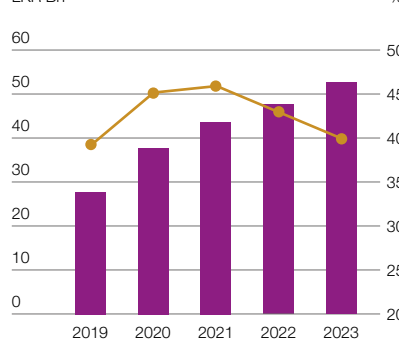
LKR Bn



■ Operating Expenses ■ Operating Income — Cost to Income Ratio

Current Account & Savings Account (CASA)

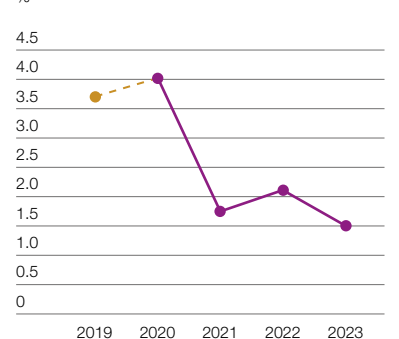
LKR Bn



■ CASA Portfolio — CASA Ratio

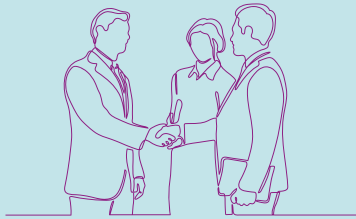
Gross NPA / Stage 3 Impaired Financing Ratio

%



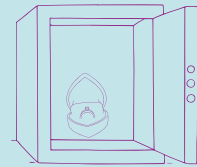
◆ Gross NPA ● Stage 3 Impaired Financing Ratio

NON-FINANCIAL HIGHLIGHTS



464,142
No. of Customers

2022 - 439,661



31
No. of Gold Safekeeping Units

2022 - 31



33
No. of Branches

2022 - 33



27
No. of Self Banking Centres

2022 - 21

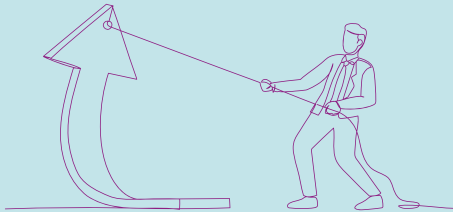


37th
The Asian Banker - Strongest
Islamic Bank in the World

2022 - 81st

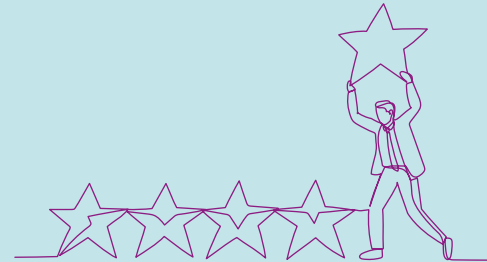
90th
LMD Top 100 Ranking

2022 - 95th



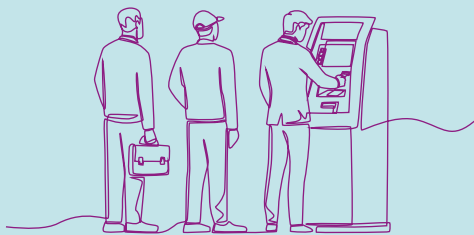
LKR 625 Mn
Brand Value (Brand Finance)

2022 - LKR 607 Mn



BB+(Ika) Stable Outlook
External Rating

2022 - BB+(Ika) RWN Outlook



6,000+
No. of Points for Withdrawals

2022 - 5,800+



1,100+
No. of Points for Deposits

2022 - 1050+

67th
LMD Brand Finance - Most
Valuable Brands

2022 - 81st

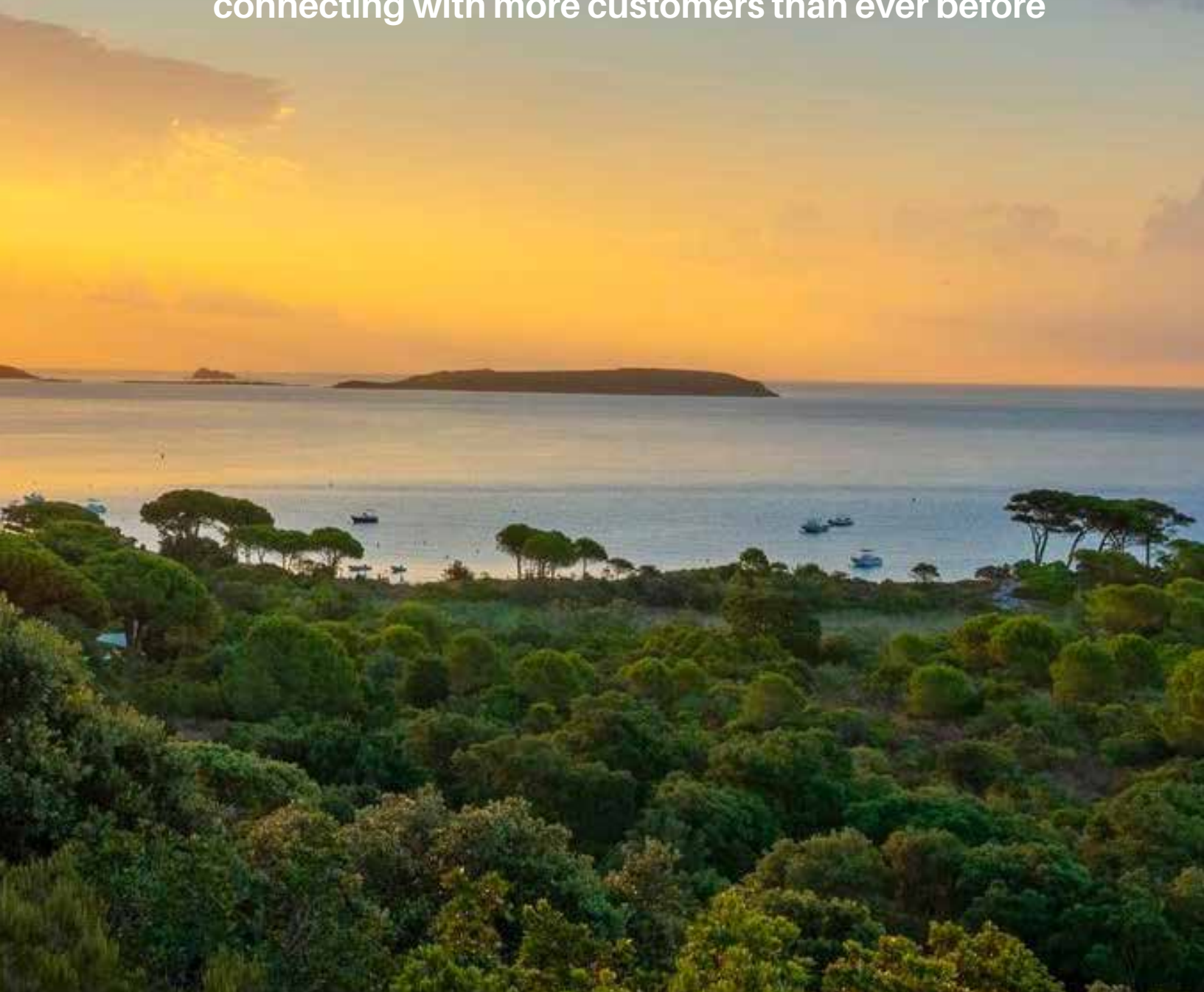
19
No. of Awards Won

2022 - 19





**Poised for New Horizons, expanding our reach and
connecting with more customers than ever before**



BUSINESS MODEL



Outputs for Amāna Bank

- ✦ Increased public trust in the Amāna Bank brand
- ✦ Strong competitive edge over peers
- ✦ Increased Market Share
- ✦ Stable Issuer Rating
- ✦ Ranked among the Top 50 Strongest Islamic Banks in the World by Asian Banker
- ✦ Increased Employee Motivation and loyalty
- ✦ Lower Employee Attrition
- ✦ Improved ranking as an employer of choice
- ✦ Good standing in the community

Stakeholder Outcomes



Shareholders / Investors

- ✦ ROE – 7.7% (5.6% - 2022)
- ✦ Dividend Payout - LKR 334 Mn (LKR 269 Mn - 2022)
- ✦ Reasonable stability in share price



Customers

- ✦ Access to an unparalleled range of model compliant products and services
- ✦ Guarantee of the non-interest based financial solutions on par with international standards
- ✦ Tailor-made support for retail and SME sectors
- ✦ Maximum customer satisfaction
- ✦ No. of Customers - 464,142
- ✦ No. of Your Bank App Transactions - 1,033,129
- ✦ Your Bank New Sign-ups – 26,067
- ✦ WhatsApp Banking Customers - 22,720
- ✦ Increase in No. of CDM / ATM Transactions - 391,229/ 820,374
- ✦ Increase in No. of Debit Card Trx - 398,316
- ✦ Net Promoter Score – 97%
- ✦ Service Feedback Tabs Satisfaction Score – 93%
- ✦ Complaint Resolution – 99%



Regulators

- ✦ Taxes Paid LKR 1.9 Bn (LKR 945 Mn - 2022)
- ✦ Incidents of non-compliance of regulations - None
- ✦ Incidents of non-compliance of sharia rules - None



Employees

- ✦ New Recruits - 239
- ✦ Average annual salary increment 14% - (20% - 2022)
- ✦ Total Monetary Benefits Distributed - LKR 1.4 Bn (LKR 1.2 Bn - 2022)
- ✦ Promotions - 129
- ✦ Training Hours – 21,133 (19,601 - 2022)
- ✦ Employee Retention - 82%
- ✦ Employees completing Ten Years - 235



Communities

- ✦ LKR 11.4 Mn distributed under the OrphanCare project for the benefit of 3,100 orphans in the care of 90 orphanages (LKR 54 Mn distributed to date through 16 rounds of annual disbursements)
- ✦ Other CSR Activities – LKR 27 Mn
- ✦ Knowledge Marketing Beneficiaries – 4,000+



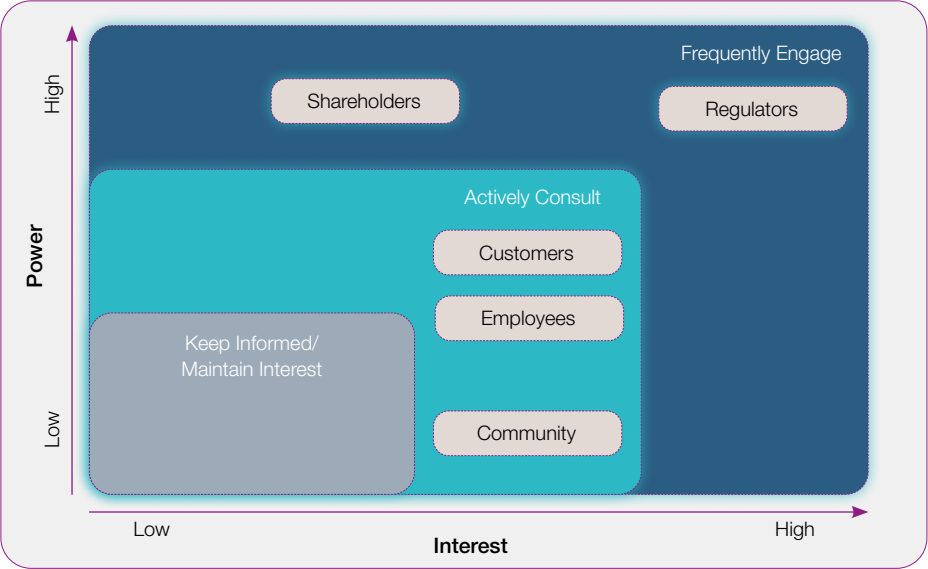
Environment

- ✦ Solar Power Generated - 7,942 kWh
- ✦ CO₂ reduction - 5,639 kgCO₂e
- ✦ CO₂ reduction through e-statements – 5,500+ Kg
- ✦ Power Generated through Financing Large Scale Renewable Energy Projects – 44,079 MWh
- ✦ Resulting CO₂ reduction - 31,476 Mt

STAKEHOLDER ENGAGEMENT

In keeping with its approach to responsible business conduct, Amāna Bank strives to continually enhance its relationships with external and internal stakeholders. Through these engagements the Bank seeks to understand evolving stakeholder priorities amidst the backdrop of the rapidly changing macroeconomic environment, so that such expectations and concerns may be integrated into the Bank’s strategy and business plans in order to ensure sustained value creation for all stakeholders in the short, medium and long term.

STAKEHOLDER ENGAGEMENT APPROACH



 SHAREHOLDERS / INVESTORS Amāna Bank has 9,454 shareholders. The Bank’s principal shareholder is the Jeddah-based IsDB Group being the principal shareholder accounting for 28.24% stake in Amāna Bank.	Method and Frequency of Engagement	- Annual General Meeting - Annual Report - Extraordinary General Meetings (as needed) - Interim Financial Statements (quarterly) - CSE Announcements (as needed)	- Press Conferences / Press Releases (as needed) - Corporate Website (continuous and ongoing) - Social media platforms (continuous and ongoing)
	Shareholder Concerns and Expectations for 2023	- Capital position - Strength of the Bank’s risk and governance frameworks amidst the ongoing economic crisis	- Ability to generate stable returns notwithstanding challenges in order to ensure consistent dividend payout - Ethical business practices
	Amāna Bank’s Response	A robust and well-thought out business growth strategy coupled with strong risk, governance and oversight to produce sustained financial results over time	
	Value Created in 2023	- Dividend Payout Ratio – 24.09% (2022 – 34.14%) - Rights issue comprising 2,608,990,096 ordinary voting shares, at a consideration of LKR 2.30 per share	NAVPS - LKR 3.94 (2022- LKR 5.16)
	Further Information	- Financial Capital - pages 74 to 77 - Risk Management Report - pages 206 to 231 - Corporate Governance Report - pages 108 to 169	- Intellectual Capital - pages 82 to 85 - Investor Relations - pages 336 to 339



CUSTOMERS

Amāna Bank's customer base consists of retail, customers across Sri Lanka as well as SME and Corporate customers representing all key sectors of the economy.

Method and Frequency of Engagement	♦ Sales Teams / Branch Managers / Relationship Managers (continuous and ongoing) ♦ Call Center (continuous and ongoing) ♦ Promotional Activities (continuous and ongoing) ♦ Press Conferences / Press Releases (as needed)	♦ Corporate Website (continuous and ongoing) ♦ Social Media Platforms (continuous and ongoing) ♦ Customer Surveys (as needed) ♦ Complaint & Feedback Platforms (ongoing)
Customer Concerns and Expectations for 2023	♦ Availability of a range of flexible and customised financing solutions to cater to the needs of all customer segments ♦ Special relief packages to manage challenges caused by the economic downturn	♦ Quick turnaround times ♦ Superior customer service ♦ Digital convenience
Amāna Bank's response	♦ Continuous investments to upgrade and update infrastructure, products, processes and service standards with the aim of ensuring 100% customer satisfaction	
Value Created in 2023	♦ 93% customer satisfaction score based on service feedback tabs ♦ 140% year on year increase in digital transaction volumes	
Further Information	♦ Social and Relationship Capital - pages 92 to 97 ♦ Manufactured Capital - pages 78 to 81	♦ Intellectual Capital - pages 82 to 85 ♦ Business Reviews - pages 69 to 73



EMPLOYEES

Amāna Bank's 886-strong team of employees located at across the branch network, including the Bank's head office.

Method and Frequency of Engagement	♦ Sales Briefings / Team Meetings (continuous and ongoing) ♦ Management Meetings (as scheduled) ♦ Performance Appraisals (bi-annual) ♦ Internal Communications (continuous and ongoing) ♦ Employee Notice Board (as needed)	♦ Intranet (continuous and ongoing) ♦ Training Activities (continuous and ongoing) ♦ Awards Ceremonies (as scheduled) ♦ Bank events (as scheduled) ♦ Employee Surveys (as scheduled)
Employee Concerns and Expectations for 2023	♦ Possible reduction in disposable income as a result of higher taxes ♦ Career development opportunities	♦ Opportunity to benefit in the Bank's success, other than as an employee
Amāna Bank's response	♦ Deliver holistic solutions to safeguard employees' financial well-being and strengthen their commitment towards the Bank. Fast-track career development of high performing and potential employees	
Value Created in 2023	♦ 14% year on year increase in the amount paid as employee remuneration	♦ Initiated an Employee Share Ownership Scheme (ESOP), which would result in the issuing of up to 83,518,485 ordinary voting shares equivalent to 3% of the pre-ESOP issued number of shares
Further Information	♦ Human Capital - pages 86 to 91	

STAKEHOLDER ENGAGEMENT

 REGULATORS As a listed entity and the only licensed commercial bank in Sri Lanka authorised to carryout operations under non-interest based banking principles, Amāna Bank falls under the purview of several regulatory bodies, including the Central Bank of Sri Lanka, the Colombo Stock Exchange, the Securities and Exchange commission of Sri Lanka, etc.	Method and Frequency of Engagement	◆ Directives and circulars (continuous and ongoing) ◆ CBSL Audit (periodic) ◆ Sharia Supervisory Council Evaluations (at least 3 times annually) ◆ Interim Financial Statements (quarterly)	◆ Annual Report (annual) ◆ CSE / SEC filings (as mandated) ◆ Other regulatory submissions (as mandated) ◆ Other meetings (as mandated)
	Regulator Concerns and Expectations for 2023	◆ Compliance with the Corporate Governance rules issued by the CSE in 2023 ◆ Routine compliance and mandatory filings	◆ AML /CFT disclosures
	Amāna Bank's response	◆ Conducting business in full compliance with all applicable regulatory requirements and going beyond compliance to embrace voluntary adoption of ethics best practices.	
	Value Created in 2023	◆ ZERO incidents of regulatory non-compliance	
	Further Information	◆ Corporate Governance Report - pages 108 to 169 ◆ Intellectual Capital - pages 82 to 85	

 COMMUNITY Interest groups, media, vulnerable communities and society at large.	Method and Frequency of Engagement	◆ Press Conferences / Press Releases ◆ Corporate Website ◆ Social Media Platforms	◆ Annual Report ◆ CSR initiatives
	Community Concerns and Expectations for 2023	◆ Opportunities to access financial assistance to minimise inequalities caused by the economic crisis ◆ Continued support for vulnerable communities	◆ Expectation of high standards of conduct and business ethics in all community activities
	Amāna Bank's Response	◆ Coordinated and strictly managed efforts to assist communities in need	
	Value Created in 2023	◆ Ongoing commitments through the OrphanCare initiative	◆ Financial support towards the upliftment of the health sector
	Further Information	◆ Social and Relationship Capital - pages 92 to 97	

MATERIALITY

Amāna Bank's definition of Materiality is based on internationally accepted benchmarks, in accordance with the Integrated Reporting Framework of the International Integrated Reporting Council. Accordingly, issues are deemed Material if they have the potential to substantively affect the Bank's ability to create and sustain value for our stakeholders over the short, medium and long term.

MATERIALITY DETERMINATION PROCESS

Determining Materiality is an ongoing process involving 1) continuous assessment of the external environment 2) careful evaluation of the Bank's risk universe and 3) stakeholder interests and concerns. Material matters so identified are evaluated and prioritised based on their impact to the business vs. importance to stakeholders using the Materiality Matrix depicted below. Working in priority order, Material Matters are then integrated into the Bank's strategy as appropriate.

1. MATERIAL MATTERS IDENTIFIED THROUGH ENVIRONMENTAL SCANS FOR 2023

Key Factors		Material Matters
 Political	Policy inconsistency leading to frequent changes in interest rates	Financial Stability
	Lower disposable incomes and business profits due to the introduction of new tax regime	
 Economic	Sovereign Rating Downgrade resulting in the breakdown of international trade ties and the inability to access overseas funding sources	External Rating and Liquidity
	Impetus for a sustained economic revival	Support for Retail and SME sectors
 Social	Evolving, spending /saving patterns of consumers	Alternative Liquidity Instruments
		Banking Convenience for different customer segments
 Technology	Growing demand for digital / online Banking, platforms	Customer Access Channels
		Reliability of Service through Excellence and Digital Transformation
 Legal		Customer Access Channels
	New Corporate Governance rules issued by the CSE / Sustainable Finance Guidelines, including Green Finance Taxonomy proposed Banking Act / proposed Data Protection Act, etc.	Governance, Risk Management and Compliance

MATERIALITY

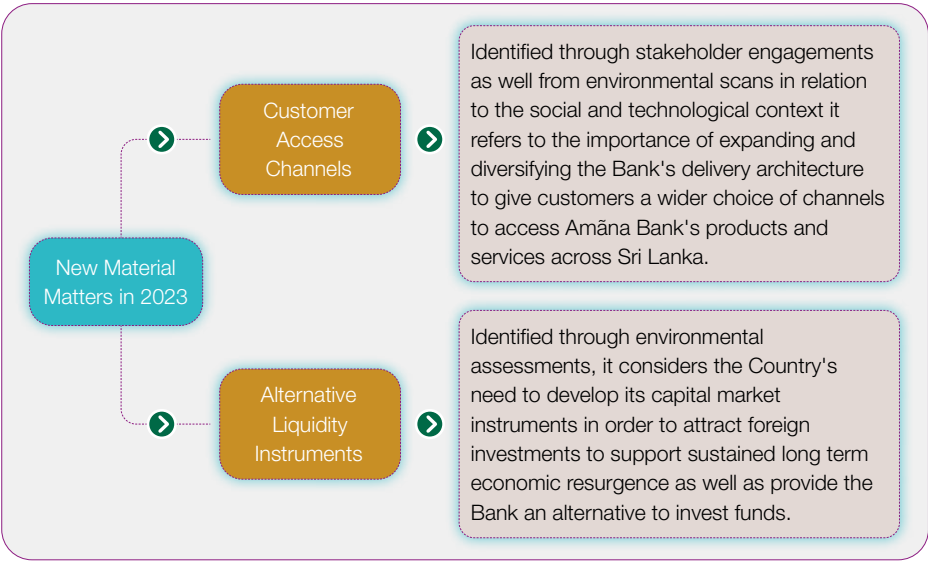
2. MATERIAL MATTERS IDENTIFIED FROM THE RISK UNIVERSE IN 2023

Material Matter	Associated Risk
Financial Stability	Credit Risk Market Risk
External Rating and Liquidity	Liquidity Risk
Governance, Risk Management and Compliance	Operational Risk
Model Compliant Products and Services	Operational Risk
Business Ethics and Anti-corruption	Operational Risk
Information Security and fraud prevention	Operational Risk

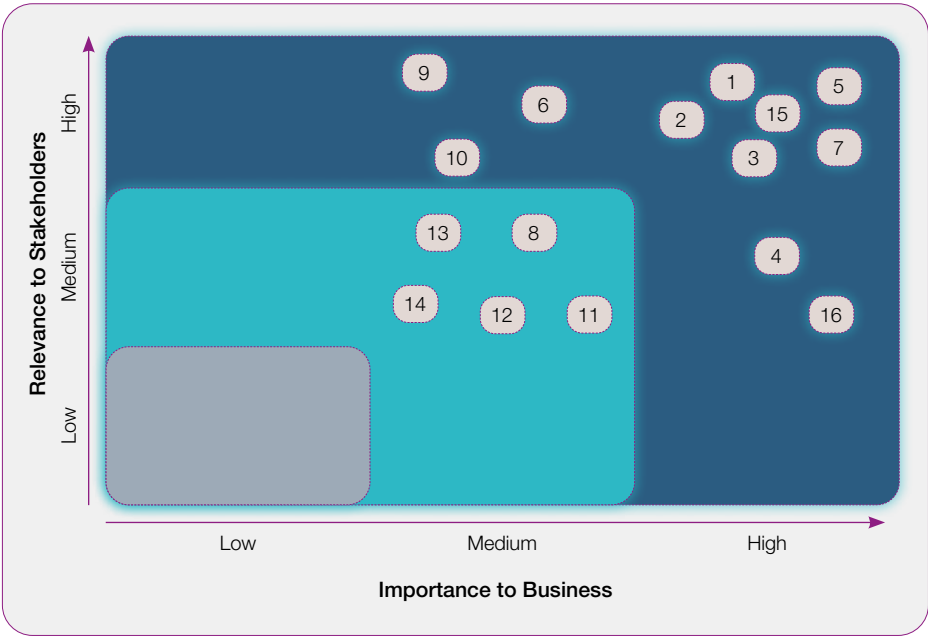
3. MATERIAL MATTERS IDENTIFIED THROUGH STAKEHOLDER ENGAGEMENT ACTIVITIES IN 2023

Material Matter	Stakeholder
Financial Stability	Shareholders/Customers/Regulators   
External Rating and Liquidity	Shareholders/Regulators  
Model Compliant Products and Services	Customers/Regulators  
Reliability of Service through Excellence and Digital Transformation	Customers/Regulators  
Banking Convenience for Different Customer Segments	Customers 
Support for Retail and SME sectors	Customers/Regulators  
Customers Access Channels	Customers 
Business Ethics and Anti-corruption	Shareholders/Customers/Regulators   
Market Competitive Remuneration	Employees 
Non- financial benefits	Employees 
Career Prospects	Employees 
Local Community development and support	Community 
Environmental Footprint	Community/Regulator  

All 14 Material Matters disclosed in 2022 remained applicable for 2023 as well. However the Materiality Determination process for 2023 identified 2 additional Material Matters - Customer Access Channels and Alternative Liquidity Instruments.



THE UPDATED MATERIALITY MATRIX FOR 2023 IS DEPICTED BELOW



1. Financial Stability
2. Capital Adequacy and Liquidity
3. Governance, Risk Management and Compliance
4. Model Compliant Products and Services
5. Reliability of Service through Excellence and Digital Transformation
6. Banking Convenience for different customer segments
7. Support for the Retail and SME sector
8. Business Ethics and Anti-corruption
9. Information Security and fraud prevention
10. Market Competitive Remuneration
11. Non- Financial Benefits
12. Career Prospects
13. Local Community development and support
14. Environmental Footprint
15. Customer Access Channels
16. Alternative Liquidity Instruments

STRATEGY

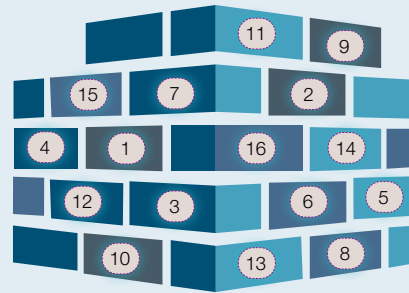
Amāna Bank continued to make steady progress on its growth strategies in 2023 with the year witnessing the Bank reaching two key objectives set out in the Strategic Plan:

- ✦ Capital Augmentation - where the Bank's capital base crossed LKR 20 billion mark.
- ✦ Profit - where the Bank's Profit After Tax crossed the LKR 1 billion landmark.

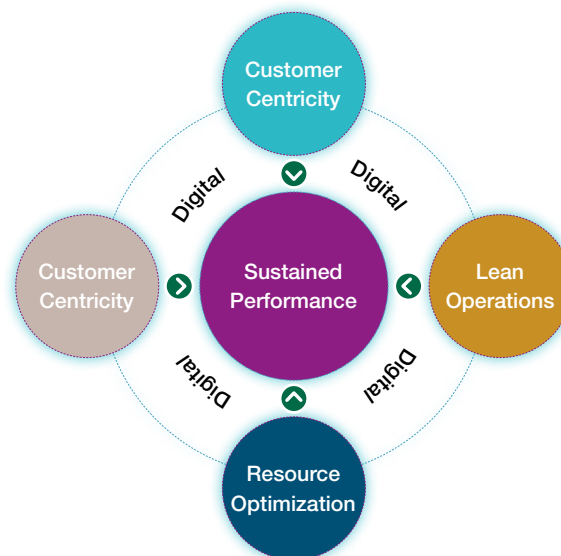
The Bank continues to focus on maintaining its market leadership as the leading non-interest based Islamic Bank in the Country. By offering people friendly banking solutions to SME and Retail customers who value financial discipline, by developing customer engagement through our selected branch network and expanding digitally enabled channels, Amāna Bank has successfully captured over 50% market share in this space.

Amāna Bank's unique strategy focuses on Sustained Performance as the overarching theme pivoted on four pillars - Customer Centricity, Lean operations, Resource Optimisation and Effective Controls to create the synergies towards strategic alignment, hence enabling successful implementation of Bank's strategies.

MATERIAL MATTERS



1. Financial Stability
2. Capital Adequacy and Liquidity
3. Governance, Risk Management and Compliance
4. Model Compliant Products and Services
5. Reliability of Service through Excellence and Digital Transformation
6. Banking Convenience for different customer segments
7. Support for the Retail and SME sector
8. Business Ethics and Anti-corruption
9. Information Security and fraud prevention
10. Market Competitive Remuneration
11. Non- Financial Benefits
12. Career Prospects
13. Local Community development and support
14. Environmental Footprint
15. Customer Access Channels
16. Alternative Liquidity Instruments

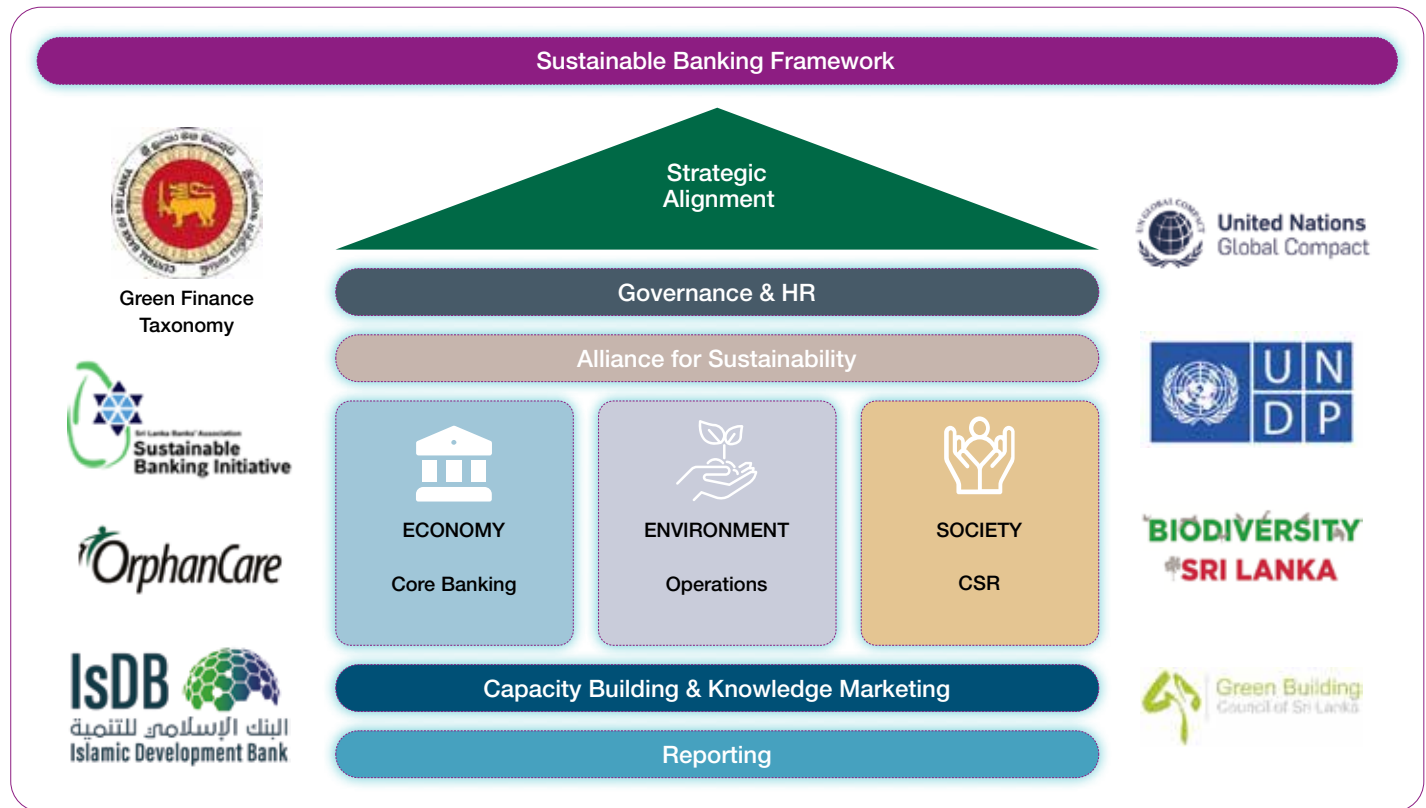


WAY FORWARD

- ✦ Focusing on the core business growth in Retail and SME segments
- ✦ Expansion plans to leverage from the unique banking model
- ✦ Digital Penetration
- ✦ Sustainable Banking Initiatives

SUSTAINABILITY FRAMEWORK

From its inception Amāna Bank has expressed a strong commitment to sustainability best practices. Demonstrating itself as an early adopter, the Bank became one of the first principal signatories to the Sustainable Banking Road Map initiated by the Sri Lanka Bankers Association (SLBA) and the Central Bank of Sri Lanka in 2016. Moving to support the implementation of the Road Map, the Bank has over the years, undertaken numerous initiatives specifically aimed at contributing to the achievement of the UNSDG targets relevant to Sri Lanka.



STRENGTHENING THE COMMITMENT TO SUSTAINABILITY

Taking a major step towards further strengthening its commitment to sustainability, the Bank launched its Sustainable Banking Framework as part of its Strategic Plan, for 2023. The framework which is anchored to three foundational pillars - the Core Banking, Operations and CSR, seeks to underpin Amāna Bank's transformation towards becoming a fully sustainable Bank across Economic, Environmental and Social spheres.

Further to the cross functional team which was overseeing the implementation of the Sustainable Banking Framework, a specialised Sustainable Banking Unit with dedicated expertise was formed during the year, towards strengthening commitment. Under the stewardship of the Sustainable Banking Unit, a detailed Policy on Sustainable Banking is being developed to provide more clarity and direction on the way forward. The Policy is expected to be rolled out in 2024, with the endorsement of the Board.

ESG in Credit Analysis and mitigating Financed Emission towards Driving Economic Sustainability

Economic sustainability is ingrained in Amāna Bank's value system and business model. As a predominantly SME-focused Bank, the Bank has continuously proven its ability to uplift small businesses and protect their economic viability, especially in times of crisis. Recent information published by the Ministry of Finance, declares Amāna Bank to be among the few notable industry players to have consistently supported the Country's SME sector over the past decade.

SUSTAINABILITY FRAMEWORK

Eager to improve its capability to contribute to Economic Sustainability, in a more holistic manner, the Bank's Credit Risk Policy was amended to align with Central Bank's Direction No. 05 of 2022 on Sustainable Finance Activities of Licensed Banks. The exercise was aimed at embedding Sustainable Banking principles as a standard practice in the Core financing operations. In related developments, the Bank also focused on aligning its internal systems to the Green Finance Taxonomy guidelines issued by the Central Bank of Sri Lanka. Accordingly, a range of Portfolio Impact Analysis Tools are being developed to reform the Bank's credit evaluation procedures to determine borrower sustainability across Environmental, Social and Governance dimensions. The Bank intends to carry out a fresh impact assessment of Retail, SME and Corporate business segments, in order to strengthen its initiatives under Economic Sustainability.

Simultaneously, Amāna Bank continues to increase its allocation towards green financing, specifically to encourage Corporates and SME's to transition to renewable energy sources with zero emission profile. The year 2023 marked the largest green financing project undertaken by Amāna Bank to-date - the 2 Mw ground mounted 'Horana Solar Power Plant' commissioned by Vidullanka PLC under the CEB's "Soorya Bala Sangramaya Phase III". Building on these efforts, the Bank promoted solar financing to make solar power accessible and more affordable to retail customers. (Refer Natural Capital from pages 98 and 99 and the Retail Banking review for business partnership with Singer for Solar Financing Solutions).

Promoting Social Sustainability, Financial Inclusion & Capacity Building

Amāna Bank has always been well ahead of the curve in terms of promoting Social Sustainability through its core business, thanks to the values enshrined in its People Friendly Banking model which prohibits financing of socially harmful industries, such as Alcohol, Tobacco, Gambling, etc.

Financial Inclusion

The Bank continues to contribute towards Social Sustainability through its efforts to promote financial inclusion via the non interest based alternate banking solutions, by providing a viable alternate for the segment who have otherwise shun the conventional banking option based on their values and beliefs. One such product Amāna Bank has championed towards financial inclusion is its innovative Gold Certificate Financing solution, which was introduced as an alternative for pawning. Furthermore, Amāna Bank's exclusive "Ladies Units" which serve a large customer base, has also become a key catalyst in promoting financial inclusion and equally facilitating gender equity around the Country.

Amāna Bank's long standing commitment to the OrphanCare initiative further embodies the Bank's dedication to financial inclusion and social upliftment. Since its launch in 2019, OrphanCare has made 16 rounds of fund disbursements totaling over LKR 54 million. (Refer Orphan Care review from pages 103 to 105)

Capacity Building

The Bank considers internal capacity building to be critical in achieving its sustainability goals. Accordingly, Amāna Bank staff regularly engage in e-learning workshops conducted by various local organisations such as the Sri Lanka Bankers Association

as well as e-learning modules offered by international bodies such as Islamic Development Bank, UN Climate Change, etc.

Meanwhile the Bank's Knowledge Marketing efforts continue to focus on enhancing financial literacy of the wider community. During 2023 the Bank has conducted 35 knowledge marketing sessions, with 4,000+ total participants, covering regions such as Puttalam, Anuradhapura, Kinniya, Oddamavadi, Sammanthurai, Eravur, Gampola, Galle, etc. (Refer Social and Relationship Capital from pages 92 to 97)

Amāna Bank's early partnerships and alliances with key sustainability advocates such as the United Nations Global Compact (UNGC), United Nations Development Programme (UNDP) and Bio-diversity Sri Lanka (BDSL), also helps the Bank to stay abreast of key global developments in the sustainability sphere to facilitate early action to these efforts.

Embracing Environmental Sustainability through Operational Efficiency and Improved Carbon Emission

In a bid to fully embrace Environmental Sustainability, the Bank undertook to prepare its first ever environmental assessment report in 2023. The Bank engaged the services of the Green Building Council of Sri Lanka (GBCSL), which is affiliated to the World Green Building Council, to carry out an Institutional Sustainability Assessment at its Corporate office as well as its Main Branch Premises. The efforts were aimed at evaluating the Bank's current environmental performance, identifying potential environmental risks and impacts, along with appropriate recommendations for improvement. The assessment covered several key areas, including Management involvement in Sustainability, Water efficiency,

Energy efficiency, Waste Management, Indoor Environmental Quality, Social and Cultural Awareness, etc.

As per the Institutional Sustainability Assessment report, the measurement of emission was conducted as per the guidelines set out under the Green House Gas (GHG) Protocol, and revealed that Amāna Bank's GHG emissions for the selected premises were estimated to be 14.72 kgCO₂e/sqft, consisting of 4.00 kgCO₂e/sqft for Scope 1, 6.64kgCO₂e/sqft for Scope 2, and 4.06kgCO₂e/sqft for Scope 3 emissions. The report also estimated the Bank's water efficiency for the said premises at 6.8 m³/year/employee. The findings from the Institutional Sustainability Assessment are expected to be used as a baseline, against which the GBCSL's recommendations for improvements will be implemented and progress to be monitored as way forward.

As part of the assessment, GBCSL simultaneously carried out a Green Literacy Survey of almost 250 Amāna Bank staff to gauge employees' knowledge and understanding of sustainability-related concepts, where a 90% average score was established indicating a positive outlook in terms of Green Literacy.

Data Security and Business Ethics

Data and Information security forms are an integral component of Amāna Bank's overall approach to sustainability. To that end, Amāna Bank has constantly been striving towards complying with applicable data security regulations and fulfilling the requirements of the Personal Data Protection Act of Sri Lanka. The Bank complies with all applicable data security laws and regulations and has obtained the ISO/IEC 27001:2013 Information Security Standard certification. A comprehensive incident response plan is in place to effectively address any data

security breach as well as potential security threats. During 2023, no data breaches were reported and no account holders were effected in this regard.

As further affirmation of its commitment to sustainability, the Amāna Bank Board acknowledges it will take all reasonable steps to ensure business operations are conducted in an open and ethical manner in line with all regulatory requirements and governance best practices. This includes, a comprehensive whistleblowing mechanism established to empower internal and external stakeholders to come forward to report financial misappropriations or any other irregularities. The Whistleblowing mechanism is maintained under the custody of the Board. (Refer Corporate Governance report on pages 108 to 169)

SUSTAINABILITY FRAMEWORK

SUSTAINABLE
DEVELOPMENT
GOALS

Goal 1. No Poverty



- ✦ The Bank's Gold Certificate Financing, which promotes the concept of Social Financing for the unbanked and under-banked, creating convenient credit at grass root level providing assistance to 31,000+ customers.

Goal No. 3 – Good Health and Well-Being



- ✦ Supported the 1990 Suwa Seriya ambulance operations by 'Adopting an Ambulance'
- ✦ Refurbished the Child and Adolescents Mental Health Clinic at the Colombo South Teaching Hospital.
- ✦ Providing attractive card discount offers with leading hospitals for customers to carry out routine medical check-ups and health checks.

Goal No. 4 Quality Education



- ✦ Created a platform for young writers to share their future dreams by organizing the 'My Future, My Dream' All Island Essay Competition. The essay competition award ceremony, through a dedicated resource person's key note address, showcased the importance of embracing sustainability in achieving future dreams as well as creating awareness on UNSDGs.
- ✦ Focused on increasing Financial Literacy through its Knowledge Marketing initiatives to create awareness on the Bank's business model.
- ✦ 35 customer awareness programmes were carried out reaching over 4,000 participants.
- ✦ Plans are afoot to launch the Bank's very own digital knowledge academy.

Goal No. 5 Gender Equality



- ✦ Continued to serve female customers with exclusive banking units for ladies.
- ✦ Promoted its 'Women Entrepreneur Financing' scheme to assist women with entrepreneurial ambitions to support their dreams in bringing financial prosperity to their family's well-being.
- ✦ Increase in financing of SMEs lead by Women.
- ✦ Introduction of female Business Development Officers.
- ✦ Increased female workforce at branches and across functional departments.
- ✦ Continued to maintain female presence in the Bank's senior management team.

Goal No. 7 Affordable and Clean Energy



- ◆ Promote the use of green energy by encouraging and financing customers to invest in renewable energy projects thereby reducing dependency on fossil fuels.
- ◆ 44,079 MWh of renewable energy generated during 2022 through financing a mix of large scale renewable energy plants (Hydro/Biomass /Solar). Resultant reduction of CO₂ emission – 31,476 Mt.
- ◆ 58 new solar financing facilities were approved for households to switch to solar energy, contributing 400+ kW of renewable energy to the national grid.
- ◆ Partnered with Singer Sri Lanka to promote solar financing for households to switch to renewable energy.

Goal No. 9 Industry, Innovation and Infrastructure



- ◆ Continued to support SMEs worst hit by the economic crisis. 1,295 SMEs financed in 2023 with 1,635 facilities extended.
- ◆ The Bank also continued its contribution towards key areas of economic growth such as maritime and infrastructure development.
- ◆ Established a Memorandum of Understanding with the promoters of the National Craft Council to provide concessionary financing for rural craft suppliers.

Goal No. 10 Reduced Inequalities



- ◆ Through OrphanCare the Bank continued to provide maturing orphans an equal footing as they enter adult life. By December 2023, OrphanCare had enrolled over 3100 orphans from across 90 orphanages and carried out 16 rounds of account disbursements totalling LKR 54 million. OrphanCare has also undertaken qualitative support initiatives to 80+ orphans reaching 18 years of age.

Goal No. 12 Responsible Consumption and Production



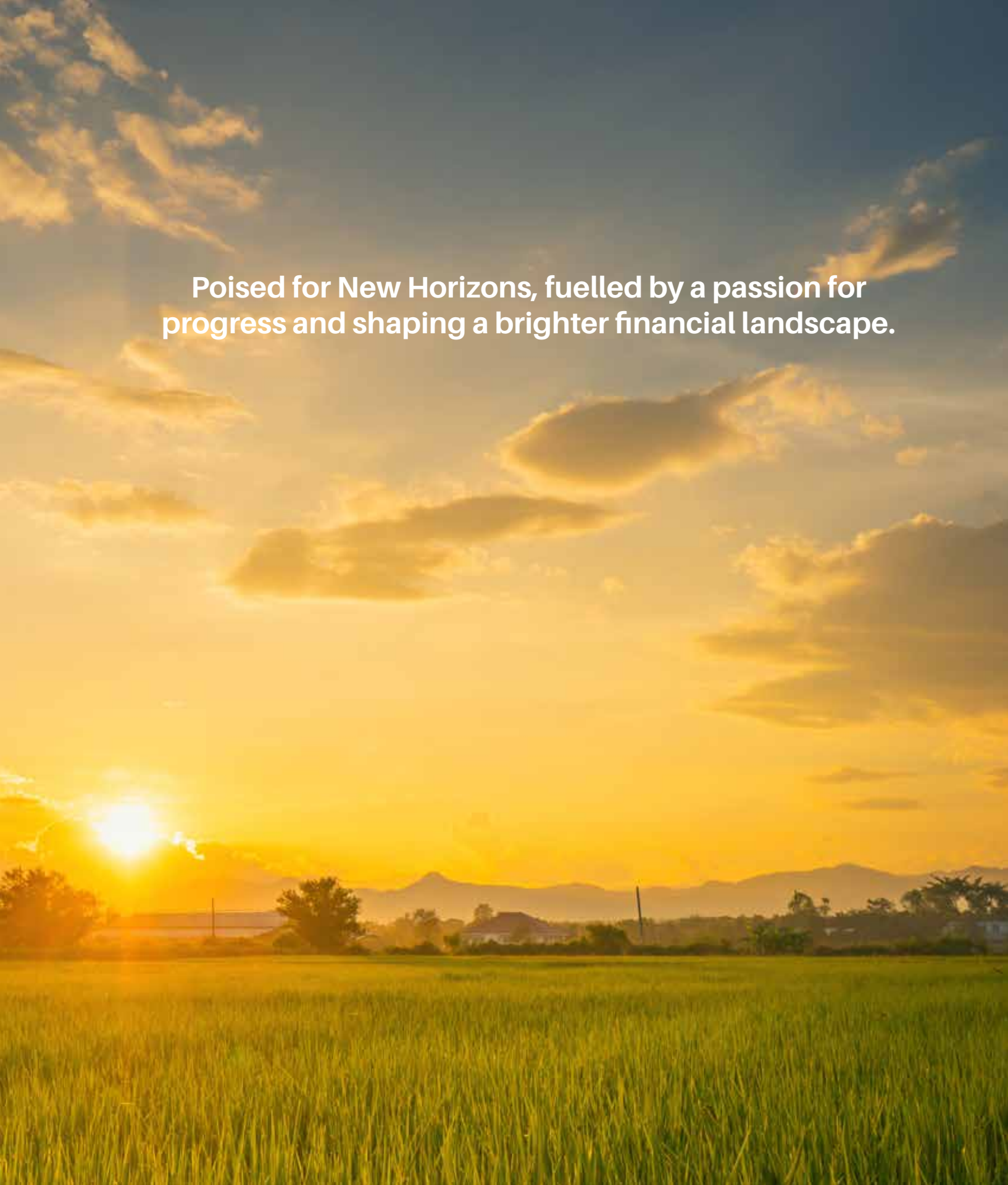
- ◆ Collaborated with the Green Building Council of Sri Lanka to assess the Bank's operational performance towards Institutional Sustainability, and be in line with globally accepted sustainability practices.
- ◆ The Bank encourages businesses as well as its operations to adopt responsible consumption.
- ◆ Facilitated and encouraged customers to switch from traditional banking methods to modern banking ways which reduces wastage of resources by promoting its digital solutions such as 'Your Bank' app, E-statements and SMS alerts services.
- ◆ Continued drive amongst employees to foster a culture of responsible consumptions within their departments which has resulted in many adapting 'green' measures and initiatives towards reducing, reusing and recycling.

Goal No. 14 Life Below Water



- ◆ Provided financing to the country's first ever revolutionary sustainable aquaculture fish farm thereby assisting to manage and protect marine and coastal ecosystems.
- ◆ Provided financing for a plastic manufacture whose plastic items are sustainably produced by re-using waste plastic as raw material, thereby avoiding a similar amount of plastic waste entering our oceans.



A landscape photograph capturing a sunset scene. The foreground is a lush green field of tall grass. In the middle ground, there are silhouettes of trees and a few buildings. The background features a range of mountains under a sky filled with large, golden clouds. The sun is a bright, glowing orb on the left side of the horizon, casting a warm, golden light across the entire scene.

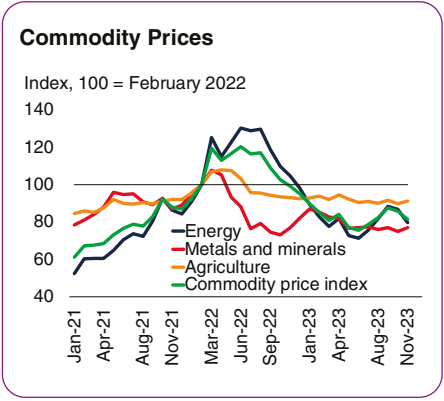
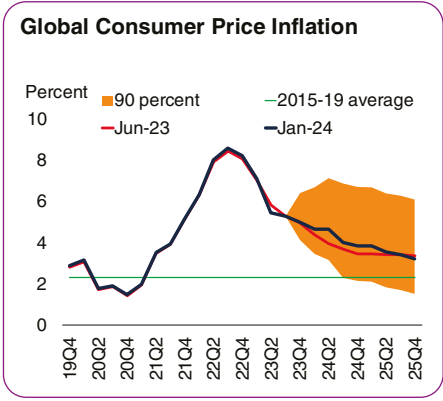
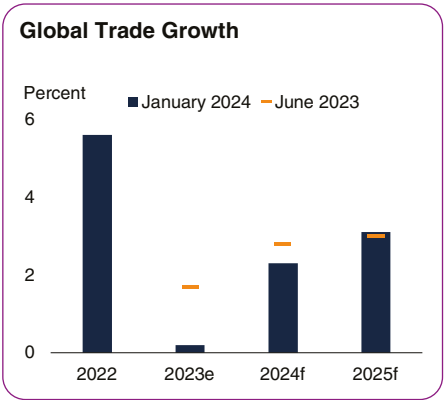
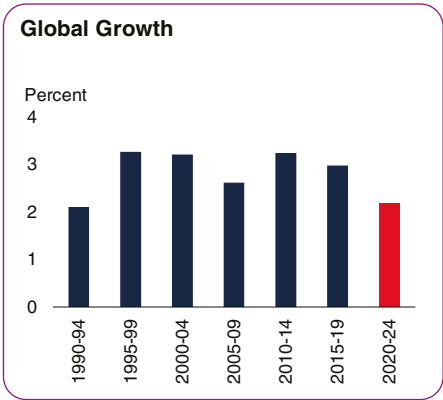
Poised for New Horizons, fuelled by a passion for progress and shaping a brighter financial landscape.

OPERATING ENVIRONMENT

GLOBAL ECONOMIC UPDATE

Global GDP growth is estimated to have moderated to 2.6% in 2023 on the back of tight monetary policy conditions across most economies. Additionally, downside risks remained elevated owing to the ongoing Russia / Ukraine war, the conflict in the Middle East and geopolitical tensions in several other parts of the world. Consequently advanced economies including UK and Europe and emerging economies, showed signs of slowing down in 2023.

Echoing the muted demand conditions in most economies around the world, global trade was more or less flat, growing at an estimated 0.2 % in 2023 - the slowest expansion outside global recessions in the past 50 years. In related developments, global commodities prices declined. While the average prices of most commodities fell in 2023 amidst moderating demand; they nevertheless remained significantly above pre-pandemic levels. Global headline inflation declined substantially in 2023 supported by lower energy and food prices alongside slowing consumer demand for goods and the restoration of global supply chains following widespread disruptions caused during the pandemic.



Implications for Sri Lanka from the Global Economic slowdown in 2023		
Trend	Nature of Impact	Scale of Impact
Recessionary conditions in UK and Europe	Lower demand for Sri Lanka's exports precipitated by weak demand from key export markets in UK and Europe causing an adverse impact on the Country's trade balance owing to lower export earnings	H
Lower inflation	Reduced pressure on the trade balance owing to lower cost of imports	M
Declining commodities prices		

Global Economic Outlook and Forecasts

Following the slowdown in 2023, global growth is set to edge down further in 2024, with broad based softening expected to take place across advanced and emerging economies alike.

Source: Global Economic Prospects (World Bank Publication) - January 2024

SRI LANKAN ECONOMIC UPDATE

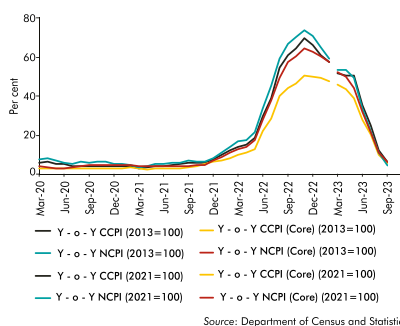
Burdened by the lagged effects of the 2022 economic crisis, the Sri Lankan economy contracted in the first half of 2023, but managed to recover reasonably well in the second half of the year driven by improved performances across all major sectors. The economic revival in the latter part of the year is partly attributed to the success of the sweeping policy changes that saw inflation declining from its peak in September 2022, to well within the desired level of mid-single digit by December 2023. Furthermore successive rate cuts by CBSL from June 2023 onwards ensured greater stability in policy rates which provided the much needed impetus for the resurgence in economic activity. The LKR appreciated by 11% against the USD to end the 2023 on a strong note, a sharp contrast to the performance in 2022.

Despite lower exports, Sri Lanka's external sector also appeared to stabilise in 2023. Thanks to the collective impact of lower imports in the first half of the year, strong month on month improvement in inward remittances throughout the year and higher tourism sector revenues, the Country reported a current account surplus of USD 1.2 billion as at end Q3 2023.

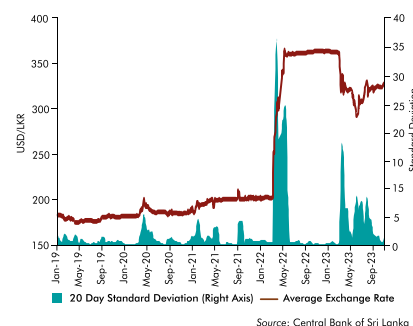
Meanwhile the new tax regime introduced by the government as part of the IMF-led structural reform programme, appeared to

be quite challenging for both individuals and corporates who had to contend with a notable deterioration in disposable incomes and operating profits respectively.

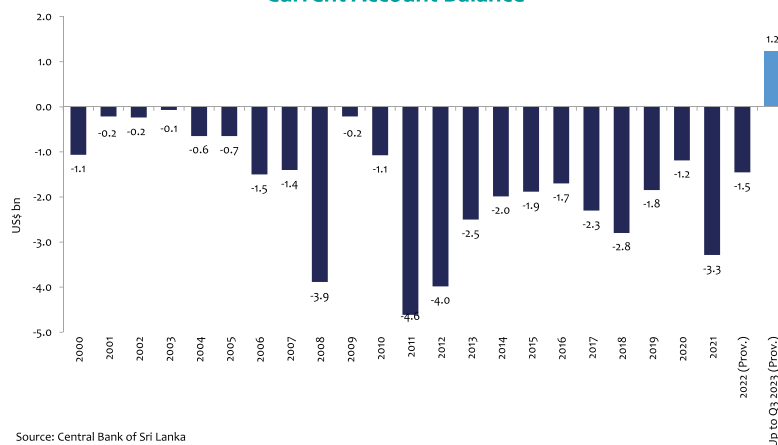
Inflation



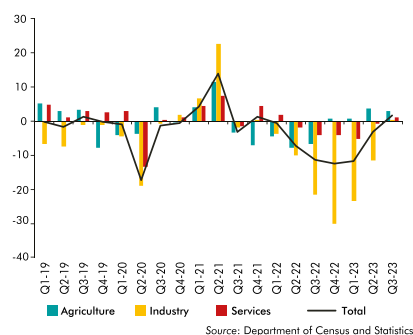
Exchange Rate Volatility



Current Account Balance



Quarterly GDP Growth



Implications for the Banking Sector from the Country's economic turnaround in 2023

Trend	Nature of Impact	Scale of Impact
Lower inflation	More conducive environment for business expansion and investing in new business opportunities causing a strong demand for credit	H
Lower market rates		
Current account surplus	Ability to restore overseas trade ties and improve access to foreign funding sources	H

Sri Lanka's Economic Outlook and Forecasts

Current predictions suggest the Sri Lankan economy will stabilise further in 2024 with GDP growth expected to push into positive territory driven by sustained expansion of all key sectors of the economy.

Source: IMF Country Report No. 23/408

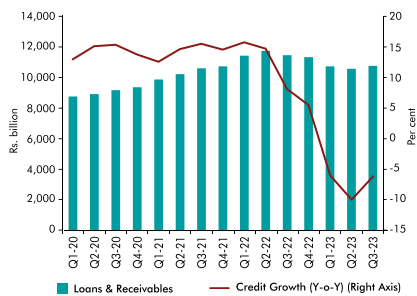
OPERATING ENVIRONMENT

BANKING SECTOR PERFORMANCE

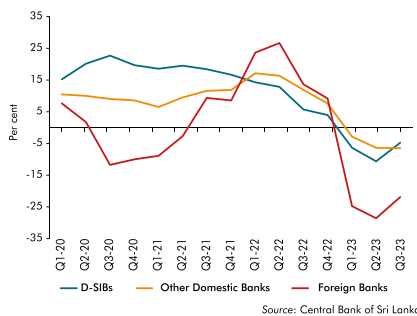
Asset Growth

While weak credit demand in the first half of 2023 marked a slow start to the year, the second half saw the Banking sector leveraging the growing credit appetite to record a growth of 1.8% on a QoQ basis compared to Q3 2022.

Loans and Receivables



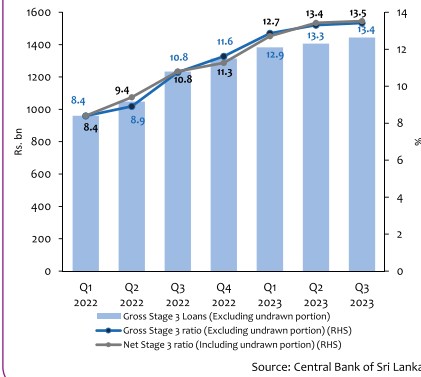
Credit Growth based on Bank Category (Y-o-Y)



Credit Quality

The sharp deterioration in credit quality experienced by the local Banking sector over the past 18 months, moderated slightly towards end-2023 reflecting improved economic conditions in the latter part of the year.

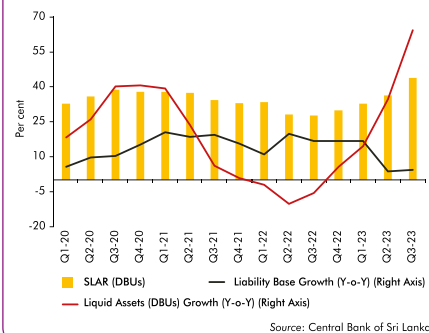
Stage 3 Loans of the Banking Sector



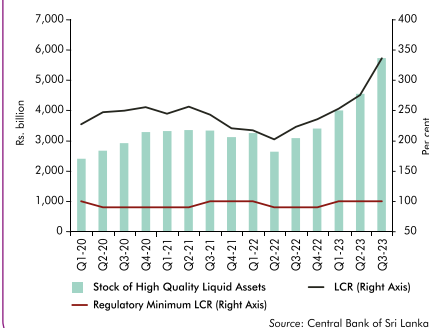
Liquidity Position

Liquidity levels of the Banking sector strengthened in 2023 with all liquidity ratios comfortably above the regulatory minimum requirements.

SLAR of DBUs



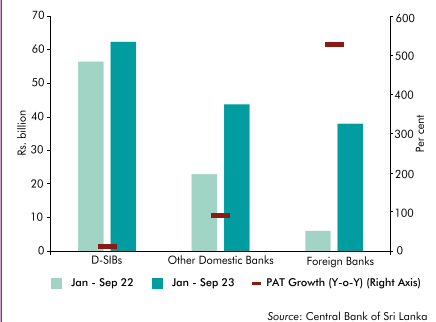
Rupee LCR



Profitability

The local Banking sector reported higher profits in 2023 primarily attributed to the overall reduction in impairment provisions.

PAT by Bank Group



Source: Banking Sector Developments December 2023 (CBSL Publication)

BUSINESS REVIEW

BUSINESS BANKING

Amāna Bank's Business Banking portfolio reported strong growth in 2023, supported by broad based credit expansion strategies aimed at driving higher volumes. With most corporates shopping for the best rates amidst high financing rates in the first half of the year, the Bank moved ahead with efforts to promote its unique value proposition. The reformulated "easy cash" short term flexible funding solution too proved to be immensely popular among corporates.

The campaign to promote sustainable financing with special emphasis on renewable energy investments also gathered momentum in 2023 with Amāna bank

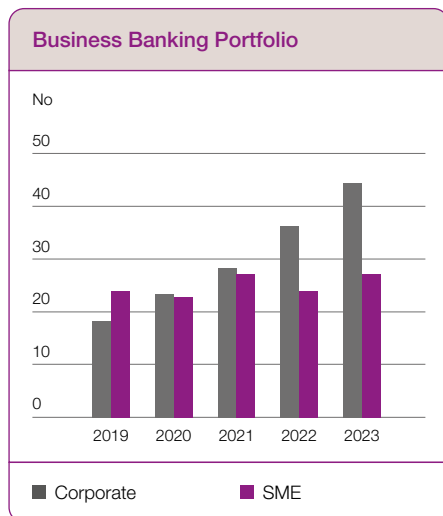
financing several large projects, among them is the 2MW ground mounted 'Horana Solar Power Plant' commissioned by Vidullanka PLC.

To further enhance the corporate banking experience, Amāna Bank's Corporate Banking office was relocated to the 5th and 6th floors of the Bank's Main Branch. The new offices equipped with state of the art conference rooms and private meeting spaces which provide an exclusive setting for confidential discussions, signifies the Bank's commitment to providing a unique and ultra modern banking experience for corporate clients.

Recognizing the importance of efficiency in international trade, Amāna Bank's main Trade Services office was also moved to a dedicated space at the Bank's Main Branch at 365, Galle Road, Colombo-3, while specialised Trade Desks were set up at selected branches across the network. This strategic alignment aims to expedite the turnaround time and convenience in import/export trade finances, which is strengthened by the Bank's strong international network of over 60+ Correspondent Banking Network. Meanwhile signalling an important milestone in Amāna Bank's capacity for trade facilitation with India, the Bank was granted approval by the CBSL to allow its corporate customers to transact directly in Indian rupees (INR).

Meanwhile, the conscious strategy to promote short term working capital financing to SME's allowed the Bank to take advantage of rate reduction to grow the portfolio. Further underscoring Amāna Bank's ongoing commitment to SME sector growth, the Bank partnered Hayleys Agriculture Holdings Ltd. to launch an exclusive agri-machinery financing solution to meet the diverse needs of farmers and rice-millers in Sri Lanka. At the same time, keen to tap into new and emerging SME segments, the Bank launched a campaign targeting micro entrepreneurs, with special emphasis on enabling women-led businesses. To support this endeavour, the number of Ladies Banking Units across the branch network were increased and coupled with more focused efforts to empower women led business through special e-commerce and payment solutions.

A culmination of these strategies saw the Business Banking portfolio growing by 18% year on year, while the related finance income increased from LKR 6.9 Billion in 2022 to LKR 10.5 Billion in 2023, denoting a 53% improvement year on year.



Enabling Vidullanka Ground Mounted Solar Farm



Opening of New Corporate Banking Premises



SME Business Forum in Kandy

BUSINESS REVIEW

Given the high market rates, the Bank was conscious not to attract high cost deposits and adopted a cautious approach to deposit mobilisation activities in 2023. Nonetheless organic inflows saw the Business Banking deposit portfolio recording a 23% growth year on year. However the emphasis on CASA was intensified with the aim of capturing a larger share of the transactional accounts of corporate customers.

In the meantime credit quality continued to be well managed thanks to stringent recovery and collection action. SME's who remained under stress owing to the prolonged economic downturn continued to be offered advisory services on risk mitigation and financial discipline to help streamline their cash flows and improve their repayment capacities over time. Broad based action of this nature enabled the Bank to maintain a low NPA ratio attributed to Business Banking.



Lobby of the New Corporate Banking Premises

Performance Highlights

LKR Mn	2023	2022	Change
Financing Income	10,581	6,924	53%
Net Fee and Commission Income	593	477	24%
Total Income	11,175	7,401	51%
Gross Advances	70,934	59,862	18%
Deposits	33,655	27,271	23%

Future Outlook

Going forward, the outlook remains positive. The gradual resurgence of economic activity is expected to trigger broad based investment from the corporate sector alongside a slow but steady revival of the SME sector. Amidst this backdrop, Amāna Bank will look to build on the success achieved in 2023 and in doing so aim for more ambitious growth targets across all key performance metrics.



Partnership with Hayleys to promote Agri-machinery financing



Promoting Agri-machinery Financing

RETAIL BANKING

On an overall basis, Amāna Bank's Retail Banking portfolio performed well to record a commendable growth in income over the previous year.

Along with the expansion of Self Banking Centres to remote locations and the re-establishment of the direct sales channel, the Bank witnessed a strong uptake in terms of new bank customers, including customers banking for the first time, testifying the Bank's commitment to financial inclusion.

In terms of retail financing, after a slow start to the year, owing to inflationary pressures and lower disposable incomes, the credit

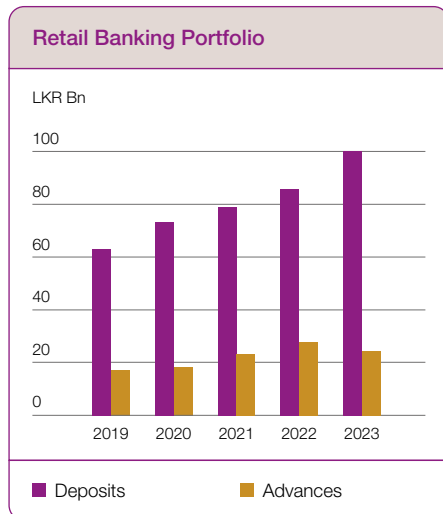
appetite from the market picked up in the second half of the year on the back of a resurgence in economic activity from Q3 onwards. Capitalizing on the opportunity, Amāna Bank moved swiftly to grow its vehicle financing book. Similarly the government decision to lower policy rates from June 2023 paved the way for the Bank to grow its housing and personal financing portfolios.

At a time when many people were compelled to postpone their financing needs owing to high rates and stringent repayment terms, Amāna Bank came forward to offer attractive solutions at highly competitive rates and extended repayment plans to match up with the customers' affordability. Employing multi-pronged approaches to support its credit expansion drive, cross selling was further intensified, while the Bank's comprehensive and dynamic web platform was also made available for customers to apply for their financing facilities. Partner engagement with vehicle dealerships and selected condominium developers were also further strengthened in a bid to improve customer reach. Moreover, to further diversify the product range offered under the personal financing category, Amāna Bank tied up with Singer Sri Lanka to launch an affordable solar financing solution to urge retail customers to invest in household solar as a means of reducing their energy costs and going green.

Meanwhile, within the personal financing category, more emphasis was given to enable women micro entrepreneurs to access much needed financial assistance. To further drive this effort, Amāna Bank signed a MOU with the National Craft Council to empower these small scale entrepreneurs to expand their market reach.

The Bank's Gold Certificate Financing portfolio continued to gain traction in 2023 with more customers availing this unique product across the branch network. Amāna Bank's rate structures for Gold financing continued to be the lowest industry-wide, reflecting the Bank's long standing approach to leverage Gold Certificate Financing as a means of promoting financial inclusion among unbanked and underbanked rural populations.

NPAs across all advance portfolios were well managed throughout the year, ensuring retail NPAs were well below the industry average.



Partnership with Singer to promote Solar Financing



Shop And Win Debit Card promotion

BUSINESS REVIEW

Given the conducive environment for deposit mobilisation, the Bank’s deposit book registered strong growth in the year under review. Moreover owing to the healthy liquidity buffers in place, the Bank directed its attention to drive low cost funding (CASA) from the mainstream retail market. A focused campaign to augment the Children’s Savings offering, saw Amāna Bank tying up with Daraz, - Sri Lanka’s leading e-commerce marketplace, to offer the account holders an innovative gifting experience. This partnership which marks a groundbreaking step in Amāna Bank’s promotional efforts, has allowed the Bank to utilise an e-commerce platform to incentivise young savers for the first time in the local banking industry.

The Bank’s Card Business also witnessed remarkable growth in terms of both card transactions and volume, supported by many seasonal discount offers from merchants.

Performance Highlights

LKR Mn	2023	2022	Change
Financing Income	3,945	3,068	29%
Net Fee and Commission Income	329	247	33%
Total Income	4,274	3,314	29%
Gross Advances	24,653	27,243	(10)%
Deposits	99,283	85,275	16%

Future outlook

The gradual improvement in economic indicators will revive the credit appetite from the retail market over the coming months, thus paving the way for more robust growth in the advances book. However, with competitive pressure likely to intensify significantly, the major priority for Amāna Bank will be to attract low cost funding to support efforts to widen its reach in the retail banking market. Further, with expectation to establish its presence across all 9 provinces in the country, predominantly through its successful Self-Banking Centre model, the Bank intends to reach out to a wider population to offer its people-friendly banking products and services.



Partnership with Daraz to introduce novel gifting mechanism for Children's Savings



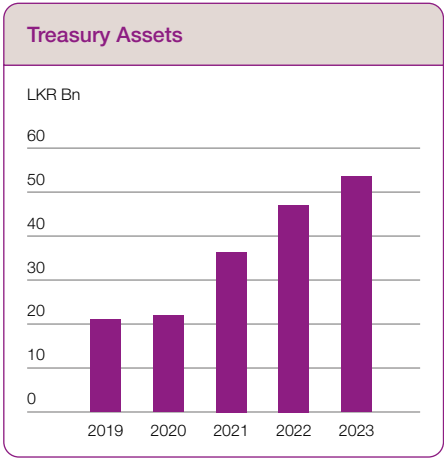
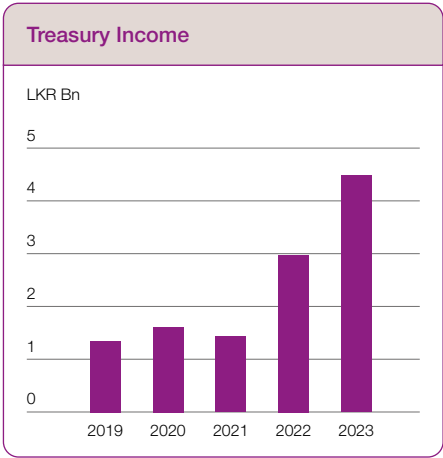
Women Entrepreneurship Programme in Kandy Branch

TREASURY OPERATIONS

As the Rupee moved to more stable ground in 2023, Amāna Bank’s Treasury seized the opportunity to boost its foreign exchange income in 2023. With improving economic indicators in Sri Lanka creating an enabling environment for the resumption of ties with overseas counter-parties, the Treasury moved swiftly to strengthen long standing connections with existing networks while working concurrently to initiate relationships with several new overseas correspondent banks. A key achievement in the current financial year was the establishment of new Nostro Accounts in India and Saudi Arabia.

The launch of a new product in 2023 - the Commodity Murabaha also marks an important milestone in the Treasury’s endeavour to engage with overseas counterparties.

A culmination of these efforts saw the Bank recording a robust 50% year on year improvement in Treasury income compared to the previous year.



Meanwhile, with greater exchange rate stability resulting in higher foreign currency inflows to the Country, the Bank’s foreign currency deposit volumes also registered a strong increase compared to the previous year.

RMA List					
No.	Country	Name of Bank	BIC	RMA Status	RMA Established Date
1	India	Indian Overseas Bank - Chennai, India	IOBAINBB	Active	11 September 2023
2	UAE	Abu Dhabi Islamic Bank - Abu Dhabi, UAE	ABDIAEAD	Active	3 October 2023
3	UAE	Siraj Finance Pjsc - Abu Dhabi, UAE	SRAJAEAA	Active	14 July 2023

Nostro Account List						
No.	Country	Name of Bank	Currency	Account No.	BIC Code	Account Opened Date
1	KSA	Bank Al Bilad - Riyadh, Saud Arabia	SAR	999136834730007	ALBISARI	4 September 2023
2	India	Standard Chartered Bank – Mumbai, India	INR	INR 22205669146	SCBLINBB	9 May 2023
3	India	Indian Overseas Bank - Chennai, India.	INR	803	IOBAINBBXXX	26 September 2023

Future outlook

As the Sri Lankan economy accelerates its growth trajectory, the Rupee is expected to further strengthen, in turn causing the USD to remain under pressure in 2024 as well. Amidst this backdrop, Amāna Bank’s Treasury will aim to work in tandem with market movements to maximise gains on its foreign exchange portfolio in the coming months.



FINANCIAL CAPITAL

Financial Capital is the lifeblood of the Bank with its components collectively providing the foundation to ensure the Bank has adequate capital and liquidity to continue as a going concern, after meeting its financial obligations.



Financial Capital Development Scorecard

Management Approach



Amāna Bank's approach to managing financial capital is based on driving earnings growth coupled with appropriate cost management strategies to ensure year on year growth in profitability. In addition, the Bank will undertake to enhance its capital funds, if required to do so due to Regulatory or business requirements.

Key Priorities for 2023



- ◆ Focus on asset growth
- ◆ Dynamic re-pricing of asset and liability portfolios to enhance earnings capacity
- ◆ Effective recovery management and prudent impairment strategies to prevent credit quality deterioration
- ◆ Stringent management of overheads to bolster profitability
- ◆ Comply with CBSL's Minimum Capital Requirement for local banks

Stakeholder Value Creation Highlights



45% YoY growth in Operating Income



76% YoY PAT growth



13% YoY Asset Growth



7.7% - ROE (2022 – 5.6%)

Future Plans



Medium Term

- ◆ Deployment of new capital towards higher yielding assets



Long Term

- ◆ Reduce cost-to-income ratio below industry average
- ◆ Target ROE on par with industry average

MACROECONOMIC OVERVIEW

While continuing to grapple with spillover effects of the 2022 economic crisis, the Sri Lankan economy contracted sharply in the first half of 2023. However a rebound was evident in the second half supported by broad based corrective measures taken by the authorities to create the impetus for economic revival. Most notably, inflation, which was at 59% in December 2022, shrank to 4.2% by December 2023, while successive rate cuts announced by the CBSL from mid-2023 saw the Average Weighted Deposit Rate and the Average Weighted Lending Rate, both declining progressively in the latter part of the year. The exchange rate also exhibited a greater stability, as reflected by the 11% appreciation of the LKR against the USD in 2023, in contrast to the sharp depreciation recorded in 2022.

With the gradual normalisation of economic indicators suggesting the imminent recovery of the Sri Lankan economy, 2 tranches of International Monetary Fund's Extended Fund Facility amounting to approximately USD 670 million were released, resulted in investor sentiments improving leading to a visible uptick in credit demand in the latter part of 2023.

ANALYSIS OF AMĀNA BANK'S PERFORMANCE

FINANCIAL POSITION

Financial Assets

Driven by the expansion in the Bank's treasury placements and core banking advances, total financial assets grew by LKR 17.8 billion or 13% YoY from LKR 141.7 billion in 2022 to close at a solid LKR 159.5 billion as at end-December 2023. Although the banking industry, including Amāna Bank experienced a downturn in terms of growth in advances during 1H 2023, the effective strategies to capitalise on the economic recovery enabled Amāna Bank to record a

Gross Advances

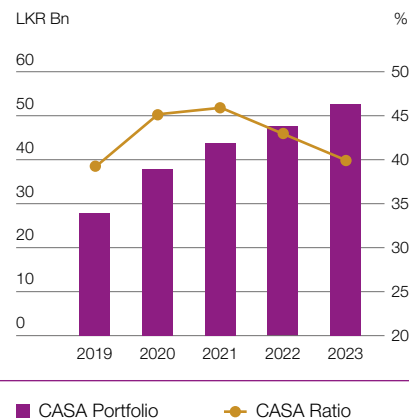


turnaround in 2H 2023. Supported by strong contributions from its Corporate and SME banking divisions, the Bank's advances portfolio expanded from LKR 83.1 billion in 2022 to LKR 89.7 billion by end-2023, denoting growth of 8% year on year.

Financial Liabilities

Amidst tight market liquidity conditions and stiff competition for funds in the market, deposit mobilisation proved to be a considerable challenge in 2023. Nonetheless, aggressive efforts by the Business and Retail teams saw the Bank's deposit portfolio growing by 18% to end 2023 at LKR 132.9 billion compared to last year's LKR 112.5 billion. The strong growth in deposits stands as a testament to the customer trust and confidence in Amāna Bank's people-friendly banking model. The

Current Account & Savings Account (CASA)



Bank also made good headway in growing its Current Accounts and Savings Accounts (CASA), which in the year under review stood at 40%, a commendable achievement considering that customers were more inclined towards high yielding term deposits as opposed to CASA.

Capital and Liquidity

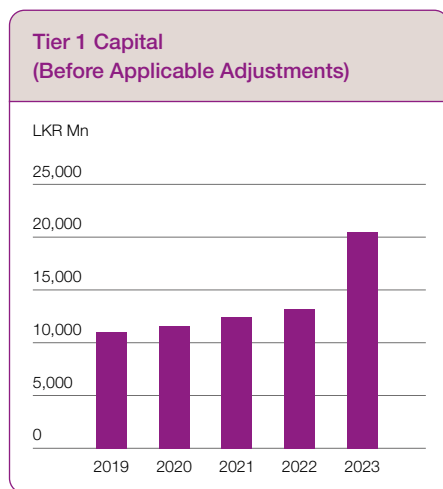
Amāna Bank's Total Capital Ratio improved in the year under review, supported by the successful Rights Issue. The issue which was initiated for the purpose of meeting the minimum capital requirement mandated by CBSL, helped to raise capital worth over LKR 6 billion. Whilst fulfilling its objectives of the Rights Issue, the Bank will utilise the new capital infusion to fund its core banking advances growth and continue to deliver value to its shareholders through continuous improvement in the Banks' bottom line.



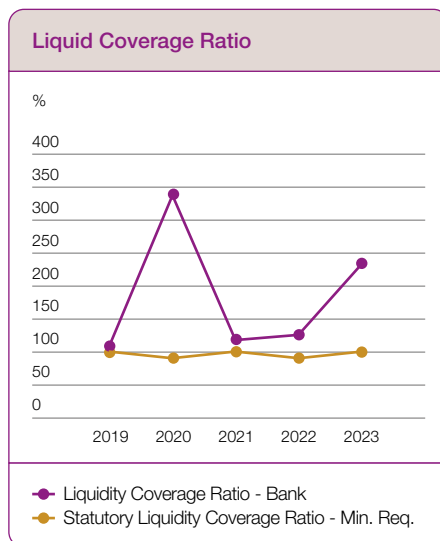
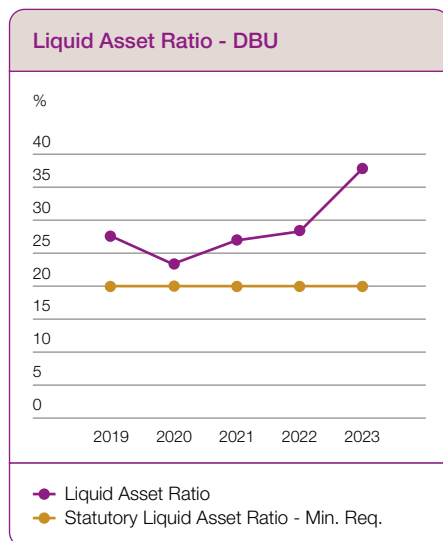
Marking successful Rights Issue with ceremonial market opening

FINANCIAL CAPITAL

As at 31 December 2023, Amāna Bank's Common Equity Tier 1 and Total Capital ratios were at 16.5% and 19.3% respectively, well above the regulatory minimum requirement of 7% and 12.5% respectively.



As in the past, the Bank continued to focus on maintaining healthy liquidity levels in both LKR and USD domains. The strong emphasis on maintaining adequate liquidity buffers ensured that the Bank was able to meet all stakeholder obligations on time and without delay.



Equity and Reserves

With Amāna Bank tabling its best-ever financial performance in the year under review, the Bank's total equity increased by 51% year on year.

INCOME STATEMENT

Net Financing Income

Amāna Bank's financing income grew to LKR 17.2 billion in 2023, a substantial increase from LKR 12.1 billion recorded in 2022, mainly due to expansion of the Corporate and SME portfolios, effective repricing of customer facilities and higher placement income. Financing expenses on the other hand rose from LKR 7.3 billion in 2022 to LKR 10.7 billion in 2023 mainly due to the significant increase in deposits as well as comparatively higher rates that were paid out. However, with the strong growth in finance income offsetting the increase in finance expenses resulting in a healthy financing margin of 4.3%, Amāna Bank recorded a Net Financing Income of LKR 6.5 billion in 2023, a 36% YoY increase from LKR 4.8 billion registered in 2022.

Net Fee and Commission Income

Steps taken by the authorities to progressively ease import restrictions during 2023, helped to bolster the Bank's trade-related business volumes, in turn contributing positively to Amāna Bank's fee based income which increased by 24% to LKR 931.3 million in 2023 as opposed to LKR 750.3 million in the previous year. Higher earnings from related foreign exchange commissions and account related tariffs for various services, also enabled the Bank to grow its Net Fee and Commission Income this year.

Operating Income

Amāna Bank's total operating income reached LKR 9.2 billion for 2023, a sizeable 45% increase from LKR 6.4 billion recorded in 2022. This increase was mainly supported by Net Financing Income, Net Trading Income earned through foreign exchange transactions and Net Fee and Commission Income.

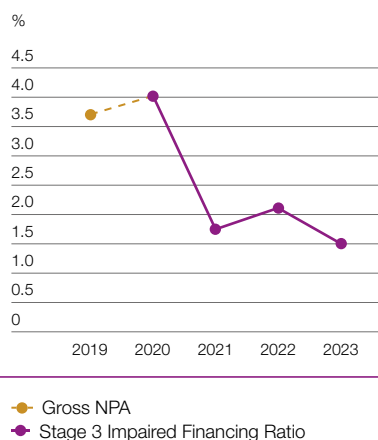
Impairment on Financial Assets

Taking note of current market conditions and future business challenges, the Bank on a

prudent basis decided to maintain higher credit buffers to safeguard against unforeseen adverse impacts stemming from the exposure to various sectors of the economy. Consequently, the impairment charge on financial assets increased from LKR 1.6 billion in 2022 to LKR 2.1 billion in 2023. The increase was in part due to the additional management overlays applied to take account of businesses operating in risk elevated sectors and others most vulnerable to economic shocks.

Alongside efforts to expand the credit portfolio, the Bank also heightened its engagement on recovery and follow up activities in order to maintain strong asset quality which has been a major differentiator that has set the Bank apart from peers. Lower customer defaults in 2023 enabled the Bank to maintain the Stage 3 ratio at 1.5% as at 31 December 2023, which was well below the industry average.

Gross NPA / Stage 3 Impaired Financing Ratio



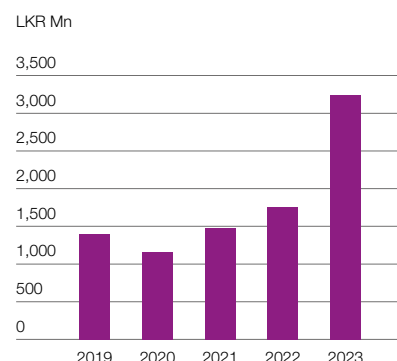
Net Operating Income

The Bank closed the year with Net Operating Income of LKR 7.1 billion, significantly above the LKR 4.7 billion reported for 2022 despite the higher impairment charge in 2023.

Operating Expenses

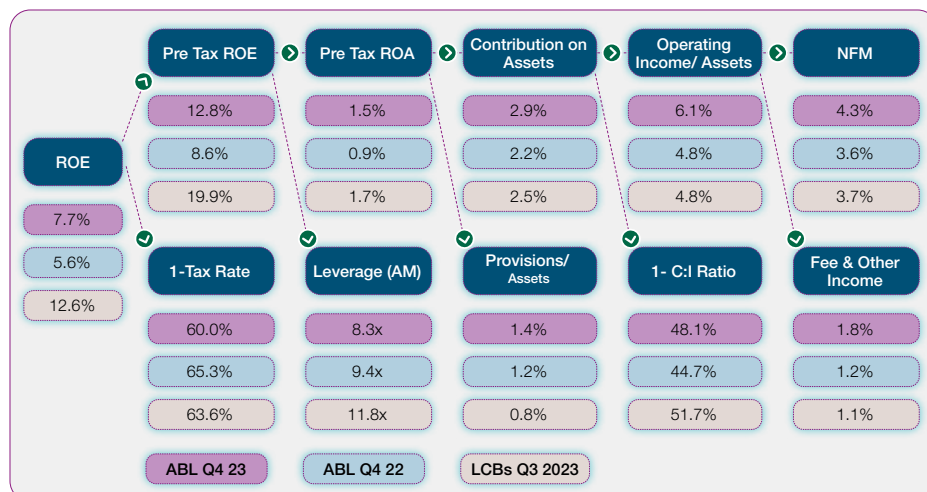
Operating expenses increased in the year under review, mainly due to the build up of inflationary pressures until mid-2023. However, Bank-wide cost containment measures helped to maintain the overall cost to LKR 3.9 billion in 2023, from LKR 3.0 billion recorded in 2022. Despite the increase in operating costs, Amāna Bank's cost to income ratio declined from 47% in 2022 to 42% in 2023 signalling the success of the Bank's efforts to leverage on the current resources to add value to all stakeholders.

Operating Profit Before Taxes on Financial Services



Profitability

Recording its best ever performance in its 12-year history, Amāna Bank tabled Profit Before Tax of LKR 2.3 billion for 2023, a remarkable 92% improvement over the LKR 1.2 billion reported a year ago. Even after accounting for LKR 907 million as Value Added Tax on Financial Services & Social Security Contribution Levy and another LKR 925 million as income tax expenses for the current financial year, Amāna Bank ended 2023 with a Profit After Tax of LKR 1.3 billion, reflecting a solid 76% improvement year on year. A culmination of these factors saw the Bank's Return on Equity increasing to 7.7% from 5.6% in 2022.



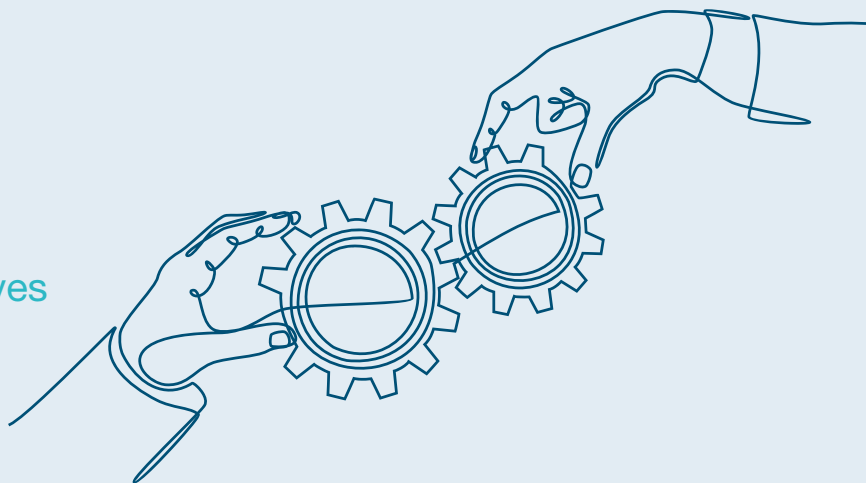
Other Comprehensive Income (OCI)

Other Comprehensive Income (OCI) for the year reflected a loss of LKR 17 million mainly attributed to the change in fair values of quoted investment portfolio, where such change is measured through the Statement of Comprehensive Income. Consequently the Bank closed 2023 with a Total Comprehensive Income of LKR 1.3 billion.



MANUFACTURED CAPITAL

Manufactured Capital which comprise the physical infrastructure and digital architecture which together create the ecosystem that serves as the backbone of Amāna Bank's day-to-day operations.



Manufactured Capital Development Scorecard

Management Approach



Amāna Bank's approach to Manufactured Capital development is based on making consistent investments to strengthen the Bank's physical and digital footprint to enable diverse customer segments across Sri Lanka to benefit from the Amāna value proposition.

Key Priorities for 2023



- ✦ Branch network consolidation
- ✦ ATM/CDM network expansion and modernisation
- ✦ SBC (Self Banking Centres) network expansion
- ✦ Build IT system resilience
- ✦ Increase digital channels for customer convenience

Stakeholder Value Creation Highlights



Expansion of CDM (Cash Deposit Machines) facility to existing branch network. 15 CDMs were added during the year with total count of branches with CDM increasing to 32. Increased CDM deposit amount to LKR 500,000



6 new SBCs were established to drive financial inclusion among rural unbanked and underbanked taking the Bank's SBC count to 27



Launch of WhatsApp banking service for retail, SME and corporate customers

Automated Cheque Deposit machine was introduced to select branches

Future Plans



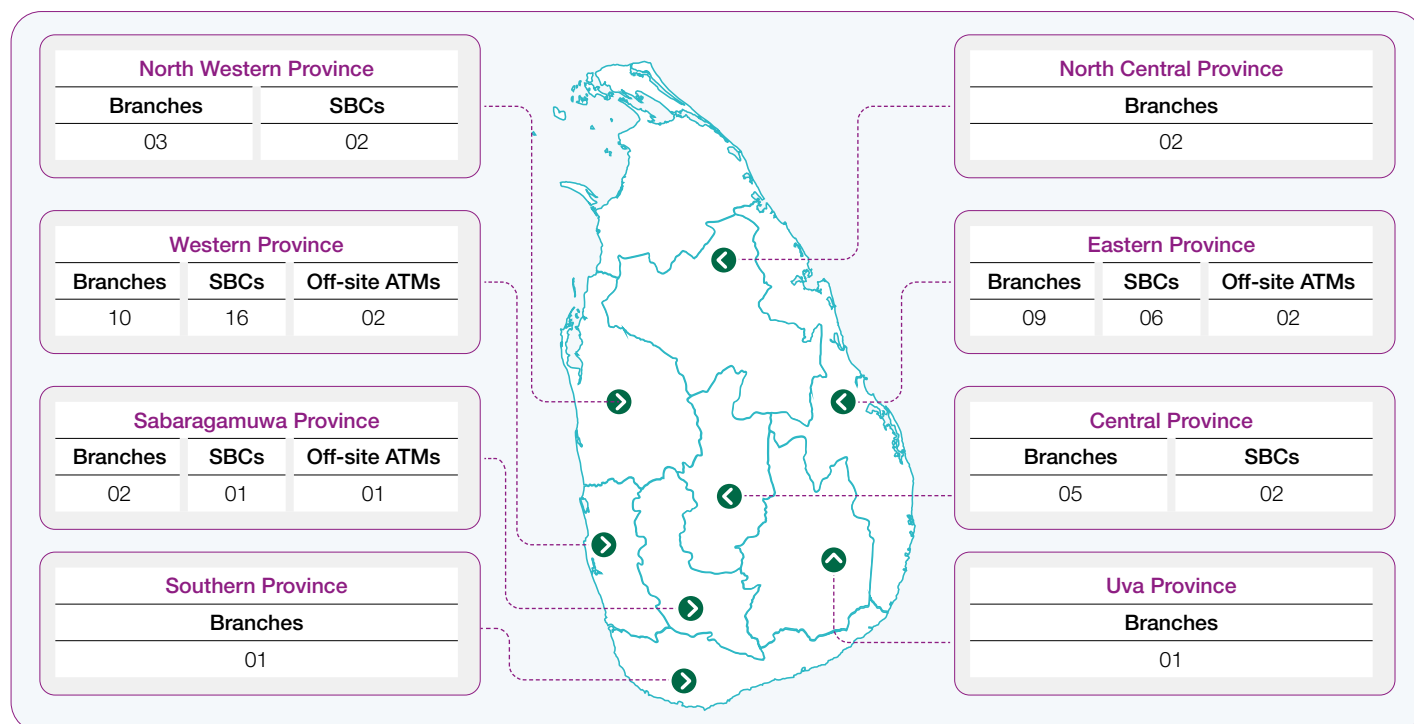
Medium Term

- ✦ Having presence in all provinces
- ✦ Strategic expansion to areas presenting key population demographics and strong business prospects
- ✦ Migrate to a new card management system with better functionality
- ✦ Improve scalability of digital channels through the introduction of QR based payment systems
- ✦ Introduce new features to CDMs such as bill payments
- ✦ Expansion of Automated Cheque Deposits to other branches
- ✦ Augment 'Your Bank' app with additional features



Long Term

- ✦ SBC network expansion with greater coverage in remote areas
- ✦ Continuously enhance the functionality of the SBC model



BRANCH NETWORK

Amāna Bank's branch network remains the mainstay of the Bank's core business operations. Given that the branch acts as the main customer touch-point, the Bank sees the development of the branch network as a top priority. Strategic investments made over the past decade have enabled Amāna Bank to build a strong island-wide branch footprint represented by 33 branches across 8 provinces.

Given the macroeconomic challenges encountered in recent times, including in 2023, the Bank decided to maintain its current branch footprint. With no new branches added to the network in 2023, it was decided to make optimal use of the existing branch network to enhance the overall customer experience. The key focus in this regard was to improve the self-service facilities at branches, mainly through the introduction of CDMs to give

customers round the clock access to carry out their basic banking needs. Hand in hand with these efforts, routine upkeep and maintenance of branches were continued.

SELF BANKING CENTRES

Since the launch of Amāna Bank's first SBC in 2017, the Bank has channelled considerable resources to strengthen and evolve the value proposition delivered

through the SBC network. Today, Amāna Bank's SBCs are structured as standalone mini banking units that deliver 24/7 access to basic banking services, such as cash deposits, withdrawals, and cheque deposits.



Opening of Madawala SBC



Opening of Sainthamaruthu SBC

MANUFACTURED CAPITAL



Opening of Addalachenai SBC



Opening of Welisara SBC



Opening of Galhinna SBC



Opening of Atulugama SBC

In 2023, Amāna Bank tied up with AB Securitas, marking a significant step in the Bank's efforts to accelerate the SBC rollout across the Country, especially to remote areas with limited access to formal banking services. Following the tie up, 6 new SBCs were set up during the course of the year, all of which were in the outskirts across 4 districts, in areas with limited banking presence.

ATM/CDM NETWORK

Since commissioning its first ATM in the year 2012, Amāna Bank has steadily increased its investments in building its ATM footprint. In 2023, 21 CDMs were commissioned, of which 15 were at branches and the remaining at off-site / SBC (Self Banking Centre) locations.

In parallel, the card management system was also upgraded with a range of in-built security features. Meanwhile with the expansion of the CDM network, the cash loading process at ATM's / CDM's was strictly monitored to ensure delivery Turn-around-Time (TaT) were being adhered to across all locations.

DIGITAL CHANNELS

Amāna Bank marked its entry to the digital banking sphere with the launch of its mobile application - "Your Bank" in September 2022. In 2023, several awareness campaigns were carried out with a view to driving the uptake of the "Your Bank" app. The app has since gained considerable traction as proven by the strong adoption rate among the Bank's retail customer base.



Opening of ATM at Cool Planet



45,013

Number of 'Your Bank' app
Customers - 2023

Tried out the easiest way to check your balance yet?

WhatsApp Banking

Just say 'Hi' and get started!

WhatsApp > 0707 756 756

Continuing to embrace digital innovation, Amāna Bank's WhatsApp banking service was launched in mid-2023. Designed in conformity with the highest security standards to safeguard against unauthorised access, the WhatsApp banking service is designed for customers to inquire in their preferred language (English, Sinhala or Tamil) about the balances of any account linked to their registered mobile number. The WhatsApp banking service was opened up for all retail, SME and Corporate customers.

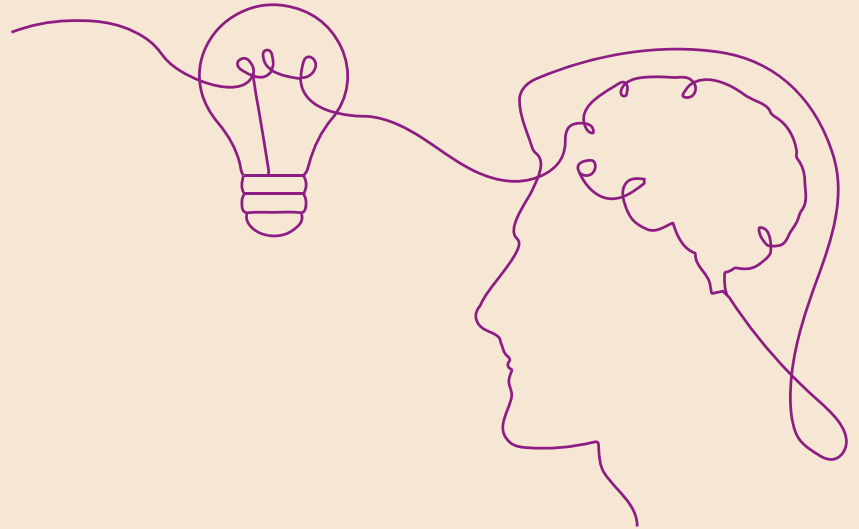
IT INFRASTRUCTURE

The Bank made some notable progress in strengthening its IT infrastructure following the completion of several major projects in 2023, key among them the investment made in further enhancing the Network Access Storage (NAS) system with new technology to enable centralised data storage, facilitate remote access, and ensure robust data backup and recovery all contributing to a significant improvement in operational efficiency. In addition, the Bank upgraded existing hardware (desktops and laptops) used by employees during the year. The new computing solutions with their enhanced processing power and improved performance have greatly improved the operational efficiency by allowing our teams to work seamlessly and respond to customer needs more effectively.



INTELLECTUAL CAPITAL

Intellectual Capital represents the collection of, mostly unquantifiable intangible assets that form the basis of Amāna Bank's unique competitive positioning.



Intellectual Capital Development Scorecard

Management Approach



Amāna Bank invests in developing its Intellectual Capital in direct correlation with the Bank's strategic ambitions.

Key Priorities for 2023



- ✦ Enhance the Ethics Framework
- ✦ Minimise knowledge attrition
- ✦ Increase the investment in digital disruptive technology
- ✦ Continuous improvement in information security resilience
- ✦ Increase Brand Value

Stakeholder Value Creation Highlights



ZERO ethics violations



ZERO Whistleblower Complaints



ZERO incidents of information security breaches

Future Plans



Medium Term

- ✦ Adopting Low Code platforms to accelerate digital integration
- ✦ Implementing the Payment Card Industry Data Security Standard (PCI DSS)
- ✦ Upgrading to the latest ISO 27001:2022 Standard
- ✦ Strengthen the Bank's 'Open to All' brand identity



Long Term

- ✦ Explore the engaging machine learning tools
- ✦ Implement a 24x7 Security Operations Centre (SOC) to provide comprehensive assurance

BRAND IDENTITY

The Amāna Bank brand identity is one of the most valuable intangible assets the Bank possesses. Historically, Amāna Bank's brand identity is built on being the country's first and only Licensed Commercial Bank to operate in complete harmony with the globally growing non-interest-based Islamic banking model. Today Amāna Bank stands as a fully inclusive Bank committed to support the financial needs of all individuals, communities and businesses in Sri Lanka through its distinctive 'people-friendly' banking model. To articulate its mission of Enabling Growth and Enriching Lives, Amāna Bank caters to the needs of diverse customer segments through a growing network of 33 branches, 27 Self Banking Centres, 6,000+ ATM access points as well as dedicated Banking Units Exclusively for Ladies.

Apart from its unique approach to banking, investments in digital disruptive technology in recent times, including the highly sophisticated "Your-Bank" mobile banking application, eOnboarding and Online Account Opening services, Debit Card with SMS alerts, 24x7 Cash Deposit Machines and the latest WhatsApp Banking, continue to elevate Amāna's status on par with the latest global standards.

Similarly, Amāna Bank's stellar financial performance and ability to deliver incremental shareholder returns notwithstanding the extreme challenges encountered over the past 12 years has further augmented the value of the Amāna brand. As per the latest ranking of LMD Brand Finance Top 100 Most Valuable Brands in Sri Lanka, Amāna Bank climbed an impressive 14 positions. The significant ranking advancement from 81st to 67th position in one year is a testament to Amāna Bank's growing popularity and strong brand acceptance.

Brand Achievements 2023

LankaPay Technnovation Awards

- ◆ Gold Award for 'Best Common ATM Acquirer of the Year – Category C

IFN Awards 2023

- ◆ Best Islamic Bank in Sri Lanka

Brand Review Magazine

- ◆ Best Islamic Bank Sri Lanka 2023
- ◆ Most Innovative Digital Transformation Bank Sri Lanka 2023
- ◆ Best Sustainability Bank Sri Lanka 2023

SLIBFI Awards

- ◆ Gold Award for Spirit of Islamic Finance
- ◆ Merit Award for Best Fintech Offering

LMD Brand Finance Most Valuable Brands

- ◆ Ranked 67th

Transparency International – Transparency in Corporate Reporting

- ◆ Ranked 30th

LMD Top 100

- ◆ Ranked 90th

The Asian Banker Top 100 Islamic Banks in the World Rankings for 2023

- ◆ 37th Strongest Islamic Bank in the World
- ◆ 100th Largest Islamic Bank in the World

Global Finance USA

- ◆ Best Islamic Bank in Sri Lanka

TAGS Awards

- ◆ Certificate of Compliance

Euro Money Market Leader

- ◆ Market Leader for Islamic Finance

In a challenging year, Amāna Bank stood out as one of the few brands to record a positive growth in their brand value, highlighting the Bank's resilience and successful adaptation to changing market dynamics, while maintaining its focus on delivering outstanding performance.

The Amāna Bank brand is further augmented with the support of its key strategic shareholder, IsDB Group, which is an AAA rated supranational development financial institution with 57 member countries.



Amāna Bank team members with LankaPay Technnovation Award



Receiving Spirit of Islamic Finance Award at SLIBFI Awards 2023

INTELLECTUAL CAPITAL

CULTURE AND ETHICS

The success of Amāna Bank’s unique people-friendly banking model revolves around a strong culture of ethics, wherein all employees are expected to fully align with the Bank’s conduct policies at all times. The Board approved Code of Conduct plays an anchoring role in imbining ethical behaviour among employees.

In 2023, the Anti-Bribery and Corruption (ABC) clauses contained in the Code were extracted and further expanded to form a fully-fledged ABC Policy and approved by the Board.

The ABC policy was made explicitly applicable to all employees and directors as well as persons who aren’t employees but authorized to act on behalf of the company (agents, advisors, representatives, suppliers, contractors and sub-contractors).

The ABC policy establishes expectations and responsibilities for all employees in the observance of and compliance with ABC laws. It also provides guidance on how to recognize, avoid and report suspicious acts of bribery and corruption; and further prescribes principles and controls intended to prevent, detect, and remediate bribery and corruption risks.

Every new recruit is made aware with regard to the ABC policy at the time of the Induction and Orientation Training programme. A comprehensive e-learning module has been developed covering the subject matter and made mandatory for all employees to follow as continuous training. Guidelines on red flags which could be indicators on bribery and corruption are shared with employees highlighting the importance of understanding, being vigilant and reporting of any suspicious activities.

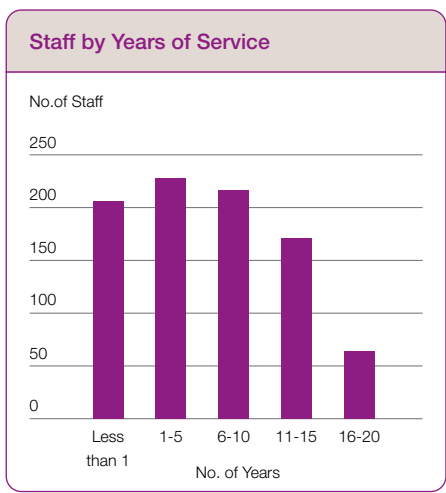
During the formulation of the ABC Policy, due consideration was given to incorporating all recommendations and value additions set by Transparency International Sri

Lanka (TISL), which is a prominent global movement against corruption. As part of continuous monitoring and regular review of all policies, the Board approved disciplinary policy for managing ethics violations and the Whistleblower Policy were also reviewed concurrently with the introduction of the ABC Policy and updated accordingly.

KNOWLEDGE BASE

The knowledge, skills and competencies of the Amāna Bank team is vital to the execution of the people-friendly banking model. With the economic crisis-induced brain drain affecting all sectors of the economy, including the banking industry.

Amāna Bank took broad based actions to safeguard its knowledge base through aggressive retention and strategic investments in training and capacity building as well as long term talent development programmes with a view to facilitating employee career mobility within the Bank in the years ahead. Supported by these proactive measures, the Bank was able to minimise attrition of staff in leadership positions, thereby minimising the impact on the Bank’s core knowledge base.



DIGITAL DISRUPTION

Amāna Bank’s investments in digital disruptive technology has proven to be a key enabler in transforming various aspects of the business model in a way that creates a significant competitive advantage. In 2023, technology integration was extended to several new areas of the Bank through process automation initiatives aimed at improving operational efficiency, minimising manual errors and reducing overall paper usage across the Bank.

Digitalisation/ Automation Initiatives	Business Unit/ Department	Key Benefits
Facility documentation preparation with C-Flash	Credit Administration Department	The document generation tool has helped to eliminate the paper-based forms previously used by the Credit Administration team as the basis for reviewing and approving of new credit facilities.
GL PSR Ratio Data Uploader	Finance Department	Automatic uploading of financial information has greatly improved processing speed and minimised the risk of errors to support the accuracy of data capture.
Audit Tracker	Internal Audit Department (IAD)	Enhanced tracking and monitoring of the IAD’s regular tasks of the audit report raising and tracking.
Gold Safe Keeping Dashboard	Contact Centre	Enabling the contact centre staff to have access to GSK related information after 5pm and on weekends (which was previously supported by the GSK system)

Apart from process automation, the Bank now leverages on data analytics technology to provide customer insights and other business intelligence data for the purpose of supporting more effective decision making.

INFORMATION SECURITY SYSTEMS

Building strong, resilient Information Security architecture has always remained a top priority for Amāna Bank. To that end, the Bank's information security systems adheres to the guidelines of the Central Bank of Sri Lanka. Going beyond compliance, the Bank has sought the voluntary adoption of global best practices. Premised on this, Amāna Bank's Information Security systems have been ISO/IEC 27001:2013 certified for the past 6 years. Reaffirming commitment to upholding information security standards, the ISO/IEC 27001:2013 recertification was obtained in 2023 in lieu of Amāna Bank's management of information security pertaining to IT services and infrastructure provided by the Bank's Information Technology Department and Disaster Recovery Site.

In addition to the ISO/IEC 27001:2013 recertification audit, Amāna Bank's own internal Information Security (InfoSec) team continued to perform regular assessments of the Bank's IS architecture by scrutinising security controls and identifying potential vulnerabilities. Additionally, the Bank's Internal Audit team also conducted its scheduled audit programme to assess the efficacy of the information systems against the Baseline Security Standards prescribed by the Central Bank of Sri Lanka and other recognised standards like ISO 27001. Other due diligence activities carried out in the current financial year included the comprehensive annual IS audits by Ernst and Young (EY), to independently assess a broad scope of the Bank's technology environment. Additionally, the Bank continued to seek the services of TechCERT to conduct security assessments, cyber drills, incident response simulations, and penetration testing.

Moreover, the Bank's risk-based approach to information security governance and oversight has led to the implementation of several new policies and procedures to address specific risk areas and align with evolving technological advancements witnessed in 2023. Among them was the Cloud Security Policy which was developed to formally document the end-to-end security considerations required when adopting cloud-based solutions.

In the year under review, Amāna Bank made excellent headway in improving the robustness of its information security systems to comply with the Central Bank of Sri Lanka Direction No. 16 of 2021 on "Regulatory Framework on Technology Risk Management and Resilience for Licensed Banks". The following initiatives were undertaken during the year:

- ✦ **Establishment of Threat intelligence process** to inform technology risk management decisions and increased vigilance over the latest threats.
- ✦ **Performance of internal security assessments for new technology implementations**, wherein all new technology implementations would be subject to a comprehensive security assessment before being deployed. This assessment is performed by a skilled internal team and covers all aspects of the technology, including its architecture, design, implementation, and operational procedures. The goal is to identify and address any potential security risks before the technology is mobilised.
- ✦ **Establishment of a skilled internal security team** to perform security assessments and implementations of all new technologies. The team consists of experienced security professionals with a deep understanding of the latest threats and vulnerabilities.

- ✦ **Enhanced training and development programmes for employees** to ensure employees have the skills and knowledge necessary to manage technology risks. These programmes cover a wide range of topics, including security awareness, risk management, and incident response, etc. By investing in our employees' training, we are able to reduce the risk of human error and improve our overall security posture.



HUMAN CAPITAL

Human Capital has a profound impact the ongoing success of Amāna Bank. The Bank's Human Capital, consisting of 886 men and women whose knowledge skills and passion for their work helps build a solid foundation for Amāna Bank to grow and thrive notwithstanding challenges.



Human Capital Development Scorecard

Management Approach



Amāna Bank's approach to Human Capital development is based on offering superior Employee Value Proposition (EVP) that will pave the way for 100% employee satisfaction throughout the employment lifecycle.

Key Priorities for 2023



- ✦ Attracting and retaining talent
- ✦ Developing the middle management talent pipeline
- ✦ Promoting females in leadership roles
- ✦ Strengthening employee engagement

Stakeholder Value Creation Highlights



LKR 1.4 billion paid as employee remuneration



129 new entry level recruits



21 middle management employees promoted

19 Executives on-boarded to the Executive Development Programme

21,133 training hours

3 females in leadership positions

Future Plans



Medium Term

- ✦ Implement digital on-boarding to enhance employee experience
- ✦ Implement the fully digitised performance management system
- ✦ Partner-driven specialised training for middle management



Long Term

- ✦ Develop a structured succession plan for the junior executive cadre
- ✦ Develop customised solutions to drive employee engagement

KEY FIGURES

Employees By Region	Male	Female	Total	Male%	Female%
Central	143	14	157	91%	9%
Western	177	37	214	83%	17%
Eastern	140	4	144	97%	3%
Head Office	292	79	371	79%	21%
No. of Total Staff	752	134	886		

Employees By Employment Contract	Male	Female	Total	Male%	Female%
Permanent	540	84	624	87%	13%
Probationary	112	37	149	75%	25%
Contract	100	13	113	88%	12%
No. of Total Staff	752	134	886		

Employees By Employment Category and Gender	Male	Female	Total	Male%	Female%
Managers & Above	133	8	141	94%	6%
Executives	168	19	187	90%	10%
Junior Executives & Below	451	107	558	81%	19%
No. of Total Staff	752	134	886		

FAIR AND EQUITABLE RECRUITMENT

Amāna Bank's recruitment policy reflects the Bank's commitment to fair and equitable recruitment. Framed around the principle of non-discriminatory and equal opportunity employment, the Bank's recruitment policy advocates a level playing field to support merit based recruitment. Accordingly, all potential candidates are subject to several assessments to determine their capacity and capability vis-a-vis the requisite competencies associated with the respective position.

HR GOVERNANCE

Amāna Bank's Human Resource Division (HRD) handles all HR related matters, including ensuring the Bank complies with applicable labour laws and operates

in alignment with globally accepted best practices. To that end, the Bank remains fully compliant with all statutory requirements as stipulated under the Shop and Office Employees Act of 1954, EPF Act, ETF Act and the Payment of Gratuity Act of Sri Lanka. Furthermore, as a signatory to the UNGC (United Nations Global Compact), Amāna Bank adheres to Principle 4: Forced or Compulsory Labour, Principle 5: Child Labour and Principle 6: Non-discriminatory employment.

A broad policy framework framed around the aforementioned statutory requirements and global best practices is in place and serves as the foundation for developing a competent and high functioning workforce with the passion to drive Amāna Bank forward.

The Bank communicates and maintains its 'Code of Conduct' Bank-wide and discourages acceptance of any form of gift in cash or kind from the Bank's internal or external customers. In addition, the company gift policy on giving gifts, hospitality, entertainment or expenses include a descriptive quoted amount as a threshold limit and the procedures and reporting requirements. The Bank explicitly prohibits any form of facilitation payment that would incur reputational damages to the Bank.

Further, the Bank's Anti-Bribery and Corruption Policy prohibits any payments to Politicians / Political Parties.

HUMAN CAPITAL

The Bank thoroughly condemns any type of gender discrimination or harassment during and out of employment, while remaining committed to create a harassment free workplace where all employees are treated with respect and dignity. The Bank’s Human Resources Management policies and procedures support diversity, fairness and inclusion of all persons while fostering a safe and secure work environment that is free from discrimination, violence and harassment.

The HRD under the leadership of Head of HR is tasked with implementing the Policy framework and monitoring all HR related activities. The Head of HR reports to the Chief Operating Officer of the Bank regarding policy revisions.

COMMITMENT TO BEST PRACTICES

Principle 4: Forced or Compulsory Labour - where employees enter into the contract of employment at their own free will and no individual will be forced to remain in employment should they not wish to do so.

Principle 5: Child Labour- Child labour is strictly prohibited at Amāna Bank and only those of full legal age are permitted to work in the Bank.

Principle 6: Non-discriminatory employment- Amāna Bank endorses equal opportunity at every stage of the employment life cycle and maintains a non-discriminatory approach throughout the employment process including recruitment, selection, evaluation, promotion, training and development of all employees. The Bank offers equal pay (1:1) for both men and women in comparable roles and ensures that all employees receive equal opportunities for growth and development regardless of age, gender or other factors.



In light of the high staff turnover experienced in 2023 as a consequence of the poor economic conditions in the Country, Amāna Bank launched an aggressive recruitment drive targeting mainly entry level recruitments. Multiple strategies, including walk-in interviews were conducted for this purpose. The Bank also strengthened its engagement with private and state universities in a bid to tap into their undergraduates.

New Employee Recruits by Region	Total
Central	43
Eastern	30
Southern	17
Western	70
Head Office	79
Total	239

New Employee Recruits by Age	Total
Under 30	216
30 - 50	20
Over 50	3
Total No. of New Recruits	239

On-Boarding

The Bank considers onboarding to be a vital part of the employee experience through the on-boarding process, the Bank aims to make a powerful first impression starting with their very first experience at Amāna Bank. Accordingly, the Bank’s on-boarding programme is designed as a comprehensive three-day induction and orientation to give

new recruits the opportunity to learn and understand the essential characteristics required of an Amāna Bank employee.

In 2023, the induction programme was further expanded with the introduction of a special session specifically for new Business Development Officer recruits. Also in 2023 the Bank invested in digital technology in an effort to revamp the on-boarding experience for new recruits on par with global standards. The live rollout of the digitalised on-boarding module is expected by early-2024 following the conclusion of user acceptance testing to assess system functionality and HRIS integration.

COMPETITIVE BENEFITS AND REMUNERATION

Competitive remuneration and benefit package is a fundamental component of Amāna Bank's employee value proposition. The Bank's remuneration and benefit structures comply with all statutory requirements and at the same remain market competitive. Moreover, as an equal opportunity employer, Amāna Bank ensures that there are no structural differences in compensation between genders and that men and women performing similar roles are remunerated equally.

Typically all full time employees of Amāna Bank are entitled to a multitude of benefits, in addition to their basic salary. These include; professional development allowance and other types of allowances.

In light of the severe financial burden on employees amidst the ongoing economic crisis, the Bank revisited existing allowance structures. Consequently, the medical allowance scheme which was previously expanded to cover medical expenses of employees' parents, was enhanced to cover the increasing medical costs. The Bank tied

up with the O-Doc platform to begin offering employees the opportunity to benefit from medical consultations free of charge. The utility allowance and the professional development allowance were also revised upward. In parallel, the Bank began talks with several private universities in the Country to negotiate special rates for Amāna Bank employees to pursue their higher education goals.

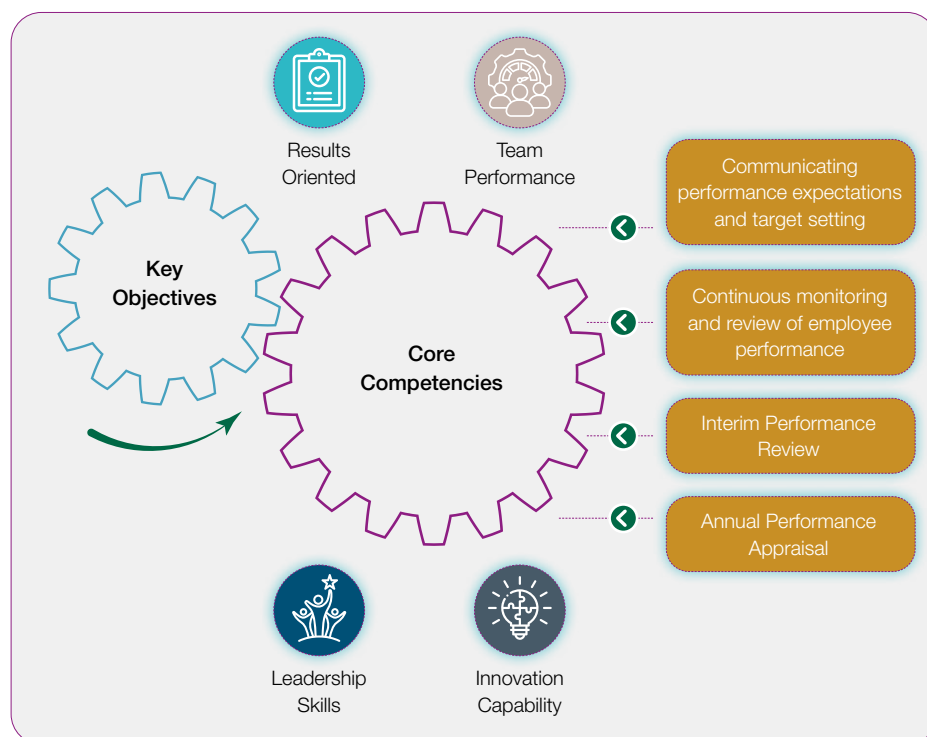
AMĀNA BANK ANNOUNCES ESOP

In recognition of the outstanding contribution made by employees towards Amāna Bank's stellar performance in recent years, the Bank announced an Employee Share Option Plan (ESOP) in 2023. The ESOP, which would result in the issue of up to 83,518,485 ordinary voting shares equivalent to 3% of the pre-ESOP issued number of shares, will allow eligible employees to participate in the share ownership of the Bank in turn enabling them to benefit from the Bank's growth trajectory in the coming years.

PERFORMANCE MANAGEMENT

All permanent employees of Amāna Bank benefit equally from the Bank's performance management mechanism. The main purpose of the performance management mechanism is to assess the core competencies of employees vis-a-vis their ability to achieve individual targets as well as contribute towards the accomplishment of team goals set at the start of the year.

Amāna Bank Performance Evaluation Mechanism



HUMAN CAPITAL

The performance management mechanism is the basis on which a majority of promotions and career advancement opportunities are granted. It is also one of the key tools used to identify training needs of employees. In this way, the performance management process serves as a key feeder for the Bank's succession plan for building the middle management talent pipeline.

Promotion by Age	Total
Under 30	54
30 - 50	72
Over 50	3
Total No. of Promotions	129

Marking an important milestone in Amāna Bank's efforts to further strengthen the performance management process, the Bank moved ahead with plans to implement a fully-fledged digital ecosystem to facilitate seamless end to end integration, from target setting to real time monitoring to the interim evaluation and finally the annual performance appraisal. The new system which was at the

testing stage at the conclusion of 2023 is expected to be rolled out in the first quarter of 2024. In preparation for this, a series of special capacity building workshops were conducted to help teams to manage the transition to the new system.

The performance management process is supported by the Executive Development Programme which provides a solid foundation for developing the Bank's succession plan for the next 3 - 5 years. Having a well-founded succession plan proved to be a major advantage for the Bank in 2023, especially given the staff attrition attributed to the economic conditions. Moving quickly to mobilise its succession plan in response to the challenges encountered, 21 middle management employees were promoted in the year under review. Taking a key step to bolster its leadership development model, Amāna Bank extended the partnership with AICPA & CIMA to benefit from their corporate partner programme which was established in 2022.

LEARNING AND DEVELOPMENT

Learning and Development (L & D) remains a critical component of Amāna Banks' efforts to develop a skilled team. The Bank maintains a non-discriminatory approach to L & D, wherein all employees have equal opportunities to benefit from the training, as needed to augment the skills

and competencies required for the optimal performance of their assigned job roles.

The facilitation and coordination of training is undertaken by the Bank's L & D team in line with the annual training plan. The annual training plan is drawn up based on the training needs assessments carried out as part of the annual performance appraisal.

Although job-related training remains the major focus, employees also have access to opportunities to develop their soft skills. Job-related training is handled through a combination of external specialists, and in-house expertise led by the Knowledge Marketing team who conducts structured workshops to improve product knowledge of frontline teams, the weekly quiz programme and the Intensive Learning Programme (ILP), a gamified, interactive programme designed to introduce a fun learning experience for branch staff. The Bank's e-learning platform has also proven to be an increasingly important tool for the delivery of job-related training in recent years.

The Bank continued to expand its in-house training resources in 2023 with special emphasis on building a pool of trainers equipped to conduct training in their respective area. In this regard, several train-the-trainer workshops were conducted for selected individuals from three regions (Central, Eastern and Western).



Amāna Bank's Dishard Hameed representing Sri Lanka Mercantile Table Tennis Association at Merdeka Cup - Malaysia



Training programme for new recruits



Training on customer service

Key Training Statistics - 2023

Training Topic	Target Employees	No. of Participants
Amāna Certified Islamic Banker	Front liners (JEX and Below)	299
Customer Service Certification	Branch and Department Front Liners	235
People Management Skills & Communication Skills Development	Existing and newly promoted Executive Officers	37
Executive Development Program	High performing executives identified through the annual performance appraisal	19
Branch Operations Program	Branch front liners	93

DIVERSITY AND EQUALITY

As a signatory to the UN Global Compact, Amāna Bank remains committed to create a diverse and harassment free workplace where all employees are treated with respect and dignity. Accordingly, leaders at all levels of the Bank are expected to lead by example in advocating the appropriate behaviours that demonstrate fairness, equality and the respectful treatment of colleagues.

To further articulate its commitment to diversity and equality, Amāna Bank has made a conscious effort to increase female representation both within the workforce and in leadership roles.

Amāna Bank's dedicated female banking units, which are operated exclusively by women, have been a key catalyst in the Bank's efforts to improve female participation within the workforce. Since inception, the Bank has maintained a fully fledged ladies branch at Colombo 3, while the first official female banking unit was set up at the Dehiwela branch in 2013. The Bank has since made it a priority to increase the number of female banking units across the branch network. As at end December 2023, female banking units have been established at 7 Amāna Bank branches, representing approximately 24% of the network. Seeking

to build on these efforts, a formal mentorship initiative was launched in 2023, where members from the Management Committee were assigned to oversee the career development of females at branches.

2023 also saw the Bank establishing female Business Development Officers, who play a pivotal role in introducing Amāna Bank to new customers.

Beyond this, the Bank continues to provide flexible work time schedules and work-from-home arrangements, in a bid to facilitate the return to work and career continuity of females after maternity leave.

EMPLOYEE RELATIONS

Amāna Bank remains convinced that strong employee relations is the key to ensuring employees stay engaged and invested in the Bank's future. It is the responsibility of managers to make use of team briefings and other routine meetings to develop strong ties with employees through continuous and ongoing dialogue.

In 2023, the Bank reactivated its Staff Survey, which had not been done for the past few years due to the pandemic and other challenges. The 2023 staff survey was carried out over a period of two weeks

covering 52% of the Amāna Bank team. A special 7 member committee was appointed to disseminate survey findings and propose necessary action for improvement.

The Amāna Bank Sports Club continued with its social engagement calendar and other team based activities. During the year Amāna Bank was well represented in Mercantile Sports tournaments including cricket, football, basketball, badminton, table tennis and tennis.

GRIEVANCE HANDLING

Since the inception, Amāna Bank has maintained an open door policy to encourage employees to reach out to their immediate supervisor or any member of management to discuss work related grievances. This approach applies across the Bank and at all levels of the business.

Employees can also connect directly with the Head of HR or the Manager - HR Operations via the intranet to discuss any work related concerns they may have. All such concerns are reported to the Bank's COO and thereafter directed to the relevant Management Committee member for appropriate action.



SOCIAL AND RELATIONSHIP CAPITAL

Social and Relationship Capital, which consists of the customer relationships that serve as a key enabler for business growth as well as the ties with the wider community that fortify the Bank's reputation as a responsible corporate citizen.



Social and Relationship Capital Development Scorecard

Management Approach



Amāna Bank's approach to Social and Relationship Capital development centres on earning and retaining trust of customers by offering a unique people friendly banking experience. Equally importantly, the Bank aims to secure the respect of the wider community through meaningful investments to uplift the quality of life for underserved communities across Sri Lanka.

Future Plans



Medium Term

- ✦ Strengthen customer feedback mechanism using digital platforms
- ✦ Augment personalised banking platforms

Key Priorities for 2023



- ✦ Expand the product suite in line with people-friendly banking
- ✦ Strengthen value added services
- ✦ Align with regulatory requirements for Customer Privacy
- ✦ Increase community investment to address critical issues in the current context



Long Term

- ✦ Establish clear targets to guide community investments

Stakeholder Value Creation Highlights



ZERO incidents relating to non-compliance of regulatory disclosures involving marketing and communication



99% Customer Complaint Resolution

CUSTOMER

PRODUCT RESPONSIBILITY

The concept of product responsibility is enshrined in Amāna Bank's core values which stem from the principles of Islamic Banking that prohibit dealing in interest related financing activities. The non-interest based banking model therefore remains at the heart of the Bank's endeavour to create new and innovative people-friendly banking solutions that present a highly compelling value proposition compared to the mainstream banking solutions available in the market. The people-friendly and development banking model also resonates across the Bank's efforts to drive continuous and ongoing improvement of the existing product suite to create tailor-made solutions that satisfy the evolving needs of diverse customer segments.

Building on these efforts, in 2023 Amāna Bank tied up with Singer PLC to make solar power accessible and more affordable to retail customers. Through this partnership, customers can obtain solar systems backed by Singer PLC's renowned reliability and quality assurance while enjoying affordable people-friendly financing from Amāna Bank.

Meanwhile, recognising the intense pressure on individual disposable income owing to the economic crisis, Amāna Bank reiterated the commitment to its people-friendly ideology by providing competitive pricing coupled with extended periods for repayment - for up to 7 years for Vehicle Financing solutions and up to 8 years for Solar Financing. The scheme was also extended to the Bank's Easy Payment Plan which provides financing up to 10 years for government servants and professionals.

Products and Service Portfolio

Amāna Bank



It's Your Bank

Retail



Deposit and Investment Solutions

- ✦ Current Account
- ✦ Savings Account
- ✦ Ladies Savings
- ✦ Senior Citizen Savings
- ✦ Pension Saver
- ✦ Children's Savings
- ✦ Salary Savings
- ✦ Foreign Currency Accounts
- ✦ Savings Plan
- ✦ Flexi Term Investment
- ✦ Term Investments

Retail Financing Solutions

- ✦ Leasing
- ✦ Home Financing
- ✦ Small Asset / Personal Financing (Easy Payment Plan)
- ✦ Solar Financing
- ✦ Travel Financing
- ✦ Education Financing
- ✦ Gold Certificate Financing (Emergency Cash)
- ✦ Women Entrepreneur Financing

Value Added Services

- ✦ Your Bank Mobile App and Web Portal
- ✦ eOnboarding
- ✦ SMS Alerts
- ✦ eStatements
- ✦ Debit Cards
- ✦ Inward Remittance Platforms
- ✦ Safety Lockers
- ✦ Doorstep Banking
- ✦ WhatsApp Banking

SME/ Corporate



- ✦ Capital Expenditure Financing
- ✦ Working Capital Financing
- ✦ Import & Export Financing
- ✦ Trade Services
- ✦ Machinery & Equipment Leasing
- ✦ Express Cash - Permanent Overdraft
- ✦ Amāna Collect - Cheque Discounting
- ✦ Cash Collection Solutions
- ✦ POS Machine Services
- ✦ Deposit and Investments Solutions
- ✦ Relationship Managed Services - Business Plus

SOCIAL AND RELATIONSHIP CAPITAL

Personalized Banking Solutions

Amāna Bank Prestige

Amāna Bank Prestige Banking is an exclusive platform for our most valued customers who seek superlative customer service and care with a personal touch to look after their everyday banking and financial needs.



Amāna Bank Prestige Banking is the only non-interest based high net worth banking proposition in the country and stands testimony to an upwardly mobile bank focused on enhancing our service offering and ensuring the well-being of our customers.

Amāna Bank Vantage

Amāna Bank Vantage is a superior banking and financial services platform that is tailor-made for individuals who are progressing in expanding their horizons in life. Amāna Bank Vantage is designed to help accelerate your personal growth and be a financial partner in your success.



Amāna Bank Expat Gold

Amāna Bank Expat Gold is a platform designed exclusively, to cater to unique and diverse requirements of banking from abroad.



Being apart from your family, timely support and care of their financial requirements is essential, in your busy lifestyle. That's why we believe you need a caring and dedicated financial partner back home to look into their finances as if you are personally attending to it.

Business Plus

Business Plus is a tailor-made solution for SME's to help them expand and strengthen their business with the aim of becoming the emerging corporates of the future. Business Plus customers benefit from a dedicated relationship manager and a host of other services including airport lounge access, preferential pricing, branded cheque books, payroll solutions, thus allowing them freedom and space to focus on growing their business. Business Plus is offered in three membership categories - Business Plus Silver, Business Plus Gold and Business Plus Platinum.



VALUE ADDED SERVICES

Value added services offered by Amāna Bank have proven to be a key catalyst in strengthening ties with customers and building customer loyalty. The Bank in recent years has made notable progress in expanding the value added services supported by more focused investment in digital technology.

The introduction of WhatsApp Banking in 2023 marks an important milestone in Amāna Bank's efforts to enhance value added services to complement the customers' banking experience. With this new offering, customers can now check their account balances by simply saying 'Hi' to the Bank's WhatsApp number 070 7756 756. Customers can conveniently inquire the balances of any account linked to their registered mobile number, including Savings Accounts, Current Accounts, Children's Savings, Term Investment Accounts as well as SME and Corporate Accounts, making it easier than ever to stay on top of their finances, even if managing multiple accounts. In addition to being available in English, Sinhala and Tamil, Amāna Bank WhatsApp Banking adheres to the highest security standards with OTP verification, safeguarding against unauthorised access.

Another notable development for 2023 was the launch of a trade channel that allows businesses to transact directly in Indian Rupees (INR) following approval by the Central Bank of Sri Lanka, allowing Amāna Bank to accept the Indian Rupee (INR) as a designated foreign currency to facilitate bilateral trade. This new facility enables the Bank to support its import and export customers to engage in trade transactions directly using INR, thereby eliminating cross-currency FOREX losses.

CUSTOMER EXPERIENCE

Customer experience has always been a key component in Amāna Bank's overall approach to serving its customers. Under the wing of its 'We Care' service excellence mantra, the Bank takes a 360 degree approach, providing its customers with a fully-fledged banking experience encompassing personalized banking platforms, dedicated relationship management, specialised advisory services and comprehensive complaints handling to ensure 100% customer satisfaction.

In keeping with its promise of service excellence, Amāna Bank welcomes feedback and comments from all customers. The Bank has established a range of channels to enable customers to lodge a complaint or provide feedback. These include;

- ✦ Call centre
- ✦ Email
- ✦ In person at a branch
- ✦ Feedback Tabs at branches
- ✦ Your Bank mobile banking app
- ✦ Social media platforms

As per the standard procedure in place for managing complaints, all complaints are recorded and then ranked as critical, high,

medium or low priority and assigned to relevant internal teams for resolution within stipulated timelines for each category.

The overall complaint handling process was further strengthened in 2023 with the formation of the Customer Experience Unit (CEU). The duties of the CEU include monitoring complaint resolution timelines, identifying recurring complaints and conducting root cause analysis to determine key pain points for correction and improvement. The CEU is also tasked with calling back individual customers to assess the level of satisfaction regarding the resolution provided and the time taken to do so. During the year our contact centre showcased remarkable improvement in its operations, which is a testament of our commitment to customer service, resulting in positive customer experiences.



Presenting accolades to staff in recognition of 'We Care' Service Excellence Moments

MARKETING COMMUNICATIONS

Amāna Bank works on the premise that transparent communication is an integral part of building customer trust. As such, marketing and promotional material on all platforms, including print and electronic media as well as the corporate website and social media channels are consistent with board-approved guidelines for clarity, accuracy and timeliness. In addition, the Bank's Knowledge Marketing team conducts financial literacy and market awareness workshops to educate the public on the non-interest based banking model. More than 4,000 people were reached through a total of 35 public awareness workshops which were conducted in 2023 targeting various groups, including students, teachers, professionals, women entrepreneurs and business communities.

Moreover, the Bank remains fully committed to adhere to all relevant regulatory requirements set out under the Customer Charter for Licensed Commercial Banks issued by the Central Bank of Sri Lanka.

In keeping with its commitment to transparency, the Customer Charter is made available on the corporate website - www.amanabank.lk.

There were no incidents relating to non-compliance of regulatory disclosures involving marketing and communication reported in 2023.

99%

Customer Complaint Resolution



Knowledge Marketing programme at a Divisional Secretariat



Knowledge Marketing programme at BMICH



Knowledge Marketing programme for University students

SOCIAL AND RELATIONSHIP CAPITAL

CUSTOMER PRIVACY

Safeguarding the confidentiality of customer information is considered a top priority for Amāna Bank. All Amāna Bank customers have the assurance that their personal information or any other data obtained from them to fulfil legal and regulatory requirements, is not disclosed to anyone unless otherwise mandated by law. To that end, the Bank has invested in the latest digital technology architecture to capture and securely store personal customer data. Further the Board-approved Information Security Policies outline strict protocols on such matters as restricted access, data sharing, etc. Additionally, the corporate website outlines the privacy policy covering information collected through the said website, the Your Bank mobile app and social media platforms.

To further strengthen its customer privacy systems in line with regulatory requirements,



Refurbishment of Child and Adolescent Mental Health Clinic at Kalubowila Hospital

the Bank in 2023, began working towards early adoption of the Personal Data Protection Act (PDPA) of Sri Lanka which was published by the government in 2022 and scheduled to come into effect in 2024.

SUPPORTING NATIONAL PRIORITIES

Amāna Bank demonstrates its commitment as a responsible community steward through the OrphanCare project, which has remained the Bank's flagship community initiative for the past 5 years. OrphanCare is managed under the stewardship of an independent Board of Trustees duty bound to ensure all monetary donations received by the Trust, are allocated towards the stated purpose - to support orphaned children housed at child care homes around the Country. As the founding-sponsor of OrphanCare, Amāna Bank remains deeply invested in the success of the project and continues to bear all operating and administrative costs of the Trust.

Apart from its involvement in OrphanCare, Amāna Bank also seeks to play a broader role in supporting national priorities by dedicating resources towards supporting as SME sector development, strengthening the country's healthcare sector and creating opportunities to enable equal access to education.



Amāna Bank's adopted a Suwa Seriya Ambulance deployed in Anuradhapura



Contribution to Ranaviru Seva Authority



Signing of Suwa Seriya Adopt an Ambulance MOU



Award winners at Essay Competition



Essay Competition Winners



Children's Day celebrated by branches

Supporting National Priorities

Children
Focus

OrphanCare Project

Refer OrphanCare report on pages 103 to 105

Amāna Bank Promotes Creative Writing within an all-island Essay Competition

Amāna Bank hosted an all island essay competition under the theme 'My Future, My Dream'. The competition, which was endorsed by the Ministry of Education, was designed to inspire and showcase the creative talents of young minds of the nation.

The competition, held under two age categories, witnessed over 3,500 entries from across the island, with submissions in all three languages. 42 prize winners were recognised at a grand Award Ceremony held at BMICH.

Children's Day Celebrations 2023

Amāna Bank celebrated Children's Day 2023 by carrying out a variety of activities at schools, nurseries, orphanages, and public places across the country with the involvement of its island-wide branch network. This initiative witnessed Amāna Bank branches engaging with their local communities to provide children a fun-filled day, with games, entertainment items and rewards

Improving
Healthcare Access
Amāna Bank adopts 1990 Suwa Seriya Ambulance

Demonstrating its commitment to support the people of Sri Lanka, Amāna Bank adopted a 1990 Suwa Seriya Ambulance.

The Bank's support will go towards ambulance maintenance, fuel, medical equipment maintenance, staff refresher training, purchasing staff uniforms and staff safety equipment

Amāna Bank undertook the refurbishment of the Children and Adolescent Mental Health Clinic at the Colombo South Teaching Hospital
Amāna Bank made a contribution to Haemoglobin Sri Lanka to help treat children affected by Thalassemia
SME Sector
Development
Amāna Bank Hosts SME Business Forum

Held for SME customers in the Central Region, 'Drive 2023' business forum focused on sharing insights to enhance the business resilience of local SME's in face of the current challenging times. The forum witnessed the participation of over 150 selected SME customers from the Central region.

Abimana SME Award Ceremony

The Abimana SME awards recognized SMEs who have performed exceptionally well, contributing to the growth of the regional economy, where awards were bestowed under three categories, mainly large, medium and small, while also recognizing women and youth entrepreneurship.



SME Abimana Awards



Amāna Bank presentation at the National Law Conference on Alternative Bond Instruments



Partnership with Sri Lanka Press Association



NATURAL CAPITAL

Whilst making continuous progress towards environmental performance, Amāna Bank strives to lead by example in presenting itself as a responsible environmental steward. Various measures have been undertaken in this regard to minimise the impact to the environment stemming from the Bank's operations.



Natural Capital Development Scorecard

Management Approach



Amāna Bank's aims to play a dual role in safeguarding the environment by improving resource utilisation within its internal operations as well as promoting environmental sustainability through its financing as well as CSR activities.

Key Priorities for 2023



- ✦ Promote increased investment in renewable energy
- ✦ Expand digital integration to reduce paper consumption
- ✦ Drive resource efficiency

Stakeholder Value Creation Highlights



Increasing the contribution of renewable energy in the national energy mix



44,079 MWh - total clean energy generated through projects financed by Amāna Bank to-date



31,476 tons of GHG emission reductions



E-statement drive:
5,500+kg CO₂ reduction

Future Plans



Medium Term

- ✦ Establish a formal framework to prioritise internal resource efficiency at all levels of operation, including the branch network.
- ✦ Enhanced staff training and awareness on Sustainability
- ✦ Roll out the sustainable financing framework encapsulating the CBSL's Green Finance Taxonomy guidelines.



Long Term

- ✦ Investing in rooftop solar decks at feasible branch premises.

GREEN FINANCING

Amāna Bank acknowledges that the most effective way for the Bank to make a positive contribution to the environment is by reorienting its core financing activities accordingly. It is on this basis the Bank has in recent years increased its allocation towards green financing, specifically to encourage corporates and SME's to transition to renewable energy sources with zero emission profile. In this regard, the Bank maintains a special credit line dedicated to financing large scale clean energy projects, including mini-hydro power plants, biomass power plants, large scale industrial Rooftop and Ground mounted Solar projects as well as Waste Plastic recycling projects. The year 2023 marked largest green financing project undertaken by Amāna Bank to-date - the 2Mw ground mounted 'Horana Solar Power Plant' commissioned by Vidullanka PLC under the CEB's "Soorya Bala Sangramaya Phase III".

	Projects	Energy Generated (MWh)	CO ₂ Reduction (Mt)
Solar - Large Scale Projects	2	3,146	2,234
Hydro	2	16,338	11,600
Bio-Mass	1	24,595	17,462

In 2023 the Bank took further steps towards integrating environmental best practices across its large-scale financing activities, thereby helping to tackle challenges arising as a result of climate change. Working in line with the Green Finance Taxonomy guidelines recently issued by the CBSL, the category codes contained therein were integrated to the Bank's core banking system to enable project financing activities to be prioritised based on sustainability. At the same time, a broad based exercise was initiated to reform existing credit evaluation protocols to incorporate environmental due diligence as part of the routine credit evaluation framework for large exposures. Team capacity building initiatives also began in parallel to ensure all Branch Managers / CRM's were aware of these new developments.



Amāna Bank financed Ground Mounted Solar Farm by Vidullanka

Amāna Bank also offers a special solar financing facility to encourage retail customers to invest in rooftop solar systems.

RESOURCE EFFICIENCY

Amāna Bank remains conscious that the electricity, water and paper consumed in the day to day operations does cause the depletion of natural resources. As such the Bank has identified resource efficiency as a key enabler that will allow the Bank to lower its environmental footprint.

The Bank's resource efficiency initiatives have continued to gather momentum in recent years supported by higher investment in digital technology, which has resulted in a progressive reduction in paper consumption and concurrently paper waste. A notable example is the online credit approval mechanism rolled out in 2023, which has helped to cut paper consumption by as much as 50% year on year. During the year the Bank actively promoted e-statements to customers who were previously receiving paper statements, resulting in an overall approx 5,500Kg CO₂ reduction through e-statements.

Meanwhile, keen to adopt a more systematic approach to resource efficiency, the Bank commissioned the services of the Green Building Council of Sri Lanka to conduct an initial environmental assessment covering the Bank's Corporate Office as well as its Main Branch premises. With the findings and learnings gained from this exercise, the Bank intends to roll-out same across its branch network towards bank-wide implementation. The purpose of this exercise was to establish baseline parameters for energy, water and waste that will underpin the Bank's efforts to transform the Bank's operational architecture and drive resource efficiency across all aspects of its day to day operations.

REPORT ON SHARIA SUPERVISION

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

الحمد لله رب العالمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

By the Grace of Almighty Allah, Amāna Bank PLC has completed 12 years of commercial operations in 2023.

During the year under review, the Sharia Supervisory Council (SSC) of the Bank held three SSC meetings and two Executive Committee (ExCom) meetings to review various products, modifications, concepts, transactions & processes.

NEW PRODUCTS APPROVED BY THE SSC DURING THE YEAR

- 1. Health Card
- 2. Medical Finance

SHARIA DOCUMENTATIONS/ AGREEMENTS REVIEWED DURING THE YEAR

- 1. Sharia Documentation on Health Card
- 2. Sharia Documentation on Medical Finance

SHARIA REVIEW AND COMPLIANCE PROCESS

To ensure that revenue generated by the Bank adheres strictly to conjunctions of the rules and principles of Sharia, the Sharia Supervision Department (SSD) actively assessed various operational activities throughout the year. Credit approvals, restructuring of financing facilities, customer specific transaction process flows, text of Letters of Guarantee and Sharia Documents were reviewed to ensure Sharia compliance when offering financing products to the customers.

The Sharia Review function plays a vital role in achieving the objective of ensuring Sharia compliance by evaluating adherence to the rules and principles of Sharia in all activities undertaken by the Bank.

The SSD focuses on matters pertaining to the rules and principles of Sharia, enabling the facilitation of smooth operations whilst ensuring Sharia compliance at all levels in the Bank.

Income Generated from Retail Financing (LKR '000)	3,944,671
Income Generated from Business Financing (LKR '000)	10,581,391
Number of Transactions Performed	7,974
Number of Transactions Reviewed	7,974
Total Gross Advances as at 31 December 2023 (LKR '000)	95,587,203
Impaired Financing and Advances (Stage 3) Ratio	1.5%

Moreover, physical inspections were conducted on a random basis and measures were taken to verify the relevant purchase evidences / invoices, further enhancing the controls. All financing granted using various products and services during the year were reviewed by the SSD and their alignment with the guidelines issued by SSC was also verified.

The process and the scope of the review included the following:

- ◆ Invoices and other related purchase evidences were verified by confirmations and the existence of suppliers was confirmed by visiting their premises on a sample basis.
- ◆ Genuine purchase evidences were provided to execute Murabaha transactions so that Murabaha disbursements are not availed to set-off previous balances with the supplier and Murabaha Status Sheets.

- ◆ Sharia documentation, security documents and procedures followed by different functional areas for Local Murabaha, Import Musawama/ Murabaha, Extended Murabaha, Ijara (Leasing), Diminishing Musharaka, Musharaka, Istisna, Thijara, Wakala, Education Financing, Travel Financing, Solar Financing, Express Cash and Gold Safekeeping Facility.
- ◆ Declarations, description of assets, relevant purchase invoices, sequence and order of the documents and time difference between purchases and declaration in Murabaha transactions.
- ◆ Purchase deeds, certificates of registration of motor vehicles, treatment of ownership related cost and recovery of rentals in Ijara transactions, ownership ratio in Diminishing Musharaka facilities and issuance of timely unit sale receipts.

- ✦ Investments made in equity with reference to the equity stock screening criteria.
- ✦ Import finance transactions and related documentation.
- ✦ Extensive reviews of customer payment, purchase cycles and periodic assessment of customers' processes.
- ✦ Profit sharing ratio, Mudaraba pool working and the applicable profit allocation for deposit products.
- ✦ Treasury placements with other Islamic Financial Institutions and Window Operations.

ONLINE SHARIA COMPLIANCE PROCESS

The Sharia review process is carried out to ensure Sharia compliance of all transactions and also to build a zero tolerance culture within the Bank to Sharia non-compliance. In order to streamline and make the Sharia compliance process effective and efficient, the Bank continued to make use of the Online Sharia Compliance Process, which essentially is a live compliance process. The Online Sharia Compliance Process takes place at the fund disbursement and deal creation stages. All the financing products were added to the Online Sharia Compliance Process in 2023.

REVIEW OF MARKETING AND COMMUNICATION ACTIVITIES

All Marketing and Communication activities and materials were reviewed by the SSD to ensure such activities of the Bank adhere to the rules and principles of Sharia.

TRAINING AND DEVELOPMENT

During the year, 13 internal Sharia training sessions were held in which 319 employees participated. These programmes were conducted with the objective of enhancing the knowledge and strengthening the skills

of staff members on the rules and principles of Sharia and Sharia documentation related to the respective contracts.

During the year, the SSD focused on increasing the level of awareness amongst the key stakeholders, on Islamic Banking and products offered by the Bank and to further inculcate the values of Islamic Banking. In this regard, 11 external programmes were conducted for Sharia scholars and students. The total participation at these programmes was 830.

Programme	Audience	No. of Sessions	No. of Participants
Internal			
Amāna Bank Certified Islamic Banker Level-1	Branch Frontline Staff / Business Development Officers / Retail and Business Banking Staff	13	319
External			
Awareness Programme on Islamic Finance and Products of Amāna Bank	Sharia Scholars, Students	11	830
Total		24	1,149

SHARIA RISK MANAGEMENT COMMITTEE

The Sharia Risk Management Committee (SRMC) is a Sub-Committee of the Bank's Management Committee that was established to discharge the responsibilities of management on Sharia Compliance. During the year, two SRMC meetings were held on the discussion of the Sharia issues in the Bank.

REGIONAL SHARIA REVIEW UNITS

The regional Sharia units in the Central and Eastern regions continue to play a significant role towards accomplishment of the objective of ensuring Sharia compliance at all levels through 100% review of transactions and facilitating smooth operations in a timely manner.

SHARIA ADVISORY SERVICES

Internal Support

SSD provides advisory services on structuring products and transactional processing on an on-going basis, based on existing guidelines and resolutions made by the SSC. Issues encountered would be escalated to the Executive Committee of the SSC based on the complexity of the issue. All such advisory provided by the SSD are tabled at subsequent SSC meetings and ratified by the SSC. The SSD also reviews Credit Memorandums on pre-approval basis of both new proposals as well as at annual reviews of facilities to ensure that the most appropriate product is provided to the customer.

REPORT ON SHARIA SUPERVISION

Number of Advisory Provided by the Executive Committee of the Sharia Supervisory Council	5
Number of Advisory/Clearances Provided by the Sharia Supervision Department based on existing guidelines and resolutions	269
Total	274
Number of Credit Memorandums reviewed by the Sharia Supervision Department	302

EXTERNAL SUPPORT

The Bank continued to offer Sharia Advisory Services to a public listed company engaged in commodity brokerage, in order to structure their financing operations in compliance with Sharia principles. In this regard, the Bank provides Advisory Services on Product Development, Transaction Structuring, Internal Process, Procedures and Guidelines, Documentation, Monitoring and Control, Training as well as monitoring compliance to the requirements of Sharia.

CHARITY

During the year, a total of LKR 6,981,679 was transferred to the Charity Fund. As at 31 December 2023, a balance of LKR 831,373 remained in the fund.

STATEMENT OF SOURCES AND UTILISATION OF CHARITY FUND

	LKR	LKR
Opening balance as at 1 January 2023		516,274
Additions During the Year		
Excess Cash	757,820	
Income from Sharia Non-Compliance	6,223,859	6,981,679
		7,497,953
Less: Distribution of Charity (Social Benefits)		(6,666,580)
Closing Balance as at 31 December 2023		831,373

The amount of LKR 6,666,580 was disbursed from the Charity Fund with the approvals of Managing Director/CEO, Chief Financial Officer, and Head of Sharia Supervision and was duly reported to SSC for its concurrence.

THE WAY FORWARD IN 2024

- Continue to ensure the zero tolerance culture on Sharia non-compliance.
- Strengthen the Sharia Risk Management process and mitigate Sharia violations with the involvement of the Sharia Risk Management Committee.
- Review and update the Sharia product process, guidelines, documentation and checklists to offer the most appropriate product for the customer.

- Advice and guide to provide the best-fit product to customers.
- Digitalisation of Sharia documentation to mitigate the errors and improve efficiency in terms of speed.
- Actively engage in the New Product Development process by initiating and structuring new products.
- Facilitate and conduct training sessions to develop Sharia competency levels and instil onus on all stakeholders as follows:
 - Introduction to Islamic Banking for new recruits
 - Continue the Amāna Bank Certified Islamic Banker Programme and implement stage 2 for the successful candidates.
 - Focused training programmes on rules and principles of Sharia, documentation and Sharia compliance
 - Sharia compliance and Sharia Risk programmes for Management Committee and Other Senior Management staff
 - Conduct Sharia Awareness Programmes for Academics, Students, Customers, Sharia Scholars and General Public

May Almighty Allah make us successful in accomplishing His precious tasks and reward us in this world and in the Hereafter.



Ash-Sheikh Nazhan Naurooz
Head of Sharia Supervision and Secretary to the Sharia Supervisory Council

6 Sha'baan 1445 A.H.
17 February 2024

ORPHANCARE



PROGRESS UPDATE 2023

The OrphanCare programme continued to make steady progress during the year in delivering its stated objective of contributing towards enriching the lives of orphaned young adults. Established in 2019 as an independent trust with an objective of saving orphans from second abandonment, the programme has focused on a series of welfare activities to secure the future of orphans once they reach the age of 18, the age at which they are compelled to leave institutional child care. In this manner, the OrphanCare programme seeks to address Goal 10 of the UN Sustainable Development Goals (SDG) – “Reduced Inequalities”.

As a foundational principle that defines the essence and identity of the trust, OrphanCare ensures every monetary donation received by the trust is allocated to orphans accounts while Amāna Bank as the ‘Founding Sponsor’ continues to bear all operating and administrative costs of the trust.

CARING FOR 18+ ORPHANS

The OrphanCare team continued with its focus on profiling orphans who reached the age of 18 for the purpose of registering them with OrphanCare. This is an on-going process to facilitate skills development and employability and constitutes part of orphan engagement programme to guide them with sound financial advice and qualitative support. Profiling is done to determine their educational levels, language skills and career aspirations based on which the OrphanCare team facilitated their needs by matching their requirements with donors of both individual and institutional capacity. This approach is aligned to the project’s social objective to prevent a second abandonment of the orphan child and will continue to be the team’s area of focus and engagement. Over 80 orphans have so far benefitted through our qualitative support initiatives and facilitation process which also includes medical and healthcare support.

While anticipated fund inflows to the trust account and the orphan enrolment process were subject to unforeseen disruptions largely due challenges in the environment the trust ensured timely payment of funds to all beneficiaries by exercising 4 rounds of fund disbursements during the year.

Since its launch, OrphanCare has made 16 rounds of fund disbursements totalling over LKR 54 million. As at December 2023 the OrphanCare Trust had touched the lives of over 3,100 orphans granting benefits to children represented from 90 Child Care homes across the country.

ORPHANCARE

FUND MOBILISATION

With signs of improvement to the economic situation on the horizon, fund mobilization efforts gathered momentum in 2023. A notable feature observed in the programmes's fund mobilization endeavours for the year was the successes recorded through corporate partnerships and merchant partnerships which helped grow the fund by 44% YOY.

The corporate sponsorship scheme which was launched in 2023 attracted a number of organisations, including Agility Innovation and Expolanka Holdings PLC to pledge their support to the OrphanCare initiative.

Merchant partnerships are another novel concept initiated by the OrphanCare Secretariat to invite reputed organizations to contribute towards the fund growth. This effort has generated considerable interest with a leading Colombo-based bakery establishment - M/s Paan Paan becoming the first organization to partner Orphan Care by donating a sum of LKR 5/= for every loaf of bread (Kade Paan) which is sold at its outlets.



Rs 5/- from each Kade Paan sold is contributed towards helping Orphans avoid a second abandonment



OrphanCare
www.orphancare.org

Other notable fund mobilisation initiatives include;

- ♦ OrphanCare Till placements at Amāna Bank branches which have also proven to be a key tool for building publicity and engagement. In addition to placements at Amāna Bank branches, till placements at external merchant locations continued to expand across the country. Significant growth trends were recorded as the number of Merchant locations more than doubled during the year, a trend which augurs well for the future growth in funds. To date, a collective total of approximately 500 tills have been placed at Amāna Bank branches and across merchant locations island-wide.

ORPHANCARE PARTNERSHIP PLATFORM

With the objective of scaling up the activities of OrphanCare, the Trust expanded its reach and engagement with reputed business partner organizations. The Trust secured partnership arrangements with leading corporates and SME's joining hands to provide financial and non-financial value addition. Through this platform, the partners are given an opportunity to feature OrphanCare as one of their key CSR and Sustainability Contributions. Opportunities for external businesses to join hands with the project are now open in the areas detailed below.

- ♦ **Corporate Partner:** Provide an annual financial contribution to Orphan Care Trust Fund
- ♦ **Merchant Partner:** Provide a monthly contribution to the Fund through a pre-agreed arrangement based on the Merchant partner's sales.
- ♦ **Service Partner:** Provide services to defined areas of support to OrphanCare Trust such as Media, Creative Production, Hotel, Loyalty Platform, Event, etc
- ♦ **Care Partner:** Supporting orphan enrichment through Health, Education, Vocational Training, Employment, etc

The on-boarding of partner establishments under the above categories as expected enhanced the financial contribution plus qualitative support to the fund. This is a development which will add to the existing benefits to Orphans in the years ahead.



First Corporate Partnership with Agility Innovation



Merchant Partnership with Paan Paan

- ♦ “One standing order per day” initiative which was relaunched in 2023 at all Amāna Bank branches with the aim of securing the support of at least one customer daily. Much interest and support towards this effort was evidenced by the bank’s customers which contributed towards the healthy fund growth. The team has enabled over 3,500 active monthly standing orders, resulting in a steady inflow of funds to the trust.
- ♦ OrphanCare Week, an initiative by Amāna Bank’s branch teams to raise awareness and mobilise funds towards the OrphanCare project.
- ♦ Pay&Go partnership powered by 900+ Pay&Go kiosks placed island-wide has become a convenient channel of donations.
- ♦ Digital payments for donations by activating the QR code donation option, giving donors the option of scanning the QR labels and making payments using their payment apps on the mobile phone.
- ♦ OrphanCare’s website www.orphancare.org provides donors and well-wishers insight to the OrphanCare project and showcases the impact it has reached thus far. The website also facilitates online donation payments where donors can use their credit/debit cards to donate.
- ♦ The donor engagement process, where the team issues a periodic update of new and repeat initiatives undertaken as well as the achievements has aided the fund mobilization through repeat donations and new leads established based on donor referrals.

ORPHANCARE CAPACITY BUILDING ACTIVITIES IN 2023

1. Educational Tour – Lotus Tower visit with collaboration of Sri Lankadara Girls Home. Visit to Dialog and Mobitel virtual centres
2. Feed an Orphan Project – Facilitated free meals to Orphans residing in Colombo and Trincomalee District based Orphanages
3. Conducted Seminars on Reproductive Health Care with the participation of resource persons from the Rotaract Club of the Colombo University Medical Faculty in Colombo District
4. Conducted the project’s first health camp at the Darul Hasanath orphanage in Kinniya- an eye camp where vision testing and distribution of spectacles to orphans in need was made.

TRUSTEES AND GOVERNANCE

The OrphanCare Trust is administered by a team of independent trustees who have a strong track record of passionate social service and have instituted a robust governance framework to maintain the highest standard of integrity and to ensure long-term sustainability of the trust. Further the trust has continued with the services of M/s Ernst & Young as auditors to its accounts and whose services are extended on a gratis basis. The trust has been subjected to four financial audits which have been successfully concluded with compliance to all regulatory and tax requirements.

BOARD OF TRUSTEES

- ♦ Ruzly Hussain – Chairman of the Trust (founder of Rotaract Movement in Sri Lanka)
- ♦ Miss Primrose Shireen Watson (Secretary to the Trust)
- ♦ Jazri Magdon Ismail - Treasurer of the Trust (Past President AAT)
- ♦ Harsha Amarasekera (President’s Counsel)
- ♦ K R Ravindran (Chairman, Board of Trustees Rotary Foundation USA and former President Rotary International)
- ♦ Tilak De Zoysa (Chairman – Helpage)
- ♦ Sharad Amalean (Founder MAS Holdings)
- ♦ Osman Kassim (Founder Chairman Amāna Bank)
- ♦ Tyeab Akbarally (Senior Director Akbar Brothers)
- ♦ Mohamed Azmeer (Managing Director/ CEO Amāna Bank)

ORPHANCARE SECRETARIAT - MANAGEMENT TEAM

- ♦ Azad Zaheed - Head of OrphanCare
- ♦ Marshad Barry - Deputy Head – OrphanCare



To donate online and view participating Child Care Homes visit www.orphancare.org



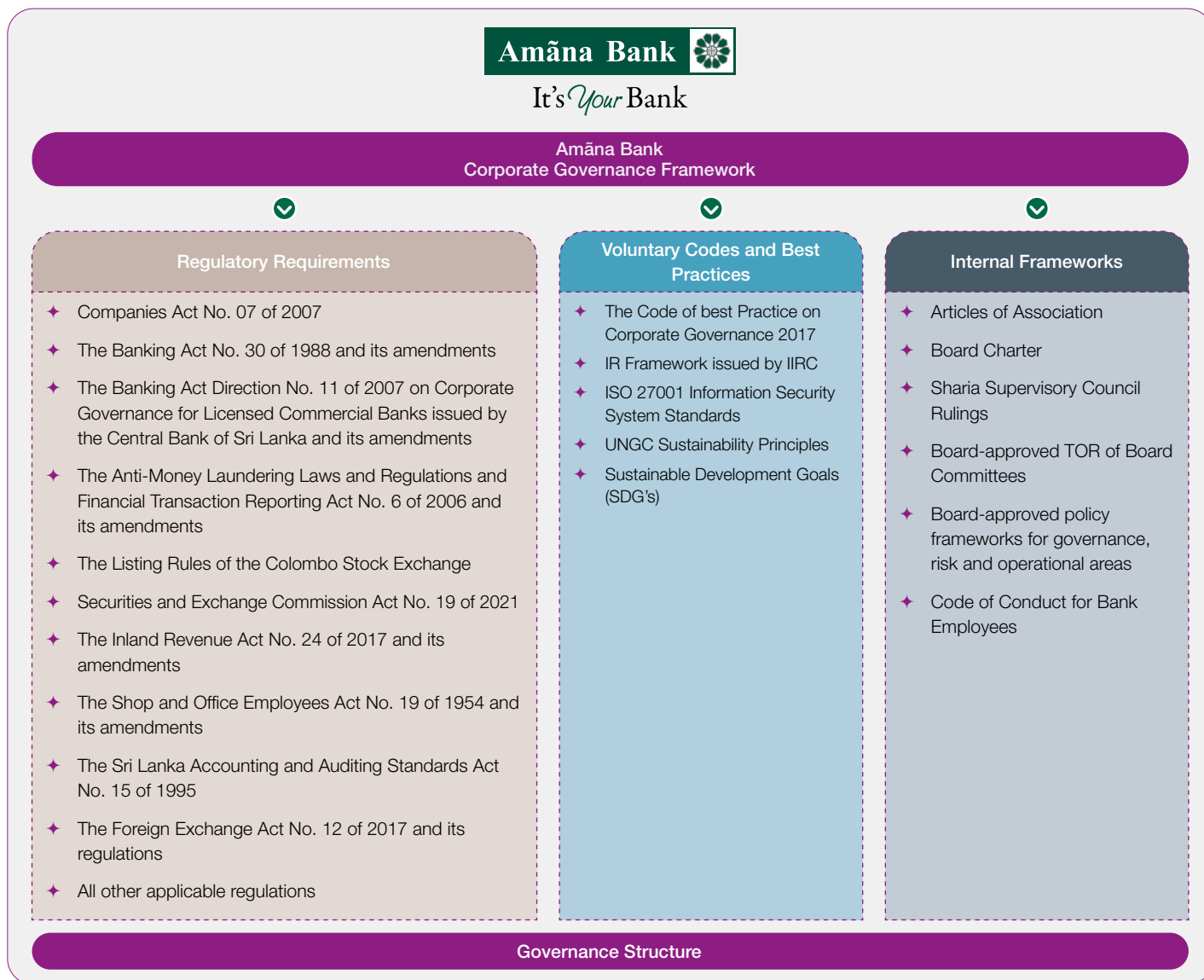
**Poised for New Horizons, embracing new frontiers
in digital banking**



CORPORATE GOVERNANCE REPORT

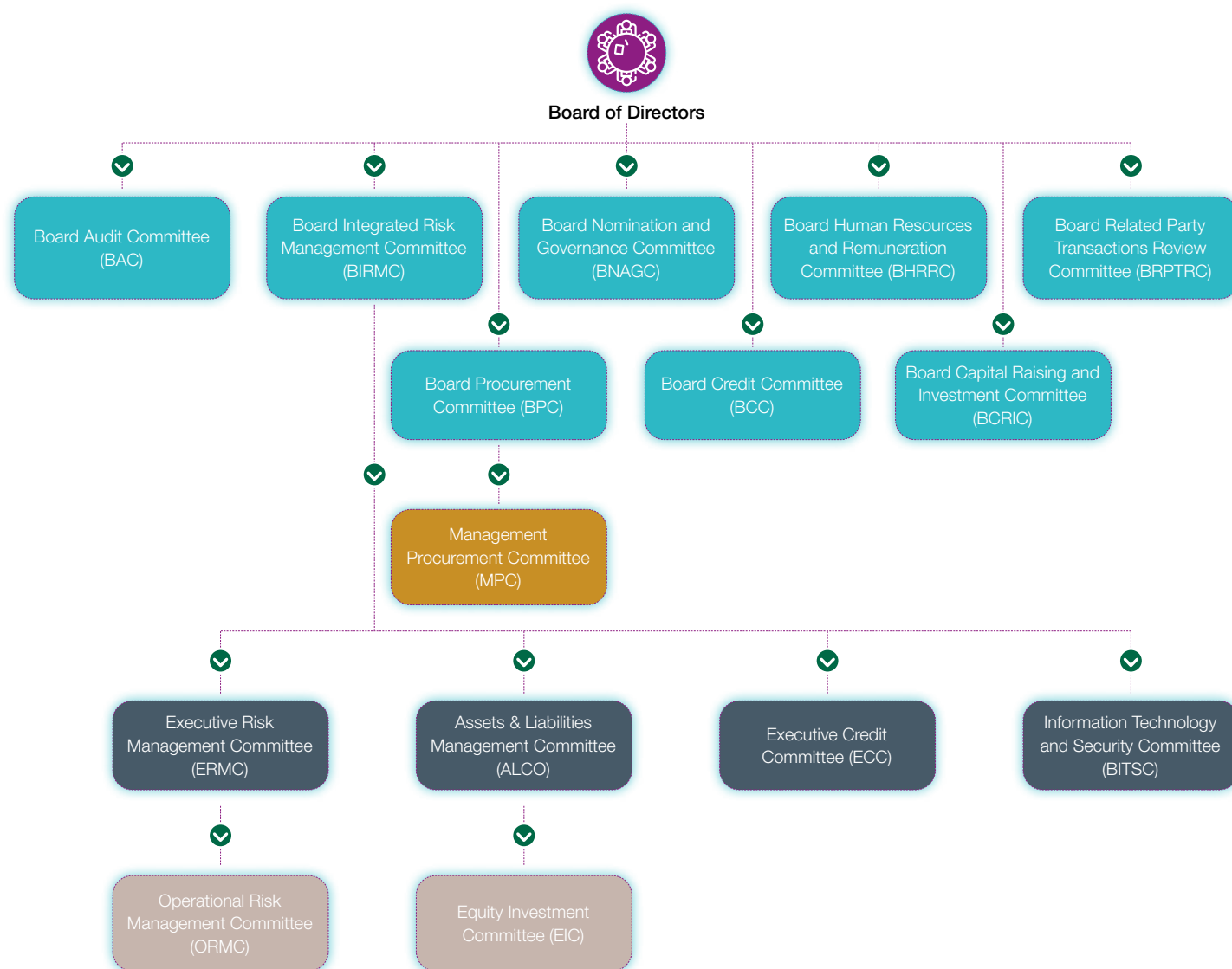
AMANA BANK'S APPROACH TO CORPORATE GOVERNANCE

Good governance has been at the heart of Amāna Bank's decade long journey of growth and success. Since the inception, the Bank's Board has relied on a robust governance framework and a strong governance structure to maintain accountability, enhance transparency, promote ethics, and reinforce effective leadership to support the delivery of sustained value creation for all stakeholders today, tomorrow and in the future.



GOVERNANCE STRUCTURE

Amāna Bank operates within a well-defined governance structure that includes a clear segregation of roles and responsibilities to facilitate effective decision making and promote the principles of accountability, transparency, fairness and integrity at all levels of the business. The Board of Directors is responsible for the formulation, development and evolution of the governance structure in line with the Bank's strategy and risk management fundamentals and giving due consideration to changes in the macroeconomic environment.



THE BOARD

The Board sits as the apex governing body of the Bank. In this capacity, the Board is responsible for setting the Bank's vision, mission, values and strategy to meet stakeholder expectations. The Board provides entrepreneurial leadership for the execution of the Bank's strategy and in doing so oversees the management to ensure performance outcomes are consistent with stakeholder expectations.

The composition of the Amāna Bank Board is governed by the Bank's Articles of Association, the Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka as well as the Listing rules of the Colombo Stock Exchange (CSE). In line with these mandates, the balance of power within the Board is distributed so that no one Director has unfettered powers of decision making.

Accordingly, the composition of the Board is subject to change as required from time to time.

APPOINTMENT / RE-ELECTION / RESIGNATION OF DIRECTORS

Board members are appointed through a formal and transparent process which includes ensuring that Directors meet the fit and proper criteria requirements. The Board Nomination and Governance Committee

CORPORATE GOVERNANCE REPORT

(BNAGC) plays a pivotal role in this process. Typically, potential candidates are considered based on how their skills and expertise can complement the Board balance. The number of external directorships held by Directors is also assessed to ensure that these do not exceed the regulatory requirement so that each individual Director is able to exercise due care, skill and diligence in their role as a Director of Amāna Bank.

On this basis, the BNAGC recommends appropriate candidates for appointment to the Board and appointments are subject to ratification by shareholders at the next Annual General Meeting. The new appointments so ratified are communicated to the CSE and announced to the public by way of a press release. Similarly, resignations by Directors and the reasons for the same are also promptly informed to the CBSL and CSE.

As per the Bank’s Articles of Association, 1/3 of the Non-Executive Directors are required to retire from office at each Annual General Meeting but may remain eligible to stand for re-election by the shareholders at the Annual General Meeting. Here too, the BNAGC reviews the relevant Directors' eligibility for re-election with due consideration of his past record in terms of participation, engagement and contribution towards Board matters. A Director appointed by the Board to fill a casual vacancy that may have arisen since the previous AGM, is also entitled to offer himself for re-election at the next AGM subject to the confirmation of the BNAGC.

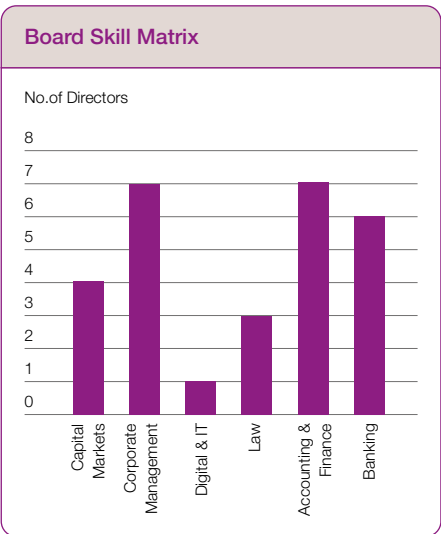
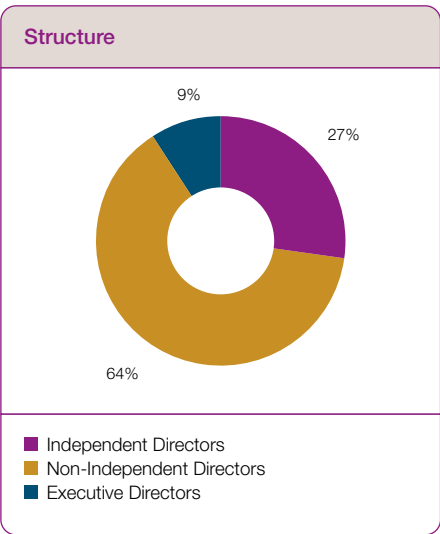
The Amāna Bank Board as at 31 December 2023 comprised of Eleven Directors, of which three function as Non-Executive, Independent Directors, while seven serve on the Board as Non-Executive, Non-Independent Directors in accordance with CBSL's Corporate Governance Rules.

BOARD DIVERSITY

While complying with regulatory requirements for the Board composition, Amāna Bank strives to further improve the Board balance by ensuring a greater degree of diversity in terms of skills, age, etc.

The Amāna Bank Board as at 31 December 2023 is deemed well equipped in terms of skills, knowledge and diversity perspectives to support the Bank’s strategic objectives in the short, medium and long term.

Board Diversity Indicators



NON-EXECUTIVE DIRECTORS (NED'S)

Amāna Bank has a well-balanced Board with the presence of Ten (10) Non-Executive Directors. NED's (including three (03) Independent Non-Executive Directors) provide a wide range of expertise and experience and bring independent judgement on issues relating to strategy development and risk management processes through their contribution at Board and Committee meetings.

The Independent Directors met once during the year without the presence of the other Directors to discuss matters relating to the Bank, Governance related matters and operations of the Board and provide the feedback and recommendations made at these meetings to the Chairman and other Board Members.

RESPONSIBILITIES OF INDIVIDUAL DIRECTORS

The Directors are expected to be willing to allocate sufficient time and effort towards executing their duties as a Board Director of Amāna Bank. This includes participating in Board meetings and contributing their skills, knowledge, and experience as well as exercising independent judgement regarding board decisions. All Board members are also required to participate in the annual self-assessment that forms part of the overall Board evaluation process.

MANAGING CONFLICTS OF INTEREST

All Directors have a fiduciary duty to disclose to the Board in writing, any matters that can be construed as conflict of interest including real or perceived conflicts, direct, indirect, beneficial and non-beneficial interests in any contract or proposed contract. Further, in the event, an item in which a Director has an interest is being discussed at a Board meeting, the Interested Director is expected to recuse himself from participating in any discussions on the matter.

Please refer to the Directors' Interest in Contracts on page 183 for more details.

DIVISION OF RESPONSIBILITY BETWEEN THE CHAIRMAN AND CEO

The role of the Chairman is distinct and separate from that of the Amāna Bank Managing Director/CEO. The separation of responsibilities is designed to ensure an appropriate balance of power and authority exists at the Board level and that no single person has unfettered decision-making powers.

ROLE OF THE BOARD

The roles and responsibilities of the Board are defined by the Bank's Articles of Association and the Board Charter, which recognise the Board as the apex governing body of Amāna Bank. As such, the Board is responsible for establishing the Bank's vision, mission, values and strategy and for providing entrepreneurial leadership to the management to ensure the business activities of the Bank are conducted in accordance with the principles of fairness and transparency.

Matters expressly reserved for Board approval;

- ✦ Setting the Bank's vision, mission and values
- ✦ Oversees the development of the corporate strategy and reviewing and approving strategic plans to reflect the Bank's vision
- ✦ Approving of all major capital investments to support the Bank's growth trajectory
- ✦ Appointment/Removal of Board members and members of Board Sub Committees, Key Management Personnel (KMPs) and the Company Secretary
- ✦ Reviewing and updating Directors' Remuneration and KMPs
- ✦ Evaluating the performance of the Managing Director / CEO and KMPs to assess the achievement of corporate objectives
- ✦ Approving succession plans for key leadership positions across the Bank
- ✦ Regularly reviewing and to the extent necessary, amending the Board Charter, the TOR's of Board Committees and other governance policies and procedures

COMPLIANCE

The Board is accountable for ensuring the Bank complies with applicable laws, rules, codes and standards. To that end, the Board provides oversight to ensure all applicable compliance requirements are fulfilled and promotes the early adoption of new regulations.

All policies and procedures are reviewed and updated regularly to ensure they continue to reflect the current trends and remain fully in line with regulations, laws, corporate governance and industry best practices.

Please refer to the Report on the Bank's Compliance with Prudential Requirements on pages 170 and 171.

CORPORATE GOVERNANCE REPORT

RISK MANAGEMENT AND INTERNAL CONTROL

The Board has a good understanding of the Bank's key risks and provides oversight for establishing appropriate risk management systems, internal control and compliance frameworks. The Board, assisted by the Board Integrated Risk Management Committee (BIRMC) has implemented a sound system of risk management and internal control, which is deemed appropriate for the scope and scale of Amāna Bank's business activities and to provide reasonable assurance regarding the achievement of the Bank's strategic objectives.

Please refer to the Risk Management Report on pages 206 to 231 for more details.

INTERNAL CONTROL AND FINANCIAL REPORTING

The Board has established a comprehensive system of internal control supported by a fully-fledged financial reporting suite to communicate to stakeholders the Bank's performance and financial position. The main document in the reporting suite is the Integrated Annual Report which contains a balanced and transparent assessment of the Bank's financial position, performance and prospects for the future.

The Annual Report complies with all statutory requirements and includes - the Directors' Statement on Internal Control Over Financial Reporting, the Annual Report of the Board of Directors on the Affairs of the Bank (pages 176 to 182), the Independent Assurance Report on Directors' Statement on Internal Control Over Financial Reporting (pages 174 and 175) and the Statement of Directors' Responsibility (pages 195 and 196).

The Annual Report is reviewed and recommended by the relevant Board sub committees and submitted for Board

approval, where relevant prior to publication. The Annual Report is submitted to the CSE digitally and in print form. Apart from the Annual Report, the Bank also publishes Interim Financial Statements and Quarterly press releases summarising the performance.

CULTURE AND CONDUCT

The Board is responsible for setting the tone from the top to ensure fair dealing and ethical business conduct at all levels of the Bank. The Directors are guided by the Internal Code of Corporate Governance, while all employees including KMP's are bound by the Code of Conduct which outlines the values of behavioural, ethical, and practical compliance aspects that employees are expected to imbibe. The Code of conduct is supported by the Disciplinary Policy which sets out an appropriate course of action to confront violations.

The Whistleblowing Policy is in place to empower employees to come forward and voice their concerns anonymously, thereby nurturing a culture of transparency. The Whistleblowing Policy is supported by an effective and secure process to facilitate communication between the Bank and the whistleblower.

IT GOVERNANCE

The Board is responsible for setting the Bank's IT strategy, and objectives to complement the business strategy and values. In exercising its responsibility for IT governance, the Board approves the IT budget, monitors IT risks and outcomes, and evaluates the efficacy of the IT governance framework to support the Bank's business model and strategy. For this reason, the Board has appointed the Chief Information Officer (CIO) to oversee the IT governance activities and report back on a regular basis.

HR GOVERNANCE

As the apex governing body of the Bank, the Amāna Bank Board is responsible for ensuring the availability of adequate and suitably skilled personnel for the proper functioning of the Bank. The Board also plays an important oversight function in ensuring remuneration structures are cost effective for the Bank, while also being industry competitive in order to attract and retain the best in-class talent. Similarly, the Board plays an active role in the formulation and implementation of workplace policies to meet legal and regulatory obligations as well as to stay on par with global best practices.

SUSTAINABILITY GOVERNANCE AND REPORTING

The Board recognises the importance of sustainable operations. As a signatory to the UN Global Compact (UNGC) for the past two years, the Amāna Bank Board has continued to reaffirm its commitment to the UNGC's ten universally accepted principles on Human Rights, Labour, Environment and Anti-Corruption.

Apart from this, the Board oversees the development of the Bank's sustainability strategy to ensure that Material Matters are integrated into the strategic and business plans to enable operational teams to drive these plans on a day-to-day basis.

STAKEHOLDER ENGAGEMENT

The Board believes that engaging openly with external and internal stakeholders helps to build trust and also gain deeper insights regarding their expectations. To that end, the Board has granted the authority to the Managing Director/CEO to direct respective management teams to connect with stakeholders on an ongoing basis.

Further Reading - Stakeholder Engagement on pages 52 to 54.

SHAREHOLDER RELATIONS AND COMMUNICATION

Conscious of their responsibility towards shareholders, the Amāna Bank Board is committed to fair and transparent disclosure of information, with emphasis on accuracy, timeliness and relevance of published content as per regulatory requirements. Shareholder information is shared publicly through regulatory filings, CSE announcements and at the Annual General Meeting (AGM).

In a bid to further improve the quality of information provided to shareholders, the Annual Report for 2022 was prepared as an Integrated Report based on the International Integrated Reporting Council (IIRC) <IR> format.

The Board respects the right of shareholders to raise questions, comment or make suggestions regarding any and all published information, including the Annual Report. All significant issues and concerns of shareholders are reviewed by the Board to enable corrective action to be taken as appropriate.

ANNUAL GENERAL MEETING (AGM)

As part of their fundamental duty to shareholders, the Board is responsible for hosting the AGM following the financial year end. In adherence to CSE rules for listed entities, the notice of the AGM, the Annual Report and Financial Statements and any other resolution to be tabled at the AGM together with the voting procedures, are circulated to shareholders fifteen (15) working days prior to the AGM. The digital version of the Annual Report is uploaded to

the CSE website and also made available for download on the Bank's corporate website.

The Board has established a clear mechanism to record and count all proxy votes lodged for each resolution. In the event there is a significant proportion of the votes cast against a resolution, the Board will take steps to further disseminate vote results in order to determine if further action is required. The outcome of the vote on each resolution is informed to the CSE, soon after the conclusion of the AGM.

Amāna Bank's next AGM is scheduled to be held on 28 March 2024.

Board Focus for 2023

Strategy	- Continuous and ongoing monitoring of the macro-economic environment and evaluating the potential impact on the Bank's performance and stability - Approval of the Bank's strategy, medium-term and short-term plans - Approval of the Annual Budget - Measuring performance outcomes against budgeted targets
Risk, Capital and Liquidity Planning	- Review and update of the risk appetite for credit risk and liquidity risk taking into consideration the uncertain economic climate - Resolved to increase the Bank's Stated Capital by LKR 6,675,214,939.50 by issuing 2,902,267,365 ordinary voting shares in the proportion of 1 new share for each share held, at a consideration of LKR 2.30 per share which would raise LKR 6.7 billion in equity capital
Financial Results and Dividends	- Approval of audited financial statements for 2022 and interim financial statements for 2023 - Approval of 2023 quarterly results for publication - Declaration of an interim scrip dividend of 12 cents per share with the total payout amounting to LKR 334.1 million

CORPORATE GOVERNANCE REPORT

Board Focus for 2023	
Corporate Governance	Approval of principal regulatory filings for 2023 - Formulating the Board Succession Plan to be implemented from 2025 onwards - Reviewing and updating the Terms of Reference (TOR) of the Board Related Party Transaction Review Committee and the Board Audit Committee during the year under review.
Culture and Conduct	Formulation and approving of the Anti-Bribery and Corruption (ABC) Policy in response to the feedback provided by Transparency International in their annual review
IT Governance	- Focused efforts to align the Bank's information security architecture with the Central Bank of Sri Lanka Direction No. 16 of 2021 on "Regulatory Framework on Technology Risk Management and Resilience for Licensed Banks" - Sanctioned higher investment in IT infrastructure including network systems, backup and storage platforms
HR Governance	Revisited remuneration structures and strengthened employee retention strategies amidst the backdrop of the brain drain experienced in the Country

BOARD MEETINGS

Board Meetings of Amāna Bank are held monthly, or more often when needed. It is mandatory for all Directors to attend all Board meetings, be it the regular Board meetings or ad hoc Board meetings.

A structured framework is in place for planning of Board meetings. The meeting calendar is prepared annually in advance and communicated to all Board members. Before each scheduled meeting date, the Chairman, assisted by the Company Secretary, sets the agenda for the meeting to ensure relevant matters are presented for discussion in order of priority.

To enable Directors to make informed decisions, a Board pack is prepared and circulated digitally amongst all Directors seven (07) days prior to the Board Meeting. The Board pack typically contains qualitative and quantitative information on matters to be raised at the Board Meeting along with the Managing Director/CEO's review of business operations, financial performance, industry trends and market developments.

To enable the Board to effectively prepare for Board meetings, Directors have unrestricted access to members of the Management Team. Meanwhile, Key Management

Personnel (KMP) such as the Chief Operating Officer, Chief Risk Officer, Chief Compliance Officer, Chief Financial Officer, Head of Human Resources and Chief Information Officer, are invited to attend Board meetings as and when needed.

Directors are also entitled to seek independent professional advice as and when needed. Such requests are coordinated through the Company Secretary at the Bank's expense.

A total of twelve (12) scheduled Board meetings were held in the year 2023 with the attendance and active participation of Directors.

DIRECTORS' ATTENDANCE AT BOARD AND SUB-COMMITTEE MEETINGS DURING 2023

Name of Director	Main Board		Board Audit Committee		Board Credit Committee		Board Nomination and Governance Committee		Board Integrated Risk Management Committee		Board Human Resources and Remuneration Committee		Board Related Party Transactions Review Committee	
	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility
Mr. Ali Asghar Akbarally ¹	11	12	-	-	7	10	2	2	-	-	2	2	-	-
Mr. Mohamed Azmeer ⁵	12	12	-	-	-	-	-	-	3	4	-	-	3	4
Mr. Tishan Subasinghe ²	12	12	7	7	-	-	2	2	4	4	2	2	4	4
Mr. Dilshan Hettiaratchi ³	11	12	-	-	10	10	1	2	-	-	2	2	4	4
Mr. Aaron Russell-Davison ⁴	10	12	1	7	-	-	2	2	3	4	2	2	3	4
Mr. Mohammed Ataur Rahman Chowdhury ³	10	12	7	7	-	-	1	2	4	4	1	2	-	-
Mr. Syed Muhammed Asim Raza ³	10	12	-	-	-	-	-	-	-	-	-	-	-	-
Mr. Khairul Muzamel Perera Bin Abdullah ⁴	9	12	3	3	-	-	-	-	3	3	-	-	-	-
Mr. Omar Kassim ³	10	12	-	-	-	-	-	-	-	-	-	-	-	-
Mr. Mohamed Adamaly ³	11	12	-	-	9	10	-	-	-	-	-	-	-	-
Mr. Mohammad Hassan ³	10	12	-	-	-	-	-	-	-	-	-	-	-	-

Please refer profiles of Board of Directors from pages 10 to 19 for additional details.

1 - Chairman, Non-Executive, Non-Independent Director

2 - Non-Executive, Senior Independent Director

3 - Non-Executive, Non-Independent Director

4 - Non-Executive, Independent Director

5 - Managing Director/CEO

DIRECTORS TRAINING

The Directors benefit from regular training throughout their tenure for the purpose of knowledge enhancement regarding their duties as a Board Director. Such programmes are typically conducted at the Sri Lanka Institute of Directors. In addition, Directors also often attend industry forums, knowledge sharing sessions and panel discussions relating to economic, regulatory and the latest industry trends.

Meanwhile, all new Directors are subject to a formal induction where they receive an orientation pack with all relevant external and internal documentation to ensure they are adequately briefed and suitably knowledgeable regarding Amāna Bank's business model and operations.

Training Focus for Directors

AML / CFT training by the FIU of the CBSL

Corporate Governance Rules issued by the CSE

Sharia Awareness Programmes

CORPORATE GOVERNANCE REPORT

BOARD EVALUATION

Each Director performs an annual self-evaluation to assess his contribution to the Amāna Bank Board. Simultaneously, the Board works collectively to assess its effectiveness with due consideration of the balance and mix of skills, experience, independence and knowledge, the gender representation at Board level.

The same procedure is followed for evaluating the performance of Board Sub-committees as well.

The results of the latest evaluation indicate that the Bank Board and Board Sub-committees continue to perform their respective roles effectively in adherence to the provisions outlined by the Board Charter / Sub-committee TOR's.

EVALUATING THE PERFORMANCE OF MANAGING DIRECTOR/CEO

The performance of Managing Director/CEO is assessed by the BHRRC at the conclusion of the financial year based on the agreed goals and objectives for that particular financial year. Following the year end evaluation of the Managing Director/CEO's performance, the Board makes recommendations regarding appropriate revisions to the Managing Director/CEO's compensation.

BOARD SUB COMMITTEES

To assist in performing its oversight role, the Board has appointed several Sub-committees. The responsibilities delegated to these Sub-committees are documented in each Committee's Terms of Reference (TOR), which have been formally approved by the Board. Committee TOR's are reviewed on an annual basis by the Board and updated as needed. To maintain transparent communication between Directors and ensure that Committees function as per the Board approved mandate, the minutes of the

most recent Committee meetings are tabled at the next Board meeting.

Currently, the Amāna Bank Board has appointed Eight (08) Committees - 5 mandatory Committees (Board Audit Committee, Board Human Resources and Remuneration Committee, Board Nomination and Governance Committee, Board Related Party Transactions Review Committee, Board Integrated Risk Management Committee) required for licensed commercial banks in Sri Lanka as well as three (03) other discretionary Committees to oversee various aspects of the business.

The Board Procurement Committee (BPC) comprised of two Board Directors, Managing Director/CEO, Chief Financial Officer, Chief Operating Officer and Chief Compliance Officer. The BPC will be responsible for approving the recommendations made by Manager-Procurement in addition to providing directions, guidance and various other approvals. According to the Board approved Terms of Reference of the BPC, the Board has authorized the BPC, Management Procurement Committee and the Senior Management Members to be responsible for recommending and approving procurements at varying financial limits.

The Board Capital Raising and Investment Committee (BCRIC) comprised of five Board Directors. The Chief Financial Officer and Vice President - Strategy Management are permanent invitees to the meeting. The BCRIC shall be responsible to evaluate and assess all capital raising methodologies, evaluate distribution of dividends to shareholders, to determine applicable fees to intermediaries and facilitating agencies, and provide appropriate recommendations to the Board. In addition to this, the BCRIC is also responsible to recommend all strategic investment decisions to the Board

and review the performance of strategic investments on a periodic basis.

Board Credit Committee (BCC) evaluates all credit proposals based on credit policies and procedures laid down by the Bank and adopts best practices for assessment of credit risk in line with CBSL requirements and BASEL recommendations, before seeking approval of the Board. Composition of the BCC includes four Board Directors with minimum one Independent Director. Senior Management members including the Chief Risk Officer will attend the meeting by invitation. As per the Board approved Terms of Reference, BCC is responsible to maintain good credit quality and minimize credit losses, and shall be accountable for the decisions made.

ROLE OF THE COMPANY SECRETARY

The Board has appointed a Company Secretary to provide guidance and assistance to the Board in discharging its duties and responsibilities. The Company Secretary, under the direction of the Board, is accountable for all matters with regard to the proper functioning of the Board and is the main point of contact for the Board, shareholders, auditors and the management.

The Company Secretary serves as the Secretary to the Board, Board Nominations and Governance Committee, Board Related Party Transactions Review Committee and Capital Raising and Investment Committee, and facilitates the effective flow of information to the Board, Board Sub-committees and Senior Management. The Company Secretary attends to all matters relating to Board meetings and relevant Board Sub-committee meetings.

In addition to the aforementioned responsibilities, the Company Secretary is also required to:

- ✦ Advise Directors individually and the Board collectively about carrying out their duties and responsibilities in compliance with the Companies Act No. 07 of 2007, Directions of the Central Bank of Sri Lanka, the Listing Rules of the Colombo Stock Exchange and the Bank's Articles of Association
- ✦ Coordinate necessary requirements to ensure Board meetings are conducted effectively, including liaising with the Board Chairman to plan out the agenda, issue notices of meetings, circulation of board papers and preparation of minutes.
- ✦ Maintain minutes of general meetings, Board meetings, relevant Board Sub-committee meetings and all statutory registers.
- ✦ Inform regulators of any changes in the Bank's governance structure owing to the appointment or resignation/retirement/removal of Directors, Registrars, Auditors and Key Management Personnel.
- ✦ Facilitate the general meetings of the Bank, including the preparation and circulation of notices and annual reports in adherence to CSE listing rules
- ✦ Assist in the induction of new Directors and facilitating the ongoing professional development of Directors, including training and knowledge development to keep them updated on the latest developments in legislation and regulations in the local banking industry
- ✦ Serve as the custodian for the Bank's constitutional documents, including the certificate of incorporation, Banking License and the Articles of Association.

The appointment and removal of the Company Secretary requires the approval of the Board. Miss. P. S. Watson has been the Company Secretary of Amāna Bank PLC since 4 June 2021.

A Note from the Senior Independent Director

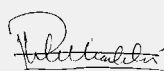
I wish to state that as the Senior Independent Director (SID) of Amāna Bank PLC, I have performed my duties and responsibilities in accordance with the Board approved Terms of Reference (TOR). I was present at Eleven Board meetings held during the year 2023 and wish to confirm that all Directors have demonstrated their capacity for strong, independent judgement and a greater degree of objectivity when deliberating Board decisions.

Throughout the year, I also actively observed the work carried out by the Chairman of the Board and the Managing Director/CEO of the Bank, to ensure that there is a clear division of responsibility between the two.

Furthermore, to keep in line with the amendment of the Corporate Governance Rules of Colombo Stock Exchange in October 2023, I met and had fruitful discussions with Independent Non-Executive Directors during the year under review.

I also attended all scheduled meetings with regulators, which have helped to further strengthen Amāna Bank's relationships with all regulatory authorities.

In conclusion, I wish to state that the Amāna Bank is led by an effective and competent Board that remains committed to ensure the interest of the Bank and its stakeholders are the foremost priority.



Dilshan Hettiaratchi
Senior Independent Director

Mr. Tishan Subasinghe - Non-Executive, Independent Director has been designated as Non-Executive, Senior Independent Director with effect from 1 February 2024.

CORPORATE GOVERNANCE REPORT

Rule Number	Rule	Status of Compliance
3 (1)	The Responsibilities of the Board	
3 (1) (i)	The Board shall strengthen the safety and soundness of the Bank by ensuring the implementation of the following:-	
3 (1) (i) (a)	Approve and oversee the Bank's strategic objectives and corporate values and ensure that these are communicated throughout the Bank.	Complied. The strategic objective and corporate values of the Bank are incorporated in the Board approved Strategic Plan. Annual Budget has been approved by the Board and prepared based on the Strategic Plan. Strategic objectives and Corporate values are assessed at regular meetings with the Management Committee and cascaded down to all staff levels by each Management Committee member through regular meetings, briefings and discussions.
3 (1) (i) (b)	Approve the overall business strategy of the Bank, including the Risk Policy and Risk Management procedures and mechanisms with measurable goals, for at least for the next three years.	Complied. The Bank's overall Strategic Plan was prepared for the next four years which includes business strategy and measurable goals were approved by the Board subsequent to detailed deliberation. This also includes the financial projections. Board approved Risk Policy and the Integrated Risk Management (IRM) Framework includes risk management procedures, mechanism and measurable goals based on the Strategic Plan. These are monitored regularly and annually reviewed to dynamically and effectively manage the risk appetite of the Bank.
3 (1) (i) (c)	Identify the principal risks and ensure implementation of appropriate systems to manage the risks prudently.	Complied. Identifying the principal risks and reviewing the Integrated Risk Management Framework are carried out though the Board Integrated Risk Management Committee (BIRMC) annually. A stringent risk management process has been established and the detailed procedures have been covered in the respective risk management policies and appropriate strategies have been adopted according to Bank's risk appetite. The Board Integrated Risk Management Committee (BIRMC) uses a comprehensive dashboard to monitor the risk appetite prudently and reports to the Board through a well-structured Risk reporting system. BIRMC Chairman's report consisting of deliberations and minutes of the BIRMC are submitted to the Board periodically.
3 (1) (i) (d)	Approve implementation of a policy of communication with all stakeholders, including depositors, creditors, shareholders and borrowers.	Complied. A comprehensive communication policy was approved by the Board of Directors. This policy covers the communication to all stakeholders, depositors, creditors, shareholders and clients.

Rule Number	Rule	Status of Compliance
3 (1) (i) (e)	Review the adequacy and the integrity of the Bank's internal control systems and management information systems.	Complied. Board Audit Committee (BAC) reviews the adequacy and the integrity of the Bank's internal control system and management information system (MIS) on a regular basis. The adequacy and the integrity of the Bank's internal control system and MIS are determined by the Internal Audit Department regularly who submit a report to the BAC. The BAC and the Board have examined the report for 2023 and have expressed their satisfaction on the adequacy and integrity of the MIS.
3 (1) (i) (f)	Identify and designate Officers Performing Executive Functions of Licensed Commercial Banks (LCB) as referred to in the Banking Act Determination No. 01 of 2019 on Assessment of Fitness and Propriety of Chief Executive Officer and Officers Performing Executive Functions in Licensed Banks.	Complied. The Bank has identified and designated Key Management Personnel (KMP) as per the Banking Act Determination No. 01 of 2019. The MD/CEO, CFO, SVPs, VPs, Chief Compliance Officer, Head of Legal, Company Secretary, Chief Information Officer, Chief Internal Auditor and Chief Risk Officer have been identified as KMP as per the CBSL Guideline.
3 (1) (i) (g)	Define the areas of authority and key responsibilities for the Board Directors themselves and for Key Management Personnel.	Complied. Segregation of duties and authorities between the Board of Directors and KMPs is in place, where Directors are responsible for strategic decisions and the KMPs are responsible for carrying out the decisions. Article 31 of the Bank's Articles of Association, stipulates the authority and key responsibilities of the Board of Directors. Board approved functions and responsibilities of the MD/CEO are in place. Key responsibilities of the KMPs are defined in the individual job description which have been submitted to the Board Nomination and Governance Committee (BNAGC) and approved by the Board. Delegated authorities of the KMPs have been approved by the Board through the amendment to the Credit Risk Policy.

CORPORATE GOVERNANCE REPORT

Rule Number	Rule	Status of Compliance
3 (1) (i) (h)	Ensure that there is appropriate oversight of the affairs of the Bank by Key Management Personnel that is consistent with Board's policy.	Complied. Board of Directors has oversight on the KMPs at Board and Board sub-committee meetings, where KMPs are called or present to make regular presentations to the Board on matters under their purview and explain matters relating to their concerns. All policies are reviewed and approved by the Board, thereby ensuring appropriate Board oversight.
3 (1) (i) (i)	Periodically assess the effectiveness of the Board of Directors' own governance practices, including	Complied. The BNAGC is delegated with the functions of selecting, nominating and election of Directors and KMPs in line with the approved Terms of Reference (TOR) of the BNAGC by the Board. Further, Article 28 of the Bank's Articles of Association stipulates the appointment of the Directors.
	(i) the selection, nomination and election of Directors and Key Management Personnel:	
	(ii) the management of conflicts of interest and	Article 34 of the Bank's Articles of Association cover Directors' interests and a Directors' interest register is maintained by the Company Secretary. Furthermore, management of conflicts of interest is covered in the Board approved Policy of Related Party transactions.
	(iii) the determination of weaknesses and implementation of changes where necessary	Bank has a self-evaluation process in place for the Board of Directors, which evaluates the Directors' own governance practices. The Company Secretary submits a summary of the self-evaluation to the Board for their review and action if necessary.
3 (1) (i) (j)	Ensure that the Board has an appropriate succession plan for Key Management Personnel	Complied. A succession plan for Key Management Personnel approved by the Board is in place.
3 (1) (i) (k)	Meet regularly, on a needs basis, with the Key Management Personnel to review policies, establish communication lines and monitor progress towards corporate objectives.	Complied. KMPs are called or present to make regular presentations to the Board or Board Sub-Committees relating to matters under their purview and bring up any concerns, thus, establishing communication and monitoring progress towards corporate objectives. All policies are reviewed and approved at the Board, thereby ensuring appropriate Board oversight.

Rule Number	Rule	Status of Compliance
3 (1) (i) (l)	Understand the regulatory environment and ensure that the Bank maintains an effective relationship with regulators	Complied. The Company Secretary is statutorily responsible for communications with the Registrar of Companies and also furnishes the Board Orientation Pack which includes CBSL guidelines, Regulatory guidelines, determinations and rules of Corporate Governance to a new Director for his/her information, on being appointed to the Board. A web Conference on the theme on "Managing Financial Crime Risk in Financial Services Sector of Sri Lanka for BOD and Key Management Personnel of Licensed Banks and Licensed Finance Companies" conducted by Finance Intelligence Unit of Sri Lanka was arranged for Directors on 30 November 2023. A high level awareness web session on the theme on "upcoming Mutual Evaluation of Sri Lanka" for Board of Directors and Senior Management of Financial Institutions, conducted by Finance Intelligence Unit of Sri Lanka. The Chief Compliance Officer (CCO) submits AML/CFT Dashboard and quarterly Compliance reports to the Board through BIRMC that assists the Board to identify the regulatory environment and requirements. Furthermore, the CCO also updates the BIRMC and the Board with the latest regulatory changes on a quarterly basis. The Board ensures that effective relationships with the regulators are maintained by way of active participation at the meetings with the regulators by the MD/CEO and the Board members.
3 (1) (i) (m)	Exercise due diligence in the hiring and oversight of external auditors.	Complied. The Board has delegated this process for hiring and oversight of the External Auditors to the BAC as per the approved TOR of the BAC. Furthermore, Article 46 (4) of the Bank's Articles of Association covers the appointment of the External Auditors who are appointed at the Annual General Meeting (AGM).
3 (1) (ii)	The Board shall appoint the Chairman and the Chief Executive Officer and define and approve the functions and responsibilities of the Chairman and the Chief Executive Officer in line with direction 3 (5) of these directions	Complied. The functions and responsibilities of the Chairman and MD/CEO are appropriately defined and approved by the Board in line with Direction 3 (5). The positions of the Chairman and MD/CEO are separate.

CORPORATE GOVERNANCE REPORT

Rule Number	Rule	Status of Compliance
	BOARD PROCEDURE	
3 (1) (iii)	The Board shall meet regularly and Board meetings shall be held at least twelve times a year at approximately monthly interval. Such regular Board meetings shall normally involve active participation in person of a majority of Directors entitled to be present. Obtaining the Board's consent through the circulation of written resolutions/papers shall be avoided as far as possible.	Complied. The Board ensures that it meets on a regular basis and has held twelve (12) meetings during the year. There were Fifteen (15) circular resolutions passed for the year which were subsequently ratified by the Board.
3 (1) (iv)	The Board shall ensure that arrangements are in place to enable all Directors to include matters and proposals in the agenda for regular Board meetings where such matters and proposals relate to the promotion of business and the management of risks of the Bank.	Complied. The Agenda, Minutes and Board Papers are forwarded to the Directors in line with Corporate Governance directions and Board approved procedures. Any Director may request the Company Secretary to include an agenda item that he/she may think is necessary to be discussed at the subsequent meeting relating to the promotion of business and the management of risks. The Company Secretary may include such matters in the agenda with the concurrence of the Chairman.
3 (1) (v)	The Board procedures shall ensure that notice of at least 7 days is given of a regular Board meeting to provide all Directors an opportunity to attend. For all other Board meetings, reasonable notice may be given.	Complied. The Notice of Board Meetings and Board Papers are circulated to the Directors at least 7 days prior to the meeting to provide them an opportunity to prepare and attend the meeting. However, all meetings of the Board and Board Sub Committees scheduled for the year are informed to the Directors before the commencement of the financial year.
3 (1) (vi)	The Board procedure shall ensure that a Director, who has not attended at least two-thirds of the meetings in the period of 12 months immediately preceding or has not attended the immediately preceding three consecutive meetings held, shall cease to be a Director. Participation at the Directors' meetings through an alternative Director shall, however, be acceptable as attendance.	Complied. The Board Meetings have been duly attended and the Directors have attended the required number of meetings during the year 2023 in accordance with the Corporate Governance code. The attendances of the Directors are set out in page 115 of the Annual Report.
3 (1) (vii)	The Board shall appoint a Company Secretary who satisfies the provisions of Section 43 of the Banking Act No 30 of 1988, whose primary responsibilities shall be to handle the secretarial services to the Board and shareholder meetings and to carry out other functions specified in the statutes and other regulations.	Complied. The Board has appointed a Company Secretary, a Fellow Member of The Chartered Governance Institute of UK who satisfies the provisions of Section 43 of the Banking Act No. 30 of 1988 (as amended).

Rule Number	Rule	Status of Compliance
3 (1) (viii)	All Directors shall have access to advice and services of the Company Secretary with a view to ensure that Board procedures and all applicable rules and regulations are followed.	Complied. All Directors have equal opportunity to access the Company Secretary to advice and services. A Board approved policy is in place in this regard.
3 (1) (ix)	The Company Secretary shall maintain the minutes of the Board meetings and such minutes shall be open for inspection at any reasonable time, on reasonable notice by any Director.	Complied. Comprehensive minutes of the Board meetings are maintained by the Company Secretary and there is a Board approved procedure that enables all Directors to have access to such minutes as per the Corporate Governance code.
3 (1) (x)	Minutes of Board meetings shall be recorded in sufficient detail so that it is possible to gather from the minutes, as to whether the Board acted with due care and prudence in performing its duties. The minutes shall also serve as a reference for regulatory and supervisory authorities to assess the depth of deliberations at the Board meetings. Therefore, the minutes of a Board meeting shall clearly contain or refer to the following; - A summary of data and information used by the Board in its deliberations. - The matters considered by the Board. - The fact-finding discussions and the issues of contention or dissent which may illustrate whether the Board was carrying out its duties with due care and prudence. - The testimonies and confirmations of relevant executives which indicate compliance with the Board's strategies and policies and adherence to relevant laws and regulations. - The Board's knowledge and understanding of the risks to which the Bank is exposed and an overview of the Risk Management measures adopted. - The decisions and Board resolutions.	Complied. Comprehensive Minutes of the Board meetings are recorded with sufficient details and maintained by the Company Secretary in order to enable the assessment made of the depth of the Board deliberation, decisions, matters considered by the Board and also on approval of resolutions. The Board minutes also captures the fact-finding discussions, compliance with Board's Strategies and Policies and adherence to relevant laws and regulations. The understandings of the risks to which the Bank is exposed and an overview of the Risk Management measures adopted are also captured in the Board minutes.

CORPORATE GOVERNANCE REPORT

Rule Number	Rule	Status of Compliance
3 (1) (xi)	There shall be a procedure agreed by the Board to enable Directors, upon reasonable request, to seek independent professional advice in appropriate circumstances, at the Bank's expense. The Board shall resolve to provide separate independent professional advice to Directors to assist the relevant Director or Directors to discharge his/her/their duties to the bank.	Complied. A Board approved procedure is in place for Directors to obtain independent professional advice in appropriate circumstances, at the Bank's expense.
3 (1) (xii)	Directors shall avoid conflicts of interests, or the appearance of conflicts of interest in their activities with, and commitments to, other organisations or related parties. If a Director has a conflict of interest in a matter to be considered by the Board, which the Board has determined to be material, the matter should be dealt with at a Board meeting, where Independent Non-Executive Directors who have no material interest in the transaction, are present. Further, a Director shall abstain from voting on any Board resolution in relation to which he/she or any of his/her close relation or a concern, in which a Director has substantial interest, is interested and He/she shall not be counted in the quorum for the relevant agenda item at the Board meeting.	Complied. The Board approved Policy of Related Party Transactions includes provision to manage avoiding conflicts of interests, or the appearance of conflicts of interest, which is in accordance to the Corporate Governance Direction No. 11 of 2007. This procedure further evidences that the Director concerned is to abstain from voting and not participate in the discussion in a relationship / concern in which he has an interest. Furthermore, the Director disclosures of interest (if any) are tabled at Board meetings and a register is maintained by the Board Secretary to record such interests and recorded in the Board minutes. In line with the procedure, the Directors refrain from taking part in discussions and decision making where there is a conflict of interest. The concerned Director leaves the room when the relevant agenda item is taken up for discussion by the Board. Such Director is not counted in the quorum.
3 (1) (xiii)	The Board shall have a formal schedule of matters specifically reserved to it for decision to ensure that the direction and control of the Bank is firmly under its authority.	Complied. The Board has a formal schedule of matters specifically reserved to the Board for its decision to ensure that the direction and control of the Bank is within the Board's authority.
3 (1) (xiv)	The Board shall, if it considers that the Bank is, or is likely to be, unable to meet its obligations or is about to become insolvent or is about to suspend payments due to depositors and other creditors, forthwith inform the Director of Bank Supervision of the situation of the Bank prior to taking any decision or action.	Complied. Such a situation has not arisen during the year 2023. The Board is aware of the requirement to inform the Director of Bank Supervision if such a situation arises at the Bank prior to taking any decision or action in this regard.

Rule Number	Rule	Status of Compliance
3 (1) (xv)	The Board shall ensure that the Bank is capitalised at levels as required by the Monetary Board in terms of the capital adequacy ratio and other prudential grounds.	Complied. The Bank is in compliance with the minimum capital requirement of LKR 20 billion and prudential requirements relating to Capital Adequacy Ratio as specified by the Central Bank of Sri Lanka (CBSL). Furthermore, the Board monitors the Capital Adequacy Ratio and other prudential requirements on a monthly basis.
3 (1) (xvi)	The Board shall publish in the Bank's Annual Report, an annual corporate governance report setting out the compliance with Direction 3 of these Directions.	Complied. The Corporate Governance Report is published on pages 108 to 169 of the Annual Report.
3 (1) (xvii)	The Board shall adopt a scheme of self-assessment to be undertaken by each Director annually, and maintain records of such assessments.	Complied. The Board has a process of self-assessment of each Director which is performed by the Directors annually and is filed with the Company Secretary.
3 (2)	The Board's Composition	
3 (2) (i)	The number of Directors on the Board shall not be less than 7 and not more than 13.	Complied. The Board comprises of 11 Directors as at 31.12.2023 which is in line with the regulation.
3 (2) (ii)	The total period of service of a Director other than a Director who holds a position of a Chief Executive Officer shall not exceed nine years, and such period in office shall be inclusive of the total period of service served by such Director up to 1st January 2008.	Complied.
3 (2) (iii)	An employee of a Bank may be appointed, elected or nominated as a Director of the Bank (hereinafter referred to as an "Executive Director") provided that the number of Executive Directors shall not exceed one-third of the number of Directors of the Board. In such an event, one of the Executive Directors shall be the Chief Executive Officer of the Bank.	Complied.

CORPORATE GOVERNANCE REPORT

Rule Number	Rule	Status of Compliance
3 (2) (iv)	The Board shall have at least three Independent Non-Executive Directors or one third of the total number of the Directors, whichever is higher. This sub-direction shall be applicable from 1st January 2010 onwards. A Non-Executive Director shall not be considered independent if he/she has; a) directly and indirectly shareholdings of more than 1% of the Bank. b) currently has or had during the period of two years immediately preceding his/her appointment as Director, any business transactions with the Bank as described in Direction 3 (7) hereof, exceeding 10% of the regulatory capital of the Bank. c) has been employed by the Bank during the two-year period immediately preceding the appointment as Director. d) has a close relation who is a Director or CEO or a member of Key Management Personnel or a material shareholder of the Bank or another bank. For this purpose, a “close relation” shall mean the spouse or a financially dependent child. e) represents a specific stakeholder of the Bank. f) is an employee or Director or a material shareholder in a company or business organisation: i) which currently has a transaction with the Bank as defined in Direction 3(7) of these Directions, exceeding 10% of the regulatory capital of the Bank, or ii) in which any of the other Directors of the Bank are employed or are Directors or are material shareholder; or iii) in which any of the other Directors of the Bank have a transaction as defined in Direction 3 (7) of these Directions, exceeding 10% of the regulatory capital of the Bank.	Non-Complied. The Board is in the process of appointing additional Independent Directors to satisfy this requirement after proper evaluation and necessary regulatory approval is obtained.

Rule Number	Rule	Status of Compliance
3 (2) (v)	In the event an Alternate Director is appointed to represent an Independent Director, the person so appointed shall also meet the criteria that apply to the Independent Director.	Complied. The Bank does not have any Alternate Directors appointed to the Board.
3 (2) (vi)	Non-Executive Directors shall be persons with credible track records and/or have necessary skills and experience to bring an independent judgment to bear on issues of strategy, performance and resources.	Complied. BNAGC has a formal documented procedure in place to appoint Non-Executive Directors to the Board, who must possess the necessary skills and experience to bring an independent judgment on Bank issues and all such Board appointments have been carried out accordingly. Further, Article 28 of the Articles of Association stipulates the rules for the appointment of Directors.
3 (2) (vii)	A meeting of the Board shall not be duly constituted, although the number of Directors required to constitute the quorum at such meeting is present, unless more than one half of the number of Directors present at such meeting are Non-Executive Directors.	Complied. Board of the Bank comprises of Ten Non- Executive Directors. Hence the quorum for Board meeting has been in line with the Direction.
3 (2) (viii)	The Independent Non-Executive Directors shall be expressly identified as such in all corporate communications that disclose the names of Directors of the Bank. The Bank shall disclose the composition of the Board, by category of Directors, including the names of the Chairman, Executive Directors, Non-Executive Directors and Independent Non-Executive Directors in the annual corporate governance report.	Complied. The compositions of the Board by category of Directors are disclosed on pages 10 to 19 and page 179 in the Annual Report.
3 (2) (ix)	There shall be a formal, considered and transparent procedure for the appointment of new Directors to the Board. There shall also be procedures in place for the orderly succession of appointment of the Board.	Complied. BNAGC has a formal documented procedure in place to appoint Directors to the Board, who are required to possess the necessary skills and experience to bring an independent judgment on Bank issues and all such new Board appointment have been carried out accordingly. Further, Article 28 of the Articles of Association stipulates rules for the appointment of Directors.
3 (2) (x)	All Directors appointed to fill a casual vacancy shall be subject to election by shareholders at the first general meeting after their appointment.	Complied. Article 29(13) of Bank's Articles of Association covers the appointment of Directors to fill a casual vacancy and all such appointments for the year are subject to election at the next AGM.

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Rule Number	Rule	Status of Compliance
3 (2) (xi)	If a Director resigns or if removed from office, the Board shall: a) Announce the Director's resignation or removal and reasons for such removal or resignation including but not limited to information relating to the relevant Director's disagreement with the Bank, if any; and b) Issue a statement confirming whether or not there are any matters that need to be brought to the attention of shareholders.	Complied. Resignations or removal of Directors are communicated to the Regulators and announced to the Colombo Stock Exchange together with a statement confirming whether or not any matters should be brought to the attention of shareholders, including the reasons for such resignations or removal. All appointments and resignations of Directors has been duly informed and approved in accordance with above requirement.
3 (2) (xii)	A Director or an employee of a Bank shall not be appointed, elected or nominated as a Director of another bank except where such bank is a subsidiary company or an associate company of the first mentioned bank.	Complied. Such a situation has not arisen during the year 2023. None of the Directors of the Bank are the Directors of another Bank. The Bank has a process to identify whether a Director of a Bank is appointed, elected or nominated as a Director of another Bank based on the affidavit obtained and submitted to CBSL annually.
3 (3)	Criteria to Assess the Fitness and Propriety of Directors	
	In addition to provisions of Section 42 of the Banking Act No. 30 of 1988, the criteria set out below shall apply to determine the fitness and propriety of a person who serves or wishes to serve as a Director of a bank. Non-compliance with any one of the criteria as set out herein shall disqualify a person to be appointed, elected or nominated as a Director or to continue as a Director.	
3 (3) (i)	The age of a person who serves as a Director shall not exceed 70 years.	Complied. Mr. Rajiv Nandlal Dvivedi has retired from the Board of Directors on 11 January 2023 upon reaching the retirement age of 70 years in terms of the Corporate Governance Direction.
3 (3) (ii)	A person shall not hold office as a Director of more than 20 companies/entities/institutions inclusive of subsidiaries or associate companies of the Bank.	Complied. None of the Directors holds Directorships of more than 20 companies/entities/institutions inclusive of subsidiaries or associate companies of the Bank, in the year under review.

Rule Number	Rule	Status of Compliance
3 (3) (iii)	A Director or a Chief Executive Officer of a licensed bank operating in Sri Lanka shall not be appointed as a Director or a Chief Executive Officer of another licensed bank operating in Sri Lanka before the expiry of a period of 6 months from the date of cessation of his/her office at the licensed bank in Sri Lanka. Any variation thereto in exceptional situations such as where expertise of retiring bankers may be required when reconstituting Boards of licensed banks which need restructuring, shall be subject to the prior approval of the Monetary Board. In this regard, licensed banks shall ensure to adhere to the requirement of the cooling-off period when appointing Directors or Chief Executive Officer. If a Director is appointed to the licensed bank by an appointing authority violating these Directions, the licensed bank shall take steps to prevent such appointee from exercising any powers or enjoying any privileges or benefits.	Complied. Such a situation has not arisen during the year 2023. None of the Directors of the Bank are Directors of another Bank. The Bank has a process to identify whether a Director of a Bank is appointed, elected or nominated as a Director of another Bank based on the affidavit obtained and submitted to CBSL annually.
3 (4)	Management Functions Delegated by the Board	
3 (4) (i)	The Directors shall carefully study and clearly understand the delegation arrangements in place.	Complied. Article 31 of the Articles of Association empowers the delegation powers of the Board of Directors. Further, all delegation arrangements are approved by the Board after due consideration and are periodically reviewed to ensure that the extent of delegation addresses the needs of the Bank.
3 (4) (ii)	The Board shall not delegate any matters to the Board Committee, CEO, Executive Directors or Key Management Personnel, to an extent that such delegation would significantly hinder or reduce the ability of the Board as a whole to discharge its functions.	Complied. The Board has not delegated powers to Board Committees, MD/CEO or Key Management Personnel, to an extent that such delegation would significantly hinder or reduce the ability of the Board as a whole to discharge its functions.
3 (4) (iii)	The Board shall review the delegation process in place on a periodic basis to ensure that they remain relevant to the needs of the Bank.	Complied. The Board periodically reviews and approves the delegation arrangements in place and ensures that the extent of delegation is in accordance to the needs of the Bank based on the recommendations made by the management.
3 (5)	The Chairman And The Chief Executive Officer	
3 (5) (i)	The roles of the Chairman and the Chief Executive Officer shall be separated and shall not be performed by the same individual.	Complied. The roles of the Chairman and the MD/CEO are separate and are held by two individuals appointed by the Board. Chairman provides leadership to the Board and MD/CEO manages the day to day operations of the Bank giving effect to the strategies and policies approved by the Board.

CORPORATE GOVERNANCE REPORT

Rule Number	Rule	Status of Compliance
3 (5) (ii)	The Chairman shall be a Non-Executive Director and preferably an independent Director as well. In the case where the Chairman is not an Independent Director, the Board shall designate an Independent Director as the Senior Director with suitably documented terms of reference to ensure a greater independent element. The designation of Senior Director shall be disclosed in the Bank's Annual Report	Non-Complied. Mr. Tishan Subasinghe was appointed as new Senior Independent Director with effect from 1 February 2024 in place of Mr. Dilshan Hettiaratchi. Designation of Senior Director is disclosed on page 13 of the Annual Report.
3 (5) (iii)	The Board shall disclose in its Corporate Governance report, which shall be an integral part of its Annual Report, the identity of the Chairman and the CEO and the nature of the relationship (including financial, business, family or other material/relevant relationship(s), if any, between the Chairman and the CEO and the relationships among members of the Board.	Complied. A process is in place to identify the relationship of the Board Members and is maintained at the Company Secretary's Division. Further, the Company Secretary obtains an annual declaration from all Board Members to this effect and the Directors' interest register is updated regularly. The relationships among the Directors are given below: Family Relationship - Mr. Ali Asghar Akbarally – Chairman and Mr. Mohamed Adamaly Business Relationship - Mr. Ali Asghar Akbarally - Chairman and Mr. Dilshan Hettiaratchi – Non-Executive, Non-Independent Director are Directors of Windforce PLC with whom the Bank has a business relationship and on-going transactions.
3 (5) (iv)	The Chairman shall; - Provide leadership to the Board - Ensure that the Board works effectively and discharges its responsibilities; and - Ensure all key and appropriate issues are discussed by the Board in a timely manner.	Complied. A self-evaluation process is in place, which ensures that Chairman provides leadership to the Board, the Board works effectively and discharges its responsibilities and all key and appropriate issues are discussed by the Board in a timely manner.
3 (5) (v)	The Chairman shall be primarily responsible for drawing up and approving the agenda for each Board Meeting, taking into account where appropriate, any matters proposed by the other Directors for inclusion in the agenda. The Chairman may delegate the drawing up of the agenda to the Company Secretary.	Complied. The Chairman has delegated the drafting of the agenda to the Company Secretary, which is prepared in consultation / approval with the Chairman.

Rule Number	Rule	Status of Compliance
3 (5) (vi)	The Chairman shall ensure that all the Directors are properly briefed on issues arising at Board meetings and also ensure that Directors receive adequate information in a timely manner.	Complied. The Board papers are forwarded to the Board members 7 days prior to the meeting and the Chairman ensures that the Board is adequately briefed and informed of all matters arising at the Board. Further, minutes of the previous Board meeting are distributed to the Board members and tabled at the next Board meeting for confirmation.
3 (5) (vii)	The Chairman shall encourage all the Directors to make a full and active contribution to the Board's affairs and take the lead to ensure that the Board acts in the best interest of the Bank.	Complied. The Chairman encourages all Directors to make full and active contribution to the affairs of the Bank. This requirement is addressed in the self-evaluation process where all Directors disclose their full and active contribution to the affairs of the Bank based on their field of expertise.
3 (5) (viii)	The Chairman shall facilitate the effective contribution of Non-Executive Directors in particular and ensure constructive relations between Executive and Non-Executive Directors.	Complied. The Chairman ensures that the Non-Executive Directors actively contribute to make decisions at the Board. Further, the self-evaluation process is evident that the Non-Executive Directors assess the contributions made by them to the Bank.
3 (5) (ix)	The Chairman shall not engage in activities involving direct supervision of Key Management Personnel or any other executive duties whatsoever.	Complied. The Chairman is a Non-Executive Director and does not get directly involved in the supervision of KMPs or any other executive duties.
3 (5) (x)	The Chairman shall ensure that appropriate steps are taken to maintain effective communication with shareholders and that the views of shareholders are communicated to the Board.	Complied. The Chairman ensures effective communication with the shareholders at the AGM, which is the main forum where the Board discusses shareholders' issues.

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Rule Number	Rule	Status of Compliance
3 (5) (xi)	The CEO shall function as the apex executive-in-charge of the day-to-day management of Bank's operations and business.	Complied. MD/CEO functions as the apex executive-in-charge of the day-to-day management of Bank's operations and business.
3 (6)	Board Appointed Committees	
3 (6) (i)	Each Bank shall have at least four Board committees as set out in the following Direction; 3(6)(ii) –Audit Committee 3(6)(iii) – Human Resources and Remuneration Committee 3(6)(iv) – Nomination Committee 3(6)(v) – Integrated Risk Management Committee Each Committee shall report directly to the Board Each Committee shall appoint a Secretary to arrange the meetings and maintain, minutes, records etc. under the supervision of the Chairman of the Committee. The Board shall present a report of the performance on each Committee, on their duties and roles at the Annual General meeting.	Complied. The Board has established the following mandatory Board Sub-Committees as per regulatory requirement: 1. Board Audit Committee (BAC) 2. Board Human Resources and Remuneration Committee (BHRRC) 3. Board Nomination and Governance Committee (BNAGC) 4. Board Integrated Risk Management Committee (BIRMC). In addition, the Board has also appointed Board Credit Committee (BCC), Board Related Party Transactions Review Committee (BRPTRC) and Capital Raising and Investment Committee. Briefings / Minutes of the above Board Sub Committees are tabled and discussed at the monthly Board meetings. Each Committee has appointed a Secretary to arrange the meetings and maintain minutes under the supervision of the Chairman of the Sub-Committees. Report of each Board Sub-committee is published in the Annual Report. Refer pages 184 to 194 of the Annual Report.
3 (6) (ii)	Audit Committee	
3 (6) (ii) (a)	The Chairman of the committee shall be an Independent Non-Executive Director who possesses qualifications and experience in accounting and/or audit.	Complied. The Chairman of the BAC is a non-executive, independent Director who is a Fellow of the Institute of Chartered Accountants of Sri Lanka and possesses the required qualifications and experience.
3 (6) (ii) (b)	All members of the committee shall be Non-Executive Directors.	Complied. All members of the BAC are Non-Executive Directors.

Rule Number	Rule	Status of Compliance
3 (6) (ii) (c)	The committee shall make recommendations on matters in connection with; a) The appointment of external auditor for audit services to be provided in compliance with the relevant statutes; b) The implementation of the Central Bank guidelines issued to auditors from time to time; c) The application of the relevant accounting standards; and d) The service period, audit fees and any resignation or dismissal of the auditor, provided that the engagement of the Audit partner shall not exceed five years, and that the particular Audit partner is not re-engaged for the audit before the expiry of three years from the date of the completion of the previous term.	Complied. The appointment of External Auditors for audit services is in compliance with the relevant statutes as recommended by the BAC. The BAC has discussed the implementation of the CBSL guidelines issued to the External Auditors from time to time and any issues raised by the External Auditors in line with CBSL guidelines have been responded accordingly. BAC reviews, discusses and make recommendations where necessary in relation to the application of the relevant accounting standards at least on quarterly basis. All matters related to the service period of the External Auditors are discussed and recommendations made where necessary. The BAC reviewed and recommended the audit fees for the year ended 31 December 2023. The Engagement Partner of the External Auditors was rotated during the year 2023, the previous partner was not engaged for more than 5 years and the new partner has not been re-engaged before the expiry of three years from the date of completion of the previous term.
3 (6) (ii) (d)	The committee shall review and monitor the external auditor's independence and objectivity and the effectiveness of the audit processes in accordance with applicable standards and best practices.	Complied. The External Auditor's scope, objectivity and the effectiveness of the audit process carried out has been discussed by the BAC and is in accordance with the applicable SLAuS. The External Auditor's independence is evidenced through the Engagement Letter and their reports presented to the BAC directly.

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Rule Number	Rule	Status of Compliance
3 (6) (ii) (e)	The committee shall develop and implement a policy on the engagement of an external auditor to provide non-audit services that are permitted under the relevant statutes, regulations, requirements and guidelines. In doing so, the committee shall ensure that the provision by an external auditor of non-audit services does not impair the external auditor's independence or objectivity. When assessing the external auditor's independence or objectivity in relation to the provision of non-audit services, the committee shall consider: (i) whether the skills and experience of the audit firm make it a suitable provider of the non-audit services; (ii) whether there are safeguards in place to ensure that there is no threat to the objectivity and/or independence in the conduct of the audit resulting from the provision of such services by the external auditor; and (iii) whether the nature of the non-audit services, the related fee levels and the fee levels individually and in aggregate relative to the audit firm, pose any threat to the objectivity and/or independence of the external auditor.	Complied. A policy on engagement of the External Auditors to provide non-audit services was reviewed and recommended by the BAC was approved by the Board of Directors.
3 (6) (ii) (f)	The committee shall, before the audit commences, discuss and finalise with the external auditors the nature and scope of the audit, including: (i) an assessment of the Bank's compliance with the relevant Directions in relation to corporate governance and the management's internal controls over financial reporting; (ii) the preparation of financial statements for external purposes in accordance with relevant accounting principles and reporting obligations; and (iii) the co-ordination between firms where more than one audit firm is involved.	Complied. The BAC has discussed in detail and finalized the nature and scope of the audit with the External Auditors in accordance with the SLAuS on their presentation of the financial statement audit plan for the year ended 31 December 2023, outlining the scope and deliverable of their engagement.

Rule Number	Rule	Status of Compliance
3 (6) (ii) (g)	The committee shall review the financial information of the Bank, in order to monitor the integrity of the financial statements of the Bank, its annual report, accounts and quarterly reports prepared for disclosure and the significant financial reporting judgments contained therein. In reviewing the Bank's annual report and accounts and quarterly reports before submission to the Board, the committee shall focus particularly on; (i) Major judgemental areas (ii) Any changes in accounting policies and practices (iii) Significant adjustments arising from the audit (iv) The going concern assumption; and (v) The compliance with relevant accounting standards and other legal requirements.	Complied. The BAC has a process to review, discuss and approve the quarterly financial statements, year-end audited financial statements and reports for disclosure that are presented by the CFO. Such financial statements are recommended by the BAC for approval of the Board of Directors.
3 (6) (ii) (h)	The committee shall discuss issues, problems and reservations arising from the financial audit, and any matters the auditor may wish to discuss including those matters that may need to be discussed in the absence of the Key Management personnel, if necessary.	Complied. The Committee has met with the External Auditors twice in the year 2023, in the absence of the executive management to discuss issues, problems and reservation arising from the financial audit.
3 (6) (ii) (i)	The committee shall review the external auditor's management letter and the management's response thereto.	Complied. The Committee has reviewed the External Auditor's Management Letter and the management's response thereto.

CORPORATE GOVERNANCE REPORT

Rule Number	Rule	Status of Compliance
3 (6) (ii) (j)	The committee shall take the following steps with regard to the internal audit function of the Bank; (i) Review the adequacy of the scope, functions and resources of the internal audit department, and satisfy itself that the department has the necessary authority to carry out its work; (ii) Review the internal audit programme and results of the internal audit process and, where necessary, ensure that appropriate actions are taken on the recommendations of the internal audit department; (iii) Review any appraisal or assessment of the performance of the head and senior staff member of the internal audit department; (iv) Recommend any appointment or termination of the head, senior staff members and outsourced service providers to the internal audit function; (v) Ensure that the committee is appraised of resignations of senior staff members of the internal audit department including the Chief Internal Auditor and any outsourced service providers, and to provide an opportunity to the resigning senior staff members and outsourced services providers to submit reasons for resigning; (vi) Ensure that the internal audit function is independent of the activities it audits and that it is performed with impartiality, proficiency and due professional care;	Complied. The BAC reviews and approves the Internal Audit Plan beginning of the year, which cover the scope and resource requirement relating to audit plan and satisfy itself that the Internal Audit Division (IAD) has the necessary authority and resources to carry out its work. The BAC also monitors the performance of the Internal Audit function and the progress made against the approved Internal Audit Plan. Internal Audit Programmes are discussed by the BAC as part of the review of the Internal Audit Policy Manual. Further, Internal Audit Scope and Findings related to specific engagements are discussed by the BAC on an on-going basis. Committee also monitors whether appropriate actions are taken by the management based on the IAD recommendations as well as on further actions which are sanctioned by the BAC. The Performance appraisal of the Chief Internal Auditor and senior staff member were carried out at the BAC meeting held on 23 January 2024. There were no appointments or termination of the Head or Senior Staff member during the year 2023. Any resignation or retirement of senior staff members in the IAD are apprised to the BAC. IAD is an independent function reporting directly to the BAC. The audits are performed with impartiality, proficiency and due professional care.

Rule Number	Rule	Status of Compliance
3 (6) (ii) (k)	The committee shall consider the major findings of internal investigation and management's responses thereto.	Complied. The BAC discusses in detail the major findings of internal investigation and management's responses thereto are also discussed with suitable action points agreed upon and recorded in the minutes of the BAC meeting.
3 (6) (ii) (l)	The CFO, CIA and a representative of the External Auditors may normally attend meetings. Other Board members and the CEO may also attend meetings upon invitation of the committee. However, at least twice a year, the committee shall meet the External Auditors without the Executive Directors being present.	Complied. The MD/CEO, CFO, CIA and a representative of the External Auditors attend meetings regularly. Other Senior Management personnel have attended meetings by invitation as appropriate. The BAC met the External Auditors twice during the year 2023 in the absence of all members of the Executive Management. Currently, there are no Executive Directors on the Board Audit Committee.
3 (6) (ii) (m)	The committee shall have (i) Explicit authority to investigate into any matter within its terms of reference; (ii) The resources which it needs to do so; (iii) Full access to information; and (iv) Authority to obtain external professional advice and invite outsiders with relevant experience and attend, if necessary.	Complied. The Board approved Terms of Reference of the BAC covers the requirements as stipulated.
3 (6) (ii) (n)	The committee shall meet regularly, with due notice of issues to be discussed and shall record its conclusions in discharging its duties and responsibilities.	Complied. The BAC has had seven meetings in the year 2023 and all conclusions are recorded comprehensively in the minutes.
3 (6) (ii) (o)	The Board shall disclose in an informative way, (i) Details of the activities of the audit committee; (ii) The number of audit committee meetings held in the year; and (iii) Details of attendance of each individual Director at such meetings.	Complied. The Board has disclosed the required information in pages 184 to 186 in the Annual Report.
3 (6) (ii) (p)	The Secretary of the Committee (who may be the Company Secretary or the head of Internal Audit function) shall record and keep detailed minutes of the meetings.	Complied. The Chief Internal Auditor has been appointed as the Secretary to the BAC who maintains detailed minutes of all meetings.

CORPORATE GOVERNANCE REPORT

Rule Number	Rule	Status of Compliance						
3 (6) (ii) (q)	The committee shall review arrangements by which employees of the bank may, in confidence raise concerns about possible improprieties in financial reporting, internal control or other matters. Accordingly, the committee shall ensure that proper arrangements are in place for the fair and independent investigation of such matters and for appropriate follow-up action and to act as the key representative body for overseeing the bank's relations with the external auditor.	Complied. The Board approved 'Whistle Blowing' policy is in place which covers the improprieties in financial reporting, internal control or other matters, fair and independent investigation of such matter and appropriate follow-up action. The BAC is the key representative body for overseeing the Bank's relations with the External Auditors.						
3 (6) (iii)	Human Resource And Remuneration Committee							
3 (6) (iii) (a)	The committee shall determine the remuneration policy (salaries, allowances and other financial payments) relating to Directors, CEO and Key Management Personnel of the Bank.	Complied. Remuneration procedure is in place and currently Bank is in the process of developing the remuneration procedure in to a policy during the year.						
3 (6) (iii) (b)	The committee shall set goals and targets for the Directors, CEO and Key Management Personnel.	Complied. The BHRRC has discussed and approved the goals and targets of each KMP for the year 2023 aligned to the Strategic Plan. The BHRRC has agreed that the 2023 Business Plan be considered as the KPI for MD/CEO. Board approved goals and targets for Directors are in place.						
3 (6) (iii) (c)	The committee shall evaluate the performance of the CEO and Key Management Personnel against the set targets and goals periodically and determine the basis for revising remuneration, benefits and other payments of performance-based incentives.	Complied. The BHRRC has assessed the evaluation of the performance of MD/CEO and the KMPs against the goals and targets set out for the year 2023.						
3 (6) (iii) (d)	The CEO shall be present at all meetings of the committee, except when matters relating to the CEO are being discussed.	Complied. The MD/CEO was not present at meetings when matters relating to MD/CEO were being discussed. The Board approved Terms of Reference of the BHRRC addresses this rule.						
3 (6) (iv)	Nomination and Governance Committee							
3 (6) (iv) (a)	The committee shall implement a procedure to select/appoint new Director, CEO and Key Management Personnel.	Complied. A policy is in place for the selection and appointment of candidates to the Board, CEO and Key Management Personnel. The Board has approved the following appointments of Directors on the recommendation of the BNAGC during 2023. <table><tr><th>Directors</th><th>Approved on</th></tr><tr><td>Mr. Mohammad Hassan</td><td>18 January 2023</td></tr><tr><td>Mr. Khairul Muzamel Perera Bin Abdullah</td><td>8 June 2023</td></tr></table>	Directors	Approved on	Mr. Mohammad Hassan	18 January 2023	Mr. Khairul Muzamel Perera Bin Abdullah	8 June 2023
Directors	Approved on							
Mr. Mohammad Hassan	18 January 2023							
Mr. Khairul Muzamel Perera Bin Abdullah	8 June 2023							

Rule Number	Rule	Status of Compliance
3 (6) (iv) (b)	The committee shall consider and recommend (or not recommend) the re-election of current Directors, taking into account the performance and contribution made by the Director concerned towards the overall discharge of the Board's responsibilities.	Complied. The Committee has considered the services rendered by the existing Directors and recommended their appointment accordingly for the year 2023.
3 (6) (iv) (c)	The committee shall set criteria such as qualifications, experience and key attributes required for eligibility to be considered for appointment or promotion to the post of CEO and the key management positions.	Complied. A Board approved eligibility criteria for appointment or promotion to the post of CEO and KMPs are in place. All such appointments are recommended by the BNAGC and subsequently approved by the Board.
3 (6) (iv) (d)	The committee shall ensure that Directors, CEO and Key Management Personnel are fit and proper persons to hold office as specified in the criteria given in Direction 3 (3) and as set out in the Statutes.	Complied. The Directors', MD/CEO's and Key Management Personnel's affidavits and declarations were submitted to BNAGC during the year 2023 for recommendation prior to submitting to the Central Bank of Sri Lanka for approval to ensure that the Directors, MD/CEO and Key Management Personnel are fit and proper persons to hold office. Further, fit and proper certificates have been submitted and cleared by Central Bank of Sri Lanka, as and when required.
3 (6) (iv) (e)	The committee shall consider and recommend from time to time, the requirement of additional/new expertise and the succession arrangements for retiring Directors and Key Management Personnel.	Complied. Policy & Procedure approved by the Board is in place for the appointment of new Directors. BNAGC has considered the requirements for succession arrangements for Directors and KMPs during the year 2023. The Succession Plan for the Management Committee has been reviewed and recommended by the BNAGC and subsequently approved by the Board.
3 (6) (iv) (f)	The committee shall be chaired by an Independent Director and preferably be constituted with a majority of Independent Directors. The CEO may be present at the meeting by invitation.	Non-Complied. Mr. Tishan Subasinghe (Non-Executive, Senior Independent Director w.e.f. 1 February 2024) is to be appointed as new Chairman of the Committee in place of Mr. Dilshan Hettiaratchi. The MD/CEO is present at meetings only by invitation.

CORPORATE GOVERNANCE REPORT

Rule Number	Rule	Status of Compliance
3 (6) (v)	Integrated Risk Management Committee	
3 (6) (v) (a)	The committee shall consist of at least three Non-Executive Directors, CEO and Key Management Personnel supervising Board risk categories, i.e. credit, market, liquidity, operational and strategic risks. The committee shall work with Key Management Personnel very closely and make decisions on behalf of the Board within the framework of the authority and responsibility assigned to the committee.	Complied. The BIRMC consists of 4 Non-Executive Directors, along with MD/CEO and CRO who satisfy the said criteria. Further, Key Management Personnel are called or present to make regular presentations to the Committee on matters under their purview and explain matters relating to their subject.
3 (6) (v) (b)	The committee shall assess all risks, i.e. credit, market, liquidity, operational and strategic risks to the Bank on a monthly basis through appropriate risk indicators and management information. In the case of subsidiary companies and associate companies, Risk Management shall be done, both on a bank basis and group basis.	Complied. BIRMC assesses the risk profile of the Bank through the use of dashboards which is circulated on a monthly basis. This dashboard which covers the below mentioned risks are shared with BIRMC members: ✦ Credit Risk ✦ Market Risk ✦ Liquidity Risk ✦ Operational Risk ✦ Rate Risk ✦ Concentration Risk ✦ Strategic Risk The Committee has reviewed the policies on Credit Risk Management, Market Risk Management and Operational Risk Management which provides a framework and assessment of risks. Not applicable as the Bank does not have any subsidiaries or associate companies.

Rule Number	Rule	Status of Compliance
3 (6) (v) (c)	The committee shall review the adequacy and effectiveness of all management level committees, such as the credit committee and asset-liability committee to address specific risks and to manage those risks within quantitative and qualitative risk limits as specified by the committee.	Complied. The BIRMC reviews the adequacy and effectiveness of the management committees under its purview, namely ERM, ALCO and ECC1. The committee ensures that the Executive Risk Management Committee, Asset & Liability Management Committee and Executive Credit Committee under BIRMC are functioning adequately and effectively, through reviewing the TOR of the sub committees and the key functions of the committees, which are evaluated and reviewed through the Integrated Risk Management Framework (IRMF) review by the BIRMC annually.
3 (6) (v) (d)	The committee shall take prompt corrective action to mitigate the effects of specific risks in the case such risks are at levels beyond the prudent levels decided by the committee on the basis of the Bank's policies and regulatory and supervisory requirements.	Complied. Risks are monitored and reviewed by the BIRMC through the dashboard on the risk tolerance/appetite. All risk indicators which are negative to the prudent limits decided by the committee on the basis of the Bank's policies, regulatory and supervisory requirements are considered and corrective actions are taken promptly for any deviations to mitigate the effects.
3 (6) (v) (e)	The committee shall meet at least quarterly to assess all aspects of Risk Management including updated business continuity plans.	Complied. The Committee has met four times during the year 2023 and reviewed all aspects of Risk Management. Detailed updates on the major risks such as Credit Risk, Market Risk, Liquidity Risk and Operational Risk were reviewed. The Business Continuity Plan that was adopted during the crisis has been strengthened and tested during the BCP drill conducted in year 2023. The Recovery Plan (RCP) as required by the CBSL has been established and the purpose of the same was discussed at a BIRMC meeting in detail as this would enable the Bank to recover from any stress and shock to maintain the continuity of business of any of the critical functions of the Bank.

CORPORATE GOVERNANCE REPORT

Rule Number	Rule	Status of Compliance
3 (6) (v) (f)	The committee shall take appropriate action against the officers responsible for failure to identify specific risks and take prompt corrective actions as recommended by the committee, and/or as directed by the Director of Bank Supervision.	Complied. The Bank's specific risks and the limits are identified by the relevant committees, and decisions are taken collectively. Amongst its other processes, the Bank has a mechanism through which risk tools such as Stress Testing, KRI, RCSA are used to measure and identify risks proactively. These tools have been used effectively and have now been incorporated as key components for the performance evaluation of the Senior Management thereby strengthening the process of accountability.
3 (6) (v) (g)	The committee shall submit a risk assessment report within a week of each meeting to the Board seeking the Board's views, concurrence and/or specific directions.	Complied. The BIRMC Chairman's report contains a Risk assessment, which is submitted at the subsequent Board meeting informing the BIRMC's deliberations and decisions and seeking the Board's views, concurrence and/or for specific directions.
3 (6) (v) (h)	The committee shall establish a compliance function to assess the Bank's compliance with laws, regulations, regulatory guidelines, internal controls and approved policies on all areas of business operations. A dedicated Compliance Officer selected from Key Management Personnel shall carry out the compliance function and report to the committee periodically.	Complied. An independent compliance function has been established, headed by a dedicated Compliance Officer to assess and ensure the Bank's compliance with laws, regulations and regulatory guidelines and reports to the BIRMC regularly through a comprehensive quarterly compliance status report. The Compliance function performs monthly / quarterly independent verification and testing for compliance with CBSL requirements. The Compliance function also assesses the Bank's internal controls and policies on all areas of business operations. Reviews of the same are presented by chief compliance officer and reviewed by the committee on a regular basis.

Rule Number	Rule	Status of Compliance
3 (7)	Related Party Transactions	
3 (7) (i)	The Bank shall take necessary steps to avoid any conflicts of interest that may arise from any transaction of the Bank with any person, and particularly with the following categories of persons who shall be considered as “related parties” for the purpose of this Direction; a) Any of the Bank’s subsidiary companies; b) Any of the Bank’s associate companies; c) Any of the Directors of the Bank; d) Any of the Bank’s Key Management Personnel; e) A close relation of any of the Bank’s Directors or Key Management Personnel; f) A shareholder owning a material interest in the Bank. g) A concern in which any of the Bank’s Directors or a close relation of any of the Bank’s Directors or any of its material shareholders has a substantial interest.	Complied. The Board takes necessary steps in line with the Banking Act, Corporate Governance Direction and the Bank’s Policy on Related Party Transactions to avoid any conflicts of interest that may arise from any transaction of the Bank with its related parties. A Board approved Policy on Related Party Transactions is in place which manages the conflict of interest that may arise from any transactions of the Bank. The Board Related Party Transaction Review Committee meets quarterly to identify and review such transactions.
3 (7) (ii)	The type of transactions with related parties that shall be covered by this Direction shall include the following: a) The grant of any type of accommodation, as defined in the Monetary Board’s Directions a maximum amount of accommodation. b) The creation of any liabilities of the Bank in the form of deposits, borrowings and investments. c) The provision of any services of a financial or non-financial nature provided to the Bank or received from the Bank. d) The creation or maintenance of reporting lines and information flows between the Bank and any related parties which may lead to the sharing of potentially proprietary, confidential or otherwise sensitive information that may give benefits to such related parties.	Complied. The Board approved Policy on Related Party Transactions covers types of specific related parties and related party transactions as noted in the Direction to avoid any conflicts of interest that may arise from any related party transactions.

CORPORATE GOVERNANCE REPORT

Rule Number	Rule	Status of Compliance
3 (7) (iii)	The Board shall ensure that the Bank does not engage in transactions with related parties as defined in Direction 3 (7) (i) above, in a manner that would grant such parties ‘more favourable treatment’ than that accorded to other constituents of the Bank carrying on the same business. In this context, ‘more favourable treatment’ shall mean and include treatment, including the; a) Granting of “total net accommodation” to related parties, exceeding a prudent percentage of the Bank’s regulatory capital, as determined by the Board. For purposes of this sub-direction; i) “Accommodation” shall mean accommodation as defined in the Banking Act Directions, No 7 of 2007 on Maximum Amount of Accommodation. ii) The “total net accommodation” shall be computed by deducting from the total accommodation, the cash collateral and investments made by such related parties in the Bank’s share capital and debt instruments with a maturity of 5 years or more. b) Charging a lower rate than the Bank’s best lending rate or paying more than the Bank’s deposit rate for a comparable transaction with an unrelated comparable counterparty. c) Providing of preferential treatment, such as favourable terms, covering trade losses and/or waiving fees/ commissions that extend beyond the terms granted in the normal course of business undertaken with unrelated parties. d) Providing services to or receiving services from a related-party without an evaluation procedure. e) Maintaining reporting lines and information flows that may lead to sharing potentially proprietary, confidential or otherwise sensitive information with related parties, except as required for the performance of legitimate duties and functions.	Complied. Please refer comment in 3 (7) (i) and 3 (7) (ii) above. The formal policy approved by the Board on Related Party Transactions enhances transparency and contains provisions of this rule to ensure compliance. Further, to strengthen the corporate governance of the Bank, the Board Related Party Transactions Review Committee reviews the related party transactions in line with the policy to avoid any ‘favourable treatment’ granted to such parties.

Rule Number	Rule	Status of Compliance
3 (7) (iv)	The Bank shall not grant any accommodation to any of the Directors or to a close relation of such Director unless such accommodation is sanctioned at a meeting of its Board of Directors, with not less than two-thirds of the number of Directors other than the Director concerned, voting in favour of such accommodation. This accommodation shall be secured by such security as may from time to time be determined by the Monetary Board as well.	Complied. Any accommodation granted to Directors or to a Close relation of such Director is approved at the Board meetings with not less than 2/3 of the number of Directors other than the Directors concerned, voting for such accommodation granted as per the Board approved Policy on Related Party Transactions.
3 (7) (v)	a) Where any accommodation has been granted by a bank to a person or a close relation of a person or to any concern in which the person has a substantial interest, and such person is subsequently appointed as a Director of the Bank, steps shall be taken by the Bank to obtain the necessary security as may be approved for that purpose by the Monetary Board, within one year from the date of appointment of the person as a Director. b) Where such security is not provided by the period as provided in Direction 3(7)(v)(a) above, the Bank shall take steps to recover any amount due on account of any accommodation, together with interest, if any within the period specified at the time of the grant of accommodation or at the expiry of a period of eighteen months from the date of appointment of such Director, whichever is earlier. c) Any Director who fails to comply with the above sub-directions shall be deemed to have vacated the office of a Director and the Bank shall disclose such fact to the public. d) The sub-direction, however, shall not apply to a Director who at the time of grant of the accommodation was an employee of the Bank and the accommodation was granted under a scheme applicable to all employees of the Bank.	Complied. The Bank did not encounter such a situation during the year under review.

CORPORATE GOVERNANCE REPORT

Rule Number	Rule	Status of Compliance
3 (7) (vi)	The Bank shall not grant any accommodation or 'more favourable treatment' relating to the waiver of fees and/or commissions to any employee or a close relation of such employee or to any concern in which the employee or close relation has a substantial interest other than on the basis of a scheme applicable to the employees of the Bank or when secured by security as may be approved by the Monetary Board in respect of accommodation granted as per Direction 3(7)(v) above.	Complied. The Bank has a process in the RPT system to capture KMPs transactions, as and when such transactions take place. Additionally, such transactions are verified by the relevant authorities (Finance Division). No accommodation was granted to any employees or to any concern in which the employee or close relation has a substantial interest on more 'favourable treatment' other than on the basis of a scheme applicable to the employees of the Bank or when secured by security as may be approved by the Monetary Board in respect of accommodation granted as per Direction 3(7)(v) above.
3 (7) (vii)	No accommodation granted by the Bank under Direction 3(7)(v) and 3(7)(vi) above, nor any part of such accommodation, nor any interest due thereon shall be remitted without the prior approval of the Monetary Board and any remission without such approval shall be void and of no effect.	Complied. The Bank did not encounter such a situation during the year under review.
3 (8)	Disclosure	
3 (8) (i)	The Board shall ensure that; a) Annual audited statements and quarterly financial statements are prepared and published in accordance with the formats prescribed by the supervisory and regulatory authorities and applicable accounting standards and that b) Such statements are published in the newspapers in an abridged form, in Sinhala, Tamil and English.	Complied. Annual audited financial statements and quarterly financial statements are prepared and published in accordance with the regulatory requirements and as per the accounting standards. Financial statements are published in all three languages.

Rule Number	Rule	Status of Compliance																		
3 (8) (ii)	The Board shall ensure that the following minimum disclosures are made in the Annual Report; a) A statement to the effect that the annual audited financial statements have been prepared in line with applicable accounting standards and regulatory requirements, inclusive of specific disclosures. b) A report by the Board on the Bank's internal control mechanism that confirms that the financial reporting system has been designed to provide reasonable assurance regarding the reliability of financial reporting, and that the preparation of financial statements for external purposes has been done in accordance with relevant accounting principles and regulatory requirements. c) To obtain the External Auditor's certification on the effectiveness of the internal control mechanism referred to in Direction 3(8)(ii)(b) above. d) Details of Directors, including names, qualifications, age, experience fulfilling the requirements of the guidelines fitness and propriety, transactions with the Bank and the total of fees/remuneration paid by the Bank.	Complied. Refer Statement of Directors' Responsibility, on pages 195 and 196. Refer Directors' Statement on Internal Control over Financial Reporting on pages 172 and 173. Refer 'Independent Assurance Report on Directors' Statement on Internal Control over Financial Reporting' on pages 174 and 175. Refer Profiles of Directors, on pages 10 to 19. <table border="1"> <thead> <tr> <th>Transactions with the Bank:</th><th>2023 LKR</th><th>2022 LKR</th></tr> </thead> <tbody> <tr> <td>(a) Financing and Receivables</td><td>17,156,415</td><td>21,900,816</td></tr> <tr> <td>(b) Financing Income</td><td>986,465</td><td>1,217,135</td></tr> <tr> <td>(c) Deposits</td><td>142,043,475</td><td>73,203,500</td></tr> <tr> <td>(d) Financing Expenses</td><td>8,631,163</td><td>2,656,385</td></tr> <tr> <td>(e) Commitment and Contingencies:</td><td>NIL</td><td>NIL</td></tr> </tbody> </table> Total fees/remuneration paid by the Bank: Refer Note 13 to the Financial Statements on page 260.	Transactions with the Bank:	2023 LKR	2022 LKR	(a) Financing and Receivables	17,156,415	21,900,816	(b) Financing Income	986,465	1,217,135	(c) Deposits	142,043,475	73,203,500	(d) Financing Expenses	8,631,163	2,656,385	(e) Commitment and Contingencies:	NIL	NIL
Transactions with the Bank:	2023 LKR	2022 LKR																		
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(d) Financing Expenses	8,631,163	2,656,385																		
(e) Commitment and Contingencies:	NIL	NIL																		

CORPORATE GOVERNANCE REPORT

Rule Number	Rule	Status of Compliance																		
3 (8) (ii) (Contd.)	e) Total net accommodation as defined in 3(7)(iii) granted to each category of related parties. The net accommodation granted to each category of related parties shall also be disclosed as a percentage of the Bank's regulatory capital.	<table><tr><th>Category of Related Parties</th><th>Total Net Accommodation (LKR)</th><th>% of Regulatory Capital</th></tr><tr><td>Directors of the Bank</td><td>17,156,415</td><td>0.08%</td></tr><tr><td>KMPs</td><td>98,461,408</td><td>0.44%</td></tr><tr><td>A concern in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest</td><td>NIL</td><td>NIL</td></tr><tr><td>A close relation of any of the Bank's Directors or Key Management Personnel</td><td>NIL</td><td>NIL</td></tr><tr><td>Material Shareholder</td><td>NIL</td><td>NIL</td></tr></table>	Category of Related Parties	Total Net Accommodation (LKR)	% of Regulatory Capital	Directors of the Bank	17,156,415	0.08%	KMPs	98,461,408	0.44%	A concern in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest	NIL	NIL	A close relation of any of the Bank's Directors or Key Management Personnel	NIL	NIL	Material Shareholder	NIL	NIL
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		A close relation of any of the Bank's Directors or Key Management Personnel	NIL	NIL																
	Material Shareholder	NIL	NIL																	
	f) The aggregate values of remuneration paid by the Bank to its Key Management Personnel and the aggregate values of the transactions of the Bank with its Key Management Personnel, set out by Board categories such remuneration paid, accommodation granted and deposits or investments made in the Bank.	Nature of Transaction KMPs (LKR) Remuneration: 329,938,059 Accommodation granted: 115,617,823 Deposits: 287,923,350 The above includes remuneration paid to Executive, Non-Executive Directors as well as other KMPs.																		
	g) To obtain the External Auditor's certification of the compliance with these Corporate Governance Directions.	The Bank has obtained External Auditor's certification on compliance with these Corporate Governance Directions. Board confirms that all the findings of the 'Factual Findings Report' of auditors have been incorporated in the Corporate Governance Report.																		
	h) A report setting out details of the compliance with prudential requirements, regulations, laws and internal controls and measures taken to rectify any material non-compliance.	Refer Bank's Compliance with Prudential Requirements, on pages 170 and 171.																		
i) A statement of the regulatory and supervisory concerns on lapses in the Bank's risk management, or non-compliance with these Directions that have been pointed out by the Director of Bank Supervision, if so directed by the Monetary Board to be disclosed to the public, together with the measures taken by the Bank to address such concerns.	The Director of Bank Supervision or the Monetary Board has not directed the Bank to disclose any non-compliance issues to the public. There were no fines levied on the Bank.																			

The Level of Compliance in terms of Corporate Governance Rules set out in Section 9 of the Listing Rules of Colombo Stock Exchange.

Rule No	Rule	Status of Compliance
9.2	Policies	
9.2.1	Listed Entities shall establish and maintain the following policies and disclose the fact of existence of such policies together with the details relating to the implementation of such policies by the Entity on its website;	
	(a) Policy on the matters relating to the Board of Directors	Effective from 1 October 2024.
	(b) Policy on Board Committees	Effective from 1 October 2024.
	(c) Policy on Corporate Governance, Nominations and Re-election	Effective from 1 October 2024.
	(d) Policy on Remuneration	Effective from 1 October 2024.
	(e) Policy on Internal Code of Business conduct and Ethics for all Directors and employees, including policies on trading in the Entity's listed securities	Effective from 1 October 2024.
	(f) Policy on Risk management and Internal controls	Effective from 1 October 2024.
	(g) Policy on Relations with Shareholders and Investors	Effective from 1 October 2024.
	(h) Policy on Environmental, Social and Governance Sustainability	Effective from 1 October 2024.
	(i) Policy on Control and Management of Company Assets and Shareholder Investments	Effective from 1 October 2024.
	(j) Policy on Corporate Disclosures	Effective from 1 October 2024.
	(k) Policy on Whistleblowing	Effective from 1 October 2024.
	(l) Policy on Anti-Bribery and Corruption	Effective from 1 October 2024.
9.2.2	Any waivers from compliance with the Internal Code of business conduct and ethics or exemptions granted by the Listed Entity shall be fully disclosed in the Annual Report.	None.
9.2.3	Listed Entities shall disclose in its Annual Report:	
	(i) the list of policies that are in place in conformity with Rule 9.2.1 above, with reference to its website	Effective from 1 October 2024.
	(ii) details pertaining to any changes to policies adopted by the Listed Entities in compliance with Rule 9.2 above	Effective from 1 October 2024.
9.2.4	Listed Entities shall make available all such policies to shareholders upon a written request being made for any such Policy	Effective from 1 October 2024.
9.3	Board Committees	
9.3.1	Listed Entities shall ensure that the following Board committees are established and maintained at a minimum and are functioning effectively. The said Board committees at minimum shall include;	
	(a) Nominations and Governance Committee	Compliant.
	(b) Remuneration Committee	Compliant.
	(c) Audit Committee	Compliant.
	(d) Related Party Transactions Review Committee.	Compliant.

CORPORATE GOVERNANCE REPORT

Rule No	Rule	Status of Compliance
9.3.2	Listed Entities shall comply with the composition, responsibilities and disclosures required in respect of the above Board committees as set out in these Rules	Compliant with regard to Composition and partially compliant with regard to responsibilities and the amendments to the respective Board Sub-committees are in progress which will be in place on or before 1 October 2024.
9.3.3	The Chairperson of the Board of Directors of the Listed Entity shall not be the Chairperson of the Board Committees referred to in Rule 9.3.1 above.	Compliant.
9.4	Adherence to principles of democracy in the adoption of meeting procedures and the conduct of all General Meetings with shareholders	
9.4.1	Listed Entities shall maintain records of all resolutions and the following information upon a resolution being considered at any General Meeting of the Entity. The Entity shall provide copies of the same at the request of the Exchange and/or the SEC	
	(a) The number of shares in respect of which proxy appointments have been validly made;	Compliant.
	(b) The number of votes in favour of the resolution;	Compliant.
	(c) The number of votes against the resolution; and	Compliant.
	(d) The number of shares in respect of which the vote was directed to be abstained	Implemented with effect from General Meeting from the year 2024.
9.4.2	Communication and relations with shareholders and investors	
	(a) Listed Entities shall have a policy on effective communication and relations with shareholders and investors and disclose the existence of the same in the Annual Report and the website of the Listed Entity	Effective from Annual Reports for the year ending 31 December 2024.
	(b) Listed Entities shall disclose the contact person for such communication	Compliant.
	(c) The policy on relations with shareholders and investors shall include a process to make all Directors aware of major issues and concerns of shareholders, and such process shall be disclosed by the Entity in the Annual Report and the website of the Entity	Effective from Annual Reports for the year ending 31 December 2024.
	(d) Listed Entities that intend to conduct any shareholder meetings through virtual or hybrid means shall comply with the Guidelines issued by the Exchange in relation to same and published on the website of the Exchange	Compliant.
9.5	Policy on matters relating to the Board of Directors	
9.5.1	Listed Entities shall establish and maintain a formal policy governing matters relating to the Board of Directors and such policy shall:	
	(a) Recognize the need for a balance of representation between Executive and Non-Executive Directors and cover at minimum board composition, the roles and functions of the Chairperson and Chief Executive Officer or equivalent position (hereinafter commonly referred to as the CEO), Board balance and procedures for the appraisal of Board performance and the appraisal of the CEO.	Compliant.
	(b) Where a Listed Entity decides to combine the role of the Chairperson and CEO,	
	(i) Set out the rational for combining such positions; and,	Not Applicable.

Rule No	Rule	Status of Compliance
	(ii) Require the Board Charter of the Listed Entity to contain terms of reference/ functions of the Senior Independent Director (SID) and the powers of the SID, which should be equivalent to that of the Chairperson in the instance of a conflict of interest.	SID is appointed in terms of the Corporate Governance requirement of Central Bank of Sri Lanka (CBSL).
	(iii) Set out the measures implemented to safeguard the interests of the SID	Effective from 1 October 2024.
	(c) Require diversity in Board composition for Board effectiveness in terms of a range of experience, skills, competencies, age, gender, industry requirements and importance of objective selection of directors	Compliant , except for gender diversity.
	(d) Stipulate the maximum number of Directors with the rationale for the same	Effective from 1 October 2024.
	(e) specify the frequency of Board meetings, having regard to the requirements under the Listing Rules	Effective from 1 October 2024.
	(f) provide mechanisms for ensuring that Directors are kept abreast of the Listing Rules and on-going compliance and/or non-compliance by the Listed Entity with obligations arising under such Rules	Effective from 1 October 2024.
	(g) specify the minimum number of meetings, in numbers and percentage, that a Director must attend, in order to ensure consistent attendance at Board Meetings and to avoid being deemed to vacate such position	Effective from 1 October 2024.
	(h) provide requirements relating to trading in securities of the Listed Entity and its listed group companies and disclosure of such requirements	Effective from 1 October 2024.
	(h) specify the maximum number of directorships in Listed Entities that may be held by Directors	Effective from 1 October 2024.
	(i) Recognize the right to participate at meetings of the Board and Board Committees by audio visual means and for such participation to be taken into account when deciding on the quorum	Effective from 1 October 2024.
9.5.2	Listed Entities shall confirm compliance with the requirements of the policy referred to in Rule 9.5.1 above in the Annual Report and provide explanations for any non-compliance with any of the requirements with reasons for such non-compliance and the proposed remedial action	Effective from 1 October 2024.
9.6	Chairperson and CEO	
9.6.1	The Chairperson of every Listed Entity shall be a Non-Executive Director. Consequently, the position of Chairperson and CEO shall not be held by the same individual	Compliant.
9.6.3	The Requirement for a SID	
	(a) A Listed Entity shall appoint an Independent Director as the SID in the following instances: i. The Chairperson and CEO are the same person ii. The Chairperson and CEO are Close Family Members or Related Parties Such appointment shall be immediately disclosed with reasons for such appointment, by way of a Market Announcement.	Not required as per CSE regulations however SID has been appointed to the Board in terms of the Corporate Governance Direction of CBSL.

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Rule No	Rule	Status of Compliance
	(b) The Independent Directors shall meet at least once a year or as often as deemed necessary at a meeting chaired by the SID without the presence of the other Directors to discuss matters and concerns relating to the Entity and the operation of the Board. The SID shall provide feedback and recommendations from such meetings to the Chairperson and the other Board Members	Compliant.
	(c) The SID shall chair a meeting of the Non-Executive Directors without the presence of the Chairperson at least annually, to appraise the Chairperson's performance and on such other occasions as are deemed appropriate	Effective from Annual Reports for the year ending 31 December 2024.
	(d) The SID shall be entitled to a casting vote at the meetings specified in Rules 9.6.3. (b) and (c) above	Effective from Annual Reports for the year ending 31 December 2024.
	(e) The SID shall make a signed explanatory disclosure in the Annual Report demonstrating the effectiveness of duties of the SID	Compliant.
9.6.4	Until Listed Entities comply with Rule 9.6.1 above, such Entities shall be required to explain the reasons for non-compliance with Rule 9.6.1 in the Annual Report	Not Applicable.
9.7	Fitness of Directors and CEOs	
9.7.1	The Listed Entities shall take necessary steps to ensure that their Directors and the CEO are, at all times, fit and proper persons as required in terms of these Rules: In evaluating fitness and propriety of the persons referred in these Rules, Listed Entities shall utilize the 'Fit and Proper Assessment Criteria' set out in Rule 9.7.3 below	Effective from 1 April 2024.
9.7.2	Listed Entities shall ensure that persons recommended by the Nominations and Governance Committee as Directors are fit and proper as required in terms of these Rules before such nominations are placed before the shareholders' meeting or appointments are made.	Effective from 1 April 2024.
9.7.3	Fit and Proper Assessment Criteria:	

Rule No	Rule	Status of Compliance
(a)	Honesty, Integrity and Reputation A Director or the CEO of a Listed Entity shall not be considered 'fit and proper' if she or he; (i) has been convicted by a competent court of law in respect of a market offence for which he/she has been charged under the SEC Act or Securities Laws outside of Sri Lanka (ii) in his/her individual capacity or as a part of any business that he/she has been involved in, who/which has had a license or registration that has been cancelled by the SEC or any other regulatory authority (iii) has been convicted, within or outside Sri Lanka of an offence under any law involving fraud, misappropriation or dishonesty or the conviction of which involved a finding that he/she acted fraudulently or dishonestly (iv) has been convicted for contravening any provision of any law within or outside Sri Lanka for protecting members of the public against financial loss due to dishonesty, incompetence or malpractice by persons concerned in the provision of financial services or the management of companies (v) has been disqualified from acting as a Director or CEO of a company or has been dismissed or requested to resign from any position or office by the SEC in terms of the SEC Act or rules and regulations issued thereunder or any other statutory regulatory body due to mismanagement of funds or an offence which involves the commission of financial fraud (vi) has been disqualified from acting as a CEO/Key Management Person/ Director of a company regulated by the CBSL and/or the Insurance Regulatory Commission of Sri Lanka (IRCSL) as applicable for failure to satisfy the fit and proper assessment criteria issued by the CBSL and/or IRCSL respectively (vii) has been a Director or the CEO of any Listed Entity which has been delisted by the Exchange in the circumstances specified in Rule 11.3 of these Rules.	Effective from 1 April 2024.
	(b) Competence and Capability A Director or the CEO of an Entity shall not be considered as 'fit and proper' if she or he; (i) does not possess suitable academic or professional qualifications or necessary skills, competencies and experience which are determined by the Nominations and Governance Committee of the Listed Entity in terms of Rule 9.11.5 of these Rules which are required to efficiently contribute to the business operations of the Entity in his/her capacity as a Director/CEO (as applicable) (ii) has been declared by a court of competent jurisdiction in Sri Lanka or outside Sri Lanka, to be of unsound mind	Effective from 1 April 2024.

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Rule No	Rule	Status of Compliance
	(c) Financial Soundness A Director or the CEO of an Entity shall not be considered as a 'fit and proper person' by the Exchange, if she or he; (i) is an undischarged bankrupt or a person on whose behalf a receiver or manager or liquidator or an equivalent person has been appointed within or outside Sri Lanka (ii) has been the subject of a judgment debt which is unsatisfied, either in whole or in part, whether in Sri Lanka or outside Sri Lanka (iii) has been in a position capable of exercising significant influence in a company that has: (a) been declared bankrupt within or outside of Sri Lanka; or (b) its assets sequestrated for the non-satisfaction of a judgement debt.	Effective from 1 April 2024.
9.7.4	Listed Entities shall obtain declarations from their Directors and CEO on an annual basis confirming that each of them have continuously satisfied the Fit and Proper Assessment Criteria set out in these Rules during the financial year concerned and satisfies the said criteria as at the date of such confirmation	Effective from 1 April 2024.
9.7.5	Disclosures in the Annual Report of Listed Entities	
	Listed Entities shall include the following disclosures/reports in the Annual Report;	
	(a) A statement that the Directors and CEO of the Listed Entity satisfy the Fit and Proper Assessment Criteria stipulated in the Listing Rules of the Colombo Stock Exchange	Effective from Annual Reports for the year ending 31 December 2024.
9.8	Board Composition	
9.8.1	The Board of Directors of a Listed Entity shall, at a minimum, consist of five (05) Directors	Compliant.
9.8.2	Minimum Number of Independent Directors:	
	(a) The Board of Directors of Listed Entities shall include at least two (2) Independent Directors or such number equivalent to one third (1/3) of the total number of Directors of the Listed Entity at any given time, whichever is higher	Compliant. Refer Annual Report of the Board of Directors on the Affairs of the Bank on pages 176 to 182 of the Annual Report.
	(b) Any change occurring to this ratio shall be rectified within ninety (90) days from the date of the change	Not Applicable.
9.8.3	Criteria for determining independence:	
	A Director shall not be considered independent if he/she:	

Rule No	Rule	Status of Compliance
	(i) has been employed by the Listed Entity during the period of three (3) years immediately preceding appointment as Director	Compliant. The Bank consisted of 4 Independent Non-Executive Directors as at 31 December 2023 and no Director is above the age of 70 years. Refer Annual Report of the Board of Directors on the Affairs of the Bank on pages 176 to 182 of the Annual Report.
	(ii) currently has/had during the period of three (3) years immediately preceding appointment as a Director, a Material Business Relationship with the Listed Entity, whether directly or indirectly	
	(iii) currently has/had during the preceding financial year a Close Family Member who is a Director and/or CEO in the Listed Entity	
	(iv) has a Significant Shareholding in the Listed Entity	
	(v) has served an aggregate period of nine (9) years on the Board of the Listed Entity from the date of the first appointment	
	(vi) is employed in another company or business;	
	a. in which a majority of the other directors of the Listed Entity are employed or are directors; or b. in which a majority of the other directors of the Listed Entity have a Significant Shareholding or Material Business Relationship; or c. that has a Significant Shareholding in the Listed Entity or with which the Listed Entity has a Business Connection.	
	(vii) is a director of another company;	
	a. in which a majority of the other directors of the Listed Entity are employed or are directors; or b. that has a Business Connection in the Listed Entity or a Significant Shareholding	
	(viii) has a Material Business Relationship or a Significant Shareholding in another company or business;	
	a. in which a majority of the other directors of the Listed Entity are employed or are directors; and/or b. which has a Business Connection with the Listed Entity or Significant Shareholding in the same; and/or c. where the core line of business of such company is in direct conflict with the line of business of the Listed Entity.	
	(ix) is above the age of seventy (70) years	
9.8.5	The Board of Directors of Listed Entities shall require:	
	(a) Each Independent Director to submit a signed and dated declaration annually of his or her "independence" or "non-independence" against the criteria specified herein and in the format in Appendix 9A, containing at a minimum the content prescribed therein	Compliant.

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Rule No	Rule	Status of Compliance
	(b) Make an annual determination as to the “independence” or “non-independence” of each Independent Director based on the Directors’ declaration and other information available to it and shall set out the names of Directors determined to be ‘independent’ in the Annual Report	Compliant.
	(c) If the Board of Directors determines that the independence of an Independent Director has been impaired against any of the criteria set out in Rule 9.8.3, it shall make an immediate Market Announcement thereof.	Not Applicable.
9.9	Alternate Directors	
	If a Listed Entity provides for the appointment of Alternate Directors, it shall be required to comply with the following requirements and such requirements shall also be incorporated into the Articles of Association of the Entity:	
	(a) Alternate directors shall only be appointed in exceptional circumstances and for a maximum period of one (1) year from the date of appointment	No Alternate Directors have been appointed to the Board.
	(b) If an Alternate Director is appointed for a Non-Executive Director such alternate should not be an executive of the Listed Entity	Articles are being amended to give effect to the additional provisions at the Extraordinary General Meeting (EGM) to be held immediately after the Annual General Meeting (AGM) on 28 March 2024.
	(c) If an Alternate Director is appointed by an Independent Director, the person so appointed should meet the criteria of independence specified in these Rules and the Listed Entity shall satisfy the requirements relating to the minimum number of Independent Directors specified in these Rules. The Nominations and Governance Committee shall review and determine that the person nominated as the alternate would qualify as an Independent Director before such appointment is made	
	(d) The Listed Entity shall make an immediate Market Announcement regarding the appointment of an Alternate Director. Such Market Announcement shall include the following:	
	i. The exceptional circumstances leading to such appointment;	Not Applicable.
	ii. The information on the capacity in which such Alternate Director is appointed, i.e. whether as an Executive, Non-Executive or Independent Director;	
	iii. The time period for which he/she is appointed, which shall not exceed one (1) year from the date of appointment; and,	Not Applicable.
	iv. A Statement by the Entity indicating whether such appointment has been reviewed by the Nominations and Governance Committee of the Entity	Not Applicable.
	(e) The attendance of any Alternate Director at any meeting, including a Board Committee Meeting shall be counted for the purpose of quorum.	Articles are being amended to give effect to this provision at the EGM to be held immediately after the AGM on 28 March 2024.
9.10	Disclosures relating to Directors	
9.10.1	Listed Entities shall disclose its policy on the maximum number of directorships it's Board members shall be permitted to hold in the manner specified in Rule 9.5.1. In the event such number is exceeded by a Director(s), the Entity shall provide an explanation for such non-compliance in the manner specified in Rule 9.5.2 above.	Compliant.

Rule No	Rule	Status of Compliance
9.10.2	Listed Entities shall, upon the appointment of a new Director to its Board, make an immediate Market Announcement setting out the following; i. a brief resume of such Director; ii. his/her capacity of directorship; and, iii. Statement by the Entity indicating whether such appointment has been reviewed by the Nominations and Governance Committee of the Entity	Compliant.
9.10.3	Listed Entities shall make an immediate Market Announcement regarding any changes to the composition of the Board Committees referred to in Rule 9.3 above containing, at minimum, the details of changes including the capacity of directorship with the effective date thereof.	Effective from 1 October 2024.
9.10.4	Listed Entities shall also disclose the following in relation to the Directors in the Annual Report: (a) name, qualifications and brief profile; (b) the nature of his/her expertise in relevant functional areas; (c) whether either the Director or Close Family Members has any material business relationships with other Directors of the Listed Entity; (d) whether Executive, Non-Executive and/or independent Director; (e) the total number and names of companies in Sri Lanka in which the Director concerned serves as a Director and/or Key Management Personnel indicating whether such companies are listed or unlisted Companies and whether such Director functions in an executive or non-executive capacity, provided that where he/she holds directorships in companies within a Group of which the Listed Entity is a part, their names (if not listed) need not be disclosed; it is sufficient to state that he/she holds other directorships in such companies; (f) number of Board meetings of the Listed Entity attended during the year; (g) names of Board Committees in which the Director serves as Chairperson or a member; (h) Details of attendance of Committee Meetings of the Audit, Related Party Transactions Review, Nominations and Governance and Remuneration Committees. Such details shall include the number of meetings held and the number attended by each member.; and, (i) The terms of reference and powers of the SID (where applicable).	Compliant. Please refer pages 10 to 19 and pages 110 of the Annual Report. Please refer pages 176 to 182 of the Annual Report. Please refer pages 10 to 19 and pages 176 to 182 of the Annual Report. Please refer page 115 of the Annual Report. Please refer pages 10 to 19 of the Annual Report. Please refer to the Board Sub-committee reports found on pages 184 to 194. Please refer page 117.

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Rule No	Rule	Status of Compliance
9.11	Nominations and Governance Committee	
9.11.1	Listed Entities shall have a Nominations and Governance Committee that conforms to the requirements set out in Rule 9.11 of these Rules	Compliant.
9.11.2	Listed Entities shall establish and maintain a formal procedure for the appointment of new Directors and re-election of Directors to the Board through the Nominations and Governance Committee.	Compliant. A policy on selection and appointment of Directors to the Board is in place at present.
9.11.3	The Nominations and Governance Committee shall have a written terms of reference clearly defining its scope, authority, duties and matters pertaining to the quorum of meetings.	Compliant.
9.11.4	Composition	
(1)	The members of the Nominations and Governance Committee shall; (a) Comprise of a minimum of three (03) Directors of the Listed Entity, out of which a minimum of two (02) members shall be Independent Directors of the Listed Entity. (b) not comprise of Executive Directors of the Listed Entity	Compliant. The Committee consist of 5 Non-Executive Directors majority of whom are Independent. Please refer Committee's report on pages 191 and 192 of the Annual Report.
(2)	An Independent Director shall be appointed as the Chairperson of the Nominations and Governance Committee by the Board of Directors.	Compliant. Refer Annual Report of the Board of Directors on the Affairs of the Bank on pages 176 to 182 of the Annual Report.
(3)	The Chairperson and the members of the Nominations and Governance Committee shall be identified in the Annual Report of the Listed Entity.	Compliant. Please refer the Committee's Report on pages 191 and 192 of the Annual Report.
9.11.5	Functions	
	The functions of the Nominations and Governance Committee shall include the following:	
	(i) Evaluate the appointment of Directors to the Board of Directors and Board Committees of the Listed Entity. However, a member of the Nominations and Governance Committee shall not participate in decisions relating to his/her own appointment.	Compliant.
	(ii) Consider and recommend (or not recommend) the re-appointment/re-election of current Directors taking into account; (a) the combined knowledge, experience, performance and contribution made by the Director to meet the strategic demands of the Listed Entity and the discharge of the Board's overall responsibilities; and, (b) the number of directorships held by the Director in other listed and unlisted companies and other principal commitments	Compliant.

Rule No	Rule	Status of Compliance
	(iii) Establish and Maintain a formal and transparent procedure to evaluate, select and appoint/re-appoint Directors of the Listed Entity.	Compliant. A policy for selection and appointment of new members to the Board is in place.
	(iv) Establish and maintain a set of criteria for selection of Directors such as the academic/professional qualifications, skills, experience and key attributes required for eligibility, taking into consideration the nature of the business of the Entity and industry specific requirements.	Compliant.
	(v) Establish and maintain a suitable process for the periodic evaluation of the performance of Board of Directors and the CEO of the Entity to ensure that their responsibilities are satisfactorily discharged	Compliant.
	(vi) Develop succession plan for Board of Directors and Key Management Personnel of the Listed Entity	Compliant.
	(vii) Review the structure, size and composition of the Board and Board Committees with regard to effective discharge of duties and responsibilities.	Compliant.
	(viii) Review and recommend the overall corporate governance framework of the Listed Entity taking into account the Listing Rules of the Exchange, other applicable regulatory requirements and industry/international best practices	Effective from 1 October 2024.
	(ix) Periodically review and update the corporate Governance Policies / Framework of the Entity in line with the regulatory and legal developments relating to same, as a best practice.	Effective from 1 October 2024.
	(x) Receive reports from the Management on compliance with the corporate governance framework of the Entity including the Entity's compliance with provisions of the SEC Act, Listing Rules of the Exchange and other applicable laws, together with any deviations/non-compliances and the rational for same.	Effective from 1 October 2024.
9.11.6	Disclosures in Annual Report	
	The Annual Report of Listed Entities shall contain a report of the Nominations and Governance Committee signed by its Chairperson, The said report shall include the following;	
	(a) the names of the Chairperson and members of the Committee and the nature of directorships held by such members);	Compliant.
	(c) whether a documented policy and processes are in place when nominating Directors;	Compliant.
	(d) whether all directors should be required to submit themselves for re-election at regular intervals and at least once in every three (3) years;	Compliant.
	(e) a disclosure on Board diversity in the range of experience, skills, age, and gender as an essential factor for effective Board performance;	Compliant.
	(f) Details to demonstrate effective implementation of policies and processes relating to appointment and reappointment of Directors.	Compliant.

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Rule No	Rule	Status of Compliance
	(g) The following information regarding directors who are re-elected or being proposed for re-election during the year: - Board Committees served on (as a member or Chairperson) - Date of first appointment as a Director, - Date of last re-appointment as a Director - Directorships or Chairpersonships and other principal commitments both present and those held over the preceding three years in other Listed Entities; and, - Any relationships including close family relationships between the candidate and the directors, the Listed Entity or its shareholders holding more than ten per-centum (10%) of the shares of the Listed Entity.	Compliant Please refer Board Nomination and Governance Committee Report (BNAGC) on pages 191 and 192 in the Annual Report.
	(h) Whether periodic evaluations have been conducted on the performance of the Board of Directors and the CEO of the Entity as specified in Rule 9.11.5 above	Compliant.
	(i) Processes adopted by the Listed Entity to inform the Independent Directors of major issues relating to the Entity	The Board/Sub-committee meetings are avenues adopted to inform the Independent Directors of any major issues.
	(j) Induction programs/orientation programs conducted for newly appointed Directors on corporate governance, Listing Rules, securities market regulations and other applicable laws and regulations, or an appropriate negative statement	A documented process is adopted for Induction programmes for newly appointed Directors where the Corporate profile, the applicable regulations, Financial reports, applicable policies on Corporate Governance etc. are shared with such Directors.
	(k) Annual update given to existing Directors on Corporate Governance, Listing Rules, securities market regulation and other applicable laws and regulations, or an appropriate negative statement.	Compliant. The Compliance Division presents regular updates on the changes to the applicable laws and regulations and the Chief Information Officer updates on Information Security.
	(l) A statement that the Directors of the Listed Entity meet the criteria for determining independence.	Compliant.
	(m) A statement that the Corporate Governance requirements stipulated under the Listing Rules of the CSE have been met and where the Listed Entity's fail to comply with any provisions of such Rules, a statement explaining the reason for such noncompliance and the proposed remedial action taken for the rectification of such noncompliance.	Compliant.

Rule No	Rule	Status of Compliance
9.12	REMUNERATION COMMITTEE	
9.12.2	Listed Entities shall have a Remuneration Committee that conforms to the requirements set out in Rule 9.12 of these Rules	Compliant.
9.12.3	The Remuneration Committee shall establish and maintain a formal and transparent procedure for developing policy on Executive Directors' remuneration and for fixing the remuneration packages of individual Directors. No Director shall be involved in fixing his/her own remuneration	Effective from 1 October 2024.
9.12.4	Remuneration for Non-Executive Directors should be based on a policy which adopts the principle of non-discriminatory pay practices among them to ensure that their independence is not impaired.	Effective from 1 October 2024.
9.12.5	Remuneration Committee shall have a written terms of reference clearly defining its scope, authority, duties and matters pertaining to the quorum of meetings.	Compliant.
9.12.6	Composition	
(1)	The members of the Remuneration Committee shall;	
	Comprise of a minimum of three (03) Directors of the Listed Entity, out of which a minimum of two (02) members shall be Independent Directors of the Listed Entity. not comprise of Executive Directors of the Listed Entity.	Compliant. Please refer Board Human Resources and Remuneration Committee (BHRRRC) report on page 190 of the Annual Report.
(2)	In a situation where both the parent company and the subsidiary are 'Listed Entities', the Remuneration Committee of the parent company may be permitted to function as the Remuneration Committee of the subsidiary	Not Applicable.
(3)	An Independent Director shall be appointed as the Chairperson of the Remuneration Committee by the Board of Directors.	Compliant.
9.12.7	Functions	
(1)	The Remuneration Committee shall recommend the remuneration payable to the Executive Directors and CEO of the Listed Entity and/or equivalent position thereof to the Board of the Listed Entity which will make the final determination upon consideration of such recommendations.	Compliant.
(2)	The Remuneration Committee may engage any external consultant or expertise that may be considered necessary to ascertain or assess the relevance of the remuneration levels applicable to Directors and CEO	Compliant.
9.12.8	Disclosure in Annual Report	
	The Annual Report should set out the following:	Compliant.
	Names of the Chairperson and members of the Remuneration Committee and the nature of directorships held by such members (or persons in the parent company's Remuneration Committee in the case of a group company); A statement regarding the remuneration policy; The aggregate remuneration of the Executive and Non-Executive Directors	Please refer BHRRRC report found on page 190 of the Annual Report

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Rule No	Rule	Status of Compliance
9.13	Audit Committee	
9.13.1	Where Listed Entities do not maintain separate Committees to perform the Audit and Risk Functions, the Audit Committee of such Listed Entities shall additionally perform the Risk Functions set out in Rule 9.13 of these Rules.	Separate Committees are in place. Disclosed in Annual Report.
9.13.2	The Audit Committee shall have a written terms of reference clearly defining its scope, authority and duties.	Terms of Reference is in place. Disclosed in Board Audit Committee (BAC) Report on pages 184 to 186 of the Annual Report.
9.13.3.	Composition	
(1)	The members of the Audit Committee shall;	
	Comprise of a minimum of three (03) directors of the Listed Entity, out of which a minimum of two (02) or a majority of the members, whichever higher, shall be Independent Directors. Not comprise of Executive Directors of the Listed Entity	Compliant. Please refer the BAC Report on pages 184 to 186 of the Annual Report.
(2)	The quorum for a meeting of the Audit Committee shall require that the majority of those in attendance to be independent directors.	Compliant. BAC TOR amended accordingly.
(3)	The Audit Committee may meet as often as required provided that the Audit Committee compulsorily meets on a quarterly basis prior to recommending the financials to be released to the market.	Compliant. Please refer the BAC Report on pages 184 to 186 of the Annual Report.
(4)	If both, the Parent Company and the subsidiary are 'Listed Entities', the Audit Committee of the Parent Company may function as the Audit Committee of the subsidiary	Not Applicable.
(5)	An Independent Director shall be appointed as the Chairperson of the Audit Committee by the Board of Directors	Compliant. Please refer the BAC Report on pages 184 to 186 of the Annual Report.
(6)	Unless otherwise determined by the Audit Committee, the CEO and the Chief Financial Officer (CFO) of the Listed Entity shall attend the Audit Committee meetings by invitation.	Compliant. Please refer the BAC Report on pages 184 to 186 of the Annual Report.
	Provided however where the Listed Entity maintains a separate Risk Committee, the CEO shall attend the Risk Committee meetings by invitation.	The Bank has a separate Risk Committee namely the Board Integrated Risk Management Committee (BIRMC) which has been established as per the Corporate Governance Direction of CBSL. Please refer the BIRMC Report on pages 187 to 189 of the Annual Report for attendance.
(7)	The Chairperson of the Audit Committee shall be a Member of a recognized professional accounting body.	Compliant. Disclosed in the BAC Report on pages 184 to 186 of the Annual Report.

Rule No	Rule	Status of Compliance
9.13.4	Functions	
(1)	The functions of the Audit Committee shall include the following:	
	(i) Oversee the Entity's compliance with financial reporting requirements, information requirements under these Rules, the Companies Act and the SEC Act and other relevant financial reporting related regulations and requirements	Partially compliant. Process to be put in place before the effective date of 1 October 2024 for BAC to oversee information requirements under these rules and SEC Act.
	(ii) Review the quarterly results and year-end financial statements of the Entity prior to tabling for the approval of the Board of Directors of the Entity with special reference to:	
	(a) changes in or implementation of major accounting policy changes;	No accounting policy changes made during the year 2023.
	(b) significant matters highlighted including financial reporting issues, significant judgments made by management, significant and unusual events or transactions, and how these matters are addressed;	BAC reviewed significant matters highlighted including financial reporting issues, significant judgments made by management as part of its review of quarterly results and year-end financial statements. Committee also noted that there were no unusual events or transactions reported during the year 2023.
	(c) compliance with accounting standards and other legal requirements;	Compliant. Please refer the BAC Report on pages 184 to 186 of the Annual Report.
	(d) any related party transaction and conflict of interest situation that may arise within the Listed Entity or group including any transaction, procedure or course of conduct that raises questions of management integrity;	BAC has reviewed all disclosures included in the financial statements published during the year 2023 pertaining to related party transactions. Committee also noted that there were no instances of conflict of interest situations reported, neither were there any instances of questions related to management integrity.
	(e) any letter of resignation from the external auditors of the Listed Entity; and	Not Applicable.
	(f) whether there is reason (supported by grounds) to believe that the Listed Entity's external auditor is not suitable for re-appointment	Not Applicable.
	(iii) To make recommendations to the Board pertaining to appointment, reappointment and removal of external auditors and to approve the remuneration and terms of engagement of the external auditors.	Compliant. Please refer the BAC Report on pages 184 to 186 of the Annual Report.

CORPORATE GOVERNANCE REPORT

Rule No	Rule	Status of Compliance
	(iv) Obtain and review assurance received from:	
	(a) the CEO and the CFO that the financial records have been properly maintained and the financial statements give a true and fair view of the Entity's operations and finances; and	Not applicable for the year 2023.
	(b) the CEO and other key management personnel who are responsible, regarding the adequacy and effectiveness of the Entity's risk management and internal control systems.	The Board has appointed a Board Integrated Risk Management Committee comprising 4 Non-Executive Directors, Managing Director/CEO and Chief Risk Officer. Key Management Personnel are present to make regular presentations to the Committee on matters under their purview and explain matters relating to their subject. The BIRMC is recommending to the Board, the Bank's Risk Management Framework defining the risk appetite to measure, monitor and manage the principal risks.
	(v) Review the internal controls in place to prevent the leakage of material information to unauthorized persons.	Not applicable for the year 2023.
	(vi) Oversee the processes to ensure that the Entity's internal controls and risk management are adequate to meet the requirements of the Sri Lanka Auditing Standards.	Not applicable for the year 2023.
	(vii) Review and assess the company's risk management process, including the adequacy of the overall control environment and controls in areas of significant risks and updated business continuity plans.	Integrated Risk Management Framework (IRMF) which is reviewed annually includes risk management procedures, mechanism and measurable goals based on the Strategic Plan. BIRMC assesses the risk profile of the Bank through the use of dashboards which is circulated on a monthly basis. The Business Continuity Plan that was adopted during the crisis has been strengthened and tested during the BCP drill conducted in year 2023 and the same was reviewed by BIRMC.

Rule No	Rule	Status of Compliance
	(viii) Review the risk policies adopted by the Entity on an annual basis.	IRMF which outlines the key risk management policies such as Credit Risk Policy, Operational Risk policy and Middle Office Policy (Market Risk & Liquidity Risk) is reviewed by the BIRMC and approved by the Board annually.
	(ix) Take prompt corrective action to mitigate the effects of specific risks in the case such risks are at levels beyond the prudent levels decided by the committee on the basis of the Listed Entity's policies and regulatory requirements.	The Bank's specific risks and the limits are identified by the relevant committees and decisions are taken collectively. Risk management tools that are in place have been used effectively and now have been considered as key components for the performance evaluation of the Senior Management thereby strengthening the process of accountability.
	(x) Review the scope and results of the internal and external audit and its effectiveness, and the independence, performance and objectivity of the auditors.	Compliant. Please refer the BAC Report on pages 184 to 186 of the Annual Report.
	(xi) To develop and implement policy on the engagement of the external auditor to supply non-audit services, at minimum taking into account relevant ethical guidance regarding the provision of non-audit services by an external audit firm; and to report to the Board identifying any matters in respect of which it considers that action or improvement is needed and making recommendations as to the steps ought to be taken.	Policy in place. Please refer the BAC Report on pages 184 to 186 of the Annual Report. Policy to be amended shortly to incorporate other requirements mentioned here.
	(xii) if a change of auditor is recommended by the Audit Committee in circumstances where the audit opinion of the immediately disclosed financial period or any period where subsequent disclosure of audit opinion is pending and such opinion carries a modification or an emphasis of matter of going concern, then the Audit Committee report shall include the rationale of the Audit Committee for recommending the removal of the auditor	Not applicable for the year 2023.
	(xiii) Where the Audit Committee is of the view that a matter reported by it to the Board of Directors of a Listed Entity has not been satisfactorily resolved resulting in a breach of these Requirements, the Audit Committee shall promptly report such matter to the Exchange.	Not applicable for the year 2023.
(2)	Where Listed Entities maintain two (02) separate Committees to carry out the Audit and Risk functions, the terms of reference of such Committees shall, at a minimum, include the respective functions stipulated in Rule 9.13.4 (1) above.	BAC TOR amended and BIRMC TOR amendment is in progress.

CORPORATE GOVERNANCE REPORT

Rule No	Rule	Status of Compliance
9.13.5	Disclosures in Annual Report	
(1)	The Audit Committee shall also prepare an Audit Committee Report which shall be included in the Annual Report of the Listed Entity. The Audit Committee Report shall set out the manner in which the Entity has complied with the requirements applicable to the Audit Committee during the period for which the Annual Report relates	Please refer the BAC Report on pages 184 to 186 of the Annual Report. Extent of compliance of each requirement from these rules is highlighted in the Annual Report along with the respective reasons for non-disclosure.
(2)	The Audit Committee Report shall contain the following disclosures:	
	(a) the names of the Chairperson and the members of the Audit Committee, and the nature of directorships held by such members (or persons in the parent company's committee in the case of a group company);	Compliant. Please refer the BAC Report on pages 184 to 186 of the Annual Report.
	(b) The status of risk management and internal control of the Listed Entity and as a Group (where applicable).	Compliant. Please refer Directors' Statement on Internal Control Over Financial Reporting and BAC Report on pages 172 and 173 and pages 184 to 186 respectively.
	(c) A statement that it has received assurance from the CEO and the CFO of the Entity's operations and finances.	Not applicable for the year 2023.
	(d) An opinion on the compliance with financial reporting requirements, information requirements under these Rules, the Companies Act and the SEC Act and other relevant financial reporting related regulations and requirements.	Partially compliant. Process to be put in place before the effective date of 1 October 2024 for BAC to express opinion on the financial reporting and information requirement under these rules and SEC Act.
	(e) whether the Listed Entity has a formal Audit Charter;	Compliant, in relation to Internal Audit Charter. Please refer the BAC Report on pages 184 to 186 of the Annual Report
	(f) the manner in which internal audit assurance is achieved and a summary of the work of the internal audit function;	Compliant. Please refer the BAC report on pages 184 to 186 of the Annual Report.
	(g) Details demonstrating the effective discharge of its functions and duties for that financial year of the Listed Entity;	Compliant, subject to exceptions highlighted herein.
	(h) a statement confirming that written assurance was obtained from the external auditors approved by the SEC, confirming that they are and have been independent throughout the conduct of the audit engagement in accordance with the terms of all relevant professional and regulatory requirements; and	Bank's external auditors are Messrs Ernst & Young who are approved by the SEC. Messrs Ernst & Young have confirmed that they are independent in their Audit Engagement Letter for the year ended 31 December 2023 in line with the related requirement from the Sri Lanka Auditing Standards.

Rule No	Rule	Status of Compliance
	(i) a statement confirming that the Audit Committee has made a determination of the independence of auditors and the basis of such determination. It shall also contain details on the number of years that the external auditor and the audit partner were engaged. If the external auditor provides non audit services, explanations must be made of how auditor objectivity and independence are safeguarded taking into consideration fees paid for non-audit services provided by the external auditor and affiliated parties.	Partially compliant. Please refer the BAC Report on pages 184 to 186 of the Annual Report while rest of the requirements will be published in Annual Report 2024.
9.14	Related Party Transactions Review Committee	
9.14.1	Listed Entities shall have a Related Party Transactions Review Committee that conforms to the requirements set out in Rule 9.14 of these Rules.	Compliant.
9.14.2	Composition	
(1)	The Related Party Transactions Review Committee shall comprise of a minimum of three (03) Directors of the Listed Entity, out of which two (02) members shall be Independent Directors of the Listed Entity. It may also include executive directors, at the option of the Listed Entity. An Independent Director shall be appointed as the Chairperson of the Committee.	Compliant. The Committee Comprises of Two Independent Directors and the Managing Director/CEO.
(2)	If a parent company and the subsidiary are Listed Entities, the Related Party Transactions Review Committee of the parent company may be permitted to function as the Related Party Transactions Review Committee of the subsidiary	Not Applicable.
9.14.3	Functions	
(1)	Listed Entities shall have a Related Party Transactions Review Committee which shall be responsible for reviewing the Related Party Transactions as set out herein.	Compliant.
(2)	The objective of these Rules on Related Party Transactions is to ensure that the interests of shareholders as a whole are taken into account by a Listed Entity when entering into Related Party Transactions. These Rules further provide specific measures to prevent Directors, CEOs or Substantial Shareholders taking advantage of their positions.	Compliant.
(3)	When applying these Rules on Related Party Transactions, the objective and the economic and commercial substance of the Related Party Transactions should take precedence over the legal form and technicality.	Compliant.
(4)	The Related Party Transactions Review Committee shall establish and maintain a clear policy, procedure and process in place for the identification, clarification and reporting the Related Party Transactions on an end-to-end basis across the Entity's operations	Compliant.
9.14.4	General Requirements	
(1)	The Related Party Transactions Review Committee shall meet at least once a calendar quarter. It shall ensure that the minutes of all meetings are properly documented and communicated to the Board of Directors	Compliant. The Board Related Party Transactions Review Committee (BRPTRC) met 4 times during the year under review.

CORPORATE GOVERNANCE REPORT

Rule No	Rule	Status of Compliance
(2)	The members of the Related Party Transactions Review Committee should ensure that they have, or have access to, enough knowledge or expertise to assess all aspects of proposed Related Party Transactions, and where necessary, should obtain appropriate professional and expert advice from an appropriately qualified person.	Compliant.
(3)	Where necessary, the Committee shall request the Board of Directors to approve the Related Party Transactions which are under review by the Committee. In such instances, the approval of the Board of Directors should be obtained prior to entering into the relevant Related Party Transaction.	The need has not arisen during the year under review.
(4)	If a Director of the Listed Entity has a material personal interest in a matter being considered at a Board Meeting to approve a Related Party Transaction as required in Rule 9.14.4(3), such Director shall not: ✦ be present while the matter is being considered at the meeting; and, ✦ Vote on the matter.	Compliant.
9.14.7	Disclosures	
1	Immediate Disclosures	
	(a) of any non-recurrent Related Party Transaction with a value exceeding 10% of the Equity or 5% of the Total Assets whichever is lower, of the Entity as per the latest Audited Financial Statements; or	Such a situation did not arise during the year under review.
	(a) of the latest transaction, if the aggregate value of all non-recurrent Related Party Transactions entered into with the same Related Party during the same financial year amounts to 10% of the Equity or 5% of the Total Assets whichever is lower, of the Entity as per the latest Audited Financial Statements.	Such a situation did not arise during the year under review.
9.14.8	Disclosures in the Annual Report	
(1)	In the case of Non-recurrent Related Party Transactions: if the aggregate value of the non-recurrent Related Party Transactions exceeds 10% of the Equity or 5% of the Total Assets of the Listed Entity, whichever is lower, as per the latest Audited Financial Statements the following information must be presented in the Annual Report in the tabular format as set out below:	Such a situation did not arise during the year under review.
(2)	In the case of Recurrent Related Party Transactions: if the aggregate value of the recurrent Related Party Transactions exceeds 10% of the gross revenue/income (or equivalent term in the Income Statement and in the case of group entity consolidated revenue) as per the latest Audited Financial Statements, the Listed Entity must disclose the aggregate value of recurrent Related Party Transactions entered into during the financial year in its Annual Report. The name of the Related Party and the corresponding aggregate value of the Related Party Transactions entered into with the same Related Party must be presented in the following tabular format:	Such a situation did not arise during the year under review.

Rule No	Rule	Status of Compliance
(3)	The Annual Report shall contain a report by the Related Party Transactions Review Committee, setting out the following:	
	The names of the Directors comprising the Committee;	Compliant
	A statement to the effect that the Committee has reviewed the Related Party Transactions during the financial year and has communicated its comments/ observations to the Board of Directors	Refer BRPTRC report on pages 193 and 194 of the Annual Report.
	The policies and procedures adopted by the Committee for reviewing the Related Party Transactions.	
(4)	An affirmative declaration by the Board of Directors in the Annual Report that these Rules pertaining to Related Party Transactions have been complied with or if the Entity has not entered into any Related Party Transaction/s a negative statement to that effect	Compliant. Refer page 181 of the Annual Report.
9.14.9	Acquisition and Disposal of Assets from/to Related Parties	
(1)	Except for transactions set out in Rule 9.14.10, Listed Entities shall ensure that neither the Listed Entity nor any of its subsidiaries, acquires a substantial asset from, or disposes of a substantial asset to, any Related Party of the Entity without obtaining the approval of the shareholders of the Entity by way of a Special Resolution. An asset is substantial if its value or the value of the consideration relating to such asset exceeds 1/3 of the Total Assets of the Entity as per the latest Audited Financial Statements.	The need has not arisen.
9.16	Additional Disclosures	
	The following declarations by the Board of Directors to be included in the Annual Report:	
	(i) They have declared all material interests in contracts involving in the Entity and whether they have refrained from voting on matters in which they were materially interested;	Compliant.
	(ii) they have conducted a review of the internal controls covering financial, operational and compliance controls and risk management and have obtained reasonable assurance of their effectiveness and successful adherence therewith, and, if unable to make any of these declarations an explanation on why it is unable to do so;	Compliant.
	(iii) They have made arrangements to make themselves aware of applicable laws, rules and regulations and are aware of changes particularly to Listing Rules and applicable capital market provisions;	Compliant.
	(iv) disclosure of relevant areas of any material non-compliance with law or regulation and any fines, which are material, imposed by any government or regulatory authority in any jurisdiction where the Entity has operations.	Not Applicable.

BANK'S COMPLIANCE WITH PRUDENTIAL REQUIREMENTS

As a crucial component of the Bank's governance model, compliance serves as a pillar that supports the management of compliance risk in accordance with the core values of integrity, transparency, confidentiality and regulatory compliance.

The Compliance Division of the Bank functions autonomously to monitor and enhance compliance throughout the Bank. The Target Operating Model for ensuring Compliance Management within the Bank is the service-centric compliance eco-system of the Compliance Division.

In order to avoid regulatory sanctions, reputational harm, financial losses, and fines for non-compliance, the supporting Capacity Model "MAT" (Monitoring, Advisory, Training) reinforces the Target Operating Model in Compliance. It does this by concentrating attention on the areas of Governance, Legal and Regulatory Compliance, Monitoring and Reporting, and Creating Awareness.

As per the Banking Act Direction No. 11 of 2007 on Corporate Governance for LCBs that encourages best practices and good governance, the Bank has established a Compliance Division headed by the Chief Compliance Officer (CCO), a Key Management Personnel (KMP) who reports directly to the Board Integrated Risk Management Committee (BIRMC).

The Compliance Division's responsibilities include facilitating day-to-day challenges in the interpretation and understanding of regulations; applying proactive initiatives to highlight common industry-wide compliance concerns; ensuring that operations and administration of activities are in compliance with banking laws and regulations; creating a Compliance culture based on honesty and integrity standards.

The key responsibilities of the Compliance Division are:

- ✦ Collaboration with the Branches and other Divisions in Managing Compliance Risk
- ✦ Recommendation of measures to mitigate Compliance Risk and corrective actions in the event of non-compliance
- ✦ Dissemination of information to relevant stakeholders regarding regulatory requirements/changes and guidelines
- ✦ Consistently assesses the Bank's compliance with laws, regulations, statutory guidelines and ensure internal controls, policies and operational procedures are aligned with the regulatory requirements
- ✦ Ensuring compliance with the Financial Transactions Reporting Act- this includes monitoring and reporting suspicious transactions.
- ✦ Periodic reporting to the Board Integrated Risk Management Committee

In order to comply with the Bank's policies and procedures, the Compliance Division additionally ensures efficient compliance management throughout the organisation with the backing and cooperation of Senior Management and Managing Director/CEO. In order to monitor and evaluate the level of compliance, the Division regularly interacts with the executive management and the Management Committee. This is done by obtaining confirmations from management and if required, by commencing corrective action.

COMPLIANCE GLOBAL CULTURE

By facilitating an enhanced compliance culture from the top to bottom and throughout the entire Bank, the Compliance

Division aims to uphold an exemplary control and compliance culture that emphasises standards of honesty and integrity, and sustainability of the Bank. In the meantime, regular training and awareness programmes are conducted for all staff members to guarantee that they are fully informed about the Bank's compliance standards, policies, and practices.

During induction, all newly recruited staff are briefed on the Bank's compliance procedures. The Compliance Division actively promotes a culture of compliance and serves as a strategic partner to all business units.

REGULATORY INTERACTION AND COORDINATION

Regulatory Interaction, coordination and proactive monitoring of regulatory developments has enabled the Compliance Division to swiftly comply with all new directives introduced in 2023.

POLICY FRAMEWORK

The Board-approved Compliance Policy of the Bank includes a detailed description of its compliance policies and procedures. The Policy describes, among other factors, how to identify risks, who is responsible for what matters, how the system is organised, how reporting performs, and how to mitigate risks. The Board reviews the Policy on a regular basis and updates it as required. Meanwhile, the Bank Compliance Policy outlines the general compliance guidelines that the Bank has adopted and defines bank-wide compliance risk management.

The Anti Bribery and Corruption policy has been formulated to cover not only employees and Directors but also third parties and those authorized to represent the company, such as agents, advisors, representatives, suppliers, contractors, and subcontractors.

Throughout the development of this policy, careful attention was paid to incorporating recommendations and value additions by Transparency International Sri Lanka (TISL), a leading global anti-corruption organization. The policy is available in the Bank's Intranet portal for the perusal of staff.

RISK ASSESSMENT PROGRAMMES

A thorough set of Compliance Risk Models was created for Branches, Departments, and the Bank as a whole in order to strengthen the validity of the current risk assessment methodology and improve the alignment between the compliance review program and the risk assessment program. To ascertain the risk profiles of the Bank's departments, branches, and products and services, compliance risk assessments are conducted all year long.

COMPLIANCE MONITORING AND TESTING

The Compliance Division continuously monitors the strategies for compliance that the Board has approved, and it also keeps track of compliance throughout the year by submitting quarterly reports to the Board on statutory and regulatory requirements. In 2023, the primary emphasis was on strengthening the monitoring systems, particularly in accordance with the latest developments in the Anti-Money Laundering guidelines.

COMPLIANCE TRAINING

Anti-Money-Laundering (AML) was the main highlight in terms of training for 2023, with a focus on capacity building for front-line staff. At Branch level, one on one training sessions were held to emphasise and educate staff members on the significance of regulatory changes and requirements.

A Web Conference on the theme on "Managing Financial Crime Risk in Financial Services Sector of Sri Lanka for BOD and Key Management Personnel of Licensed Banks and Licensed Finance Companies" conducted by Finance Intelligence Unit of Sri Lanka was arranged for Directors on 30 November 2023. The Chief Compliance Officer has conducted periodic training sessions (three, annually) for the Board of Directors, covering recent regulations and developments, including those related to anti-bribery and corruption. Such programmes are essential for keeping the Directors updated on the latest developments in money laundering, terrorist financing, and other key elements of the AML/CFT framework that may lead to bribery and corruption in the financial services industry.

LEADS

All statutory and regulatory compliance requirements for 2023 were satisfied as a result of successful initiatives. In addition, the Compliance Division's perseverance produced outcomes that would safeguard stakeholders both now and in the future by ensuring that a high standard of compliance is maintained throughout the Bank.

FUTURE FOCUS

The Compliance Division's primary aim is to further streamline the Bank's regulatory and AML/CFT framework. Under this framework the Compliance Division's focus for the upcoming years 2024 and 2025 will be on technical compliance with the FATF 40 recommendations and ensuring that the Bank's AML/CFT framework delivers the expected results, as measured by the FATF's 11 immediate outcomes, by diligently adhering to the prioritised action plan as required by the Regulator.

DIRECTORS' STATEMENT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

RESPONSIBILITY

In line with the Banking Act Direction No. 11 of 2007, section 3(8) (ii) (b), the Board of Directors present this report on Internal Control over Financial Reporting.

The Board of Directors ("Board") is responsible for the adequacy and effectiveness of the internal control mechanism in place at Amāna Bank PLC, ("the Bank"). In considering such adequacy and effectiveness, the Board recognises that the business of banking requires reward to be balanced with risk on a managed basis and as such the internal control systems are primarily designed with a view to highlighting any deviations from the limits and indicators which comprise the risk appetite of the Bank. In this light, the system of internal controls can only provide reasonable, but not absolute assurance, against material misstatement of financial information and records or against financial losses or fraud.

The Board has established an ongoing process for identifying, evaluating and managing the significant risks faced by the Bank and this process includes enhancing the system of internal control over financial reporting as and when there are changes to the business environment or regulatory guidelines. The process is regularly reviewed by the Board and accords with the Guidance for Directors of Banks on the Directors' Statement on Internal Control issued by the Institute of Chartered Accountants of Sri Lanka. The Board has assessed the internal control over financial reporting taking into account principles for the assessment of internal control system as given in that guidance.

The Board is of the view that the system of internal controls over financial reporting in place is sound and adequate to provide reasonable assurance regarding the reliability of financial reporting, and that

the preparation of financial statements for external purposes is in accordance with relevant accounting principles and regulatory requirements.

The Management assists the Board in the implementation of the Board's policies and procedures on risk and control by identifying and assessing the risks faced, and in the design, operation and monitoring of suitable internal controls to mitigate and control these risks.

KEY FEATURES OF THE PROCESS ADOPTED IN APPLYING IN REVIEWING THE DESIGN AND EFFECTIVENESS OF THE INTERNAL CONTROL SYSTEM OVER FINANCIAL REPORTING

The key processes that have been established in reviewing the adequacy and integrity of the system of internal controls with respect to financial reporting include the following:

- ✦ Various Committees are established by the Board to assist the Board in ensuring the effectiveness of the Bank's daily operations and that the Bank's operations are in accordance with the corporate objectives, strategies and the annual budget as well as the policies and business directions that have been approved.
- ✦ The Internal Audit Department of the Bank checks for compliance with policies and procedures and the effectiveness of the internal control systems on an ongoing basis using samples and rotational procedures and highlight significant findings in respect of any non-compliance. Audits are carried out on all units and branches, the frequency of which is determined by the level of risk assessed, to provide an independent and objective report. The annual Audit Plan is reviewed and approved by the Board Audit Committee. Findings of the Internal

Audit Department are submitted to the Board Audit Committee for review at their periodic meetings.

- ✦ The Board Audit Committee of the Bank reviews internal control issues identified by the Internal Audit Department, the External Auditors, regulatory authorities and the Management: and evaluates the adequacy and effectiveness of the risk management and internal control systems. They also review the internal audit functions with particular emphasis on the scope of audits and quality of the same. The minutes of the Board Audit Committee meetings are forwarded to the Board on a periodic basis. Further details of the activities undertaken by the Board Audit Committee of the Bank are set out in the Board Audit Committee Report on pages 184 to 186.
- ✦ In assessing the internal control system over financial reporting, identified officers of the Bank collated all procedures and controls that are connected with significant accounts and disclosures of the financial statements of the Bank. These in turn were observed and checked by the Internal Audit Department for suitability of design and effectiveness on an ongoing basis.
- ✦ The Bank further strengthened its internal control processes to ensure that the impacts arising from the prevailing Economic conditions in the Country are captured on a timely basis and in a reasonably accurate manner as part of its financial reporting.
- ✦ The comments made by the External Auditors in connection with internal control system over financial reporting in previous years were reviewed during the year and appropriate steps have been taken to rectify them.

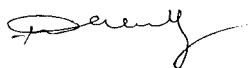
CONFIRMATION

Based on the above processes, the Board confirms that the financial reporting system of the Bank has been designed to provide a reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes and has been done in accordance with Sri Lanka Accounting Standards and regulatory requirements of the Central Bank of Sri Lanka.

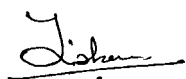
REVIEW OF THE STATEMENT BY EXTERNAL AUDITORS

The External Auditors, Messrs Ernst & Young, have reviewed the above Directors Statement on Internal Control over Financial Reporting included in the Annual Report of the Bank for the year ended 31 December 2023 and reported to the Board that nothing has come to their attention that causes them to believe that the statement is inconsistent with their understanding of the process adopted by the Board in the review of the design and effectiveness of the internal control over financial reporting of the Bank. Their Report on the Statement of Internal Control over Financial Reporting is given on pages 174 and 175 of this Annual Report.

By Order of the Board,



Ali Asghar Akbarally
Chairman – Board of Directors



Tishan Subasinghe
Chairman – Board Audit Committee

17 February 2024
Colombo

INDEPENDENT ASSURANCE REPORT ON DIRECTORS' STATEMENT ON INTERNAL CONTROL OVER FINANCIAL REPORTING



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APAG/MA

INDEPENDENT ASSURANCE REPORT TO THE BOARD OF DIRECTORS OF AMĀNA BANK PLC

Report on the Director's Statement on Internal Control

We were engaged by the Board of Directors of Amāna Bank PLC ('Bank') to provide assurance on the Directors' Statement on Internal Control over Financial Reporting ("Statement") included in the annual report for the year ended 31 December 2023.

Management's Responsibility

Management is responsible for the preparation and presentation of the Statement in accordance with the "Guidance for Directors of Banks on the Directors' Statement on Internal Control" issued in compliance with section 3(8)(ii)(b) of the Banking Act Direction No. 11 of 2007, by the Institute of Chartered Accountants of Sri Lanka.

Our Independence and Quality Control

We have complied with the independence and other ethical requirement of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka, which is founded on fundamental principles of integrity, objectivity, professional

competence and due care, confidentiality and professional behavior.

The firm applies Sri Lanka Standard on Quality Control 1 and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Our Responsibilities and Compliance with SLSAE 3050 (Revised)

Our responsibility is to assess whether the Statement is both supported by the documentation prepared by or for directors and appropriately reflects the process the directors have adopted in reviewing the design and effectiveness of the internal control of the Bank.

We conducted our engagement in accordance with Sri Lanka Standard on Assurance Engagements (SLSAE) 3050 (Revised), Assurance Report for Banks on Directors' Statement on Internal Control, issued by the Institute of Chartered Accountants of Sri Lanka.

This Standard required that we plan and perform procedures to obtain limited assurance about whether Management has prepared, in all material respects, the Statement on Internal Control.

For purpose of this engagement, we are not responsible for updating or reissuing any reports, nor have we, in the course of this engagement, performed an audit or review of the financial information.

Summary of Work Performed

We conducted our engagement to assess whether the Statement is supported by the documentation prepared by or for directors; and appropriately reflected the process the directors have adopted in reviewing the system of internal control over financial reporting of the Bank.

The procedures performed were limited primarily to inquiries of bank personnel and the existence of documentation on a sample basis that supported the process adopted by the Board of Directors.

SLSAE 3050 (Revised) does not require us to consider whether the Statement covers all risks and controls or to form an opinion on the effectiveness of the Bank's risk and control procedures. SLSAE 3050 (Revised) also does not require us to consider whether the processes described to deal with material internal control aspects of any significant problems disclosed in the annual report will, in fact, remedy the problems.

Partners: D K Hulangamuwa FCA FCMA LLB (London), A P A Gunasekera FCA FCMA, Ms. Y A De Silva FCA, Ms. G S Manatunga FCA, W K B S P Fernando FCA FCMA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, N M Sulaiman ACA ACMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajeewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gamage ACA ACMA, C A Yalagala ACA ACMA

Principals: T P M Ruberu FCMA FCCA MBA (USJ-SL), G B Goudian ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), D L B Karunathilaka ACMA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shakhthivel B.Com (Sp)

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The procedures selected depend on our judgement, having regard to our understanding of the nature of the Bank, the event or transaction in respect of which the Statement has been prepared.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusion.

Our Conclusion

Based on the procedures performed, nothing has come to our attention that causes us to believe that the Statement included in the annual report is inconsistent with our understanding of the process the Board of Directors has adopted in the review of the design and effectiveness of internal control over financial reporting of the Bank.

A handwritten signature in black ink, appearing to be 'W. J. H.', written over a horizontal line.

17 February 2024
Colombo

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE BANK

1. GENERAL

Your Directors have the pleasure in presenting their Annual Report on the State of Affairs, together with the Audited Financial Statements for the year ended 31 December 2023. Amāna Bank PLC, a licensed commercial bank was incorporated under the Companies Act No. 07 of 2007 as a public limited liability company in Sri Lanka under the registration number PB 3618. It was listed in the Colombo Stock Exchange on 29 January 2014 and re-registered under the Companies Act No. 07 of 2007 under the registration number PB 3618 PQ on 28 August 2014. Amāna Bank PLC is a licensed commercial bank under the Banking Act No. 30 of 1988 and amendments thereto and commenced commercial operations on 1 August 2011.

The Annual Report has been prepared in conformity with the requirements of the Companies Act No. 07 of 2007, the Banking Act No. 30 of 1988 (as amended), Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks and subsequent amendments thereto, the Listing Rules of the Colombo Stock Exchange and the recommended best practice on Corporate Governance.

The Financial Statements reviewed and recommended by the Board Audit Committee was approved by the Board on 17 February 2024 along with this report.

The Bank has been assigned a National Long Term Rating of BB+ (lka) with a Stable Outlook by Fitch Ratings Lanka Limited. The Registered Office and the Corporate Office of the Bank is located at No. 486, Galle Road, Colombo 3, Sri Lanka.

2. PRINCIPAL ACTIVITIES

The principal activities of the Bank are the provision of commercial banking and related services.

3. COMPLIANCE AND CORPORATE GOVERNANCE FOR LICENSED COMMERCIAL BANKS IN SRI LANKA

The Board of Directors of the Bank has adopted a comprehensive policy on compliance and in accordance with the regulations of the Central Bank of Sri Lanka (CBSL) has established an independent compliance function in respect of statutory requirements and CBSL Directions relating to licensed commercial banks. Further, in accordance with the provisions of the Financial Transaction Reporting Act No. 06 of 2006, the Board has appointed a Compliance Officer at Senior Management level in charge of compliance of the Bank. The Bank has also a Compliance Policy and Guideline on Know Your Customer (KYC) and Anti Money Laundering (AML). The Compliance Division monitors the compliance of the statutory requirements of the Bank and a report is submitted to the Board Integrated Risk Management Committee, Board Audit Committee and the Board of Directors on a quarterly basis ensuring the Bank complies with all such requirements.

4. REVIEW OF OPERATIONS

The Financial and Operational performance of the Bank and the important events that took place during the year under review is contained in the Chairman's Message, Managing Director/CEO's Review and the Management Discussion and Analysis of the Annual Report. These reports form an integral part of the Annual Report of the Board of Directors.

5. FINANCIAL STATEMENTS

5.1 Compliance

The Financial Statements of the Bank have been prepared in accordance with the Sri Lanka Accounting Standards (SLRFS and LKAS) laid down by the Institute of Chartered Accountants of Sri Lanka and comply with

the requirements of Companies Act No. 07 of 2007 and Banking Act No. 30 of 1988 (as amended) inclusive of specific disclosures. In terms of Section 150(1) (b) & (c) of the Companies Act No. 7 of 2007 the Financial Statements for the year ended 31 December 2023 has been duly signed by two Directors on the certification of the Chief Financial Officer of the Bank.

5.2 Auditors' Report

The Auditors' of the Bank, Messrs Ernst & Young, Chartered Accountants, carried out the Audit for the financial year ended 31 December 2023 and their report on those financial statements are given on pages 234 to 237 of the Annual Report.

5.3 Significant Accounting Policies

The Significant Accounting Policies adopted in the preparation of the Financial Statements are given on pages 244 to 255 of the Annual Report.

5.4 Financial Results and Comprehensive Income

5.4.1 Financing Income

The Financing Income of the Bank for the period under review was LKR 17,238,372,606 (2022 - LKR 12,113,112,544) and an analysis of the Financing Income is given in Note 4 to the Financial Statements.

5.4.2 Profits and Comprehensive Income

A breakdown of the Profits and Comprehensive Income of the Bank is given below:

Financial Results	2023 LKR	2022 LKR
Net Operating Income	7,089,782,029	4,727,212,865
Total Operating Expenses	(3,871,071,725)	(2,990,948,130)
Operating Profit Before VAT on Financial Services & Social Security Contribution Levy	3,218,710,304	1,736,264,735
VAT on Financial Services & Social Security Contribution Levy	(906,519,704)	(528,989,373)
Profit Before Tax	2,312,190,600	1,207,275,362
Tax Expenses	(925,414,505)	(419,098,458)
Profit for the Year	1,386,776,095	788,176,904
Other Comprehensive Income/(Loss) for the Year Net of Tax	(17,007,097)	(65,150,747)
Total Comprehensive Income for the Year	1,369,768,998	723,026,157

6. DIVIDENDS

6.1 Interim Scrip Dividend

An Interim Scrip Dividend of 12 cents per share was declared and paid in July 2023 for the financial year ended 31 December 2023. Prior to the declaration, the Board of Directors signed a Certificate in terms of Section 56(2) of the Companies Act No. 07 of 2007 stating that in their opinion and based on the information available the Bank will satisfy the solvency test immediately after the distribution is made and have obtained a Certificate from the Auditors in terms of Section 57 of the Companies Act No. 07 of 2007.

7. PROVISION FOR TAXATION

The Income Tax payable by the Bank has been duly provided for in the Financial Statements, under existing tax legislations and in conformity with Sri Lanka Accounting Standards.

8. PROPERTY, PLANT, EQUIPMENT AND RIGHT-OF-USE ASSETS

Details of the property, plant, equipment and right-of-use assets of the Bank, additions made during the year and the depreciation charges for the year are shown in Note 26 to the Financial Statements.

9. STATED CAPITAL

9.1 Issued Capital

The Stated Capital of the Bank as at 31 December 2023 is LKR 17,633,461,196 comprising of 5,511,257,461 ordinary shares (2022 – LKR 11,348,821,130 comprising 2,783,949,511 ordinary shares).

In addition to the Interim Scrip Dividend issue mentioned in Item 6.1 above, the Bank raised capital by way of a Rights Issue in October 2023, in the proportion of one (1) new ordinary share for every one (1) share held at a price of LKR 2.30 per share.

The movement in the Bank's Ordinary Share capital during the financial period under review is given below:

Issued Capital (No. of Shares)

Balance as at 31 December 2022	Interim Scrip Dividend Issue	Rights Issue	Balance as at 31 December 2023
2,783,949,511	118,317,854	2,608,990,096	5,511,257,461

The details of the stated capital are given in Note 36 to the Financial Statements on pages 279 and 280 of the Annual Report.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE BANK

9.2 Utilisation of the Rights Issue Funds

The utilization of the funds as per the objectives stated in the Rights Issue circular is disclosed hereunder:

Rights Issue Proceeds Utilized as at (31 December 2023)								
Objective No.	Objective as per Circular	Amount Allocated as per circular (LKR)	Proposed date of Utilization as per Circular	(A) Amount allocated from Proceeds (LKR)	Percentage of Total proceeds	(B) Amount Utilized (LKR)	(B/A) % utilized against allocation	Clarification, if not fully utilized including where the funds are invested (e.g. whether lent or related party/s etc.)
1	Increasing the Common Equity Tier I Capital and facilitate meeting Minimum Capital Requirement for licensed banks	6,675,214,939.50	Upon allotment	6,000,677,220.80	89.9%	6,000,677,220.80	100%	N/A
2	Strengthen the Capital Adequacy Ratio of the Bank to support the planned business growth	6,675,214,939.50	Upon allotment	6,000,677,220.80	89.9%	6,000,677,220.80	100%	N/A

Having raised capital funds from its Rights Issue in October 2023, the Bank utilised LKR 1,181,337,001 of such proceeds to fund growth in Gross Advances during the period 1 November 2023 to 31 December 2023.

10. RESERVES

The Total Reserves (including Statutory Reserves) as at the end of the financial year was LKR 4,063,123,028 (2022 – LKR 3,012,533,934). The movement of Reserves is indicated under the Statement of Changes in Equity in the Financial Statements on page 242 of the Annual Report.

11. DONATIONS

During the year under review, the Bank made donations amounting to LKR 759,450 (2022 – LKR 799,591).

12. DIRECTORATE

The Board is the highest decision making authority of the Bank and is responsible for leadership and strategic direction, whilst the Management Committee is responsible for daily operations and implementing effective internal controls.

The Board and Management work with mutual trust, respect and understanding of their respective roles, thus bringing a productive and a harmonious environment conducive to effective Corporate Governance. The Board comprises of

eleven Directors, as at 31 December 2023, with the desired Board Balance and consist of eminent professionals in their respective fields with skills and expertise, to constructively deliberate on matters presented to the Board. Collectively they combine expertise in accounting, banking and finance, business and entrepreneurial management, investor and regulatory perspective and law and also bring in independent judgement to bear on matters reserved for the Board.

12.1 Board Process

Based on a schedule of meeting dates agreed at the beginning of the year, the Board meets at least every calendar month in addition to other meetings convened for specific purposes. The Chairman is

responsible for determining the Agenda which is prepared with the assistance of the Company Secretary and circulated with relevant Board Papers via 'Board Pac' to the Directors. Minutes of deliberations and decisions are maintained in sufficient detail.

The Board plays an active role in strategy formulation by providing direction to the Management on the preparation of the Bank's five-year Strategic Plan. This process was further enhanced by Brainstorming Sessions of the Management Committee and its outcome incorporated into the Plan which was then presented to the Board for approval.

12.2 Changes to the Directorate

The Board of Directors of the Bank comprised of eleven Directors as at 31 December 2023 with wide financial and commercial knowledge and experience. The names of the persons who were Directors during the year 2023 are given below as per section 168 (1)(h) of the Companies Act No. 07 of 2007 and the classification of the Directors into Non-Executive, Non-Executive Non-Independent, and Executive Director is mentioned against their names as per the listing rules of the Colombo Stock Exchange and the Banking Act Direction No. 11 of 2007 issued by the Central Bank of Sri Lanka.

Name	Designation/Capacity
Mr. Ali Asghar Akbarally	Chairman, Non-Executive, Non-Independent Director
Mr. Mohamed Azmeer	Managing Director/CEO, (Executive Director)
Mr. Tishan Subasinghe	Non-Executive, Senior Independent Director
Mr. Dilshan Hettiaratchi	Non-Executive, Non-Independent Director
Mr. Aaron Russell-Davison	Non-Executive, Independent Director
Mr. Mohammed Ataur Rahman Chowdhury	Non-Executive, Non-Independent Director
Mr. Syed Muhammed Asim Raza	Non-Executive, Non-Independent Director
Mr. Omar Kassim	Non-Executive, Non-Independent Director
Mr. Mohamed Adamaly	Non-Executive, Non-Independent Director
Mr. Mohammad Hassan	Non-Executive, Non-Independent Director
Mr. Khairul Muzamel Perera Bin Abdullah	Non-Executive, Independent Director

Mr. Rajiv Divedi (Senior Independent Director) retired from the Board having reached the age of 70 years on 11 January 2023 as per the Corporate Governance Directions of the Central Bank of Sri Lanka. Mr. Dilshan Hettiaratchi was re-designated as the Senior Independent Director with effect from 11 January 2023.

In terms of Corporate Governance Direction No 11 of 2007, Section 3 (2)(iv), the Senior Independent Director, Mr. Dilshan Hettiaratchi is deemed Non-Independent due to his being on the board of another entity where one other Director of the Bank is also present. The Board has therefore, taken steps to appoint another Independent Director, Mr. Tishan Subasinghe, as the

Bank's new Senior Independent Director with effect from 1 February 2024, thus complying with the criteria for appointment of Senior Director. Whilst Mr. Dilshan Hettiaratchi will remain on the Board as Non-Executive, Non-Independent Director in accordance with CBSL's Corporate Governance Direction, he continues to qualify as an Independent Director in terms of Corporate Governance Rules set out in Section 9 of the Listing Rules of CSE.

Mr. Mohammad Hassan was appointed to the Board with effect from 18 January 2023 to fill the casual vacancy created by the resignation of Mr. Paul Mercer – Non-Executive, Non-Independent Director and was re-elected by the shareholders at the last Annual General Meeting.

Mr. Khairul Muzamel Perera Bin Abdullah retired from the Board since he did not offer himself to be re-elected at the Annual General Meeting of the Bank held on 30 March 2023. He was subsequently appointed to the Board on 8 June 2023 as a Non-Executive, Independent Director.

Subsequent to the Balance Sheet date, Mr. Aaron Russell-Davison – Non-Executive Independent Director has tendered his resignation with effect from 31 January 2024.

The Bank had made timely disclosures to the Colombo Stock Exchange and obtained the regulatory approvals with regard to the appointments to the Board made during the reporting period, from the Central Bank of Sri Lanka.

12.3 Recommendation for Re-election of Directors Retiring by Rotation or Otherwise

In terms of Article 29(13) of the Articles of Association, Mr. Khairul Muzamel Perera Bin Abdullah who was appointed to the Board subsequent to the last Annual General Meeting, retires and offers himself for re-election.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE BANK

In terms of Article 29(6) of the Articles of Association of the Bank Mr. Ali Asghar Akbarally, Mr. Tishan Subasinghe and Mr. Mohamed Adamaly retires by rotation at the forthcoming Annual General Meeting of the Bank and offer themselves for re-election.

The Board Nomination and Governance Committee and the Board of Directors have pleasure in recommending their re-election.

12.4 Directors' Emoluments

The Directors' remuneration in respect of the Bank for the financial year ended 31 December 2023 is given in Note 13 to the Financial Statements which represents the emoluments paid to Executive and Non-Executive Directors of the Bank.

12.5 Interest Register/Directors' Interest in Contracts

As at 31 December 2023, none of the Directors had interests in contracts with the Bank, other than those disclosed in Note 46 to the Financial Statements.

The Bank has maintained an Interest Register as required by the Companies Act No. 07 of 2007. We wish to confirm that all Directors have made general declarations as required by the Sections 192 (1) and (2) of the Companies Act No. 07 of 2007. This Annual Report contains the particulars of the entries made in the Interest Register in addition to the following in terms of Section 168(1) e of the Companies Act No. 07 of 2007.

Other Directorships

- Name of Director** - Mr. Mohamed Adamaly
- Bogala Graphite Lanka PLC resigned with effect from 8 December 2023
 - Assetline Lands (Pvt) Ltd appointed with effect from 21 March 2022
 - David Peiris Leisure (Pvt) Ltd resigned with effect from 9 May 2023

Business Relationship

Mr. Ali Asghar Akbarally – Chairman and Mr. Dilshan Hettiaratchi – Non-Executive, Non-Independent Director are Directors of Windforce PLC and the transaction entered by the Bank is disclosed on page 183 under Directors' Interest in Contracts. Both the Directors have disclosed their interest in the transaction and refrained in taking part in the discussion and decision.

Relevant Interest in the Shares

Direct Interest - Directors

The Relevant Interest in the shares held directly by the Directors are disclosed below and the interest register has been updated accordingly of the changes that took place during the year.

Indirect Interest – Mr. Ali Asghar Akbarally – Chairman

M/s Quick Tea (Private) Ltd purchased the rights entitlement (3.72%) of Akbar Brothers (Private) Limited in Amāna Bank PLC share capital from the Rights Issue in October 2023 where Mr. Ali Asghar Akbarally is a Director.

12.5 Directors' Investments in Shares

The shareholdings of Directors who held office as at 31 December 2023 were as follows:

Name of Director	Number of Shares Held	Percentage of Shareholding (%)
Mr. Ali Asghar Akbarally	Nil	Nil
Mr. Dilshan Hettiaratchi	Nil	Nil
Mr. Mohamed Azmeer	3,000,000	0.05%
Mr. Aaron Russell-Davison (resigned with effect from 31 January 2024)	Nil	Nil
Mr. Mohammed Aatur Rahman Chowdhury	Nil	Nil
Mr. Syed Muhammed Asim Raza	Nil	Nil
Mr. Khairul Muzamel Perera Bin Abdullah	Nil	Nil
Mr. Tishan Subasinghe	Nil	Nil
Mr. Omar Kassim	Nil	Nil
Mr. Mohamed Adamaly	Nil	Nil
Mr. Mohammad Hassan	Nil	Nil

Mr. Mohamed Azmeer – Managing Director/CEO held 556,478 shares as at 1 January 2023. He was entitled to a Scrip Dividend of 23,650 Ordinary Shares and also subscribed for 2,419,872 Ordinary Shares from the Rights Issue during the period under review. The relevant disclosures to the Board and the Colombo Stock Exchange were made in terms of the Companies Act No. 07 of 2007 and Listing Rules of the Colombo Stock Exchange.

The other Directors did not hold any Ordinary Share as at the beginning of the Financial year.

13. SHARE-BASED PLANS

The Board Human Resources and Remuneration Committee is responsible for reviewing recommendations with respect to issues or grants under the Bank's Employee Share Option plan. The Directors approve issues or grants under the plans only after being satisfied that this is in accordance with the terms of Shareholder approval.

13.1 EMPLOYEE SHARE OPTION SCHEME

The Bank established its first Employee Share Option Scheme (ESOS) in the year 2023 with the approval of the shareholders at the Extraordinary General Meeting held on 30 March 2023. Executive Directors and employees above the Managerial Level 1 including seconded employees and such other employees as determined by the Board would be qualified to participate in the ESOS and such Eligible Employees may be granted ordinary shares in the Bank based on both the individual performance of the relevant employee and the performance of the Bank. The Directors confirm that the Bank will not grant any funding to employees directly or indirectly to exercise share options and purchase any shares under this Scheme.

14. INVESTOR INFORMATION

14.1 Shareholding

There were 9,454 registered shareholders as at 31 December 2023. The following details relating to investor information is given on pages 336 to 339 of the Annual Report.

1. Distribution of Shareholders
2. Resident and Non-Resident Shareholding
3. Individual and Institutional Shareholders
4. Twenty Major Shareholders

14.2 Share Information

Information relating to earnings, dividend, net assets and the market value per share is given in the Financial Highlights on page 44 of the Annual Report.

The Bank has at all times ensured that all shareholders are treated equitably.

14.3 Status of Compliance to the Minimum Public Holding Requirement of the Listing Rules

The number of Ordinary Shares held by the public as at 31 December 2023 is 2,076,224,809 (37.67%) of the issued capital (number of shares) of the Bank.

The minimum public holding requirement as at 31 December 2023 maintained by the Bank in compliance with the Listing Rules is as follows:

Type of Share	Float Adjusted Market Capitalisation (LKR)	Public Holding Percentage	No. of Shareholders representing the Public Holding Percentage	Option
Ordinary Shares	4,775,008,576.78	37.67	9,431	4

14.4 Issue of Shares under the Employee Share Option Plan

During the year under review no employee has exercised their rights to purchase the shares granted under Employee Share Option Plan and the details of the shares granted/vested since the establishment of the scheme in April 2023 is given under Investor Relations found on page 339 of the Annual Report.

15. RELATED PARTY TRANSACTIONS

The Bank's transactions with Related Parties given in Note 46 to the Financial Statements, have complied with the listing Rule 9.14 of the Colombo Stock Exchange and under the Code of Best Practice on Related Party Transactions issued under the Directive of The Securities and Exchange Commission of Sri Lanka.

There were no other non-recurrent Related Party Transactions where the aggregate value exceeds 10% of equity or 5% of total assets of the Bank whichever was lower as at 31 December 2023.

There were no other recurrent Related Party Transactions where the aggregate value exceeds 10% of the gross income of the Bank which requires additional disclosures as per the Listing Rules of the Colombo Stock Exchange.

The Directors declare that they have complied with the provisions of the Code relating to full disclosure of Related Party Transactions entered into during the Financial Year ended 31 December 2023.

16. CONTINGENT LIABILITIES

In the opinion of the Directors who in consultation with the Bank's lawyers have established that litigation currently pending against the Bank will not have a material impact on the reported financial results or the future operations of the Bank. Details of litigation pending against the Bank are given in Note 49 to the Financial Statements.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE BANK

17. STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments due to the Government, other regulatory bodies and related to the employees have been paid on a timely basis.

18. RISK MANAGEMENT

The Bank has an ongoing process in place to identify, evaluate and manage risks that are faced by the Bank. The Board Integrated Risk Management Committee regularly reviews these processes and updates the Board. The Risk Management Framework is detailed in pages 206 to 231 of the Annual Report.

19. ENVIRONMENTAL PROTECTION

To the best knowledge of the Board, the Bank has not engaged in any activity that is harmful or hazardous to the environment. The Directors also confirm that to the best of their knowledge and belief the Bank has complied with the relevant environmental laws and regulations.

20. GOING CONCERN

The Board of Directors has reviewed the Strategic Plan of the Bank and the Budget for the ensuing year and is satisfied that the Bank has adequate resources to continue their operations in the foreseeable future. Accordingly, the Financial Statements of the Bank are prepared on a going concern basis.

21. EVENTS AFTER THE REPORTING DATE

No circumstances have arisen since the reporting date which would require adjustments to, or disclosure in the Financial Statements except for the events disclosed in Note 47 to the Financial Statements.

22. BOARD COMMITTEES

The Board of Directors, while assuming the overall responsibility and accountability for the management oversight of the Bank has also appointed Board Committees to ensure oversight and control over certain functions of the Bank conforming to Directions on Corporate Governance issued by CBSL. The members of the Board Sub-Committees are detailed under Corporate Information of the Annual Report.

The mandatory Committees, established under the Listing Rules of the Colombo Stock Exchange and the Corporate Governance Directions issued to licensed commercial banks by CBSL, have reports included in this Annual Report detailing the composition of membership, their movement, attendance and the activities carried out during the year and their functions.

23. AUDITORS

The Financial Statements for year ended 31 December 2023 have been audited by Messrs Ernst & Young, Chartered Accountants who offer themselves for reappointment. A resolution relating to their reappointment and authorising the Directors to determine their remuneration will be proposed at the Annual General Meeting.

The Auditors Messrs Ernst & Young, Chartered Accountants were paid/provided with LKR 4,545,000 as Audit fees by the Bank. As far as the Directors are aware the Auditors do not have any relationship (other than that of an Auditor and Tax Consultant) with the Bank. The Auditors also do not have any interest in the Bank.

24. ANNUAL GENERAL MEETING/ EXTRAORDINARY GENERAL MEETING

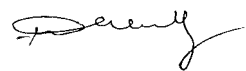
24.1 Annual General Meeting

The Annual General Meeting will be held on Thursday, 28 March 2024 at 3.30 p.m. at the Registered Office, No. 486, Galle Road, Colombo 3, via a digital platform.

24.2 Extraordinary General Meeting

The introduction of new Corporate Governance rules by the Colombo Stock Exchange in October 2023 has necessitated the Board to amend the Articles of Association in order to fall in line with the new Governance Rules relating to Alternate Directors. A separate Circular to Shareholders, Notice of EGM and a form of proxy is enclosed with the Annual Report for this purpose and the EGM will be held immediately after the Annual General Meeting at the Registered Office of the Bank, via a digital platform.

By Order of the Board
AMĀNA BANK PLC



Ali Asghar Akbarally
Chairman



Mohamed Azmeer
Managing Director/CEO



Miss P. S. Watson
Company Secretary

17 February 2024
Colombo

DIRECTORS' INTEREST IN CONTRACTS

Name of Director	Name of Company	Position	Nature of Transaction	Amount 2023 LKR	Amount 2022 LKR
Mr. Ali Asghar Akbarally	Akbar Brothers (Pvt) Limited	Director	Due to Depositors	2,637,650,832	2,751,474,773
Mr. Ali Asghar Akbarally	WindForce PLC	Director	Financing and Receivables to Other Customers	151,117,016	N/A
Mr. Dilshan Hettiaratchi		Director	Due to Depositors	370,625	N/A
			Letters of Credit, Letters of Guarantee, Shipping Guarantees and Other	698,882,984	N/A
Mr. Ali Asghar Akbarally, Chairman of the Bank is also Chairman of Laviyani Holdings (Pvt) Limited, Uthurumaafaru Holdings (Pvt) Limited - Maldives, Cocoon Investments (Pvt) Limited - Maldives and Hermitage Resorts (Pvt) Limited and also a Director of Alumex PLC, AB Lagoon (Pvt) Limited, Akbar Brothers Exports (Pvt) Limited, Falcon Trading (Pvt) Limited, Falcon Development (Pvt) Limited, Chadstone Holdings (Pvt) Limited, Flexi Print (Pvt) Limited, Quick Tea (Pvt) Limited, Land & Building (Pvt) Limited, Stella Plastic India (Pvt) Limited, Renewgen (Pvt) Limited, Kassanfaru One (Pvt) Limited and Joy Resorts (Pvt) Limited.					
Mr. Dilshan Hettiaratchi, a Director of the Bank is also a Director of Asset Trust Management (Pvt) Limited, Faber Capital Lanka (Pvt) Limited, Faber Capital (DIFC) Limited, Southern Gammiris Lanka (Pvt) Limited, Last Mile Delivery (Pvt) Limited, Boda Boda (Pvt) Limited, Premier Solar Group Limited, Premier Solar Lanka (Pvt) Limited, Preserving Land and Nature (Guarantee) Limited and Wealth Lanka Management (Pvt) Limited.					
Mr. Omar Kassim	Nomod Inc	Director	Due to Depositors	49,219	378,860,874
Mr. Omar Kassim, a Director of the Bank is also a Director of Esanjo Ventures Limited					
Mr. Mohamed Azmeer	Better Space Holdings (Pvt) Limited	Director	Due to Depositors	426,482	6,942,228
Mr. Mohamed Azmeer	Better Space Properties (Pvt) Limited	Director	Due to Depositors	9,794	9,468
Mr. Aaron Russell-Davison, a Director of the Bank is also Director of Softlogic Holdings PLC, Softlogic Capital PLC, Korcula Holdings (Pvt) Limited, Ceylon Cinnamon Corporation (Pvt) Limited, Silk Road Partners (Pvt) Limited, Southern Investment Enterprises (Pvt) Limited, Ashari (Pvt) Limited, Rajan (Pvt) Limited, Sherry Lanka (Pvt) Limited, Arran Holdings (Pvt) Limited, Lidsay Lanka (Pvt) Limited, Oceans Edge (Pvt) Limited, Qwant (Pvt) Limited, Sparkle Sands (Pvt) Limited, Madeleine (Pvt) Limited and Shineon (Pvt) Limited.					
Mr. Mohamed Adamaly, a Director of the Bank is also a Director of David Pieris Holding (Pvt) Limited, Synergy Plus (PTE) Limited, Palm Stone (Pvt) Limited, Soul Resorts (Pvt) Limited, Monad (Pvt) Limited, Monad Corporate Services (Pvt) Limited, S A A Lanka (Pvt) Limited, Adamantium Investments (Pvt) Limited, Blue Sky Luxury Apartments (Pvt) Limited, DPMC Assetline Holdings (Pvt) Limited and Assetline Lands (Pvt) Limited.					
Mr. Tishan Subasinghe, the Senior Independent Director of the Bank is also Chairman of Sanasa General Insurance Company Limited and also a Director of Kapruka Holdings PLC, Moore Consulting (Pvt) Limited and also a Partner of Moore Aiyar.					

BOARD AUDIT COMMITTEE REPORT

COMPOSITION

The Board Audit Committee (BAC) conducts its proceedings in accordance with the terms of reference approved by the Board of Directors. The Committee as at the end of the year 2023 comprised of Four (4) Non-Executive Directors, three of them being Independent. The Chairman of the Committee, Mr. Tishan Subasinghe is a Fellow and Council Member of the Institute of Chartered Accountants of Sri Lanka.

Table below shows the list of members of the BAC during the year under review and their attendance at Committee meetings held during the year:

Member	Total Number of Meetings Attended / Total Number of Meetings Eligible to Attend
Mr. Tishan Subasinghe – Chairman (Non-Executive, Senior Independent Director)	7/7
Mr. Mohammed Ataur Rahman Chowdhury (Non-Executive, Non-Independent Director)	7/7
Mr. Aaron Russell-Davison (Non-Executive, Independent Director)	1/7
Mr. Khairul Muzamel Perera Bin Abdullah (Non-Executive, Independent Director) - Appointed w.e.f. 17 June 2023	3/3

Subsequent to the Balance Sheet date, Mr. Aaron Russell-Davison resigned from the Board of Directors with effect from 31 January 2024. The current composition of the Committee is in compliance with related requirements as per the Banking Act Direction No 11 of 2007 and the Listing Rules of the CSE.

The Chief Internal Auditor functions as the Secretary to BAC.

ROLE OF THE BOARD AUDIT COMMITTEE

The Committee assists the Board of Directors in carrying out its responsibilities in relation to financial reporting requirements and assessment of internal controls. The role and responsibilities of the Committee is defined in the Committee’s “Terms of Reference” document. The Committee amongst other functions performs the following key tasks:

- v. Discussing and finalising with the External Auditors the nature and scope of the audit before the commencement of the audit.
 - vi. Ensuring that an Internal Audit Charter and a comprehensive Internal Audit Manual comprising of relevant Guidelines are in place.
 - vii. Reviewing the adequacy of the scope, functions and resources of the Internal Audit Division and ensuring that appropriate actions are taken on the findings and recommendations reported by the Division.
- ## REGULATORY COMPLIANCE
- The role and functions of the BAC are regulated by the Banking Act Direction No. 11 of 2007, the Mandatory Code of Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka, the Best Practices of Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka and Section 7 of the Continuing Listing Rules of the Colombo Stock Exchange.
- ## MEETINGS
- The Committee met seven (7) times during the year under review. The regular attendees on invitation to the BAC meetings are the Managing Director/CEO, Chief Operating Officer and the Chief Financial Officer.
- On the invitation of the Committee, the Engagement Partner of the Bank’s External Auditors, M/s Ernst and Young also attended three (3) meetings held during the year. Further where necessary, Key Management Personnel from pertinent business and support divisions of the Bank were also invited to attend relevant segments of the meetings to enhance the awareness of the Committee with regard to issues and/or developments relating to such divisions.
- i. Reviewing the operations and effectiveness of the Bank’s internal control system to ensure that a good financial reporting system is in place to comply with the Sri Lanka Accounting Standards.
 - ii. Ensuring that the presentation of Financial Statements satisfies all applicable accounting standards as well as the relevant legal and regulatory requirements.
 - iii. Recommending the appointment or reappointment of the External Auditor for audit services in compliance with the relevant statutes.
 - iv. Reviewing and monitoring the External Auditor’s independence and objectivity and the effectiveness of the audit processes in accordance with applicable standards and best practices.

Such invitations were extended to ensure that the Committee is provided with all the relevant information to facilitate the discharge of its role and responsibilities.

FINANCIAL REPORTING

The BAC as part of its responsibility to oversee the Bank's financial reporting process on behalf of the Board of Directors, has reviewed and discussed with the Management, the Annual Financial Statements for the year 2023, prior to release. These Financial Statements have been prepared in line with the Sri Lanka Accounting Standards (SLFRS & LKAS) and are an integral part of the Bank's Annual Report. BAC has also met and reviewed and recommended all quarterly interim financial statements of the Bank for the year 2023 before release of the same to the Colombo Stock Exchange.

Above review by the Committee included the extent of compliance with the Sri Lanka Accounting Standards & the Companies Act No. 07 of 2007.

RISKS AND INTERNAL CONTROLS

The internal controls within the Bank are designed to provide reasonable but not absolute assurance to the Directors and assist them to monitor the financial position of the Bank. During the year, the Committee reviewed the effectiveness of the Bank's internal control system and assessed the effectiveness of the internal controls over financial reporting as of 31 December 2023, as required by the Banking Act Direction No. 11 of 2007, Corporate Governance for Licensed Commercial Banks in Sri Lanka, Subsection 3 (8) (ii) (b), based on the "Guidance for Directors of Banks on the Directors' Statement of Internal Control" issued by the Institute of Chartered Accountants of Sri Lanka.

The result of the assessment is given on pages 172 and 173 of the Annual Report, titled "Directors' Statement on Internal Control over Financial Reporting". The External Auditors have issued an Assurance Report on the "Directors' Statement on Internal Control over Financial Reporting". This report is given on pages 174 and 175 of the Annual Report. Based on its assessment of the Internal Control System, the Committee concluded and confirmed to the Board as of 31 December 2023 that the Bank's Internal Control over financial reporting is effective.

EXTERNAL AUDIT

The BAC reviewed and monitored the independence of the External Auditors and the objectivity as well as the effectiveness of the External Audit process and having satisfied itself of the same, assisted the Board with its recommendations to the shareholders on re-appointment of M/s Ernst & Young, Chartered Accountants as external auditors for the financial year ended 31 December 2023. The role played by the BAC with regard to the External Audit and also to ensure the independence of External Auditors is as follows:

- ✦ Reviewing the existing non-audit services provided by the External Auditors and also approving any new services to the external auditors by ensuring that such functions do not fall within the restricted services which will impair the External Auditors' independence and objectivity. These exercises are performed by the BAC in line with the Bank's policy on engaging the External Auditor for non-audit services.
- ✦ BAC met the External Auditors Two (2) times during the year without the presence of the executive management to ensure that there was no limitation of scope in relation to the Audit and any other related incidents which could have had a negative impact on the effectiveness of the external audit, and concluded that there was no cause for concern.
- ✦ BAC reviewed the results of the external audit for the year 2023 as presented by the external auditors and also the performance of the external auditors against the agreed terms of engagement.
- ✦ Moreover, the Committee also reviewed the External Auditor's Management Letter – 2022 and the management's responses thereto.
- ✦ Monitoring and evaluating the independence, objectivity and effectiveness of the External Audit at the planning, execution, completion and reporting phases of the External Audit Assignment.
- ✦ BAC discussed the approach and procedures followed by the External Auditors, including matters relating to the audit plan, key risk areas, scope and the methodology proposed to be adopted in conducting the audit, prior to commencement of the annual audit.
- ✦ Discussion of the time frame allocated for the External Audit and approving the remuneration and other terms of engagement of the External Auditors.

BOARD AUDIT COMMITTEE REPORT

INTERNAL AUDIT

Internal Audit Division (IAD) conducted planned audit assignments at the Bank's Branches, Head office Departments/Process, Information Systems and related processes based on the risk based Internal Audit Plan approved by the BAC for the year 2023. IAD also performed other reviews such as adhoc reviews & investigations based on the requirements from BAC, Management or based on need. Internal Audit reports are tabled at the BAC meetings and directions of the BAC are effectively communicated to the Auditees including on follow-up of unresolved audit findings. The progress of the Internal Audit assignments were measured against the approved Internal Audit Plan for 2023 and presented to the BAC on a quarterly basis. All such functions of IAD are performed in line with the Board approved Internal Audit Charter.

During the year, the BAC reviewed the independence, objectivity and performance of the Internal Audit Function. This review also included the findings from the Internal Audits completed and IAD's evaluation of the Bank's internal controls. The Committee also reviewed the scope and adequacy of Internal Audit coverage through the Internal Audit Plan and approved the same. It also assessed the IAD's resource requirements.

During the year 2023, IAD commenced a project on continuous monitoring of selected system based controls by leveraging the Audit Analytical solution used by IAD. Such continuous monitoring will be facilitated by generating automated alerts to respective process owners if and when there exceptions to the selected system based controls. Automated alerts as part of this project for the first batch of system controls are expected to be made live during the first quarter of year 2024.

PROFESSIONAL ADVICE

The Committee has the authority to seek external professional advice on matters within its purview.

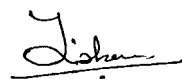
WHISTLE BLOWING

An internal Whistle Blowing scheme is in place for all staff members to raise any concerns and expose any suspected wrongdoings and provides a process for resolving such wrongdoings without any fear of reprisal or adverse consequences to those associated in disclosure thereof. The Committee has put in place a process to continuously review and investigate the complaints received via this scheme and appropriate directions are provided by the Committee where applicable in relation to the conclusions arrived at, based on such investigations.

The Bank's Whistle Blowing process has provision for the anonymity of the Whistle Blower and ensures the confidentiality of the subject-matter. Further, where-possible two-way communication with the whistle blower is made in instances where the Whistle Blower has chosen to disclose his/her identity.

COMMITTEE EVALUATION

BAC to the best of its knowledge, effectively discharged its duties in relation to Financial Reporting, External Audit, Internal Audit and other responsibilities entrusted to the BAC from various rules & regulations for the year 2023. The annual evaluation of the BAC was carried out by the members of the Board of Directors who are not part of the BAC and the Committee has taken note of the feedback received.



Tishan Subasinghe
Chairman – Board Audit Committee

17 February 2024
Colombo

BOARD INTEGRATED RISK MANAGEMENT COMMITTEE REPORT

COMPOSITION OF THE COMMITTEE

The Board Integrated Risk Management Committee (BIRMC) comprising of members listed below conducts its proceedings in accordance with the Terms of Reference approved by the Board of Directors. The Committee was formed by the Board on 30 May 2011 and the Chairman Mr. Aaron Russell-Davison resigned w. e. f. 31 January 2023 and succeeded by Mr. Khairul Muzamel Perera Bin Abdullah.

The Committee met four times during the year 2023 and the attendance is as follows:

Member	Participated / Eligibility
Mr. Aaron Russell-Davison (Chairman) (Non-Executive, Independent Director)	3/4
Mr. Mohammed Aatur Rahman Chowdhury (Non-Executive, Non-Independent Director)	4/4
Mr. Tishan Subasinghe (Non-Executive, Senior Independent Director)	4/4
Mr. Khairul Muzamel Perera Bin Abdullah (Non-Executive, Independent Director) Retired on 30 March 2023 and reappointed to the Board on 6 June 2023 as a Non-Executive, Independent Director and to the BIRMC on 17 June 2023.	3/3
Mr. Mohamed Azmeer (Managing Director/CEO)	3/4
Mr. M. M. S. Quvylidh (Chief Risk Officer)	4/4

Manager – Integrated Risk Management functions as the Secretary to BIRMC.

REGULATORY COMPLIANCE

The BIRMC was established by the Board of Directors, in compliance with Section 3 (6) of Direction No. 11 of 2007, on Corporate Governance for Licensed Commercial Banks in Sri Lanka, issued by the Monetary Board of the Central Bank of Sri Lanka (CBSL) under powers vested in the Monetary Board, in terms of the Banking Act No. 30 of 1988 as amended.

MEETINGS

The Chief Operating Officer, Head of Risk Middle Office and Chief Financial Officer attended BIRMC meetings by invitation. Key Management Personnel from relevant business and support departments of the Bank including the Chief Compliance Officer (CCO) and Chief Information Officer

(CIO) were also invited to attend segments of the meetings to articulate and clarify matters relating to their respective areas. Such invitations were extended to ensure that the BIRMC is provided with all relevant information to facilitate discharge of its roles and responsibilities. A report from the BIRMC Chairman along with the confirmed BIRMC meeting minutes is forwarded to the Board of Directors for perusal.

ROLES AND RESPONSIBILITIES OF THE BIRMC

The BIRMC is primarily responsible for the effective functioning of the risk management function within the Bank. The BIRMC has the authority to request diverse information from various sources, in order to effectively carry out its responsibilities on the risk

management process of the Bank. The committee oversees and controls integrated planning and monitoring of the risk profile and capital adequacy, providing an alignment of risk appetite and capital requirements. Its main responsibilities include:

- Ensure that the Bank has comprehensive risk management policies and framework and appropriate compliance policies and processes are in place and to continuously monitor their effectiveness so as to inculcate a proactive risk management culture within the Bank.
- Review and recommend the risk appetite/ tolerance for the Bank at all levels of business, to the Board for adoption.
- Assess and oversee risks, i.e. credit, market, liquidity, operational and strategic risks to the Bank, on a monthly basis through appropriate risk indicators and management information.
- Review the independence and robustness of risk management processes and internal controls throughout the Bank, with a view to manage the Bank's key risk controls and mitigation processes.
- Oversee management level committees managing risk, such as Executive Risk Management Committee (ERMC), Executive Credit Committee 1 (ECC 1) and the Asset and Liability Committee (ALCO).
- Ensure that there are clear and independent reporting lines and responsibilities for risk management functions.
- Apprise the Board on the proper management of risk, specifically relating to Capital, Market, Credit and Operational risks and seeking the Board's endorsement on any strategic decisions taken relating to such risks.

BOARD INTEGRATED RISK MANAGEMENT COMMITTEE REPORT

- viii. Take prompt corrective action to mitigate the effects of specific risks, in case such risks are at levels beyond prudent levels decided by the Committee, on the basis of the Bank's policies and regulatory and supervisory requirements.
- ix. Take appropriate actions against officers responsible for failure to identify specific risks and take prompt corrective actions as recommended by the Committee, and/or as directed by the regulator.
- x. Submit an update on key matters discussed and resolved at the BIRMC, to the upcoming Board meeting, prior to the issuance of the BIRMC minutes.
- xi. Establish a compliance function to assess the Bank's compliance with laws, regulatory guidelines, other statutes, internal controls and approved policies on all areas of business operations. A dedicated Compliance Officer selected from the Key Management Personnel shall carry out the compliance function and report to the Committee periodically.

The BIRMC has the authority to seek external professional advice on matters within its purview.

RISK MANAGEMENT AND INTERNAL CONTROLS

Risk management controls are implemented across the Bank to provide reasonable assurance to the Board and Senior Management that, effective mitigation action plans are implemented to address all risk exposures. During the year, BIRMC has reviewed and assessed the effectiveness of the Bank's risk management controls for the financial year ended 31 December 2023. In pursuit of managing its risk profile, the Bank has further strengthened the Risk Management Department (RMD) with the objective of effectively managing the core functions of risk management: credit, market, liquidity and operational risks.

The Risk management functions cover comprehensive aspects of risk management and it is to provide an enhanced focus on holistic risk management and cross-risk oversight to further enhance our risk culture and the risk profile.

BIRMC has emphasized the importance of strengthening self-assessment on regulatory aspects and provided a clear direction which is being strictly adhered to.

COMMITTEE EVALUATION

The stress test analysis carried out by the Risk Management division on the bank portfolio with economic crisis was reviewed by the committee as it was imperative to understand the purpose of the analysis. The Committee evaluated the stress testing assessment of the impact due to the economic challenges and the same was detailed in the ICAAP prepared in 2023.

BIRMC reviewed the comprehensive Internal Capital Adequacy Assessment Process (ICAAP) prepared in 2023. All the assessments were articulated and the committee noted that all risks were identified and addressed for the capital allocation requirement. It was also noted that the additional emphasis has been given on stress testing and the scenarios based on the severity were considered for the analysis considering the prevailing extraordinary circumstances. It was brought to the attention of the committee that the CAR even at the worst case scenarios are well above the required level.

BIRMC reviewed the Recovery Plan (RCP) prepared by the Risk Division which enables the bank to identify the full range of recovery options available to a bank to deal with shocks to capital, liquidity and all other aspects that may arise from institution-specific stresses, market-wide stresses, or a combination of both.

RMD has carried out Risk Control and Self-Assessment (RCSA) in the critical business units for identifying, assessing, mitigating, monitoring and reporting of operational risks. It is our aim to continue to strengthen the RCSA process.

The Committee also evaluated the continuity of the Bank's operations during the fuel crisis and appreciated the efforts of the Management to continue critical operations in an uninterrupted manner. It was well noted that the Bank had taken necessary measures in terms of preparedness of the Bank's key operations and its staff to overcome unprecedented challenges that were experienced during the year under review, which helped all critical functions to be adequately provided and managed effectively.

Risk Management Department has successfully conducted a Business Continuity Plan (BCP) drill with a negligible number of issues with the new scenarios being included. The BCP/DR (Disaster Recovery) test results were validated by the Internal Audit Department and submitted to the Board Audit Committee. BCP/DR test results were recommended by the BIRMC and approved by the Board of Directors and submitted to CBSL.

BIRMC has also reviewed many policies during the year 2023 and recommended same for onward submission to Board of Directors for approval. It also reviewed the Directions announced by CBSL which required relevant policies to be amended with immediate effect, and forwarded such policies to Board of Directors with its recommendation.

The committee reviewed cyber security risk through the presentation which detailed recent cyber security incidents around the industry in 2023. The TOR of Information

Technology & Security Committee as required by the regulation/direction on Regulatory Framework on Technology Risk Management & resilience for licenced commercial Bank was endorsed by the BIRMC and approved by the Board. This committee shall be reporting to BIRMC.

BIRMC evaluated its management committees under its purview and ensured that they are functioning adequately and effectively according to their Terms of Reference.

The Bank continued to grow its balance sheet despite the overall slowdown in economic activities. The Bank managed the overall risk profile successfully to ensure that the Bank maintains its stability, whilst achieving a sustained level of portfolio growth and income generation which are key ingredients in increasing stakeholder value.

The Board and the BIRMC are satisfied with the effective risk management strategies implemented by the Bank, under its Integrated Risk Management Framework (IRMF).

The Bank shall continue to review, monitor and proactively address potential risks identified in all its operations and implement appropriate mitigation strategies, to remain in a steady growth and expansion phase. The Bank shall also continue to function within its approved risk appetite as well as comply with BASEL regulations in line with the CBSL requirements of effective risk management practices.



Khairul Muzamel Perera Bin Abdullah

*Chairman - Board Integrated Risk
Management Committee*

17 February 2024

BOARD HUMAN RESOURCES AND REMUNERATION COMMITTEE REPORT

The Board Human Resources and Remuneration Committee (BHRRC) comprises of the following members during the year under review:

1. Mr. Ali Asghar Akbarally – Chairman (Non-Executive, Non-Independent Director)
2. Mr. Tishan Subasinghe – Member (Non-Executive, Senior Independent Director)
3. Mr. Dilshan Hettiaratchi – Member (Non-Executive, Non-Independent Director)
4. Mr. Aaron Russell-Davison – Member (Non-Executive, Independent Director)
5. Mr. Mohammed Aatur Rahman Chowdhury- Member (Non-Executive, Non-Independent Director)

All five (5) Directors in the Committee are Non-Executive Directors with two (2) being Independent Directors.

Mr. Mohamed Azmeer, Managing Director/ CEO, is an invitee and attends BHRRC meetings regularly.

With the amendments to the Listing Rules relating to Corporate Governance in October 2023, Mr. Ali Asghar Akbarally stepped down from the position as the Chairman of the Committee and the Board appointed Mr. Tishan Subasinghe – Non-Executive, Senior Independent Director as Chairman of the Committee with effect from 1 January 2024.

Subsequent to the Balance Sheet date, Mr. Aaron Russell-Davison – Non-Executive, Independent Director tendered his resignation from the Board and to fill the resultant vacancy created in the Committee, the Board appointed Mr. Khairul Muzamel Perera Bin Abdullah – Non-Executive, Independent Director to the Committee with effect from 1 February 2024.

REMUNERATION POLICY, AUTHORITY AND RESPONSIBILITIES

The Compensation Policy of the Bank is formulated to attract and retain high calibre employees at all levels by providing a compensation package which is very competitive in the industry and are compliant with the laws and regulations applicable in the Country. The objective of the policy is to ensure that the Executive Directors, KMPs and staff at all levels are properly incentivised and motivated to perform for the best interest of the Bank. In line with this policy the staff benefits policy which comprise of combination of performance-related and non-performance related remuneration is periodically reviewed by the Committee.

The BHRRC has the explicit authority to decide on and review the Bank's Human Resources and Remuneration Policy and Structure within its Terms of Reference on behalf of the Board of Directors. It may however, refer any matter which in the opinion of BHRRC should be decided by the Board of Directors together with its recommendations.

In discharging its duties and functions the BHRRC has all the resources it needs to do so and full and unrestricted access to information and the right to obtain external professional advice and invite outsiders with relevant experience to attend meetings if necessary.

The Roles and Responsibilities of the Committee include:

- (i) Approving the periodic review of Human Resource Policies and Procedures based on Management's recommendation.

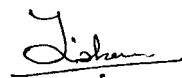
- (ii) Approval of Remuneration.
 - a. Directors' emoluments
 - b. Annual salary and bonus based on performance evaluations
 - c. Incentives, allowances and other perquisites
- (iii) Evaluating the performance of the CEO and Key Management Personnel against the set targets and determine the basis for revising remuneration, benefits and other payments of performance-based incentives.

The aggregate remuneration of the Executive and Non-Executive Directors is disclosed in Note 46 to the Financial Statement of Accounts on pages 303 to 305 of the Annual Report.

MEETINGS

Meetings are held as and when necessary after providing sufficient notice to all members. There were 2 BHRRC meetings held in the year 2023.

With the objective of rewarding the committed leadership of the Bank, BHRRC approved the allocation of the 1st tranche of shares under the new Employee Share Option Scheme (ESOP) to the senior management staff members in 2023. The proposal is in line with Bank's Performance Based Rewards Strategy and facilitating the next growth phase.



Tishan Subasinghe
Chairman-Board Human Resources and Remuneration Committee

17 February 2024
Colombo

BOARD NOMINATION AND GOVERNANCE COMMITTEE REPORT

With the widening of the scope of the Board Nomination Committee to include the Governance function in terms of 9.11.5 of the Listing Rules of the Colombo Stock Exchange and to keep in line with the Listing Rule requirements the Board decided to change the name of the Committee to Board Nomination and Governance Committee (BNAGC) with effect from 28 October 2023.

The Committee is currently reviewing its Terms of Reference and other related policies to ensure that it complies with the Listing Rules requirements which will come into effect from 1 October 2024.

COMPOSITION OF THE COMMITTEE

Amāna Bank's Board Nomination and Governance Committee constitutes of (5) Non-Executive Directors. The members of the Committee and their attendance at the Committee Meetings as at 31 December 2023 were as follows:

Name of Member	Position	Date of Appointment to the Committee	Attendance Participated/ Eligibility
Mr. Dilshan Hettiaratchi (Non-Executive, Non-Independent Director)	Chairman	25.06.2016	1/2
Mr. Ali Asghar Akbarally (Non-Executive, Non-Independent Director)	Member	15.08.2020	2/2
Mr. Aaron Russell-Davison (Non-Executive, Independent Director)	Member	12.01.2023	2/2
Mr. Mohammed Ataur Rahman Chowdhury (Non-Executive, Non-Independent Director)	Member	20.04.2019	1/2
Mr. Tishan Subasinghe (Non-Executive, Senior Independent Director)	Member	26.08.2020	2/2

During the year under review, Mr. Rajiv Dvivedi retired on 11 January 2023 from the Board and the resultant vacancy created in the BNAGC was filled by the appointment of Mr. Aaron Russell-Davison – Non-Executive, Independent Director to the Committee.

Subsequent to the Balance Sheet date, Mr. Aaron Russell-Davison has tendered his resignation from the Board of Directors with effect from 31 January 2024 and the vacancy created in the BNAGC was filled in by the appointment of Mr. Khairul Muzamel Perera Bin Abdullah – Non-Executive, Independent Director to the Committee with effect from 1 February 2024.

The brief profiles of the Members of the Committee and their other directorships are given on pages 10 to 19 in the Annual Report. The Company Secretary functions as the Secretary of the Committee.

AUTHORITY OF THE COMMITTEE

The Committee has the authority to discuss issues under its purview and provide the Board with recommendations, enabling the Board to take a final decision on the matter.

The Members of the Committee have the authority to express their views when making decisions.

The Committee reviews the structure, size, composition and competencies of the Board and makes recommendations to the Board with regard to any changes.

The Committee recommends to the Board on insurance covers to be taken in respect of all Directors and KMP including indemnity insurance covers.

If a need arises, the Committee has the authority to hire professionals from outside in the capacity of consultants for advice on specific issues.

Bank staff may be present at Committee meetings as required based on the committee's invitation.

RESPONSIBILITIES OF THE COMMITTEE

According to the Terms of Reference (TOR) given by the Board to the BNAGC, the following are its key responsibilities:

- Establishing a procedure to select/ appoint new Directors, Chief Executive Officer (CEO) and Key Management Personnel (KMP).
- Considering and recommending the re-election of current Directors, taking into account the performance and contribution made by the Director concerned towards the overall discharge of the Board's responsibilities.
- Setting the criteria such as qualifications, experience and key attributes required for eligibility to be considered for appointment or promotion to the post of CEO and the key management positions.
- Evaluate with the assistance of the HR function of the Bank that the Directors, CEO and KMP are fit and proper persons to hold office as specified and set out in the Banking Act and other relevant Statutes and in terms of the Directions issued by the Central Bank of Sri Lanka (CBSL) from time to time.

BOARD NOMINATION AND GOVERNANCE COMMITTEE REPORT

- (v) Considering and recommending from time to time, the requirements of additional/new expertise and the succession arrangements for retiring Directors and KMP.

The Quorum necessary for transaction of business is three Members.

The Board contains the required diversity with regard to composition, with expertise in banking, finance, legal, credit, investments and other diversified fields that enhance effective contribution to the overall Board performance.

Currently we do not have female Board members but we are working towards Board diversity.

FREQUENCY OF MEETINGS

The Committee is required to meet as and when necessary and at least twice during a financial year. There were two meetings held during the financial year and the attendance of the members is given under the Composition of the Committee.

REGULAR ATTENDEES BY INVITATION

Mr. Mohamed Azmeer (Managing Director/ CEO) attends BNAGC Meetings regularly.

PERFORMANCE DURING THE YEAR

During the year 2023, the BNAGC held two meetings. As mandated under the Corporate Governance Direction issued by the Central Bank of Sri Lanka, the Committee also considered the appointment of Directors and the reappointment of Directors who retire by rotation in terms of the Articles of Association of the Bank.

In terms of Article 29(6) of the Articles of Association of the Bank one-third of the Directors on the Board should retire by rotation. The BNAGC recommends to the re-election of the following Directors, who are coming up for re-election at the forthcoming Annual General Meeting.

	Name of Director	Date of last re-election to the Board	Directorships held: current and preceding 3 years in listed companies	Close Family Member
1	Mr. Ali Asghar Akbarally – Chairman/Non-Executive Director	2021 AGM	Alumex PLC Windforce PLC	Family relationship with Mr. Mohamed Adamaly
2	Mr. Mohamed Adamaly – Non-Executive Director	2021 AGM	Bogala Graphite Lanka PLC	Family Relationship with Mr. Ali Asghar Akbarally
3	Mr. Tishan Subasinghe – Non-Executive, Senior Independent Director	2021 AGM	Kapruka Holdings PLC	None

The details of the Board Sub-committee membership of the above Directors and the date of their first appointment to the Board is mentioned in pages 10 to 19 of the Annual Report. Further, Mr. Ali Asghar Akbarally has been nominated to the Board by M/s Akbar Brothers (Private) Limited and Mr. Mohamed Adamaly has been nominated to the Board by Millennium Capital Investments Pte Ltd, Singapore and AB Bank Limited, Bangladesh.

In addition, the continuing Directors’ affidavits were reviewed and recommended to the Board for consideration and submission to the Central Bank of Sri Lanka for approval.

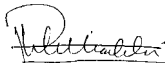
The BNC is actively involved in the selection and appointment/promotions of KMPs to ensure that they are fit and proper persons to hold their offices.

The Induction programmes for the newly appointed directors is a documented process where the related documents on corporate governance, listing rules, policies, financials, and other applicable regulatory documents are shared with the newly appointed Director.

The Bank has obtained individual declarations from the Independent Non-Executive Directors of the Bank, confirming that they meet the criteria for independence as per the CSE and CBSL regulations.

The Bank meets the requirements of the existing and new corporate governance rules which are applicable up to 31 December 2023.

The Chief Compliance Officer, on regular basis updates the Board on the recent regulation and developments relevant to the Banking Industry and a presentation on the new Corporate Governance rules applicable for Listed Entities was made to the Board in October 2023, whilst the Chief Information Officer presents annually the Regulatory Framework on Technology Risk Management and Resilience.



Dilshan Hettiaratchi
Chairman - Board Nomination and Governance Committee Report
17 February 2024
Colombo

BOARD RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

COMPOSITION OF THE BOARD RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

The Board Related Party Transaction Review Committee ("the Committee") was formed as a Board Sub-Committee with effect from 28 March 2016 in terms of the Code of Best Practice on Related Party Transactions issued by the Securities & Exchange Commission of Sri Lanka and Section 9.14 of the Listing Rules of the Colombo Stock Exchange (CSE).

During the year under review the Committee comprised of the following Directors, which is in conformity with Section 9.14.2 of the Listing Rules of the CSE:

- ✦ Mr. Tishan Subasinghe – Chairman (Non-Executive, Senior Independent Director)
- ✦ Mr. Dilshan Hettiaratchi – Member (Non-Executive, Non-Independent Director)
- ✦ Mr. Aaron Russell-Davison – Member (Non-Executive, Independent Director)
- ✦ Mr. Mohamed Azmeer – Member (Managing Director/Chief Executive Officer)

During the year under review the Board appointed Mr. Mohamed Azmeer – Managing Director/Chief Executive Officer to the Committee with effect from 11 January 2023, to fill in the vacancy created by the retirement of Mr. Rajiv Nandlal Divedi – Senior Independent Director.

Subsequent to the Balance Sheet date, Mr. Aaron Russell-Davison resigned from the Board of Directors with effect from 31 January 2024. The current composition of the Committee is in compliance with the Listing Rules of the CSE.

The profiles of the members of the Committee as at 31 December 2023 are given on pages 10 to 19.

REGULAR ATTENDEES BY INVITATION

Mr. M. Ali Wahid (Chief Financial Officer) attends the Committee meetings regularly by invitation. In addition, the Committee summons other Management officials to participate in proceedings on a need basis.

MEETINGS

The Committee meets quarterly as stipulated by the regulations. During 2023, the Committee held four meetings. The attendance of the members is given below.

Member	Participated/Eligibility
Mr. Tishan Subasinghe	4/4
Mr. Dilshan Hettiaratchi	4/4
Mr. Aaron Russell-Davison	3/4
Mr. Mohamed Azmeer	2/4
Mr. M. Ali Wahid (By Invitation)	4/4

The Company Secretary functions as the Secretary to the Committee.

TERMS OF REFERENCE AND SCOPE OF OPERATIONS

The Committee operates in accordance with the Terms of Reference on monitoring Related Party Transactions regulated by the Listing Rules of the CSE. A Separate process is in place to identify Central Bank requirements in respect of Related Party Transactions.

The Committee determines that no Related Party has received any favourable nor preferential considerations vis-à-vis the other shareholders and customers of the Bank as well as it ascertains that their transactions and dealings are in strict conformity with Statutory and Regulatory requirements, which the Bank is obliged to adhere to.

The Terms of Reference of the Committee was amended in January 2023 to include in its Composition the Managing Director/ CEO which is in line with Rule 9.14.2 of the Listing

Rules of the CSE permitting a listed entity to include Executive Directors to be co-opted into the Committee.

In discharging the obligations arising out of the Terms of Reference, the Committee adheres to the Bank's Policy and Procedures on Related Party Transactions when reviewing such transactions.

The Mandate of the Committee includes the following:

- ✦ Developing, updating and recommending for adoption by the Board of Directors of the Bank, a Related Party Transactions Policy consistent with that proposed by the SEC.
- ✦ Updating the Board of Directors on Related Party Transactions reviewed by the committee on a quarterly basis.

BOARD RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

- ♦ Advising the Board in making immediate market disclosures on applicable Related Party Transactions as required by Section 9.14 of the Continuing Listing Requirements of the CSE.

METHODOLOGY ADOPTED BY THE COMMITTEE

The Committee relies on the integrity of periodically reportable Related Party Transactions of Board Members, Key Management Personnel and other relevant individuals and entities based on the following:

- ♦ Confirmations from Business Heads on transactions entered into with Related Parties during each quarter.
- ♦ Analysis of terms to ensure that transactions have been at arm's length and no favourable treatment has been offered to the Related Party.

In addition, a declaration is obtained from the Directors at the time of appointment to the Board by the Company Secretary and thereafter a bi-annual declaration is obtained from the Board of Directors and Key Management Personnel of the details of the related parties, board members and Close family members Directorships and shareholdings in other companies.

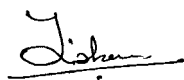
Such declarations are used to flag a mandatory reference field (National Identity Card or Passport Number for individuals and Company Registration Number for companies) in the core-banking system, which in turn is synchronised with the Bank's AML/KYC system. Through this process all transactions that take place within the Bank's physical network or digital platforms are automatically tracked and captured

for Related Party reporting purposes. By adopting this system, the committee receives assurance that any potential inherent limitations that may arise from not being able to identify related party transactions are effectively addressed.

The Related Party Transactions during the year were reviewed by the Committee and relevant observations were communicated to the Board of Directors. The Committee is currently reviewing the RPT policy to ensure that it is in line with the new Governance Rules of the CSE.

REPORTING TO THE BOARD

The Minutes of the Committee Meetings are tabled at the immediately following Board Meeting enabling all Board Members to have access to same.



Tishan Subasinghe

*Chairman-Board Related Party Transactions
Review Committee*

17 February 2024
Colombo

STATEMENT OF DIRECTORS' RESPONSIBILITY

The responsibility of the Directors, in relation to the Financial Statements of Amāna Bank PLC (Bank) is set out in this Statement. The responsibilities of the External Auditors in relation to the Financial Statements are set out in the Auditors' Report given on pages 234 to 237. In terms of Sections 150, 151 and 153 of the Companies Act No. 07 of 2007, the Directors of the Bank are responsible for ensuring that the Bank keeps proper books of account of all the transactions and prepare Financial Statements that give a true and fair view of the financial position of the Bank as at end of each financial year and of the financial performance of the Bank for each year and place them before a general meeting. The Financial Statements comprise of the Statement of Financial Position as at 31 December 2023, Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows for the year then ended and Notes thereto.

Accordingly, the Directors confirm that the Financial Statements of the Bank give a true and fair view of:

- (a) the financial position of the Bank as at reporting date; and
- (b) the financial performance of the Bank for the financial year ended on the reporting date.

The Financial Statements of the Bank have been certified by the Bank's Chief Financial Officer, the officer responsible for their preparation, as required by the Sections 150 and 152 of the Companies Act and the Chief Executive Officer.

In addition, the Financial Statements of the Bank have been signed by two Directors of the Bank on 17 February 2024 as required by the Sections 150 and 152 of the Companies Act. Under the Section 148

of the Companies Act, the Directors are also responsible for ensuring that proper accounting records which correctly record and explain the Bank's transactions are maintained and that the Bank's financial position, with reasonable accuracy, at any point of time is determined by the Bank, enabling preparation of the Financial Statements, in accordance with the Act to facilitate proper audit of the Financial Statements.

The Financial Statements for the year 2023, prepared and presented in this Annual Report have been prepared based on new Sri Lanka Accounting Standards which came to effect from 1 January 2012 and are in agreement with the underlying books of accounts conforming with the requirements of the Sri Lanka Accounting Standards, Companies Act No. 07 of 2007, Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995, Banking Act No. 30 of 1988 and amendments thereto and the Directions on Corporate Governance No. 11 of 2007 and amendments thereto issued by the Central Bank of Sri Lanka.

In addition, these financial statements comply with the prescribed format issued by the Central Bank of Sri Lanka for the preparation of Annual Financial Statements of licensed commercial banks. The Directors have taken appropriate steps to ensure that the Bank maintains proper books of accounts and review the financial reporting system directly by them at their regular meetings and also through the Board Audit Committee. The Report of the said Committee is given on pages 184 to 186.

The Board of Directors accepts responsibility for the integrity and objectivity of the Financial Statements presented in this Annual Report. The Directors confirm that in preparing the Financial Statements exhibited on pages 238 to 307 including appropriate

Accounting Policies based on the new financial reporting framework, had been selected and applied in a consistent manner, while reasonable and prudent judgements have been made so that the form and substance of the transactions are properly reflected.

The Directors also have taken reasonable measures to safeguard the assets of the Bank and to prevent and detect frauds and other irregularities. In this regard, the Directors have instituted an effective and comprehensive system of internal controls comprising of internal checks, internal audit and financial and other controls required to carry on the business of banking in an orderly manner and safeguard its assets and secure as far as practicable, the accuracy and reliability of the records. The Directors' Statement on Internal Control over Financial Reporting is given on pages 172 and 173 of this Annual Report. The Board of Directors also wishes to confirm that, as required by the Sections 166 (1) and 167 (1) of the Companies Act, they have prepared this Annual Report in time and ensured that a copy thereof is sent to every shareholder of the Bank, who have expressed desire to receive a hard copy or to other shareholders who can access the Annual Report through the Bank's website. The Directors also wish to confirm that all shareholders have been treated equally in accordance with the original terms of issue.

The Bank's External Auditors, Messrs Ernst & Young who were appointed in terms of the Section 158 of the Companies Act and in accordance with a resolution passed at the last Annual General Meeting, were provided with every opportunity to undertake the inspections they considered appropriate. They carried out reviews and sample checks on the system of internal controls as they considered appropriate and necessary for expressing their opinion on the Financial Statements and maintaining accounting records.

STATEMENT OF DIRECTORS' RESPONSIBILITY

They have examined the Financial Statements made available to them by the Board of Directors of the Bank together with all the financial records, related data and minutes of shareholders' and Directors' meetings and expressed their opinion which appears as reported by them on pages 234 to 237.

COMPLIANCE REPORT

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Bank, all contribution, levies and taxes payable on behalf of and in respect of the employees of the Bank, and all other known statutory dues as were due and payable by the Bank as at the reporting date have been paid or, where relevant, provided for. The Directors further confirm that after considering the financial position, operating conditions, regulatory and other factors and relevant matters the Directors have a reasonable expectation that the Bank possesses adequate resources to continue in operation for the foreseeable future. For this reason, the Directors continue to adopt the Going Concern basis in preparing the Financial Statements.

The Directors are of the view that they have discharged their responsibilities as set out in this Statement.

By Order of the Board,
AMĀNA BANK PLC



Miss P. S. Watson
Company Secretary

17 February 2024
Colombo

INDEPENDENT SHARIA SUPERVISORY COUNCIL REPORT

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

الحمد لله رب العالمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

In adherence to our role as the Sharia Supervisory Council (SSC), we present the following report on the Bank's operations for the financial year ended 31 December 2023.

The Board of Directors and Management hold the primary responsibility for upholding Sharia rules and principles within the Bank's operations. Our duty involves an impartial assessment, achieved through five (5) meticulously conducted meetings throughout the financial year.

These meetings focused on scrutinizing various contracts associated with the Bank's transactions and applications, as well as a detailed examination of transaction types, relevant documentation, and the Bank's procedural protocols.

The objective of the review was to gather pertinent information and explanations, ensuring reasonable confidence that the Bank adhered to Sharia rules without violation. Based on our assessment:

1. **Contracts and Transactions:** The contracts, transactions, and dealings conducted by the Bank throughout the financial year align with Sharia rules and principles.
2. **Profit Allocation and Loss Handling:** The Bank's handling of profit allocation and losses related to Investment Accounts adheres to the criteria previously authorized by us, in accordance with Sharia rules and principles.
3. **Charitable Allocation:** Earnings obtained from impermissible sources were directed towards charitable purposes following our approval, aligning with Sharia guidelines.

In conclusion, the Bank has demonstrated a commitment to Sharia compliance in its financial operations during the specified period.

وعليكم السلام ورحمة الله وبركاته

Allah Knows Best.



Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani

Chairman



Ash-Sheikh Mohd. Nazri Chik

Vice-Chairman



Ash-Sheikh Mufti M.I.M. Rizwe

Member



Ash-Sheikh Mufti Muhammad Hassaan Kaleem

Member



Mr. Osman Kassim

Member

ස්වාධීන ශරියා අධීක්ෂණ සභා වාර්තාව

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

الحمد لله رب العالمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

ස්වාධීන ශරියා අධීක්ෂණ සභාව වශයෙන් අප වෙත පැවරී ඇති බලතල සහ කාර්යභාරය ඉටුකරමින්, 2023 දෙසැම්බර් 31 දිනයෙන් අවසන් වූ මූල්‍ය වර්ෂය සඳහා අමානා බැංකුවේ මෙහෙයුම් කටයුතු සම්බන්ධ අපගේ වාර්තාව මෙසේ ඉදිරිපත් කරන්නෙමු.

ශරියා නීතිරීති සහ මූලධර්ම වලට අනුව බැංකුවේ සියලු මෙහෙයුම් කටයුතු හැසිරවීමේ මූලික වගකීම එහි අධ්‍යක්ෂ මණ්ඩලය සහ කළමනාකාරීත්වය සතු ය. එහිදී, අදාළ මූල්‍ය වර්ෂය තුළ විධිමත්ව පවත්වන ලබන හමුවීම් 5 ක් මගින් එම මෙහෙයුම් පිළිබඳ ස්වාධීන සමාලෝචනයක් සිදු කර ඒ පිළිබඳ වාර්තාවක් ඉදිරිපත් කිරීම අපගේ වගකීම වේ.

එම හමුවීම් මගින් බැංකුවේ ගනුදෙනු හා භාවිතාවන් සම්බන්ධ විවිධාකාර ගිවිසුම් සියුම් විශ්ලේෂණයකට ලක්කෙරෙන අතර, එහිදී එම ගනුදෙනු, ඒවාට අදාළ ලිපිලේඛන සහ බැංකුවේ ක්‍රියාපටිපාටිය විධිවිධානද පුළුල් පරීක්ෂාවකට ලක් වේ.

මෙම සමාලෝචනයේ අරමුණ වන්නේ, බැංකුව විසින් සිය මෙහෙයුම් ක්‍රියාත්මක කරවීමේදී ශරියා නීතිරීති, මූලධර්ම, සහ අප විසින් නිකුත් කරන ලද විශේෂ නියමයන් සහ මගපෙන්වීම් උල්ලංඝනය නොකරන බව තහවුරු කරගැනීම ය. ඒ අනුව එම විශ්ලේෂණය මගින් අපගේ තක්සේරුව වන්නේ:

1. ගිවිසුම් හා ගනුදෙනු: බැංකුව විසින් අදාළ වර්ෂය තුළ එළඹෙන ලද ගිවිසුම්, සිදුකරන ලද මූල්‍යමය ගනුදෙනු සහ අනෙකුත් ගනුදෙනු ශරියා නීතිරීති සහ ප්‍රතිපත්ති වලට අනුකූලව සිදු කර ඇත.
2. ලාභාංශ වෙන්කිරීම සහ අලාභ කළමනාකරණය: ආයෝජන ගිණුම් ආශ්‍රිතව බැංකුව ලාභාංශ වෙන්කිරීම සහ අලාභ කළමනාකරණය කරගැනීම් සිදුකර ඇති ආකාරය, ශරියා නීතිරීති සහ ප්‍රතිපත්ති වලට අනුව අප විසින් පෙර අනුමත කරන ලද නිර්ණායක වලට අනුකූලව සිදු කර ඇත.
3. පුණ්‍ය කටයුතු සඳහා ප්‍රතිපාදන වෙන්කිරීම: ශරියා නීතිරීති මගින් අනුමත නොකරන ප්‍රභවයන් ආශ්‍රිත ඉපයීම් මගින් උපලබ්ධි වූ සියලු උපයාගැනීම් අපගේ අනුමැතිය මත, පුණ්‍යාධාර කටයුතු වෙත බෙදාහරින ලදී.

ඒ අනුව, අදාළ කාලසීමාව තුළ බැංකුව තම මූල්‍යමය මෙහෙයුම් කටයුතු ශරියා නීතියට අනුකූලව සිදු කර ඇති බව අපගේ නිගමනය වේ.

و عليكم السلام ورحمة الله وبركاته

අල්ලාහ් දෙවියන් සියල්ල දන්නේ ය.



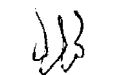
අශ් -ෂෙයික් ආචාර්ය මුර්ති මුහම්මද් ඉම්රාන්
අෂ්රෆ් උස්මානි
සභාපති



අශ් -ෂෙයික් මොහොමඩ් නස්ර් චික්
උප-සභාපති



අශ් -ෂෙයික් මුර්ති එම්. අයි. එම්. රිස්වි
සාමාජික



අශ් -ෂෙයික් මුර්ති මුහම්මද් හස්සාන් කලිම්
සාමාජික



ඔස්මාන් කාසිම් මහතා
සාමාජික

சயாதீன ஷரிஆ மேற்பார்வை சபை அறிக்கை

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

الحمد لله رب العالمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

ஷரிஆ மேற்பார்வை சபை என்ற எமது பொறுப்புக்கு அமைவாக, 31 டிசம்பர் 2023 இல் நிறைவடைந்த நிதியாண்டிற்கான வங்கியின் செயற்பாடுகளில் பின்வரும் அறிக்கையினை நாம் சமர்ப்பிக்கின்றோம்.

வங்கியின் செயற்பாடுகளில் ஷரிஆ விதிகள் மற்றும் கொள்கைகளை நிலைநிறுத்துவதற்கான பிரதான பொறுப்பினை பணிப்பாளர்கள் சபையும் முகாமைத்துவமும் கொண்டுள்ளன. எமது கடமையானது நிதியாண்டு முழுவதும் உன்னிப்பாக நடாத்தப்பட்ட ஐந்து (5) கூட்டங்களினூடாக அடையப்பெற்ற ஒரு நடுநிலையான மதிப்பீட்டினை உள்ளடக்குகின்றது.

இந்த கூட்டங்கள், வங்கியின் கொடுக்கல் வாங்கல்கள் மற்றும் செயல்முறையுடன் இணைந்த பல்வேறு ஒப்பந்தங்களை ஆராய்தல், கொடுக்கல் வாங்கல் வகைகள், உரிய ஆவணங்கள் மற்றும் வங்கியின் செயற்பாடுமுறை சார்ந்த நெறிமுறைகளின் விரிவான பரிசோதனை என்பவற்றில் முன்னிறுத்தம் செய்தன.

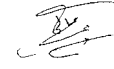
மீளாய்வின் குறிக்கோளானது, வங்கி எவ்விதமான மீறலுமின்றி ஷரிஆ விதிகளை கடைப்பிடித்துள்ளது என்ற நியாயமான நம்பகத்தன்மையினை உறுதிசெய்தல், பொருத்தமான தகவல்கள் மற்றும் விளக்கங்களை திரட்டுதல் என்பவையாகும். எமது மதிப்பீட்டின் அடிப்படையில்:

1. **ஒப்பந்தங்கள் மற்றும் கொடுக்கல் வாங்கல்கள்:** நிதியாண்டு முழுவதும் வங்கியினால் மேற்கொள்ளப்பட்ட ஒப்பந்தங்கள், கொடுக்கல் வாங்கல்கள் மற்றும் வர்த்தகங்கள் ஷரிஆ விதிகள் மற்றும் கொள்கைகளுடன் இணங்கியுள்ளன.
2. **இலாப ஒதுக்கீடு மற்றும் நட்டக் கையாளுகை:** முதலீட்டுக் கணக்குகள் தொடர்பான இலாப ஒதுக்கீடு மற்றும் நட்டங்களில் வங்கியின் கையாளுகையானது, ஷரிஆ விதிகள் மற்றும் கொள்கைகளின் பிரகாரம், முன்னர் எம்மால் அங்கீகரிக்கப்பட்ட வரைமுறைகளுடன் இணங்கியுள்ளன.
3. **அறக்கட்டளை ஒதுக்கீடு:** ஷரிஆ வழிகாட்டல்களுக்கு அமைவாக அனுமதிக்கவியலாத மூலங்களிலிருந்து பெறப்பட்ட வருமானங்கள் எமது அங்கீகாரத்தினை தொடர்ந்து அறக்கட்டளை நோக்கங்களுக்காக பயன்படுத்தப்பட்டன.

நிறைவாக, குறிப்பிட்ட காலத்தின்போது வங்கியானது அதன் நிதியியல் செயற்பாடுகளில் ஷரிஆ இணக்கப்பாட்டிற்கான அர்ப்பணிப்பினை நிரூபித்துள்ளது.

وعليكم السلام ورحمة الله وبركاته

அல்லாஹ் சரியானதை அறிவான்.



அஷ்-ஷெய்க் கலாநிதி. முப்தி முஹம்மத் இம்ரான் அஷ்ரப் உஸ்மான் தலைவர்



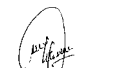
அஷ்-ஷெய்க் மொஹம்ட் நஸ்ரி சிக் துணைத்தலைவர்



அஷ்-ஷெய்க் முப்தி எம். ஐ. எம். ரிஸ்வி அங்கத்தவர்



அஷ்-ஷெய்க் முப்தி முஹம்மத் ஹஸ்ஸான் கலீம் அங்கத்தவர்



திரு. ஒஸ்மான் காஸிம் அங்கத்தவர்

SHARIA GOVERNANCE REPORT

The keystone of the unique business model of Amāna Bank PLC rests on the compliance to the Sharia rules and principles which is the foundation for the practice of Islamic banking. Therefore, the Bank has placed great importance in ensuring that the overall operations are in accordance with the Sharia rules and principles.

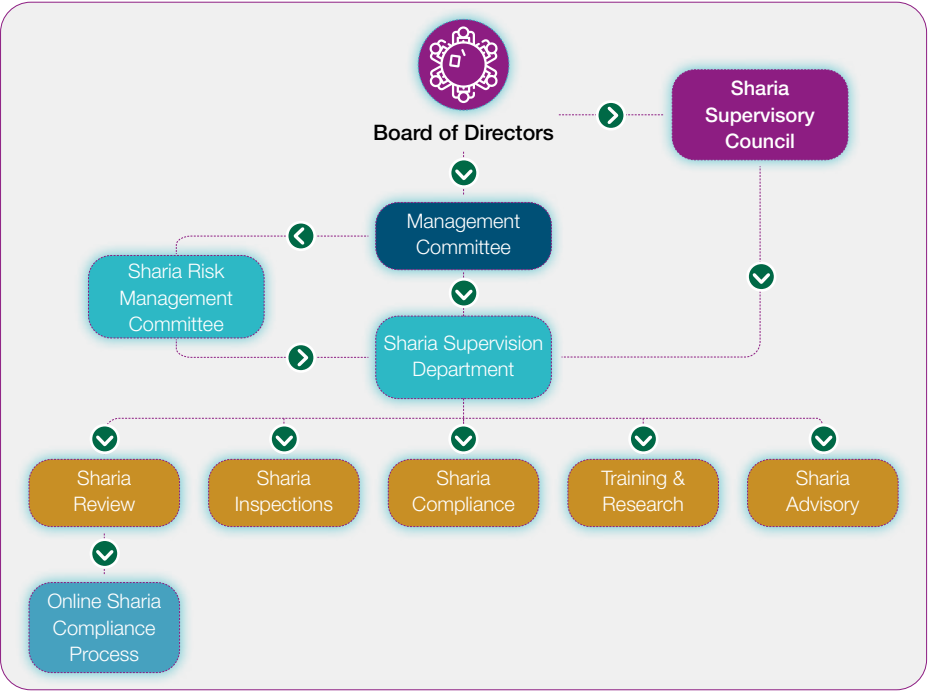
In this regard, the Bank has established a Sharia Governance Framework with the Sharia Supervisory Council (SSC) functioning as the apex body with regards to Sharia matters. The standard issued by the Islamic Financial Services Board (IFSB), namely IFSB-10 (2009) Guiding Principles on Sharia Governance Systems for Institutions Offering Islamic Financial Services (IIFS) are taken into consideration in operating the Sharia Governance Framework of the Bank. A detailed report on the compliance status of Sharia Governance of the Bank to IFSB10 is depicted at the end of this report.

SHARIA SUPERVISORY COUNCIL (SSC)

The SSC functionally reports to the Board of Directors (BOD). The roles and responsibilities of the SSC are spelt out in its Terms of Reference (TOR). The SSC is assisted by the Sharia Supervision Department that performs compliance functions, namely Sharia Advisory, Sharia Compliance and Review, Sharia Inspection and Training and Research. At the management level, the Bank has established the Sharia Risk Management Committee (SRMC) which is a Sub-Committee of the Management Committee to discharge the responsibilities of management on Sharia Compliance.

The SRMC is chaired by the Head of Sharia Supervision and its membership comprises of several management members.

The diagram below describes the framework:



COMPOSITION OF THE SSC

The SSC shall comprise of the minimum three (3) members. As at 31 December 2023, the SSC has five (5) members comprising of two (2) local members and three (3) foreign scholars coming from diverse backgrounds with wide experience and knowledge. SSC members are experts in their specialised field such as Islamic law, Islamic Banking, Capital Market, Takaful, Waqf, Zakat, Halal industry, etc. Additionally, their qualification in Islamic jurisprudence (usul al-fiqh) and Islamic commercial laws (fiqh al-mu'amalat), expertise and vast experience in the academia, definitely support the depth and breadth of the Sharia deliberations.

RESPONSIBILITIES OF THE BANK TOWARDS SSC AND SHARIA COMPLIANCE

While the SSC is responsible for forming and expressing decisions on the Bank's compliance with the Sharia rules and principles, the responsibility for compliance therewith rests with the Board and management of the Bank.

Therefore, it is the responsibility of the Management to perform the following:

- (i) to refer all Sharia issues in its business operations to the SSC for decision;
- (ii) to adopt and take necessary measures for implementation of the SSC's decisions;
- (iii) to provide sufficient resources to the SSC including budget allocation, independent expert consultation, reference materials and training;

- (iv) to ensure that the SSC is familiar with the operations and the business of the Bank;
- (v) to provide the SSC with access to all relevant records, transactions, manuals and information, as required by its members in performing their duties; and
- (vi) to recommend the appropriate remuneration to the SSC members which commensurate with and reflect the duties and responsibilities of the SSC.

It is the Bank's responsibility to perform the following with regard to Sharia Compliance:

- (i) to comply with SSC decisions and established Sharia requirements in all its products, services, legal documentations and activities; and
- (ii) the Bank shall not act in contravention to the SSC decisions to suit its convenience.

AUTHORITY OF THE SSC

The SSC assumes the following authority based on its Terms of References (TOR):

- (i) the decision of the SSC is binding on the Bank, whilst its recommendation is not binding on it.
- (ii) the SSC has the right to check the Assets and Liabilities of the Bank.
- (iii) the SSC has the right to review the Bank's books, registers and documents at any time and it shall have the right to request to check any data it deems necessary.
- (iv) in the event the Bank is unable to provide information requested, which results in the SSC's inability to carry on its role and responsibilities, SSC will submit a written report to the Board of Directors and may demand that a meeting of the Shareholders be convened.

- (v) the SSC has the right to accept or reject any activity carried out by the Bank based on the Sharia rules and principles.

SSC MEETINGS

SSC meetings are scheduled to be held at least three (3) times annually with additional meetings convened as and when warranted, to facilitate important decisions that are required between the scheduled meetings.

Three (3) SSC meetings were held during the financial year ended 31 December 2023, as follows:

Date of Meeting	Percentage of Members' Attendance
7 June 2023	60%
23 August 2023	60%
20 December 2023	100%

In between the meetings, the Bank refers its Sharia issues in its daily operations to the Executive Committee (ExCom) of the SSC that is comprised of two (2) appointed members for guidance and the decision. The decisions taken by the Executive Committee are tabled in the SSC meeting for concurrence. The Executive Committee members are Ash-Sheikh Mohd Nazri Chik and Ash-Sheikh Mufti Muhammad Hassaan Kaleem.

Two (2) ExCom meetings were held during the financial year ended 31 December 2023, as follows:

Date of Meeting	Percentage of Members' Attendance
10 February 2023	100%
5 October 2023	100%

APPOINTMENT AND RE-APPOINTMENT OF SSC MEMBERS

- (i) The shareholders of the Bank shall appoint the members of the SSC based on the recommendation made by the Board of Directors.
- (ii) Each member of the SSC shall have a term of office of one (1) year as appointed by the shareholders. Upon expiry of such term, the members may be reappointed at the approval of the shareholders in conformity with the governance standards defined by the Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI)'s Governance Standard No 1.3 "Appointment of Sharia Supervisory Board and Fixing of its Remuneration."
- (iii) Notwithstanding the above, the Board of Directors may appoint new members to the posts which become vacant in the SSC during the year, subject to the approval of the shareholders at the subsequent Annual General Meeting.

SHARIA GOVERNANCE REPORT

IFSB-10 (2009), GUIDING PRINCIPLES ON SHARIA GOVERNANCE SYSTEMS FOR IIFS

The IFSB-10 defined “Sharia Governance System” as a set of institutional and organisational arrangements through which an IIFS ensures that there is effective independent oversight of Sharia compliance over each of the following structures and processes:

- a) issuance of relevant Sharia pronouncements/ resolutions;
- b) dissemination of information on such Sharia pronouncements/resolutions to the operative personnel of the IIFS who monitor the day-to-day compliance with the Sharia pronouncements/resolutions vis-à-vis every level of operations and each transaction;
- c) an internal Sharia compliance review/audit for verifying that Sharia compliance has been satisfied, during which any incident of noncompliance will be recorded and reported, and as far as possible, addressed and rectified;
- d) an annual Sharia compliance review/audit for verifying that the internal Sharia compliance review/audit has been appropriately carried out and its findings have been duly noted by the Sharia board;

Guiding Principle Status		
Part I:	General Approach to the Sharia Governance System	
Principle 1.1:	The Sharia governance structure adopted by the IIFS should be commensurate and proportionate with the size, complexity and nature of its business.	(a) A detailed Sharia Governance Framework is adopted by the Bank, which sets the SSC as the apex body with regards to Sharia matters. (b) The SSC has wide ranging rights of access to every activity of the Bank. (c) The SSC comprises of five (5) members where two (2) of them are appointed as Executive Committee members to ensure timely adequate access to the Bank. (d) The Bank has established a Sharia Supervision Department (SSD), led by the Head of Sharia Supervision to assist SSC in providing daily guidance to the Bank. As the principal Sharia officer of the Bank and the Secretary of the SSC, he chairs the Sharia Risk Management Committee (SRMC) to discharge the responsibilities of management on Sharia Compliance.
Principle 1.2:	Each IIFS must ensure that the Sharia board has: ✦ clear terms of reference regarding its mandate and responsibility; ✦ well-defined operating procedures and lines of reporting; and ✦ good understanding of, and familiarity with, professional ethics and conduct.	(a) A detailed Terms of Reference (TOR) spells out the roles and responsibilities of the SSC. (b) The TOR outlines operating procedures and lines of reporting that includes having an internal SSD comprising of officers with appropriate qualifications and experience. The SSD is; ✦ the secretariat to the SSC and serves as the first point of reference for Sharia compliance issues, with an advisory/ consultancy role delegated by the SSC; ✦ handle the processing and secretarial matters relating to issues to be raised to the SSC; and ✦ provide input for executive decisions to be made by the senior management. (c) The SSC comprises of respected and accepted scholars with high standard of professional ethics and conduct.

Guiding Principle Status

Part I: General Approach to the Sharia Governance System

Part II: Competence

Principle 2.1:	The IIFS shall ensure that any person mandated with overseeing the Sharia Governance System fulfils acceptable fit and proper criteria.	The members of the SSC and Head of Sharia Supervision being the principal Sharia officer have met the “Fit and Proper” criteria which covers; ✦ good character-that is, honesty, integrity, fairness and reputation; and ✦ competence, diligence, capability and soundness of judgment.
Principle 2.2:	The IIFS shall facilitate continuous professional development of persons serving on its Sharia board, as well as its ISCU and ISRU, if any.	In view of continuous professional development of the SSC members, the Bank shall invest for their personal knowledge development programme as required.
Principle 2.3:	There should be a formal assessment of the effectiveness of the Sharia board as a whole and of the contribution by each member to the effectiveness of the Sharia board.	There is a formal assessment on the effectiveness of the SSC carried out on annual basis.

Part III: Independence

Principle 3.1:	The Sharia board should play a strong and independent oversight role, with adequate capability to exercise objective judgment on Sharia-related matters. No individual or group of individuals shall be allowed to dominate the Sharia board's decision-making.	(a) The independence of the SSC is clearly spelt out in the TOR of the SSC and continued to be respected by the Board of Directors and the Management of the Bank. (b) None of the members of the SSC have blood or intimate relationship with the Bank, its related companies or its officers. (c) None of the members of the SSC are under full-time employment of the Bank or its related companies except for Ash Sheikh Mohd. Nazri Chik (Vice Chairman-SSC), who is the Group Chief Social Finance Officer of Bank Islam Malaysia Berhad (BIMB) who has a shareholding of 3.80% in the Bank. It is worth noting that he was independent of BIMB during his initial appointment to the SSC in 2010 and later he joined BIMB as its Head of Sharia in 2011. Despite his employment with BIMB, he continues to exercise objective judgment on Sharia-related matters brought to the SSC for decision. (d) None of the members of the SSC, or his or her immediate family member, is accepting any compensation or financing from the Bank or any of its subsidiaries other than compensation for service on the SSC.
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SHARIA GOVERNANCE REPORT

Guiding Principle Status		
Part I:	General Approach to the Sharia Governance System	
Principle 3.1: (Contd.)		e) None of the members of the SSC, their immediate family members, are a substantial shareholder of or a partner in (with a stake of 5% or more), or an executive officer of, or a Director of any for-profit business organisation to which the Bank or any of its subsidiaries made, or from which the Bank or any of its subsidiaries received, significant payments in the current or immediate past financial year, except for Mr. Osman Kassim based on the following principles: 1. Mr. Osman Kassim's pivotal role as a founding figure in Islamic Banking and Finance in Sri Lanka is deemed crucial during the industry's growth stage. His presence in the SSC is anticipated to contribute significantly to advancing the Islamic Banking and Finance sector. 2. Mr. Osman Kassim, as a non-Sharia scholar member does not express views on specific Sharia-related matters, following AAOIFI regulations, but he provides expertise on business matters and strategic Islamic Banking plan. His contributions aim to serve the objectives of Sharia, fostering the improvement of the banking sector and benefiting the Muslim community in Sri Lanka. 3. In cases of unavoidable conflicts of interest in deliberating any papers brought to the SSC, Mr. Osman Kassim is committed to declare them to fellow SSC members and he will abstain from participating in decisions or actions on behalf of the Bank, ensuring transparency and adherence to ethical standards.
Principle 3.2:	In order to fulfil their responsibilities, the Sharia board should be provided with complete, adequate and timely information prior to all meetings and as an on-going basis.	(a) The SSD which has a direct reporting line to the SSC is entrusted with providing timely and accurate information. (b) Being a direct report, the SSC has direct access to the SSD to check whether internal control and compliance procedures have been appropriately followed and that applicable rules and regulations to which the Bank is subject to have been complied with. (c) Such controls were reviewed through the Risk Control and Self-Assessment (RCSA) exercise. (d) According to the TOR of the SSC, in the event the Bank is unable to provide information requested, which results in the SSC's inability to carry on its role and responsibilities, the SSC will submit a written report to the Board of Directors and may demand that a meeting of the Shareholders be convened.

Guiding Principle Status

Part I: General Approach to the Sharia Governance System

Part IV: Confidentiality

Principle 4.1:	Sharia board members should ensure that internal information obtained in the course of their duties is kept confidential.	A confidentiality clause is incorporated in the TOR of the SSC.
Part V:	Consistency	All decisions, pronouncements and resolutions of the SSC have been arrived at on consensus of the members.
Principle 5.1:	The IIFS should fully understand the legal and regulatory framework for issuance of Sharia pronouncements/ resolutions in the jurisdiction where it operates. It should ensure that its Sharia board strictly observes the said framework and, wherever possible, promotes convergence of the Sharia governance standards.	The SSC takes due care in the dissemination of Sharia pronouncements/ resolutions, ensuring that the business intelligence and internal information of the Bank would not be exploited by inappropriate parties.

RISK MANAGEMENT REPORT

INTRODUCTION

As is the case with any growing business, Amāna Bank aims to ensure the core business activities are carried out in a way that safeguards the Bank’s financial position and meets the expectations of all stakeholders. Towards this end, the Bank applies the Integrated Risk Management Framework (IRMF) approach as part of a 360 degree effort to manage all key risk types within the Bank’s risk universe.

RISK GOVERNANCE

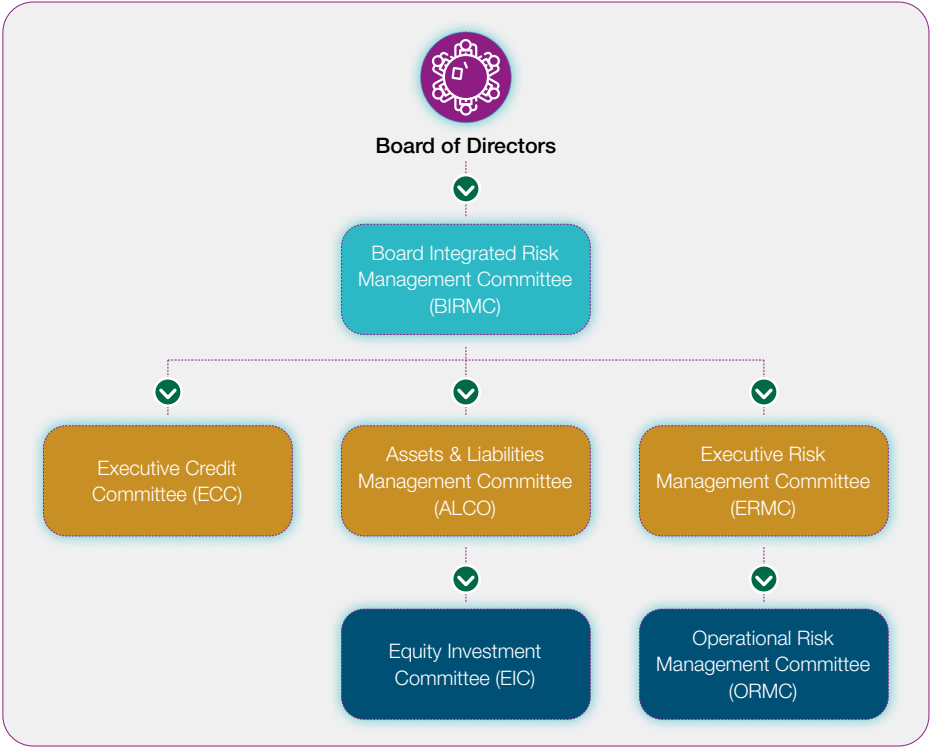
Amāna Bank’s Integrated Risk Management Framework is supported by a robust risk governance structure, wherein the Board as the highest governing body of the Bank assumes the overall responsibility for ensuring effective implementation of the IRMF. Assisting the Board in its risk management duties, is the Board Integrated Risk Management Committee (BIRMC). Under the supervision of the BIRMC, several other risk committees have been assigned with the responsibility to provide oversight to ensure all significant risks are managed consistently to support the achievement of the Bank’s strategic objectives.

RISK CONTROL MECHANISMS

Risk Appetite Statement

Risk appetite forms an integral part of Amāna Bank’s financial and strategic planning processes as it underscores the Bank’s tolerance and willingness to accept risk in order to achieve business objectives.

The Board has established a broad Risk Appetite statement for the Bank as a whole as well as for all key risk types. Risk Appetite Statements for all key risk types have been developed in line with global best practices to cover Pillar I and Pillar II risks as defined by the BASEL framework for licensed commercial banks. Accordingly, quantitative indicators have been established on all risk



categories. Stemming from this, appropriate risk policies, procedures and monitoring protocols are in place to prevent undue exposure to one or more risks that could compromise the achievement of the Bank’s strategic objectives.

Bank Wide Level	Bank will maintain a positive outlook at all times.
	Minimum Capital Adequacy Ratio (CAR – Pillar I & Pillar II) should not be below the regulatory requirement which is 12.5% at present
	4% annual growth
Credit Risk	Impaired financing and advances (Stage 3) ratio to be less than 5% of financing Portfolio or industry average whichever is less.
Market Risk	Maximum USD 5 Million.
Operational Risk	Operational Risk Losses (Annual in LKR Mn) to be maintained at maximum of 1 Percentage of Total Operating Profits After Provisions (Annual in LKR Mn)
	Zero Tolerance
	Operate within thresholds of Key Risk Indicators

Concentration Risk	The Bank will restrict its exposure to a prudential upper limit of 25% and 30% of the capital base for a single entity and a group respectively
	Exposure to top 20 borrowers will not exceed 35% of Gross Advances Portfolio
	The Bank to maintain a 30% upper limit on credit facilities which exceed a tenor of three years
	And upper limit of 20% on facilities exceeding a tenor of 5 years of the total credit portfolio.
	Limit granting of facilities to the lower graded customers, Bank will strive to maintain its exposures of 'D' category i.e. 'Acceptable', below 10% of total portfolio.
Liquidity Risk	Bank shall maintain SLAR at minimum 20% as per the regulatory requirement, while monitoring the threshold to be at 22%
	Bank shall maintain SRR at 2% (fortnightly basis)
	Assessing the Bank's cash inflows against its outflows to identify the potential for any net shortfalls.
	The Maximum Cash Outflow limits established shall be based on the local liquidity stress test results and reviewed on a regular basis.
	The Bank will maintain its LCR at a minimum of 100% as required by Basel III with a Prudential limit of 110%
	The Bank will maintain its NSFR at a minimum of 100% as required by Basel III.
Rate Risk	Max sensitivity (loss) of 10% of capital due to a 2% change in market rate.
Compliance Risk	Zero Tolerance
Reputation Risk	If unresolved within 10 days <10% - Satisfactory
	If unresolved within 10 days is between 11% - 20% - Caution
	If unresolved within 10 days >20% - Unsatisfactory

Following the 2023 review by the BIRMC, changes were recommended to the following policy documents and submitted to the Board for approval:

- ✦ Risk Middle Office Policy (RMO)
- ✦ Integrated Risk Management Framework (IRMF)
- ✦ Treasury Back Office Policy (TBO)
- ✦ Post Covid-19 Revival & Rehabilitation Policy
- ✦ Compliance Policy
- ✦ Asset & Liability Management Policy (ALM)
- ✦ Anti-Bribery and Corruption (ABC) Policy
- ✦ Treasury Risk Limits with Country Risk

The BIRMC with the involvement of the Risk Management Division (RMD) began working on developing a Recovery Plan (RCP) in accordance with the new requirements stated under the Banking (Special Provisions) Act No 19 of 2023. The RCP which was approved by the Board in 2023 will spell out necessary steps to be taken in the event of a deterioration of the Bank's financial position.

The RCP will be further strengthened in due course through the implementation of early warning indicators (EWIs) that can signal the emergency of risks.

Risk Policies, Procedures and Directives

Board approved policies, procedures and directives provide the formal control structure for managing key risk types across the core business. The entire control structure is reviewed annually by the BIRMC to identify necessary updates to align with changes in the external and internal environments. Recommended changes are incorporated subject to the approval of the Board.

Changes recommended by the BIRMC in their 2022 review were approved by the Board in January 2023. Accordingly the Treasury Policy and Treasury Risk Limits and the Foreign Exchange Policy were both updated with effect from 2023.

RISK MANAGEMENT REPORT

RISK AWARENESS CULTURE

The Amāna Bank Board promotes a strong risk awareness culture to empower all employees to execute their responsibilities in line with the Bank's risk appetite. To that end, the Board sets a clear tone from the top to promote individual accountability and risk awareness through appropriate policies and training, and by encouraging all employees to adopt the appropriate behavioural standards as outlined under the Code of Conduct.

The Bank believes that a strong risk awareness culture is fundamental for the successful implementation of the three-lines-of-defence mechanism, which operates on the principle that all employees across the Bank are aware of and are committed to execute their responsibilities diligently and in accordance with the guidelines established by the Bank's Board of Directors.

The first line of defence owns and manages the business activities and related risks. It consists of frontline operations involving Retail Banking, Business Banking and Treasury. Being the primary units directly exposed to specific risks on a daily basis, the first line of defence is required to assume primary responsibility in managing risks under their purview. In this capacity, the first line of defence is required to work in accordance with the Board approved risk policies, directives and procedures that reflect the Bank's risk appetite. The first line of defence is also tasked with identifying, analysing and reporting on new and emerging risks.

The second line of defence which operates independently of the first line of defence, is responsible for the risk oversight of the first line of defence, including providing advice regarding the need to take risk mitigation action, where appropriate. At the same time, the second line of defence has the authority to veto any decisions proposed by the first

line of defence that fall outside the set risk appetite or are not aligned with agreed policies. The second line of defence consists of the Risk Management Division (RMD) and the Risk Control Committees, including other control and monitoring divisions such as Compliance and the Sharia Supervision Department.

The RMD is responsible for managing all key risk types and plays an important role in risk identification, measurement, monitoring, mitigation and reporting of risk. The Compliance Division is tasked with monitoring and assessing the Bank's level of compliance with applicable laws, rules and regulations as well as performing routine due diligence to evaluate the adequacy and effectiveness of the Bank's ERM framework. The duty of monitoring the specific Sharia compliance requirements, lies with the Sharia Supervision Department. The RMD, the Compliance Division and the Sharia Supervisory Department are also required to organise training in regard to areas under their purview and for working closely with risk committees to address risk management issues.

The third line of defence consists of the Internal Audit (IA) function. The IA acts as an independent and objective assurance entity that assists the Board and the Board Sub Committees to evaluate the effectiveness of risk management, controls and governance processes in relation to the control environments of the first and second lines of defence. To assure the independence of the IA function, the IA is headed by the Chief Internal Auditor who reports directly to the Board Audit Committee.

MANAGING KEY RISKS

CREDIT RISK

Credit Risk is the risk of losses as a result of the failure of a customer or counterparty to

meet all or part of their payment obligations towards Amāna Bank within the agreed tenor and in the agreed currency. Obligations in this case refer to; capital plus the Bank's profit/mark-up on direct financing or from off balance sheet assets such as letters of credit, letters of guarantee, documents against acceptance, etc. Credit Risk also includes credit concentration risk.

Policies and Procedures for Managing Credit Risk

The Bank manages Credit Risk in accordance with the Board approved Credit Policy, Credit Risk Appetite and a Credit Procedure Manual which together create an ecosystem to ensure credit decisions are consistent with the Bank's strategy and operating principles. The policy documents cover a broad range of areas encompassing acceptable risk parameters, guidelines for credit evaluation, minimum standards for collateral and prohibited areas of business.

A standard procedure is in place to evaluate credit proposals generated by business units with both financial and non-financial information obtained from the customer to assess the customers' financial status and repayment capacity.

The Bank's principle approach to mitigate the credit risk is based on collateral-based financing. The amount and type of collateral obtained depends on assessment of the creditworthiness of the customer or the counterparty based on the collateral guidelines encapsulated in the Credit Policy. Clear guidelines are in place outlining the acceptability and valuation of different types of collateral. Accordingly, the fair value of financial assets presented as collateral is assessed at the inception based on the Bank's approved valuation policy. Thereafter, available market data is used for the valuing financial assets held as collateral.

For the initial valuation of non-financial collateral (immovable assets), such as real estate, the Bank often seeks the expertise of independent professional valuers. Subsequent valuation of immovable assets is done as per the Bank's valuation policy which outlines a standardised approach towards immovable property valuations.

A detailed procedure is also in place to support the repossession of collateral. The Bank's policy is to realise the repossessed assets at the earliest possible opportunity. However, in the interim, repossessed collateral is held on a memorandum basis without de-recognising the underlying receivable.

Meanwhile, deviating from its collateral based financing policy, the Bank at its discretion considers non-collateral based financing to large companies with proven track records for financial stability and their ability to maintain consistent cash flows over time. In such instances the Bank considers mainly strong reputable corporates whose performance is regularly assessed on the basis of a strong balance sheet and a proven track record for consistent cash flow generation.

Credit Risk Governance Responsibilities

The BIRMC, operating under the delegated authority of the Board, is in charge of managing Credit Risk. At an executive level, credit authority has been further delegated to the Executive Credit Committees (ECC I and ECC II), which is headed by the Managing Director/CEO and CRO respectively.

At an operational level, credit risk is managed in line with the principles of the three-lines-of-defence. Accordingly, the first line of defence (business units) are responsible for the risks assumed, while the second line of defence (Credit Risk, Compliance and Sharia Supervision Department) undertake

the oversight responsibility for Credit Risk. The Internal Audit function, which serves as the third line of defence provides assurance regarding the systems and processes in place for the management of credit risk.

Credit approval procedures are based on Board sanctioned Delegation of Authority (DA) procedures. Based on such limits RMD's Credit Risk Management Unit reviews and approves facilities as part of the Bank's credit approval process, following which a pre-disbursement review is conducted by the Credit Administration unit. The Board Credit Committee (BCC) remains the ultimate authority for approving of all credit facilities above a certain threshold.

Credit Risk Monitoring and Reporting

The BIRMC has set out specific guidelines outlining post-disbursement monitoring protocols in line with the risk appetite of the Bank, the regulations of CBSL and BASEL guidelines. This includes internal prudential limits relating to sector, geographic and portfolio exposures in addition to regulator imposed quantitative ceilings such as the single borrower and aggregate exposure limits.

The Credit Risk Management Unit maintains continuous and ongoing monitoring to assess actual positions against these approved limits. Extensive evaluations are also carried out to measure exposures against the internal classification of risk elevated industries and other established early warning indicators. Other post-credit monitoring by the Credit Risk Management Unit include; monthly monitoring of sectoral limits, top 20 exposures, stage 3 facilities, etc. The CBSL mandated quarterly LRM (Loan Review Mechanism) is also carried out for each facility above the internal limit threshold. A special cross functional team represented by the Bank's Executive Management is responsible for conducting

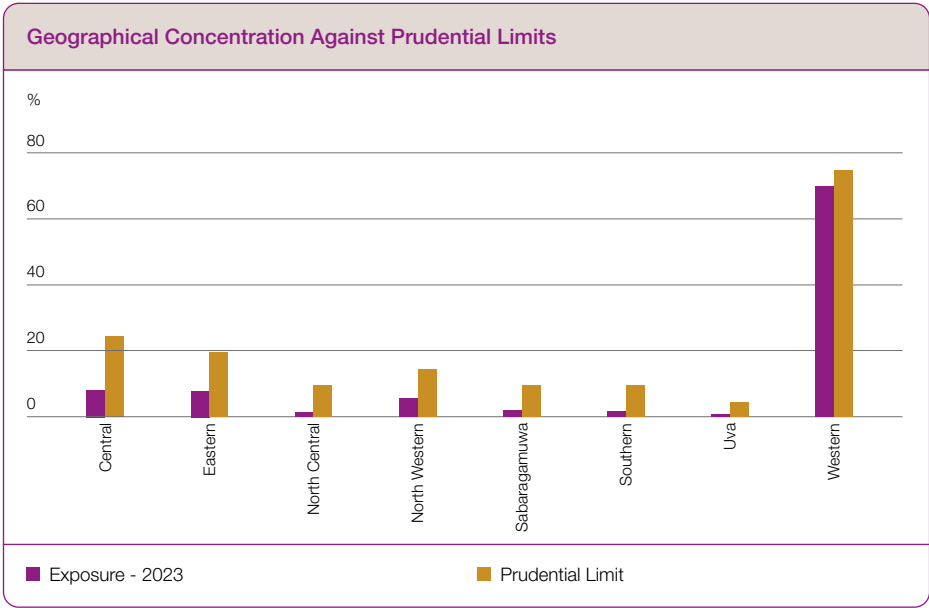
the LRM. The findings from the LRM are reported to the Board via the BIRMC.

The Credit Risk Management Unit also engages closely with business units to scrutinise portfolios and ensure potential stage 3 impaired credit facilities are identified at an early stage to enable appropriate action to be mobilised as needed. In addition, the Board Credit Committee conducts a monthly review to assess the status of all financing facilities, top 50 exposures, progress on litigation cases, etc. All monitoring reports are submitted regularly to the respective credit committees and BIRMC.

Frequent stress testing and scenario analysis are also conducted by the Credit Risk Management Unit to determine how changes in the external environment could affect the Bank's Credit Risk and Credit Concentration Risk of the Bank. Findings from stress tests and scenario analysis are documented and presented to the BIRMC along with appropriate recommendations for safeguarding portfolio quality.

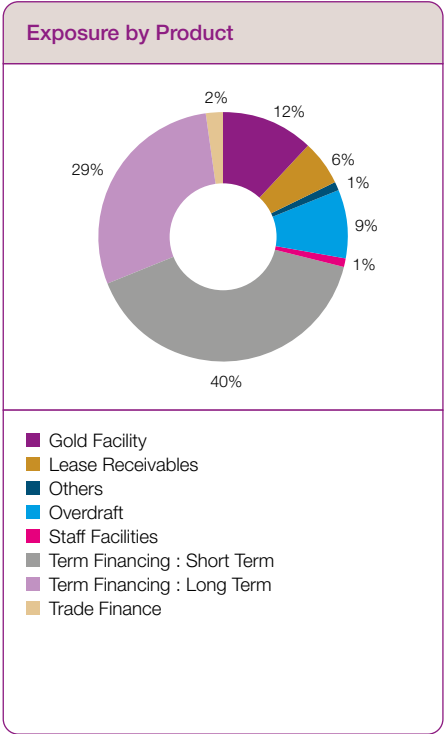
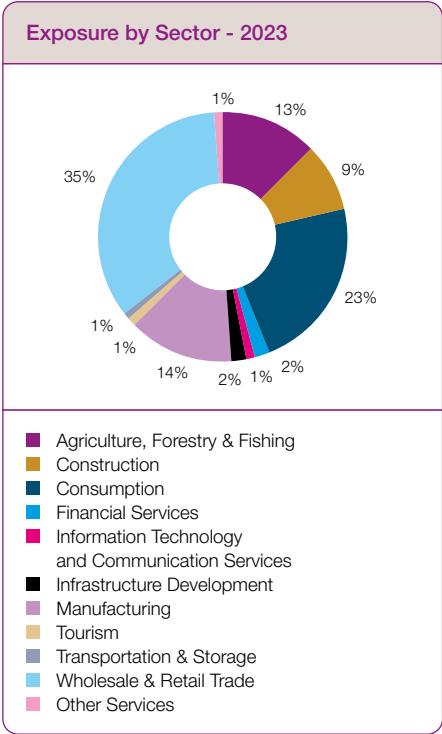
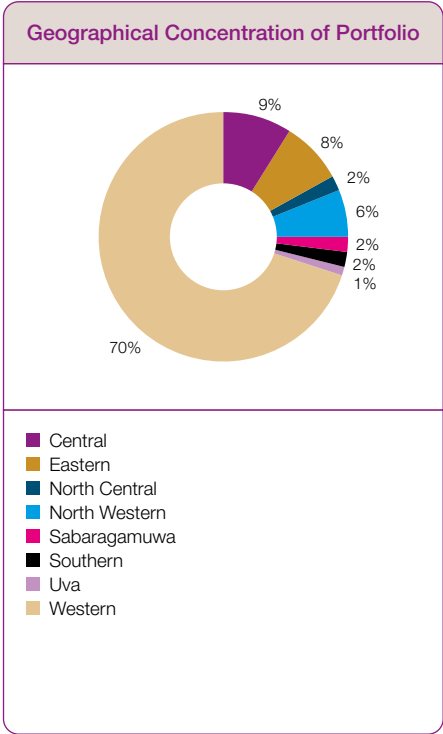
Additionally, the Credit Risk Management Unit also engages in reviewing the Bank's credit policies, internally established prudential limits on sector exposures and counterparty exposures in order to make recommendations to the BIRMC regarding necessary improvements.

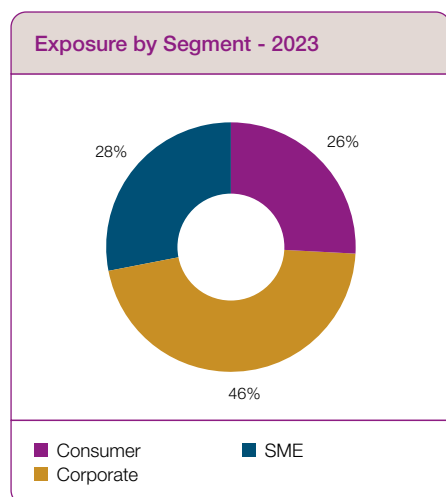
RISK MANAGEMENT REPORT



Credit Risk Update for 2023

Although the economic climate in the Country showed signs of recovery in 2023, the financial capacity of individuals and businesses across many sectors still remained impacted. The situation was further aggravated in the latter part of the year as tax reforms introduced by the government in line with the IMF-led structural reforms, caused a severe erosion in individual disposable incomes as well as the cash flows of businesses.





Considering the highly tenable environment, Amāna Bank initiated broad based efforts to manage Credit Risk. Central recovery and collection was further expedited, while business units were instructed to remain vigilant to identify early warning signs for customers showing signs of stress. Healthy customers facing temporary financial difficulty in the current climate were evaluated and granted relief on a case by case basis. The Post-COVID Monitoring and Revival Unit was also reactivated and assigned to work directly with customers, with the aim of rehabilitating high risk customers. Meanwhile from a credit expansion perspective, top priority was given to secured financing alongside some notable efforts to tap into high value corporates.

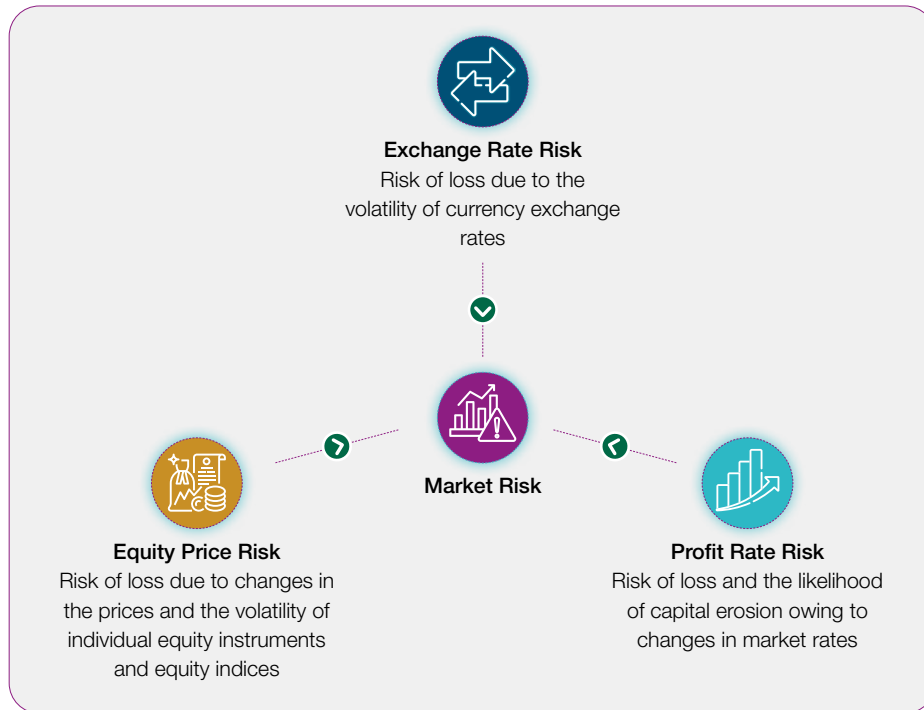
At the same time, the Credit Risk Management Unit further increased its vigilance on selected high value exposures. The ratings of large customers were reassessed periodically on the basis of available new information that could potentially affect the customer's creditworthiness. In tandem with these efforts, the internal classification of risk elevated industries was frequently reviewed and revised as needed to reflect

changes in the external environment. More frequent stress testing was also carried out considering the uncertain economic conditions in the Country, with more frequent testing on Stage 3 Impairment levels in relation to selected macroeconomic indicators including Inflation, GDP growth, market rates and exchange rate.

Credit Risk Outlook 2024

With higher income taxes and the new VAT regime likely to affect disposable incomes of individuals and profitability of businesses for the foreseeable future, Amāna Bank will employ a strategic approach to financing as the key catalyst to manage credit risk in 2024. Accordingly, a well-structured approach will underscore retail and SME financing, while the focus for corporate financing will be influenced by the resilience of organisations against any negative economic headwinds. These efforts will be accompanied with enhanced control over credit underwriting, more focused pre-credit sanctioning and 360 degree post-credit monitoring supported by proactive recovery follow-up to ensure asset quality remains within set appetite levels. In addition, regular environmental scans will be conducted to keep track of trends in various industries and sectors to enable risk elevated industries to be immediately identified and customers in these sectors / industries watch listed. This will be coupled with more frequent stress testing to measure potential negative impact on portfolios presenting elevated risks, to ensure adequate impairment provisions are maintained for such exposures. At the same time, the Bank will increase its investment on employee training with special emphasis on building capacity of credit teams in the areas of credit appraisal techniques, risk acceptance and overall awareness on credit risk.

Market risk refers to the potential losses associated with the volatility in interest rates, exchange rates and equity markets.



Policies and Procedures for Managing Market Risk

The Board approved Risk Middle Office Policy including Prudential limits, lay out the overall framework for managing market risk.

Specific policies and directives are also in place to manage the various components of market risk.

Foreign Exchange risk is managed in line with the Foreign Exchange Policy along with the Board approved limit framework for managing Foreign Exchange Risk and the regulatory/statutory limits approved by CBSL. Within the guidelines outlined under the policy documents, internal prudential and mandated regulatory requirements for managing Foreign Exchange Risk, Amāna Bank engages in interbank forward transactions to cover positions created due to customer transactions and mismatches in balance sheet positions. Meanwhile cash flows of currencies are managed by undertaking promissory buy/sell transactions on a matching basis.

The concentration of on and off balance sheet foreign currency risk as at 31 December 2023 and 31 December 2022 are given in the tables shown below:

Foreign Currency Risk - as at 31 December 2023

Currency	Spot			Forward			Net Open Position	Net Position in Other Exchange Contracts	Overall Exposure in Respective Foreign Currency	Overall Exposure in LKR
	Assets	Liabilities	Net	Assets	Liabilities	Net				
U.S. Dollar	102,604,057	(72,555,208)	30,048,849	3,000,000	(36,010,006)	(33,010,006)	(2,961,157)	-	(2,961,157)	(970,673,147)
Pound Sterling	603,391	(536,888)	66,503	-	-	-	66,503	-	66,503	21,629,066
Euro	539,726	(326,007)	213,719	-	-	-	213,719	-	213,719	76,525,606
Japanese Yen	1,784,589	(39,009)	1,745,580	-	(0)	(0)	1,745,580	-	1,745,580	3,998,991
Indian Rupee			-			-	-	-	-	-
Australian Dollar	218,557	(168,783)	49,774	-	-	-	49,774	-	49,774	10,733,005
Canadian Dollar	270	-	270	-	-	-	270	-	270	66,078
Other Currencies										115,336,040
Total Exposure										1,198,961,932
Total Capital Base as at 31.12.2023										22,600,753,724
Total exposure as a % of Total Capital Funds (should not exceed 30%)										5.30%

Foreign Currency Risk - as at 31 December 2022

Currency	Spot			Forward			Net Open Position	Net Position in Other Exchange Contracts	Overall Exposure in Respective Foreign Currency	Overall Exposure in LKR
	Assets	Liabilities	Net	Assets	Liabilities	Net				
U.S. Dollar	52,251,175	(67,062,070)	(14,810,896)	-	-	-	(14,810,896)	-	(14,810,896)	(424,395,383)
Pound Sterling	724,509	(653,498)	71,011	-	-	-	71,011	-	71,011	24,780,821
Euro	248,471	(305,267)	(56,796)	-	-	-	(56,796)	-	(56,796)	35,972,813
Japanese Yen	2,455,966	(49,814)	2,406,152	-	-	-	2,406,152	-	2,406,152	7,386,324
Indian Rupee			-			-	-	-	-	-
Australian Dollar	448,327	(367,061)	81,266	-	-	-	81,266	-	81,266	19,613,979
Canadian Dollar	230	-	230	-	-	-	230	-	230	62,092
Other Currencies										68,223,413
Total Exposure										580,434,826
Total Capital Base as at 31.12.2022										14,960,985,024
Total exposure as a % of Total Capital Funds (should not exceed 30%)										3.88%

During the year 2023, the LKR appreciated by 11% against the US Dollar based on average middle rates.



The Equity Investment Policy establishes the guidelines for the effective management of Equity Risk. As stipulated in the Equity Investment Policy, Amāna Bank's equity portfolio comprises only white-listed equities. Board approved sector-wise and portfolio-wise loss limits are also in place to manage equity portfolio exposures. Apart from this, the Bank also adheres to the Guidelines issued by CBSL regarding the exposure to a single entity and the total exposure limit for the equity portfolio.

RISK MANAGEMENT REPORT

Market Risk Governance Responsibilities

The performance of the equity portfolio is monitored by the Equity Investment Committee (EIC) and the Asset and Liability Committee (ALCO). The ALCO is also responsible for reviewing the maturity mismatch between assets and liabilities on a monthly basis and recommending appropriate re-pricing strategies. ALCO provides senior management oversight of market risk and meets at least monthly to discuss the Bank's treasury and liquidity risk profile.

Market Risk Monitoring and Reporting

The Risk Middle Office (RMO) is tasked with monitoring Market Risk. In this regard stress tests are performed frequently. The complexity of stress tests ranges from simple scenario analysis to a specific event (single-factor and multiple-factor stress tests) and scenario stress testing, which assesses the consequences of specific events covering hypothetical and historical shocks to multiple risk factors simultaneously.

RMO is a part of the Risk Management Division, which is responsible for monitoring and enforcing the day-to-day inherent market risk and liquidity risk as a result of Treasury's business activities which are achieved using a set of qualitative and quantitative risk management techniques specified in the relevant internal policies approved by the Board of Directors.

Market Risk is managed through a set of limits approved by the Bank's Board of Directors to ensure that the overall risk remains in check. Consistent with regulatory requirements, the Bank applies mark-to-market in a consistent manner for all the positions held within the entire portfolio. Market prices are obtained from various sources, including CBSL and CSE websites, Reuters and the brokers in the market.

Mathematical and statistical measures, such as VaR, are also used in the day-to-day monitoring of Market Risk.

VaR Assumptions

The VaR that the Bank measures is an estimate, using a confidence level of 99% of the potential loss that is not expected to be exceeded if the current market risk positions were to be held unchanged for one day. The use of a 99% confidence level means that, within a one day horizon, losses will be below the VaR limit on average under normal market conditions, for 99 out of 100 days.

Since VaR is an integral part of the Bank's market risk management, VaR figures are reviewed monthly against loss limits by ALCO and at every BIRMC.

		VaR of Equity Portfolio (LKR million)	Approved Loss Limits for Equity Operations (LKR million)
2023	End December	0.42	50.00
	Daily Average	2.10	
	High	3.47	
	Low	0.42	
2022	End December	2.93	35.00
	Daily Average	2.94	
	High	4.28	
	Low	1.91	

		VaR of FX Portfolio (USD '000)	Approved Loss Limits for FX Operations (USD '000)
2023	End December	63.96	100
	Daily Average	46.40	
	High	206.35	
	Low	3.16	
2022	End December	145.22	60
	Daily Average	78.14	
	High	223.20	
	Low	0.45	

Stress Testing

Stress testing is carried out based on Board approved stress testing guidelines and the results are reviewed by BIRMC and ALCO regularly. Stress testing is carried out for areas in relation to exchange exposure, equity portfolio and liquidity to ascertain the impact if the markets faced stressed situations.

Amāna Bank's foreign exchange exposure has been stress tested using three scenarios which are based on 10%, 15% and 20%, in order to assess adverse rate movements of exchange rates, for which the result would impact upon the Capital Adequacy Ratio (CAR).

The stress testing results of exchange exposures as of 31 December 2023 are given below:

Particulars	Scenario 1	Scenario 2	Scenario 3
Adverse Change in Exchange Rate (%)	10	15	20
Net Exposure (LKR)	771,789,912	771,789,912	771,789,912
Exchange Loss (LKR)	77,178,991	115,768,487	154,357,982
Capital Funds - Dec 2023 (LKR)	22,600,753,724	22,600,753,724	22,600,753,724
Capital Adjusted for loss (LKR)	22,523,574,733	22,484,985,237	22,446,395,742
Risk Weighted Assets - Dec 2023 (LKR)	116,614,583,097	116,614,583,097	116,614,583,097
Adjusted Risk Weighted Assets (LKR)	116,537,404,106	116,498,814,611	116,460,225,115
Capital Adequacy Ratio as at 31 Dec 2023 (%)	19.38%	19.38%	19.38%
Revised Capital Adequacy Ratio (%)	19.33%	19.30%	19.27%
Decline in CAR (%)	0.05%	0.08%	0.11%

Amāna Bank's equity portfolio has been stress tested using three scenarios which are based on 10%, 20% and 30% in order to assess adverse price movements of equities, for which the result would impact upon the CAR.

Particulars	Scenario 1	Scenario 2	Scenario 3
Adverse Change in Equity Price (%)	10	20	30
Value of Equity Portfolio (LKR)	333,120,063	333,120,063	333,120,063
Revaluation Loss (LKR)	33,312,006	66,624,013	99,936,019
Capital Funds - Dec 2023 (LKR)	22,600,753,724	22,600,753,724	22,600,753,724
Capital adjusted for loss (LKR)	22,567,441,718	22,534,129,712	22,500,817,705
Risk Weighted Assets - Dec 2023 (LKR)	116,614,583,097	116,614,583,097	116,614,583,097
Adjusted Risk Weighted Assets (LKR)	116,581,271,091	116,547,959,085	116,514,647,079
Capital Adequacy Ratio as at 31 Dec 2023 (%)	19.38%	19.38%	19.38%
Revised Capital Adequacy Ratio (%)	19.36%	19.33%	19.31%
Decline in CAR (%)	0.02%	0.05%	0.07%

Amāna Bank's exposure to Rate Risk is minimal, given the Bank's unique business model, wherein customer deposits are accepted on the basis of sharing profits and losses and not on the interest bearing model.

RISK MANAGEMENT REPORT

Mismatches in maturity of assets and liabilities that mature or are re-priced during a specified time period, does have an impact on the Bank’s exposure to rate risk. In order to manage and mitigate such risks, ALCO reviews the re-pricing of assets and liabilities on a monthly basis. The Bank’s rate risk is limited due to the business model adopted where customer deposits have been taken on the profit and loss sharing basis.

However, rate risk is monitored by measuring the impact on rate sensitive maturity gaps with yield curve shifts of parallel and non-parallel nature.

	1 to 30 Days	1-3 months	3-6 months	6 - 9 months	9 - 12 months	1-3 years	3-5 years	5-10 years	10-15 years	Over 15 years
Scenario I	1.00%	1.00%	1.00%	1.00%	1.00%	1.00%	1.00%	1.00%	1.00%	1.00%
Scenario II	(2.00)%	(2.00)%	(2.00)%	(2.00)%	(2.00)%	(2.00)%	(2.00)%	(2.00)%	(2.00)%	(2.00)%
Scenario III	(1.50)%	(1.50)%	(1.25)%	(1.25)%	(1.00)%	1.00%	1.00%	1.25%	1.25%	1.50%
Scenario IV	1.50%	1.50%	1.25%	1.25%	1.00%	(1.00)%	(1.00)%	(1.25)%	(1.25)%	(1.50)%
Scenario V	0.25%	0.25%	0.25%	0.25%	0.25%	0.25%	0.25%	0.25%	0.25%	0.25%

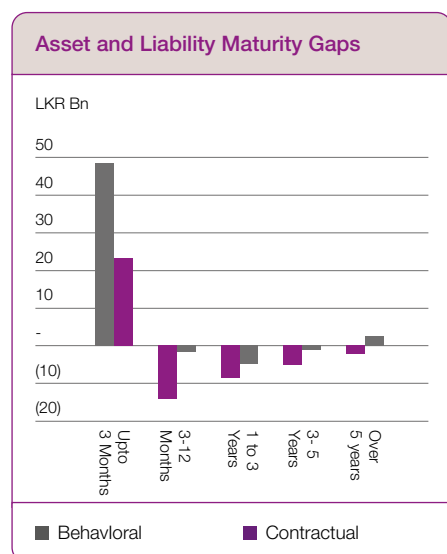
Impact of yield curve shifts on rate sensitive assets and liabilities on contractual and behavioural basis are given below:

Scenario	2023		2022	
	Rate Risk (LKR million)	Impact on Capital	Rate Risk (LKR million)	Impact on Capital
Behavioural Basis				
Scenario I	441.77	1.95%	75.57	0.51%
Scenario II	(931.72)	(4.12)%	(152.26)	1.02%
Scenario III	196.43	0.87%	(145.65)	0.97%
Scenario IV	(214.97)	(0.95)%	144.70	0.97%
Scenario V	111.78	0.49%	18.84	0.13%
Contractual Basis				
Scenario I	149.312	0.66%	(104.46)	0.70%
Scenario II	(293.68)	(1.30)%	240.25	1.61%
Scenario III	15.128	0.07%	(426.38)	2.85%
Scenario IV	(10.13)	(0.04)%	437.51	2.92%
Scenario V	37.102	0.16%	(27.14)	0.18%

The impact of 1% increase in market rates on Economic Value of Equity (EVE) and Earnings at Risk (EaR) calculated based on Behavioural and Contractual maturities are given in the table below:

	2023	2022
Economic Value of Equity (EVE) - (100 bps shift)		
Behavioural - % of Total Capital	1.95%	0.51%
- Value in LKR million	441.77	75.57
Contractual - % of Total Capital	0.66%	(0.70)%
- Value in LKR million	149.31	(104.46)
Earnings at Risk (EaR) - (100bps shift)		
Behavioural - % of Total Capital	0.81%	(0.35)%
- Value in LKR million	183.62	(52.80)
Contractual - % of Total Capital	0.09%	(1.92)%
- Value in LKR million	20.82	(287.89)

The contractual and behavioural assets and liability maturity gaps as at end of year are indicated below:



Market Risk Update for 2023

Considering the significant depreciation of the LKR against all major currencies in 2022 and the likelihood of a similar trend in 2023, the Risk Middle Office remained on high alert through continuous assessment of market conditions. Extensive scenario analysis and sensitivity testing were performed to assess the impact stemming from possible volatility in currency exchange rates. Counterparty limits were reviewed in accordance with the requirement in relation to foreign exchange. Country-wise foreign currency exposures were monitored and applicable limits were established and approved. Initial discussions towards the implementation of FX Global Code was also carried out during the year.

The Market Risk stress testing framework was further expanded to ensure cognizance with the factors noted in the latest IMF report on Sri Lanka's economic progress.

Market Risk Outlook 2024

As Sri Lanka positions itself to achieve greater economic stability, uncertainties regarding market rates, the exchange rate and equity markets are likely to persist for some time to come. Amidst this backdrop, Amāna Bank will ensure Country risk exposures are strictly monitored in conformity with Board-approved limit frameworks. Counter-party limits will also be reviewed more frequently to assess the need for capital infusions, while the scope of the scenario analysis will be further enhanced to incorporate a wider range of stress scenarios to the aggregate level stress assessment, to take cognisance of the economic downturns, market shocks, and geopolitical events.

The Bank will also target to complete the implementation of the FX Global Code which establishes a set of guidelines that promote the integrity and effective functioning of the wholesale foreign exchange market. Training to improve employee competencies

RISK MANAGEMENT REPORT

on market risk and the treasury monitoring process, will also be a priority. Equally importantly, market risk related policies will continue to be reviewed and updated as needed, to reflect the changes in the broader environment.

LIQUIDITY RISK

Liquidity Risk is the risk associated with having inadequate liquid assets to meet financial obligations as and when they fall due. Effective management of Liquidity Risk is vital for building trust with providers of capital and safeguarding the Bank's reputation.

Policies and Procedures for Managing Liquidity Risk

Liquidity Risk is managed within the framework of Board approved policies and limits and in compliance with specific regulatory requirements for licensed commercial banks. The policies and directives for Liquidity Risk Management are; the Treasury Policy and Treasury Risk Limit Framework and the Asset & Liability Management Policy.

Capital Planning Process

The Capital Planning Process is a key component of the overall approach to managing Liquidity Risk. Capital Planning involves several key elements: executing the Internal Capital Adequacy Assessment Process (ICAAP), setting capital targets and dividend ambitions, performing stress tests as well as monitoring and reporting on capital raising and allocation.

As part of the Capital Planning Process for 2023, a planned capital infusion in form of a rights issue was initiated by the Board to raise LKR 6.7 billion in order to boost the Bank's equity capital to meet the CBSL's Minimum Capital Requirement (MCR). Amidst difficult market conditions the Bank successfully concluded the Rights Issue in

November 2023 by meeting its objectives and crossed the MCR threshold of LKR 20 billion.

ICAAP

The purpose of ICAAP is to assess, on an ongoing basis, the material risks that are inherent in the Bank's business activities. ICAAP, which involves a comprehensive risk assessment on the Bank's portfolio of risk exposures, risk management practices towards material risks and potential capital planning buffer required in the event of stress, is a fundamental tool used to support efficient and effective capital planning. Essentially, the ICAAP helps to establish the baseline for the minimum internal capital requirement in correlation with the Bank's current and future business strategies and financial plans for the next three years. Compiling the ICAAP report is the responsibility of the Management Committee and a cross functional team consisting of resource personnel from Risk, Internal Audit and Finance Divisions.

All required risk assessments were carried out in order to arrive at whether the Bank has adequate capital to carry out its intended operations. In addition to risks covered under Pillar I (i.e. Credit Risk, Market Risk and Operational Risk), Pillar II risks such as: Concentration Risk, Rate Risk, Exchange Risk, Downgrade Risk and Liquidity Risk, were also assessed, along with other qualitative risk assessments for Compliance Risk, Reputational Risk, Strategic Risk, and People Risk that were carried out through risk scorecards.

Additional emphasis was given on stress testing with additional scenarios included based on varying degrees of severity considering the prevailing extraordinary circumstances, including higher Stage 3 Impairment levels as well as macroeconomic indicators.

Capital Adequacy Ratio (CAR) for 2022 and years forecast, were largely met comfortably even after continuous stress levels, against the minimum requirement of 12.5%.

The ICAAP is a mandatory requirement for all licensed commercial banks in Sri Lanka who are required to submit the Board approved ICAAP report to the CBSL within five months of the conclusion of the financial year end. In the year under review, the ICAAP report for 2022 was approved by the Board and submitted to the CBSL ahead of the stipulated timeline.

Liquidity Risk Governance Responsibilities

The Bank's Treasury serves as the first line of defence for managing Liquidity Risk. The ALCO and RMD serve as the second line of defence and remain in charge of providing oversight and advice to the Treasury. ALCO provides senior management oversight of liquidity risk and meets at least once every month to discuss the Bank's liquidity profile and report to the BIRMC and the Board accordingly. ALCO takes responsibility for the overall balance sheet and liquidity management of the Bank ensuring that both regulatory requirements and Bank's standards are met, and that sufficient buffers above those basic requirements are maintained, while taking a forward looking view of Bank's liquidity requirements and profit rate exposures.

Liquidity Risk Monitoring and Reporting

The ALCO works closely with the RMD to monitor Liquidity Risk. A broad range of metrics are used for this purpose.

- ✦ Statutory Liquid Asset Ratio (SLAR) to ensure the Bank maintains adequate liquid assets in accordance with the regulatory requirements

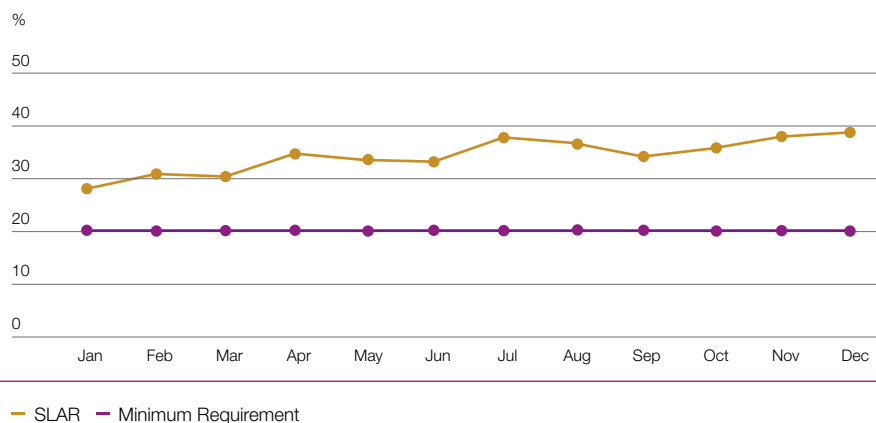
- ◆ Liquidity Coverage Ratio (LCR) to ensure adequate reserves in compliance with regulatory minimum liquidity requirements for LCR and stipulated foreign currencies
- ◆ Net Stable Funding Ratio (NSFR) to ensure the Bank maintains adequate stable funding to cover the duration of long-term assets
- ◆ Maximum Cash out flow (MCO)

The ALCO does the overall liquidity monitoring of the Bank. ALM policy is clearly defined in terms of its scope and application. Liquidity Risk is managed within the framework of policies and limits that are approved by the Board of Directors. The Board of Directors receives reports on risk exposures and performance against approved limits via BIRMC.

Adequate liquid assets are maintained by the Bank to ensure the SLAR is maintained in accordance with the regulatory requirements. Liquid assets defined for purposes of the liquidity ratio are mainly cash holdings, bank balances and short-term interbank deposits. The maintenance of SLAR during 2023 is given below:

	2023	2022
Year-end	38.58%	28.65%
Minimum	28.16%	22.06%
Maximum	38.58%	30.63%

SLAR - 2023

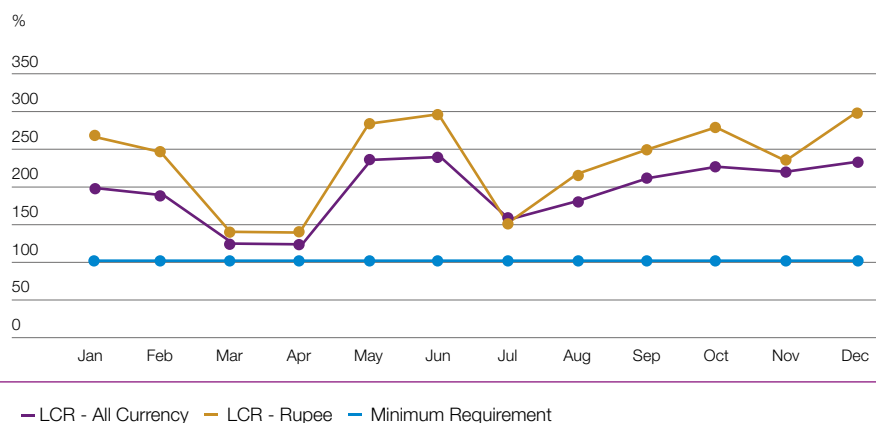


Regulations require banks to maintain LCR in respect of Rupee Liquidity for local currency operations and All Currency Liquidity Minimum Requirement for overall operations. The Bank continuously maintained this ratio well above the prudential requirement which is a minimum of 110%.

During 2023, LCR was maintained as given below:

	2023		2022	
	All Currency	Rupee	All Currency	Rupee
Year-end	234.88%	300.00%	126.45%	150.00%
Minimum	120.30%	136.00%	111.29%	148.00%
Maximum	242.00%	300.00%	327.71%	409.00%

LCR - 2023



RISK MANAGEMENT REPORT

To gain a broader perspective, Duration Analysis and Maturity Gap Analysis are also conducted periodically.

Maturity Gaps of Assets and Liabilities (Behavioural Basis) as at 31 December 2023

	Up to 3 Months LKR	3 - 12 Months LKR	1 - 3 Years LKR	3 - 5 Years LKR	Over 5 Years LKR	Total LKR	Sensitive to Rates
Assets							
Cash and Cash Equivalents	11,100,863,400	-	-	-	-	11,100,863,400	Yes
Balance with Central Bank of Sri Lanka	8,703,686,521	418,644,597	183,635,692	86,253,684	54,642,174	9,446,862,668	Yes
Placements with Banks	33,235,819,161	6,738,750,685	2,500,000,000	-	-	42,474,569,846	Yes
Placements with Licensed Finance Companies	80,783	-	-	-	-	80,783	Yes
Derivative Financial Assets	168,678,523	25,588,572	-	-	-	194,267,095	Yes
Financial Assets Recognised Through Fair Value through Profit or Loss	-	-	-	-	8,994,233	8,994,233	Yes
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	34,751,016,205	32,138,942,094	12,322,215,430	5,792,028,372	4,653,857,667	89,658,059,768	Yes
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	319,000,406	319,000,406	Yes
Other Assets - Financial	1,797,132,563	123,784,486	85,991,630	-	-	2,006,908,679	Yes
Property, Plant, Equipment And Right-of-Use Assets	-	-	-	-	2,775,396,192	2,775,396,192	No
Intangible Assets	-	-	-	-	379,309,190	379,309,190	No
Other Assets - Non Financial	64,040,908	235,014,346	3,978,397	-	-	303,033,651	No
Deferred Tax Assets	-	-	-	-	784,429,734	784,429,734	No
Total Assets	89,821,318,064	39,680,724,780	15,095,821,149	5,878,282,056	8,975,629,596	159,451,775,645	
Liabilities							
Due to Banks	321,166,526	-	-	-	-	321,166,526	Yes
Derivative Financial Liabilities	947,739	-	-	-	-	947,739	Yes
Financial Liabilities at Amortised Cost - Due to Depositors	37,135,364,576	54,057,088,898	23,746,629,031	11,085,271,056	6,913,253,486	132,937,607,047	Yes
Other Liabilities - Financial	3,349,245,544	8,759,869	33,132,680	-	-	3,391,138,093	Yes
Current Tax Liabilities	223,534,265	498,610,208	-	-	-	722,144,473	No
Dividend Payable	6,325,683	-	-	-	-	6,325,683	No
Retirement Benefit Liability	-	-	-	-	130,416,033	130,416,033	Yes
Other Liabilities - Non Financial	245,445,827	-	-	-	-	245,445,827	No
Total Liabilities	41,282,030,160	54,564,458,975	23,779,761,711	11,085,271,056	7,043,669,519	137,755,191,421	
Maturity Gap	48,539,287,904	(14,883,734,195)	(8,683,940,562)	(5,206,989,000)	1,931,960,077	21,696,584,224	

Maturity Gaps of Assets and Liabilities (Contractual Basis) as at 31 December 2023

	Up to 3 Months LKR	3 - 12 Months LKR	1 - 3 Years LKR	3 - 5 Years LKR	Over 5 Years LKR	Total LKR	Sensitive to Rates
Assets							
Cash and Cash Equivalents	11,100,863,400	-	-	-	-	11,100,863,400	Yes
Balance with Central Bank of Sri Lanka	9,446,862,668	-	-	-	-	9,446,862,668	Yes
Placements with Banks	33,235,819,161	6,738,750,685	2,500,000,000	-	-	42,474,569,846	Yes
Placements with Licensed Finance Companies	80,783	-	-	-	-	80,783	Yes
Derivative Financial Assets	168,678,523	25,588,572	-	-	-	194,267,095	Yes
Financial Assets Recognised Through Fair Value through Profit or Loss	-	-	-	-	8,994,233	8,994,233	Yes
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	34,751,016,205	32,138,942,094	12,322,215,430	5,792,028,372	4,653,857,667	89,658,059,768	Yes
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	319,000,406	319,000,406	Yes
Other Assets - Financial	1,797,132,563	123,784,486	85,991,630	-	-	2,006,908,679	Yes
Property, Plant, Equipment And Right-of-Use Assets	-	-	-	-	2,775,396,192	2,775,396,192	No
Intangible Assets	-	-	-	-	379,309,190	379,309,190	No
Other Assets - Non Financial	64,040,908	235,014,346	3,978,397	-	-	303,033,651	No
Deferred Tax Assets	-	-	-	-	784,429,734	784,429,734	No
Total Assets	90,564,494,211	39,262,080,183	14,912,185,457	5,792,028,372	8,920,987,422	159,451,775,645	
Liabilities							
Due to Banks	321,166,526	-	-	-	-	321,166,526	Yes
Derivative Financial Liabilities	947,739	-	-	-	-	947,739	Yes
Financial Liabilities at Amortised Cost - Due to Depositors	67,463,521,302	61,297,912,787	1,160,122,707	999,286,938	2,016,763,313	132,937,607,047	Yes
Other Liabilities - Financial	3,349,245,544	8,759,869	33,132,680	-	-	3,391,138,093	Yes
Current Tax Liabilities	223,534,265	498,610,208	-	-	-	722,144,473	No
Dividend Payable	6,325,683	-	-	-	-	6,325,683	No
Retirement Benefit Liability	-	-	-	-	130,416,033	130,416,033	Yes
Other Liabilities - Non Financial	245,445,827	-	-	-	-	245,445,827	No
Total Liabilities	71,610,186,886	61,805,282,864	1,193,255,387	999,286,938	2,147,179,346	137,755,191,421	
Maturity Gap	18,954,307,325	(22,543,202,681)	13,718,930,070	4,792,741,434	6,773,808,076	21,696,584,224	

RISK MANAGEMENT REPORT

MATURITY GAP ANALYSIS FOR LOCAL CURRENCY DENOMINATED ASSETS AND LIABILITIES AS AT 31 DECEMBER 2023

	Up to 1 Month	1 - 3 Months	3 - 6 Months	6 - 9 Months	
	LKR	LKR	LKR	LKR	
Inflows					
Cash in Hand	4,458,504,045	-	-	-	
Balance with Central Bank of Sri Lanka	8,456,600,449	141,313,440	197,605,011	142,634,633	
Balances Due from Other Banks and Financial Institutions	2,007,054,599	5,748,022,987	4,497,946,478	1,998,875,015	
Derivative Financial Assets	-	-	-	-	
Investments	327,994,639	-	-	-	
Overdrafts	616,863,557	616,863,557	616,863,557	616,863,557	
Financing and Receivables to Other Customers	2,079,229,819	7,774,955,121	10,816,731,543	4,626,272,761	
Non-Performing Advances	-	-	397,205,653	-	
Other Assets	10,728,501,306	108,369,261	14,429,670	14,429,670	
Total (a)	28,674,748,414	14,389,524,366	16,540,781,912	7,399,075,636	
Outflows					
Demand Deposits	1,643,648,699	1,643,648,699	1,232,736,525	821,824,350	
Savings Deposits	1,770,091,736	1,773,188,993	1,775,372,674	1,774,758,017	
Balance Due to Other Banks	-	-	-	-	
Derivative Financial Liabilities	-	-	-	-	
Time Deposits	123,117,945	8,105,150,958	13,103,611,657	9,033,129,764	
Profit Payable	38,515,414	202,652,391	302,697,713	219,875,419	
Provisions Other than for Financing Losses and Depreciation in the Value of Investment Portfolio	2,489,475,754	38,889,166	79,618,858	231,465,564	
Other Liabilities	694,605,583	-	-	-	
Unutilised Portion of Overdraft, Financing and Receivables to Other Customers	921,318,581	1,842,637,162	2,763,955,744	2,763,955,744	
Letters of Credit/Guarantees/Acceptances	852,394,611	642,124,170	733,203,116	818,794,576	
Repo/Bills Rediscounted/Swaps/Forward Contracts	8,910,000,000	1,218,240,000	567,000,000	-	
Others	200,000,000	-	-	-	
Total (b)	17,643,168,323	15,466,531,538	20,558,196,285	15,663,803,433	
Gap = (a) - (b)	11,031,580,091	(1,077,007,172)	(4,017,414,373)	(8,264,727,797)	
Cumulative Gap	11,031,580,091	9,954,572,919	5,937,158,546	(2,327,569,251)	

	9 - 12 Months	1 - 3 Years	3 - 5 Years	Over 5 Years	Total
	LKR	LKR	LKR	LKR	LKR
	-	-	-	-	4,458,504,045
	115,432,907	142,289,744	111,045,209	139,941,275	9,446,862,668
	-	2,543,352,769	-	-	16,795,251,849
	-	-	-	-	-
	-	-	-	-	327,994,639
	616,863,557	1,713,509,880	1,713,509,880	1,713,509,880	8,224,847,424
	298,503,430	15,412,935,600	7,294,224,261	27,005,700,614	75,308,553,148
	-	-	-	1,191,616,960	1,588,822,613
	40,560,183	69,147,527	784,429,734	3,436,224,162	15,196,091,513
	1,071,360,077	19,881,235,520	9,903,209,085	33,486,992,891	131,346,927,900
	821,824,350	-	-	2,054,560,874	8,218,243,497
	1,774,455,979	9,033,515,593	9,027,375,075	9,344,108,064	36,272,866,131
	-	-	-	-	-
	-	-	-	-	-
	6,815,539,561	2,568,075,959	26,693,971	11,440,273	39,786,760,087
	174,754,671	236,022,510	184,195,771	190,329,059	1,549,042,947
	76,163,953	395,521,216	498,452,873	310,952,151	4,120,539,535
	-	-	-	-	694,605,583
	2,763,955,744	-	-	-	11,055,822,976
	925,024,644	596,637,202	37,775,621	-	4,605,953,938
	-	-	-	-	10,695,240,000
	-	-	-	22,477,557,678	22,677,557,678
	13,351,718,902	12,829,772,481	9,774,493,310	34,388,948,098	139,676,632,371
	(12,280,358,824)	7,051,463,039	128,715,775	(901,955,209)	(8,329,704,470)
	(14,607,928,075)	(7,556,465,036)	(7,427,749,261)	(8,329,704,470)	

RISK MANAGEMENT REPORT

MATURITY GAP ANALYSIS FOR U.S. DOLLAR DENOMINATED ASSETS AND LIABILITIES AS AT 31 DECEMBER 2023

	Up to 1 Month	1 - 3 Months	3 - 6 Months	6 - 9 Months	
	USD	USD	USD	USD	
Inflows					
Cash in Hand	2,521,723	-	-	-	
Balance with Central Bank of Sri Lanka	-	-	-	-	
Balances Due from Other Banks and Financial Institutions	93,390,438	-	-	-	
Derivative Financial Assets	-	-	-	-	
Investments	-	-	-	-	
Overdrafts	-	7,377	7,377	7,377	
Financing and Receivables to Other Customers	14,109,080	2,980,269	4,130,992	3,481,174	
Non-Performing Advances	-	-	21,327	-	
Inter Branch Transactions	-	-	-	-	
Other Assets	224,691	-	-	-	
Total (a)	110,245,932	2,987,645	4,159,695	3,488,551	
Outflows					
Demand Deposits	728,120	728,120	546,090	364,060	
Savings Deposits	662,062	662,062	662,400	662,085	
Balance Due to Other Banks	-	-	-	-	
Derivative Financial Liabilities	-	-	-	-	
Time Deposits	760,850	9,011,450	8,177,708	5,599,959	
Net Inter-Branch Transactions	-	-	-	-	
Profit Payable	106,625	-	729,624	1,481,178	
Provisions Other than for Financing Losses and Depreciation in the Value of Investment Portfolio	38,177	-	-	-	
Other Liabilities	23,160,517	-	-	-	
Unutilised Portion of Overdraft, Financing and Receivables to Other Customers	-	-	-	-	
Letters of Credit/Guarantees/Acceptances	9,148,706	5,988,710	1,887,306	2,042,792	
Repo/Bills Rediscounted/Swaps/Forward Contracts	27,500,000	3,760,000	1,750,000	-	
Others	-	-	-	-	
Total (b)	62,105,057	20,150,342	13,753,127	10,150,074	
Gap = (a) - (b)	48,140,875	(17,162,697)	(9,593,433)	(6,661,523)	
Cumulative Gap	48,140,875	30,978,178	21,384,745	14,723,222	

9 - 12 Months	1 - 3 Years	3 - 5 Years	Over 5 Years	Total
USD	USD	USD	USD	USD
-	-	-	-	2,521,723
-	-	-	-	-
-	-	-	-	93,390,438
-	-	-	-	-
-	-	-	-	-
7,377	20,490	20,490	20,490	90,974
-	1,547,390	858,214	371,151	27,478,270
-	-	-	63,980	85,307
-	-	-	-	-
-	-	-	-	224,691
7,377	1,567,880	878,703	455,621	123,791,403
364,060	-	-	910,150	3,640,600
662,104	3,316,896	3,317,809	3,339,878	13,285,296
-	-	-	-	-
-	-	-	-	-
8,599,862	938,495	-	-	33,088,324
-	-	-	-	-
764,442	351,221	273,837	275,659	3,982,587
-	-	-	-	38,177
-	-	-	-	23,160,517
-	-	-	-	-
1,059,137	-	-	-	20,126,651
-	-	-	-	33,010,000
-	-	-	(2,338,027)	(2,338,027)
11,449,605	4,606,613	3,591,646	2,187,660	127,994,124
(11,442,229)	(3,038,733)	(2,712,943)	(1,732,039)	(4,202,722)
3,280,993	242,260	(2,470,684)	(4,202,722)	

RISK MANAGEMENT REPORT

SENSITIVITY ANALYSIS FOR LOCAL CURRENCY DENOMINATED ASSETS AND LIABILITIES AS AT 31 DECEMBER 2023

	Up to 1 Month	1 - 3 Months	3 - 6 Months	6 - 12 Months	1 - 2 Years	2 - 3 Years	
	LKR	LKR	LKR	LKR	LKR	LKR	
Inflows							
Cash in Hand	-	-	-	-	-	-	
Balance with Central Bank of Sri Lanka	-	-	-	-	-	-	
Balances Due from Other Banks and Financial Institutions	1,999,751,410	8,247,088,165	1,998,881,299	1,998,875,015	2,498,509,357	44,843,412	
Derivative Financial Assets	-	-	-	-	-	-	
Investments	-	-	-	-	-	-	
Overdrafts	8,224,847,426	-	-	-	-	-	
Financing and Receivables to Other Customers	4,890,120,145	9,305,984,529	10,676,064,822	17,016,031,473	3,928,242,319	3,258,025,449	
Non-Performing Advances	-	-	-	-	319,476,378	-	
Fixed Assets	-	-	-	-	-	-	
Accrued Profit	-	-	-	-	-	-	
Other Assets	-	-	-	-	-	-	
Total (a)	15,114,718,982	17,553,072,695	12,674,946,121	19,014,906,488	6,746,228,053	3,302,868,860	
Outflows							
Demand Deposits	-	-	-	-	-	-	
Savings Deposits	35,403,058,092	62,327,355	105,840,487	186,941,874	366,600,965	380,467,823	
Time Deposits	5,760,416,327	10,598,833,802	19,632,908,421	20,426,666,115	235,043,452	135,593,835	
Other Deposits	-	-	-	-	-	-	
Other Borrowings/Balance Due to Other Banks	-	200,000,000	-	-	-	-	
Derivative Financial Liabilities	-	-	-	-	-	-	
Profit Payable	-	-	-	-	-	-	
Provisions (Others)	-	-	-	-	-	-	
Capital	-	-	-	-	-	-	
Reserves	-	-	-	-	-	-	
Retained earnings	-	-	-	-	-	-	
Others (Liabilities)	-	-	-	-	-	-	
FRA's	8,952,120,000	1,176,120,000	567,000,000	-	-	-	
Total (b)	50,115,594,419	12,037,281,157	20,305,748,908	20,613,607,989	601,644,417	516,061,658	
Gap = (a) - (b)	(35,000,875,436)	5,515,791,538	(7,630,802,787)	(1,598,701,501)	6,144,583,636	2,786,807,202	

	3 - 4 Years	4 - 5 Years	5 - 7 Years	7 - 10 Years	10 - 15 Years	15 - 20 Years	Non Sensitive	Total
	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
	-	-	-	-	-	-	4,458,504,045	4,458,504,045
	-	-	-	-	-	-	9,499,753,619	9,499,753,619
							7,303,189	16,795,251,848
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	327,994,639	327,994,639
	-	-	-	-	-	-	-	8,224,847,426
	2,501,001,470	8,196,459,164	3,444,504,244	4,906,518,639	6,054,377,825	1,131,223,068	-	75,308,553,148
	-	174,195,371	157,362,464	-	-	-	937,788,401	1,588,822,613
	-	-	-	-	-	-	3,154,705,381	3,154,705,381
	-	-	-	-	-	-	5,732,777,649	5,732,777,649
	-	-	-	-	-	-	3,606,646,545	3,606,646,545
	2,501,001,470	8,370,654,535	3,601,866,707	4,906,518,639	6,054,377,825	1,131,223,068	27,725,473,468	128,697,856,915
	-	-	-	-	-	-	7,977,608,496	7,977,608,496
	357,058,925	332,368,154	549,652,312	723,023,785	601,811,033	953,490,872		40,022,641,677
	58,830,763	226,720,173	-	-	-	-		57,075,012,887
	-	-	-	-	-	-	240,635,001	240,635,001
	-	-	-	-	-	-	-	200,000,000
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	1,629,042,948	1,629,042,948
	-	-	-	-	-	-	3,925,484,601	3,925,484,601
	-	-	-	-	-	-	8,179,830,969	8,179,830,969
	-	-	-	-	-	-	319,969,725	319,969,725
	-	-	-	-	-	-	13,977,756,983	13,977,756,983
	-	-	-	-	-	-	(7,611,147,390)	(7,611,147,390)
	-	-	-	-	-	-	-	10,695,240,000
	415,889,688	559,088,327	549,652,312	723,023,785	601,811,033	953,490,872	28,639,181,334	136,632,075,898
	2,085,111,782	7,811,566,208	3,052,214,396	4,183,494,855	5,452,566,792	177,732,196	(913,707,865)	(7,934,218,984)

RISK MANAGEMENT REPORT

SENSITIVITY ANALYSIS FOR U.S. DOLLAR DENOMINATED ASSETS AND LIABILITIES AS AT 31 DECEMBER 2023

	Up to 1 Month	1 - 3 Months	3 - 6 Months	6 - 12 Months	1 - 2 Years	2 - 3 Years	
	USD	USD	USD	USD	USD	USD	
Inflows							
Cash in Hand	-	-	-	-	-	-	
Balance with Central Bank of Sri Lanka	-	-	-	-	-	-	
Balances Due from Other Banks and Financial Institutions	77,472,309	-	-	-	-	-	
Derivative Financial Assets	-	-	-	-	-	-	
Investments	-	-	-	-	-	-	
Overdrafts	98,353,472	-	-	-	-	-	
Financing and Receivables to Other Customers	446,644	4,023,191	3,558,780	4,358,698	100,560	336,240	
Non Performing Advances	-	-	-	-	8,480	76,827	
Fixed Assets	-	-	-	-	-	-	
Accrued Profit	-	-	-	-	-	-	
Other Assets	-	-	-	-	-	-	
Total (a)	176,272,426	4,023,191	3,558,780	4,358,698	109,040	413,067	
Outflows							
Demand Deposits	-	-	-	-	-	-	
Savings Deposits	14,039,623	-	6,758	1,303	5,657	20,692	
Time Deposits	6,960,662	11,551,195	17,972,663	27,739,467	10,400	-	
Other Deposits	-	-	-	-	-	-	
Other Borrowings/Balances Due to Other Banks	-	-	-	-	-	-	
Derivative Financial Liabilities	-	-	-	-	-	-	
Profit Payable	-	-	-	-	-	-	
Provisions (Others)	-	-	-	-	-	-	
Capital	-	-	-	-	-	-	
Reserves	-	-	-	-	-	-	
Retained earnings	-	-	-	-	-	-	
Others (Liabilities)	-	-	-	-	-	-	
FRA's	27,630,000	-	-	-	-	-	
Total (b)	48,630,285	11,551,195	17,979,421	27,740,770	16,057	20,692	
Gap = (a) - (b)	127,642,141	(7,528,004)	(14,420,641)	(23,382,073)	92,983	392,375	

	3 - 4 Years	4 - 5 Years	5 - 7 Years	7 - 10 Years	10 - 15 Years	15 - 20 Years	Non Sensitive	Total
	USD	USD	USD	USD	USD	USD	USD	USD
	-	-	-	-	-	-	2,521,723	2,521,723
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	77,472,309
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	98,353,472
		620,571	371,151	-	-	-	-	13,815,835
	-	-	-	-	-	-	-	85,307
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	848,983	848,983
	-	-	-	-	-	-	224,691	224,691
	-	620,571	371,151	-	-	-	3,595,396	193,322,321
	-	-	-	-	-	-	3,511,223	3,511,223
	27,969	2,029	33,294	44,137	37,954	2,892	-	14,222,308
	-	-	-	-	-	-	-	64,234,388
	-	-	-	-	-	-	131,041	131,041
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	1,889,980	1,889,980
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	(3,557,403)	(3,557,403)
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	1,219,375	1,219,375
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	27,630,000
	27,969	2,029	33,294	44,137	37,954	2,892	3,194,219	109,280,913
	(27,969)	618,543	337,857	(44,137)	(37,954)	(2,892)	401,177	84,041,407

RISK MANAGEMENT REPORT

Liquidity Risk Update for 2023

Considering the spillover effects of the 2022 economic crisis, the ALCO on a prudent basis decided to further increase the liquidity buffers maintained by the Bank. This ensured Amāna Bank's liquidity ratios were comfortably above the regulatory requirement throughout 2023. Working proactively to embed such considerations into the formal policy framework, the ALM Policy was updated to strengthen the detailed liquidity contingency plan covering both short and long term liquidity.

Meanwhile, the RMD further strengthened its stress testing programme for Liquidity Risk. Comprehensive stress testing was carried out to ascertain the impact on the Bank earnings and balance sheet position as a consequence of the movement in macroeconomic indicators as a result of the economic forecasts in the most recent IMF report.

Liquidity Risk Outlook for 2024

Projecting from Amāna Bank's strong liquidity position as at end December 2023, no major liquidity constraints are expected to materialise in 2024. However, the Bank will continue to monitor liquidity levels to ensure the requirements of the core business are well supported and liquidity buffers are consistent with regulatory requirements at all times. In this regard, Risk teams will aim to optimise liquidity by improving forecasting techniques with the use of AI and data analytics to better anticipate the liquidity requirements of the Bank. At the same time, the ICAAP process will be updated as needed to reflect changes in the Bank's risk profile. The Bank's liquidity policies and limit thresholds will also be kept under constant review to support relevant updates.

OPERATIONAL RISK

Policies and Procedures for Managing Operational Risk

The Board approved Operational Risk Management Policy provides the foundation for managing Operational Risk at Amāna Bank. Stemming from this overall policy, the Board has established other policies for managing key components of Operational Risk. These include: the Information Security System Policy, the Business Continuity Management (BCM) Policy, Outsourcing Policy and the Human Resources Policy and Procedures.

Operational Risk Governance Responsibilities

Operational Risk Management Committee (ORMC), a Senior Management level committee comprising functional heads and chaired by the COO, provides consistent, Bank-wide oversight of Operational Risk Management. ORMC is reporting to Executive Risk Management Committee (ERMC) which is coming under the purview of BIRMC.

The three lines of defence play a vital role in managing Operational Risk. Accordingly, frontline business unit heads in the areas of the Information Security BCM as well HR undertake to implement the Board approved policies and procedures in their respective areas. The RMD, Compliance Division, the Internal Audit Division, take the lead in monitoring identified Operational Risk metrics.

Operational Risk Monitoring and Reporting

Operational Risk exposure is managed through a comprehensive set of internal controls and management processes that include risk assessment (identification, description and estimation), risk evaluation, reporting, mitigation, residual risk reporting

and monitoring and control associated with the Bank's business operations as an on-going activity.

The Bi-annual Risk and Control Self-Assessment (RCSA) Process is a Bank-wide process covering all branches and divisions conducted by the RMD to identify likely pain points that could potentially increase the Operational Risk to the Bank. The RMD independently monitors Internal Loss data (ILD) with findings reported to the BIRMC on a quarterly basis. The Bank has developed a comprehensive set of KRIs with two threshold levels, which are constantly monitored by the Operational Risk Management Committee and BIRMC respectively. Operational Risk Management Unit has been following up on the incidents report and proposing the new KRIs on the recurring issues to avoid rising unidentified risk in the future.

Meanwhile, the Compliance Division and the Internal Audit Division perform routine due diligence in line with their respective Board approved due diligence programmes to verify the efficacy of operational systems and controls in place.

The Information Security Department carries out routine penetration testing and vulnerability testing, while the annual surveillance is done as part of the ISO 27000 Information Security System certification process. As per the new regulation on Regulatory Framework on Technology Risk Management & Resilience for licensed commercial banks, a new committee was formed for the purpose of providing oversight for Information Technology and Information Security. The Term of Reference for the Information Technology & Security Committee was approved by the Board with the endorsement of BIRMC.

Similarly, the BCM function under RMD performs drills and other routine verification protocols aimed at testing the validity of the Bank's BCM protocols in response to changes in the external and internal environment.

The BCM Policy approved by the Board of Directors defined the roles and responsibilities of different divisions, departments and units of the Bank during a contingency situation. The Bank's ERM acts as a BCM Steering Committee that establishes appropriate strategies and processes for continuity of the Bank.

RMD has established a well-defined BCP plan in order to be used as a guiding tool for all branches/unit.

All Business Continuity and Disaster Recovery operations were successfully tested in July 2023 using Disaster Recovery Servers located at Amāna Bank's disaster recovery site. All critical business functions were comprehensively tested with pre identified critical operational staff accessing respective computers at alternate site and remotely connecting to the DR server.

As per the guidelines set out in Amāna Bank's Outsourcing Policy, several non critical areas have been outsourced. These operations are managed under the purview of the Bank's Administration Department.

The HR Division is in charge of managing human capital to minimise risks and maintain uninterrupted operations at all times.

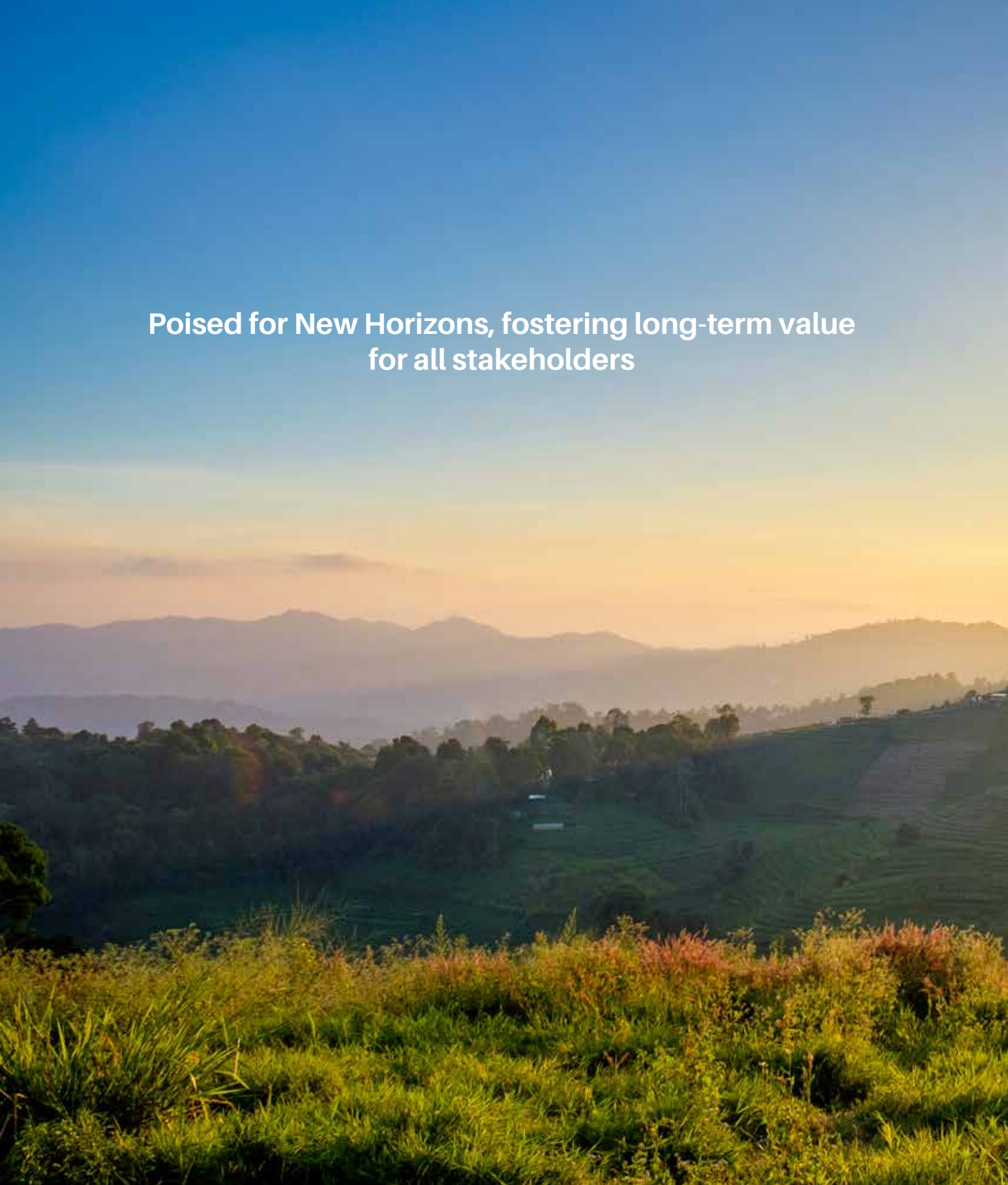
Please refer to the Capital Management Report on pages 74 to 99 for comprehensive details of the activities undertaken by the respective divisions in 2023.

WAY FORWARD

While continuously strengthening existing risk management models, going forward, Amāna Bank will strive to further expand its risk management efforts to focus on identifying and managing new and emerging risks that could potentially impact the Bank's operations in the years ahead.

In this regard, ESG & Sustainability Risk has been deemed a key focus area. Recognising the impact that Amāna Bank can make on ESG and Sustainability, the Bank expects to conduct a comprehensive Materiality Analysis in 2024. Based on the findings of this Materiality study, the Bank will look to develop and implement formal guidelines to enable ESG and sustainability considerations to be integrated into the pre-credit evaluation process. In the long term, the Bank will aim to establish a formal mechanism to quantify the climate-related risks associated with its financing portfolios on an annual basis.

Another key focus area, in the coming year will be cyber security risk. To further strengthen the Bank's cyber security architecture, the Bank is targeting two major projects in 2024 - implementation of the Payment Card Industry Data Security Standard (PCI DSS) and upgrading to the latest ISO 27001:2022 standard. In the long term, the Bank will expand its focus on cyber security and data protection standards to include vendors and third party outsource partners.



**Poised for New Horizons, fostering long-term value
for all stakeholders**



INDEPENDENT AUDITOR'S REPORT



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APAG/MA

TO THE SHAREHOLDERS OF AMANA BANK PLC

Report on the audit of the financial statements

Opinion

We have audited the financial statements of Amana Bank PLC ("the Bank"), which comprise the statement of financial position as at 31 December 2023, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Bank as at 31 December 2023, and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Bank in accordance with the Code of Ethics for Professional Accountants (including Sri Lanka Independence Standards) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in the audit of the financial statements of the current period. These matters were addressed in the context of the audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: D K Hulangamuwa FCA FCMA LLB (London), A P A Gunasekera FCA FCMA, Ms. Y A De Silva FCA, Ms. G G S Manatunga FCA, W K B S P Fernando FCA FCMA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, N M Sulaiman ACA ACMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gamage ACA ACMA, C A Yalagala ACA ACMA

Principals: T P M Ruberu FCMA FCCA MBA (USJ-SL), G B Goudan ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), D L B Karunathilaka ACMA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shakthivel B.Com (Sp)

A member firm of Ernst & Young Global Limited



Key Audit Matter

Allowances for Impairment of Financial Assets measured at amortised cost

Allowances for impairment of financial assets measured at amortised cost comprising of financing and receivables to other customers as stated in Note 23 is determined by management based on the accounting policies described in Note 2.3.3.

This was a key audit matter due to

- ✦ the involvement of significant management judgements, assumptions and level of estimation uncertainty associated in estimating management expectation of future cash flows to recover such financial assets; and
- ✦ the materiality of the reported amount of allowance of impairment and use of complex calculations in its determination.

Key areas of significant judgements, assumptions and estimates used by management in the assessment of the allowances for impairment of financial assets measured at amortised cost included: assumed future occurrence of events and conditions relating to the forward-looking macroeconomic scenarios and their associated weightages, which are subject to inherently heightened levels of estimation uncertainty.

How our audit addressed the key audit matter

In addressing the adequacy of the allowances for impairment of financial assets measured at amortised cost, our audit procedures included the following key procedures:

- ✦ Assessed the alignment of the Bank's allowances for impairment computations and underlying methodology including responses to current economic conditions with its accounting policies, based on the best available information up to the date of our report.
- ✦ Evaluated the design, implementation and operating effectiveness of controls over estimation of impairment, which included assessing the level of oversight, review and approval of allowances for impairment policies and procedures by the Board and management.
- ✦ Checked the completeness, accuracy and reasonableness of the underlying data used in the impairment computations by agreeing details to relevant source documents and accounting records of the Bank.
- ✦ Evaluated the reasonableness of credit quality assessments and related stage classifications
- ✦ In addition to the above, the following procedures were performed:
 - ✦ For financing and receivables assessed on an individual basis for impairment:
 - Checked the arithmetical accuracy of the underlying individual impairment calculations.
 - Evaluated the reasonableness of key inputs used in the allowances for impairment made with particular focus on current economic conditions. Such evaluations were carried out considering the value and timing of cash flow forecasts particularly relating to elevated risk industries and status of recovery action of the collaterals.
 - ✦ For financial assets assessed on a collective basis for impairment:
 - Tested the key inputs and the calculations used in the allowances for impairment.
 - Assessed the reasonableness of judgements, assumptions and estimates used by the Management in the underlying methodology and the management overlays. Our testing included evaluating the reasonableness of forward-looking information used, economic scenarios considered, and probability weighting assigned to each of those scenarios.
- ✦ Assessed the adequacy of the related financial statement disclosures set out in note 23.

INDEPENDENT
AUDITOR'S REPORT



Key Audit Matter	How our audit addressed the key audit matter
Information Technology (IT) systems related internal controls over financial reporting Bank's financial reporting process is significantly reliant on multiple IT systems with automated processes and internal controls. Further, key financial statement disclosures are prepared using data and reports generated by IT systems, that are compiled and formulated with the use of spreadsheets. Accordingly, IT systems related internal controls over financial reporting were considered a key audit matter.	Our audit procedures included the following key procedures: ♦ Obtained an understanding of the internal control environment of the processes and test checked relevant controls relating to financial reporting and related disclosures. ♦ Involved our internal specialized resources and; ♦ Identified, evaluated and tested the design and operating effectiveness of IT systems related internal controls, including those related to user access and change management, and ♦ Obtained a high-level understanding of the cybersecurity risks affecting the bank and the actions taken to address these risks primarily through inquiry. ♦ Tested source data of the reports used to generate disclosures for accuracy and completeness, including review of the general ledger reconciliations.

Other information included in the 2023
Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we

are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those
charged with governance for the financial
statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Bank or

to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Bank's financial reporting process.

Auditor's responsibilities for the audit of the
financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic



decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSS, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

1. Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
2. Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal controls.
3. Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
4. Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we

conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.

5. Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these

matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Bank.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 1697.

17 February 2024
Colombo

STATEMENT OF PROFIT OR LOSS

	Note	2023 Rs.	2022 Rs.
Financing Income	4	17,238,372,606	12,113,112,544
Financing Expenses	5	(10,743,449,941)	(7,344,487,821)
Net Financing Income		6,494,922,665	4,768,624,723
Net Fee and Commission Income	6	931,310,583	750,312,668
Net Trading Income	7	1,765,213,774	864,699,138
Net Gains / (Losses) from Financial Assets at Fair Value Through Profit or Loss	8	15,112,806	(21,646,296)
Net Gains / (Losses) from Derecognition of Financial Assets	9	982,956	(1,453,173)
Net Other Operating Income	10	2,982,534	5,159,290
Total Operating Income		9,210,525,318	6,365,696,350
Impairment on Financial Assets	11	(2,120,743,289)	(1,638,483,485)
Net Operating Income		7,089,782,029	4,727,212,865
Personnel Expenses	12	1,975,989,769	1,488,370,644
Depreciation of Property, Plant, Equipment and Right-of-Use Assets	26	249,465,480	274,607,079
Amortisation of Intangible Assets	27	58,137,560	51,327,168
Other Operating Expenses	13	1,587,478,916	1,176,643,239
Total Operating Expenses		3,871,071,725	2,990,948,130
Operating Profit Before VAT on Financial Services & Social Security Contribution Levy		3,218,710,304	1,736,264,735
VAT on Financial Services		(797,380,931)	(518,436,868)
Social Security Contribution Levy		(109,138,773)	(10,552,505)
Profit Before Tax		2,312,190,600	1,207,275,362
Tax Expense	14	(925,414,505)	(419,098,458)
Profit for the Year		1,386,776,095	788,176,904
Earnings Per Share - Basic	15	0.43	0.28
Earnings Per Share - Diluted	15	0.42	0.28

The Accounting Policies and Notes on pages 244 through 307 form an integral part of the Financial Statements.

STATEMENT OF COMPREHENSIVE INCOME

	Note	2023 Rs.	2022 Rs.
Profit for the Year		1,386,776,095	788,176,904
Other Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:			
Financial Assets - Fair Value through Other Comprehensive Income:			
Net Profit / (Loss) on Financial Assets - Fair Value through Other Comprehensive Income		(13,504,590)	(13,504,590)
Deferred Tax Effect on Revaluation Surplus		-	(67,325,187)
		-	(67,325,187)
Re-measurement Gain / (Loss) on Defined Benefit Plans	34	(5,003,581)	22,398,615
Deferred Tax Effect on Defined Benefit Plans		1,501,074	(6,719,585)
		(3,502,507)	15,679,030
Net Other Comprehensive Income not to be reclassified to Profit or Loss in Subsequent Periods:		(17,007,097)	(65,150,747)
Other Comprehensive Income/ (Loss) for the Year Net of Tax		(17,007,097)	(65,150,747)
Total Comprehensive Income for the Year		1,369,768,998	723,026,157

The Accounting Policies and Notes on pages 244 through 307 form an integral part of the Financial Statements.

STATEMENT OF FINANCIAL POSITION

	Note	2023 Rs.	2022 Rs.
Assets			
Cash and Cash Equivalents	17	11,100,863,400	22,603,294,374
Balance with Central Bank of Sri Lanka	18	9,446,862,668	5,085,679,063
Placements with Banks	19	42,474,569,846	24,570,292,448
Placements with Licensed Finance Companies	20	80,783	77,154
Derivative Financial Assets	21	194,267,095	70,733,336
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	22	8,994,233	59,561,097
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	23	89,658,059,768	83,185,916,541
Financial Assets Measured at Fair Value through Other Comprehensive Income	24	319,000,406	332,504,996
Other Assets - Financial	25	2,006,908,679	2,323,565,713
Property, Plant, Equipment and Right-of-Use Assets	26	2,775,396,192	2,466,761,457
Intangible Assets	27	379,309,190	319,253,349
Other Assets - Non Financial	28	303,033,651	262,467,487
Deferred Tax Assets	29	784,429,734	407,785,544
Total Assets		159,451,775,645	141,687,892,559
Liabilities			
Due to Banks	30	321,166,526	11,856,722,935
Derivative Financial Liabilities	31	947,739	20,880,000
Financial Liabilities at Amortised Cost - Due to Depositors	32	132,937,607,047	112,546,017,229
Other Liabilities - Financial	33	3,391,138,093	2,041,967,432
Current Tax Liabilities		722,144,473	645,606,465
Dividend Payable		6,325,683	6,351,708
Retirement Benefit Liability	34	130,416,033	109,411,635
Other Liabilities - Non Financial	35	245,445,827	99,580,091
Total Liabilities		137,755,191,421	127,326,537,495

	Note	2023 Rs.	2022 Rs.
Shareholders' Funds			
Stated Capital	36	17,633,461,196	11,348,821,130
ESOP Reserve	51	50,978,808	-
Statutory Reserve Fund	37	266,440,770	197,101,965
Fair Value Reserve	38	71,888,946	85,393,536
Revaluation Reserve	39	1,007,189,831	1,008,276,291
Retained Earnings	40	2,666,624,673	1,721,762,142
Total Equity		21,696,584,224	14,361,355,064
Total Liabilities and Shareholders' Funds		159,451,775,645	141,687,892,559
Commitments and Contingencies	45	40,739,749,660	34,094,312,776
Net Assets Value per Share	41	3.94	5.16

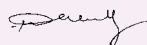
I certify that these Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.



M. Ali Wahid

Chief Financial Officer

The Board of Directors is responsible for these Financial Statements. Signed for and on behalf of the Board by:



Ali Asghar Akbarally

Chairman



Mohamed Azmeer

Managing Director/CEO

The Accounting Policies and Notes on pages 244 through 307 form an integral part of the Financial Statements.

17 February 2024

Colombo

STATEMENT OF CHANGES IN EQUITY

	Notes	Stated Capital Rs.	ESOP Reserve Rs.	Statutory Reserve Fund Rs.	Fair Value Reserve Rs.	Revaluation Reserve Rs.	Retained Earnings Rs.	Total Rs.
As at 1 January 2022		11,079,706,011	-	157,693,120	98,898,126	1,076,687,938	1,225,548,940	13,638,534,135
Profit for the Year		-	-	-	-	-	788,176,904	788,176,904
Other Comprehensive Income	38	-	-	-	(13,504,590)	(67,325,187)	15,679,030	(65,150,747)
Interim Scrip Dividend 2022		269,115,119	-	-	-	-	(269,115,119)	-
Share Issue Expenses		-	-	-	-	-	(205,228)	(205,228)
Transfers to Statutory Reserve Fund	37	-	-	39,408,845	-	-	(39,408,845)	-
Transferred to Retained Earnings	40	-	-	-	-	(1,086,460)	1,086,460	-
As at 1 January 2023		11,348,821,130	-	197,101,965	85,393,536	1,008,276,291	1,721,762,142	14,361,355,064
Profit for the Year		-	-	-	-	-	1,386,776,095	1,386,776,095
Other Comprehensive Income	38	-	-	-	(13,504,590)	-	(3,502,507)	(17,007,097)
Interim Scrip Dividend 2023		283,962,845	-	-	-	-	(283,962,845)	-
WHT on Scrip Dividend		-	-	-	-	-	(50,111,096)	(50,111,096)
Share Issue Expenses		-	-	-	-	-	(36,084,771)	(36,084,771)
Rights Issue		6,000,677,221	-	-	-	-	-	6,000,677,221
Share-Based Payment Expense	51	-	50,978,808	-	-	-	-	50,978,808
Transfers to Statutory Reserve Fund	37	-	-	69,338,805	-	-	(69,338,805)	-
Transferred to Retained Earnings	40	-	-	-	-	(1,086,460)	1,086,460	-
As at 31 December 2023		17,633,461,196	50,978,808	266,440,770	71,888,946	1,007,189,831	2,666,624,673	21,696,584,224

The Accounting Policies and Notes on pages 244 through 307 form an integral part of the Financial Statements.

STATEMENT OF CASH FLOWS

	Note	2023 Rs.	2022 Rs.
Cash Flow from Operating Activities			
Financing Income Received		17,935,909,395	11,693,445,345
Fee and Commission Received		932,293,539	748,859,495
Financing Expenses Paid		(9,910,639,207)	(6,463,893,804)
Foreign Exchange Income Received		1,765,213,774	862,745,140
Gratuity Payments Made	34	(18,784,553)	(28,185,205)
Payments to Employees and Suppliers		(4,384,224,212)	(3,165,088,968)
Operating Profit before Changes in Operating Assets and Liabilities (Note A)		6,319,768,736	3,647,882,003
(Increase) / Decrease in Operating Assets			
Financing and Receivables to Other Customers		(8,583,665,332)	(8,923,852,269)
Other Financial Assets		(351,643,742)	(1,109,611,149)
Other Non Financial Assets		(128,321,076)	(135,891,370)
Balance with Central Bank of Sri Lanka		(4,361,183,605)	(285,652,470)
Increase / (Decrease) in Operating Liabilities			
Due to Depositors		19,621,914,385	15,547,636,262
Due to Banks		(11,535,556,409)	2,846,736,752
Other Liabilities		1,501,531,152	(143,859,705)
Net Cash Flow from Operating Activities before Income Tax		2,482,844,109	11,443,388,054
Income Tax Paid		(1,136,264,701)	(444,759,164)
Net Cash Flow from Operating Activities		1,346,579,408	10,998,628,890
Cash Flows From / (Used In) Investing Activities			
Acquisition of Property, Plant and Equipment		(101,650,537)	(65,867,597)
Proceeds from Sale of Property, Plant and Equipment		47,826	315,625
Acquisition of Intangible Assets		(118,193,401)	(137,746,011)
Placements with Licensed Finance Companies		(3,671)	(3,828)
Placements with Banks		(18,610,005,525)	3,149,994,271
Dividend Received from Financial Assets		2,934,708	4,843,665
Financial Assets Recognised through Profit or Loss - Measured at Fair Value		65,679,670	(16,573,309)
Net Cash Flows Used in Investing Activities		(18,761,190,930)	2,934,962,816
Cash Flows From / (Used In) Financing Activities			
Rights Issue of Shares		6,000,677,221	-
Share Issue Expenses		(86,195,867)	(205,228)
Dividend Paid		(26,025)	(107,365)
Net Cash Flows From Financing Activities		5,914,455,329	(312,593)
Net Increase / (Decrease) in Cash and Cash Equivalents		(11,500,156,193)	13,933,279,113
Cash and Cash Equivalents at the Beginning of the Year		22,607,923,595	8,674,644,482
Cash and Cash Equivalents at the End of the Year	17.1	11,107,767,402	22,607,923,595
A. Reconciliation of Operating Profit			
Profit Before Tax		2,312,190,600	1,207,275,362
Depreciation of Property, Plant, Equipment and Right-of-Use Assets	26	249,465,480	274,607,079
Amortisation of Intangible Assets	27	58,137,560	51,327,168
(Profit) / Loss on Disposal of Property, Plant and Equipment	10	(47,826)	(315,625)
Impairment on Financial Assets	11	2,120,743,289	1,638,483,485
Provision for Gratuity	34	34,785,369	28,914,288
(Increase) / Decrease in Placement Income Receivable		697,536,789	(419,667,199)
Increase / (Decrease) in Profit Payable		769,675,433	840,604,851
Other Non Cash Items		114,114,109	38,035,168
Dividend Income (Net)		(2,934,708)	(4,843,665)
Gratuity Payments	34	(18,784,553)	(28,185,205)
(Profit) / Loss on Mark to Market Valuation		(15,112,806)	21,646,296
		6,319,768,736	3,647,882,003

The Accounting Policies and Notes on pages 244 through 307 form an integral part of the Financial Statements.

NOTES TO THE FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

1.1 General

Amāna Bank PLC ('the Bank') is a licensed commercial bank established under the Banking Act No. 30 of 1988 ('Banking Act') and amendments thereto. It is a public limited liability company incorporated on 5 February 2009 and is domiciled in Sri Lanka. The registered office of the Bank is located at No. 486, Galle Road, Colombo 3. The Bank commenced commercial banking operations on 1 August 2011. The shares of the Bank are listed on the Colombo Stock Exchange. The Bank does not have an identifiable parent, nor does it have investments in subsidiaries, associates or joint-ventures.

The Bank's network comprised of 33 (2022 – 33) branches whilst its staff strength was 886 (2022 – 797).

1.2 Principal Activities

The principal activities of the Bank continue to be providing banking and related activities such as accepting customer deposits, personal banking, lease financing, home and property financing, gold facilities, resident and non-resident foreign currency operations, trade financing, import and export financing, equipment and machinery financing, working capital financing and project financing.

1.3 Parent Entity and Ultimate Parent Entity

The Bank does not have an identifiable parent of its own.

1.4 Date of Authorisation of Issue

The Financial Statements of Amāna Bank PLC for the year ended 31 December 2023 were authorised for issue in accordance with a resolution of the Board of Directors on 17 February 2024.

2.1 BASIS OF PREPARATION

2.1.1 Basis of Measurement

The Financial Statements are prepared under the historical cost basis, except for, Derivative Financial Instruments, Financial Assets recognised through Profit or Loss, Financial Assets recognised through Other Comprehensive Income, Freehold Land and Building and Retirement Benefit Liability, all of which have been measured at fair value.

The Financial Statements are presented in Sri Lankan Rupees (Rs.), except as otherwise indicated.

2.1.2 Statement of Compliance

The Financial Statements of the Bank which comprise of the Statement of Financial Position, Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows and Material Accounting Policy information and notes, have been prepared in accordance with Sri Lanka Accounting Standards (SLFRSs and LKASs) laid down by the Institute of Chartered Accountants of Sri Lanka and are in compliance with the requirements of the Companies Act No. 07 of 2007. The presentation of the Financial Statements is also in compliance with the requirements of the Banking Act No. 30 of 1988 and amendments thereto.

2.1.3 Presentation of Financial Statements

The Bank presents its Statement of Financial Position broadly in order of liquidity. An analysis regarding recovery or settlement within 12 months after the Statement of Financial Position date (current) and more than 12 months after the Statement of Financial Position date (non-current) is presented in Note 44.

Financial Assets and Financial Liabilities are offset and the net amount is reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously. Income and expense is not offset in the Statement of Profit or Loss unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies of the Bank.

The Financial Statements of the Bank provide comparative information in respect of the previous period.

2.1.4 Going Concern

The Board of Directors of the Bank has made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Board of Directors is not aware of any material uncertainties that may cast significant doubt upon the Bank's ability to continue as a going concern. Therefore, the Financial Statements continue to be prepared on the going concern basis.

2.2 Significant Accounting Judgments, Estimates and Assumptions

The preparation of Financial Statements of the Bank in conformity with Sri Lanka Accounting Standards, requires the management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Estimates and assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected. The most significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect on the amounts recognised in the Financial Statements of the Bank are as follows:

a. Fair Value of Property, Plant and Equipment

The Freehold Land and Buildings of the Bank are reflected at fair value. The management determined that these constitute class of assets under SLFRS 13, based on the nature, characteristics and risks of the properties. The Bank engages independent valuers to determine fair value of Freehold Land and Building. When current market prices of similar assets are available, such evidence is considered in estimating fair values of these assets using comparable prices adjusted for specific market factors such as nature, location and condition of the property.

The valuation techniques and assumption used to determine the fair value of Property, Plant and Equipment and the sensitivity on the amounts presented are disclosed in Note 26 to the Financial Statements.

b. Fair value of Financial Instruments

Where the fair values of Financial Assets and Financial Liabilities are recorded in the Statement of Financial Position cannot be derived from active markets, they are determined using a variety of valuation techniques that include the use of mathematical models. The valuation of Financial Instruments is described in more detail in Note 42.

c. Impairment Losses on Financing and Receivables to Other Customers

The Bank reviews its individually significant Financing and Receivables to Other Customers at each reporting date to assess whether an impairment loss should be recorded in the Statement of Profit or Loss. In particular, management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance.

Financing and Receivables to Other Customers that have been assessed individually and found not to be impaired and all individually insignificant Financing and Receivables to Other Customers are then assessed collectively, in groups of assets with similar risk characteristics, to determine whether provision should be made due to Expected Credit Loss (ECL), events for which there is objective evidence, but the effects of which are not yet evident.

The impairment loss on Financing and Receivables to Other Customers is disclosed in more detail in Note 11 and Note 23.4

The Bank's recognition of default corresponds with Banking Act Directions No. 13 of 2021 issued by Central Bank of Sri Lanka, governing Classification, Recognition and Measurement of Credit Facilities and Classification, Recognition and Measurement of Financial Assets Other than Credit Facilities in Licensed Banks respectively.

The Bank considers Financing and Receivables to Other Customers to be in default when contractual payments of a customer becomes past due for more than 90 days and any other credit facilities classified as Stage 3 under SLFRS 9 – Financial Instruments.

Collateral Valuation

The Bank seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, gold, securities, letters of credit/guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting arrangements. The fair value of collateral is generally assessed, at a minimum, at inception and based on the Bank's approved valuation policy.

To the extent possible, the Bank uses active market data for valuing financial assets, held as collateral. Other financial assets which do not have a readily determinable market value are valued using models. Non-financial collateral, such as real estate, is valued based on data provided by third parties such as independent professional valuers.

d. Deferred Tax Assets

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax planning strategies.

Details on deferred tax assets are disclosed in Note 29.

e. Defined Benefit Plans

The cost of the defined benefit plan is determined using an actuarial valuation. The actuarial valuation involves making assumptions about discount rates, salary increment rate, age of retirement, and mortality rates. Due to the long term nature of these plans, such estimates are subject to significant uncertainty.

NOTES TO THE FINANCIAL STATEMENTS

Assumptions used are reviewed at each reporting date and disclosed in Note 34.

f. Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities. Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured.

Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote.

Commitments and Contingencies are subject to ECL and relevant details are disclosed in Note. 45

2.3 Summary of Material Accounting Policy information

2.3.1 Foreign Currency Transactions and Balances

These Financial Statements are presented in Sri Lankan Rupees (Rs.) which is the Bank's functional and presentation currency.

Transactions in foreign currencies are initially recorded at the spot rate of exchange prevailing at the date of the transactions.

Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency rate of exchange, at the reporting date. All differences arising on non-trading activities are taken to Net Other Operating Income in the Statement of Profit or Loss.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the

exchange rates at the date when fair value was determined.

Promissory Forward Exchange transactions are valued at forward market rates prevailing on the date of the reporting date. The resulting net unrealised gains or losses are dealt within the Statement of Profit or Loss.

2.3.2 Derivative Financial Instruments

Derivatives are financial instruments that derive their value in response to changes in market rates, financial instrument prices, commodity prices, foreign exchange rates and credit risk indices.

Derivatives are initially recognised at fair value at the date the derivative transaction is entered into and are subsequently re-measured to their fair value at the end of each reporting period. The resulting gain or loss is recognised in Statement of Profit or Loss immediately.

Derivative assets/liabilities represent the Promissory Forward Exchange transactions as at the reporting date.

2.3.3 Non-Derivative Financial Instruments

a. Date of Recognition

All Non-Derivative Financial Assets and Liabilities are initially recognised on the trade date (i.e. the date that the Bank becomes a party to the contractual provisions of the instrument). This includes 'regular way trades': purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place.

b. Initial Measurement of Financial Instruments

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention in acquiring them. All financial instruments are measured initially at their

fair value plus transaction costs, except in the case of Financial Assets and Financial Liabilities which are recorded at Fair Value through Profit or Loss. Transaction costs in relation to Financial Assets and Financial Liabilities at Fair Value through Profit or Loss are dealt within the Statement of Profit or Loss.

c. 'Day 1' Profit or Loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable markets, the Bank immediately recognises the difference between the transaction price and fair value (a 'Day 1' profit or loss) in Statement of Profit or Loss. In cases where fair value is determined using data which is not observable, the difference between the transaction price and model value is only recognised in the Statement of Profit or Loss when the inputs become observable, or when the instrument is derecognised.

d. Financial Instruments

(i) Classification of Financial Instruments

The Bank classifies its Financial Assets into the following measurement categories:

Measured at fair value (either through other Comprehensive Income, or through Profit or Loss); and Measured at amortised cost.

The classification depends on the Bank's business model for managing Financial Assets and the contractual terms of the Financial Assets' cash flows.

The Bank classifies its Financial Liabilities at amortised cost unless it has designated liabilities at fair value through Profit or Loss or is required to measure liabilities at fair value through Profit or Loss such as Derivative Liabilities.

(ii) Financial Assets Measured at Amortised Cost

Placements, Financing and Receivables to Other Customers and Other Financial Assets are measured at amortised cost where they have contractual terms that give rise to cash flows on specified dates, that represent solely payments of principal and profits on the principal amount outstanding; and are held within a business model whose objective is achieved by holding to collect contractual cash flows.

These instruments are initially recognised at fair value plus directly attributable transaction costs and subsequently measured at amortised cost. The measurement of credit impairment is based on the three-stage expected credit loss model described below in Note (v) Impairment of Financial Assets.

(iii) Financial Assets Measured at Fair Value through Other Comprehensive Income

Equity instruments

Investment in equity instruments that are neither Trading Financial Assets recognised through Profit or Loss, nor contingent consideration recognised by the Bank in a business combination to which SLFRS 3 'Business Combination' applies, are measured at fair value through other Comprehensive Income, where an irrevocable election has been made by management. For portfolios where management does not consider an irrevocable election of adopting fair value through Other Comprehensive Income, by default such investments shall be measured at fair value through Profit or Loss.

Amounts presented in Other Comprehensive Income are not subsequently transferred to Profit or Loss. Dividends on such investments are recognised in Profit or Loss.

(iv) Fair Value through Profit or Loss

Fair Value through Profit or Loss comprise:

Financial Investments - For Trading; and Instruments with contractual terms that do not represent solely payments of Principal and Profit.

Financial Instruments held at fair value through Profit or Loss are initially recognised at fair value, with transaction costs recognised in the Statement of Profit or Loss as incurred. Subsequently, they are measured at fair value and any gains or losses are recognised in the Statement of Profit or Loss as they arise.

Where a Financial Asset is measured at fair value, a credit valuation adjustment is included to reflect the credit worthiness of the counterparty, representing the movement in fair value attributable to changes in credit risk.

(a) Financial Investments - For Trading

A Financial Investment is classified as Financial Assets recognised through Profit or Loss if it is acquired or incurred principally for the purpose of selling or repurchasing in the near term, or forms part of a portfolio of Financial Instruments that are managed together and for which there is evidence of short-term profit taking, or it is a derivative not in a qualifying hedge relationship.

Trading derivatives and trading securities are classified as Financial Assets recognised through Profit or Loss and recognised at fair value. Refer Note 21 & 31 for Trading Derivative Assets and Liabilities, and Note 22 for Trading securities.

(b) Financial Instruments Designated as Measured at Fair Value through Profit or Loss

Upon initial recognition, Financial Instruments may be designated as measured at fair value

through Profit or Loss. A Financial Asset may only be designated at fair value through Profit or Loss if doing so eliminates or significantly reduces measurement or recognition inconsistencies (i.e. eliminates an accounting mismatch) that would otherwise arise from measuring Financial Assets or Liabilities on a different basis.

A Financial Liability may be designated at fair value through Profit or Loss if it eliminates or significantly reduces an accounting mismatch or host contract contains one or more embedded derivatives; or Financial Assets and Liabilities are both managed and their performance evaluated on a fair value basis in accordance with a documented risk management or investment strategy.

Where a Financial Liability is designated at Fair Value through Profit or Loss, the movement in fair value attributable to changes in the Bank's own credit quality is calculated by determining the changes in credit spreads above observable market rates and is presented separately in Other Comprehensive Income.

(v) Impairment of Financial Assets

The Bank applies a three-stage approach to measuring Expected Credit Losses (ECLs) for the following categories of financial assets that are not measured at fair value through profit or loss:

Debt Instruments

- ✦ Instruments measured at Amortised Cost and Fair Value through Other Comprehensive Income;
- ✦ Financing and Receivables commitments; and
- ✦ Financial Guarantee Contracts

ECL is not recognised on equity instruments.

NOTES TO THE FINANCIAL STATEMENTS

Financial Assets migrate through the following three stages based on the change in credit risk since initial recognition:

Stage 1: 12-months ECL

For exposures where there has not been a significant increase in credit risk since initial recognition and that are not credit impaired upon origination, the portion of the lifetime ECL associated with the probability of default events occurring within the next 12 months is recognised. Bank determines 12 month ECL from customers who are not significantly credit deteriorated (i.e. less than 30 days past due)

Stage 2: Lifetime ECL – not Credit Impaired

For exposures where there has been a significant increase in credit risk since initial recognition but are not credit impaired, a lifetime ECL (i.e. reflecting the remaining lifetime of the Financial Asset) is recognised.

In being consistent with the policies of the Bank, significant deterioration is measured through the rebuttable presumption of 30 days past due in line with the requirements of the standard.

In terms of qualitative assessments of whether an individually significant customer's exposure is subject to a significant increase in credit risk or default, the Bank considers a variety of instances that may signal customer's inability to service the facility. When such events occur, the Bank will carefully consider the developments and decide if such events will give rise to a customer default to be assessed as Stage 3 or if Stage 2 is sufficient for ECL computation purposes. Events include downgrade of customer rating, negative impact on customers' performance either due to future adverse economic conditions or significant change in geographical locations/natural disasters, litigations affecting the repayment

capacity, frequent management changes, requests for modifications of original terms of the facility, the customer becoming insolvent/deceased reduction in Turnover/PBT of 50% or more compared to previous year for two consecutive years and erosion of net worth of the customer by more than 25% when compared to previous year.

Stage 3: Lifetime ECL – Credit Impaired

Exposures are assessed as credit impaired when one or more events that have a detrimental impact on the estimated future cash flows of that asset have occurred. For exposures that have become credit impaired, a lifetime ECL is recognised and Financing Income is calculated by applying the Effective Rate to the amortised cost (net of provision) rather than the gross carrying amount.

Determining the Stage for Impairment

At each reporting date, the Bank assesses whether there has been a significant increase in credit risk for exposures since initial recognition by comparing the risk of default occurring over the expected life between the reporting date and the date of initial recognition. The Bank considers reasonable and supportable information that is relevant and available without undue cost or effort for this purpose. This includes quantitative and qualitative information and also, forward-looking analysis.

An exposure will migrate through the ECL stages as asset quality deteriorates. If, in a subsequent period, asset quality improves and also reverses any previously assessed significant increase in credit risk since origination, then the provision for impairment loss reverts from lifetime ECL to 12-months ECL. Exposures that have not deteriorated significantly since origination, or where the deterioration remains within the Bank's investment grade criteria, or which are less than 30 days past due, are considered to

have a low credit risk. The provision for impairment loss for these Financial Assets is based on a 12-months ECL. When an asset is uncollectible, it is written off against the related provision. Such assets are written off after all the necessary procedures have been completed and the amount of the loss has been determined. Subsequent recoveries of amounts previously written off reduce the amount of the expense in the Statement of Profit or Loss.

The Bank assesses whether the credit risk on an exposure has increased significantly on an individual or collective basis. For the purposes of a collective evaluation of impairment, Financial Instruments are grouped on the basis of shared credit risk characteristics, taking into account instrument type, credit risk ratings, date of initial recognition, remaining term to maturity, industry, geographical location of the borrower and other relevant factors.

Measurement of ECLs

ECLs are derived from unbiased and probability-weighted estimates of expected loss, and are measured as follows:

- ✦ Financial Assets that are not credit-impaired at the reporting date: as the present value of all cash shortfalls over the expected life of the Financial Asset discounted by the effective rate. The cash shortfall is the difference between the cash flows due to the Bank in accordance with the contract and the cash flows that the Bank expects to receive.
- ✦ Financial Assets that are credit-impaired at the reporting date is calculated as the difference between the gross carrying amount and the present value of estimated future cash flows discounted by the effective rate.

- ✦ Undrawn commitments: as the present value of the difference between the contractual cash flows that are due to the Bank if the commitment is drawn down and the cash flows that the Bank expects to receive.
- ✦ Financial Guarantee Contracts: as the expected payments to reimburse the holder less any amounts that the Bank expects to recover.

For further details on how the Bank calculates ECLs including the use of forward looking information, refer to the Credit quality of Financial Assets section in Note 23. For details on the effect of modifications of Financing and Receivables on the measurement of ECL refer to note on Provision for expected credit loss.

ECLs are recognised using a provision for impairment loss account in Statement of Profit or Loss. The Bank recognises the provision charge in Statement of Profit or Loss, with the corresponding amount recognised in other Comprehensive Income, with no reduction in the carrying amount of the asset in the Statement of Financial Position, where applicable.

The mechanics of the ECL calculations are outlined below and the key elements are, as follows.

PD : The Probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognised and is still in the portfolio.

EAD : The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of capital and financing income,

whether scheduled by contract or otherwise, expected draw downs on committed facilities, and accrued financing income from missed payments.

LGD : The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the Bank would expect to receive, including the realisation of any collateral. In estimating LGD for ECL computations, the Bank will use historic data of the product/economic life cycle which is currently up to 6 years from the date of reporting before arriving at an average.

Rescheduled and Restructured Advances

The Bank, at times, modifies the contractual cash flows based on borrower's financial difficulties, rather than pursuing legal action or taking possession of any collateral at the outset. Such credit facilities with modified cash flows are considered as rescheduled or restructured advances. Rescheduling or restructuring credit facilities may involve extending the payment arrangement and the agreement of new facility conditions. Once the terms have been renegotiated, any impairment is measured using the original effective profit rate as calculated before the modification of terms. It is the Bank's policy to monitor rescheduled and restructured credit facilities to ensure that regular repayments occur based on revised terms. Rescheduled and restructured credit facilities are at minimum classified as Stage 2 at the date of the modification of such facilities.

(vi) Recognition and Derecognition of Financial Instruments

A Financial Asset or Financial Liability is recognised in the Statement of Financial Position when the Bank becomes a party to the contractual provisions of the instrument, which is generally on trade date. Financing

and Receivables are recognised when cash is advanced (or settled) to the borrowers.

Financial Assets at fair value through Profit or Loss are recognised initially at fair value. All other Financial Assets are recognised initially at fair value plus directly attributable transaction costs.

The Bank derecognises a Financial Asset when the contractual cash flows from the asset expire or it transfers its rights to receive contractual cash flows on the Financial Asset in a transaction in which substantially all the risks and rewards of ownership are transferred. Any income in transferred Financial Assets that is created or retained by the Bank is recognised as a separate asset or liability.

A Financial Liability is derecognised from the Statement of Financial Position when the Bank has discharged its obligation or the contract is cancelled or expires.

(vii) Offsetting

Financial Assets and Liabilities are offset and the net amount is presented in the Statement of Financial Position when the Bank has a legal right to offset the amounts and intends to settle on a net basis or to realise the asset and settle the liability simultaneously.

e. Critical Accounting Assumptions and Estimates Applicable for Financial Assets

The application of the Bank's accounting policies requires the use of judgements, estimates and assumptions. If different assumptions or estimates were applied, the resulting values would change, impacting the net assets and income of the Bank.

Assumptions made at each reporting date are based on best estimates at that date. Although the Bank has internal control

NOTES TO THE FINANCIAL STATEMENTS

systems in place to ensure that estimates are reliably measured, actual amounts may differ from those estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

The accounting policies which are most sensitive to the use of judgement, estimates and assumptions are specified below.

(i) Fair value measurement

A significant portion of Financial Instruments are carried on the Statement of Financial Position at fair value. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Where the classification of a Financial Asset or Liability results in it being measured at fair value, wherever possible, the fair value is determined by reference to the quoted bid or offer price in the most advantageous active market to which the Bank has immediate access. An adjustment for credit risk is also incorporated into the fair value as appropriate.

Fair value for a net open position that is a Financial Liability quoted in an active market is the current offer price, and for a Financial Asset the bid price, multiplied by the number of units of the instrument held or issued.

Where no active market exists for a particular asset or liability, the Bank uses a valuation technique to arrive at the fair value, including the use of transaction prices obtained in recent arm's length transactions, discounted cash flow analysis, option pricing models and other valuation techniques, based on market conditions and risks existing at reporting date. In doing so, fair value is estimated

using a valuation technique that makes maximum use of observable market inputs and places minimal reliance upon entity-specific inputs.

The best evidence of the fair value of a Financial Instrument at initial recognition is the transaction price (i.e. the fair value of the consideration given or received) unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument (i.e. without modification or repackaging) or based on a valuation technique whose variables include only data from observable markets. When such evidence exists, the Bank recognises the difference between the transaction price and the fair value in profit or loss on initial recognition (i.e. on day 1).

(ii) Impairment Charges on Financing and Receivables

Judgment is required by management in the estimation of the amount and timing of future cash flows when determining an impairment loss for Financing and Receivables. In estimating these cash flows, the Bank makes judgments about the customer's financial situation and the net realisable value of collateral. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance.

A collective assessment of impairment takes into account data from the advance portfolio (such as credit quality, levels of arrears, credit utilisation, advances to collateral ratios, etc.), and concentrations of risk and economic data (including levels of Unemployment, Inflation, GDP Growth Rate, Benchmarked PLR, Exchange Rate, Country Risk and the performance of different individual groups) which is used to arrive at the Economic Factor Adjustment. In addition to the above quantitative economic factors, qualitative drivers of credit risk such as Status of the

Industry Business, Regulatory Impact and Government Policies were considered for the Economic Factor Adjustment.

The impairment loss on Financing and Receivables is disclosed in more detail in Note 23 - Financial Assets at Amortised Cost - Financing and Receivables to Other Customers.

The Bank considers multiple scenarios with different weightages in its ECL model. The applicable scenarios with the respective weightages are as follows:

Scenario	2023	2022
Base Case	25%	20%
Best Case	15%	0%
Worst Case	60%	80%

A sensitivity analysis performed by the Bank based on a shift in weightages of 5% each out of Base case and Best case scenarios into the worst case scenario, will increase the collective impairment provision by an estimated Rs. 29 million as at 31 December 2023.

2.3.4 Other Assets - Financial

Other Financial Assets are stated at cost less impairment for unrecoverable amount.

2.3.5 Other Assets - Non Financial

Other Non-Financial Assets are valued net of specific provision, where necessary, so as to reduce the carrying value of such assets to their estimated realisable value.

2.3.6 Property, Plant and Equipment and Right-of-Use Assets

Property, Plant and Equipment are tangible items that are held for use in the production or supply of goods or services, for rental to others or for administrative purposes and are expected to be used during more than one period.

(a) Valuation

Freehold Land and Buildings are measured at fair value less accumulated depreciation on buildings and impairment losses recognised at the date of revaluation.

Valuations are performed with sufficient frequency to ensure that the carrying amount of a revalued asset does not differ materially from its fair value.

A revaluation surplus is recorded in Statement of Other Comprehensive Income and credited to the asset revaluation surplus in equity. However, to the extent that it reverses a revaluation deficit of the same asset previously recognised in Statement of Profit or Loss, the increase is recognised in Statement of Profit or Loss. A revaluation deficit is recognised in the Statement of Profit or Loss, except to the extent that it offsets an existing surplus on the same asset recognised in the asset revaluation reserve.

An annual transfer from the asset revaluation reserve to retained earnings is made for the difference between depreciation based on the revalued carrying amount of the asset and depreciation based on the asset's original cost. Additionally, accumulated depreciation as at the revaluation date is eliminated against the gross carrying amount of the asset and the net amount is restated to the revalued amount of the asset. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

(b) Cost

Property, Plant and Equipment other than Freehold Land and Building is stated at cost, excluding the costs of day to day servicing, less accumulated depreciation and accumulated impairment in value. Such cost includes the cost of replacing part of the Property, plant and equipment when that cost is incurred, if the recognition criteria are met.

(c) Depreciation

The provision for depreciation is calculated by using a straight line method on the cost or valuation of all Property, Plant and Equipment other than freehold land, in order to write off such amounts over the estimated useful lives by equal installments.

Depreciation of an asset begins when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management.

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

The useful lives of the assets are estimated as follows:

	2023	2022
Freehold Buildings	40 years	40 years
Furniture and Fittings	5 years	5 years
Office and Other Equipment	5 - 6 years	5 - 6 years
Computer Equipment	5 - 6 years	5 - 6 years
Motor Vehicles	4 years	4 years
Computer Servers	5 years	5 years
Improvements to Leasehold Premises	Over the Period of Lease or Useful Life whichever is lower	Over the Period of Lease or Useful Life whichever is lower

(d) De-recognition

An Item of Property, Plant and Equipment is de-recognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the Statement of Profit or Loss in the year the asset is de-recognised.

(e) Right-of-Use Assets

The Bank applied a single recognition and measurement approach for all leases except for short-term leases and leases of low-value assets. The standard provides specific transition requirements and practical expedients, which have been applied by the Bank.

The Bank also applied the available practical expedients wherein it:

- ✦ Used a single discount rate to a portfolio of leases with reasonably similar characteristics
- ✦ Relied on its assessment of whether leases are onerous immediately before the date of initial application
- ✦ Applied the short-term leases exemptions to leases with lease term that ends within 12 months of the date of initial application
- ✦ Excluded the initial direct costs from the measurement of the right-of-use asset at the date of initial application
- ✦ Used hindsight in determining the lease term where the contract contained options to extend or terminate the lease

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2.3.7 Intangible Assets

The Bank’s Intangible Assets include the value of computer software. An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits attributable to it will flow to the Bank.

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful lives as follows:

	2023	2022
Computer	10 years	10 years
Software		

De-recognition of Intangible Assets

The carrying amount of an item of intangible asset is de-recognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of an item of intangible asset is included in the Statement of Profit or Loss in the year the item is de-recognised.

2.3.8 Leasing

The determination of whether an arrangement is a lease, or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfillment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

a) Finance Lease

Agreements which transfer to counterparties substantially all the risks and rewards incidental to the ownership of assets, but not necessarily legal title, are classified as finance leases.

The Bank has no agreement that is to be recognised as finance lease as at the reporting date.

b) Operating Lease

All other leases are classified as operating leases. When acting as lessor, the Bank includes the assets subject to operating leases in ‘Property, Plant and Equipment’ and accounts for them accordingly. Impairment losses are recognised to the extent that residual values are not fully recoverable and the carrying value of the assets is thereby impaired.

2.3.9 Retirement Benefit Liability

(a) Defined Benefit Plan – Gratuity

Based on the Sri Lanka Accounting Standard LKAS 19 - Employee Benefits, the Bank has adopted the actuarial valuation technique to ascertain the retirement benefit liability. An Actuarial Valuation has been carried out as at the year under review by a qualified actuary using projected unit credit method.

The principal assumptions, which have the most significant effects on the valuation, are the rate of discount, rate of increase in salary, rate of turnover at the selected ages, rate of disability, death benefits and expenses.

The defined benefit plan liability is discounted using rates equivalent to the market yields at the reporting date that are denominated in the currency in which benefits will be paid, and that have a maturity approximating to the terms of the related pension liability.

The Bank recognises the total actuarial gains and losses that arise in calculating the Bank’s obligation in respect of the plan in the Statement of Comprehensive Income during the period in which it occurs.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for payment to an employee arises only after the completion of 5 years continued service. The liability is not externally funded.

Details of the key assumptions used in the estimates are contained in Note 34 to the Financial Statements.

(b) Defined Contribution Plan - Employees' Provident Fund and Employees' Trust Fund

Employees are eligible for Employees' Provident Fund Contributions and Employees' Trust Fund Contributions in line with the respective Statutes and Regulations. The Bank contributes 12% and 3% of gross salary, respectively.

2.3.10 Provisions

Provisions are recognised when the Bank has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to any provision is presented in the Statement of Profit or Loss net of any reimbursement.

2.3.11 Taxes

(a) Current Tax

Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date. Current income tax computation is based on the provisions of the Inland Revenue Act No. 24 of 2017 is the principal enactment as amended by Inland Revenue (Amendment) Act, No.10 of 2021 and any subsequent amendments thereto enacted (or substantively enacted) as at the end of the reporting period.

The provision for Income Tax is based on the elements of income and expenditure as reported in the Financial Statements and computed in accordance with the provisions of the Inland Revenue Act No. 24 of 2017 and amendments thereto at the rates specified in Note 14 to the Financial Statements.

(b) Deferred Tax

Deferred income tax is provided, using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences except where the deferred income tax liability arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit or loss nor taxable profit or loss.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets and unused tax losses can be utilised, except where the deferred income tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination at the time of the transaction, affects neither the accounting profit or loss nor taxable profit or loss and at the time of the transaction, does not give rise to equal taxable and deductible temporary differences.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred income tax relating to items recognised directly in equity is recognised in equity and not in the Statement of Profit or Loss.

(c) Value Added Tax on Financial Services and Social Security Contribution Levy

The Bank's total value addition is subjected to a 18% Value Added Tax on Financial Services as per Section 25A of the Value Added Tax Act No. 14 of 2002 and amendments thereto.

Social Security Contribution Levy (SSCL) on Financial Services (value addition) is calculated in accordance with the Social Security Contribution Levy Act, No. 25 of 2022 and value addition is computed based on the guidelines given under the Value Added Tax (VAT) Act No. 14 of 2002 and subsequent amendments thereto. The SSCL rate applied during the year is 2.5% (with effect from 01 October 2022).

(d) IRIC Interpretation 23 "Uncertainty over Income Tax Treatment"

The Interpretation addresses the accounting for income taxes when tax treatments involve uncertainty that affects the application of LKAS 12 Income Taxes. It does not apply to taxes or levies outside the scope of LKAS 12, nor does it specifically include requirements relating to finance costs and penalties associated within certain tax treatments. The Interpretation specifically addresses the following:

- ✦ Whether an entity considers uncertain tax treatments separately
- ✦ The assumptions an entity makes about the examination of tax treatments by taxation authorities
- ✦ How an entity determines taxable profit (tax loss), tax bases, unused tax losses, unused tax credits and tax rates
- ✦ How an entity considers changes in facts and circumstances

The Bank determines whether to consider each uncertain tax treatment separately or together with one or more other uncertain tax treatments and uses the approach that better predicts the resolution of the uncertainty.

The Bank applies significant judgement in identifying uncertainties over income tax treatments. Since the Bank operates in a complex environment, it assessed whether the interpretation had an impact on its Financial Statements. Upon adoption of the interpretation, the Bank considered whether it has any uncertain tax positions, particularly those relating to transfer pricing. The Bank determined, based on its tax compliance and transfer pricing study that it is probable that its tax treatments will be accepted by the taxation authorities. The interpretation did not have an impact on the Financial Statements of the Bank.

NOTES TO THE FINANCIAL STATEMENTS

The Bank has consistently applied the accounting policies for all periods presented in these Financial Statements.

2.3.12 Recognition of Financial Income and Expenses

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Bank and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised.

(a) Income

Financing income and expenses are recognised in Statement of Profit or Loss using the Effective Profit Rate (EPR).

The EPR is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the Financial Asset or Liability (or, where appropriate, a shorter period) to the carrying amount of the Financial Asset or Liability.

When calculating the EPR, the Bank estimates future cash flows considering all contractual terms of the Financial Instrument, but not future credit losses. The calculation of the EPR includes all fees and points paid or received that are an integral part of the effective profit rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a Financial Asset or Liability.

(b) Fee and Commission Income

Fee and Commission Income and expense that are integral to the EPR on a Financial Asset or Liability are included in the measurement of the EPR.

The Bank earns Fee and Commission Income from a diverse range of services it provides to its customers comprising of fees

receivable from customers for issuing Letters of credit, guarantees, account servicing fees, legal fees and other services provided by the Bank and are recognised as the related services are performed.

(c) Dividend Income

Dividend Income is recognised when the Bank's right to receive the payment is established.

(d) Net Trading Income

Results arising from gains and losses on spot and promissory forward transactions.

(e) Short Term Employee Benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided, and are included under Personnel Expenses in the Statement of Profit or Loss. A liability is recognised for the amounts expected to be paid under short-term ex-gratia payments if the Bank has a present legal or constructive obligation to pay this amount as a result of past service rendered by the employee and the obligation can be measured reliably.

2.3.13 Financial Guarantees

In the ordinary course of business, the Bank gives Financial Guarantees, consisting of letters of credit, guarantees and acceptances. Financial Guarantees are initially recognised in the Financial Statements (within 'Other Liabilities') at fair value, being the premium received. Subsequent to initial recognition, the Bank's Liability under each guarantee is measured at the higher of the amount initially recognised less cumulative amortisation recognised in the Statement of Profit or Loss, and the best estimate of expenditure required to settle any financial obligation arising as a result of the guarantee.

Any increase in the Liability relating to Financial Guarantees is recorded in the Statement of Profit or Loss under Impairment on Financial Assets. The premium received is recognised in the Statement of Profit or Loss in 'Net Fee and Commission Income' on a straight line basis over the life of the guarantee.

2.3.14 Segment Reporting

A Segment is a distinguishable component of the Bank that is engaged in providing services (Business Segments) or in providing services within a particular economic environment (Geographical Segment) which is subject to risks and rewards that are different from those of other segments.

In accordance with the Sri Lankan Accounting Standard SLFRS 8 - 'Segmental Reporting', segmental information is presented in respect of the Bank based on Bank's management and internal reporting structure.

The Bank's segmental reporting is based on the following operating segments.

- ✦ Consumer Banking: Individual customers' deposits and consumer financing including asset financing, lease financing, gold facilities, home and property financing.
- ✦ Business Banking: Deposits of corporate and SME customers, trade financing, overdraft, equipment and machinery financing, working capital financing, lease financing and other credit facilities.
- ✦ Treasury: Placements of funds with other banks and financial institutions, equity investments and managing exposures in foreign exchange.

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss of respective segment.

Details of segment reporting are given in Note 3 to the Financial Statements.

2.3.15 Earnings Per Share

Earnings Per Share is calculated by dividing profit or loss attributable to Ordinary Shareholders of the Bank by the weighted average number of ordinary shares outstanding for the period.

Details of Earnings Per Share are given in Note 15 to the Financial Statements.

2.3.16 Cash Flow Statement

The cash flow statement has been prepared using the direct method of preparing cash flows in accordance with the Sri Lanka Accounting Standard (LKAS 7) - Statement of Cash Flows whereby gross cash receipts and gross cash payments of operating activities, financing activities and investing activities have been recognised. Cash and cash equivalents comprise of short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of change in value.

The cash and cash equivalents include cash in hand and balances with banks.

2.3.17 Impact of climate risk

In the normal course of business, the Bank and its customers are exposed to the physical risks arising from climate change. Most climate-related physical risks are

expected to manifest over a period that is generally longer than the maturity of most of the outstanding exposures. The following balances may be impacted by physical risks:

ECL: Customers and portfolios with exposure to climate risk may have a resultant deterioration in creditworthiness, which has an impact on ECL. Considering the Bank's customer exposures, it is of the view that counterparties with exposures to climate risk are not expected to be materially impacted by physical risks associated with climate change. For instance, the majority of the counterparties are not employed, or do not operate, in high-risk sectors, nor are they located in high risk geographical areas. The Bank also noted that for a significant portion of the portfolio, the time horizon for any physical impact of climate risk is longer than the maturity of most of the assets as described in Note 44.

Fair value measurement: The Bank has assumed that any climate change variables incorporated in fair value measurement are those that market participants would consider when pricing the financial instruments in accordance with SLFRS 13. The Bank is of the view that climate risk has been adequately reflected within the fair value.

2.3.18 New Accounting Standards

The following new accounting standards and amendments/improvements to existing standards which have been issued by the Institute of Chartered Accountants of Sri Lanka (CASL) are not effective as at 31 December 2023.

2.3.18.1 Standards issued but not yet effective

The new and amended standards that are issued, but not yet effective to the date of issuance of these financial statements are

disclosed below. Management is in the process of assessing the probable impacts from the below not yet effective standards:

(a) SLFRS 17 - Insurance Contracts

SLFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, SLFRS 17 will replace IFRS 4 Insurance Contracts (SLFRS 4). SLFRS 17 applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features.

SLFRS 17 is effective for annual reporting periods beginning on or after 1 January 2026. The Bank does not have a material impact from the above standard.

NOTES TO THE FINANCIAL STATEMENTS

3. SEGMENT INFORMATION

The following table presents information on total income, profit, total assets and liabilities regarding the Bank's operating segments.

	Consumer Banking 2023 Rs.	Business Banking 2023 Rs.	Total Banking 2023 Rs.	Treasury 2023 Rs.	Unallocated / Elimination 2023 Rs.	Total 2023 Rs.
Income						
Financing Income	3,944,670,837	10,581,391,352	14,526,062,189	2,712,310,417	-	17,238,372,606
Net Fee and Commission Income	329,252,689	593,205,870	922,458,559	8,852,024	-	931,310,583
Net Trading Income	-	-	-	1,765,213,774	-	1,765,213,774
Net Gains / (Losses) from Financial Assets at Fair Value Through Profit or Loss	-	-	-	15,112,806	-	15,112,806
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	982,956	-	982,956
Net Other Operating Income	-	-	-	2,982,534	-	2,982,534
Total Income	4,273,923,526	11,174,597,222	15,448,520,748	4,505,454,511	-	19,953,975,259
Less						
Financing Expenses			(10,178,913,267)	(501,401,373)	(63,135,301)	(10,743,449,941)
Impairment on Financial Assets			(2,105,114,990)	(15,628,299)	-	(2,120,743,289)
Total Operating Expenses			(2,748,460,925)	(1,122,610,800)	-	(3,871,071,725)
Operating Profit Before VAT on Financial Services & Social Security Contribution Levy			416,031,566	2,865,814,039	(63,135,301)	3,218,710,304
VAT on Financial Services & Social Security Contribution Levy						(906,519,704)
Profit Before Tax						2,312,190,600
Tax Expense						(925,414,505)
Profit for the Year						1,386,776,095
Total Assets	23,861,519,900	65,796,539,870	89,658,059,770	53,769,781,124	16,023,934,751	159,451,775,645
Total Liabilities	99,282,724,042	33,654,883,005	132,937,607,047	202,635,410	4,614,948,964	137,755,191,421

	Consumer Banking 2022 Rs.	Business Banking 2022 Rs.	Total Banking 2022 Rs.	Treasury 2022 Rs.	Unallocated / Elimination 2022 Rs.	Total 2022 Rs.
Income						
Financing Income	3,067,517,532	6,923,688,302	9,991,205,834	2,121,906,710	-	12,113,112,544
Net Fee and Commission Income	246,859,711	477,157,738	724,017,449	26,295,219	-	750,312,668
Net Trading Income	-	-	-	864,699,138	-	864,699,138
Net Gains / (Losses) from Financial Assets at Fair Value Through Profit or Loss	-	-	-	(21,646,296)	-	(21,646,296)
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	(1,453,173)	-	(1,453,173)
Net Other Operating Income	-	-	-	5,159,290	-	5,159,290
Total Income	3,314,377,243	7,400,846,040	10,715,223,283	2,994,960,888	-	13,710,184,171
Less						
Financing Expenses			(6,095,979,754)	(1,208,518,901)	(39,989,166)	(7,344,487,821)
Impairment on Financial Assets			(1,638,483,485)	-		(1,638,483,485)
Total Operating Expenses			(2,113,054,411)	(877,893,719)	-	(2,990,948,130)
Operating Profit Before VAT on Financial Services			867,705,633	908,548,268	(39,989,166)	1,736,264,735
Taxes on Financial Services						(528,989,373)
Profit Before Tax						1,207,275,362
Tax Expense						(419,098,458)
Profit for the Year						788,176,904
Total Assets	26,796,693,629	56,389,222,911	83,185,916,540	47,244,397,312	11,257,578,707	141,687,892,559
Total Liabilities	85,274,795,198	27,271,222,031	112,546,017,229	11,662,712,873	3,117,807,393	127,326,537,495

4. FINANCING INCOME

	2023 Rs.	2022 Rs.
Financing Income	14,526,062,189	9,991,205,834
Placement Income	2,712,310,417	2,121,906,710
Total	17,238,372,606	12,113,112,544

Accrued Income from Impaired Financial Assets amounting to Rs. 316,398,803/- (2022 - Rs. 302,331,690/-) has been deducted from Financing Income.

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5. FINANCING EXPENSES

	2023 Rs.	2022 Rs.
Expenses on Due to Other Customers	10,178,913,267	6,095,979,754
Expenses on Due to Banks	501,401,373	1,208,518,901
Finance Expense on Lease Liability	63,135,301	39,989,166
Total	10,743,449,941	7,344,487,821

6. NET FEE AND COMMISSION INCOME

	2023 Rs.	2022 Rs.
Trade Related Services	470,021,862	322,771,459
Other Banking and Financial Services	461,288,721	427,541,209
Total	931,310,583	750,312,668

7. NET TRADING INCOME

	2023 Rs.	2022 Rs.
Foreign Exchange Income		
- From Banks	1,617,152,118	631,449,207
- From Customers	148,061,656	233,249,931
Total	1,765,213,774	864,699,138

Foreign Exchange Income includes Gains and Losses from Spot and Promissory Forward transactions.

8. NET GAINS / (LOSSES) FROM FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS

	2023 Rs.	2022 Rs.
Equity Securities	15,112,806	(21,646,296)
Total	15,112,806	(21,646,296)

The above consists of Unrealised Gains and Losses from changes in the Fair Value of Equity Securities.

9. NET GAINS / (LOSSES) FROM DERECOGNITION OF FINANCIAL ASSETS

	2023 Rs.	2022 Rs.
Equity and Other Securities	982,956	(1,453,173)
Total	982,956	(1,453,173)

10. NET OTHER OPERATING INCOME

	2023 Rs.	2022 Rs.
Income from Dividends	2,934,708	4,843,665
Gain/(Loss) on Disposal of Property, Plant and Equipment	47,826	315,625
Total	2,982,534	5,159,290

11. IMPAIRMENT ON FINANCIAL ASSETS

The table below shows the ECL charges on Financial Instruments for the Year 2023

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
Cash and Cash Equivalents (Note 17.2)	2,274,781	-	-	2,274,781
Placements with Banks (Note 19.1)	13,353,519	-	-	13,353,519
Placements with Licensed Finance Companies (Note 20.1)	87,639	-	-	87,639
Commitments and Contingencies (Note 45.2.2)	(6,494,755)	-	-	(6,494,755)
Financing and Receivables to Other Customers (Note 23.4)	150,980,931	963,418,159	997,123,015	2,111,522,105
Total	160,202,115	963,418,159	997,123,015	2,120,743,289

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11. IMPAIRMENT ON FINANCIAL ASSETS (CONTD.)

The table below shows the ECL charges on Financial Instruments for the Year 2022

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
Cash and Cash Equivalents (Note 17.2)	3,796,597	-	-	3,796,597
Placements with Banks (Note 19.1)	1,649,903	-	-	1,649,903
Placements with Licensed Finance Companies (Note 20.1)	41,522	-	-	41,522
Commitments and Contingencies (Note 45.2.2)	39,337,353	30,289,600	9,035,459	78,662,412
Financing and Receivables to Other Customers (Note 23.4)	104,267,010	1,109,567,123	340,498,918	1,554,333,051
Total	149,092,385	1,139,856,723	349,534,377	1,638,483,485

12. PERSONNEL EXPENSES

	2023 Rs.	2022 Rs.
Salaries and Bonus	1,130,099,288	924,984,211
Defined Contribution Plan - EPF/ETF	113,699,973	115,096,452
Defined Benefit Plan - Gratuity (Note 34)	34,785,369	28,914,288
Other Staff Related Expenses	697,405,139	419,375,693
Total	1,975,989,769	1,488,370,644

13. OTHER OPERATING EXPENSES

	2023 Rs.	2022 Rs.
Directors' Emoluments	31,996,864	29,573,864
Auditors' Remuneration		
- Audit Fee and Expenses	4,545,000	4,200,000
- Non Audit Services	2,969,978	2,493,296
Professional Fees	64,654,084	51,502,435
Office Administration and Establishment Expenses	915,931,917	656,888,023
Advertising and Promotion	66,545,005	44,249,027
Deposit Insurance Premium	124,622,418	106,518,501
System Support Fee	253,920,768	165,400,134
Others	122,292,882	115,817,959
Total	1,587,478,916	1,176,643,239

14. TAX EXPENSE

	2023 Rs.	2022 Rs.
Current Tax:		
Tax Expense	1,228,454,235	760,528,872
Due to changes in rates	-	94,975,290
Tax Expense (Note 14.1)	1,228,454,235	855,504,162
(Over)/Under Provision in respect of Previous Year	72,103,386	(6,646,911)
Deferred Tax:		
Deferred Taxation Charged/(Reversal) (Note 29)	(375,143,116)	(429,758,793)
Tax Expense	925,414,505	419,098,458

14.1 Reconciliation of Accounting Profit to Tax Expense

	2023 Rs.	2022 Rs.
Accounting Profit before Income Tax	2,312,190,600	1,207,275,362
Statutory Tax Rate	30%	24% & 30%
At the Statutory Income Tax Rate		
- 24%	-	144,873,043
- 30%	693,657,180	181,091,304
Income Exempt from Tax	(79,206,111)	(3,536,433)
Non Deductible Expenses	1,023,452,140	630,399,858
Deductible Expenses	(409,448,974)	(97,323,610)
Tax Expense	1,228,454,235	855,504,162

The Effective Income Tax rate for 2023 is 40% (2022 - 35%).

15. EARNINGS PER SHARE

Earnings Per Share is calculated by dividing the Net Profit or Loss for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

NOTES TO THE FINANCIAL STATEMENTS

15. EARNINGS PER SHARE (CONTD.)

The following reflects the income and data on ordinary shares used in the Earnings Per Share computation

	2023 Rs.	2022 Rs.
Amount used as the Numerator:		
Net Profit Attributable to Ordinary Shareholders	1,386,776,095	788,176,904
Number of Ordinary Shares used as Denominator:		
Weighted Average Number of Ordinary Shares for Basic Earnings Per Share (Note 15.1)	3,251,027,646	2,809,469,048
Weighted Average Number of Ordinary Shares for Diluted Earnings Per Share (Note 15.2)	3,334,546,131	2,809,469,048
Earnings Per Share - Basic	0.43	0.28
Earnings Per Share - Diluted	0.42	0.28

15.1 Weighted Average Number of Ordinary Shares for Basic Earnings per Share

	Outstanding No. of Shares		Weighted Average No. of Shares	
	2023	2022	2023	2022
Number of Shares in Issue as at 1 January	2,783,949,511	2,691,151,194	2,783,949,511	2,691,151,194
Add				
Scrip Dividend	118,317,854	92,798,317	118,317,854	118,317,854
Employee Share Option Scheme	-	-	-	-
Rights Issue	2,608,990,096	-	348,760,281	-
Weighted Average Number of Ordinary Shares for Basic Earnings per Ordinary Share Calculation	5,511,257,461	2,783,949,511	3,251,027,646	2,809,469,048

15.2 Weighted Average Number of Ordinary Shares for Diluted Earnings per Share

	Outstanding No. of Shares		Weighted Average No. of Shares	
	2023	2022	2023	2022
Number of Shares in Issue as at 1 January	2,783,949,511	2,691,151,194	2,783,949,511	2,691,151,194
Add				
Scrip Dividend	118,317,854	92,798,317	118,317,854	118,317,854
Employee Share Option Scheme	83,518,485	-	83,518,485	-
Rights Issue	2,608,990,096	2,608,990,096	348,760,281	-
Weighted Average Number of Ordinary Shares for Diluted Earnings per Ordinary Share Calculation	5,594,775,946	5,392,939,607	3,334,546,131	2,809,469,048

16. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

16.1 Analysis of financial instruments by measurement - as at 31 December 2023

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in SLFRS 9 and by headings of the Statement of Financial Position.

As at 31 December 2023	Fair Value through Profit or Loss Rs.	Amortised Cost Rs.	Fair Value through Other Comprehensive Income Rs.	Total Rs.
Financial Assets				
Cash and Cash Equivalents	-	11,100,863,400	-	11,100,863,400
Balance with Central Bank of Sri Lanka	-	9,446,862,668	-	9,446,862,668
Placements with Banks	-	42,474,569,846	-	42,474,569,846
Placements with Licensed Finance Companies	-	80,783	-	80,783
Derivative Financial Assets	194,267,095	-	-	194,267,095
Financial Assets recognised through Profit or Loss - Measured at Fair Value	8,994,233	-	-	8,994,233
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	89,658,059,768	-	89,658,059,768
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	319,000,406	319,000,406
Other Assets - Financial	-	2,006,908,679	-	2,006,908,679
Total Financial Assets	203,261,328	154,687,345,144	319,000,406	155,209,606,878
Financial Liabilities				
Due to Banks	-	321,166,526	-	321,166,526
Derivative Financial Liabilities	947,739	-	-	947,739
Financial Liabilities at Amortised Cost - Due to Depositors	-	132,937,607,047	-	132,937,607,047
Other Liabilities - Financial	-	3,391,138,093	-	3,391,138,093
Total Financial Liabilities	947,739	136,649,911,666	-	136,650,859,405

16.2 Analysis of financial instruments by measurement - as at 31 December 2022

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in SLFRS 9 and by headings of the Statement of Financial Position.

NOTES TO THE FINANCIAL STATEMENTS

16. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS (CONTD.)

16.2 Analysis of financial instruments by measurement - as at 31 December 2022 (Contd.)

As at 31 December 2022	Fair Value through Profit or Loss Rs.	Amortised Cost Rs.	Fair Value through Other Comprehensive Income Rs.	Total Rs.
Financial Assets				
Cash and Cash Equivalents	-	22,603,294,374	-	22,603,294,374
Balance with Central Bank of Sri Lanka	-	5,085,679,063	-	5,085,679,063
Placements with Banks	-	24,570,292,448	-	24,570,292,448
Placements with Licensed Finance Companies	-	77,154	-	77,154
Derivative Financial Assets	70,733,336	-	-	70,733,336
Financial Assets recognised through Profit or Loss - Measured at Fair Value	59,561,097	-	-	59,561,097
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	83,185,916,541	-	83,185,916,541
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	332,504,996	332,504,996
Other Assets - Financial	-	2,323,565,713	-	2,323,565,713
Total Financial Assets	130,294,433	137,768,825,293	332,504,996	138,231,624,722
Financial Liabilities				
Due to Banks	-	11,856,722,935	-	11,856,722,935
Derivative Financial Liabilities	20,880,000	-	-	20,880,000
Financial Liabilities at Amortised Cost - Due to Depositors	-	112,546,017,229	-	112,546,017,229
Other Liabilities - Financial	-	2,041,967,432	-	2,041,967,432
Total Financial Liabilities	20,880,000	126,444,707,596	-	126,465,587,596

17. CASH AND CASH EQUIVALENTS

		2023 Rs.	2022 Rs.
Cash in Hand		5,513,439,332	5,621,228,557
Balances with Banks		5,594,328,070	16,986,695,038
Cash and Cash Equivalents before Allowance for Impairment	17.1	11,107,767,402	22,607,923,595
Less: Allowance for Impairment			
- Stage 1	17.2	(6,904,002)	(4,629,221)
Total		11,100,863,400	22,603,294,374

17.2 Impairment Allowance for Balances with Banks

	2023 Rs.	2022 Rs.
ECL allowance as at 1 January	4,629,221	832,624
Charge/(Write Back) for the year	2,274,781	3,796,597
Amounts Written Off	-	-
As at 31 December	6,904,002	4,629,221

18. BALANCE WITH CENTRAL BANK OF SRI LANKA

	2023 Rs.	2022 Rs.
Statutory Deposit with the Central Bank of Sri Lanka	9,446,862,668	5,085,679,063
	9,446,862,668	5,085,679,063

As required by the Provisions of Section 93 of the Monetary Law Act, a cash balance is required to be maintained with Central Bank of Sri Lanka. As at 31 December 2023, the minimum cash reserve requirement was 2.0% (2022 - 4.0%) of Rupee liabilities of the Domestic Banking Unit. There is no reserve requirement for foreign currency deposit liabilities of the Domestic Banking Unit.

The statutory deposit with Central Bank of Sri Lanka is not available for financing the Bank's day to day operations and therefore it is not considered as part of Cash and Cash Equivalents.

19. PLACEMENTS WITH BANKS

		2023 Rs.	2022 Rs.
Saving Deposits		171,310	165,474
Term Deposits		42,490,516,627	24,572,891,546
Less: Allowance for Impairment			
- Stage 1	19.1	(16,118,091)	(2,764,572)
Total		42,474,569,846	24,570,292,448

NOTES TO THE
FINANCIAL STATEMENTS

19. PLACEMENTS WITH BANKS (CONTD.)

19.1 Impairment Allowance for Placements with Banks

	2023 Rs.	2022 Rs.
ECL allowance as at 1 January	2,764,572	1,114,669
Charge/(Write Back) for the year	13,353,519	1,649,903
Amounts Written Off	-	-
As at 31 December	16,118,091	2,764,572

20. PLACEMENTS WITH LICENSED FINANCE COMPANIES

		2023 Rs.	2022 Rs.
Saving Deposits		80,996	77,179
Less: Allowance for Impairment			
- Stage 1	20.1	(213)	(25)
Total		80,783	77,154

20.1 Impairment Allowance for Licensed Finance Companies

		2023 Rs.	2022 Rs.
ECL allowance as at 1 January		25	10
Charge/(Write Back) for the year		87,639	41,522
Transfer		(87,451)	(41,507)
As at 31 December		213	25

21. DERIVATIVE FINANCIAL ASSETS

		2023 Rs.	2022 Rs.
Spot and Promissory Forward Foreign Exchange Transactions		194,267,095	70,733,336
Total		194,267,095	70,733,336

22. FINANCIAL ASSETS RECOGNISED THROUGH PROFIT OR LOSS - MEASURED AT FAIR VALUE

	2023 Rs.	2022 Rs.
Investment in Equity Securities - Quoted (22.1)	8,994,233	59,561,097
	8,994,233	59,561,097

22.1 Investment in Equity Securities - Quoted

	No. of Ordinary Shares		Carrying Value 2023 Rs.	Carrying Value 2022 Rs.
	2023	2022		
Dankotuwa Porcelain PLC	250,000	-	5,250,000	-
Dialog Axiata PLC	-	1,619,860	-	13,768,810
Dipped Products PLC	70,000	380,000	1,953,000	11,058,000
Haycarb PLC	24,125	100,000	1,551,238	5,760,000
Hemas Holdings PLC	-	184,044	-	10,380,082
Tokyo Cement Company PLC	-	135,000	-	4,455,000
Tokyo Cement Company PLC Non Voting	-	111,050	-	2,887,300
Vidullanka PLC	19,100	26,400	127,970	161,040
Wind Force PLC	-	587,102	-	8,747,820
Nestle Lanka PLC	100	2,589	112,025	2,343,045
Total Carrying Value			8,994,233	59,561,097

23. FINANCIAL ASSETS AT AMORTISED COST - FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

Summary	2023 Rs.	2022 Rs.
Gross Financing and Receivables to Other Customers		
Stage 1	76,701,264,818	74,873,086,835
Stage 2	15,147,656,771	9,044,027,200
Stage 3	3,738,281,684	3,188,674,257
	95,587,203,273	87,105,788,292
Less: Allowance for Impairment		
Stage 1	(1,131,909,906)	(980,928,975)
Stage 2	(2,675,414,044)	(1,711,995,885)
Stage 3	(2,121,819,555)	(1,226,946,891)
Total	89,658,059,768	83,185,916,541

NOTES TO THE
FINANCIAL STATEMENTS

23. FINANCIAL ASSETS AT AMORTISED COST - FINANCING AND RECEIVABLES TO OTHER CUSTOMERS (CONTD.)

23.1 By Product

	2023	2022
Overdraft	8,914,160,883	6,475,276,703
Trade Finance	1,646,710,677	844,144,103
Lease Receivables	5,551,286,567	4,189,836,195
Staff Facilities	715,175,205	826,906,607
Term Financing:		
- Short Term	38,117,041,284	31,172,561,392
- Long Term	28,174,482,138	30,311,917,654
Gold Facilities	11,744,010,313	12,741,591,227
Others	724,336,206	543,554,411
	95,587,203,273	87,105,788,292
Less: Allowance for Impairment		
Stage 1	(1,131,909,906)	(980,928,975)
Stage 2	(2,675,414,044)	(1,711,995,885)
Stage 3	(2,121,819,555)	(1,226,946,891)
Total	89,658,059,768	83,185,916,541

23.2 By Currency

	2023 Rs.	2022 Rs.
Sri Lanka Rupees	90,470,865,572	82,515,923,059
United States Dollars	5,116,337,701	4,589,865,233
	95,587,203,273	87,105,788,292
Less: Allowance for Impairment		
Stage 1	(1,131,909,906)	(980,928,975)
Stage 2	(2,675,414,044)	(1,711,995,885)
Stage 3	(2,121,819,555)	(1,226,946,891)
Total	89,658,059,768	83,185,916,541

23.3 By Industry

	2023	2022
Agriculture, Forestry and Fishing	12,186,487,382	10,385,556,681
Construction	8,255,431,597	9,440,824,510
Consumption	21,701,040,904	19,471,053,339
Financial Services	1,625,582,713	2,021,625,999
Information Technology and Communication Services	870,249,468	1,124,142,282
Infrastructure Development	2,051,892,188	2,529,693,215
Manufacturing	13,015,795,074	15,043,105,583
Tourism	510,871,840	421,169,719
Transportation and Storage	1,013,725,250	1,408,203,227
Wholesale and Retail Trade	33,529,212,888	23,862,458,683
Other Services	826,913,969	1,397,955,054
	95,587,203,273	87,105,788,292
Less: Allowance for Impairment		
Stage 1	(1,131,909,906)	(980,928,975)
Stage 2	(2,675,414,044)	(1,711,995,885)
Stage 3	(2,121,819,555)	(1,226,946,891)
Total	89,658,059,768	83,185,916,541

23.4 Impairment Allowance for Financing and Receivables to Other Customers

A reconciliation of the allowance for impairment losses for Financing and Receivables to Other Customers, under SLFRS 9 as at 31 December 2023 is as follows:

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Impairment Rs.
As at 1 January 2023	980,928,975	1,711,995,885	1,226,946,891	3,919,871,751
Charge/(Write Back) for the year	150,980,931	963,418,159	997,123,015	2,111,522,105
Amounts Written Off	-	-	(102,250,351)	(102,250,351)
As at 31 December 2023	1,131,909,906	2,675,414,044	2,121,819,555	5,929,143,505

NOTES TO THE FINANCIAL STATEMENTS

23. FINANCIAL ASSETS AT AMORTISED COST - FINANCING AND RECEIVABLES TO OTHER CUSTOMERS (CONTD.)

23.4 Impairment Allowance for Financing and Receivables to Other Customers (Contd.)

A reconciliation of the allowance for impairment losses for Financing and Receivables to Other Customers, under SLFRS 9 as at 31 December 2022 is as follows:

	Stage 1	Stage 2	Stage 3	Total Impairment
	Rs.	Rs.	Rs.	Rs.
As at 1 January 2022	876,661,965	602,428,762	890,492,491	2,369,583,218
Charge/(Write Back) for the year	104,267,010	1,109,567,123	340,498,918	1,554,333,051
Amounts Written Off	-	-	(4,044,518)	(4,044,518)
As at 31 December 2022	980,928,975	1,711,995,885	1,226,946,891	3,919,871,751

Based on the requirements of the SLFRS 9, the Bank applies the amortised cost method to measure the Financial Instruments in instances where the Bank's business model is to hold the Financial Asset to collect the contractual cash flows. The characteristics of the contractual cash flows herein refers to repayment of capital and profits/income only (referred to as "SPPI" test under SLFRS 9). Capital is the fair value of the instrument at initial recognition.

Profit/Income is the return within a basic financing arrangement and typically consists of consideration for the credit risk and may also include consideration for other basic risks such as liquidity risk as well as a financing margin.

The Bank manages its Financial Assets to achieve its business objective having carried out the appropriate business model assessment.

24. FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

Financial Assets held under the category of Fair Value through Other Comprehensive Income (FVOCI) consists of equity investments. Gains or Losses arising due to changes in fair value are recognised in OCI. Realised Gains or Losses are not recognised to the Statement of Profit or Loss and is also not subject to any impairment assessment. Dividends earned whilst holding FVOCI Financial Assets are recognised in the Statement of Profit or Loss under 'Net Other Operating Income' when the right to receive the dividend is established.

	2023 Rs.	2022 Rs.
Investments in Securities		
Equities - Quoted (24.1)	316,007,406	329,511,996
Equities - Unquoted (24.2)	2,993,000	2,993,000
	319,000,406	332,504,996

24.1 Investment in Equity - Quoted

	No. of Ordinary Shares		Carrying Value 2023 Rs.	Carrying Value 2022 Rs.
	2023	2022		
Amana Takaful PLC	27,009,180	27,009,180	316,007,406	329,511,996
Total			316,007,406	329,511,996

24.2 Investment in Equity - Unquoted

	No. of Ordinary Shares		Carrying Value 2023 Rs.	Carrying Value 2022 Rs.
	2023	2022		
LankaClear (Private) Limited	50,000	50,000	2,000,000	2,000,000
Credit Information Bureau of Sri Lanka	300	300	993,000	993,000
Total Carrying Value			2,993,000	2,993,000

All unquoted investments are recorded at cost and the Bank intends to hold them for the long term.

25. OTHER ASSETS - FINANCIAL

	2023	2022
Refundable Deposits and Other Debtors	1,515,389,352	1,053,858,237
Prepaid Staff Costs	328,176,630	299,189,020
Other Receivables	163,342,697	970,518,456
Total	2,006,908,679	2,323,565,713

NOTES TO THE FINANCIAL STATEMENTS

26. PROPERTY, PLANT, EQUIPMENT AND RIGHT-OF-USE ASSETS

	Freehold Land and Building Rs.	Improvements to Leasehold Premises Rs.	Furniture and Fittings Rs.	Office Equipment Rs.	Computer Equipment Rs.	Motor Vehicles Rs.	Computer Servers Rs.	Right-of-Use Assets Rs.	Total Rs.
Cost or Valuation:									
As at 1 January 2022	1,781,305,732	327,260,817	236,474,393	460,737,371	407,562,960	24,304,072	222,404,792	750,868,981	4,210,919,118
Additions	-	20,284,751	5,808,098	17,209,775	18,542,243	-	4,022,730	228,351,140	294,218,737
Revaluation	-	-	-	-	-	-	-	-	-
Transfer*	-	-	-	-	-	-	-	-	-
Disposals	-	(125,663,540)	(91,204)	(233,578)	-	-	-	-	(125,988,322)
As at 31 December 2022	1,781,305,732	221,882,028	242,191,287	477,713,568	426,105,203	24,304,072	226,427,522	979,220,121	4,379,149,533
Additions	7,686,157	20,044,717	11,702,671	15,495,582	39,560,160	-	7,161,250	456,449,678	558,100,215
Revaluation	-	-	-	-	-	-	-	-	-
Transfer	-	-	-	-	-	-	-	-	-
Disposals	-	(131,817)	-	(182,184)	-	-	-	-	(314,001)
As at 31 December 2023	1,788,991,889	241,794,928	253,893,958	493,026,966	465,665,363	24,304,072	233,588,772	1,435,669,799	4,936,935,747
Depreciation									
As at 1 January 2022	12,205,732	248,076,807	204,384,674	416,461,499	306,943,586	12,089,593	172,590,573	391,016,869	1,763,769,333
Disposals	-	(125,663,540)	(91,204)	(233,578)	-	-	-	-	(125,988,322)
Depreciation Charge for the Year	1,411,015	29,492,985	17,136,863	21,256,873	42,319,465	93,742	21,049,423	141,846,713	274,607,079
Transfer*	-	-	-	-	-	-	-	-	-
As at 31 December 2022	13,616,747	151,906,252	221,430,333	437,484,794	349,263,051	12,183,335	193,639,982	532,863,582	1,912,388,076
Disposals	-	(131,817)	-	-	(182,184)	-	-	-	(314,001)
Depreciation Charge for the Year	1,831,405	27,323,254	13,054,175	17,933,528	39,214,765	1,124,170	10,228,669	138,755,514	249,465,480
Transfer	-	-	-	-	-	-	-	-	-
As at 31 December 2023	15,448,152	179,097,689	234,484,508	455,418,322	388,295,632	13,307,505	203,868,651	671,619,096	2,161,539,555
Net Book Value:									
As at 31 December 2023	1,773,543,737	62,697,239	19,409,450	37,608,644	77,369,731	10,996,567	29,720,121	764,050,703	2,775,396,192
As at 31 December 2022	1,767,688,985	69,975,776	20,760,954	40,228,774	76,842,152	12,120,737	32,787,540	446,356,539	2,466,761,457

26.1 During the year, the Bank acquired Property, Plant and Equipment to the aggregate value of Rs.558,100,215/- (2022 - Rs. 294,218,737/-). Cash payments amounting to Rs. 101,650,537/- (2022 - Rs. 65,867,597/-) were made during the year for purchase of Property, Plant and Equipment.

26.2 Property, Plant and Equipment includes fully depreciated assets with a gross carrying amount of Rs. 1,408,736,909/- (2022 - Rs. 964,218,148/-) which are still in use at the date of the Statement of Financial Position.

26.3 There were no Property, Plant and Equipment identified as temporarily idle as at the date of the Statement of Financial Position.

26.4 No assets have been pledged by the Bank.

26.5 The Bank measures land and buildings at revalued amounts with gains in fair value being recognised in Statement of Comprehensive Income and losses in the Statement of Profit or Loss. An independent valuation specialist was engaged to assess the fair value as at 31 December 2021 for the revalued land and buildings. Land and buildings were valued by reference to market-based evidence, using comparable prices adjusted for specific market factors such as nature, location and condition of the property.

The Bank reviewed the fair value of its Freehold Land and Buildings as at 31 December 2023 which were previously revalued as at 31 December 2021, to ascertain whether there is any significant change in fair value as of the reporting date and concluded that there is no significant deviation in fair value as at the reporting date.

The key assumptions used to determine the fair value of the revalued land and buildings and the sensitivity analyses are further discussed below.

The revalued land and buildings consists of a land comprising three office buildings located in 486, Galle Road, Colombo 3, Sri Lanka. Management determined that these constitute one class of asset under SLFRS 13, based on the nature, characteristics and risks of the property.

Valuation Methods, Assumptions and Measurement Hierarchy

Fair value of the land and building is determined at Rs. 1,769,100,000 that falls under Level 3 (Significant unobservable inputs) of the fair value measurement hierarchy. The fair value was determined using the market comparable method. This means that valuations performed by the valuer are based on market prices, significantly adjusted for differences in the nature, location or condition of the specific property. The property's fair values are based on valuations performed by Mr. P.P.T. Mohideen (Chartered Valuation Surveyor and Fellow of the Institute of Valuers of Sri Lanka), an accredited independent valuer and having recent experience in the location and category of the Land and Building.

Key Valuation Assumptions used are:

Significant Unobservable Valuation Input:

Land : Price per perch Rs. 23,500,000

Building : Price per square foot Rs. 3,650 - Rs. 5,000

Significant increases / (decreases) in estimated price per perch and square foot in isolation would result in a significantly higher / (lower) fair value.

Reconciliation of Fair Value of Revalued Land and Buildings:	2023 Rs.	2022 Rs.
As at 1 January	1,769,100,000	1,769,100,000
Level 3 Revaluation Recognised due to Revaluation Model	-	-
As at 31 December	1,769,100,000	1,769,100,000

NOTES TO THE FINANCIAL STATEMENTS

26. PROPERTY, PLANT, EQUIPMENT AND RIGHT-OF-USE ASSETS (CONTD.)

If Freehold Land and Buildings were Measured using the Cost Model, the Carrying Amounts would be as follows:

	2023			2022		
	Cost Rs.	Accumulated Depreciation Rs.	Net Carrying Amount Rs.	Cost Rs.	Accumulated Depreciation Rs.	Net Carrying Amount Rs.
Freehold Land	300,299,702	-	300,299,702	300,299,702	-	300,299,701
Building	75,076,760	(15,034,973)	60,041,787	67,390,603	(13,158,054)	54,232,549
Net Carrying Amount	375,376,462	(15,034,973)	360,341,489	367,690,305	(13,158,054)	354,532,250

26.6 The Details of the Land and Building Owned by the Bank are as follows;

	Extent		Valuation		Valuation	
	Land (Perches)	Building (Sq.ft)	Land Rs.	Building Rs.	Land Rs.	Building Rs.
486, Galle Road, Colombo 3	70.80	22,718	1,663,800,000	105,300,000	1,663,800,000	105,300,000

26.7 Cash payments amounting to Rs.182,265,351/- (2022 - Rs. 178,399,442/-) was paid relating to lease liabilities recognised under SLFRS 16 - Leases

27. INTANGIBLE ASSETS

	2023 Rs.	2022 Rs.
Computer Software Cost:		
As at 1 January	815,937,043	678,191,032
Additions	118,193,401	137,746,011
Disposals	-	-
As at 31 December	934,130,444	815,937,043
Amortisation		
As at 1 January	496,683,694	445,356,526
Amortisation Charge for the Year	58,137,560	51,327,168
Disposals	-	-
As at 31 December	554,821,254	496,683,694
Net Book Value:		
As At 31 December	379,309,190	319,253,349

28. OTHER ASSETS - NON FINANCIAL

	2023 Rs.	2022 Rs.
Stationery Stock	8,459,491	10,472,521
Prepayments and Advances	261,936,366	223,359,968
Tax Receivables	32,637,794	28,634,998
Total	303,033,651	262,467,487

29. DEFERRED TAX ASSETS

	2023			2022		
	Deferred Tax Liability / (Asset) Rs.	Statement of Profit or Loss Rs.	Statement of Comprehensive Income Rs.	Deferred Tax Liability / (Asset) Rs.	Statement of Profit or Loss Rs.	Statement of Comprehensive Income Rs.
Deferred Tax Liability						
Capital Allowances for Tax purposes	68,425,226	(12,075,499)	-	80,500,725	(1,754,999)	-
Capital Gain for Tax purposes	396,097,938	-	-	396,097,938	-	67,325,187
Right-of-Use Assets	(22,878,653)	(5,887,639)	-	(16,991,014)	(4,222,948)	-
Deferred Tax Assets						
Defined Benefit Plans	(39,124,810)	(4,800,245)	(1,501,074)	(32,823,490)	(8,083,595)	6,719,585
Share based payments - ESOP	(15,293,642)	(15,293,642)				
Provision for Impairment Losses	(1,171,655,793)	(337,086,091)	-	(834,569,703)	(415,697,251)	-
Total	(784,429,734)	(375,143,116)	(1,501,074)	(407,785,544)	(429,758,793)	74,044,772

30. DUE TO BANKS

	2023 Rs.	2022 Rs.
Vostro Balances	19,293,711	21,934,551
Balance Due to Central Bank of Sri Lanka (Saubagya Renaissance Facility)	100,185,144	192,955,511
Balances Due to Banks	201,687,671	11,641,832,873
Total	321,166,526	11,856,722,935

NOTES TO THE
FINANCIAL STATEMENTS

31. DERIVATIVE FINANCIAL LIABILITIES

	2023 Rs.	2022 Rs.
Spot and Promissory Forward Foreign Exchange Transactions	947,739	20,880,000
Total	947,739	20,880,000

32. FINANCIAL LIABILITIES AT AMORTISED COST - DUE TO DEPOSITORS

	2023 Rs.	2022 Rs.
Due to Depositors	132,937,607,047	112,546,017,229

32.1 By Product

	2023 Rs.	2022 Rs.
Demand Deposits	9,057,316,076	8,283,481,239
Savings Deposits	43,745,813,814	39,594,167,255
Time Deposits	80,134,477,157	64,668,368,735
Total	132,937,607,047	112,546,017,229

32.2 By Currency

	2023 Rs.	2022 Rs.
Sri Lanka Rupees	105,764,476,555	85,579,461,803
United States Dollars	26,761,278,276	26,444,215,096
Great Britain Pounds	245,820,501	308,579,182
Others	166,031,715	213,761,148
Total	132,937,607,047	112,546,017,229

33. OTHER LIABILITIES - FINANCIAL

	2023 Rs.	2022 Rs.
Accrued Expenses	881,251,499	1,021,469,294
Balances Held in Margin	283,091,713	143,043,021
Cheques Pending Realisation	371,422,328	119,160,872
Impairment Provision for ECL - Credit related Commitment and Contingencies (Note 45)	88,124,042	94,618,797
Other Liabilities	964,444,420	196,746,279
Lease Liability (Note 33.1)	794,333,929	455,790,270
Sundry Creditors	8,470,162	11,138,899
Total	3,391,138,093	2,041,967,432

33.1 Maturity Analysis of Lease Liability

	2023 Rs.	2022 Rs.
Less than 1 year	71,411,328	80,665,723
Between 1 and 5 years	369,264,534	294,301,395
More than 5 years	353,658,067	80,823,152
Total Expected Payments	794,333,929	455,790,270

34. RETIREMENT BENEFIT LIABILITY

	Note	2023 Rs.	2022 Rs.
At 1 January		109,411,635	131,081,167
Opening Balance Adjustment	34.2	-	(11,346,374)
At 1 January (Adjusted)		109,411,635	119,734,793
Expenses Recognised in the Statement of Profit or Loss	34.1	34,785,369	28,914,288
Actuarial Gain Recognised in the Statement of Comprehensive Income	34.2	5,003,582	(11,052,241)
Benefits Paid		(18,784,553)	(28,185,205)
At 31 December		130,416,033	109,411,635

NOTES TO THE
FINANCIAL STATEMENTS

34. RETIREMENT BENEFIT LIABILITY (CONTD.)

34.1 Expenses Recognised in the Statement of Profit or Loss

	2023 Rs.	2022 Rs.
Current Service Cost	13,997,159	15,216,628
Finance Cost	20,788,210	13,697,660
Components Recognised in the Statement of Profit or Loss	34,785,369	28,914,288

34.2 Expenses Recognised in the Statement of Comprehensive Income

	2023 Rs.	2022 Rs.
Opening Balance Adjustment	-	(11,346,375)
Recognition of Actuarial (Gain)/Loss	5,003,582	(11,052,241)
Components Recognised in the Statement of Comprehensive Income	5,003,582	(22,398,616)

Appropriate and compatible assumptions were used in determining the cost of retirement benefits. The principal assumptions used are as follows:

	2023	2022
Discount Rate	13.70%	19.00%
Salary Increment Rate	4.00%	5.50%
Age of Retirement	60	60
Mortality	GA 1983 Mortality Table	GA 1983 Mortality Table

Sensitivity of assumptions employed in actuarial valuation

The following table demonstrates the sensitivity to a reasonably possible change in the key assumptions employed with all other variables held constant in the Employment Benefit Liability measurement.

The sensitivity of the Statement of Profit or Loss and Statement of Financial Position is the effect of the assumed changes in discount rate and salary increment rate on the profit or loss and employment benefit obligation for the year.

Increase / (decrease) in Discount Rate	Increase / (Decrease) in Salary Increment	Sensitivity Effect on Comprehensive Income Increase/(Reduction) in results for the year (Rs. Mn)		Sensitivity Effect on Employment Benefit obligation Increase/(Decrease) in the Liability (Rs. Mn)	
		2023	2022	2023	2022
1%	-	(6.80)	3.93	6.80	(3.93)
(1%)	-	7.70	(4.36)	(7.70)	4.36
	1%	9.00	(4.79)	(9.00)	4.79
	(1%)	(8.10)	4.35	8.10	(4.35)

34.3 Distribution of Defined Benefit Obligation Over Future Lifetime

The following table demonstrates distribution of the future working lifetime of the Defined Benefit Obligation as at the reporting date.

	2023 Rs.	2022 Rs.
Less than 1 year	13,103,863	17,726,948
Between 1 and 2 years	33,697,956	25,593,043
Between 3 and 5 years	48,879,795	49,660,024
Beyond 5 years	127,993,309	142,212,247
Total Expected Payments	223,674,923	235,192,262

35. OTHER LIABILITIES - NON FINANCIAL

	2023 Rs.	2022 Rs.
Statutory Payable	245,445,827	99,580,091
Total	245,445,827	99,580,091

The above balances consists of statutory taxes payable.

36. STATED CAPITAL

	2023		2022	
	Number	Rs.	Number	Rs.
Fully Paid Ordinary Shares	5,511,257,461	17,633,461,196	2,783,949,511	11,348,821,130
Total	5,511,257,461	17,633,461,196	2,783,949,511	11,348,821,130

NOTES TO THE
FINANCIAL STATEMENTS

36. STATED CAPITAL (CONTD.)

36.1 Fully Paid Ordinary Shares

	2023		2022	
	Number	Rs.	Number	Rs.
Balance as at 1 January	2,783,949,511	11,348,821,130	2,691,151,194	11,079,706,011
Scrip shares	118,317,854	283,962,845	92,798,317	269,115,119
Rights Issue shares	2,608,990,096	6,000,677,221	-	-
Balance as at 31 December	5,511,257,461	17,633,461,196	2,783,949,511	11,348,821,130

37. STATUTORY RESERVE FUND

The Statutory Reserve Fund is maintained as required by Section 20 (1) of the Banking Act No. 30 of 1988. A sum equivalent to 5% of the Profit for the year should be transferred to the Reserve until the reserve is equal to 50% of the paid up capital of the Bank and thereafter a sum equivalent to 2% of such profits until the amount of reserve is equal to the paid up capital of the Bank. This Reserve Fund will be used only for the purpose specified in Section 20 (2) of the Banking Act No. 30 of 1988.

Statutory Reserve Fund	2023 Rs.	2022 Rs.
Balance as at 1 January	197,101,965	157,693,120
Transfers during the Year	69,338,805	39,408,845
Balance as at 31 December	266,440,770	197,101,965

38. FAIR VALUE RESERVE

	2023 Rs.	2022 Rs.
As at 1 January	85,393,536	98,898,126
Loss on Financial Assets - Fair Value through Other Comprehensive Income	(13,504,590)	(13,504,590)
As at 31 December	71,888,946	85,393,536

39. REVALUATION RESERVE

	2023 Rs.	2022 Rs.
As at 1 January	1,008,276,291	1,076,687,938
Deferred Tax Impact Due to Rate Change	-	(67,325,187)
Transferred to Retained Earnings	(1,086,460)	(1,086,460)
As at 31 December	1,007,189,831	1,008,276,291

40. RETAINED EARNINGS

	2023 Rs.	2022 Rs.
As at 1 January	1,721,762,142	1,225,548,940
Profit for the Year	1,386,776,095	788,176,904
Transfers to Statutory Reserve Fund	(69,338,805)	(39,408,845)
Transfer from Other Comprehensive Income	(3,502,507)	15,679,030
Transfer from Revaluation Reserve	1,086,460	1,086,460
Dividends	(283,962,845)	(269,115,119)
WHT on Scrip Dividend	(50,111,096)	-
Share Issue Expenses	(36,084,771)	(205,228)
	2,666,624,673	1,721,762,142

41. NET ASSETS VALUE PER SHARE

	2023 Rs.	2022 Rs.
Amount used as the Numerator:		
Total Equity Attributable to Equity Holders of the Bank	21,696,584,224	14,361,355,064
Number of Ordinary Shares used as Denominator:		
Total Number of Shares	5,511,257,461	2,783,949,511
Net Assets Value Per Share	3.94	5.16

NOTES TO THE
FINANCIAL STATEMENTS

42. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES

Financial instruments comprise financial assets, financial liabilities, derivative financial instruments and off-balance sheet instruments. Fair value is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Bank has access at that date. The fair value of a liability reflects its non-performance risk. The information presented herein represents the determination of fair values as at the reporting date.

42.1 FINANCIAL INSTRUMENTS CARRIED AT FAIR VALUE

The following is a description of how fair values are determined for financial instruments that are recorded at fair value as at the reporting date. These incorporate the Bank’s estimate of assumptions that a market participant would make when valuing the instruments.

Derivative Financial Assets and Liabilities:

Derivative products are promissory forward foreign exchange transactions, valued using a valuation technique with market-observable inputs. The most frequently applied valuation techniques include promissory forward foreign exchange spot and Net Present Value.

Financial Assets Recognised through Profit or Loss - Measured at Fair Value, Financial Assets Measured at Fair Value through Other Comprehensive Income

The estimated fair values are based on quoted and observable market prices.

Fair Value Hierarchy

SLFRS 13 specifies a hierarchy of valuation techniques based on whether the inputs to those valuation techniques are observable or unobservable. Observable inputs reflect market data obtained from independent sources and unobservable inputs reflect the Bank’s market assumptions. The fair value hierarchy is as follows:

- ◆ **Level 1** Quoted price (unadjusted) in active markets for the identical assets or liabilities. This level includes listed equity securities and debt instruments.
- ◆ **Level 2** Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- ◆ **Level 3** Inputs for asset or liability that are not based on observable market data (unobservable inputs). This level includes equity instruments and debt instruments with significant unobservable components.

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy:

As at 31 December 2023	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets				
Derivative Financial Assets	-	194,267,095	-	194,267,095
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	8,994,233	-	-	8,994,233
Financial Assets Measured at Fair Value through Other Comprehensive Income	316,007,406	-	2,993,000	319,000,406
	325,001,639	194,267,095	2,993,000	522,261,734
Financial Liabilities				
Derivative Financial Liabilities	-	947,739	-	947,739
	-	947,739	-	947,739

As at 31 December 2022	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets				
Derivative Financial Assets	-	70,733,336	-	70,733,336
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	59,561,097	-	-	59,561,097
Financial Assets Measured at Fair Value through Other Comprehensive Income	329,511,996	-	2,993,000	332,504,996
	389,073,093	70,733,336	2,993,000	462,799,429
Financial Liabilities				
Derivative Financial Liabilities	-	20,880,000	-	20,880,000
	-	20,880,000	-	20,880,000

42.2 Financial Instruments not carried at Fair Value

Set out below is a comparison, by class, of the carrying amounts and fair values of the Bank's financial instruments that are not carried at fair value in the Financial Statements. This table does not include the fair values of Non-Financial Assets and Non-Financial Liabilities.

As at 31 December 2023	Carrying Value Rs.	Fair Value			
		Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets					
Cash and Cash Equivalents	11,100,863,400	-	11,100,863,400	-	11,100,863,400
Balance with Central Bank of Sri Lanka	9,446,862,668	-	9,446,862,668	-	9,446,862,668
Placements with Banks	42,474,569,846	-	42,490,687,937	-	42,490,687,937
Placements with Licensed Finance Companies	80,783	-	80,996	-	80,996
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	89,658,059,768	-	87,894,132,985	-	87,894,132,985
Other Assets - Financial	2,006,908,679	-	2,006,908,679	-	2,006,908,679
	154,687,345,144	-	152,939,536,665	-	152,939,536,665
Financial Liabilities					
Due to Banks	321,166,526	-	321,166,526	-	11,856,722,935
Financial Liabilities at Amortised Cost - Due to Depositors	132,937,607,047	-	132,937,607,047	-	112,546,017,229
Other Liabilities - Financial	3,391,138,093	-	3,391,138,093	-	2,041,967,432
	136,649,911,666	-	136,649,911,666	-	126,444,707,596

NOTES TO THE FINANCIAL STATEMENTS

42. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES (CONTD.)

42.2 Financial Instruments not carried at Fair Value (Contd.)

As at 31 December 2022	Carrying Value Rs.	Fair Value			
		Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets					
Cash and Cash Equivalents	22,603,294,374	-	22,603,294,374	-	22,603,294,374
Balance with Central Bank of Sri Lanka	5,085,679,063	-	5,085,679,063	-	5,085,679,063
Placements with Banks	24,570,292,448	-	24,573,057,020	-	24,573,057,020
Placements with Licensed Finance Companies	77,154	-	77,179	-	77,179
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	83,185,916,541	-	79,698,416,396	-	79,698,416,396
Other Assets - Financial	2,323,565,713	-	2,323,565,713	-	2,323,565,713
	137,768,825,293	-	134,284,089,745	-	134,284,089,745
Financial Liabilities					
Due to Banks	11,856,722,935	-	11,856,722,935	-	11,856,722,935
Financial Liabilities at Amortised Cost - Due to Depositors	112,546,017,229	-	112,546,017,229	-	112,546,017,229
Other Liabilities - Financial	2,041,967,432	-	2,041,967,432	-	2,041,967,432
	126,444,707,596	-	126,444,707,596	-	126,444,707,596

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the Financial Statements:

Balances with Banks, Balances with Licensed Finance Companies, Other Financial Assets and Other Financial Liabilities

For the above, which includes only instruments with short term maturities, the carrying value is a reasonable estimate of fair values.

Financial Assets at Amortised Cost - Financing and Receivables to Other Customers

The fair value of the above are estimated by discounting the estimated future cash flows using the prevailing market rates for financing as of the reporting date with similar credit risks and maturities (Level 2).

Financial Liabilities at Amortised Cost - Due to Depositors

The fair values of the above are deemed to approximate their carrying amounts as rate of returns are determined at the end of their holding periods based on the profit generated from the relevant investments.

The fair values of deposits are deemed to approximate their carrying amounts as rate of returns are determined at the end of their holding periods based on the profit generated from the assets invested.

43. RISK MANAGEMENT

43.1 Introduction

Risk is inherent in the Bank's activities but is managed through a process of ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Bank's continuing profitability and each individual within the Bank is accountable for the risk exposures relating to his or her areas of responsibility. The Bank is mainly exposed to;

1. Credit Risk
2. Liquidity risk
3. Market risk

Refer report on Risk Management in the Annual Report, for additional information on each type of risk that the Bank is exposed to in providing banking and related activities.

43.2 Risk Management Structure

The Board of Directors is responsible for the overall risk management approach and for approving the risk management strategies and principles. Risk Management Division (RMD) oversees the risks faced by the Bank in its internal operations and from external environment.

The Board Integrated Risk Management Committee

The Board Integrated Risk Management Committee (BIRMC), is a subcommittee of the Board, meets quarterly or more regularly as required to review and assess the Bank's overall risk and to focus on policy recommendations and strategies in an integrated manner.

Assets and Liabilities Committee

The Bank's Assets and Liabilities Committee (ALCO) regularly reviews and monitors the maintenance of liquidity position of the Bank and the concentration of large deposits in order to avoid undue dependence on individual deposits. Bank monitors liquidity by way of various ratios as required by the Board approved Asset and Liability Management Policy.

Risk Measurement and Reporting Systems

The Bank's risks are measured using a method which reflects the expected loss likely to arise in normal circumstances. These are an estimate of the ultimate actual loss based on statistical models.

Monitoring and controlling risks is primarily performed based on limits established by the Bank. These limits reflect the business strategy and market environment of the Bank as well as the level of risk that the Bank is willing to accept, with additional emphasis on selected industries.

Information compiled from all the businesses is examined and processed in order to analyse, control and identify risks on a timely basis. This information is presented and explained to the Board of Directors, the BIRMC, and the head of each business unit.

The report includes aggregate credit exposure, Value at Risk (VaR), liquidity ratios and risk profile changes.

Risk Concentration

Concentrations arise when a number of counterparties are engaged in similar business activities, or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations indicate the relative sensitivity of the Bank's performance to developments affecting a particular industry.

43.3 Credit Risk

Credit risk is the risk that the Bank will incur a loss because its customers or counterparties fail to discharge their contractual obligations. The Bank manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties and industry concentrations, and by monitoring exposures in relation to such limits.

NOTES TO THE FINANCIAL STATEMENTS

43. RISK MANAGEMENT (CONTD.)

43.3 Credit Risk (Contd.)

a) Impairment Assessment

The approach used for the assessment of impairment is elaborated under Accounting Policies (Note No. 2.2.c)

b) Credit related Commitment Risk

The risk arising from transactions relating to contingent liabilities (Letters of Credit, Letters of Guarantees and undrawn amounts under approved authorisations) is included under this caption. Notwithstanding the non-funded nature of these products, the Bank is prone to a resultant financial loss due to the nature of such products, i.e. claim on guarantees, negotiation of LCs and non-utilisation of facilities.

c) Collateral and Other Credit Enhancement

An assessment of the credit risk of an individual at the time of issuing or enhancing a facility shall determine the amount and type of collateral that is required.

In the event of default, the Bank may, as a remedial measure, exercise its charge of the collateral obtained at the time of approval of credit facilities. Hence, the credit risk is eliminated to the extent of the net realisable value of such collateral, which has a weightage depending on nature of the collateral. Management monitors the market value of such collateral and requests additional collateral if required when reviewing the adequacy of the allowance for impairment.

d) Credit Quality by Class of Financial Assets

The credit quality of financial assets is managed by the Bank using internal credit ratings. The table below shows the credit quality by class of asset for all financial assets exposed to credit risk, based on the Bank's internal credit rating system. The amounts presented are gross of impairment allowances.

Financial Assets as at 31 December 2023	Current/Past Due (Stage 1 and Stage 2)				Stage 3*	Total Rs.
	High Grade Rs.	Standard Grade Rs.	Sub-Standard Grade Rs.	Un-Rated Rs.	Rs.	
Cash and Cash Equivalents	11,100,863,400	-	-	-	-	11,100,863,400
Balance with Central Bank of Sri Lanka	9,446,862,668	-	-	-	-	9,446,862,668
Placements with Banks	42,474,569,846	-	-	-	-	42,474,569,846
Placements with Licensed Finance Companies	80,783	-	-	-	-	80,783
Derivative Financial Assets	194,267,095	-	-	-	-	194,267,095
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	1,953,000	7,041,233	-	-	-	8,994,233
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers (Gross)	72,245,660,092	19,603,261,497	-	-	3,738,281,684	95,587,203,273
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	316,007,406	-	2,993,000	-	319,000,406
Other Assets - Financial	599,400	-	-	2,006,309,279	-	2,006,908,679
Total	135,464,856,284	19,926,310,136	-	2,009,302,279	3,738,281,684	161,138,750,383

Financial Assets as at 31 December 2022	Current/Past Due (Stage 1 and Stage 2)				Stage 3*		Total Rs.
	High Grade Rs.	Standard Grade Rs.	Sub-Standard Grade Rs.	Un-Rated Rs.	Rs.	Rs.	
Cash and Cash Equivalents	22,603,294,374	-	-	-	-	-	22,603,294,374
Balance with Central Bank of Sri Lanka	5,085,679,063	-	-	-	-	-	5,085,679,063
Placements with Banks	24,570,292,448	-	-	-	-	-	24,570,292,448
Placements with Licensed Finance Companies	77,154	-	-	-	-	-	77,154
Derivative Financial Assets	70,733,336	-	-	-	-	-	70,733,336
Financial Assets Measured at Fair Value through Profit or Loss	11,058,000	48,503,097	-	-	-	-	59,561,097
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers (Gross)	60,516,697,331	23,400,416,704	-	-	3,188,674,257	-	87,105,788,292
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	329,511,996	-	2,993,000	-	-	332,504,996
Other Assets - Financial	676,564	-	-	2,322,889,149	-	-	2,323,565,713
Total	112,858,508,270	23,778,431,797	-	2,325,882,149	3,188,674,257	-	142,151,496,473

* Age Analysis of Financing and Receivables to Other Customers - Stage 3	Stage 3*				Total Rs.
	Up to 30 days Rs.	31 to 60 days Rs.	61 to 90 days Rs.	More than 90 days Rs.	
Financing and Receivables to Other Customers - 31 December 2023	1,631,618,357	32,167,752	33,139,387	2,041,356,188	3,738,281,684
Financing and Receivables to Other Customers - 31 December 2022	47,170,098	33,739,130	40,679,305	3,067,085,724	3,188,674,257

NOTES TO THE FINANCIAL STATEMENTS

43. RISK MANAGEMENT (CONTD.)

e) Analysis of Risk Concentration

Maximum exposure to credit risk is reviewed/monitored without taking account of any collateral and other credit enhancements. The concentration risk is monitored by industry. The following table shows the maximum exposure to credit risk for the components of the Statement of Financial Position, including sector.

Industry Analysis

The following table shows the risk concentration by industry for the components of the Statement of Financial Position.

Financial Assets as at 31 December 2023					
	Government Rs.	Financial Services Rs.	Agriculture, Forestry and Fishing Rs.	Manufacturing Rs.	Tourism Rs.
Cash and Cash Equivalents	-	11,100,863,400	-	-	-
Balance with Central Bank of Sri Lanka	9,446,862,668	-	-	-	-
Placements with Banks	-	42,474,569,846	-	-	-
Placements with Licensed Finance Companies	-	80,783	-	-	-
Derivative Financial Assets	-	194,267,095	-	-	-
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	-	-	-	8,866,263	-
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers (Gross)	-	510,871,840	12,186,487,382	8,255,431,597	21,701,040,904
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	319,000,406	-	-	-
Other Assets - Financial	1,000,386,709	616,393,515	-	-	-
Total	10,447,249,377	55,216,046,885	12,186,487,382	8,264,297,860	21,701,040,904

Financial Assets as at 31 December 2022					
	Government Rs.	Financial Services Rs.	Agriculture, Forestry and Fishing Rs.	Manufacturing Rs.	Tourism Rs.
Cash and Cash Equivalents	-	22,603,294,374	-	-	-
Balance with Central Bank of Sri Lanka	5,085,679,063	-	-	-	-
Placements with Banks	-	24,570,292,448	-	-	-
Placements with Licensed Finance Companies	-	77,154	-	-	-
Derivative Financial Assets	-	70,733,336	-	-	-
Financial Assets Measured at Fair Value through Profit or Loss	-	-	-	26,503,345	-
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers (Gross)	-	421,169,719	10,385,556,681	9,440,824,510	19,471,053,339
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	332,504,996	-	-	-
Other Assets - Financial	1,362,958,561	609,294,315	-	-	-
Total	6,448,637,624	48,607,366,342	10,385,556,681	9,467,327,855	19,471,053,339

Transportation and Storage Rs.	Construction Rs.	Wholesale and Retail Trade Rs.	Information Technology and Communication Services Rs.	Infrastructure Development Rs.	Other Services Rs.	Consumption Rs.	Total Rs.
-	-	-	-	-	-	-	11,100,863,400
-	-	-	-	-	-	-	9,446,862,668
-	-	-	-	-	-	-	42,474,569,846
-	-	-	-	-	-	-	80,783
-	-	-	-	-	-	-	194,267,095
-	-	-	-	127,970	-	-	8,994,233
1,625,582,713	870,249,468	2,051,892,188	13,015,795,074	1,013,725,250	826,913,969	33,529,212,888	95,587,203,273
-	-	-	-	-	-	-	319,000,406
-	-	-	-	-	-	390,128,455	2,006,908,679
1,625,582,713	870,249,468	2,051,892,188	13,015,795,074	1,013,853,220	826,913,969	33,919,341,343	161,138,750,383

Transportation and Storage Rs.	Construction Rs.	Wholesale and Retail Trade Rs.	Information Technology and Communication Services Rs.	Infrastructure Development Rs.	Other Services Rs.	Consumption Rs.	Total Rs.
-	-	-	-	-	-	-	22,603,294,374
-	-	-	-	-	-	-	5,085,679,063
-	-	-	-	-	-	-	24,570,292,448
-	-	-	-	-	-	-	77,154
-	-	-	-	-	-	-	70,733,336
-	-	10,380,082	13,768,810	8,908,860	-	-	59,561,097
2,021,625,999	1,124,142,282	2,529,693,215	15,043,105,583	1,408,203,227	1,397,955,054	23,862,458,683	87,105,788,292
-	-	-	-	-	-	-	332,504,996
-	-	-	-	-	-	351,312,837	2,323,565,713
2,021,625,999	1,124,142,282	2,540,073,297	15,056,874,393	1,417,112,087	1,397,955,054	24,213,771,520	142,151,496,473

NOTES TO THE FINANCIAL STATEMENTS

43. RISK MANAGEMENT (CONTD.)

f) Analysis of Maximum Exposure to Credit risk and Collateral and Other Credit Enhancements

The following table shows the maximum exposure to credit risk by class of financial asset and the value of financial assets covered by collateral.

Financial Assets as at 31 December 2023	Maximum Exposure to Credit Risk Rs.	Fixed, Savings and Other deposits Rs.	Stocks in Trade Rs.
Balances with Banks	5,594,328,070	-	-
Placements with Banks	42,474,569,846	-	-
Placements with Licensed Finance Companies	80,783	-	-
Derivative Financial Assets	194,267,095	-	-
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	8,994,233	-	-
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	89,658,059,768	1,491,283,954	2,291,340,780
Financial Assets Measured at Fair Value through Other Comprehensive Income	319,000,406	-	-
Other Assets - Financial	2,006,908,679	-	-
Total	140,256,208,880	1,491,283,954	2,291,340,780

Financial Assets as at 31 December 2022	Maximum Exposure to Credit Risk Rs.	Fixed, Savings and Other deposits Rs.	Stocks in Trade Rs.
Balances with Banks	16,986,695,038	-	-
Placements with Banks	24,570,292,448	-	-
Placements with Licensed Finance Companies	77,154	-	-
Derivative Financial Assets	70,733,336	-	-
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	59,561,097	-	-
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	83,185,916,541	1,225,915,359	2,559,565,298
Financial Assets Measured at Fair Value through Other Comprehensive Income	332,504,996	-	-
Other Assets - Financial	2,323,565,713	-	-
Total	127,529,346,323	1,225,915,359	2,559,565,298

Immovable Property, Plant and Equipments Rs.	Motor Vehicles Rs.	Gold Rs.	Shares & Other Rs.	Net Exposure Rs.
-	-	-	-	5,594,328,070
-	-	-	-	42,474,569,846
-	-	-	-	80,783
-	-	-	-	194,267,095
-	-	-	-	8,994,233
43,854,141,308	7,902,294,882	11,540,255,547	1,061,173,421	21,517,569,876
-	-	-	-	319,000,406
-	-	-	-	2,006,908,679
43,854,141,308	7,902,294,882	11,540,255,547	1,061,173,421	72,115,718,988

Immovable Property, Plant and Equipments Rs.	Motor Vehicles Rs.	Gold Rs.	Shares & Other Rs.	Net Exposure Rs.
-	-	-	-	16,986,695,038
-	-	-	-	24,570,292,448
-	-	-	-	77,154
-	-	-	-	70,733,336
-	-	-	-	59,561,097
44,609,120,628	5,852,162,404	12,800,729,467	972,020,442	15,166,402,943
-	-	-	-	332,504,996
-	-	-	-	2,323,565,713
44,609,120,628	5,852,162,404	12,800,729,467	972,020,442	59,509,832,725

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FINANCIAL STATEMENTS

43. RISK MANAGEMENT (CONTD.)

43.4 Liquidity Risk and Funding Management

Liquidity risk implies the potential for loss to the Bank due to inability to meets its obligation or to fund the increase in assets as they fall due without incurring high cost.

Internal control processes and contingency plans for managing liquidity risk have been developed by the Bank under the Asset and Liability Management Policy of the Bank. This incorporates an assessment of expected cash flows and the availability of liquid funds which could be used if required.

As required by the Provisions of Section 93 of the Monetary Law Act, a cash balance is required to be maintained with Central Bank of Sri Lanka. As at 31 December 2023, the minimum cash reserve requirement was 2.0% (2022 - 4.0%) of the Rupee liabilities of the Domestic Banking Unit. There is no reserve requirement for foreign currency deposit liabilities of the Domestic Banking Unit.

The Bank monitors the mix of deposits closely and concentrates on mobilising zero or low cost deposits such as current accounts and savings accounts as a source of major funding.

Liquid assets are defined for the purposes of the liquidity ratio which are mainly Cash and Cash equivalents and Placements with Banks. Adequate liquid assets are maintained based on the Bank's business model adopted and ensure the Statutory Liquid Asset Ratio is maintained as per regulatory requirements.

a) Liquidity Ratios

As at 31 December	2023	2022
Financing and Receivables to Other Customers to Due to Other Customers Ratio (Net)	67.44%	78.85%
Statutory Liquid Assets Ratio - Consolidated	38.58%	28.26%

b) Analysis of Financial Assets and Liabilities by Remaining Contractual Maturities

The table below summarises the maturity profile of the undiscounted cash flows (Gross) of the Bank's Financial Assets and Financial Liabilities as at the end of the reporting period.

Statement of Financial Position as at 31 December 2023	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Financial Assets						
Cash and Cash Equivalents	11,100,863,400	-	-	-	-	11,100,863,400
Balance with Central Bank of Sri Lanka	9,446,862,668	-	-	-	-	9,446,862,668
Placements with Banks	33,235,819,161	6,738,750,685	2,500,000,000	-	-	42,474,569,846
Placements with Licensed Finance Companies	80,783	-	-	-	-	80,783
Derivative Financial Assets	168,678,523	25,588,572	-	-	-	194,267,095
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	8,994,233	-	-	-	-	8,994,233
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	41,640,578,035	39,268,923,259	17,566,768,910	8,094,383,952	6,239,518,337	112,810,172,493
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	319,000,406	319,000,406
Other Assets - Financial	1,797,132,563	123,784,486	85,991,630	-	-	2,006,908,679
Total Undiscounted Financial Assets	97,399,009,366	46,157,047,002	20,152,760,540	8,094,383,952	6,558,518,743	178,361,719,603
Financial Liabilities						
Due to Banks	321,166,526	-	-	-	-	321,166,526
Derivative Financial Liabilities	947,739	-	-	-	-	947,739
Financial Liabilities at Amortised Cost - Due to Depositors	67,463,521,302	61,297,912,787	1,160,122,707	999,286,938	2,016,763,313	132,937,607,047
Other Liabilities - Financial	3,349,245,544	8,759,869	33,132,680	-	-	3,391,138,093
Total Undiscounted Financial Liabilities	71,134,881,111	61,306,672,656	1,193,255,387	999,286,938	2,016,763,313	136,650,859,405
Total Net Financial Assets/ (Liabilities)	26,255,134,022	(15,149,625,654)	18,959,505,153	7,095,097,014	4,550,749,663	41,710,860,198

NOTES TO THE FINANCIAL STATEMENTS

43. RISK MANAGEMENT (CONTD.)

b) Analysis of Financial Assets and Liabilities by Remaining Contractual Maturities Contd.

Statement of Financial Position as at 31 December 2022	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Financial Assets						
Cash and Cash Equivalents	22,603,294,374	-	-	-	-	22,603,294,374
Balance with Central Bank of Sri Lanka	5,085,679,063	-	-	-	-	5,085,679,063
Placements with Banks	10,202,904,092	5,117,388,356	9,250,000,000	-	-	24,570,292,448
Placements with Licensed Finance Companies	77,154	-	-	-	-	77,154
Derivative Financial Assets	56,208,335	14,525,001	-	-	-	70,733,336
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	59,561,097	-	-	-	-	59,561,097
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	35,443,661,899	34,976,351,521	17,930,246,037	8,566,474,325	7,380,823,243	104,297,557,025
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	332,504,996	332,504,996
Other Assets - Financial	1,336,908,929	906,461,154	35,195,630	45,000,000	-	2,323,565,713
Total Undiscounted Financial Assets	74,788,294,943	41,014,726,033	27,215,441,667	8,611,474,325	7,713,328,239	159,343,265,205
Financial Liabilities						
Due to Banks	7,445,353,076	4,411,369,859	-	-	-	11,856,722,935
Derivative Financial Liabilities	20,880,000	-	-	-	-	20,880,000
Financial Liabilities at Amortised Cost - Due to Depositors	64,869,695,083	44,006,121,333	895,727,477	879,040,534	1,895,432,802	112,546,017,229
Other Liabilities - Financial	1,997,769,830	11,449,796	32,747,806	-	-	2,041,967,432
Total Undiscounted Financial Liabilities	74,333,697,989	48,428,940,988	928,475,283	879,040,534	1,895,432,802	126,465,587,596
Total Net Financial Assets/ (Liabilities)	454,596,954	(7,414,214,955)	26,286,966,384	7,732,433,791	5,817,895,437	32,877,677,609

c) Contractual Maturities of Commitments & Contingencies

As at 31 December 2023	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Acceptances	2,868,502,860	1,515,492,414	-	-		4,383,995,274
Letters of Credit	1,609,053,429	75,739,017	-	-	-	1,684,792,446
Guarantees, Bonds	1,550,787,524	2,598,796,294	530,574,524	38,166,545	-	4,718,324,887
Outward Clearing Receivable	779,851,662	-	-	-	-	779,851,662
Promissory Forward Sales	11,100,240,000	567,000,000	-	-	-	11,667,240,000
Promissory Forward Purchases	972,000,000	-	-	-	-	972,000,000
Commitments for Unutilised Facilities	5,541,078,566	8,311,617,849	-	-	-	13,852,696,415
Bills for Collection and Other	2,768,973,018	-	-	-	-	2,768,973,018
Impairment Allowance for Commitment and Contingencies	(88,124,042)	-	-	-	-	(88,124,042)
Total	27,102,363,017	13,068,645,574	530,574,524	38,166,545	-	40,739,749,660

As at 31 December 2022	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Acceptances	1,813,249,792	1,596,987,127	-	-	-	3,410,236,919
Letters of Credit	488,984,123	6,565,225	-	-	-	495,549,348
Guarantees, Bonds	2,677,208,621	2,055,682,330	155,575,807	157,500	-	4,888,624,258
Outward Clearing Receivable	902,610,532	-	-	-	-	902,610,532
Promissory Forward Sales	4,693,278,332	-	-	-	-	4,693,278,332
Promissory Forward Purchases	6,765,635,000	2,377,115,000	-	-	-	9,142,750,000
Commitments for Unutilised Facilities	3,391,471,887	5,087,207,831	-	-	-	8,478,679,718
Bills for Collection and Other	2,177,202,466	-	-	-	-	2,177,202,466
Impairment Allowance for Commitment and Contingencies	(94,618,797)	-	-	-	-	(94,618,797)
Total	22,815,021,956	11,123,557,513	155,575,807	157,500	-	34,094,312,776

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43. RISK MANAGEMENT (CONTD.)

43.5 Market Risk

Market Risk denotes the risk of losses arising out of balance sheet positions due to changes in market prices. Market risk mainly arises from activities undertaken by the Bank's treasury and foreign exchange, equity, commodity and money market portfolios, which mainly contribute towards market risk of the Bank. A Board approved comprehensive limit structure has been adopted by the Bank to mitigate and monitor the market risk of the Bank.

a) Rate Risk

The rate risk arises due to changes in value of financial instruments arising due to changes in market rates. The Bank is exposed to this risk due to the mismatches in maturities of assets and liabilities that mature or are re-priced during a specified time period. In order to manage and mitigate rate risk, the Bank's ALCO reviews the re-pricing of assets and liabilities at ALCO meetings held regularly. Bank's rate risk is limited due to the model adopted where all of its Due to Depositors (customer deposits) have been accepted on Profit and Loss sharing basis.

Rate Sensitive Assets and Liabilities Maturity Gaps (Contractual Basis) as at 31 December 2023	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Non-Rate Bearing Rs.	Total Rs.
Cash and Cash Equivalents	-	-	-	-	-	11,100,863,400	11,100,863,400
Balance with Central Bank of Sri Lanka	-	-	-	-	-	9,446,862,668	9,446,862,668
Placements with Banks	33,235,819,161	6,738,750,685	2,500,000,000	-	-	-	42,474,569,846
Placements with Licensed Finance Companies	80,783	-	-	-	-	-	80,783
Derivative Financial Assets	-	-	-	-	-	194,267,095	194,267,095
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	-	-	-	-	-	8,994,233	8,994,233
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	34,751,016,203	32,138,942,094	12,322,215,430	5,792,028,372	4,653,857,669	-	89,658,059,768
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	-	319,000,406	319,000,406
Other Assets - Financial	-	-	-	-	-	2,006,908,679	2,006,908,679
Total Assets	67,986,916,147	38,877,692,779	14,822,215,430	5,792,028,372	4,653,857,669	23,076,896,481	155,209,606,878
Due to Banks	321,166,526	-	-	-	-	-	321,166,526
Derivative Financial Liabilities	-	-	-	-	-	947,739	947,739
Financial Liabilities at Amortised Cost - Due to Depositors	58,476,819,651	61,297,912,787	1,160,122,707	999,286,938	2,016,763,313	8,986,701,651	132,937,607,047
Other Liabilities - Financial	-	-	-	-	-	3,391,138,093	3,391,138,093
Total Liabilities	58,797,986,177	61,297,912,787	1,160,122,707	999,286,938	2,016,763,313	12,378,787,483	136,650,859,405
Rate Sensitivity Gap	9,188,929,970	(22,420,220,008)	13,662,092,723	4,792,741,434	2,637,094,356	10,698,108,998	

Rate Sensitive Assets and Liabilities Maturity Gaps (Contractual Basis) as at 31.12.2022	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Non-Rate Bearing Rs.	Total Rs.
Cash and Cash Equivalents	-	-	-	-	-	22,603,294,374	22,603,294,374
Balance with Central Bank of Sri Lanka	-	-	-	-	-	5,085,679,063	5,085,679,063
Placements with Banks	10,202,904,092	5,117,388,356	9,250,000,000	-	-	-	24,570,292,448
Placements with Licensed Finance Companies	77,154	-	-	-	-	-	77,154
Derivative Financial Assets	-	-	-	-	-	70,733,336	70,733,336
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	-	-	-	-	-	59,561,097	59,561,097
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	28,664,249,096	29,765,212,353	12,946,377,274	6,260,794,328	5,549,283,490	-	83,185,916,541
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	-	332,504,996	332,504,996
Other Assets - Financial	-	-	-	-	-	2,323,565,713	2,323,565,713
Total Assets	38,867,230,342	34,882,600,709	22,196,377,274	6,260,794,328	5,549,283,490	30,475,338,579	138,231,624,722
Due to Banks	7,445,353,076	4,411,369,859	-	-	-	-	11,856,722,935
Derivative Financial Liabilities	-	-	-	-	-	20,880,000	20,880,000
Financial Liabilities at Amortised Cost - Due to Depositors	56,610,658,507	44,006,121,333	895,727,477	879,040,534	1,895,432,802	8,259,036,576	112,546,017,229
Other Liabilities - Financial	-	-	-	-	-	2,041,967,432	2,041,967,432
Total Liabilities	64,056,011,583	48,417,491,192	895,727,477	879,040,534	1,895,432,802	10,321,884,008	126,465,587,596
Rate Sensitivity Gap	(25,188,781,241)	(13,534,890,483)	21,300,649,797	5,381,753,794	3,653,850,688	20,153,454,571	

43.6 Foreign Exchange Risk

Foreign Exchange risk which arises due to the changes in foreign exchange rates is managed by the Bank by setting and monitoring dealer, currency, counterparty and settlement limits for On and Off Balance Sheet instruments.

Bank's activities in the Trade Finance business results in Off Balance Sheet financial instruments. In addition, the Bank engages in interbank promissory forward foreign exchange transactions to cover the positions created due to customer transactions. Such transactions are carried out on a matched basis to manage the cash flows of currencies.

The currency risk is managed and monitored against the regulatory limits approved for the Bank by the Central Bank of Sri Lanka. The foreign exchange exposures in individual currencies are managed according to the limits approved by the Board of Directors.

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43. RISK MANAGEMENT (CONTD.)

43.7 Currency Risk

Currency risk arises as a result of price fluctuations in assets due to change in exchange rates. The Board of Directors has set limits for currency wise exposures. The currency exposures are monitored on a daily basis as required by the Risk Management policy of the Bank.

The table below indicates the exposures in currencies the Bank carried as at 31.12.2023 and the effect of the gains/losses if the market rates appreciate/depreciate by 5%. The calculation indicates a reasonably practical movement of currency rates against Sri Lankan Rupees.

If market rates appreciate or depreciate by 5% the effect of the same to the exchange gain/(loss) would be:

Currency	2023		2022	
	5% Appreciation Rs.	5% Depreciation Rs.	5% Appreciation Rs.	5% Depreciation Rs.
Australian Dollars	551,273	(551,273)	931,879	(931,879)
Great Britain Pounds	1,391,615	(1,391,615)	1,323,831	(1,323,831)
Japanese Yen	199,953	(199,953)	369,323	(369,323)
United States Dollars	(157,273)	157,273	(171,582)	171,582
Other Currencies	10,248,425	(10,248,425)	7,794,427	(7,794,427)
Total	12,233,994	(12,233,994)	10,247,878	(10,247,878)

43.8 Equity Price Risk

Equity price risk arises due to changes in individual equity prices.

The Board of Directors of the Bank has laid down sector, portfolio and loss limits to control and mitigate the risks of the equity portfolio. The Bank also adheres to the guidelines issued by Central Bank of Sri Lanka regarding the exposure to a single entity and the total exposure limit for the equity portfolio. The performance of the equity portfolio is monitored by the Equity Investment Committee (EIC), ALCO and the Board of Directors. The Bank engages in transactions only in white-listed equities.

Daily Mark-to-Market of portfolios are carried out based on the weighted average closing prices of the Colombo Stock Exchange.

44. MATURITY ANALYSIS

As at 31 December 2023	Up to 3 Months Rs.	3 - 12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Cash and Cash Equivalents	11,100,863,400	-	-	-	-	11,100,863,400
Balance with Central Bank of Sri Lanka	8,703,686,521	418,644,597	183,635,692	86,253,684	54,642,174	9,446,862,668
Placements with Banks	33,235,819,161	6,738,750,685	2,500,000,000	-	-	42,474,569,846
Placements with Licensed Finance Companies	80,783	-	-	-	-	80,783
Derivative Financial Assets	168,678,523	25,588,572	-	-	-	194,267,095
Financial Assets Recognised Through Fair Value through Profit or Loss	-	-	-	-	8,994,233	8,994,233
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	34,751,016,203	32,138,942,094	12,322,215,430	5,792,028,372	4,653,857,669	89,658,059,768
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	319,000,406	319,000,406
Other Assets - Financial	1,797,132,563	123,784,486	85,991,630	-	-	2,006,908,679
Property, Plant, Equipment And Right-of-Use Assets	-	-	-	-	2,775,396,192	2,775,396,192
Intangible Assets	-	-	-	-	379,309,190	379,309,190
Other Assets - Non Financial	64,040,908	235,014,347	3,978,397	-	-	303,033,651
Deferred Tax Assets	-	-	-	-	784,429,734	784,429,734
Total Assets	89,821,318,062	39,680,724,781	15,095,821,149	5,878,282,056	8,975,629,598	159,451,775,645
Liabilities						
Due to Banks	321,166,526	-	-	-	-	321,166,526
Derivative Financial Liabilities	947,739	-	-	-	-	947,739
Financial Liabilities at Amortised Cost - Due to Depositors	37,135,364,576	54,057,088,898	23,746,629,031	11,085,271,056	6,913,253,486	132,937,607,047
Other Liabilities - Financial	3,349,245,544	8,759,869	33,132,680	-	-	3,391,138,093
Current Tax Liabilities	223,534,265	498,610,208	-	-	-	722,144,473
Dividend Payable	6,325,683	-	-	-	-	6,325,683
Retirement Benefit Liability	-	-	-	-	130,416,033	130,416,033
Other Liabilities - Non Financial	214,319,023	31,126,804	-	-	-	245,445,827
Total Liabilities	41,282,030,160	54,564,458,975	23,779,761,711	11,085,271,056	7,043,669,519	137,755,191,421
Maturity Gap	48,539,287,902	(14,883,734,195)	(8,683,940,562)	(5,206,989,000)	1,931,960,079	21,696,584,224

NOTES TO THE FINANCIAL STATEMENTS

44. MATURITY ANALYSIS (CONTD.)

As at 31 December 2022	Up to 3 Months Rs.	3 - 12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Cash and Cash Equivalents	22,603,294,374	-	-	-	-	22,603,294,374
Balance with Central Bank of Sri Lanka	3,428,784,019	913,752,569	393,744,540	206,398,032	142,999,903	5,085,679,063
Placements with Banks	10,202,904,092	5,117,388,356	9,250,000,000	-	-	24,570,292,448
Placements with Licensed Finance Companies	77,154	-	-	-	-	77,154
Derivative Financial Assets	56,208,335	14,525,001	-	-	-	70,733,336
Financial Assets Recognised Through Fair Value through Profit or Loss	59,561,097	-	-	-	-	59,561,097
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	28,664,249,096	29,765,212,353	12,946,377,274	6,260,794,328	5,549,283,490	83,185,916,541
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	332,504,996	332,504,996
Other Financial Assets	1,336,908,929	906,461,154	35,195,630	45,000,000	-	2,323,565,713
Property, Plant, Equipment And Right-of-Use Assets	-	-	-	-	2,466,761,457	2,466,761,457
Intangible Assets	-	-	-	-	319,253,349	319,253,349
Other Assets - Non Financial	120,189,184	132,596,814	9,681,489	-	-	262,467,487
Deferred Tax Assets	-	-	-	-	407,785,544	407,785,544
Total Assets	66,472,176,280	36,849,936,247	22,634,998,933	6,512,192,360	9,218,588,739	141,687,892,559
Liabilities						
Due to Banks	7,445,353,076	4,411,369,859	-	-	-	11,856,722,935
Derivative Financial Liabilities	20,880,000	-	-	-	-	20,880,000
Financial Liabilities at Amortised Cost - Due to Depositors	38,161,435,602	41,080,007,891	17,725,446,895	9,247,126,195	6,332,000,646	112,546,017,229
Other Liabilities - Financial	1,997,769,830	11,449,796	32,747,806	-	-	2,041,967,432
Current Tax Liabilities	131,186,060	514,420,405	-	-	-	645,606,465
Dividend Payable	6,351,708	-	-	-	-	6,351,708
Retirement Benefit Liability	-	-	-	-	109,411,635	109,411,635
Other Liabilities - Non Financial	99,580,091	-	-	-	-	99,580,091
Total Liabilities	47,862,556,367	46,017,247,951	17,758,194,701	9,247,126,195	6,441,412,281	127,326,537,495
Maturity Gap	18,609,619,913	(9,167,311,704)	4,876,804,232	(2,734,933,835)	2,777,176,458	14,361,355,064

45. COMMITMENTS AND CONTINGENCIES

45.1 Capital Expenditure Commitments

The Bank does not have significant capital commitments as at the reporting date.

45.2 Contingencies

In the normal course of business the Bank makes various irrevocable commitments and incurs certain contingent liabilities with legal recourse to its customers. Even though these obligations are not recognised on the statement of financial position, they do contain credit risk and therefore form part of the overall risk profile of the Bank.

As at 31 December 2023	Note	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
Commitments on Direct Advances and Indirect Advances					
Commitments for Unutilised Facilities		12,368,779,107	1,465,917,294	18,000,014	13,852,696,415
		12,368,779,107	1,465,917,294	18,000,014	13,852,696,415
Contingent Liabilities					
Letters of Credit		1,586,403,367	44,571,376	53,817,703	1,684,792,446
Guarantees, Bonds		4,480,050,358	238,274,529	-	4,718,324,887
Outward Clearing Cheques	45.2.1	779,851,662	-	-	779,851,662
Acceptances		3,932,440,785	451,554,489	-	4,383,995,274
Bills for Collection and Others		2,204,636,982	564,336,036	-	2,768,973,018
		12,983,383,154	1,298,736,430	53,817,703	14,335,937,287
Gross Credit related Commitments and Contingencies					
Impairment for Expected Credit Losses	45.2.2	(69,049,309)	(12,781,103)	(6,293,630)	(88,124,042)
Net Credit related Commitments and Contingencies		25,283,112,952	2,751,872,621	65,524,087	28,100,509,660
Promissory Forward Foreign Exchange Transactions					
Promissory Forward Sales					11,667,240,000
Promissory Forward Purchases					972,000,000
					12,639,240,000
Total Commitments and Contingencies					40,739,749,660

45.2.1 Outward Clearing Cheques represent the cheques deposited in current accounts but pending realisation from clearing as at the reporting date.

NOTES TO THE FINANCIAL STATEMENTS

45. COMMITMENTS AND CONTINGENCIES (CONTD.)

45.2.2 Impairment Allowance for Commitment and Contingencies

As at 31 December	2023 Rs.	2022 Rs.
ECL Allowance as at 1 January	94,618,797	15,956,385
Charge/(Write Back) for the year	(6,494,755)	78,662,412
Amounts Written Off	-	-
As at 31 December	88,124,042	94,618,797

The table below shows the total Commitment and Contingencies as at 31 December 2022

As at 31 December 2022	Note	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
Commitments on Direct Advances and Indirect Advances					
Commitments for Unutilised Facilities		6,224,291,396	2,191,004,355	63,383,967	8,478,679,718
		6,224,291,396	2,191,004,355	63,383,967	8,478,679,718
Contingent Liabilities					
Letters of Credit		424,370,724	38,394,659	32,783,965	495,549,348
Guarantees, Bonds		4,630,236,887	258,387,371	-	4,888,624,258
Outward Clearing Cheques	45.2.1	902,610,532		-	902,610,532
Acceptances		3,104,455,436	305,781,483	-	3,410,236,919
Bills for Collection and Other		1,819,382,680	357,819,786	-	2,177,202,466
		10,881,056,259	960,383,299	32,783,965	11,874,223,523
Gross Credit related Commitments and Contingencies		17,105,347,655	3,151,387,654	96,167,932	20,352,903,241
Impairment for Expected Credit Losses	45.2.2	(61,469,984)	(25,480,231)	(7,668,582)	(94,618,797)
Net Credit related Commitments and Contingencies		17,043,877,671	3,125,907,423	88,499,350	20,258,284,444
Promissory Forward Foreign Exchange Transactions					
Promissory Forward Sales					4,693,278,332
Promissory Forward Purchases					9,142,750,000
					13,836,028,332
Total Commitment and Contingencies					34,094,312,776

45.3 Lease Receivables

As at 31 December 2023	Total Future Minimum Payments Rs.	Unearned Finance Income Rs.	Present Value of Minimum Lease Payment Rs.
0 - 1 Year	2,967,614,492	703,086,135	2,264,528,357
1 - 5 Years	3,992,523,599	715,578,069	3,276,945,530
More than 5 Years	11,165,871	1,353,191	9,812,680
	6,971,303,962	1,420,017,395	5,551,286,567

As at 31 December 2022	Total Future Minimum Payments Rs.	Unearned Finance Income Rs.	Present Value of Minimum Lease Payment Rs.
0 - 1 Year	2,387,677,954	463,408,068	1,924,269,886
1 - 5 Years	2,627,634,478	371,429,946	2,256,204,532
More than 5 Years	9,910,953	549,176	9,361,777
	5,025,223,385	835,387,190	4,189,836,195

46. RELATED PARTY DISCLOSURES

The Bank carries out transactions in the ordinary course of business on an arm's length basis at commercial rates with its related parties as defined under LKAS 24 "Related Party Disclosures".

The pricing applicable to such transactions is based on the risk profile and the pricing model of the Bank which is in line with what is applied to transactions between the Bank and its non-related customers.

46.1 Parent and Ultimate controlling party

The Bank does not have an identifiable parent of its own.

NOTES TO THE
FINANCIAL STATEMENTS

46. RELATED PARTY DISCLOSURES (CONTD.)

46.2 Transactions with Key Management Personnel (KMPs)

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any Director of that entity.

Accordingly the Bank's KMPs include the Board of Directors and selected key employees who meet the above criteria.

Key Management Personnel Compensation

	2023	2022
Short-Term Employee Benefits including Directors' Emoluments	173,772,216	128,579,762
Share Based Payments	16,568,115	-
Total	190,340,331	128,579,762

No other benefits have been paid to KMPs other than those which are statutory in nature.

46.3 Transactions, Arrangements and Agreements involving KMPs & their Close family members (CFMs)

Close members of the family of an individual are those family members who may be expected to influence, or be influenced by, that individual in their dealings with the entity. They may include: the individual's domestic partner and children; children of the individual's domestic partner; and dependents of the individual or the individual's domestic partner.

Statement of Financial Position	2023	2022
Financing and Receivables to Other Customers	49,359,313	50,378,909
Due to Depositors	182,319,824	94,994,142
Statement of Profit or Loss		
Financing Income	2,686,329	2,539,900
Financing Expenses	12,100,930	3,997,624
Scrip Dividend	2,838	1,855

Terms and Conditions of Transactions with Related Parties

The above mentioned outstanding balances arose from the ordinary course of business. The rates charged from/paid to related parties are at normal commercial rates.

46.4 Transaction, Arrangements & Agreements Involving Entities which are Controlled and Jointly controlled by the KMPs or their CFMs.

In addition to transactions with Key Management Personnel and their Close Family Members, the Bank enters into transactions, arrangements and agreements with entities which are controlled and jointly controlled by the KMPs or their CFMs over the Bank. The transactions below were made in the ordinary course of business on substantially the same terms, including financing/commission rates and security, as for comparable transactions with unrelated counterparties. The Bank has not made any provision for impairment losses on amounts owed by related parties.

Statement of Financial Position	2023	2022
Due to Depositors	485,495	385,812,569
Statement of Profit or Loss		
Financing Expenses	10,535,606	19,538,180

47. EVENTS AFTER REPORTING DATE

There were no events after the reporting date which requires adjustments or disclosures in the Financial Statements.

48. CAPITAL

The Bank maintains an actively managed capital base to cover risks inherent in the business and meet the capital requirements of the local prudential regulator, Central Bank of Sri Lanka. The adequacy of the Bank's Capital is monitored using, among other measures, the rules and ratios established by the Basel Committee on Banking Supervision and adopted by the Central Bank of Sri Lanka.

Capital Management

The Bank's capital management objectives can be summarised as follows:

1. Maintain sufficient capital to meet minimum regulatory capital requirements.
2. Hold sufficient capital to support the Bank's risk appetite.
3. Allocate capital to businesses to support the Bank's strategic objectives.
4. Ensure that the Bank maintains capital in order to achieve rating objectives and withstand the impact of potential stress events.

Regulatory Capital

The Bank manages its capital considering regulatory capital requirements. The Central Bank of Sri Lanka (CBSL) sets and monitors Capital Requirements for Licensed Banks in Sri Lanka based on the Basel Framework and local regulations. Thus the Bank's operations are directly supervised by the CBSL and the Bank is required to comply with the provisions of the Basel III framework in respect of Regulatory Capital and capital to cover any additional risk. Commercial banks in Sri Lanka with total assets of less than Rs. 500 billion need to maintain a minimum Common Equity Tier 1 Capital Ratio of 7.00% (2022 - 7.00%) and minimum Total Capital Ratio of 12.50% (2022 - 12.50%) for the year 2023. The Bank has maintained its Capital Ratios well above the regulatory minimum.

During the year, the Bank raised over Rs. 6 billion in capital funds to meet CBSL's Enhancement of Minimum Capital requirement of Rs. 20 billion by 31 December 2023.

NOTES TO THE
FINANCIAL STATEMENTS

49. MATERIAL LITIGATION AGAINST THE BANK

In the normal course of business, the Bank has recourse to litigation for purposes of recovery of facilities when there are customers who have not honoured the terms and conditions stipulated in their respective facility documentation and where parate procedure is not available. On the other hand, there are actions instituted against the Bank as well. In all these cases Bank obtains professional advise and adjustments are made to the Financial Statements, if required.

The Bank is of the opinion that all such litigation which is currently pending will not have a material impact on the Financial Statements reported herein or the assumption of going concern of the Bank.

50. DIVIDENDS

	2023 Rs.	2022 Rs.
Dividends declared - Cash	-	-
Dividends declared - Scrip	334,073,941	269,115,119
Dividend per Ordinary Share	0.12	0.10

51. SHARE BASED PAYMENT TRANSACTIONS - EMPLOYEE SHARE OPTION PLAN (ESOP)

On 30 March 2023, the Bank obtained approval from its shareholders by way of an Extraordinary General Meeting to establish an Employee Share Option Plan (ESOP). The Bank, in accordance with the approval, will issue ordinary voting shares in 3 tranches up to a maximum of 3% of the pre-ESOP shares, subject to eligible employees exercising such Options and thereby take part in the ownership of the Bank.

Conditions for Grant of Options

The Board would set key performance indicators in respect of each of the performance targets/ratios for financial years ending on 31 December 2022 to 31 December 2024:

- ◆ Operating Profit Before VAT on Financial Services & Social Security Contribution Levy
- ◆ Return on Equity
- ◆ Return on Assets
- ◆ Cost to Income Ratio
- ◆ Total Assets

In respect of the financial year ending 31 December 2023, employees of the Bank have qualified to receive options in the ESOP scheme as follows.

Tranche	Grant Date	Quantum of Options	Exercise Price (*)
1	17-Jun-23	27,839,495	Rs. 2.40

* - The exercise price of options in respect of any tranche shall be the volume weighted average price of the Bank's ordinary voting share, during the period of thirty market days immediately prior to the respective grant date for such tranche.

Sri Lanka Accounting Standard – SLFRS 2 “Share-based Payment” sets out the financial reporting implications for the Bank when it undertakes a share-based payment transaction. The Standard requires the Bank to reflect in its statements of profit or loss and financial position the effects of the share-based payment transaction, including expenses associated with transactions in which share options are granted to employees. The key accounting implications of SLFRS 2 are given below.

Based on the approved Employee Share Option Plan, share options granted to Bank’s employees are categorized as an equity-settled share-based payment. Accordingly, the equity settled share-based transaction should be measured at fair value as transactions with employees are measured using a ‘grant date model’ (i.e. the transaction is recorded at the fair value of the equity instrument at the date when it is originally granted).

The value of the options should be calculated using an option valuation model. SLFRS 2 recommends using either Black-Scholes-Merton model or Binomial Option Valuation model for this purpose. The valuation of the options issued under the Bank’s ESOP has been made by using the Binomial model.

Fair value of equity-settled share based options awarded to employees on the grant date is recognised as an expense under personnel expenses, with a corresponding increase in equity, over the period in which the service and performance conditions are fulfilled. As per the ESOP scheme, allocated shares are vested immediately at the point of allocating such shares. Hence the cost of ESOP shall be recognized upon the allocation of shares to its employees.

Inputs and assumptions used for the option plan for the year ended 31 December 2023 in determining fair value of share option:

Price as of 17 June 2023	Rs. 2.50
Exercise Price	Rs. 2.40
Closing Price / Adjusted Exercise Price	Rs. 2.30
Expected Volatility	48.96%
Option Time Period	5 Years

	2023		2022	
	Number of Options	Weighted Average Exercise Price Rs.	Number of Options	Weighted Average Exercise Price Rs.
Outstanding as at 1 January	-	-	-	-
Granted During the Year (Tranche 1)	27,839,495	2.40	-	-
Exercised During the Year	-	-	-	-
Expired During the Year	-	-	-	-
Outstanding as at 31 December	27,839,495	2.30	-	-

During the year no share options were exercised. Subject to meeting stipulated conditions, the Board of Directors may grant up to 55,678,990 further options under tranches 2 and 3 during the years 2024 and 2025.

ESOP Reserve	2023 Rs.	2022 Rs.
Balance as at 1 January	-	-
Share-Based Payment Expense	50,978,808	-
Balance as at 31 December	50,978,808	-

TEN YEARS AT A GLANCE

For the Year ended 31 December	2023 LKR	2022 LKR	2021 LKR
Operating Results			
Financing Income	17,238,372,606	12,113,112,544	7,674,186,731
Financing Expenses	10,743,449,941	7,344,487,821	3,418,693,290
Net Financing Income	6,494,922,665	4,768,624,723	4,255,493,441
Net Fee and Commission Income	931,310,583	750,312,668	401,922,403
Net Trading Income	1,765,213,774	864,699,138	155,105,107
Net Gains/(Losses) from Financial Investments at Fair Value Through Profit or Loss	15,112,806	(21,646,296)	(7,013,153)
Net Gains/(Losses) from Derecognition of Financial Assets	982,956	(1,453,173)	(11,732,213)
Net Other Operating Income	2,982,534	5,159,290	5,226,813
Total Operating Income	9,210,525,318	6,365,696,350	4,799,002,398
Impairment on Financial Assets	2,120,743,289	1,638,483,485	784,952,089
Net Operating Income	7,089,782,029	4,727,212,865	4,014,050,309
Personnel Expenses	1,975,989,769	1,488,370,644	1,399,260,032
Depreciation of Property, Plant, Equipment and Right-of-Use Assets	249,465,480	274,607,079	279,632,013
Amortisation of Intangible Assets	58,137,560	51,327,168	58,685,409
Other Operating Expenses	1,587,478,916	1,176,643,239	831,827,820
Total Operating Expenses	3,871,071,725	2,990,948,130	2,569,405,274
Operating Profit/(Loss) Before VAT on Financial Services and Other Taxes	3,218,710,304	1,736,264,735	1,444,645,035
VAT on Financial Services and Other Taxes	906,519,704	528,989,373	363,632,453
Profit/(Loss) Before Tax	2,312,190,600	1,207,275,362	1,081,012,582
Tax Expense	925,414,505	419,098,458	256,314,684
Profit/(Loss) for the Year	1,386,776,095	788,176,904	824,697,898

2020 LKR	2019 LKR	2018 LKR	2017 LKR	2016 LKR	2015 LKR	2014 LKR
7,211,643,435	7,709,286,294	6,883,221,870	5,544,237,256	4,039,624,179	2,885,931,540	2,407,652,724
3,757,313,167	4,544,370,605	3,522,889,356	2,790,618,052	2,115,335,249	1,405,258,772	1,198,032,200
3,454,330,268	3,164,915,689	3,360,332,514	2,753,619,204	1,924,288,930	1,480,672,768	1,209,620,524
328,562,743	329,040,746	297,048,806	236,134,326	246,568,285	168,555,950	138,484,328
444,376,037	738,397,355	461,155,830	388,699,264	257,454,611	390,234,591	287,377,278
3,260,627	4,862,561	(22,436,152)	-	-	-	-
928,646	11,150,575	1,892,185	-	-	-	-
2,302,448	8,251,376	6,662,241	9,467,520	4,961,144	27,659,037	33,213,115
4,233,760,769	4,256,618,302	4,104,655,424	3,387,920,314	2,433,272,970	2,067,122,346	1,668,695,245
513,726,961	288,928,583	476,765,687	289,782,674	217,177,926	2,817,355	94,680,026
3,720,033,808	3,967,689,719	3,627,889,737	3,098,137,640	2,216,095,044	2,064,304,991	1,574,015,219
1,446,138,333	1,381,445,709	1,246,223,287	1,095,792,424	1,025,032,323	896,614,338	858,179,900
281,177,308	256,195,369	126,685,717	148,879,193	162,620,642	150,818,192	150,665,594
70,374,848	51,025,609	47,939,212	48,967,708	78,634,792	40,881,465	39,373,883
767,727,520	902,349,033	884,804,269	745,933,727	678,729,131	605,026,871	526,776,102
2,565,418,009	2,591,015,720	2,305,652,485	2,039,573,052	1,945,016,888	1,693,340,866	1,574,995,479
1,154,615,799	1,376,673,999	1,322,237,252	1,058,564,588	271,078,156	370,964,125	(980,260)
393,167,272	531,825,986	420,038,265	319,245,989	168,266,306	152,248,222	79,288,996
761,448,527	844,848,013	902,198,987	739,318,599	102,811,850	218,715,903	(80,269,256)
297,753,065	383,916,616	345,753,279	236,490,936	62,171,499	60,086,657	-
463,695,462	460,931,397	556,445,708	502,827,663	40,640,351	158,629,246	(80,269,256)

TEN YEARS AT A GLANCE

As at 31 December	2023 LKR	2022 LKR	2021 LKR
Assets			
Cash and Cash Equivalents	11,100,863,400	22,603,294,374	8,673,811,858
Balance with Central Bank of Sri Lanka	9,446,862,668	5,085,679,063	4,800,026,593
Placements with Banks	42,474,569,846	24,570,292,448	27,302,269,408
Placements with Licensed Finance Companies	80,783	77,154	73,341
Derivative Financial Assets	194,267,095	70,733,336	510,066,210
Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	8,994,233	59,561,097	64,634,084
Financial Investments - Held for Trading	-	-	-
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	89,658,059,768	83,185,916,541	75,816,397,323
Financial Assets Measured at Fair Value through Other Comprehensive Income	319,000,406	332,504,996	346,009,586
Financial Investments - Available for Sale	-	-	-
Other Assets - Financial	2,006,908,679	2,323,565,713	1,213,996,086
Property, Plant, Equipment and Right-of-Use Assets	2,775,396,192	2,466,761,457	2,447,149,785
Intangible Assets	379,309,190	319,253,349	232,834,506
Other Assets - Non Financial	303,033,651	262,467,487	449,563,025
Deferred Tax Assets	784,429,734	407,785,544	52,071,523
Total Assets	159,451,775,645	141,687,892,559	121,908,903,328
Liabilities			
Due to Banks	321,166,526	11,856,722,935	9,009,986,183
Derivative Financial Liabilities	947,739	20,880,000	783,199,782
Financial Liabilities at Amortised Cost - Due to Depositors	132,937,607,047	112,546,017,229	96,157,776,116
Other Liabilities - Financial	3,391,138,093	2,041,967,432	1,696,126,980
Current Tax Liabilities	722,144,473	645,606,465	419,795,391
Dividend Payable	6,325,683	6,351,708	6,459,073
Deferred Tax Liability	-	-	-
Retirement Benefit Liability	130,416,033	109,411,635	131,081,167
Other Liabilities - Non Financial	245,445,827	99,580,091	65,944,501
Total Liabilities	137,755,191,421	127,326,537,495	108,270,369,193
Shareholders' Funds			
Stated Capital	17,633,461,196	11,348,821,130	11,079,706,011
Reserves	4,063,123,028	3,012,533,934	2,558,828,124
Total Equity	21,696,584,224	14,361,355,064	13,638,534,135
Total Liabilities and Shareholders' Funds	159,451,775,645	141,687,892,559	121,908,903,328
Commitments and Contingencies	40,739,750,181	34,094,313,300	67,801,327,449
Share Information			
Earnings/(Loss) per Share	0.43	0.28	0.28
Net Assets Value per Share	3.94	5.16	5.07
Gross Dividend Paid (Cash/Scrip)	334,073,941	269,115,119	260,144,613
Dividend per Share	0.12	0.10	0.10
Dividend Pay Out Ratio (%)	24.09	34.14	31.54

2020 LKR	2019 LKR	2018 LKR	2017 LKR	2016 LKR	2015 LKR	2014 LKR
6,859,970,358	10,067,003,265	5,338,090,636	5,859,766,950	5,686,924,056	5,016,458,817	1,627,383,695
11,410,470,563	3,448,797,331	3,543,444,781	4,127,811,572	2,816,770,223	2,292,887,937	1,036,425,974
11,580,356,721	10,625,183,324	9,264,699,249	5,285,796,238	4,662,466,350	3,624,928,993	3,306,210,009
3,108,069,281	12,053,159	2,427,970,097	2,112,166,496	20,517	954,528,071	1,172,213,115
228,515,144	226,091,973	445,732,740	127,616,662	59,483,044	61,037,310	23,269,364
55,921,805	72,789,000	113,249,108	-	-	-	-
-	-	-	41,645,557	45,181,589	59,474,357	48,998,818
62,566,964,280	57,716,960,999	52,853,663,356	42,914,143,571	38,451,662,449	33,073,596,195	25,426,941,810
291,991,226	146,141,654	186,655,424	-	-	-	-
-	-	-	323,264,501	394,775,149	432,056,080	427,582,574
1,048,477,201	888,380,624	585,704,833	388,890,295	307,321,725	315,749,183	295,502,221
2,354,607,910	2,505,901,129	1,890,194,155	1,795,135,517	1,247,590,879	1,271,732,452	794,829,469
257,240,323	237,074,723	238,311,383	230,675,871	269,376,298	236,502,947	270,615,476
409,782,983	633,193,251	382,051,706	333,169,325	227,058,761	257,216,898	306,189,958
-	-	-	-	146,355,559	145,702,993	161,426,033
100,172,367,795	86,579,570,432	77,269,767,468	63,540,082,555	54,314,986,599	47,741,872,233	34,897,588,516
1,967,893,100	1,103,040,822	1,210,204,847	-	751,963,513	2,955,277,882	-
111,881,845	56,478,657	1,441,005,622	29,924,292	98,341,433	67,405,185	7,844,969
83,554,240,988	71,614,753,475	61,722,682,595	50,922,561,081	46,915,289,690	38,467,460,755	29,224,330,525
1,287,362,598	1,110,537,746	480,628,881	680,470,646	566,565,119	341,597,683	557,363,638
420,490,984	402,511,650	330,606,614	187,075,365	80,814,263	58,684,717	-
6,526,286	6,891,441	3,562,069	-	-	-	-
70,265,535	194,314,961	221,536,935	216,241,918	-	-	-
170,664,374	144,987,628	127,517,726	119,241,024	82,606,302	74,070,679	58,202,580
115,763,735	92,486,021	97,921,864	70,765,834	31,360,761	54,378,732	23,607,873
87,705,089,445	74,726,002,401	65,635,667,153	52,226,280,160	48,526,941,081	42,018,875,633	29,871,349,585
10,819,561,398	10,619,450,156	10,619,450,156	10,619,450,156	5,866,808,141	5,866,808,141	5,866,808,141
1,647,716,952	1,234,117,875	1,014,650,159	694,352,239	(78,762,623)	(143,811,541)	(840,569,210)
12,467,278,350	11,853,568,031	11,634,100,315	11,313,802,395	5,788,045,518	5,722,996,600	5,026,238,931
100,172,367,795	86,579,570,432	77,269,767,468	63,540,082,555	54,314,986,599	47,741,872,233	34,897,588,516
65,337,219,792	54,012,976,973	46,485,430,714	27,813,190,776	26,191,124,490	18,272,602,735	14,978,855,627
0.17	0.18	0.22	0.29	0.03	0.13	(0.06)
4.79	4.74	4.65	4.52	4.63	4.58	4.02
200,111,242	200,111,243	175,097,337	-	-	-	-
0.08	0.08	0.07	-	-	-	-
43.15	43.41	31.46	-	-	-	-

COMPLIANCE WITH DISCLOSURE REQUIREMENTS OF CENTRAL BANK OF SRI LANKA

The following explains the Disclosure Requirements under the prescribed format issued by the Central Bank of Sri Lanka for the Preparation of Annual Financial Statements of Licensed Commercial Banks.

1. INFORMATION ABOUT THE SIGNIFICANCE OF FINANCIAL INSTRUMENTS FOR FINANCIAL POSITION AND PERFORMANCE		
1.1 Statement of Financial Position		
1.1.1	Disclosures on categories of financial assets and financial liabilities.	Note 16 to the Financial Statements - Analysis of Financial Instruments by Measurement Basis.
1.1.2	Other Disclosures	
	(i) Special disclosures about financial assets and financial liabilities designated to be measured at Fair value through profit or loss, including disclosures about credit risk and market risk, changes in fair values attributable to these risks and the methods of measurement.	Note 42 to the Financial Statements - Fair Value of Financial Assets and Liabilities.
	(ii) Reclassifications of financial instruments from one category to another.	Not Applicable.
	(iii) Information about financial assets pledged as collateral and about financial or non-financial assets held as collateral.	Not Applicable.
	(iv) Reconciliation of the impairment allowance account for credit losses by class of financial assets.	Note 17.2 to the Financial Statements - Impairment Allowance for Balances with Banks Note 19.1 to the Financial Statements - Impairment Allowance for Placements with Banks Note 20.1 to the Financial Statements - Impairment Allowance for Licensed Finance Companies Note 23.4 to the Financial Statements - Impairment Allowance for Financing and Receivables to Other Customers.
	(v) Information about compound financial instruments with multiple embedded derivatives.	Not Applicable.
	(vi) Breaches of terms of financing agreements.	None.
1.2 Statement of Comprehensive Income		
1.2.1	Disclosures on items of income, expense, gains and losses.	Notes 4 - 14 to the Financial Statements.
1.2.2	Other Disclosures	
	(i) Total financing income and total financing expense for those financial instruments that are not measured at fair value through profit and loss.	Notes 4 and 5 to the Financial Statements - Financing Income and Financing Expenses respectively.
	(ii) Fee income and expense.	Note 6 to the Financial Statements - Net Fee and Commission Income.
	(iii) Amount of impairment losses by class of financial assets.	Note 11 to the Financial Statements - Impairment on Financial Assets.
	(iv) Financing income on impaired financial assets.	Note 4 to the Financial Statements - Financing Income.

1.3 Other Disclosures		
1.3.1	Accounting policies for financial instruments.	Note 2.3 to the Financial Statements - Summary of Material Accounting Policy Information
1.3.2	Financial liabilities designated as at FVTPL	
	(i) If a bank is presenting the effects of changes in that financial liability's credit risk in other comprehensive income (OCI): ✦ any transfers of the cumulative gain/loss within equity during the period, including the reasons for the transfers; ✦ if the liability is derecognised during the period, then the amount (if any) presented in OCI that was realised at derecognition; ✦ detailed description of the methodologies used to determine whether presenting the effects of changes in a liability's credit risk in OCI would create or enlarge an accounting mismatch in profit or loss; and (ii) Detailed description, if the effects of changes in a liability's credit risk are presented in profit or loss.	Not Applicable.
1.3.3	Investments in equity instruments designated as at FVOCI	
	(i) Details of equity instruments that have been designated as at FVOCI and the reasons for the designation;	Notes 2.3.3 d (iii) and 24 to the Financial Statements - Financial Assets Measured at Fair Value Through Other Comprehensive Income and Financial Assets Measured at Fair Value Through Other Comprehensive Income respectively.
	(ii) Fair value of each investment at the reporting date;	Note 24 to the Financial Statements - Financial Assets Measured at Fair Value Through Other Comprehensive Income.
	(iii) Dividends recognised during the period, separately for investments derecognised during the reporting period and those held at the reporting date;	Not Applicable.
	(iv) Any transfers of the cumulative gain or loss within equity during the period and the reasons for those transfers;	Not Applicable.
	(v) If investments in equity instruments measured at FVOCI are derecognised during the reporting period,	
	✦ reasons for disposing of the investments; ✦ fair value of the investments at the date of derecognition; and ✦ the cumulative gain or loss on disposal.	Not Applicable.

COMPLIANCE WITH DISCLOSURE REQUIREMENTS OF CENTRAL BANK OF SRI LANKA

1.3.4	Reclassifications of financial assets	
	(i) For all reclassifications of financial assets in the current or previous reporting period:	
	✦ date of reclassification; ✦ detailed explanation of the change in the business model and a qualitative description of its effect on the financial statements; and ✦ the amount reclassified into and out of each category.	Not Applicable.
	(ii) For reclassifications from FVTPL to amortised cost or FVOCI:	
	✦ the effective profit rate (EPR) determined on the date of reclassification; and ✦ the financing income recognised.	Not Applicable.
	(iii) For reclassifications from FVOCI to amortised cost, or from FVTPL to amortised cost or FVOCI:	
	✦ the fair value of the financial assets at the reporting date; and ✦ the fair value gain or loss that would have been recognised in profit or loss or OCI during the reporting period if the financial assets had not been reclassified.	Not Applicable.
1.3.5	Information on hedge accounting	Not Applicable.
1.3.6	Information about the fair values of each class of financial asset and financial liability, along with:	
	(i) Comparable carrying amounts.	
	(ii) Description of how fair value was determined.	
	(iii) The level of inputs used in determining fair value.	Note 42 to the Financial Statements - Fair Value of Financial Assets and Liabilities.
	(iv) (a) Reconciliations of movements between levels of fair value measurement hierarchy.	Not Applicable
	(b) Additional disclosures for financial instruments that fair value is determined using level 3 inputs.	Note 42 to the Financial Statements - Fair Value of Financial Assets and Liabilities.
	(v) Information if fair value cannot be reliably measured.	Note 24.2 to the Financial Statements - Investment in Equity – Unquoted and Note 42.2 to the Financial Statements - Financial Instruments Not Carried at Fair Value.

2. INFORMATION ABOUT THE NATURE AND EXTENT OF RISKS ARISING FROM FINANCIAL INSTRUMENTS		
2.1 Qualitative Disclosures		
2.1.1	Risk exposures for each type of financial instrument.	Note 43 to the Financial Statements - Risk Management.
2.1.2	Management's objectives, policies, and processes for managing those risks.	Note 43 to the Financial Statements - Risk Management, and please refer section relating to 'Risk Management' in the Annual Report for additional information.
2.1.3	Changes from the prior period.	Not Applicable.
2.2 Quantitative Disclosures		
2.2.1	Summary of quantitative data about exposure to each risk at the reporting date.	Note 43 to the Financial Statements - Risk Management.
2.2.2	Disclosures about credit risk, liquidity risk, market risk, operational risk, rate risk and how these risks are managed.	Note 43 to the Financial Statements - Risk Management and please refer section relating to 'Risk Management' in the Annual Report for additional Information.
	(i) Credit Risk	
	(a) Maximum amount of exposure (before deducting the value of collateral), description of collateral, information about credit quality of financial assets that are neither past due nor impaired and information about credit quality of financial assets.	Note 43.3 to the Financial Statements - Credit Risk and Note 2.2 c. to the Financial Statements - Impairment Losses on Financing and Receivables to Other Customers.
	(b) For financial assets that are past due or impaired, disclosures on age, factors considered in determining as impaired and the description of collateral on each class of financial asset	Note 43.3 to the Financial Statements - Credit Risk.
	(c) Information about collateral or other credit enhancements obtained or called.	Note 43 to the Financial Statements - Risk Management and please refer section relating to 'Risk Management' in the Annual Report for additional Information.
	(d) Credit risk management practices:	
	✦ Information about credit risk management practices and how they relate to the recognition and measurement of expected credit losses (ECL), including the methods, assumptions and information used to measure ECL.	Note 2.3.3 d. (v) to the Financial Statements - Impairment of Financial Assets.
	✦ Quantitative and qualitative information to evaluate the amounts in the financial statements arising from ECL, including changes and the reasons for those changes.	Note 2.3.3 d. (v), Note 2.3.3 e. (ii) and Note 11 to the Financial Statements - Impairment of Financial Assets, Impairment Charges on Financing and Receivables and Impairment of Financial Assets respectively.

COMPLIANCE WITH DISCLOSURE REQUIREMENTS OF CENTRAL BANK OF SRI LANKA

	◆ How the Bank determines whether the credit risk of financial instruments has increased significantly since initial recognition, including whether and how financial instruments are considered to have low credit risk, including the classes of financial instruments to which the low credit risk exception has been applied; and the presumption that financial assets with contractual payments more than 30 days past due have a significant increase in credit risk has been rebutted; ◆ The Bank's definitions of default for different financial instruments, including the reasons for selecting those definitions; ◆ How instruments are grouped if ECL are measured on a collective basis; ◆ How the Bank determines that financial assets are credit-impaired; ◆ The Bank's write-off policy, including the indicators that there is no reasonable expectation of recovery; and ◆ How the modification requirements have been applied, including how the Bank determines whether the credit risk of a financial asset that has been modified while subject to a lifetime ECL allowance has improved to the extent that the loss allowance reverts to being measured at an amount equal to 12-month ECL and monitors the extent to which the loss allowance on those assets subsequently reverts to being measured at an amount equal to lifetime ECL.	Note 2.2 c., 2.3.3 d. (v) and Note 2.3.3 e. (ii) to the Financial Statements – Impairment Losses on Financing and Receivables to Other Customers, Impairment of Financial Assets and Impairment Charges on Financing and Receivables respectively.
(e) ECL calculations		
	◆ Basis of the inputs, assumptions and the estimation techniques used when,	
	• estimating 12-month and lifetime ECL; • determining whether the credit risk of financial instruments has increased significantly since initial recognition; and • determining whether financial assets are credit-impaired.	Note 2.3.3 d. (v) and Note 2.3.3 e. (ii) to the Financial Statements – Impairment of Financial Assets and Impairment Charges on Financing and Receivables respectively.
	◆ How forward-looking information has been incorporated into the determination of ECL, including the use of macro-economic information; and	
	◆ changes in estimation techniques or significant assumptions made during the reporting period and the reasons for those changes.	Note 2.3.3 d. (v) and Note 2.3.3 e. (ii) to the Financial Statements – Impairment of Financial Assets and Impairment Charges on Financing and Receivables respectively.

(f) Amounts arising from ECL	
◆ Provide reconciliation for each class of financial instrument [Financial assets measured at AC, Financial assets mandatorily measured at FVOCI, financing commitments when there is an obligation to extend credit (except those measured at Fair Value through Profit or Loss), Financial guarantee contracts (except those measured at Fair Value through Profit or Loss), Lease receivables within the scope of LKAS 17: Leases, Contract assets within the scope of SLFRS 15: Revenue from contracts with customers etc.] of the opening balance to the closing balance of the impairment loss allowance.	Note 17.2 to the Financial Statements – Impairment Allowance for Balances with Banks, Note 19.1 to the Financial Statements – Impairment Allowance for Placements with Banks, Note 20.1 to the Financial Statements – Impairment Allowance for Licensed Finance Companies, Note 23.4 to the Financial Statements - Impairment Allowance for Financing and Receivables to Other Customers, and Note 45.2.2 to the Financial Statements - Impairment Allowance for Commitment and Contingencies.
◆ Explain the reasons for changes in the loss allowances in the reconciliation.	Due to the specific credit risks in each of the asset class. Please also refer Note 11 to the Financial Statements - Impairment on Financial Assets, for additional information.
(g) Collaterals	
◆ Amount that best represents the Bank's maximum exposure to credit risk at the reporting date, without taking account of any collateral held or other credit enhancements;	Note 43.3.3 (f) to the Financial Statements – Analysis of Maximum Exposure to Credit risk and Collateral and Other Credit Enhancements.
◆ Narrative description of collateral held as security and other credit enhancements (except for lease receivables), including: • discussion on the nature and quality of the collaterals held; • explanation of any significant changes in quality as a result of a deterioration or changes in the Bank's collateral policies during the reporting period;	Note 2.2 c. to the Financial Statements - Impairment Losses on Financing and Receivables to Other Customers and please refer section relating to 'Risk Management' in the Annual Report for additional Information.
◆ information about financial instruments for which the Bank has not recognised a loss allowance because of the collateral;	None.
◆ quantitative information about the collateral held as security and other credit enhancements;	Note 43.3.3 (f) to the Financial Statements - Analysis of Maximum Exposure to Credit risk and Collateral and Other Credit Enhancements.
◆ information about the fair value of the collateral and other credit enhancements, or to quantify the exact value of the collateral that was included in the calculation of ECL.	Note 2.2 c. to the Financial Statements - Impairment Losses on Financing and Receivables to Other Customers and please refer section relating to 'Risk Management' in the Annual Report for additional Information.

COMPLIANCE WITH DISCLOSURE REQUIREMENTS OF CENTRAL BANK OF SRI LANKA

(h) Written-off assets		
✦	Contractual amount outstanding of financial assets written off during the reporting period that are still subject to enforcement activity.	Note 23.4 to the Financial Statements - Impairment Allowance for Financing and Receivables to Other Customers.
(i)	For other disclosures, refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.	Please refer section on Market Discipline Disclosure Requirements on pages 321 to 335 and section relating to 'Risk Management' in the Annual Report for additional information.
(ii) Liquidity Risk		
(a)	A maturity analysis of financial assets and liabilities.	Note 43.4 to the Financial Statements - Liquidity Risk and Funding Management and please refer section relating to 'Risk Management' in the Annual Report.
(b)	Description of approach to risk management.	Note 43.4 to the Financial Statements - Liquidity Risk and Funding Management and please refer section relating to 'Risk Management' in the Annual Report for additional information.
(c)	For other disclosures, refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.	Please refer section on Market Discipline Disclosure Requirements on pages 321 to 335 and section relating to 'Risk Management' in the Annual Report for additional information.
(iii) Market Risk		
(a)	A sensitivity analysis of each type of market risk to which the Bank is exposed.	Note 43.5 to the Financial Statements - Market Risk and please refer section relating to 'Risk Management' in the Annual Report for additional information.
(b)	Additional information, if the sensitivity analysis is not representative of the Bank's risk exposure.	Not Applicable.
(c)	For other disclosures, refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.	Please refer section on Market Discipline Disclosure Requirements on pages 321 to 335 and section relating to 'Risk Management' in the Annual Report for additional information.
(iv) Operational Risk		
	For other disclosures, refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.	Please refer section on Market Discipline Disclosure Requirements on pages 321 to 335 and section relating to 'Risk Management' in the Annual Report for additional information.
(v) Equity Risk in the Banking Book		
(a) Qualitative Disclosures		
✦	Differentiation between holdings on which capital gains are expected and those taken under other objectives including for relationship and strategic reasons.	Note 43.8 to the Financial Statements - Equity Price Risk and please refer section relating to 'Risk Management' in the Annual Report
✦	Discussion of important policies covering the valuation and accounting of equity holdings in the banking book.	Note 2.3 to the Financial Statements - Summary of Material Accounting Policy Information and Note 24.2 to the Financial Statements - Investment in Equity – Unquoted.

	(b) Quantitative Disclosures Value disclosed in the statement of financial position of investments, as well as the fair value of those investments; for quoted securities, a comparison to publicly quoted share values where the share price is materially different from fair value, the types and the nature of investments and the cumulative realised gains/(losses) arising from sales and liquidations in the reporting period.	Notes 22 and 24 to the Financial Statements - Financial Assets Recognised Through Profit or Loss – Measured at Fair Value and Financial Assets Measured at Fair Value Through Other Comprehensive Income, respectively. Also please refer Notes 8 and 9 to the Financial Statements - Net Gains / (Losses) from Financial Assets at Fair Value Through Profit or Loss and Net Gains / (Losses) from Derecognition of Financial Assets, respectively.
	(vi) Rate Risk in the Banking Book (a) Qualitative Disclosures Nature of Rate Risk in the Banking Book and key assumptions. (b) Quantitative Disclosures The increase/(decline) in earnings or economic value (or relevant measure used by management) for upward and downward rate shocks according to management’s method for measuring rate risk in the banking book broken down by currency (as relevant)	Notes 43.5, 43.6, 43.7 and 43.8 to the Financial Statements - Market Risk, Foreign Exchange Risk, Currency Risk and Equity Price Risk respectively. You may also refer the section relating to ‘Risk Management’ in the Annual Report for additional information.
2.2.3	Information on concentrations of risk	
3. MARKET DISCIPLINE DISCLOSURE REQUIREMENTS		
3.1 Regulatory Requirements on Capital and Liquidity		
	(i) Key Regulatory Ratios - Capital and Liquidity (ii) Basel III Computation of Capital Ratios (iii) Computation of Leverage Ratio (iv) Basel III Computation of Liquidity Coverage Ratio (v) Main Features of Regulatory Capital Instruments	Please refer page 321 Please refer pages 322 to 323 Please refer page 323 Please refer page 324 Please refer page 325
3.2 Risk Weighted Assets (RWA)		
	(i) Summary Discussion on Adequacy/Meeting Current and Future Capital Requirements (ii) Credit Risk under Standardised Approach: Credit Risk Exposures and Credit Risk Mitigation (CRM) Effects (iii) Credit Risk under Standardised Approach: Exposures by Asset Classes and Risk Weights (iv) Market Risk under Standardised Measurement Method (v) Operational Risk under Basic Indicator Approach/The Standardised Approach/The Alternative Standardised Approach	Please refer page 325 including Note 48 to the Financial Statements - Capital and section relating to ‘Risk Management’ in the Annual Report for additional information Please refer page 326 Please refer page 327 Please refer page 327 Please refer page 328

COMPLIANCE WITH DISCLOSURE REQUIREMENTS OF
CENTRAL BANK OF SRI LANKA

3.3	Linkages Between Financial Statements & Regulatory Exposures	
	(i) Differences between Accounting and Regulatory Scopes and Mapping of Financial Statement Categories with Regulatory Risk Categories – Bank Only	Please refer pages 329 to 330
	(ii) Explanations of Differences between Accounting & Regulatory Exposure Amounts	Please refer pages 331 to 332 and also section relating to 'Risk Management' in the Annual Report for additional information
3.4	Risk Management	
	(i) Bank Risk Management Approach	Please refer section relating to 'Risk Management' of the Annual Report and Note 43 to the Financial Statements - Risk Management
	(ii) Risk Management related to Key Risk Exposures	Please refer section relating to 'Risk Management' of the Annual Report and Note 43 to the Financial Statements - Risk Management

MARKET DISCIPLINE DISCLOSURE REQUIREMENTS

KEY REGULATORY RATIOS - CAPITAL AND LIQUIDITY

As at 31 December	2023	2022
Regulatory Capital (LKR '000)		
Common Equity Tier 1	19,324,373	12,336,541
Tier 1 Capital	19,324,373	12,336,541
Total Capital	22,600,754	14,960,985
Regulatory Capital Ratios (%)		
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 7.0%)	16.5%	13.0%
Tier 1 Capital Ratio (Minimum Requirement - 8.5%)	16.5%	13.0%
Total Capital Ratio (Minimum Requirement - 12.5%)	19.3%	15.8%
Leverage Ratio (Minimum Requirement - 3%)	11.6%	7.4%
Regulatory Liquidity		
Statutory Liquid Assets (LKR '000) - Domestic Banking Unit	51,295,843	35,743,999
Statutory Liquid Assets (USD '000) - Offshore Banking Unit	1,760	1,581
Statutory Liquid Assets Ratio (Minimum Requirement - 20%)		
Consolidated (%)	38.6%	28.3%
Liquidity Coverage Ratio (%) – Rupee (Min Requirement - 100%/90%)	300.0%	150.3%
Liquidity Coverage Ratio (%) – All Currency (Min Requirement - 100%/90%)	234.9%	126.5%

MARKET DISCIPLINE DISCLOSURE REQUIREMENTS

BASEL III COMPUTATION OF CAPITAL RATIOS

As at 31 December	2023 LKR '000	2022 LKR '000
Common Equity Tier 1 (CET1) Capital after Adjustments	19,324,373	12,336,541
Common Equity Tier 1 (CET1) Capital before Adjustments	20,609,660	13,267,685
Equity Capital (Stated Capital)/Assigned Capital	17,633,461	11,348,821
Reserve Fund	266,441	197,102
Published Retained Earnings/(Accumulated Retained Losses)	2,666,625	1,721,762
Published Accumulated Other Comprehensive Income (OCI)	43,133	-
General and other Disclosed Reserves	-	-
Unpublished Current Year's Profit/Loss and Gains reflected in OCI	-	-
Ordinary Shares issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by Third Parties	-	-
Total Adjustments to CET1 Capital	1,285,287	931,145
Goodwill (net)	-	-
Intangible Assets (net)	379,309	319,253
Others (Net Deferred Tax Asset & Significant investments in the capital of financial institutions where the bank owns more than 10 per cent of the issued ordinary share capital of the entity)	905,978	611,892
Additional Tier 1 (AT1) Capital after Adjustments	-	-
Additional Tier 1 (AT1) Capital	-	-
Qualifying Additional Tier 1 Capital Instruments	-	-
Instruments issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by Third Parties	-	-
Total Adjustments to AT1 Capital	-	-
Investment in Own Shares	-	-
Others (specify)	-	-
Tier 2 Capital after Adjustments	3,276,381	2,624,444
Tier 2 Capital	3,276,381	2,624,444
Qualifying Tier 2 Capital Instruments	-	-
Revaluation Gains	707,723	707,723
Provisions on Financing and Advances	2,568,658	1,916,721
Instruments issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by Third Parties	-	-
Total Adjustments to Tier 2	-	-
Investment in Own Shares	-	-
Others (specify)	-	-
CET1 Capital	19,324,373	12,336,541
Total Tier 1 Capital	19,324,373	12,336,541
Total Capital	22,600,754	14,960,985
Total Risk Weighted Assets (RWA)	116,904,980	94,718,796

As at 31 December	2023 LKR '000	2022 LKR '000
RWAs for Credit Risk	107,889,044	88,027,334
RWAs for Market Risk	872,632	533,294
RWAs for Operational Risk	8,143,304	6,158,168
CET1 Capital Ratio (including Capital Conservation Buffer, Countercyclical Capital Buffer & Surcharge on D-SIBs) (%)	16.53%	13.02%
of which: Capital Conservation Buffer (%)	2.500%	2.500%
of which: Countercyclical Buffer (%)	-	-
of which: Capital Surcharge on D-SIBs (%)	-	-
Total Tier 1 Capital Ratio (%)	16.53%	13.02%
Total Capital Ratio (including Capital Conservation Buffer, Countercyclical Capital Buffer & Surcharge on D-SIBs) (%)	19.33%	15.80%
of which: Capital Conservation Buffer (%)	2.500%	2.500%
of which: Countercyclical Buffer (%)	-	-
of which: Capital Surcharge on D-SIBs (%)	-	-

COMPUTATION OF LEVERAGE RATIO

As at 31 December	2023 LKR '000	2022 LKR '000
Tier 1 Capital	19,324,373	11,884,715
Total Exposures	166,966,144	161,273,299
On-Balance Sheet Items (excluding Derivatives and Securities Financing Transactions, but including Collateral)	157,972,222	140,756,748
Derivative Exposures	-	12,927,848
Securities Financing Transaction Exposures	-	-
Other Off-Balance Sheet Exposures	8,993,922	7,588,703
Basel III Leverage Ratio (%) (Tier 1/Total Exposure)	11.57%	7.37%

MARKET DISCIPLINE DISCLOSURE REQUIREMENTS

BASEL III COMPUTATION OF LIQUIDITY COVERAGE RATIO

As at 31 December	2023		2022	
	Total Un-weighted Value LKR '000	Total Weighted Value LKR '000	Total Un-weighted Value LKR '000	Total Weighted Value LKR '000
Total Stock of High-Quality Liquid Assets (HQLA)	13,935,626	13,935,626	8,256,196	8,226,415
Total Adjusted Level 1A Assets	13,926,631	13,926,631	8,196,635	8,196,635
Level 1 Assets	13,926,631	13,926,631	8,196,635	8,196,635
Total Adjusted Level 2A Assets	-	-	-	-
Level 2A Assets	-	-	-	-
Total Adjusted Level 2B Assets	-	-	-	-
Level 2B Assets	8,994	4,497	59,561	29,780
Total Cash Outflows	152,348,504	23,724,427	132,414,300	26,022,408
Deposits	109,639,426	10,963,943	94,271,050	9,427,105
Unsecured Wholesale Funding	22,253,265	11,153,739	17,759,517	9,131,826
Secured Funding Transactions	-	-	-	-
Undrawn Portion of Committed (Irrevocable) Facilities and Other Contingent Funding Obligations	20,455,814	1,606,746	20,362,853	7,442,597
Additional Requirements	-	-	20,880	20,880
Total Cash Inflows	73,688,589	44,531,086	41,497,638	22,150,798
Maturing Secured Lending Transactions Backed by Collateral	10,366,897	10,366,897	9,824,951	9,824,951
Committed Facilities	-	-	-	-
Other Inflows by Counterparty which are Maturing within 30 Days	38,220,664	32,673,305	15,047,363	12,273,720
Operational Deposits	22,119,260		16,521,070	
Other Cash Inflows	2,981,768	1,490,884	104,254	52,127
Liquidity Coverage Ratio (%) (Stock of High Quality Liquid Assets/Total Net Cash Outflows over the Next 30 Calendar Days) * 100		234.88		126.45

MAIN FEATURES OF REGULATORY CAPITAL INSTRUMENTS

Description of the Capital Instrument	Ordinary Shares
Issuer	Amana Bank PLC
CSE Security Code	ABL.N0000
Original Date of Issuance	Multiple
Par Value of Instrument	N/A
Perpetual or Dated	Perpetual
Original Maturity Date, if Applicable	N/A
Amount Recognised in Regulatory Capital (in LKR '000 as at 31 December 2023)	20,609,660
Accounting Classification (Equity/Liability)	Shareholders' Equity
Issuer Call subject to Prior Supervisory Approval	
Optional Call Date, Contingent Call Dates and Redemption Amount (LKR '000)	N/A
Subsequent Call Dates, if Applicable	N/A
Coupons/Dividends	
Fixed or Floating Dividend/Coupon	N/A
Coupon Rate and any Related Index	N/A
Non-Cumulative or Cumulative	N/A
Convertible or Non-Convertible	
If Convertible, Conversion Trigger (s)	N/A
If Convertible, Fully or Partially	N/A
If Convertible, Mandatory or Optional	N/A
If Convertible, Conversion Rate	N/A

SUMMARY DISCUSSION ON ADEQUACY/MEETING CURRENT AND FUTURE CAPITAL REQUIREMENTS

Please refer Note 48 to the Financial Statements - Capital and section relating to 'Risk Management' in the Annual Report on pages 206 to 231.

MARKET DISCIPLINE DISCLOSURE REQUIREMENTS

CREDIT RISK UNDER STANDARDISED APPROACH – CREDIT RISK EXPOSURES AND CREDIT RISK MITIGATION (CRM) EFFECTS

As at 31 December 2023	Exposures before Credit Conversion Factor (CCF) and CRM		Exposures Post CCF and CRM		RWA and RWA Density	
	On-Balance Sheet Amount LKR '000	Off-Balance Sheet Amount LKR '000	On-Balance Sheet Amount LKR '000	Off-Balance Sheet Amount LKR '000	RWA LKR '000	RWA Density %
Claims on Central Government and CBSL	9,596,072	-	9,596,072	-	-	0%
Claims on Foreign Sovereigns and their Central Banks	-	-	-	-	-	-
Claims on Public Sector Entities	-	-	-	-	-	-
Claims on Official Entities and Multilateral Development Banks	-	-	-	-	-	-
Claims on Banks Exposures	47,432,022	11,667,570	47,432,022	275,597	18,981,938	40%
Claims on Financial Institutions	-	-	-	-	-	0%
Claims on Corporates	41,601,088	15,265,409	41,601,088	4,220,343	45,821,431	100%
Retail Claims	40,006,192	10,006,989	39,728,105	3,938,370	29,395,439	67%
Claims Secured by Residential Property	4,925,561	-	4,925,561	-	3,708,062	75%
Claims Secured by Commercial Real Estate	-	-	-	-	-	-
Non-Performing Assets (NPAs)	1,616,462	64,598	1,616,462	13,105	1,443,975	89%
Higher-risk Categories	194,459	-	194,459	-	486,148	250%
Cash Items and Other Assets	12,785,639	779,852	12,785,639	779,852	8,052,052	59%
Total	158,157,495	37,784,419	157,879,408	9,227,267	107,889,044	65%

NOTES:

- (i) As per Banking Act Directions on Classification of Financing and Receivables to Other Customers, Income Recognition and Provisioning
- (ii) RWA Density - Total RWA/Exposures Post CCF and CRM.

CREDIT RISK UNDER STANDARDISED APPROACH: EXPOSURES BY ASSET CLASSES AND RISK WEIGHTS

As at 31 December 2023 Risk Weight Asset Classes	Post CCF & CRM								Total Credit Exposures Amount LKR '000
	0% LKR '000	20% LKR '000	50% LKR '000	60% LKR '000	75% LKR '000	100% LKR '000	150% LKR '000	>150% LKR '000	
Claims on Central Government and Central Bank of Sri Lanka	9,596,072	-	-	-	-	-	-	-	9,596,072
Claims on Foreign Sovereigns and their Central Banks	-	-	-	-	-	-	-	-	-
Claims on Public Sector Entities	-	-	-	-	-	-	-	-	-
Claims on Official Entities and Multilateral Development Banks	-	-	-	-	-	-	-	-	-
Claims on Banks Exposures	-	17,491,758	29,464,550	-	-	751,311	-	-	47,707,620
Claims on Financial Institutions	-	-	-	-	-	-	-	-	-
Claims on Corporates	-	-	-	-	-	45,821,431	-	-	45,821,431
Retail Claims	1,109,099	10,215,878	-	160,304	19,700,452	12,480,741	-	-	43,666,474
Claims Secured by Residential Property	-	-	1,873,076	-	-	3,052,485	-	-	4,925,561
Claims Secured by Commercial Real Estate	-	-	-	-	-	-	-	-	-
Non-Performing Assets (NPAs)	-	-	416,504	-	-	1,167,743	45,320	-	1,629,567
Higher-risk Categories	-	-	-	-	-	-	-	194,459	194,459
Cash Items and Other Assets	5,513,439	-	-	-	-	8,052,052	-	-	13,565,491
Total	16,218,609	27,707,636	31,754,131	160,304	19,700,452	71,325,763	45,320	194,459	167,106,675

MARKET RISK UNDER STANDARDISED MEASUREMENT METHOD

As at 31 December 2023	RWA Amount LKR '000
(a) RWA for Rate Risk	-
General Rate Risk	-
(i) Net Long or Short Position	-
(ii) Horizontal Disallowance	-
(iii) Vertical Disallowance	-
(iv) Options	-
Specific Rate Risk	-
(b) RWA for Equity	2,250
(i) General Equity Risk	1,125
(ii) Specific Equity Risk	1,125
(c) RWA for Foreign Exchange & Gold	106,829
Capital Charge for Market Risk [(a) + (b) + (c)] * CAR	872,632

MARKET DISCIPLINE DISCLOSURE
REQUIREMENTS

OPERATIONAL RISK UNDER BASIC INDICATOR APPROACH / THE STANDARDISED APPROACH / THE ALTERNATIVE STANDARDISED APPROACH

As at 31 December 2023	Capital Charge Factor	Fixed Factor	Gross Income		
			1st Year LKR '000	2nd Year LKR '000	3rd Year LKR '000
The Basic Indicator Approach	15%		4,797,552	6,365,381	9,195,326
The Standardised Approach					
Corporate Finance	18%		}	N/A	
Trading and Sales	18%				
Payment and Settlement	18%				
Agency Services	15%				
Asset Management	12%				
Retail Brokerage	12%				
Retail Banking	12%				
Commercial Banking	15%				
The Alternative Standardised Approach					
Corporate Finance	18%		}	N/A	
Trading and Sales	18%				
Payment and Settlement	18%				
Agency Services	15%				
Asset Management	12%				
Retail Brokerage	12%				
Retail Banking	12%	0.035			
Commercial Banking	15%	0.035			
Capital Charges for Operational Risk (LKR'000)					
The Basic Indicator Approach		}	N/A		
The Standardised Approach					
The Alternative Standardised Approach					
Risk Weighted Amount for Operational Risk (LKR'000)					
The Basic Indicator Approach		}	N/A		
The Standardised Approach					
The Alternative Standardised Approach					

DIFFERENCES BETWEEN ACCOUNTING AND REGULATORY SCOPES AND MAPPING OF FINANCIAL STATEMENT CATEGORIES WITH REGULATORY RISK CATEGORIES – BANK ONLY

As at 31 December 2023	Explanation Reference #	a Carrying Values as Reported in Published Financial Statements LKR '000	b Carrying Values as under Scope of Regulatory Reporting LKR '000	c Subject to Credit Risk Framework LKR '000	d Subject to Market Risk Framework LKR '000	e Not Subject to Capital Requirements or Subject to Deduction From Capital LKR '000
Assets		159,451,776	159,451,776	157,879,408	8,994	3,853,945
Cash and Cash Equivalents	1	11,100,863	5,513,439	5,513,439	-	-
Balances with Central Bank		9,446,863	9,446,863	9,446,863	-	-
Placements with Banks & Financial Institutions	1	42,474,651	47,431,558	47,431,558	-	-
Derivative Financial Instruments		194,267	194,267	194,267	-	-
Other Financial Assets Held-For-Trading		-	-	-	-	-
Financial Assets Designated at Fair Value through Profit or Loss		8,994	8,994	-	8,994	-
Financing and Receivables to Banks		-	-	-	-	-
Financing and Receivables to Other Customers		89,658,060	89,658,060	87,089,402	-	2,568,658
Financial Assets Measured at Fair Value through Other Comprehensive Income		319,000	319,000	197,453	-	121,548
Investments in Subsidiaries		-	-	-	-	-
Investments in Associates and Joint Ventures		-	-	-	-	-
Property, Plant and Equipment		2,775,396	2,775,396	2,775,396	-	-
Investment Properties		-	-	-	-	-
Goodwill and Intangible Assets		379,309	379,309	-	-	379,309
Deferred Tax Assets		784,430	784,430	-	-	784,430
Other Assets		2,309,942	2,940,459	5,231,031	-	-
Liabilities		137,755,191	137,755,191	-	-	-
Due to Banks	2	321,167	219,294	-	-	-
Derivative Financial Instruments		948	948	-	-	-
Other Financial Liabilities Held-For-Trading		-	-	-	-	-
Financial Liabilities Designated at Fair Value Through Profit or Loss		-	-	-	-	-
Due to Other Customers	2	132,937,607	131,057,819	-	-	-
Other Borrowings		-	-	-	-	-
Debt Securities Issued		-	-	-	-	-
Current Tax Liabilities	2	722,144	722,144	-	-	-

MARKET DISCIPLINE DISCLOSURE REQUIREMENTS

DIFFERENCES BETWEEN ACCOUNTING AND REGULATORY SCOPES AND MAPPING OF FINANCIAL STATEMENT CATEGORIES WITH REGULATORY RISK CATEGORIES – BANK ONLY (CONTD.)

As at 31 December 2023	Explanation Reference #	a	b	c	d	e
		Carrying Values as Reported in Published Financial Statements LKR '000	Carrying Values as under Scope of Regulatory Reporting LKR '000	Subject to Credit Risk Framework LKR '000	Subject to Market Risk Framework LKR '000	Not Subject to Capital Requirements or Subject to Deduction From Capital LKR '000
Deferred Tax Liabilities		-		-	-	-
Other Provisions		-		-	-	-
Other Liabilities	2	3,773,326	5,754,987	-	-	-
Due to Subsidiaries		-		-	-	-
Subordinated Term Debts		-		-	-	-
Off-Balance Sheet Liabilities		28,100,510	28,100,510	26,500,178	-	1,600,332
Guarantees		3,645,583	3,645,583	3,645,583	-	-
Performance Bonds		767,129	767,129	767,129	-	-
Letters of Credit		1,680,163	1,680,163	1,680,163	-	-
Other Contingent Items		5,108,044	5,108,044	5,108,044	-	-
Undrawn Financing Commitments		13,819,779	13,819,779	13,819,779	-	-
Other Commitments		3,079,813	3,079,813	1,479,481	-	1,600,332
Shareholders' Equity		-	-	-	-	-
Equity Capital (Stated Capital)/Assigned Capital		17,633,461	17,633,461	-	-	-
of which Amount Eligible for CET1		17,633,461	17,633,461	-	-	-
of which Amount Eligible for AT1		-		-	-	-
Retained Earnings		2,666,625	2,738,380	-	-	-
Accumulated Other Comprehensive Income		71,889	71,889	-	-	-
Other Reserves		1,324,609	1,252,855	-	-	707,723
Total Shareholders' Equity		21,696,584	21,696,584	-	-	707,723

EXPLANATIONS OF DIFFERENCES BETWEEN ACCOUNTING AND REGULATORY EXPOSURE AMOUNTS

a. Significant Differences between Amounts in Carrying Values Reported in Published Financial Statements and Regulatory Reporting

EXPLANATION REFERENCE # 1 : CASH AND CASH EQUIVALENTS AND PLACEMENTS WITH BANKS AND FINANCIAL INSTITUTIONS

	Carrying Values as Reported in Published Financial Statements (LKR '000)	Carrying Values as under Scope of Regulatory Reporting (LKR '000)	Difference (LKR '000)	Remarks
Cash and Cash Equivalents	11,100,863	5,513,439		
Placements with Banks and Financial Institutions	42,474,651	47,431,558		
	53,575,514	52,944,997	630,517	Accrued Profits Receivable on Placements is classified separately for CBSL Reporting purposes

EXPLANATION REFERENCE # 2 : DUE TO BANKS, DUE TO DEPOSITORS, TAX LIABILITIES & OTHER LIABILITIES

		Carrying Values as Reported in Published Financial Statements (LKR '000)	Carrying Values as under Scope of Regulatory Reporting (LKR '000)	Difference (LKR '000)	Remarks
Due to Banks / Other Borrowings under Regulatory Reporting					
Balance Due to CBSL (Saubagya Renaissance Facility)		100,185		100,185	Saubagya Renaissance Facility payable has been reported under Other Payables for CBSL Reporting purposes
Vostro Balances		19,294	19,294	-	
Balances Due to Banks		201,688	200,000	1,688	Profit payable on Wakala Financing has been reported under Profits Payable for CBSL reporting purposes
Financial Liabilities at Amortised Cost - Due to Depositors	A	321,167	219,294		
	B	132,937,607	131,057,819	1,879,788	
Profits Payable	C	-	2,164,568	(2,164,568)	Profit Payable on Deposits has been reported under Profits Payable for CBSL reporting purposes

MARKET DISCIPLINE DISCLOSURE
 REQUIREMENTS

EXPLANATION REFERENCE # 2 : DUE TO BANKS, DUE TO DEPOSITORS, TAX LIABILITIES & OTHER LIABILITIES (CONTD.)

		Carrying Values as Reported in Published Financial Statements (LKR '000)	Carrying Values as under Scope of Regulatory Reporting (LKR '000)	Difference (LKR '000)	Remarks
	D	-	(283,092)	283,092	Margin Deposits have been reported under Deposits for CBSL reporting purposes
	E = (A+B+C+D)	133,258,774	133,158,588	100,185	
Current Tax Liabilities	F	722,144	722,144		
Other Liabilities	G	3,773,326	3,873,511	(100,185)	Saubagya Renaissance Facility payable has been reported under Other Payables for CBSL Reporting purposes
Derivative Liabilities	H	948	948		
	I = (E+F+G+H)	137,755,191	137,755,191		

NET STABLE FUNDING RATIO UNDER BASEL III - LIQUIDITY STANDARDS

Calculation of Net Stable Funding Ratio (NSFR)

As at 31 December	2023 LKR '000	2022 LKR '000
Total Available Stable Funding	121,213,362	90,953,686
Required Stable Funding - On Balance Sheet Assets	63,297,792	47,542,401
Required Stable Funding - Off Balance Sheet Items	1,264,754	887,789
Total Required Stable Funding	64,562,545	48,430,190
NSFR (Minimum Requirement - 100%/90%)	188%	188%

TOTAL AVAILABLE STABLE FUNDING

As at 31 December 2023	Unweighted Amount LKR '000	ASF Factor %	Weighted Amount LKR '000
Total Available Stable Funding	120,128,596		121,213,362
Liabilities and Capital Assigned a 100% ASF factor	24,026,129		24,026,129
Total Regulatory Capital Before Capital Deductions (Excluding Tier 2 Instruments with Residual Maturity of less than One Year)	20,609,660	100%	20,609,660
Any Other Capital Instrument With Effective Residual Maturity of One Year or More	-	100%	-
Secured and Unsecured Borrowings and Liabilities with Effective Residual Maturities of One Year or More	3,416,469		3,416,469
Net Deferred Tax Liabilities	-	100%	-
Minority Interest	-	100%	-
Other Liabilities	3,416,469	100%	3,416,469
Liabilities Assigned a 90% ASF Factor	83,438,202		75,094,382
Non-Maturity Deposits and Term Deposits with Residual Maturity of less than One Year Provided by Retail Customers and SME	83,438,202	90%	75,094,382
Liabilities Assigned a 50% ASF Factor	5,949,448		22,092,851
Funding with Residual Maturity of less than One Year Provided by Non-Financial Corporate Customers	2,501,136	50%	1,250,568
Operational Deposits	3,448,311	50%	1,724,156
Funding with Residual Maturity of less than One Year from Sovereigns, Public Sector Entities (PSES), and Multilateral Development Banks (MDBs)	-	50%	-
Other Funding with Residual Maturity between Six Months and less than One Year not included in the Above Categories, including Funding Provided by Central Banks and Financial Institutions	-	-	19,118,128
Net Deferred Tax Liabilities	-	50%	-
Minority Interest	-	50%	-
Other Liabilities	38,236,255	50%	19,118,128
Liabilities Assigned a 0% ASF Factor	6,714,817		-
All Other Liabilities and Equity not included in the Above Categories including Other Funding with Residual Maturity of less than Six Months from Central Banks and Financial Institutions	17,445	0%	-
Other Liabilities without a Stated Maturity	6,697,373	-	-
Net Deferred Tax Liabilities	-	-	-
Minority Interest	-	-	-
Other Liabilities	6,697,373	0%	-
NSFR Derivative Liabilities Net of Derivative Assets (If NSFR Derivative Liabilities are Greater than NSFR Derivative Assets)	-	0%	-
"Trade Date" Payables arising from Purchases of Financial Instruments, Foreign Currencies and Commodities	-	-	-

MARKET DISCIPLINE DISCLOSURE REQUIREMENTS

REQUIRED STABLE FUNDING – ON BALANCE SHEET ASSETS

As at 31 December 2023	Unweighted Amount LKR '000	ASF Factor %	Weighted Amount LKR '000
Required Stable Funding - On Balance Sheet Assets	-		63,297,792
Assets assigned a 0% RSF factor	-		-
Cash in Hand	5,513,439	0%	-
Central Bank Reserves (Statutory Reserve Ratio (SRR) including Excess SRR)	9,446,863	0%	-
All Claims on Central Banks with Residual Maturities of less than Six Months	-	0%	-
"Trade Date" Receivables arising from Sales of Financial Instruments, Foreign Currencies and Commodities	-	0%	-
Assets Assigned a 5% RSF Factor	-		-
Unencumbered Level 1 Assets	-		-
Qualifying Marketable Securities	-		-
Issued by Sovereigns	-	5%	-
Guaranteed by Sovereigns	-	5%	-
Issued or Guaranteed by Central Banks	-	5%	-
Issued or Guaranteed by BIS, IMF, ECB And European Community or Eligible MDBs	-	5%	-
20% of Derivative Liabilities	-	5%	-
Assets Assigned a 10% RSF Factor	-		-
Unencumbered Financing to Financial Institutions with Residual Maturities of less than Six Months	-	10%	-
Assets Assigned a 15% RSF Factor	-		-
Unencumbered Level 2A Assets	-		-
Qualifying Marketable Securities	-		-
Issued or Guaranteed by Sovereigns	-	15%	-
Issued or Guaranteed by Central Banks	-	15%	-
Issued or Guaranteed By PSEs	-	15%	-
Issued or Guaranteed By MDBs	-	15%	-
Qualifying Non-Financial Corporate Debt Securities (including Commercial Paper and Promissory Notes) and Covered Bonds	-	15%	-
Qualifying Investments in Gilt Unit Trust Backed by Government of Sri Lanka (GoSL) Securities	-	15%	-
All Other Unencumbered Financing to Financial Institutions with Residual Maturities of less than Six Months	-	15%	-
Assets Assigned a 50% RSF Factor	-		21,473,080
Unencumbered Level 2B Assets	-		5,994
Qualifying Non-Financial Corporate Debt Securities (including Commercial Paper And Promissory Notes)	-	50%	-
Qualifying Non-Financial Common Equity Shares	11,987	50%	5,994
Residential Mortgage Backed Securities (RMBs) with a Credit Rating of at least AA	-	50%	-
HQLA Encumbered for a Period of Six Months or more and less than One Year	-	50%	-
Unencumbered Financing to Financial Institutions and Central Banks with Residual Maturity between Six Months and less than One Year	-	50%	-

As at 31 December 2023	Unweighted Amount LKR '000	ASF Factor %	Weighted Amount LKR '000
Deposits held at Other Financial Institutions for Operational Purposes	-	50%	-
All Other Non HQLA not included in the above categories with Residual Maturity of less than One Year	42,934,173	50%	21,467,087
Assets Assigned a 65% RSF Factor	-		1,372,105
Qualifying Unencumbered Residential Mortgages with a Residual Maturity of One Year or More	2,110,931	65%	1,372,105
Other Qualifying Unencumbered Financing Financial Institutions, with a Residual Maturity of One Year or more	-	65%	-
Assets Assigned a 85% RSF Factor	-		22,877,772
Cash, Securities or Other Assets Posted as Initial Margin for Derivative Contracts	-	85%	-
Other Unencumbered Performing Loans	26,915,026	85%	22,877,772
Unencumbered Securities that are not in Default and do not Qualify as HQLA	-	85%	-
Physical Traded Commodities, including Gold	-	85%	-
Assets Assigned a 100% RSF Factor	-		17,574,834
All Assets that are Encumbered for a Period of One Year or more	-	100%	-
NSFR Derivative Assets Net of NSFR Derivative Liabilities If NSFR Derivative Assets are greater than NSFR Derivative Liabilities	10,695,240	100%	10,695,240
All Other Assets not included in Above	6,879,594	100%	6,879,594

REQUIRED STABLE FUNDING – OFF BALANCE SHEET ITEMS

As at 31 December 2023	Unweighted Amount LKR '000	ASF Factor %	Weighted Amount LKR '000
Required Stable Funding - Off Balance Sheet Items			1,264,754
Irrevocable and Conditionally Revocable Credit and Liquidity Facilities to any Client	13,819,779	5%	690,989
Other Contingent Funding Obligations, including Products and Instruments	-		573,765
Unconditionally Revocable Credit and Liquidity Facilities	-	0%	
Trade Finance-Related Obligations (including Guarantees and Letters of Credit)	11,475,295	5%	573,765
Guarantees Unrelated to Trade Finance Obligations	-	0%	-
Non-Contractual Obligations	-		-
Potential Requests for Debt Repurchases of the Bank'S Own Debt or that of Related Conduits, Securities Investment Vehicles and Other such Financing Facilities	-	5%	-
Structured Products where Customers Anticipate Ready Marketability, such as Adjustable Rate Notes and Variable Rate Demand Notes (VRDNs)	-	5%	-
Managed Funds that are Marketed with the Objective of Maintaining a Stable Value	-	5%	-
Any Other Obligations	-	5%	-

INVESTOR RELATIONS

Compliance Report on the Contents of Annual Report in terms of Continuing Listing Requirements of the Colombo Stock Exchange

The table below summarises the Bank's degree of compliance with the Listing Rules issued by Colombo Stock Exchange.

Rule No.	Disclosure Requirement	Section Reference	Page Reference
7.6 (i)	Names of persons who during the financial year were Directors of the Entity.	Annual Report of the Board of Directors on the Affairs of the Bank.	176 to 182
7.6 (ii)	Principal activities of the Entity during the year and any changes therein.	Note 1.2 to the Financial Statements - Principal Activities.	244
7.6 (iii)	The names and the number of shares held by the 20 largest holders of voting and non-voting shares and the percentage of such shares held.	Item 3 of Investor Relations.	338 to 339
7.6 (iv)	The float adjusted market capitalisation, public holding percentage (%), number of public shareholders and under which option the Listed Entity complies with the Minimum Public Holding requirement.	Annual Report of the Board of Directors on the Affairs of the Bank.	176 to 182
7.6 (v)	A statement of each Director's holding and Chief Executive Officer's holding in shares of the Entity at the beginning and end of financial year.	Annual Report of the Board of Directors on the Affairs of the Bank.	176 to 182
7.6 (vi)	Information pertaining to material foreseeable risk factors of the Entity.	Note 43 to the Financial Statements - Risk Management and refer section on 'Risk Management' in the Annual Report.	285 to 298 and 206 to 231
7.6 (vii)	Details of material issues pertaining to employees and industrial relations.	Item 4 of Investor Relations.	339
7.6 (viii)	Extents, locations, valuations and the number of buildings of the Entity's land holdings and investment properties.	Note 26 to the Financial Statements - Property, Plant, Equipment and Right-of-Use Assets.	272 to 274
7.6 (ix)	Number of shares representing the Entity's Stated Capital.	Note 36 to the Financial Statements - Stated Capital.	279 to 280
7.6 (x)	A distribution schedule of the number of holders in each class of equity securities, and the percentage of their total holdings.	Item 2 of Investor Relations.	337 to 338
7.6 (xi)	Ratios and Market Price information. Equity Ratios Market Value Debt Instruments Credit Rating	Item 1 of Investor Relations. Item 1 of Investor Relations. Not Applicable. Corporate Information.	337 337 Inner Back Cover
7.6 (xii)	Significant changes in the Entity's fixed assets and the market value of land, if the value differs substantially from the book value.	Note 26 to the Financial Statements - Property, Plant, Equipment and Right-of-Use Assets.	272 to 274
7.6 (xiii)	Details of funds raised through Public Issues, Rights Issues and Private Placements during the year.	Annual Report of the Board of Directors on the Affairs of the Bank.	176 to 182
7.6 (xiv)	Information in respect of Employee Share Option Scheme.	Item 5 of Investor Relations.	339
7.6 (xv)	Disclosures pertaining to Corporate Governance practices in terms of Section 9 of the Listing Rules.	Corporate Governance Report	149 to 169
7.6 (xvi)	Related Party transactions exceeding 10% of the Equity or 5% of the total assets of the Entity as per Audited Financial Statements, whichever is lower.	Annual Report of the Board of Directors on the Affairs of the Bank.	176 to 182

The Ordinary Shares of the Bank are listed on the Main Board of Colombo Stock Exchange with Security Code ABL.N0000.

1 RATIOS AND MARKET VALUE INFORMATION

1.1 Equity Ratios

	2023	2022
Dividend Per Share (LKR) *	0.12	0.10
Dividend Pay Out Ratio (%)	24.09	34.14
Net Asset Value Per Share (LKR)	3.94	5.16

* A Scrip Dividend was issued during the year ended 31 December 2023 in proportion of one share for approximately every 23 shares held in the Bank.

1.2 Market Value Per Share

	2023 LKR	2022 LKR
As at 31 December	2.30	2.90
Highest	3.30	5.30
Lowest	2.10	2.10

Market Capitalisation as at 31 December 2023 - LKR 12,675,891,470 (2022 - LKR 8,073,453,582)

2 DISTRIBUTION OF SHAREHOLDERS

Range of Shareholding	As at 31 December 2023			As at 31 December 2022		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
1 to 1,000 Shares	1,891	368,195	0.01	1,579	266,531	0.01
1,001 to 10,000 Shares	4,195	13,960,005	0.25	3,939	12,283,053	0.44
10,001 to 100,000 Shares	2,655	78,001,091	1.42	2,330	62,309,878	2.24
100,001 to 1,000,000 Shares	612	152,622,555	2.77	461	102,847,567	3.70
Over 1,000,000 Shares	101	5,266,305,315	95.55	65	2,606,242,482	93.61
	9,454	5,511,257,161	100.00	8,374	2,783,949,511	100.00

INVESTOR RELATIONS

2 DISTRIBUTION OF SHAREHOLDERS (CONTD.)

2.1 Resident and Non-Resident Shareholding

Shareholder	As at 31 December 2023			As at 31 December 2022		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Resident	9,412	3,340,055,944	60.60	8,330	1,364,404,026	49.01
Non-Resident	42	2,171,201,517	39.40	44	1,419,545,485	50.99
	9,454	5,511,257,461	100.00	8,374	2,783,949,511	100.00

2.2 Individual and Institutional Shareholding

Shareholder	As at 31 December 2023			As at 31 December 2022		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Individual	9,272	1,754,628,909	31.84	8,238	884,640,121	31.78%
Institutional	182	3,756,628,552	68.16	136	1,899,309,390	68.22%
	9,454	5,511,257,461	100.00	8,374	2,783,949,511	100.00%

3 TWENTY LARGEST SHAREHOLDERS AS AT 31 DECEMBER

No	Name of Shareholder	2023	
		No. of Shares	%
1	IB Growth Fund (Labuan) LLP (Part of Islamic Development Bank Group)	1,372,772,458	24.91
2	Seylan Bank PLC/Senthilvel Holdings (Pvt) Ltd.	580,453,472	10.53
3	Mr. Mohamed Haji Omar	494,322,862	8.97
4	Mr. Osman Kassim	344,668,966	6.25
5	Cargills Bank Limited/Senthilvel Holdings (Pvt) Ltd.	290,226,736	5.27
6	Bank Islam Malaysia Berhad	209,499,165	3.80
7	AB Bank Limited	209,499,164	3.80
8	Quick Tea (Pvt) Ltd.	204,764,592	3.72
9	Islamic Development Bank	183,392,984	3.33
10	Akbar Brothers (Pvt) Ltd. A/c No. 1	183,024,592	3.32
11	E.W. Balasuriya & Co. (Pvt) Ltd. A/c No. 1	130,434,783	2.37
12	Domon Ltd.	115,739,964	2.10
13	Mr. Mohamed Aadil Mohamed Asmath	97,855,104	1.78
14	P. M. Mohamedali & Co.	87,536,656	1.59
15	Millennium Capital Investments (Pte) Ltd.	81,381,330	1.48
16	Mr. Hanif Yusooif	66,478,260	1.21
17	Mr. Mohamed Adnaan Mohamed Iqbal	65,275,410	1.18
18	Mr. Shafik Kassim	64,452,364	1.17
19	Mr. Sattar Kassim	47,244,668	0.86
20	Mr. Nagi Saleh Mohammed Al Faqih	43,375,913	0.79
	Sub Total	4,872,399,443	88.43
	Other Shareholders (Number of Shareholders - 9,434)	638,858,018	11.57
	Total	5,511,257,461	100.00

No	Name of Shareholder	2022	
		No. of Shares	%
1	IB Growth Fund (Labuan) LLP (Part of Islamic Development Bank Group)	658,404,057	23.65
2	Seylan Bank PLC/Senthilvel Holdings (Pvt) Ltd	278,394,951	10.00
3	Mr. Mohamed Haji Omar	231,535,306	8.32
4	Bank Islam Malaysia Berhad	200,958,432	7.22
5	AB Bank Limited	200,958,431	7.22
6	Islamic Development Bank	175,916,532	6.32
7	Akbar Brothers (Pvt) Ltd	175,563,158	6.31
8	Mr. Farook Kassim	111,021,549	3.98
9	Hatton National Bank PLC/Almas Holdings (Pvt) Ltd	81,875,185	2.94
10	Millennium Capital Investments (Pte) Ltd	78,063,626	2.80
11	Mr. Shafik Kassim	64,452,364	2.32
12	Mr. Osman Kassim jointly with Mrs. K. Kassim	52,329,465	1.88
13	Mr. Sattar Kassim	50,403,132	1.81
14	Mr. Nagi Saleh Mohammed Al Faqih	41,607,591	1.49
15	Mr. Sathiyamurthy Chandramohan	33,388,821	1.20
16	Mr. Saifullah Yusooof	17,000,000	0.61
17	Mr. Ahamed Mihilar Mohamed Fazal Jiffry	15,897,752	0.57
18	ABC International Limited	13,266,490	0.48
19	Mr. Feroz Omar	11,400,000	0.41
20	Abdul Majeed Mohamedu Risvi	8,895,317	0.32
	Sub Total	2,501,332,159	89.85
	Other Shareholders (Number of Shareholders - 8,354)	282,617,352	10.15
	Total	2,783,949,511	100.00

4 There were no material issues pertaining to employees and industrial relations that occurred during the year ended 31 December 2023.

5 INFORMATION IN RESPECT OF EMPLOYEE SHARE OPTIONS SCHEME OFFERED DURING THE YEAR 2023

Employee Category	Options Granted	Options Vested Not Exercised	Options Exercised / No. of Shares	Options Cancelled	Exercise Price as at 31 December 2023
Management Committee	19,487,647	19,487,647	-	-	2.30
Assistant Vice Presidents	903,672	903,672	-	-	2.30
Managers	7,448,176	7,448,176	-	-	2.30
Total	27,839,495	27,839,495	-	-	

Please refer page 181 of the Annual Report for Declaration by Directors of the Entity confirming that the Entity has not, directly or indirectly, provided funds for the Employee Share Options Scheme.

CORRESPONDENT BANKS



 1 BAHRAIN Bank Name : KHALEEJI COMMERCIAL BANK B.S.C. - MANAMA, BAHRAIN Swift Code : KHCBBHBM	 2 BAHRAIN Bank Name : MASHREQBANK PSC - MANAMA, BAHRAIN Swift Code : BOMLBHBM	 3 BANGLADESH Bank Name : AB BANK PLC - DHAKA, BANGLADESH Swift Code : ABBLBDDH
 4 BANGLADESH Bank Name : INTERNATIONAL FINANCE INVESTMENT AND COMMERCE BANK LTD - DHAKA, BANGLADESH Swift Code : IFICBDDH	 5 CHINA Bank Name : AXIS BANK LIMITED - SHANGHAI, CHINA Swift Code : AXISCNSH	 6 CHINA Bank Name : STANDARD CHARTERED BANK - SHANGHAI, CHINA Swift Code : SCBLCNSX
 7 EGYPT Bank Name : MASHREQ BANK - CAIRO, EGYPT Swift Code : MSHQEGCA	 8 GERMANY Bank Name : STANDARD CHARTERED BANK - FRANKFURT, GERMANY Swift Code : SCBLDEFX	 9 HONG KONG Bank Name : STANDARD CHARTERED BANK LIMITED - HONG KONG, HONG KONG Swift Code : SCBLHKHH
 10 INDIA Bank Name : AB BANK PLC - MUMBAI, INDIA Swift Code : ABBLINBB	 11 INDIA Bank Name : AXIS BANK LIMITED - MUMBAI, INDIA Swift Code : AXISINBB	 12 INDIA Bank Name : DOHA BANK Q.S.C - MUMBAI, INDIA Swift Code : DOHBINBB

 13 INDIA Bank Name : HDFC BANK LIMITED INDIA - MUMBAI, INDIA Swift Code : HDFCINBB	 14 INDIA Bank Name : INDIAN OVERSEAS BANK INDIA - CHENNAI, INDIA Swift Code : IOBAINBB	 15 INDIA Bank Name : MASHREQ BANK - MUMBAI, INDIA Swift Code : MSHQINBB
 16 INDIA Bank Name : STANDARD CHARTERED BANK - MAHARASHTRA, INDIA Swift Code : SCBLINAA	 17 INDIA Bank Name : STANDARD CHARTERED BANK - MUMBAI, INDIA Swift Code : SCBLINBB	 18 INDONESIA Bank Name : STANDARD CHARTERED BANK - JAKARTA, INDONESIA Swift Code : SCBLIDJX
 19 ITALY Bank Name : BANCA UBAE SPA - ROMA, ITALY Swift Code : UBAIITRR	 20 JAPAN Bank Name : STANDARD CHARTERED BANK - TOKYO, JAPAN Swift Code : SCBLJPJT	 21 KUWAIT Bank Name : MASHREQBANK PSC - KUWAIT CITY, KUWAIT Swift Code : MSHQWKW
 22 MALAYSIA Bank Name : BANK ISLAM MALAYSIA BERHAD - KUALA LUMPUR, MALAYSIA Swift Code : BIMBMYKL	 23 MALAYSIA Bank Name : MALAYAN BANKING BERHAD(MAYBANK) - KUALA LUMPUR, MALAYSIA Swift Code : MBBEMYKL	 24 MALAYSIA Bank Name : STANDARD CHARTERED BANK MALAYSIA BERHAD - KUALA LUMPUR, MALAYSIA Swift Code : SCBLMYKX
 25 MALDIVES Bank Name : BANK OF CEYLON - MALE, MALDIVES Swift Code : BCEYMMV	 26 MALDIVES Bank Name : MALDIVES ISLAMIC BANK PVT LTD - MALE, MALDIVES Swift Code : MADVMVMV	 27 NEPAL Bank Name : SIDDHARTHA BANK LTD - KATHMANDU, NEPAL Swift Code : SIDDNPKA
 28 OMAN Bank Name : ALIZZ ISLAMIC BANK - MUSCAT, OMAN Swift Code : IZZBOMRU	 29 OMAN Bank Name : BANK NIZWA - MUSCAT, OMAN Swift Code : BNZWOMRX	 30 PAKISTAN Bank Name : FAYSAL BANK LIMITED - KARACHI, PAKISTAN Swift Code : FAYSPKKA
 31 PAKISTAN Bank Name : MEEZAN BANK LIMITED - KARACHI, PAKISTAN Swift Code : MEZNPCKA	 32 PAKISTAN Bank Name : STANDARD CHARTERED BANK - KARACHI, PAKISTAN Swift Code : SCBLPKKX	 33 PHILIPPINES Bank Name : ASIAN DEVELOPMENT BANK - CITY OF MANDALUYONG, PHILIPPINES Swift Code : ASDBPHMM

CORRESPONDENT BANKS

 34 QATAR Bank Name : ABU DHABI ISLAMIC BANK - DOHA, QATAR Swift Code : ABDIQAQA	 35 QATAR Bank Name : AL KHALIJ COMMERCIAL BANK - DOHA, QATAR Swift Code : KLJIQAQA	 36 QATAR Bank Name : DOHA BANK - DOHA, QATAR Swift Code : DOHBQAQA
 37 QATAR Bank Name : MASHREQ BANK - DOHA, QATAR Swift Code : MSHQQAQA	 38 SAUDI ARABIA Bank Name : BANK AL BILAD - RIYADH, SAUDI ARABIA Swift Code : ALBISARI	 39 SAUDI ARABIA Bank Name : BANK AL-JAZIRA - JEDDAH, SAUDI ARABIA Swift Code : BJAZSAJE
 40 SINGAPORE Bank Name : AXIS BANK LTD - SINGAPORE, SINGAPORE Swift Code : AXISSGSG	 41 SINGAPORE Bank Name : STANDARD CHARTERED BANK - SINGAPORE, SINGAPORE Swift Code : SCBLSGSG	 42 SINGAPORE Bank Name : STANDARD CHARTERED BANK - SINGAPORE, SINGAPORE (AUD) Swift Code : SCBLSG22
 43 SOUTH KOREA Bank Name : KOOKMIN BANK - SEOUL, KOREA Swift Code : CZNBKRSE	 44 SOUTH KOREA Bank Name : STANDARD CHARTERED BANK - SEOUL, KOREA Swift Code : SCBLKRSE	 45 SPAIN Bank Name : ABANCA CORPORACION BANCARIA - BETANZOS, SPAIN Swift Code : CAGLESMM
 46 SWITZERLAND Bank Name : HABIB BANK AG ZURICH - ZURICH, SWITZERLAND Swift Code : HBZUCHZZ	 47 TAIWAN Bank Name : STANDARD CHARTERED BANK (TAIWAN) LTD - TAIPEI, TAIWAN Swift Code : SCBLTWTP	 48 THAILAND Bank Name : STANDARD CHARTERED BANK (THAI) PCL - BANGKOK, THAILAND Swift Code : SCBLTHBK
 49 TURKEY Bank Name : AKTIF YATIRIM BANKASI A.S. - ISTANBUL ,TURKEY Swift Code : CAYTTRIS	 50 TURKEY Bank Name : TURKIYE FINANS KATILIM BANKASI A.S. - ISTANBUL, TURKEY Swift Code : AFKBTRIS	 51 UAE Bank Name : ABU DHABI COMMERCIAL BANK - ABU DHABI, UAE Swift Code : ADCBAEAA

 52 UAE Bank Name : ABU DHABI ISLAMIC BANK - ABU DHABI, UAE Swift Code : ABDIAEAD	 53 UAE Bank Name : AXIS BANK LIMITED - DUBAI, UAE Swift Code : AXISAEAD	 54 UAE Bank Name : DUBAI ISLAMIC BANK - DUBAI, UAE Swift Code : DUIBAEAD
 55 UAE Bank Name : MASHREQBANK PSC - DUBAI, UAE Swift Code : BOMLAEAD	 56 UAE Bank Name : MCB BANK LIMITED - DUBAI, UAE Swift Code : MUCBAEAD	 57 UAE Bank Name : NOOR ISLAMIC BANK - DUBAI, UAE Swift Code : NISLAEAD
 58 UAE Bank Name : SHARJAH ISLAMIC BANK - SHARJAH, UAE Swift Code : NBSHAEAS	 59 UAE Bank Name : SIRAJ FINANCE PJSC - ABU DHABI, UAE Swift Code : SRAJAEAA	 60 UAE Bank Name : STANDARD CHARTERED BANK - DUBAI, UAE Swift Code : SCBLAEAD
 61 UAE Bank Name : UNITED ARAB BANK - SHARJAH, UAE Swift Code : UARBAAEA	 62 UK Bank Name : BANK OF CEYLON - LONDON, UK Swift Code : BCEYGB2L	 63 UK Bank Name : QIB (UK) PLC - LONDON, UK Swift Code : EFHLGB2L
 64 UK Bank Name : STANDARD CHARTERED BANK - LONDON, UK Swift Code : SCBLGB2L	 65 USA Bank Name : HABIB AMERICAN BANK - NEW YORK, USA Swift Code : HANYUS33	 66 USA Bank Name : INTERNATIONAL FINANCE CORPORATION - WASHINGTON DC, USA Swift Code : IFCWUS33
 67 USA Bank Name : MASHREQBANK PSC - NEW YORK BRANCH, USA Swift Code : MSHQUS33	 68 USA Bank Name : STANDARD CHARTERED BANK - NEW YORK, USA Swift Code : SCBLUS33	 69 VIETNAM Bank Name : STANDARD CHARTERED BANK (VIETNAM) LIMITED - HANOI, VIETNAM Swift Code : SCBLNVX

GLOSSARY OF BANKING AND FINANCIAL TERMS

A

Acceptances

Promise to pay created when the drawee of a time draft stamps or writes the words 'accepted' above his signature and a designated payment date.

Accounting Policies

The specific principles, bases, conventions, rules and practices adopted by an entity in preparing and presenting Financial Statements.

Accrual Basis

Recognising the effects of transactions and other events when they occur without waiting for receipt or payment of cash or its equivalent.

Actuarial Gains and Losses

Actuarial gains and losses comprise the effects of differences between the previous actuarial assumptions and what has actually occurred and the effects of changes in actuarial assumptions.

Actuarial Valuation

Fund value as determined by computing its normal cost, actuarial accrued liability, actuarial value of assets and other relevant costs and value.

Amortisation

The systematic allocation of the depreciable amount of an intangible asset over its useful life.

Amortised Cost

Amount at which the Financial Asset or Financial Liability is measured at initial recognition, minus principal payments, plus or minus the cumulative amortisation using the effective profit rate of any difference between that initial amount and the maturity amount and minus any reduction for impairment, or un-collectability.

Asset and Liability Committee (ALCO)

A risk management committee in a bank that generally comprises the corporate and senior management levels of the institution. The

ALCO's primary goal is to evaluate, monitor and approve practices relating to risk due to imbalances in the capital structure. Among the factors considered are liquidity risk, market risk, foreign exchange risk and external events that may affect the Bank's forecast and strategic balance sheet allocations.

B

Bills for Collection

A bill of exchange drawn by an exporter usually at a term, on an importer overseas and brought by the exporter to his bank with a request to collect the proceeds.

C

Capital Adequacy Ratio (CAR)

The ratio between capital and risk weighted assets as defined in the standards developed by the Bank for International Settlement (BIS) and as modified by the Central Bank of Sri Lanka to suit local requirements.

Capital Gain

The gain on the disposal of an asset calculated by deducting the cost of the asset from the proceeds received on its disposal.

Capital Reserve

A reserve identified for specific purposes which is not available for distribution.

Carrying Value

Value of an asset or a liability as per books of the organisation before adjusting for fair value.

Cash Equivalents

Short term highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

Collectively Assessed Impairment

Impairment assessment on a collective basis for homogeneous groups of advances that are not considered individually significant and to cover losses which have been incurred but have not yet been identified on advances subject to individual assessment.

Commitments

Credit facilities approved but not yet utilised by customers as at the reporting date.

Contingencies

A condition or situation, the ultimate outcome of which, gain or loss, will be confirmed only by occurrence or non-occurrence of one or more future events.

Contractual Maturity

Contractual maturity refers to the final payment date of a facility or other financial instrument, at which point all the remaining outstanding capital will be repaid and financing charges is due to be paid.

Corporate Governance

The process by which corporate entities are governed. It is concerned with the way in which power is exercised over the management and the direction of the Bank, the supervision of executive actions and accountability to stakeholders.

Correspondent Bank

A bank in a foreign country that offers banking facilities to customers of a bank in another country.

Cost to Income Ratio

Operating expenses excluding impairment charge for loans as a percentage of total operating income.

Credit Ratings

An evaluation of a corporate's ability to repay its obligations or likelihood of not defaulting, carried out by an independent rating agency.

Credit Risk

Credit risk is the risk that the Bank will incur a loss because its customers or counterparties fail to discharge their contractual obligations.

Currency Risk

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.

D
Deferred Taxation

Sum set aside for income tax in the Financial Statements that may become payable/receivable in a financial year other than the current financial year. It arises because of timing differences between tax rules and accounting conventions.

Depreciation

The systematic allocation of the depreciable amount of an asset over its useful life.

Derecognition

Removal of a previously recognised financial asset or financial liability from an entity's Statement of Financial Position.

Derivatives

A derivative is a financial instrument or other contract, the value of which changes in response to some underlying variable that has an initial net investment smaller than would be required for other instruments that have a similar response to the variable, and that will be settled at a future date.

Dividend Cover

Profit after tax divided by gross dividends. This ratio measures the number of times dividends is covered by the current year's distributable profits.

Dividend Payout Ratio

It is the percentage of earnings paid to shareholders in dividends.

Dividend Yield

Dividend earned per share as a percentage of its market value.

E
Earnings Per Share (EPS)

Profit attributable to ordinary shareholders, divided by the weighted average number of ordinary shares in issue.

Effective Profit Rate (EPR)

The rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

Effective Tax Rate

Income tax expense for the year divided by the profit before tax.

Employee Share Option Plan (ESOP)

A method of giving employees shares in the business for which they work.

Equity Instrument

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

Equity Risk

The risk arising from positions, either long or short, in equities or equity based instruments, which create exposure to a change in the market price of the equities or equity instruments.

Events After the Reporting Date

Events after the reporting date are those events, both favourable and unfavourable, that occur between the reporting date and the date when the Financial Statements are authorised for issue.

Expected Credit Losses

The weighted average of credit losses with the respective risks of a default occurring as the weights

Expected Loss (EL)

A regulatory calculation of the amount expected to be lost on an exposure using a 12 month time horizon and downturn loss estimates. EL is calculated by multiplying the probability of default by the exposure at default and loss given default.

Exposure at Default (EAD)

EAD is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal & profit and expected drawdowns of committed facilities.

F
Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date (an exit price).

Fair Value Reserve

A reserve that captures the cumulative net change in the fair value of an asset as long as it is still recognized on the financial statements of an entity.

Financial Assets Measured at Amortised Cost

A financial asset is measured at amortised cost if the asset is held within a business model whose objective is to hold assets to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and profit on the principal amount outstanding.

Financial Assets Measured at Fair Value through Other Comprehensive Income (FVOCI)

FVOCI include debt and equity instruments measured at fair value through other comprehensive income. A debt instrument is measured at FVOCI, if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and profit on the principal amount outstanding. Equity investments may be irrevocably classified as FVOCI when they meet the definition of Equity under LKAS 32 Financial Instruments: Presentation, and are not held for trading.

GLOSSARY OF BANKING AND FINANCIAL TERMS

Financial Assets Measured at Fair Value through Profit or Loss (FVTPL)

All financial assets other than those classified at Amortised Cost or FVOCI are classified as measured at FVTPL. These are held for trading or managed and their performance is evaluated on a fair value basis as they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

Finance Lease

A lease in which the lessee acquires all the financial benefits and risks attaching to ownership of the asset under lease.

Financial Assets

Any asset that is cash, an equity instrument of another entity or a contractual right to receive cash or another financial asset from another entity.

Financial Guarantee Contracts

A contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the original or modified terms of a debt instrument.

Financial Instruments

Any contract that gives rise to a financial asset of one entity and financial liability or equity instrument of another entity.

Financial Liability

Financial liability is a contractual obligation to deliver cash to another entity or to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the entity.

Foreign Exchange Income

The gain recorded when assets or liabilities denominated in foreign currencies are translated into Sri Lankan Rupees on the reporting date at prevailing rates which differ from those rates in force at inception or on the previous reporting date. Foreign exchange income also arises from trading in foreign currencies.

Forward Exchange Contracts

An agreement between two parties to exchange one currency for another at a future date at a rate agreed upon today.

G

General Provisions

General provisions are established for loans and advances for anticipated losses on aggregate exposures where credit losses cannot yet be determined on an individual facility basis.

Guarantees

A promise made by a third party (Guarantor), who is not a party to a contract between two others, that the guarantor will be liable on behalf of whom the guarantee is issued if the individual fails to fulfil the contractual obligations.

H

High Quality Liquid Assets (HQLA)

Assets that are unencumbered, liquid in markets during a time of stress and, ideally, be central bank eligible. These include, for example, cash and claims on central governments and central banks.

Historical Cost Convention

Recording transactions at the actual value received or paid.

I

Impairment

This occurs when the recoverable amount of an asset is less than its carrying amount.

Impairment Allowances

Management's best estimate of losses incurred on its assets as at the reporting date.

Impairment Charge/(Reversal)

The difference between the carrying value of an asset and the sum of discounted future cash flows generating from the same asset.

Individually Assessed Impairment

Exposure to loss is assessed individually for assets that are individually significant above a certain threshold.

Intangible Asset

An identifiable non-monetary asset without physical substance.

Investing Activities

The acquisition and disposal of long term assets and other investments not included in cash equivalents.

K

Key Management Personnel (KMP)

Key Management Personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any Director (whether executive or otherwise) of the Bank.

Key Performance Indicators (KPIs)

KPIs are quantifiable measurements, agreed at the commencement of the year that reflect the critical success factors of the Bank.

L

Lease Liability

A lease liability is a lessee's obligation to make the lease payments arising from a lease, measured on a discounted basis. Under the new lease accounting standard, the lease liability is calculated as the present value of the lease payments over the lease term discounted, typically, using the lessee's incremental cost of funds.

Letter of Credit

Written undertakings by a Bank on behalf of its customer (typically an importer), authorising a third party (e.g. an exporter) to draw drafts on the Bank up to a stipulated amount under specific terms and conditions. Such undertakings are established for the purpose of facilitating international trade.

Liquid Assets

Assets that are held in cash or in a form that can be converted to cash readily.

Liquidity Coverage Ratio (LCR)

Ratio of stock of high quality liquid assets available to Total net cash outflows over next 30 calendar days. LCR is expected to improve the banking sector's ability to absorb shocks arising from financial and economic stress, thus, reducing the risk of spill over from the financial sector to the real economy.

Liquidity Risk

Liquidity risk implies the potential for loss to the Bank due to inability to meet its obligation or to fund the increase in assets as they fall due without incurring high cost.

Loss Given Default (LGD)

The estimated ratio (percentage) of the loss on an exposure to the amount outstanding at default (EAD) upon default of counterparty.

M

Market Capitalisation

Number of ordinary shares in issue multiplied by the market value of each share at the year end.

Market Risk

Market risk denotes the risk of losses arising out of positions in the Statement of Financial Position due to changes in market prices.

Materiality

The relative significance of a transaction or an event, the omission or misstatement of which could influence the economic decisions of users of Financial Statements.

Moratorium

Moratorium refers to the deferment of capital and /or profit payments which fall due within the respective concession periods. However, moratorium does not mean a waive-off of capital and /or profit permanently. The customer should pay the capital and/or profit payments which fall due within the concession periods at a later date according to the revised repayment plan.

N

Net Assets Value Per Share

Shareholders' funds divided by the number of ordinary shares in issue.

Net Realisable Value

The estimated selling price in the ordinary course of the business, less the estimated cost of completion and the estimated necessary costs to make the sale.

Net Financing Margin (NFM)

Net Financing income expressed as a percentage of average income earning assets.

Net Stable Funding Ratio (NSFR)

The ratio of available stable funding to required stable funding over a one year time horizon, assuming a stressed scenario. Available stable funding would include items such as equity capital, preferred stock with a maturity of over one year and liabilities with an assessed maturity of over one year.

Non-Performing Advances (NPA) Ratio

Non-Performing advances expressed as a percentage of the total outstanding advances.

Nostro Account

A foreign currency current account maintained with another Bank, usually but not necessarily a foreign correspondent Bank.

O

Off Balance Sheet Transactions

Transactions that are not recognised as assets or liabilities in the Statement of Financial Position, but which give rise to commitments and contingencies.

Operational Risk

Operational risk refers to the loss resulting from inadequate or failed internal processes, people and systems or from external events.

P

Past Due

A financial asset is past due when a counterparty has failed to make a payment when contractually due.

Probability of Default

Probability of default is an internal estimate for each customer grade of the likelihood that an obligor will default on an obligation.

Projected Unit Credit Method

An actuarial valuation method that sees each period of service as giving rise to an additional unit of benefit entitlement and measures each unit separately to build up the final obligation.

Provisions

A provision is an amount set aside for probable, but uncertain, economic obligations of the Bank.

R

Related Parties

Parties where one party has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions, directly or indirectly.

Retained Earnings

Retained earnings (RE) is the amount of net income left over for the business after it has paid out dividends to its shareholders.

GLOSSARY OF BANKING AND FINANCIAL TERMS

Return on Average Assets (ROA)
Profit for the year divided by Average Assets.

Return on Equity (ROE)
Profit for the year expressed as a percentage of average ordinary shareholders' equity.

Revaluation Reserve
Part of the shareholders' equity that arises from changes in the current value of property, plant and equipment.

Revenue Reserves
Reserves set aside for future distribution and investment.

Right-of-Use Asset
The right-of-use asset, or ROU asset, is an asset that represents a lessee's right to operate, hold, or occupy a leased property, item, or piece of equipment for the lease term. It is calculated as the initial amount of the lease liability, plus lease payments made before lease commencement, plus initial direct costs, less any lease incentives.

Rights Issue
Issue of shares to the existing shareholders at an agreed price, generally lower than market price.

Risk Weighted Assets
On Balance Sheet assets and the credit equivalent of off Balance Sheet assets multiplied by the relevant risk weighting factors.

S

Scrip Dividend / Bonus Issue
This is a dividend which shareholders have the option to receive in the form of additional shares instead of cash.

Segment Reporting
Segment reporting indicates the contribution to the revenue derived from business segments.

Shareholders' Funds
Shareholders' funds consist of stated capital plus capital and revenue reserves.

Statutory Reserve Fund
A capital reserve created in accordance with the provisions of the Banking Act No. 30 of 1988 as amended.

T

Tier I Capital
Core capital representing permanent shareholders' equity and reserves created or increased by appropriations of retained earnings or other surpluses.

Tier II Capital
Supplementary capital representing revaluation reserves, general provisions and other capital instruments, which combine certain characteristics of equity and debt such as hybrid capital instruments and subordinated term debts.

Total Capital
Capital base is summation of the core capital (Tier 1) and the supplementary capital (Tier II).

Transaction Costs
Transaction costs are incremental costs that are directly attributable to the acquisition, issue or disposal of a financial asset or financial liability.

U

Undrawn Credit Lines
Credit facilities approved but not yet utilised by the clients as at the end of the reporting period

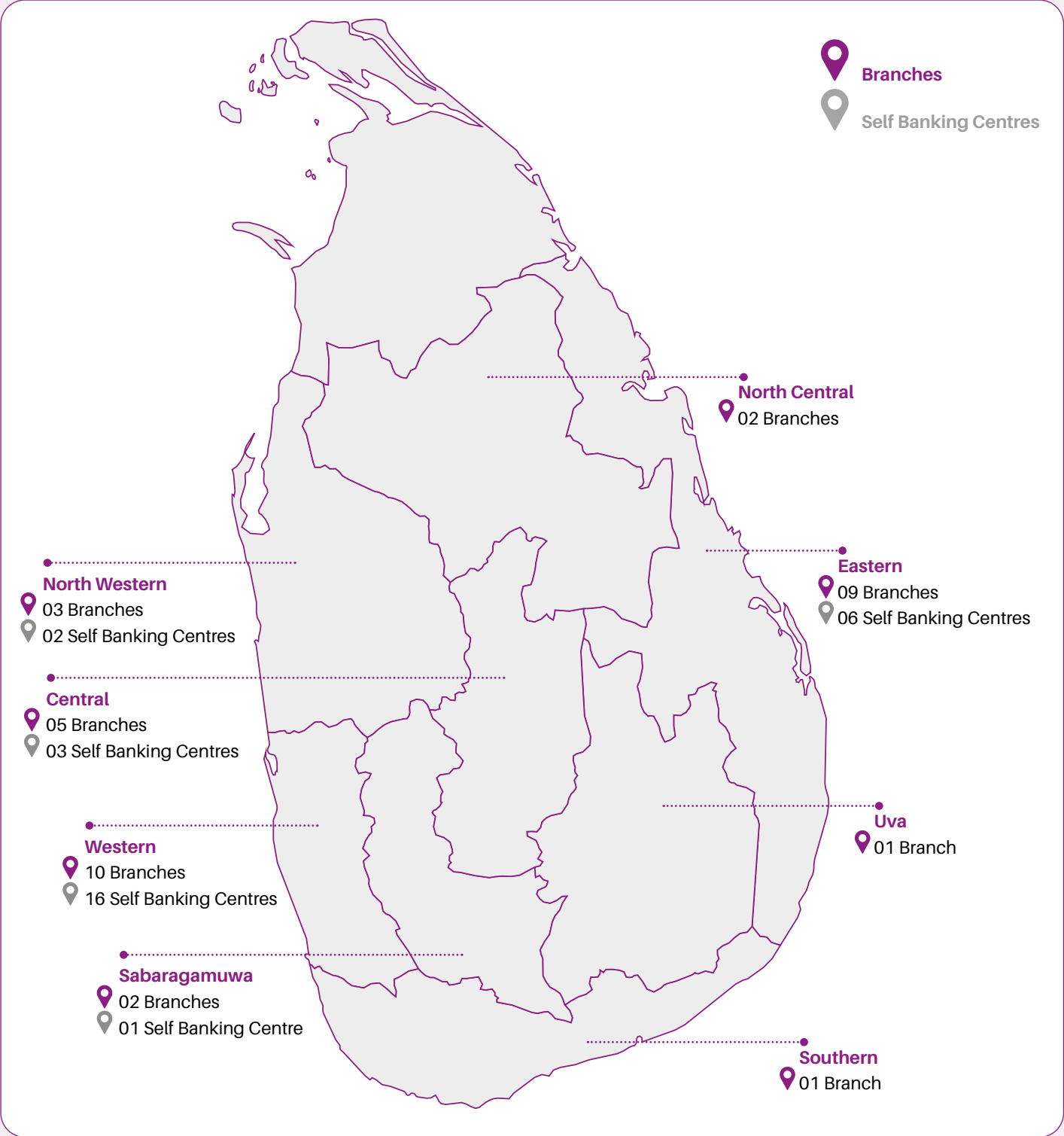
V

Value Added
Value added is the wealth created by providing banking services less the cost of providing such services. The value added is allocated among the employees, the providers of capital, to Government by way of taxes and retained for expansion and growth.

Value Added Taxes on Financial Services
Value Added Taxes on Financial Services is computed based on profit before tax from financial services subject to adjustment for depreciation and emoluments payable to employees and Directors.

Vostro Account
A Vostro account is an account the reporting bank holds on behalf of another bank. These accounts are an essential aspect of correspondent banking in which the bank holding the funds acts as custodian for or manages the account of a foreign counterpart.

BRANCH NETWORK INFORMATION



BRANCH NETWORK INFORMATION



Branches



Self Banking Centres

WESTERN PROVINCE

MAIN BRANCH - COLOMBO 3 No. 365, Galle Road, Colombo 3 T : 011-7756000 mainbranch@amana.lk	BERUWALA No. 5, China Fort Road, Beruwala T : 034-7756250 beruwala@amana.lk	DEHIWALA No. 28, Galle Road, Dehiwala T : 011-7756016 dehiwala@amana.lk
DEMATAGODA No. 7, Kent Road, Dematagoda, Colombo 9 T : 011-7756028 dematagoda@amana.lk	KIRULAPONE No. 124, Maya Avenue, Colombo 6 T : 011-7756029 kirulapone@amana.lk	LADIES BRANCH - COLOMBO 3 No. 365, Galle Road, Colombo 3 T : 011-7756381 ladiesbranch@amana.lk
OLD MOOR STREET No. 330, Old Moor Street, Colombo 12 T : 011-7756027 oms@amana.lk	PANADURA No. 145, Galle Road, Pallimulla, Keselwatte, Panadura T : 038-7756032 panadura@amana.lk	PETTAH No. 129, Main Street, Colombo 11 T : 011-7756002 pettah@amana.lk
NEGOMBO No. 97, Colombo Road, Negombo T : 031-7756020 negombo@amana.lk		
CORPORATE OFFICE No. 486, Galle Road, Colombo 03	ATULUGAMA No. 14, Sammeez Mahal, Bogawaththa, Atulugama	DHARGA TOWN No. 241, Mathugama Road, Dharga Town
HILL STREET No. 160 A, D.B. Jayathilake Mawatha, Hill Street, Dehiwala	KALUBOWILA No. 9 B, S.De.S Jayasinghe Manwatha, Kalubowila	KALUTHARA No. 437, Galle Road, Kalutara
KOLONNAWA No. 529, Kolonnawa Road, Wellampitiya	MALIGAWATTE No. 132/1 A, Jumma Masjid Road, Maligawatte	MALWANA No. 114/1, Main Street, Malwana
MATTAKKULIYA No. 74/18/2, Muthuwella Jumma Mosque, Muthuwella Mawatha, Colombo 15	RAJAGIRIYA No. 1576/19, Cotta Road, Rajagiriya	RATMALANA No. 360, Galle Road, Ratmalana

 KOMPANNAVIDIYA No. 113, Justice Akbar Mawatha, Slave Island, Colombo 2	 THIHARIYA No. 124, Kandy Road, Thihariya	 WATTALA No. 697A, Negombo Road, Mabola, Wattala
 WELISARA Phoenix Industries Show Room - No. 445, Negombo Road, Welisara		

 **Branches**
 **Self Banking Centres**

EASTERN PROVINCE

 AKKARAIPATTU No. 102, Main Street, Akkaraipattu T : 067-7756015 akkaraipattu@amana.lk	 ERAVUR No. 108/5, Punnakuda Road, Eravur T : 065-7756019 eravur@amana.lk	 KALMUNAI No. 32, Main Street, Kalmunai T : 067-7756006 kalmunai@amana.lk
 KALMUNAI UNITY SQUARE KUS Shopping Complex, Main Street, Kalmunai T : 067-7756026 kalmunaimi@amana.lk	 KATTANKUDY No. 237, Main Street, Kattankudy T : 065-7756004 kattankudy@amana.lk	 KINNIYA No. 264, Main Street, Kinniya T : 026-7756025 kinniya@amana.lk
 NINTAVUR No. 40/5, Main Street, Nintavur 24 T : 067-7756017 nintavur@amana.lk	 ODDAMAVADI Main Street, Oddamavadi-01 T : 065-7756225 oddamavadi@amana.lk	 SAMMANTHURAI Hajiyar Palace, Hijra Junction, Viliniyadi-03, Ampara Road, Sammanthurai T : 067-7756012 sammanthurai@amana.lk
 ADDALACHENNAI New Shopping Complex, Pradeshiya Sabha Building, Addalachchenai	 BATTICALOA No. 111, Main Street, Batticaloa	 MUTUR No. 146, Main Street, Mutur
 SAINTHAMARUTHU No. 20 A, Akkaraipattu Road, Sainthamaruthu	 THOPUR Ward No. 2 - Main Road, Thopur	 TRINCOMALEE No. 255, Central Road, Trincomalee

BRANCH NETWORK INFORMATION



NORTH WESTERN PROVINCE

 KULIYAPITIYA No. 215 1/1, Main Street, Kuliypitiya T : 037-7756018 kuliypitiya@amana.lk	 KURUNEGALA No. 137, Puttalam Road, Kurunegala T : 037-7756014 kurunegala@amana.lk	 PUTTALAM No. 23, Colombo Road, Puttalam T : 032-7756024 puttalam@amana.lk
 PULICHCHAKULAM No. 5931, Colombo Road, Pulichchankulam, Bathulu Oya Puttalam	 SIYAMBALAGASKOTUWA No. 326, Kahatagahamada, Siyambalgaskotuwa Kurunegala	



SABARAGAMUWA PROVINCE

 MAWANELLA No. 22B, New Kandy Road, Mawanella T : 035-7756013 mawanella@amana.lk	 RATNAPURA No. 131-133, Main Street, Ratnapura T : 045-7756023 ratnapura@amana.lk	
 HEMMATHAGAMA No. 2122/A, Mawanella Road, Hemmathagama Kegalle		



CENTRAL PROVINCE

 AKURANA No. 204/1, Matale Road, Akurana T : 081-7756010 akurana@amana.lk	 GAMPOLA No. 119, Kandy Road, Gampola T : 081-7756011 gampola@amana.lk	 KANDY No. 105, Kotugodella Veediya, Kandy T : 081-7756003 kandy@amana.lk
 KATUGASTOTA No. 93, Kurunegala Road, Katugastota T : 081-7756030 katugastota@amana.lk	 MATALE No. 392-396, Main Street, Matale T : 066-7756033 matale@amana.lk	
 GALHINNA No. 226/3, Mosque Road, Galhinna	 MADAWALA No. 227/2/2, Kandy Road, Madawala	 GELIOYA No 34/A Gampola Road , Gelioya



NORTH CENTRAL PROVINCE

 ANURADHAPURA No. 36A, Maithripala Senanayake Mawatha, Anuradhapura T : 025-7756034 anuradhapura@amana.lk	 KADURUWELA No. 379, Main Street, Kaduruwela T : 027-7756022 kaduruwela@amana.lk
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SOUTHERN PROVINCE

 GALLE No. 24, Old Matara Road, Galle T : 091-7756008 galle@amana.lk

UVA PROVINCE

 BADULLA No. 18/1, Lower Kings Street, Badulla T : 055-7756021 badulla@amana.lk
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NOTICE OF ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN THAT the Fifteenth Annual General Meeting (AGM) of Amāna Bank PLC will be held on Thursday, 28 March 2024 at 3.30 p.m. at the Registered Office, No. 486, Galle Road, Colombo 3, Sri Lanka, as a virtual meeting using a digital platform.

AGENDA

- 1) To receive and consider the Annual Report of the Board of Directors and the Audited Financial Statements of the Bank for the financial year ended 31 December 2023 together with the Report of the Auditors thereon.
- 2) To re-elect Mr. Khairul Muzamel Perera Bin Abdullah (Non-Executive, Independent Director) who retires in terms of Article 29(13) of the Articles of Association of the Bank, as a Director.
- 3) To re-elect Mr. Ali Asghar Akbarally (Chairman/Non-Executive, Non-Independent Director), who retires by rotation in terms of Article 29(6) of the Articles of Association of the Bank, as a Director.
- 4) To re-elect Mr. Tishan Subasinghe, (Non-Executive, Senior Independent Director), who retires by rotation in terms of Article 29(6) of the Articles of Association of the Bank, as a Director.
- 5) To re-elect Mr. Mohamed Adamaly, (Non-Executive, Non-Independent Director), who retires by rotation in terms of Article 29(6) of the Articles of Association of the Bank, as a Director.
- 6) To re-appoint Messrs Ernst & Young, Chartered Accountants as the Auditors for the ensuing year and authorise the Directors to determine their remuneration.
- 7) To re-appoint the Sharia Supervisory Council consisting of:
 - (a) Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani
 - (b) Ash-Sheikh Mufti M. I. M. Rizwe
 - (c) Ash-Sheikh Mufti Muhammad Hassaan Kaleem
- 8) To authorise the Directors to determine contributions to charities for the financial year 2024.
- 9) To consider any other business of which due notice has been given.

By Order of the Board
Amāna Bank PLC



Miss P. S. Watson
Company Secretary

17 February 2024
Colombo.

Notes:

- i. A Shareholder is entitled to appoint a proxy to participate in the Meeting by virtual means and vote instead of him/her. A proxy need not be a shareholder of the Bank.
- ii. A Form of Proxy is enclosed for this purpose.
- iii. Shareholders who wish to participate at the AGM through the online platform are kindly requested to complete and forward the "Registration of Shareholder Information" form attached hereto to the email address "agm@amana.lk" with the email subject title "AGM 2024" or post it to the address mentioned below to be received not less than 2 days before holding of the meeting. Shareholders are requested to provide their email addresses in the space provided in the "Registration of Shareholder Information" form in order to forward the web link if they wish to participate at the meeting through the online platform.
- iv. Shareholders who wish to appoint a member of the Board of Directors as his/her proxy to represent them at the AGM may do so by completing the Form of Proxy, in such an event the email address of the proxy holder will not be required.
- v. Shareholders may send their questions/comments on the items listed in the Agenda of the Notice convening the AGM by email to "agm@amana.lk" or by post to Company Secretary, Amāna Bank PLC, Company Secretarial Division, 6th Floor, No. 403, Galle Road, Colombo 3, Sri Lanka not less than 3 days before holding of the meeting.
- vi. The instrument appointing a proxy should be deposited at Amāna Bank PLC, Company Secretarial Division, 6th Floor, No. 403, Galle Road, Colombo 3, Sri Lanka not less than 24 hours before the date of the meeting.

FORM OF PROXY

I/We*..... ofbeing shareholder/s of Amāna Bank PLC
hereby appoint: of
NIC No.:or failing him/her*

1. Mr. Ali Asghar Akbarally

or failing him
2. Mr. Mohamed Azmeer

or failing him
3. Mr. Tishan Subasinghe

or failing him
4. Mr. Dilshan Hettiaratchi

or failing him
5. Mr. Mohammed Ataur Rahman Chowdhury

or failing him
6. Mr. Syed Muhammed Asim Raza

or failing him
7. Mr. Khairul Muzamel Perera Bin Abdullah

or failing him
8. Mr. Omar Kassim

or failing him
9. Mr. Mohamed Adamaly

or failing him
10. Mr. Mohammad Hassan

as my/our* Proxy to represent and speak for me/us* and vote for me/us* on my/our* behalf at the Fifteenth Annual General Meeting of the Bank to be held on Thursday, 28 March 2024 at 3.30 p.m. via a digital platform, at the Registered Office, No. 486, Galle Road, Colombo 3, Sri Lanka and at any adjournment thereof and at every poll which may be taken in consequence thereof. *I/We the undersigned hereby authorize my/ our Proxy to vote on *my/our behalf in accordance with the preference indicated below. (Please indicate your preference with a “√” in the relevant box)

*Please delete what is inapplicable.

	FOR	AGAINST	ABSTAINED
1. To receive and consider the Annual Report of the Board of Directors and the Audited Financial Statements of the Bank for the financial year ended 31 December 2023 together with the Report of the Auditors thereon.	☐	☐	☐
2. To re-elect Mr. Khairul Muzamel Perera Bin Abdullah (Non-Executive, Independent Director) who retires in terms of Article 29(13) of the Articles of Association of the Bank, as a Director.	☐	☐	☐
3. To re-elect Mr. Ali Asghar Akbarally (Chairman/Non-Executive, Non-Independent Director), who retires by rotation in terms of Article 29(6) of the Articles of Association of the Bank, as a Director.	☐	☐	☐
4. To re-elect Mr. Tishan Subasinghe, (Non-Executive, Senior Independent Director), who retires by rotation in terms of Article 29(6) of the Articles of Association of the Bank, as a Director.	☐	☐	☐
5. To re-elect Mr. Mohamed Adamaly, (Non-Executive, Non-Independent Director), who retires by rotation in terms of Article 29(6) of the Articles of Association of the Bank, as a Director.	☐	☐	☐
6. To re-appoint Messrs Ernst & Young, Chartered Accountants as the Auditors for the ensuing year and authorise the Directors to determine their remuneration.	☐	☐	☐
7. To re-appoint the Sharia Supervisory Council consisting of: (a) Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani (b) Ash-Sheikh Mufti M. I. M. Rizwe (c) Ash-Sheikh Mufti Muhammad Hassaan Kaleem	☐	☐	☐
8. To authorise the Directors to determine contributions to charities for the financial year 2024.	☐	☐	☐

Signed this.....day of.....2024.

.....
Signature

Please provide the following details:

Shareholder's NIC No./Company Registration No.:

Number of Shares held:

FORM OF PROXY

INSTRUCTIONS FOR THE COMPLETION OF FORM OF PROXY

1. The Form of Proxy must be duly completed and signed by the shareholder/s, giving in block capitals, the name and address of shareholder/s and the name, address and NIC of the Proxy holder clearly and legibly. Where necessary delete the inapplicable words indicated by asterisk.
2. The completed Form of Proxy should be deposited at the office of the Company Secretary, Company Secretarial Division, 6th Floor, No. 403, Galle Road, Colombo 3, Sri Lanka not less than 24 hours before the time appointed for the holding of the meeting.
3. If the Proxy has been signed by an Attorney, the relevant Power of Attorney should accompany the completed Proxy for registration, if such Power of Attorney had not been registered with the Bank.
4. In the case of a Company/Corporation, the Proxy must be under its Common Seal (where applicable) which should be affixed and attested in the manner prescribed by its Articles of Association/Act of Incorporation signed by two Directors or a Director and Secretary of the Company with the Company rubber stamp placed on it.

CORPORATE INFORMATION

NAME OF THE INSTITUTION

Amāna Bank PLC

LEGAL FORM

A Public Limited Liability Company incorporated in Sri Lanka on 5 February 2009 under the Companies Act No. 07 of 2007 and listed on the Main Board of the Colombo Stock Exchange and re-registered under the Companies Act No. 07 of 2007 on 28 August 2014. Amāna Bank PLC is a Licensed Commercial Bank under the Banking Act No. 30 of 1988 and amendments thereto

COMPANY REGISTRATION NUMBER

PB 3618 PQ

ACCOUNTING YEAR END

31 December

BUSINESS

Commercial banking and related services

EXTERNAL CREDIT RATING

The Bank is rated by Fitch Ratings Lanka Limited as BB+(lka) with a Stable Outlook

INDUSTRY MEMBERSHIPS

The Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI)
The Islamic Financial Services Board (IFSB)
The Association of Alternate Financial Institutions (AAFI)

REGISTERED OFFICE

486, Galle Road, Colombo 3,
Sri Lanka
Tel : +94 117 756 000
Email : info@amana.lk

SWIFT

AMNALKLX

WEB

www.amanabank.lk

TAX PAYER IDENTIFICATION NUMBER (TIN)

134036184

VAT REGISTRATION NUMBER

134036184-7000

BOARD OF DIRECTORS

1. Mr. Ali Asghar Akbarally – Chairman (Non-Executive, Non-Independent Director)
2. Mr. Mohamed Azmeer (Managing Director/CEO)
3. Mr. Tishan Subasinghe (Non-Executive, Senior Independent Director)
4. Mr. Dilshan Hettiaratchi (Non-Executive, Non-Independent Director)
5. Mr. Mohammed Ataur Rahman Chowdhury (Non-Executive, Non-Independent Director)
6. Mr. Syed Muhammed Asim Raza (Non-Executive, Non-Independent Director)
7. Mr. Khairul Muzamel Perera Bin Abdullah (Non-Executive, Independent Director)
8. Mr. Omar Kassim (Non-Executive, Non-Independent Director)
9. Mr. Mohamed Adamaly, PC (Non-Executive, Non-Independent Director)
10. Mr. Mohammad Hassan (Non-Executive, Non-Independent Director)

SHARIA SUPERVISORY COUNCIL

1. Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani - Chairman

2. Ash-Sheikh Mufti M. I. M. Rizwe - Member
3. Ash-Sheikh Mufti Muhammad Hassaan Kaleem – Member

BOARD COMMITTEES

Board Audit Committee

1. Mr. Tishan Subasinghe - Chairman
3. Mr. Mohammed Ataur Rahman Chowdhury – Member
4. Mr. Khairul Muzamel Perera Bin Abdullah - Member

Board Integrated Risk Management Committee

1. Mr. Khairul Muzamel Perera Bin Abdullah - Chairman
2. Mr. Tishan Subasinghe - Member
3. Mr. Mohammed Ataur Rahman Chowdhury – Member
4. Mr. Mohamed Azmeer (MD/CEO) - Member
5. Mr. M. M. S. Quvylidh (CRO) – Member

Board Nomination Committee

1. Mr. Dilshan Hettiaratchi - Chairman
2. Mr. Tishan Subasinghe - Member
3. Mr. Ali Asghar Akbarally -Member
4. Mr. Mohammed Ataur Rahman Chowdhury – Member
5. Mr. Khairul Muzamel Perera Bin Abdullah - Member

Board Human Resources and Remuneration Committee

1. Mr. Tishan Subasinghe – Chairman
2. Mr. Ali Asghar Akbarally – Member

3. Mr. Dilshan Hettiaratchi – Member
4. Mr. Khairul Muzamel Perera Bin Abdullah – Member
5. Mr. Mohammed Ataur Rahman Chowdhury – Member

Board Related Party Transactions Review Committee

1. Mr. Tishan Subasinghe - Chairman
2. Mr. Dilshan Hettiaratchi - Member
3. Mr. Mohamed Azmeer (MD/CEO) - Member

COMPANY SECRETARY

Miss Primrose Shireen Watson,
FCG

AUDITORS

Messrs Ernst & Young
Chartered Accountants
Rotunda Towers, No. 109, Galle Road,
Colombo 3, Sri Lanka

LAWYERS

Messrs F J & G de Saram
Attorneys-at-Law & Notaries
Public
No. 216, De Saram Place,
Colombo 10, Sri Lanka

FOR INVESTOR RELATIONS AND CLARIFICATIONS ON THE REPORT, PLEASE CONTACT:

The Company Secretary
Company Secretarial Division
6th Floor No. 403, Galle Road,
Colombo 3,
Sri Lanka
Tel: +94 11 7757400



www.amanabank.lk

Amāna Bank PLC

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